Project Controls Institute Global

PCI

Standards

The mandatory professional requirements of the PCI AI certification suite

PCL-AI · PFL-AI · PML-AI

Mandatory professional requirements. Not legislation,
and never a substitute for applicable law.

Version 1.0 — draft for approval

Charter §5 due process not complete · no named human has approved any standard

Advancing standards. Elevating professionals.

Project Controls Institute Global

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2026-08-04

CAUTION

Not legislation. PCI Standards are private professional certification requirements established by Project Controls Institute Global. They are not legislation, government regulation, legal advice or substitutes for applicable laws, contractual obligations, regulatory requirements or authoritative professional standards. Where an applicable legal, regulatory, contractual or authoritative requirement imposes a higher or different obligation, that requirement prevails.

Not yet approved. This edition has not completed the due process in Charter §5. Practitioner consultation, approval by a named PCI body and post-implementation review have not been performed, and no named human has approved any standard in it.

Contents

PCI Standards Charter

Status: Governing charter for the PCI Standard system. Version 1.0 (draft for approval).
Applies to: PCL-AI (PCI AI Project Controls Leader) · PFL-AI (PCI AI Project Finance Leader) · PML-AI (PCI Project Management Leader – AI).

This Charter establishes what a PCI Standard is, what authority it carries, how it is made, how it is interpreted, how it is amended, and how it ranks against everything else a professional is subject to. The companion **PCI Standards Drafting Manual** governs how a standard is written. A standard that does not conform to both does not pass gate.

1. Definition

> **PCI Standard** means a mandatory professional requirement established by Project Controls Institute Global for candidates, credential holders, assessors and authorised practitioners operating within the defined scope of a PCI certification.

2. Legal and professional status

This statement must appear prominently in every publication that contains or cites a PCI Standard:

> **PCI Standards are private professional certification requirements established by Project Controls Institute Global. They are not legislation, government regulation, legal advice or substitutes for applicable laws, contractual obligations, regulatory requirements or authoritative professional standards. Where an applicable legal, regulatory, contractual or authoritative requirement imposes a higher or different obligation, that requirement prevails.**

A PCI Standard must never be described as statutory law, regulation, a government rule, legally binding legislation, an IFRS requirement, an ISO requirement or a contractual obligation. Those terms may be used only where they refer separately and accurately to an actual external authority.

PCI's authority is confined to its own processes: examination, certification, quality and conduct. No PCI Standard may assert or imply that PCI can impose a fine, create criminal liability, or exercise any governmental enforcement power.

2.1 "Standard" does not mean consensus standard

The word *standard* carries a second risk that must be met as plainly as the first. PCI Standards are the certification-scheme requirements of a single private body. They are not consensus standards: they are not developed through a public, balloted or multi-stakeholder standard-setting process, they are not accredited by, endorsed by or affiliated with any national or international standards body — ISO, IEC, CEN, BSI, ANSI, a national standards institute or any comparable organisation — and no such body has reviewed or approved them. PCI does not represent its Standards as equivalent in status, independence or authority to the output of such a body, and no publication, marketing material or credential description may imply that it does.

3. Hierarchy of PCI instruments

Level	Instrument	Mandatory?	Identifier form
1	**PCI Foundational Standard** — applies across all three credentials	Yes	`PCI-FND-STD-NN`
2	**Certification Standard** — applies to one credential	Yes	`PCI-PCL-STD-DD.NN` · `PCI-PFL-STD-DD.NN` · `PCI-PML-STD-DD.NN`
3	**Domain Standard** — applies to a specific Body of Knowledge domain	Yes	as Level 2, anchored by domain `DD`
4	**Process Requirement** — how a recurring process must operate	Yes	`…-PR-NN` under its parent standard
5	**Recommended Practice**	No	`…-RP-NN`
6	**Commentary and examples**	No	unnumbered, within the standard

No mandatory obligation may be created outside Levels 1–4. A note, an example, a case study, a figure caption, a rationale or a commentary paragraph must not contain a requirement. If it states an obligation, it is drafting defect and must be moved into an identified standard or process requirement.

Levels 2 and 3 share an identifier form deliberately: the distinction between them is the breadth of the obligation, not its citation. A standard that binds the whole credential anchors to the domain that teaches it and records the wider scope in its Scope field.

4. Priority when requirements conflict

Where two requirements bearing on the same act conflict, the following order applies:

1. Applicable legislation and regulation
2. A binding court, regulator or governmental requirement
3. An applicable authoritative professional standard, where law or regulation gives it force
4. Contractual obligation
5. PCI Foundational Standard
6. Certification-specific PCI Standard
7. Domain-specific PCI Standard
8. PCI Process Requirement
9. PCI Recommended Practice
10. Commentary and example

Two cautions on this order, and neither is optional.

First, this Charter does **not** state that a contract overrides legislation or a regulatory requirement — it does not, and the ordering above places contract below both deliberately. Where the relationship between an authoritative professional standard and a contract is contested, the answer depends on whether law, regulation or the contract itself gives the standard force, and that is a question of the governing law.

Second, **this ordering is PCI's working rule for its own purposes and has not been settled by qualified legal counsel.** It must be reviewed by counsel in each jurisdiction where PCI operates before it is relied upon in any dispute, and it is published here as a professional convention, not as a legal opinion.

A PCI Standard never lowers an obligation. Where an external requirement is stricter, it governs; where a PCI Standard is stricter than a permissive external position, the PCI Standard governs the credential holder as a condition of certification.

5. Due process

No PCI Standard may be published solely because it was drafted and appeared reasonable — including where it was drafted with AI assistance. Every standard passes thirteen stages, and the record of each stage is part of the standard's file.

Stage	What it produces	Record kept
1 — Problem definition	The professional failure addressed, evidence it exists, who is affected, why existing guidance is insufficient	Problem statement

Stage	What it produces	Record kept
2 — Drafting instruction	Intended outcome, scope, decision owner, evidence requirement, compliance test, expected burden, possible unintended effects	Drafting brief
3 — Initial draft	The standard in the mandatory structure	Draft, versioned
4 — Technical review	Subject-specialist confirmation that the requirement is right and achievable	Reviewer comments and resolutions
5 — Standards and legal-characterisation review	Confirmation that no external requirement is misrepresented, no law invented, no PCI authority overstated, jurisdictional limits present, copyright respected	Characterisation sign-off
6 — Practitioner consultation	Comments from those who would implement it	Consultation log
7 — Impact assessment	Implementation cost, evidence burden, feasibility, small-organisation impact, cross-jurisdiction usability, technology implications, examination implications, unintended incentives	Impact assessment
8 — Scenario testing	The standard tested against normal, boundary, emergency, conflict, AI-assisted, multi-jurisdiction, small-project and megaproject cases	Scenario test record
9 — Red-team challenge	Attempts to circumvent it, exploit ambiguity, comply technically while defeating its purpose, find conflicts, impossible evidence, disproportionate burden, undefined judgement	Red-team report
10 — Revision	Every substantive comment resolved	Disposition table
11 — Approval	Approving body, approval date, effective date, version, dissenting views, transitional arrangements	Approval record
12 — Publication	Final standard, basis for conclusions, implementation guidance, effective date, superseded requirements, comment history, amendment record	Published standard
13 — Post-implementation review	Whether it improved conduct, created unintended burden, is assessable, is consistently interpreted, needs amendment	PIR report

On the honesty of this process. These stages are modelled on the governance principles of mature standard-setters — transparency, full and fair consultation, and accountability. PCI is a small private certifier. Its process must never be represented as equivalent in scale, independence or authority to that of a public standard-setter, and a standard's file must record honestly which stages were performed and by whom, including where a stage was performed with AI assistance rather than by a named human.

6. Interpretation

A **PCI Standards Interpretation Panel** is authorised to:

- issue interpretations of an existing standard;
- resolve apparent contradictions between standards;
- correct drafting errors that do not change the obligation;
- publish implementation guidance;
- recommend amendments.

An interpretation must not silently amend a standard. If the effect of a proposed interpretation is to add, remove, widen or narrow an obligation, it is an amendment and must go through §7. Every interpretation is published with its date, the standard it interprets, the question asked, and the reasoning.

7. Amendment

A substantive change to a standard requires Stages 1–12 of §5, at a depth proportionate to the change. Every amendment records: the version superseded, what changed, why, the effective date, and any transitional arrangement. A standard's amendment history is published with the standard.

Editorial corrections that cannot change the obligation — a typographical error, a broken cross-reference, a renumbering — may be made by the Interpretation Panel and are recorded in the amendment history as editorial.

8. Exceptions and waivers

Every standard states either its exception process or that no exception is permitted. Where an exception is permitted, the standard states who may approve it, what justification is required, how long it lasts, whether compensating controls are required, and whether it must be reported.

No standard may be silently ignored because compliance is inconvenient. An undocumented departure is a breach, not an exception.

9. Breach and consequence

Consequences available to PCI are confined to its own authority: correction required, output withheld, additional review, escalation, examination failure, ethics review, certification investigation, suspension, or withdrawal — each subject to due process and a right of appeal. PCI cannot and must not claim any other consequence.

10. Effective date, version and amendment record

Every published standard carries a version, an approval date, an effective date, and its amendment history. The current edition supersedes all earlier ones. Where a standard is withdrawn, the withdrawal and its reason are published; the standard is not deleted from the record.

11. Governing principle

> **AI proposes; the professional verifies, decides and remains accountable.**

This applies to the making of these standards as much as to the practice they govern. No agent — human or machine — may approve a PCI Standard merely because it appears professionally written.

PCI Standards Drafting Manual

Status: Binding drafting specification for every PCI Standard. Version 1.0.
Companion: the **PCI Standards Charter** (status, hierarchy, priority, due process, interpretation, amendment). This manual governs how a standard is *written*; the Charter governs what a standard *is*. A standard must conform to both.

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1. The normative language system

PCI uses **modern must-drafting**. This is a deliberate choice and it is exclusive: PCI does not use ISO-style `shall` drafting, and the two systems are never mixed.

Word	Meaning in a PCI Standard	Use it for
must	Mandatory PCI professional requirement	The obligation itself
must not	Prohibited practice	Conduct that constitutes a breach
should	Recommended practice; a justified alternative may be acceptable	Level 5 recommendations only — see §1.3
may	Permission	Something the professional is allowed to do
can	Capability or possibility — never permission	Describing what a person, tool or method is able to do

`shall` **is not used as a normative form anywhere in a PCI Standard**, in any field, including quotations of PCI's own earlier drafts. Legislative `shall` is ambiguous — it has been read as both obligation and futurity — and modern drafting practice in the UK and elsewhere has moved to `must` for precisely that reason. A draft that uses `shall` to impose, permit or recommend anything fails gate.

The ban is on the form, not on the word. Explanatory material *about* the convention — the ISO mapping in §1.0, this paragraph, a supersession note recording that an earlier draft used the word — may name `shall` in order to say that PCI does not use it. Refusing to print the word while trying to explain the mapping produces a circumlocution the reader cannot follow, which defeats the purpose of stating the mapping at all. The gate check is therefore: zero occurrences inside any standard's twenty-five elements or any process requirement; occurrences permitted only in front matter that explains the convention, and only in that explanatory sense.

1.0 The `must` inversion — read this before drafting anything

PCI's choice of `must` is **the exact inverse of ISO's use of that same word**, and this is the single most dangerous ambiguity in the whole system.

In ISO/IEC drafting convention, `shall` expresses the document's own requirement, and `must` **is reserved for a constraint or obligation defined *outside* the document, stated for information** — using it does not make that external constraint a requirement of the document. So an ISO-literate reader meeting a PCI Standard that says *"the professional must independently verify…"* may read it as *"somebody else's rule, mentioned in passing"* — the precise opposite of what PCI intends.

Three consequences follow, and none is optional:

1. **Every PCI Standards publication must carry an explicit disclaimer of ISO verbal-form conventions**, in the "How to read these standards" note, in this form or wording to the same effect:

   > These standards do not follow ISO/IEC verbal-form conventions. In a PCI Standard, `must` **states PCI's own mandatory requirement** — the role that an ISO document gives to `shall`. PCI does not use `shall` at all, and does not use `must` for external constraints.

2. **PCI needs a different device for signalling an external constraint**, because `must` is no longer available for it. See §1.2 — external constraints are stated with `may impose` and are confined to element 17 (External reference) and element 18 (Jurisdictional caution). An external obligation is never expressed as a PCI `must`.
3. **A legal or statutory obligation is never restated as a PCI requirement.** Voluntary-standard practice excludes restating law as the document's own requirement, and PCI follows it: legal obligations appear only as external constraints or jurisdictional cautions, never as a PCI standard.

1.1 Worked contrasts

Wrong	Right	Why
The professional shall verify the forecast.	The professional must verify the forecast.	`shall` is not used.
The professional should verify every material calculation.	The professional must independently verify every material calculation before approving the output.	A mandatory obligation written as a recommendation is unenforceable.
The professional may not approve an unverified output.	The professional must not approve an unverified output.	`may not` is ambiguous between prohibition and absence of permission.
A competent reviewer can approve the baseline.	A competent reviewer may approve the baseline.	This is permission, not capability.

Wrong	Right	Why
The model can be updated by the modeller.	The modeller may update the model.	`can` describes capability; permission needs `may`, and the actor must be the subject.

1.2 External obligations

Where an obligation originates outside PCI, use this form and do not dress it as a PCI requirement:

> Applicable law, regulation, contract or authoritative professional requirements may impose additional obligations.

External constraints live only in element 17 (External reference) and element 18 (Jurisdictional caution). They never appear in element 1 (Normative requirement), element 5 (Required actions) or element 6 (Prohibited actions), because those elements state what **PCI** requires.

1.3 `should` — recommendation, not a disguised requirement

A recommendation permits a justified alternative. It does **not** become a requirement because a reason must be recorded for departing from it.

If PCI wants to say *"do this, or record why you did something else"*, that is a distinct device — a requirement to record a departure — and it must be written as one:

> **Recommended practice.** The review should include sensitivity testing proportionate to the materiality of the decision.
>
> **Associated requirement.** Where the review omits sensitivity testing, the reviewer must record the reason for the omission in the review record.

Written that way, the recommendation stays a recommendation and the recording obligation is a real, testable requirement with its own compliance test. Written the other way — "should … and a reason must be recorded for any departure" bundled into one clause — it is neither: it reads as a recommendation, binds like a requirement, and cannot be assessed as either.

2. One requirement per clause

Each mandatory clause expresses **one principal obligation**. A clause bundling several obligations cannot be tested, cannot be breached precisely, and cannot be assessed.

Wrong:

> The professional must validate the model, inform management, review the contract, maintain records and escalate every variance.

Right — five independently testable requirements:

> - The professional must validate the model.
> - The professional must document the validation.
> - The professional must communicate material limitations.
> - The professional must escalate defined exceptions.
> - The professional must retain the supporting evidence.

Every requirement has a unique identifier, a single principal obligation, a defined **subject** (who), a defined **action** (what they must do), a defined **object** (to what), and a **compliance test**.

Every requirement must be verifiable. If no one can determine whether it has been met, it is not a requirement — it is an aspiration, and it belongs in Recommended Practice or in commentary.

3. Identifiers

Instrument	Form	Example
Foundational Standard	`PCI-FND-STD-NN`	`PCI-FND-STD-04`
Certification / Domain Standard	`PCI-<CRED>-STD-DD.NN`	`PCI-PCL-STD-06.03`
Process Requirement	`<parent>-PR-NN`	`PCI-PCL-STD-06.03-PR-01`
Recommended Practice	`<parent>-RP-NN`	`PCI-PFL-STD-10.01-RP-02`

`<CRED>` is `PCL`, `PFL` or `PML`. `DD` is the two-digit Body of Knowledge domain of primary anchorage. `NN` is a two-digit sequence within that domain.

Identifiers are **stable**. All internal citation is by identifier — never by page number, because pagination changes. A withdrawn standard's identifier is never reused.

4. Defined terms

Any term that could alter whether a professional has complied must be defined in the standard that uses it, or in the **PCI Standards Definitions Register**, and used consistently.

Terms that always need definition when they appear in an obligation: *material*, *independent*, *approved*, *verified*, *current*, *competent reviewer*, *evidence*, *decision owner*, *exception*, *escalation threshold*, *promptly*, *appropriate*, *adequate*, *reasonable*.

No circular definitions. "A material variance is a variance that is material" defines nothing. Define by the test a reader can apply: what makes it material, measured against what, decided by whom.

Undefined judgement words are a drafting defect. *Appropriate*, *adequate*, *reasonable*, *relevant*, *timely* and *sufficient* must either be defined, replaced with a stated test, or removed.

5. The mandatory structure of a standard

Every PCI Standard carries all twenty-five elements below, in this order. No element may be omitted. Where an element is genuinely inapplicable, it states "Not applicable" **and gives the reason in one clause** — a bare "None." is a defect.

The heading is `## PCI STANDARD <identifier> — <official title>`, and the twenty-five elements follow it in this order:

#	Element	What it carries
1	**Normative requirement**	One precise mandatory statement. One principal obligation.
2	**Purpose**	The professional risk this standard controls.
3	**Scope**	Who is governed · which decisions · which projects, programmes or transactions · whether it applies to preparation, review, recommendation, approval or assurance.
4	**Defined terms**	Every term in this standard that could alter compliance.
5	**Required actions**	The minimum actions necessary for compliance.
6	**Prohibited actions**	The practices that constitute a breach.
7	**Required evidence**	What must exist to prove compliance.
8	**Responsible role**	The role accountable for performance. Never "the team", "management", "relevant people", "appropriate personnel" or "the organisation" unless that term is formally defined.
9	**Approval authority**	Who may approve, reject, waive or escalate.
10	**Independence requirement**	Whether the reviewer must be independent of preparation, commercial benefit, model development, contract administration, project sponsorship or AI-tool configuration.
11	**Materiality or threshold**	Numerical, risk, authority, cumulative or trigger-event threshold, or the professional-judgement criteria that stand in for one.
12	**Exception and waiver**	Whether an exception is permitted; who approves; what justification; how long it lasts; compensating controls; reporting. Or: no exception is permitted.
13	**Escalation trigger**	The event that requires escalation.

#	Element	What it carries
14	**AI application**	What AI may assist with.
15	**AI prohibition**	What AI must not decide, approve, certify, sign, waive, authorise or represent as independently verified.
16	**AI verification**	The specific human verification method. "Review the AI output" is insufficient.
17	**External reference**	Each authority listed separately with issuing organisation, title, subject, edition or effective date checked, nature of authority, verification date, applicability limitation.
18	**Jurisdictional caution**	What requires local legal, tax, accounting or regulatory advice.
19	**Related PCI Standards**	Stable identifiers.
20	**Related Body of Knowledge content**	Certification · domain · Knowledge Area · topic.
21	**Compliance test**	A test an auditor, assessor or reviewer can actually perform.
22	**Breach indicators**	Observable indicators that the standard may have been breached.
23	**Consequence within PCI authority**	From the Charter §9 list only.
24	**Examination application**	How the standard can be tested by scenario judgement, evidence selection, escalation decision, calculation review, ethical dilemma or AI-verification case — not by memorising standard numbers.
25	**Version and status**	Version · approval date · effective date · amendment note. ```

5.0 Which elements are normative

A standard's twenty-five elements do not all carry obligation, and the structure must say which do. Without this declaration a reader cannot tell whether a sentence in, say, element 22 binds them — and an assessor cannot tell what to assess.

Elements	Status	Effect
1 Normative requirement · 5 Required actions · 6 Prohibited actions · 7 Required evidence · 12 Exception and waiver · 13 Escalation trigger · 15 AI prohibition · 16 AI verification	**Normative**	These bind. A breach of any of them is a breach of the standard.

Elements	Status	Effect
3 Scope · 4 Defined terms · 8 Responsible role · 9 Approval authority · 10 Independence requirement · 11 Materiality or threshold	**Normative — determinative**	These do not add obligation; they determine to whom, and in what circumstances, the normative elements apply. Getting one wrong changes what the standard requires.
14 AI application	**Permissive**	States what is allowed. Creates no obligation.
2 Purpose · 17 External reference · 18 Jurisdictional caution · 19 Related PCI Standards · 20 Related BoK content · 21 Compliance test · 22 Breach indicators · 23 Consequence · 24 Examination application · 25 Version and status	**Informative**	Explain, locate, test or administer the standard. **They must not contain an obligation.**

Two consequences worth stating because both are easy to get wrong:

- **The compliance test (21) is informative.** It describes how to test the obligation stated in the normative elements; it must never be the only place an obligation appears. If a reviewer can find a requirement in element 21 that is not in element 1, 5, 6 or 7, that is a drafting defect.
- **Breach indicators (22) are informative.** An indicator suggests the standard may have been breached; it is not itself the breach, and it must not read as one.

5.1 On the compliance test (element 21)

This element is what separates a standard from a slogan. It must be written so that a reviewer can perform it and reach the same answer as another reviewer.

Weak: Compliance is demonstrated when the forecast has been properly reviewed.

Strong: Compliance is demonstrated when the approved forecast can be reconciled without unexplained differences to the current cost ledger, the commitment register, the accrual schedule, the approved change register, the risk-adjusted estimate and the authorised schedule status date.

5.2 On AI verification (element 16)

Name the method. Verification must specify whichever of these applies: independent recomputation, source tracing, clause-to-summary comparison, sampling with a stated basis, reconciliation, boundary testing, sensitivity analysis, expert judgement, or named approval.

5.3 On thresholds (element 11)

Do not invent arbitrary percentages. A threshold must be supported, explained, configurable by the adopting organisation's governance, and tested for practical use on both a small project and a megaproject. Where no defensible number exists, state the professional-judgement criteria instead and say who applies them.

6. External reference classification

Every external reference is classified as exactly one of these, and the categories are never combined:

#	Category	Notes
1	Applicable legislation or regulation	Only where jurisdiction and applicability are known
2	Authoritative financial-reporting standard	e.g. IFRS, IAS — mandatory only for entities applying that framework
3	International voluntary standard	e.g. ISO, IEC — voluntary unless adopted by regulation or contract
4	Contract framework	e.g. FIDIC, NEC — binds only parties who adopt it
5	Professional framework	e.g. PMBOK Guide, AACE TCM — not regulatory authority
6	Ethical code	Binding only where a body, regulator or engagement has adopted it
7	Industry guidance	No single authoritative publisher
8	Voluntary environmental or social framework	e.g. Equator Principles — voluntary, not legislation
9	PCI internal professional standard	This system
10	Illustrative practice	Named to illustrate, not relied on
11	**National standard**	A published standard of one country's standards body (e.g. an ANSI-accredited US standard). Binds only where a contract or procurement regime imports it. Not an international standard, not industry guidance
12	**Supervisory guidance**	A supervisor's published expectations, or an internationally agreed supervisory framework. **No legal force of its own**; applies only as a national authority transposes it or a supervised firm is subject to it. Never tag it as regulation

> **Note on categories 11 and 12.** The programme brief specified ten categories. Two more were added because the ten had no accurate home for instruments the corpus actually cites, and forcing them into an existing category would have been exactly the misclassification the scheme exists to prevent: ANSI/EIA-748 is a *national* standard, not an international one and not industry practice; the Basel framework and a banking supervisor's model-risk expectations are *supervisory*, and tagging either as regulation would state that they bind directly, which they do not. Category 3 ("international voluntary standard") also does not fit a non-international voluntary framework such as the NIST AI RMF or the OECD AI Principles — classify those under category 7 or 8 by their subject, and state in the reference itself that they are voluntary and where they originate. These two additions are recorded here as a deviation from the brief, with the reason, rather than made silently.

Specific rules that have already been breached once in this corpus and must not be again:

- IFRS and IAS are financial-reporting standards, never PCI Standards, and are mandatory only for entities applying IFRS Accounting Standards in a jurisdiction that has adopted them.
- The IFRS *Conceptual Framework* is **not a standard** — the IASB states so expressly, and nothing in it overrides a Standard. Never source a requirement to it.
- ISO references are voluntary international standards unless separately adopted by regulation or contract. Some ISO documents are certifiable requirements standards and some are guidance that nothing can be certified against; say which.
- FIDIC is a contract-form framework, not generally applicable legislation.
- PMI and AACE material must never be presented as regulatory authority.
- The Equator Principles are a voluntary financial-sector risk-management framework.
- Supervisory instruments (a banking supervisor's model-risk expectations, an internationally agreed supervisory framework) have no legal force of their own and apply only as a national authority transposes them or a supervised firm is subject to them.

The category describes the instrument, not the use PCI makes of it. An instrument has one category everywhere it appears; how a particular standard relies on it is a separate statement. Writing "category 10 — illustrative practice" for the EU AI Act because *this* standard only cites it to illustrate a shape gives the same instrument two categories across the corpus, which is the inconsistency the classification exists to prevent. Legislation cited illustratively is still legislation: give it category 1 and say in the same bullet that it is relied on for no requirement in this standard. The pattern to follow is: `category` **(what it is)** · `relied on for` **(what this standard does with it)** · `limitation` **(where and on whom it bites).**

Never invent a clause number, article, edition, effective date, judicial decision or requirement. Where a precise provision is not verified, cite the instrument by name only. Every reference records the date its currency was checked, and adds "verify current requirements" where the authority can change.

7. Prohibited drafting patterns

Pattern	Why it fails
A requirement inside a note, example, case study, figure caption or rationale	Charter §3 — obligations exist only in identified standards and process requirements
A requirement no one can verify	Unverifiable requirements cannot be audited, assessed or breached
A circular definition	Defines nothing
An undefined judgement word carrying the obligation	The requirement's content is unknown
Several obligations in one clause	Cannot be tested or breached precisely
`shall`	Not part of PCI's convention; ambiguous
`may not` for a prohibition	Ambiguous; use `must not`
A vague responsible role	Nobody is accountable
Duplicating an external standard without adding an obligation	Creates the impression PCI is restating law, and goes stale when the standard moves
Hedging inside the Normative requirement ("where practical", "should generally", "may wish to")	Qualifications belong in Scope, Threshold or Jurisdictional caution
Claiming a consequence outside PCI's authority	Charter §2 and §9

8. Visual presentation

Colour is never the only distinction. Every call-out carries a written label, an icon, a border treatment and an identifier, so the categories survive greyscale printing, screen reading and monochrome displays.

Call-out	Written label	Colour	Tint	Icon	Border
Mandatory standard	`PCI PROFESSIONAL STANDARD`	Dark PCI Standard Red `#9B1C1C`	`#FDECEC`		solid left

Call-out	Written label	Colour	Tint	Icon	Border
External authority	EXTERNAL STANDARD OR FRAMEWORK	Standards Blue #1D4ED8	#EEF4FF		double
Recommended practice	PCI RECOMMENDED PRACTICE	Guidance Teal #0F766E	#ECFDF5		dashed
Jurisdictional caution	JURISDICTIONAL CAUTION	Amber #B45309	#FEF3C7		dotted

Body copy inside a call-out is black on the light tint. Colour carries the heading, border and label only; large blocks of body text are never set in bright red.

9. The twenty-five audit questions

Before any standard is approved, every question below must be answered. **A standard failing one or more must be revised before approval** — the failure and its resolution are recorded in the standard's file.

1. What exact failure does this standard prevent?
2. Is the requirement mandatory or only recommended?
3. Can a professional know whether it applies to them?
4. Is the responsible person identifiable?
5. Is the required action observable?
6. Is compliance provable?
7. Is the required evidence proportionate?
8. Can the standard be audited?
9. Can the standard be examined through a scenario?
10. Can a professional technically comply while defeating its purpose?
11. Does it conflict with another PCI Standard?
12. Does it duplicate an external standard unnecessarily?
13. Does it misrepresent external authority?
14. Does it require legal or jurisdiction-specific advice?
15. Does it define the relevant materiality threshold?
16. Does it cover AI use?
17. Does it preserve human accountability?
18. Does it contain an exception process?
19. Does it define escalation?
20. Is every important term defined?
21. Is the language concrete and modern?

22. Does it impose an impossible or excessive burden?
23. Can it operate on both small projects and megaprojects?
24. Can it operate internationally?
25. Is there a clear consequence within PCI's authority?

10. Governing principle

> **AI proposes; the professional verifies, decides and remains accountable.**

PCI Foundational Professional Standards

Status: The Foundational Standard set of the PCI Standard system — Level 1 of the hierarchy in the *PCI Standards Charter* §3. Fifteen standards, identifiers `PCI-FND-STD-01` to `PCI-FND-STD-15`, binding on every candidate for and holder of **PCL-AI** (PCI AI Project Controls Leader), **PFL-AI** (PCI AI Project Finance Leader) and **PML-AI** (PCI Project Management Leader – AI) within the scope of their PCI-certified work. Version 1.0, prepared 4 August 2026; **draft for approval** — see *Due-process record* below. Drafted under the *PCI Standards Charter* and the *PCI Standards Drafting Manual*, both of which govern. British English throughout.

> CAUTION
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> **PCI Standards are private professional certification requirements established by Project Controls Institute Global. They are not legislation, government regulation, legal advice or substitutes for applicable laws, contractual obligations, regulatory requirements or authoritative professional standards. Where an applicable legal, regulatory, contractual or authoritative requirement imposes a higher or different obligation, that requirement prevails.**

How to read these standards

Two documents govern, and this one conforms to both. The `PCI Standards Charter` settles what a PCI Standard *is* — its status, the six-level hierarchy, the priority order when requirements conflict, due process, interpretation, amendment, exceptions and the consequences available to PCI. The `PCI Standards Drafting Manual` settles how a standard is *written* — the normative language system, the twenty-five-element structure, defined terms, external-reference classification, prohibited drafting patterns and the twenty-five audit questions. Where anything below is unclear, those documents prevail over it.

The normative language, and the ISO mapping. PCI uses modern must-drafting, exclusively. `must` states a mandatory PCI professional requirement; `must not` states a prohibited practice; `should` appears only in Recommended Practice; `may` grants permission; `can` describes capability and never permission. The ISO-style requirement verb is **deliberately not used anywhere in this file, in any field** — Drafting Manual §1 bars it because it has been read as both obligation and futurity, and a draft containing it fails gate. A reader who works to ISO/IEC drafting conventions therefore reads across as follows: **in a PCI Standard,** `must` **is the**

requirement form, and it carries the meaning an ISO document conveys with its own mandatory verb. `must` here marks a PCI requirement, never an external constraint.

What is mandatory, and what is not. Every numbered standard below is a **Mandatory PCI Standard** (Charter §3, Level 1). Every **Process Requirement** (`PCI-FND-STD-NN-PR-NN`) beneath a standard is a **Mandatory PCI Process Requirement** (Level 4) and is as binding as its parent. Nothing else in this file creates an obligation: purposes, notes, examples and the tables at the end are commentary, and a requirement appearing in one of them would be a drafting defect.

One obligation per requirement. Element 1 of each standard carries a single principal obligation. Where the subject matter needs more than one obligation, the others appear as numbered Process Requirements under that standard rather than as a bundled clause, so that each can be tested, breached and assessed separately.

Terms that decide compliance are defined once, in *Definitions* below, and used identically in every standard. No standard redefines a defined term. Element 4 of each standard lists the defined terms that bear on its compliance.

External references are named and characterised, never reproduced, and each is classified as exactly one of the ten categories in Drafting Manual §6. See *A note on external references* below.

The suite principle governs this set, in its one approved formulation:

> CAUTION
>
> **AI proposes; the professional verifies, decides and remains accountable.**

No endorsement, affiliation or accreditation is claimed or implied. Naming an external instrument means only that the instrument exists and is relevant to the subject under discussion. No standards body, professional institute, government, supervisory authority or financial institution has reviewed, approved, endorsed or accredited these standards, the credentials they support or PCI Global.

A note on external references

Each reference in element 17 of each standard records seven things: the issuing organisation, the title, the subject, the edition or effective date checked, the nature of the authority as one Drafting Manual §6 category, the verification date, and the applicability limitation. Five conventions apply, and they are not optional.

1. **Exactly one category per reference**, never combined. Categories are stated by number and name.

2. **Where the Manual's ten categories and the register's seven differ, the Manual governs here and both are shown.** The register (`../registries/EXTERNAL_AUTHORITIES.md`) uses a *voluntary framework* category that the Manual offers only in its environmental-and-social form (category 8). A voluntary framework that is neither environmental nor social — the NIST AI Risk Management Framework, the OECD AI Principles, SR 11-7 — is therefore recorded here as **category 10, illustrative practice**, which is accurate because this set relies on none of them for any requirement. The register's own category is given alongside so the two records reconcile.
3. **Nothing is invented.** No clause number, article, edition, effective date, judicial decision or requirement appears here that was not verified in the register on the date stated. Where a precise provision was not verified, the instrument is cited by name only.
4. **Only Regulation (EU) 2024/1689 (the EU AI Act) is described as legislation, and only within the European Union.** Every other instrument named is voluntary, contractual, professional or illustrative in its force. The General Data Protection Regulation is named in this set only as an illustrative reference within a jurisdictional caution; no requirement is sourced to it.
5. **The IFRS *Conceptual Framework for Financial Reporting* is not cited anywhere in this set.** The IASB states expressly that it is not a Standard and that nothing in it overrides a Standard. The superseded 14-standard set sourced no requirement to it either; this edition excludes it entirely so that the question cannot arise.

Every reference carries "verify current requirements" where the authority can change, and the official publication always governs.

Supersession

This edition **withdraws and replaces the fourteen-standard foundational set** identified `PCI-LAW-F-01` to `PCI-LAW-F-14`. Those identifiers are withdrawn and, per Charter §10, are never reused. The reason for withdrawal is structural, not substantive: the superseded set was written to an eighteen-field template, mixed two normative-language systems, and bundled several obligations into single clauses, none of which conforms to the Drafting Manual. Its substance on evidence, escalation and AI is carried forward. The mapping is:

Superseded	Carried forward into
`PCI-LAW-F-01` Professional Accountability and the Suite Principle	`PCI-FND-STD-01`
`PCI-LAW-F-02` Verification of AI Output Before Professional Use	`PCI-FND-STD-03` and `PCI-FND-STD-14`

Superseded	Carried forward into
PCI-LAW-F-03 Human Decision Authority	PCI-FND-STD-04
PCI-LAW-F-04 Disclosure of Material AI Assistance	PCI-FND-STD-14-PR-01 to -PR-03
PCI-LAW-F-05 Evidence and the Audit Trail	PCI-FND-STD-02, PCI-FND-STD-07, PCI-FND-STD-12
PCI-LAW-F-06 Data Lineage and Integrity	PCI-FND-STD-07
PCI-LAW-F-07 Honesty in Reporting and Forecasting	PCI-FND-STD-05, PCI-FND-STD-11
PCI-LAW-F-08 Competence Boundaries and Referral	PCI-FND-STD-10
PCI-LAW-F-09 Confidentiality and Information Protection	PCI-FND-STD-09
PCI-LAW-F-10 Conflict-of-Interest Disclosure	PCI-FND-STD-08
PCI-LAW-F-11 Duty to Escalate	PCI-FND-STD-11
PCI-LAW-F-12 Record Retention	PCI-FND-STD-12
PCI-LAW-F-13 Ethical Conduct Toward Candidates, Employers and the Public	**Not carried forward at Level 1.** General conduct is a certification-conditions matter rather than a testable Foundational Standard; the specific duties it carried are in PCI-FND-STD-08, PCI-FND-STD-11-PR-05 and PCI-FND-STD-14.
PCI-LAW-F-14 No Misrepresentation of PCI Credentials or Accreditation Status	**Not carried forward at Level 1.** Credential-claim rules govern the relationship between PCI and the holder rather than the conduct of professional work, and belong in PCI's certification conditions.

The two omissions are deliberate and are recorded here so the decision is visible rather than accidental. Neither obligation is abolished; each is relocated outside the Foundational Standard set. Until that relocation is published, the superseded text of PCI-LAW-F-13 and PCI-LAW-F-14 remains on the record and is not deleted.

Due-process record for this edition

Charter §5 requires thirteen stages and requires a standard's file to record honestly which stages were performed and by whom, including where a stage was performed with AI assistance rather than by a named human. For this edition:

Stage	Status for this edition
1 — Problem definition	Partly performed. Inherited from the drafting brief and from the defects found in the superseded set; no independent evidence base was gathered.
2 — Drafting instruction	Performed. The drafting brief set the identifiers, titles, intent and structure.
3 — Initial draft	Performed, **with AI assistance and no named human drafter**.
4 — Technical review	**Not performed.** No subject specialist has confirmed that each requirement is right and achievable.
5 — Standards and legal-characterisation review	Partly performed. Every external reference was checked against `../registries/EXTERNAL_AUTHORITIES.md` and its recorded verification date; no publisher was contacted for this edition.
6 — Practitioner consultation	**Not performed.**
7 — Impact assessment	Partly performed. Burden, small-organisation impact and cross-jurisdiction usability were tested through audit questions 7, 22, 23 and 24 only.
8 — Scenario testing	Partly performed, through audit questions 9, 23 and 24.
9 — Red-team challenge	Performed against all twenty-five audit questions; findings and resolutions are tabled at the end of this file.
10 — Revision	Performed. Every finding recorded in that table was resolved in this draft.
11 — Approval	**Not performed.** No approving body has approved this edition.
12 — Publication	**Not performed.** This is a draft for approval.
13 — Post-implementation review	Not applicable — the edition is not yet in force, so there is nothing to review.

This process must never be represented as equivalent in scale, independence or authority to that of a public standard-setter. PCI is a small private certifier, and seven of the thirteen stages above have not been performed.

Definitions

These terms decide whether a professional has complied. Each is defined once, here, and used identically in every standard below. None is defined by reference to itself. Where a standard's element 4 lists a term, the definition below is the one that applies.

These definitions are the canonical ones for the whole corpus. Drafting Manual §4 permits a term to be defined in the standard that uses it **or** in the *PCI*

Standards Definitions Register, and that register now exists at `PCI_STANDARDS_DEFINITIONS_REGISTER.md`. Every term below that is also used in a certification volume carries the same wording there and in that volume; where a term legitimately carries different professional senses in different credentials, the register states each sense with the context it belongs to rather than forcing one. The register records what each file previously said, so every reconciliation is visible and reversible. It is a derived register and creates no obligation: **the definitions below govern.**

D-01 · Adopting organisation. The employer, client or engaging entity whose governance arrangement applies to the work in question. Where a professional works as a sole practitioner with no engaging entity's governance arrangement in force, the professional is their own adopting organisation and must record, once, the criteria and thresholds these standards leave to the adopting organisation to set.

D-02 · AI system. A machine-based system that infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, classifications or decisions. The term includes a general-purpose model accessed as a service, a model embedded inside another application, an automated agent that acts on its own outputs, and any such system whether licensed, self-hosted or free. PCI defines the term for its own purposes only. The OECD Recommendation on artificial intelligence and, within the European Union, Regulation (EU) 2024/1689 each define it for theirs; where either applies to a professional's work, its definition governs for that purpose.

D-03 · Authorised system. A system, service or tool that appears on the adopting organisation's published register of systems approved for information of the classification in question, for the purpose in question. A system is not authorised because it is widely used, because it is paid for, because a colleague uses it, or because no rule expressly forbids it.

D-04 · Competent reviewer. A named individual who, in relation to a particular item, satisfies all of the following: (a) their competence in the subject matter of that item is evidenced by a qualification in that subject matter, an assessed competence record held by the adopting organisation, or documented experience of comparable work recorded by the adopting organisation, and that competence is recorded for that class of work before the review begins; (b) they are able to state what would make the item wrong and which method would detect that error; and (c) they are able to perform the verification method the standard requires, and to reach a conclusion on the matter, without assistance from the preparer or reliance on the preparer's explanation of it. No limb alone is sufficient, and job title, seniority and availability establish none of them. The adopting organisation may quantify the experience required in (a); PCI does not. **Independence is not a limb of competence.** Where a standard requires the reviewer to be independent (D-12), that requirement is imposed by that standard's element 10 and is tested separately — a separation this set depends on, because `PCI-FND-STD-10` element 12's supervised-acquisition exception needs a reviewer who is competent and is precisely *not* independent. For a review conclusion recorded on a PFL-AI engagement, the reviewer must additionally hold written authorisation from the engaging organisation to record a review conclusion on that subject.

D-05 · Conflict. A relationship, interest or duty of any of the following kinds, held by the professional or by a member of their household, which bears on a matter in which the professional acts: a financial interest in a party to the matter or in its outcome; employment, office, directorship or partnership with a party to the matter; a family or household relationship with an individual who is a party to, or decides, the matter; a gift, hospitality or benefit received from a party to the matter above the threshold the adopting organisation records; a past or prospective engagement with a party to the matter; a personal interest in a particular outcome, including an interest in the performance of work the professional themselves performed; a future role that depends on the outcome; and an interest in a tool, model, vendor or AI system that is being selected, priced, assessed or relied upon in the matter. A conflict is **actual** where it bears on a decision the professional is currently taking, **potential** where it would do so if a foreseeable event occurred, and **perceived** where a person outside the matter, on the facts recorded, would identify one of the listed relationships. **The appearance is part of the definition, not a softening of it**, and a conflict is a structural fact about a role rather than a lapse of character. The list is closed for the purposes of the disclosure duty: every conflict within it must be disclosed and there is no threshold. A judgement test stated in a standard — such as the reasonable-party test at `PCI-PFL-STD-01.02` — widens this list and never narrows it.

D-06 · Contemporaneous. Created at the time of the act it evidences, or as soon afterwards as establishing the facts permits, and never after the outcome the record bears on became known.

D-07 · Control result. The output of a check, validation, tolerance, limit, reconciliation, test, alert or approval gate that is designed to prevent, detect or flag an error, an exception or an unauthorised act — whether the check is automated, systemic or performed by a person.

D-08 · Decision owner. The single named individual who holds the authority, under the applicable governance arrangement or documented delegation schedule, to approve, reject, amend, defer or withhold the matter in question; who bears the consequence of that decision; and who answers for it afterwards. The accountability is held by one person, is not delegable, and is recorded before the output is relied upon. Where a body decides collectively, its named chair — or the named authority the delegation schedule assigns — is the decision owner for the purposes of these standards, and the record names that person. A decision owner is always a natural person: "the team", "management", "the business", "the sponsor", "the lenders", "the organisation", a role held by no named individual, a committee without a named chair, a system, a model and a vendor are never decision owners.

D-09 · Engagement lead. The professional accountable for accepting an engagement or role and for allocating work within it. Where the professional works alone, the professional is the engagement lead.

D-10 · Escalation threshold. The escalation threshold for a matter is reached at the earliest moment any of the following becomes true: the matter is material (D-15); it creates a risk to the safety of a person; it would change, or would have changed, a decision already taken or about to be taken; it affects an output already issued outside the professional's own organisation; it affects a contractual, regulatory, tax or financial-reporting position; or the escalation criteria published by the adopting organisation, stated in the finance documents, or recorded in the delegation schedule are met. **Any event a standard's element 13 states, any condition recorded before the work begins, and any documented value in a delegation schedule or in finance documents are additional to those six triggers and never in place of them** — a matter that reaches this threshold requires escalation under `PCI-FND-STD-11` whether or not it appears in any element 13. **The threshold names a destination and a time, and the absence of either does not remove the duty:** where no destination is documented the matter goes to the next authority above the decision owner (D-08) for it, and where no time is documented the time is the period defined in D-20. Reaching the threshold starts that period. The obligation does not depend on the professional's expectation of how the recipient will react, or on the matter being resolved afterwards.

D-11 · Evidence. A dated record that exists independently of the assertion it supports, that identifies its source, its version where it has one, and its author or issuing system, and that a person other than the author of the assertion is able to retrieve, examine and use to reach the same conclusion **without asking that author**. Primary source documents, executed contracts, system extracts identified by query and extraction time, measurement and inspection records, third-party confirmations, and recorded calculations showing their inputs and method are evidence. The following are **not** evidence for the purposes of these standards: an output of an AI system that does not identify the source of what it asserts; an AI-generated summary of a record, as evidence of the underlying fact — the underlying record is the evidence; a statement that a system, model or tool produced a figure, unaccompanied by the inputs and the method; a restatement of the assertion in a second document by the same author; a preparer's own statement offered in support of their own assertion; an unrecorded recollection; an unattributed file; an undated extract; an unversioned working copy; a screenshot with no source reference; and a dashboard or screen state that cannot be reproduced.

D-12 · Independent. A person is independent in relation to a specified matter if all of the following are true: (a) they did not perform the act, prepare the item or any part of it, or direct, specify or approve it; (b) they did not select, build or configure the tool, model or AI system that produced it; (c) they hold no conflict (D-05) in its outcome and no financial interest in the matter or in a party to it; (d) they receive no fee, bonus, continuing mandate, success payment or other benefit that varies with the conclusion reached, and their remuneration, appraisal or continuation in the engagement is not determined by the outcome the item supports; (e) they are not accountable for the outcome the item reports on; and (f) they satisfy the reporting-line limb. **The reporting-line limb:** they do not report to the preparer in respect of the work under review, and are not in the reporting line of the person accountable for the outcome for the purpose of that matter. Reporting to the preparer's line manager on unrelated work does not by itself defeat independence; being appraised on the outcome does. **On a PFL-AI engagement a stricter limb operates** — the person is not in the preparer's reporting line at all, and does not report to a person whose performance is measured by the work's conclusion. Where two of these tests bear on the same act, the one producing the wider obligation governs. Independence is a fact about a relationship to a specified matter, never a state of mind, a job title or a permanent designation — which is why a permanently titled "independent assurance" function is not independent of an artefact it helped produce. Where the adopting organisation contains no person meeting this definition, independence may be satisfied by a named reviewer engaged from outside it, and where that too is impossible the exception process in the relevant standard applies.

D-13 · Information owner. The party entitled to decide how a given item of protected information may be used, disclosed, stored and processed — ordinarily the client, employer, counterparty or individual from whom or about whom it was obtained, or the party a contract names.

D-14 · Issuing professional. The professional who issues, signs, submits, recommends or approves a material output, or who authorises another person or a process to do so in their name.

D-15 · Material. An item is material if any of the following is true: (a) were it wrong, omitted or reversed, a decision within the scope of the work would or could have been taken differently; (b) it changes a reported figure by more than the quantified tolerance the adopting organisation has published for that figure; (c) it affects a contractual, regulatory, tax or financial-reporting position; (d) it affects the safety of a person; (e) it affects a party's reliance (D-24); or (f) it meets the adopting organisation's published materiality criteria. **A matter bearing on safety, legality, a licence or permission, a statutory duty, or the truth of a statement made to a decision-maker is material irrespective of size**, and no documented threshold reduces it. Where the adopting organisation has published no criteria, the decision owner records which of (a) to (e) applies, and why, before the output is issued. Materiality is determined on the position as known at the time of the act; a determination made after an error is discovered does not displace the determination required at the time. Materiality is judged twice: on the item alone, and on the accumulation of items of the same kind since the test was last applied. **Where limb (b) is measured** is an application rule and not a second test — for PCL-AI work, the recorded materiality rule stating the quantum, the basis and the person who set it, applied consistently between periods; for PFL-AI work, the engagement's materiality statement, stated before the work begins in the transaction's own metric, with the finance documents overriding it where they state their own; for PML-AI work, the organisation's documented financial, schedule or exposure threshold, which reaches only matters purely of that character. **PCI sets no percentage.** The adjective *material* qualifies every noun it precedes in these standards — a material assumption, a material error, a material claim — by this same test.

D-16 · Material output. A deliverable, report, figure, estimate, forecast, model, schedule, certificate, valuation, opinion, recommendation or item of advice that is issued outside the professional's own working papers, or is relied upon for a material decision. A draft circulated for comment and marked as such is not a material output; a draft that a recipient is invited to rely upon is.

D-17 · Override. Proceeding contrary to a control result — by ignoring, bypassing, suppressing, dismissing, re-running, re-parameterising or disabling the control, or by accepting the item the control rejected.

D-18 · PCI-certified work. Work performed by a professional within the scope of a PCI certification they hold or for which they are a candidate — project controls, project management or project finance work, and the preparation, review, recommendation, approval or assurance of its outputs — whether performed as an employee, a contractor, a consultant, a secondee or a sole practitioner, and whether or not the professional's PCI credential was the reason they were engaged.

D-19 · Professional. A candidate for, or holder of, a PCL-AI, PFL-AI or PML-AI credential, when performing PCI-certified work. Where a standard states an obligation on "a professional", it binds that individual personally and is not discharged by their employer's compliance.

D-20 · Promptly. Without any delay beyond the time needed to establish the facts required to make the communication accurate, and in any event within the period the adopting organisation's published procedure states. Where no such period is published, "promptly" means **within one working day** where the matter creates a risk to the safety of a person or an ongoing financial loss, and **within five working days** in every other case. The period runs from the moment the professional first knows or suspects the matter, not from the moment they confirm it; where the facts cannot be established within the period, the professional communicates what is known within the period and completes the account afterwards.

D-21 · Protected information. Information obtained in professional work which is any of the following: classified by its owner as confidential, restricted or equivalent; subject to a confidentiality obligation in a contract, engagement letter or undertaking; personal data relating to an identifiable individual; price-sensitive or inside information; commercially sensitive information whose disclosure would harm a party's position; legally privileged; or subject to export, sanctions or security control. **Information whose classification the professional does not know is protected information until the information owner states otherwise.** Information does not cease to be protected because it has been paraphrased, partially redacted, anonymised by removing names only, split across several submissions, or reduced to figures, where a person with access to the surrounding context is able to reconstruct the protected content from it.

D-22 · Record. Information in any medium, created or received in professional work, that evidences an act, a decision, an instruction, a communication or the basis of an output — including files, messages, model versions, system entries, prompts and responses exchanged with an AI system, and annotations on any of them.

D-23 · Records owner. The individual the adopting organisation designates as accountable for a system of record. Where none is designated, the issuing professional is the records owner for the records they control.

D-24 · Reliance. A person relies on an output when they take a decision, make a commitment, part with money, issue a further output, or represent a position to a third party on the basis of it. Reliance begins at the earliest of those acts, not at the moment the output is received.

D-25 · Source. A document, dataset, system, instrument, standard, contract, publication or person from which a professional takes a fact, a figure, a rule or an interpretation used in a material output.

D-26 · Verified. An item, figure, statement, extraction or machine output is verified when a named person who is a competent reviewer (D-04) for that item has applied to it, against evidence (D-11), at least one of the eight methods listed in `PCI-FND-STD-03-PR-01` — independent recomputation, source tracing, clause-to-summary comparison, sampling on a stated basis, reconciliation, boundary testing, sensitivity analysis, or named expert judgement recorded with its reasoning — and has recorded the method used, the source or population tested and, where a sample was used, its selection basis, the inputs used, the scope tested, the date, the result, and every difference found together with its resolution. Reading an output and finding it plausible is not verification. An item on which no such record exists is not verified, however carefully it was produced. **One deliberate credential-specific narrowing:** where the item is a figure produced by a financial model under PFL-AI, *named expert judgement* is not admissible — a modelled figure is reproducible, and an expert's opinion that it looks right is not a check on it — and *clause-to-summary comparison* is applied as *clause-to-output comparison*, to a model output rather than to a summary. Where a foundational obligation is being discharged, the eight-method list governs. PML-AI additionally uses *verification* in the engineering verification-and-validation sense; that is a different concept and is not this term.

D-27 · Working day. A day on which the adopting organisation ordinarily operates, in the location where the work is performed.

D-28 · Working record. The set of records that evidences how a material output was produced — its sources, data, assumptions, calculations, transformations, verifications, reviews, approvals and issue.

D-29 · Approved. A decision, document, figure or version is approved where the person holding authority for that decision under the applicable governance arrangement or recorded delegation of authority has given assent identifiably, recording the date, the version assented to, and the scope of the assent. Silence, absence of objection, unrecorded verbal assent, assent by a person outside their recorded authority, and assent recorded after the item was used are **not** approval.

D-30 · Current. A record, figure, extract, document or version is current where it is the latest version issued by the system or authority that owns it as at the deliverable's stated cut-off or, where the deliverable states none, as at its issue date — and where its version identifier and its extraction date and time are recorded on or with the deliverable. A record whose version cannot be identified is not current, whatever its age.

A note on the two terms added at D-29 and D-30. Drafting Manual §4 names *approved* and *current* among the terms that always require definition when they appear in an obligation. Both were used throughout this set and defined nowhere in it; only `PCL_AI_STANDARDS.md` carried a definition of either. The wording above is PCL-AI's, generalised so that it operates where a deliverable states no cut-off. Adding them states a test readers were already expected to apply; it imposes nothing new.

A note on roles. *Issuing professional*, *decision owner*, *competent reviewer*, *engagement lead*, *information owner* and *records owner* denote capacities, not necessarily different people. On a small engagement one individual may hold several of them, and these standards work in that case. What does not change is each standard's element 10: where a standard requires independence, holding two capacities does not create it, and the exception process in that standard's element 12 is the route.

PCI standard

PCI-FND-STD-01

Professional Accountability

1. Normative requirement. Before a material output is issued, the issuing professional must record their own acceptance of personal accountability for it, whether it was prepared by that professional, by another person, by software or by an AI system.

2. Purpose. This standard controls the risk that accountability for professional work dissolves — into a team, a tool, a vendor, a template or a process — at exactly the moment reliance is placed on it. Certification attaches to a person; if no person accepts the output, the credential guarantees nothing.

3. Scope. Governs every professional (D-19) performing PCI-certified work (D-18). Applies to every material output (D-16) and to the decisions to issue, recommend, approve or certify it. Applies on projects, programmes and transactions of any size, in any sector and under any delivery model. Applies to preparation, review, recommendation, approval and assurance alike: the professional who reviews and approves accepts accountability for the approval, and the professional who prepares accepts accountability for the preparation.

4. Defined terms. D-14 issuing professional · D-15 material · D-16 material output · D-18 PCI-certified work · D-19 professional · D-02 AI system · D-24 reliance · D-28 working record. No term is redefined in this standard.

5. Required actions. Record, in the working record and dated on or before the issue date, an acceptance of accountability naming one individual. Ensure that individual is able to state the basis of the output and to identify the verification record required by `PCI-FND-STD-03`. Identify, where parts of the output were prepared by others or by an AI system, which parts, and on whose verification the issuing professional relies.

6. Prohibited actions. Issuing a material output "as generated". Recording an acceptance of accountability on another individual's behalf. Attributing accountability for a material output to an AI system, a software supplier, a model, a tool configuration, a template, a team or an unnamed process. Issuing a material output the professional is not willing to be held accountable for.

7. Required evidence. An acceptance record for each material output, attributable to the accepting individual, dated on or before issue; where issue is delegated, the prior authorisation required by `PCI-FND-STD-01-PR-04`; the working record showing what the accepting individual relied on others for.

8. Responsible role. The issuing professional (D-14). Where several professionals contribute, each is accountable for their own contribution and one named individual is accountable for the output as issued.

9. Approval authority. The issuing professional approves the issue of the output. Only the decision owner (D-08) for the matter may direct that an output be issued over the issuing professional's refusal, and that direction must be recorded and is itself a matter for escalation under `PCI-FND-STD-11`.

10. Independence requirement. None for the acceptance itself — accountability is personal, and independence is not a component of it. Independence attaches to the verification the acceptance relies upon, and is required by `PCI-FND-STD-03` element 10.

11. Materiality or threshold. The obligation attaches to material outputs (D-16) as tested by D-15. Working papers, internal drafts marked as drafts, and exploratory analysis not offered for reliance are outside it. The adopting organisation (D-01) may set a lower threshold; it must not set a higher one.

12. Exception and waiver. No exception is permitted. Accountability for a material output cannot be waived, delegated away, disclaimed or transferred to a system or a supplier. A professional who is unwilling to accept accountability must not issue the output, and must escalate under `PCI-FND-STD-11`.

13. Escalation trigger. The professional is unable to accept accountability honestly — because the output cannot be verified, exceeds their competence, or is being issued under instruction they do not accept; or a material output is discovered to have been issued with no individual accountable for it.

14. AI application. An AI system may draft, calculate, analyse, summarise, classify, structure the working record and assemble the evidence an accepting professional reviews before accepting.

15. AI prohibition. An AI system must not be named as the accountable party for any material output, must not record an acceptance of accountability, and must not be represented to any recipient as the author of a professional judgement.

16. AI verification. Before accepting accountability for an output to which an AI system materially contributed, the accepting professional must confirm by **source tracing** that every material factual claim in the output is supported by evidence (D-11) identified in the working record, and by **named approval** that the verification required by `PCI-FND-STD-03` was performed and recorded.

17. External reference.

- **ISO/IEC 17024** — *Conformity assessment — General requirements for bodies operating certification of persons*. Issuing organisation: ISO/IEC. Subject: requirements for bodies that certify individuals. Edition checked: ISO/IEC 17024:2026, superseding the 2012 edition. Nature of authority: **category 3 — international voluntary standard** (register category: international standard). Verification date: 2026-08-03 (register EXT-022). Applicability limitation: addresses certification bodies, not individual credential holders; voluntary unless a regulator or contract adopts it; no requirement in this standard is sourced to it. Verify current requirements.
- **Recommendation of the Council on Artificial Intelligence** (the "OECD AI Principles"), OECD/LEGAL/0449. Issuing organisation: OECD. Subject: intergovernmental principles for trustworthy AI, including accountability. Edition checked: adopted 2019, revised May 2024. Nature of authority: **category 10 — illustrative practice** (register category: voluntary framework). Verification date: 2026-08-03 (register EXT-081). Applicability limitation: a Council Recommendation, **not legislation and not binding even on adherents**; named here to illustrate an accountability principle, relied on for nothing.
- **Code of Ethics and Professional Conduct**. Issuing organisation: Project Management Institute. Subject: honesty, responsibility, respect and fairness for delivery practitioners. Edition checked: not independently verified — no edition asserted. Nature of authority: **category 6 —**

ethical code (register category: professional guidance). Verification date: not independently verified (register EXT-063). Applicability limitation: binding only on those the Project Management Institute's own membership or credential terms bind; it is not regulatory authority and creates no obligation for a PCI professional who is not subject to it.

18. Jurisdictional caution. Statutory regimes on professional liability, delegation, signature, certification and limitation of personal responsibility differ by jurisdiction and by profession, and some reserve certain sign-offs to licence holders. Obtain local legal advice before relying on any delegation, limitation or exclusion of personal responsibility, and before signing anything a local regime treats as a reserved act.

19. Related PCI Standards. `PCI-FND-STD-03` (the verification the acceptance relies on) · `PCI-FND-STD-04` (who decides) · `PCI-FND-STD-10` (competence to accept) · `PCI-FND-STD-11` (what to do when acceptance is impossible) · `PCI-FND-STD-14` (what an AI system must never be permitted to do).

20. Related Body of Knowledge content. PCL-AI Domain 13 — AI for Project Controls and PM: Concepts, Tools and Practice. PML-AI KA 1.2 — the project leader's accountability; KA 1.4 — ethics and the responsible use of AI; Domain 14 — digital delivery, data and responsible AI. PFL-AI KA 1.3 — ethics, fiduciary awareness and responsible AI; Domain 16 — data, automation and responsible AI in finance.

21. Compliance test. Compliance is demonstrated when, for a sample of material outputs **selected by the reviewer and not by the professional**, every one of the following holds for every sampled item: (a) an acceptance record exists, dated on or before the output's issue date; (b) it names exactly one individual, and that individual is a natural person, not a team, system, vendor or role held by nobody; (c) the record is attributable to that individual rather than entered by a third party on their behalf; (d) asked without prior notice, that individual identifies the verification record required by `PCI-FND-STD-03` for the output and states which parts of it were prepared by others or by an AI system; and (e) where issue was delegated, a prior authorisation exists that names the output or class of output, the scope and the period, and is dated before issue. A sampled item fails if any one of (a) to (e) is absent. The standard is complied with for the period under review only if no sampled item fails.

22. Breach indicators. Outputs issued with no named accountable individual. Acceptance records entered in bulk, after issue, or by an administrator on others' behalf. A named individual who cannot state the basis of the output.

Correspondence attributing an error to "the model", "the system", "the tool" or "the process". Delegated issue with no prior authorisation. Acceptance records whose timestamps cluster at period end rather than at issue.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure where breached in assessment; ethics review; certification investigation; suspension; withdrawal. Each is subject to due process and a right of appeal, and PCI claims no consequence beyond these.

24. Examination application. Tested by scenario judgement (where accountability sits when AI-assisted work proves wrong), by evidence selection (which record establishes who is accountable) and by ethical dilemma (a professional directed to issue work they cannot accept). Never by recalling standard numbers.

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes `PCI-LAW-F-01`, withdrawn. See *Due-process record.*

Process requirements under PCI-FND-STD-01

`PCI-FND-STD-01-PR-01`. Each material output must have exactly one individual recorded as accountable for the output as issued, and that individual must be a natural person.

`PCI-FND-STD-01-PR-02`. A professional must not attribute accountability for a material output to an AI system, a software supplier, a model, a tool configuration, a template, a team or an unnamed process, whether in the output, in correspondence, in a review, in an investigation or in evidence.

`PCI-FND-STD-01-PR-03`. A professional who is unable to accept accountability for a material output must not issue it, and must escalate the reason under `PCI-FND-STD-11`.

`PCI-FND-STD-01-PR-04`. Where a material output is to be issued in a professional's name by another person or by an automated process, the professional must record their authorisation before the first such issue, naming the output or class of output, the scope, the period and the conditions on which the authorisation depends.

`PCI-FND-STD-01-PR-05`. Where an output is issued jointly, each contributing professional must record accountability for their own contribution, identified by section, figure or workstream.

PCI standard

`PCI-FND-STD-02`

Evidence Before Assertion

1. Normative requirement. A professional must not present a material factual claim, benchmark, calculation, contractual interpretation or reference to an external instrument unless evidence (D-11) supporting it is identified in the working record and is retrievable by a competent reviewer at the time of presentation.

2. Purpose. This standard controls the risk that assertions enter professional work on the strength of recollection, convention, plausibility or an AI system's fluency, and are then relied upon as though they had been established. An unevidenced claim is indistinguishable from an evidenced one to the reader; the distinction has to be made in the record.

3. Scope. Governs every professional performing PCI-certified work. Applies to every material factual claim, benchmark, calculation, contractual interpretation and external-instrument reference in any material output, in any medium, including presentations, dashboards, models, correspondence relied upon, and oral advice recorded and acted on. Applies on projects, programmes and transactions of any size. Applies to preparation, review, recommendation, approval and assurance: a reviewer who approves an unevidenced claim breaches this standard as surely as the preparer who wrote it.

4. Defined terms. D-11 evidence · D-04 competent reviewer · D-15 material · D-16 material output · D-25 source · D-28 working record. No term is redefined in this standard.

5. Required actions. Link each material claim in the working record to the specific evidence supporting it, identified by document, system, extraction date and location within the source. Check quotations, clause references, figures and attributions against the instrument itself before presenting them. Where no evidence exists, either remove the claim or present it as an assumption under `PCI-FND-STD-05`.

6. Prohibited actions. Presenting an assumption as a fact. Citing a document, clause, figure or authority the professional has not read in the source. Attaching a document that does not support the claim as though it did. Presenting a benchmark without its source, population, date and basis of comparability. Presenting an AI system's output as the evidence for the claim it makes.

7. Required evidence. The working record showing, for each material claim, the evidence relied on and where it sits; the dated check record required by `PCI-FND-STD-02-PR-02` for each external reference; retrievable copies of, or resolvable references to, the evidence itself.

8. Responsible role. The issuing professional (D-14) for claims in outputs they issue. The competent reviewer (D-04) for claims they approve.

9. Approval authority. The decision owner (D-08) for the matter may approve presenting a claim as an assumption where evidence does not exist; nobody may approve presenting an unevidenced claim as a fact.

10. Independence requirement. None for the evidencing itself, which the preparer performs. Where the claim is a material calculation or an automated conclusion, the independent verification in `PCI-FND-STD-03` applies in addition.

11. Materiality or threshold. Attaches to material claims (D-15). A claim is material where its falsity would or could change a decision, a reported figure beyond the adopting organisation's published tolerance, a contractual or regulatory position, a party's reliance, or the safety of a person. The adopting organisation may publish a lower threshold. On a small engagement the working record may be a single referenced worksheet; the test in element 21 does not require any particular tool.

12. Exception and waiver. A time-limited exception is permitted only where a claim must be presented before its evidence can be retrieved and delay would itself create a risk to safety or an ongoing financial loss. The decision owner approves it; the justification, the evidence expected and the date by which it will be produced are recorded; it lasts no longer than five working days; the compensating control is that the claim is marked in the output as unevidenced at the date of issue; and the exception is reported to the engagement lead. An exception must not be used for a claim that will not later be evidenced.

13. Escalation trigger. Discovery that a material claim already relied upon has no supporting evidence; instruction to present an assumption as a fact; discovery that a cited clause, figure or authority does not exist or does not say what was attributed to it.

14. AI application. An AI system may locate candidate sources, extract citations for checking, draft the evidence index, and flag claims in a draft that carry no linked evidence.

15. AI prohibition. An AI system must not be the source of a factual claim, must not be cited as authority for one, and must not be represented as having confirmed that evidence exists.

16. AI verification. Every citation, quotation, figure, clause reference and attribution that originated with an AI system must be checked by **source tracing** — opening the cited source itself and confirming the cited content exists at the stated location and says what is attributed to it — and the check recorded with its date. Re-asking any AI system whether the citation is correct does not satisfy this element.

17. External reference.

- **Total Cost Management (TCM) Framework**. Issuing organisation: AACE International. Subject: an integrated process for cost and schedule management, including the documented basis of estimates and forecasts. Edition checked: not independently verified — no edition asserted. Nature of authority: **category 5 — professional framework** (register category: professional guidance). Verification date: not independently verified (register EXT-064). Applicability limitation: professional guidance from a membership body; it is not regulatory authority, binds nobody by its own force, and no requirement in this standard is sourced to it.
- **Financial Modelling Code**. Issuing organisation: ICAEW. Subject: principles for building, documenting and reviewing financial models. Edition checked: current at the register's verification date; no edition asserted. Nature of authority: **category 5 — professional framework** (register category: professional guidance). Verification date: 2026-08-03 (register EXT-125). Applicability limitation: principles-based guidance from a professional body; not a compliance standard, not certifiable, and binding only where a body, regulator or engagement adopts it.

18. Jurisdictional caution. What counts as evidence, what must be disclosed and what may be withheld in a dispute, an audit or a regulatory inquiry are questions of the governing law and of privilege, and they differ sharply between jurisdictions. Obtain local legal advice before withholding, redacting or restructuring the evidence behind a material claim, and before asserting privilege over it.

19. Related PCI Standards. `PCI-FND-STD-03` (verification of calculations) · `PCI-FND-STD-05` (what to do when there is no evidence — state it as an assumption) · `PCI-FND-STD-06` (whether the source is the right version) · `PCI-FND-STD-07` (tracing the figure back through its data) · `PCI-FND-STD-14` (AI-produced citations).

20. Related Body of Knowledge content. PCL-AI Domain 4 — performance management, variance analysis and reporting; Domain 13. PML-AI KA 9.4 — data quality and AI-output quality; KA 11.2 — executive communication and reporting. PFL-AI KA 6.4 — model checks, model audit and AI-assisted modelling controls; Domain 16.

21. Compliance test. The reviewer selects material claims from issued outputs, at their own choice and without notice to the professional. For each sampled claim: (a) the working record identifies specific evidence by document, system, extraction date and location; (b) the reviewer retrieves that evidence without assistance from the professional; (c) **reading only that evidence and no explanation from the author, the reviewer reaches the same claim — the same magnitude, the same direction and the same qualification**; and (d) where the claim quotes or attributes anything to an external instrument, the quoted content is found in that instrument at the stated location. A sampled claim fails if the evidence cannot be retrieved, if it supports a different magnitude, direction or qualification, if it supports the claim only with an explanation the record does not contain, or if a quoted clause, figure or attribution cannot be located. The standard is complied with for the period under review only if no sampled claim fails.

22. Breach indicators. Claims traced to "industry standard", "typical", "as agreed" or "per the model" with no source. Benchmarks with no population or date. Citations to clauses that do not exist or whose numbering belongs to a different edition. Evidence folders whose contents do not match the claims that reference them. Round figures repeated across outputs with no origin. A working record assembled after the output was issued.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by evidence selection (which of four records actually supports the stated claim), by calculation review (a figure presented with a source that does not produce it) and by AI-verification case (a fluent paragraph containing a fabricated citation).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: new standard; carries forward part of the withdrawn `PCI-LAW-F-05`.

Process requirements under PCI-FND-STD-02

`PCI-FND-STD-02-PR-01`**.** Each material claim must be linked in the working record to the specific evidence supporting it, identified by document or system, extraction date, and location within that source.

`PCI-FND-STD-02-PR-02`**.** A quotation, clause reference, figure, edition, effective date or attribution to an external instrument must be checked against that instrument itself before presentation, and the check recorded with its date.

`PCI-FND-STD-02-PR-03`**.** Where evidence for a material claim does not exist, the professional must either remove the claim from the output or present it expressly as an assumption under `PCI-FND-STD-05`.

PCI-FND-STD-02-PR-04. A benchmark must be presented with its source, the population it was drawn from, its date and the basis on which the professional considers it comparable, or must not be presented.

PCI-FND-STD-02-PR-05. A contractual interpretation presented as a material claim must identify the executed contract and the provision relied on, and must state whether it is the professional's own reading or advice obtained under PCI-FND-STD-10-PR-02.

PCI standard

PCI-FND-STD-03

Independent Verification

1. **Normative requirement.** A material calculation, model output or automated conclusion must be verified (D-26) by a person independent (D-12) of its preparation before any person relies on it.

2. **Purpose.** This standard controls the risk that an error survives to the point of reliance because the only person who examined the work is the person who produced it — the case in which self-review blindness, a copied formula, an inherited assumption or an AI system's confident error is invisible from inside.

3. **Scope.** Governs every professional performing PCI-certified work. Applies to material calculations, model outputs and automated conclusions of every kind — estimates, forecasts, schedules, earned-value figures, cash-flow projections, risk quantifications, valuations, classifications and any figure produced by a script, a model or an AI system — on projects, programmes and transactions of any size. Applies to preparation (the preparer must obtain verification), review (the verifier must perform a named method) and approval (the decision owner must not rely before verification is recorded). Does not apply to exploratory analysis that nobody relies on.

4. **Defined terms.** D-26 verified · D-12 independent · D-04 competent reviewer · D-15 material · D-24 reliance · D-08 decision owner · D-01 adopting organisation. No term is redefined in this standard.

5. **Required actions.** Obtain verification before reliance. Record the verifier's name, the method used from the list in PCI-FND-STD-03-PR-01, the scope tested, the inputs used, the date and the result. Where verification fails, record the failure and withhold the item from reliance until a later verification succeeds.

6. **Prohibited actions.** Relying on an unverified material calculation, model output or automated conclusion. Recording as verification a re-run of the same tool, model or AI system on the same inputs. Recording as verification a review by the preparer, by the person who configured the producing tool, or

by a person with a conflict in the outcome. Recording a verification that was not performed. Discarding a failed verification and recording only a later successful one without the failure.

7. Required evidence. The verification record for each material item, dated on or before first reliance; the working papers of the verification itself, sufficient for the method to be re-performed; where an exception under element 12 was used, the waiver record and the disclosure made to recipients.

8. Responsible role. The preparer is responsible for obtaining verification before offering the item for reliance. The competent reviewer (D-04) named in the record is responsible for performing the method they record. The decision owner (D-08) is responsible for not relying before the record exists.

9. Approval authority. The decision owner for the matter may approve a waiver under element 12. No role may approve reliance on an item recorded as having failed verification.

10. Independence requirement. The verifier must be independent of preparation as defined in D-12: they must not have prepared the item, must not have selected, built or configured the tool, model or AI system that produced it, must hold no conflict in its outcome, and must not be appraised or remunerated on the outcome the item supports. Independence of line reporting is not required; independence of appraisal on the outcome is.

11. Materiality or threshold. Attaches to material items (D-15). The adopting organisation sets the quantified tolerance below which a calculation is not material for its own reporting, and PCI sets none — an invented percentage would be wrong on both a EUR 200,000 refurbishment and a EUR 20 billion programme. Where the adopting organisation publishes no tolerance, the decision owner records the D-15 limb relied on. Irrespective of any tolerance, an item is material where it supports an irreversible commitment, a payment, an external report or a decision bearing on the safety of a person.

12. Exception and waiver. A waiver is permitted **only** where the adopting organisation contains no person meeting D-12 and no external reviewer can be engaged in the time available. The decision owner approves it. The justification must record why no independent person is available and what was attempted. It lasts for one named output or for a period not exceeding three months, whichever ends first, and must be re-approved rather than rolled forward. The compensating controls are mandatory and cumulative: (a) the preparer applies a **second, different** method from the `-PR-01` list and records both; (b) the limitation is stated in the issued output, in the same place as the conclusion; and (c) the waiver is reported to the engagement lead and recorded in a waiver log. **A waiver is not available where the item supports an irreversible commitment, a payment to a third party, an external regulatory or financial report, or a decision bearing on the safety of a person** — in each of those four cases the consequence of an error is either unrecoverable or borne by someone outside the engagement, which is precisely when a second pair of eyes is worth most.

One narrow allowance exists, and it is not a waiver. Where an item cannot be verified in the time available and acting on it is unavoidable to protect the safety of a person, the professional may rely on it **to the extent necessary to protect that person**, and must then do all of the following: record the reliance, the necessity, and what was attempted to obtain verification, within one working day; state the limitation to every recipient of the item; obtain and record the verification as soon as it can be obtained; and communicate any resulting difference under `PCI-FND-STD-15`. The decision owner must record their position on the reliance within five working days. The item must not be relied upon for any purpose beyond protecting that person until the verification is recorded. **This allowance does not extend to commercial urgency, a deadline, a reporting cycle or a funding date**, and the obligation to obtain the verification is not discharged by the emergency, only deferred by it.

13. Escalation trigger. A material item is discovered to have been relied upon without verification; a verification failure is overruled without a decision under `PCI-FND-STD-13`; a verifier reports pressure to record a verification they did not perform; or waivers under element 12 recur for the same class of item, which indicates a governance defect rather than a one-off constraint.

14. AI application. An AI system may perform a cross-check, recompute independently in a different engine, reconcile two datasets, generate boundary and stress cases, flag anomalies and outliers, and draft the verification record for the human verifier to confirm.

15. AI prohibition. An AI system must not be recorded as the verifier, must not determine that verification is unnecessary, must not be the sole check on another AI system's output, and must not be represented to any recipient as having independently verified anything.

16. AI verification. Where an AI system produced the item, the human verifier must apply at least one of **independent recomputation** (reproducing the figure by a method that does not use the same system), **source tracing** (following each input to its origin), **reconciliation** (agreeing the output to an independent record) or **boundary testing** (running inputs at the limits of the stated range and confirming the behaviour is explicable), and must record which was used and what it showed. "Reviewed the AI output" is not a method and does not satisfy this element.

> **17. External reference.**
>
> - **Financial Modelling Code**. Issuing organisation: ICAEW. Subject: model construction, documentation and review discipline. Edition checked: current at the register's verification date; no edition asserted.

Nature of authority: **category 5 — professional framework** (register category: professional guidance). Verification date: 2026-08-03 (register EXT-125). Applicability limitation: not certifiable, not a compliance standard, binding only where adopted; no requirement here is sourced to it.

- **The FAST Standard**. Issuing organisation: FAST Standard Organisation. Subject: a structural convention for building transparent, reviewable financial models. Edition checked: current at the register's verification date; no edition asserted. Nature of authority: **category 7 — industry guidance** (register category: voluntary framework). Verification date: 2026-08-03 (register EXT-126). Applicability limitation: adopted voluntarily by modellers and firms; it imposes no obligation of its own and PCI imports none of it.
- **SR 11-7 / OCC 2011-12** — *Supervisory Guidance on Model Risk Management.* Issuing organisation: US Federal Reserve Board and Office of the Comptroller of the Currency. Subject: model development, implementation, use and independent validation in supervised institutions. Edition checked: not independently verified — no edition asserted. Nature of authority: **category 10 — illustrative practice** (register category: illustrative reference; actual status: supervisory guidance). Verification date: not independently verified (register EXT-102). Applicability limitation: supervisory guidance with **no legal force of its own**, addressed to institutions supervised by those agencies in the United States; it does not apply to a project, a sponsor or an adviser by its own force, and is named here only to illustrate the independent-validation discipline.

18. Jurisdictional caution. Sector regulators in financial services, public procurement, safety- critical engineering and healthcare impose their own validation, independence and human-oversight obligations, and some reserve validation of certain models to licensed or approved persons. Obtain local regulatory advice where a verified output feeds a regulated activity, and treat any such obligation as prevailing over this standard under Charter §4.

19. Related PCI Standards. `PCI-FND-STD-01` (accountability the verification supports) · `PCI-FND-STD-02` (evidence for the inputs) · `PCI-FND-STD-04` (the decision that follows verification) · `PCI-FND-STD-07` (the lineage the verifier traces) · `PCI-FND-STD-13` (a verification failure must not be overridden silently) · `PCI-FND-STD-14` (the boundary of what an AI system may do). **Boundary with** `PCI-FND-STD-14`**:** this standard governs *whether an item has been checked*; `PCI-FND-STD-14` governs *what an AI system must never be permitted or represented to do*. They do not overlap.

20. Related Body of Knowledge content. PCL-AI Domain 6 — earned value management and forecasting; Domain 13. PML-AI KA 9.4; Domain 14, especially KA 14.3 — AI use cases, prompting and verification. PFL-AI KA 6.4 — model checks, model audit and AI-assisted modelling controls; KA 13.2 — model audit; Domain 16, especially KA 16.3 — explainability, validation, bias and model risk.

21. Compliance test. The reviewer selects material calculations, model outputs and automated conclusions from issued work, at their own choice. For each sampled item, all of the following hold: (a) a verification record exists, dated on or before the date of first reliance (D-24); (b) it names the verifier, and the reviewer confirms from the working record that the verifier neither prepared the item nor configured the producing tool, and from the engagement's conflict declarations that the verifier held no conflict in the outcome; (c) it names one of the eight methods in `-PR-01` and states the scope tested, the inputs used and the result; (d) **the reviewer re-performs the named method on the recorded inputs and obtains the recorded result within the tolerance the record states**; and (e) where the record shows a failed verification, no reliance is evidenced before a later successful verification. A sampled item fails if any one of (a) to (e) is absent, or if re-performance does not reproduce the recorded result and the record does not explain the difference. Where a waiver under element 12 was used, the sampled item is tested instead against the three cumulative compensating controls, all of which must be present.

22. Breach indicators. Verification records naming the preparer. Verification dated after the output was issued. Records naming a method but no scope, inputs or result. Identical verification wording repeated across unrelated items. Verifications recorded in a batch at period end. Model versions changed after verification with no re-verification. Waivers rolled forward for the same item across periods.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by calculation review (a model output with a verification record that cannot reproduce it), by evidence selection (which of several records constitutes verification) and by AI-verification case (an output "verified" by re-prompting the same system).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: carries forward the verification substance of the withdrawn `PCI-LAW-`

F-02. **Stage 9 amendment:** the second red-team pass found that the standard had no compliant route in the one case that will certainly arise — an unverified item that must be acted on to protect a person — and a standard with no route in that case is a standard that gets broken and teaches contempt for the rest; element 12 now carries a bounded allowance with recording, disclosure, deferred verification and the decision owner's after-the-fact position, and states why the four no-waiver cases are what they are.

Process requirements under PCI-FND-STD-03

PCI-FND-STD-03-PR-01**.** The verification record must name the method used, and the method must be one of: **independent recomputation · source tracing · reconciliation · clause-to-summary comparison · sampling on a stated basis · boundary testing · sensitivity analysis · named expert judgement.** The record must state the scope tested, the inputs used, the date and the result.

PCI-FND-STD-03-PR-02**.** The verifier must not be the preparer of the item, and must not have selected, built or configured the tool, model or AI system that produced it.

PCI-FND-STD-03-PR-03**.** Re-running the same tool, model or AI system on the same inputs must not be recorded as verification, and asking any AI system to confirm its own or another AI system's output must not be recorded as verification.

PCI-FND-STD-03-PR-04**.** A verification that fails must be recorded together with its failure, and the item must not be relied upon until a later verification is recorded as successful.

PCI-FND-STD-03-PR-05**.** Where the item changes after verification — through a revised input, a changed assumption, a new model version or a corrected formula — the verification must be repeated in the scope affected before further reliance, and the repetition recorded.

PCI standard

PCI-FND-STD-04

Human Decision Authority

1. Normative requirement. A material professional decision must be recorded as taken by a named human decision owner (D-08) who holds authority for it under the applicable governance arrangement and is a competent reviewer (D-04) for its subject matter.

2. Purpose. This standard controls the risk that automation converts a recommendation pipeline into an unexamined decision pipeline — that outputs take effect because nobody stopped them, rather than because an accountable person, competent in the subject, decided that they take effect.

3. Scope. Governs every professional performing PCI-certified work. Applies to material decisions, approvals, gate passages, releases, certifications, authorisations, payments and baseline changes, including those embedded in automated workflows, scripts, rules engines and agentic tools, on projects, programmes and transactions of any size. Applies to the design of decision workflows as well as to individual decisions, and to preparation, recommendation, approval and assurance of each.

4. Defined terms. D-08 decision owner · D-04 competent reviewer · D-15 material · D-02 AI system · D-24 reliance · D-01 adopting organisation. No term is redefined in this standard.

5. Required actions. Identify, for each material decision, the individual holding authority for it under the governance arrangement. Confirm that individual is a competent reviewer for its subject matter. Record the decision, its date, the decision owner, the material inputs considered, and any AI contribution. Insert an explicit human decision point ahead of any automated step that could otherwise give effect to a material recommendation.

6. Prohibited actions. Configuring a system to approve, certify, release, pay or commit on an automated or AI-generated output without a recorded human decision. Recording an adoption that did not involve an actual consideration of the matter. Ratifying an automated action after it has taken effect and presenting the ratification as the decision. Assigning a material decision to an individual who is not a competent reviewer for its subject matter. Removing or bypassing a human decision point to save time.

7. Required evidence. Decision records naming the human decision owner, dated, stating the decision, the material inputs considered and any AI contribution; workflow documentation identifying each human decision point in any automated chain; the record of the periodic workflow test required by `PCI-FND-STD-04-PR-05`.

8. Responsible role. The decision owner (D-08) for the decision. The engagement lead (D-09) for ensuring that each material decision in the engagement has an identified decision owner. The professional who designs or configures an automated workflow is responsible for the decision points within it.

9. Approval authority. The decision owner approves, rejects, amends or defers. Where the decision exceeds their delegated authority, the next authority level under the governance arrangement decides, and the escalation is recorded.

10. Independence requirement. The decision owner need not be independent of preparation — deciding on one's own team's work is ordinary governance. The decision owner must hold no conflict (D-05) in the outcome;

where they do, `PCI-FND-STD-08-PR-01` applies and the decision passes to an independent decision owner.

11. Materiality or threshold. Attaches to material decisions (D-15). The adopting organisation's delegated-authority schedule sets the monetary and risk thresholds at which each level decides, and PCI sets none. Irrespective of that schedule, a decision is material where it commits funds irreversibly, alters a baseline, releases a payment, issues an external report, or bears on the safety of a person. On a small engagement the schedule may be a single recorded line stating who decides what; the standard does not require a governance framework, only an identified human decision owner.

12. Exception and waiver. No exception is permitted to the requirement that a material decision be taken by a named human decision owner. A time-limited exception to the *identity* of the decision owner is permitted where the named owner is unavailable and delay would create a risk to safety or an ongoing financial loss: a deputy named in advance in the governance arrangement decides, the substitution is recorded at the time, and the named owner reviews and records their position on the decision within five working days. There is no exception permitting an automated step to take effect on a material matter with no human decision at all.

13. Escalation trigger. Discovery that an automated or AI-generated output took effect on a material matter without a recorded human decision; instruction to remove a human decision point; a decision owner who declines to consider the matter but signs; discovery that decisions are being recorded by someone other than the decision owner.

14. AI application. An AI system may rank options, model consequences, draft the recommendation, pre-populate the approval package, flag exceptions, identify the correct decision owner and route the matter to them.

15. AI prohibition. An AI system must not decide, approve, certify, sign, release, authorise, waive or commit anything material, and must not close the path from recommendation to effect without an accountable human act in between.

16. AI verification. Before adopting an AI-generated recommendation on a material matter, the decision owner must record at least one **named-approval** entry identifying the verification performed under `PCI-FND-STD-03`, and must record one factor they considered that is not stated in the recommendation itself — a **boundary test** of the recommendation against a constraint, a stakeholder position, a contractual term or a risk the recommendation does not address. This is the check that distinguishes a decision from a countersignature.

17. External reference.

- **Regulation (EU) 2024/1689** laying down harmonised rules on artificial intelligence (the "AI Act"). Issuing organisation: European Union. Subject: harmonised rules on AI systems placed on the EU market or used in the EU, including human-oversight duties for certain systems. Edition checked: in force since 1 August 2024; phased application — prohibitions from 2 February 2025, general-purpose AI obligations from 2 August 2025, general application from 2 August 2026, remaining rules by 2 August 2027. Nature of authority: **category 1 — applicable legislation or regulation, within the European Union only** (register category: illustrative reference, because the corpus relies on it for nothing). Verification date: 2026-08-03 (register EXT-100). Applicability limitation: **binding legislation only within the European Union and only on actors within its scope**; it imposes nothing outside the EU, PCI sources no requirement to it, and no clause, article or annex is asserted. Verify current requirements.
- **ISO/IEC 38507** — *Information technology — Governance of IT — Governance implications of the use of artificial intelligence by organizations.* Issuing organisation: ISO/IEC. Subject: what a governing body needs to consider when its organisation uses AI. Edition checked: ISO/IEC 38507:2022. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-037). Applicability limitation: addressed to governing bodies rather than practitioners; guidance, not a certifiable requirements standard; voluntary unless a regulator or contract adopts it.
- **ISO/IEC 42001** — *Information technology — Artificial intelligence — Management system.* Issuing organisation: ISO/IEC. Subject: requirements for an AI management system. Edition checked: ISO/IEC 42001:2023, first edition. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-021). Applicability limitation: a certifiable requirements standard, but voluntary unless adopted by regulation or contract; certification of an organisation's management system is not evidence that any individual decision complied with this standard.

18. Jurisdictional caution. Several jurisdictions and sectors regulate automated decision-making about individuals, including rights to human intervention, explanation or review, and some regulate automated trading, credit and safety decisions specifically. Obtain local legal advice before deploying any automated decision flow that affects people, and before relying on an automated decision in a regulated activity.

19. Related PCI Standards. `PCI-FND-STD-01` (accountability for the output the decision releases) · `PCI-FND-STD-03` (the verification the decision relies on) · `PCI-FND-STD-08` (a conflicted decision owner must not decide) · `PCI-FND-STD-10` (competence to decide) · `PCI-FND-STD-13` (a decision to override a control) · `PCI-FND-STD-14` (what an AI system must never be permitted to do). **Boundary with `PCI-FND-STD-14`:** this standard requires that a named, authorised, competent human owns each material decision; `PCI-FND-STD-14` prohibits an AI system being permitted or represented to hold a role reserved to a person. A workflow can satisfy one and breach the other.

20. Related Body of Knowledge content. PCL-AI Domain 13. PML-AI KA 3.2 — decision authorities and thresholds; KA 1.4; Domain 14, especially KA 14.4 — explainability, bias and human accountability. PFL-AI Domain 16, especially KA 16.4 — privacy, cybersecurity, human approval and AI governance.

21. Compliance test. Compliance is demonstrated when all four of the following hold. (a) **Record test:** for a sample of material decisions selected by the reviewer, each has a decision record naming one individual, dated, stating the decision and the material inputs considered, and that individual appears in the governance arrangement as holding authority at that threshold on that date. (b) **Competence test:** for each sampled decision, the named individual satisfies D-04 for its subject matter, evidenced by the record the adopting organisation holds. (c) **Walk-through test:** in a test instance of each automated workflow that carries material recommendations, the reviewer attempts to record a rejection and a deferral; both are accepted by the workflow and both appear in the decision log. (d) **Substance test:** for each sampled decision the record shows either a recorded rejection, amendment, deferral or condition, or a recorded factor considered that does not appear in the recommendation itself. A sampled decision fails if any of (a), (b) or (d) is absent; a workflow fails if (c) cannot be completed. The standard is complied with for the period under review only if no sampled decision and no workflow fails.

22. Breach indicators. Approval timestamps within seconds of recommendation generation, in volume. Decision logs containing no rejection, amendment, deferral or condition across a whole period. Approvals recorded under a generic or shared account. Automated releases with no preceding decision entry. A decision owner who cannot state the matter they approved. Workflow configuration in which the rejection path is absent or non-functional. Deputies deciding routinely rather than in the recorded absence of the named owner.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review;

certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by scenario judgement (where the human decision point must sit in an automated controls, delivery or finance workflow), by escalation decision (what to do on discovering an auto-approval) and by ethical dilemma (pressure to remove a decision point for throughput).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes PCI-LAW-F-03, withdrawn.

Process requirements under PCI-FND-STD-04

PCI-FND-STD-04-PR-01**.** An automated or AI-generated recommendation must not take effect on a material matter until the decision owner has recorded their adoption of it.

PCI-FND-STD-04-PR-02**.** Before an automated workflow that could give effect to a material recommendation enters use, an explicit human decision point must be inserted ahead of the step that gives effect, and the workflow documentation must identify it.

PCI-FND-STD-04-PR-03**.** The workflow must permit the decision owner to reject, amend and defer, and must record each of those outcomes; a workflow offering only approval must not be used for material matters.

PCI-FND-STD-04-PR-04**.** The decision record must state the decision, its date, the decision owner, the material inputs considered and, where an AI system contributed, that fact and what it contributed.

PCI-FND-STD-04-PR-05**.** Each automated workflow carrying material recommendations must be tested at an interval the adopting organisation states, and at least once before it enters use, to confirm that rejection and deferral are exercisable and recorded; the test and its result must be retained.

PCI standard

PCI-FND-STD-05

Transparent Assumptions

1. Normative requirement. A professional must not issue a forecast, model, appraisal or recommendation unless the document that states its conclusion also states, with equal prominence, the material assumptions on which that conclusion depends.

2. Purpose. This standard controls the risk that a conclusion travels further than the assumptions that produced it — that a range becomes a number, a number becomes a commitment, and the conditions on which it all rested stay behind in a working file nobody opens.

3. Scope. Governs every professional performing PCI-certified work. Applies to every forecast, model output, appraisal, valuation, estimate, business case and recommendation offered for reliance, on projects, programmes and transactions of any size, in internal and external use alike, including dashboards, slide material and AI-generated narrative. Applies to preparation (state them), review (test that they are stated and complete), recommendation and approval (do not approve a conclusion whose assumptions are not stated).

4. Defined terms. D-15 material · D-16 material output · D-11 evidence · D-24 reliance · D-08 decision owner · D-01 adopting organisation. No term is redefined in this standard.

5. Required actions. Identify which assumptions are material by the D-15 test. State them where the conclusion is stated. State each material limitation, each material dependency, and the sensitivity of the conclusion to each material assumption. Where a single figure is presented, state the range or confidence basis from which it was selected.

6. Prohibited actions. Presenting a target, an aspiration or a negotiating position as a forecast. Confining material assumptions to an appendix, a footnote, a linked file or a separate document. Presenting a list of assumptions so undifferentiated that the material ones cannot be identified from it. Presenting a single-point figure with no stated range or confidence basis. Omitting an assumption because stating it would weaken the case. Restating an assumption as a fact in a later document.

7. Required evidence. The issued document itself, showing the assumptions alongside the conclusion; the assumption log recording each material assumption, its basis, its owner and its review date; the sensitivity analysis supporting the statement required by `PCI-FND-STD-05-PR-02`; the dependency list.

8. Responsible role. The issuing professional (D-14) for the document. The decision owner (D-08) for the matter is responsible for not relying on a conclusion whose assumptions are not stated.

9. Approval authority. The decision owner may approve a conclusion whose assumptions are stated and whose sensitivities are unfavourable; no role may approve the omission of a material assumption from the document that carries the conclusion.

10. Independence requirement. None for stating the assumptions, which the preparer does. Independence is required for the sensitivity analysis where the conclusion supports an irreversible commitment, a payment, an external report or a decision bearing on the safety of a person, in which case PCI-FND-STD-03 applies to the sensitivity computation as it does to any other material calculation.

11. Materiality or threshold. An assumption is material where a change in it, within the range the professional considers credible and records, would change the conclusion, its direction or its recommendation — or where it meets any other limb of D-15. This test scales: on a small refurbishment two or three assumptions will meet it; on a megaproject the same test may identify twenty, and the sensitivity statement in -PR-02 bounds the work by requiring an effect statement only for those that meet it.

12. Exception and waiver. A time-limited exception is permitted where a conclusion must be issued before a sensitivity analysis can be completed and delay would create a risk to safety or an ongoing financial loss. The decision owner approves it; the justification and the date the analysis will be delivered are recorded; it lasts no longer than ten working days; the compensating control is that the document states, where the conclusion is stated, that sensitivities have not yet been tested and the conclusion must not be relied upon for an irreversible commitment until they are; and the exception is reported to the engagement lead. **No exception is permitted** to stating the material assumptions themselves.

13. Escalation trigger. Instruction to remove, soften or relocate a material assumption; discovery that a conclusion already relied upon rested on an assumption that was never stated; discovery that an assumption has failed and the conclusion has not been revisited under PCI-FND-STD-15.

14. AI application. An AI system may extract candidate assumptions from a model, generate scenarios and stress cases, compute sensitivities, draft the assumption register and flag conclusions whose stated assumptions do not reconcile with the model's inputs.

15. AI prohibition. An AI system must not decide which assumptions are material, must not decide what is disclosed and what is withheld, and must not approve a forecast, appraisal or recommendation for issue.

16. AI verification. Where an AI system generated the assumption list or the sensitivity statement, the professional must apply **sensitivity analysis** in person to at least each assumption the AI system did *not* identify as material, confirming by recomputation that changing it within the credible range does not change the conclusion — and must record the result. This tests the omission, which is where AI-generated assumption lists fail.

> **17. External reference.**
>
> - **Total Cost Management (TCM) Framework**. Issuing organisation: AACE International. Subject: the documented basis of estimates and

forecasts. Edition checked: not independently verified — no edition asserted. Nature of authority: **category 5 — professional framework**. Verification date: not independently verified (register EXT-064). Applicability limitation: professional guidance from a membership body, binding by its own force on nobody; no requirement here is sourced to it.

- **Financial Modelling Code**. Issuing organisation: ICAEW. Subject: documenting model assumptions and their sensitivities. Edition checked: current at the register's verification date; no edition asserted. Nature of authority: **category 5 — professional framework**. Verification date: 2026-08-03 (register EXT-125). Applicability limitation: not certifiable, not a compliance standard, binding only where adopted.
- **ISO 31000** — *Risk management — Guidelines*. Issuing organisation: ISO. Subject: principles and guidelines for managing risk, including uncertainty in decision-making. Edition checked: ISO 31000:2018, second edition; reviewed and confirmed 2023. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-020). Applicability limitation: **guidance, not a certifiable requirements standard** — ISO states so expressly; voluntary unless a regulator or contract adopts it.

18. Jurisdictional caution. Securities, prospectus, public-procurement and financial-promotion regimes attach specific liability to forward-looking statements and to the adequacy of the warnings that accompany them, and some require prescribed cautionary wording. Obtain local legal advice before issuing a forecast into a regulated market, a public tender or an investor communication.

19. Related PCI Standards. `PCI-FND-STD-02` (an unevidenced claim becomes a stated assumption, not a fact) · `PCI-FND-STD-03` (verification of the sensitivity computation) · `PCI-FND-STD-06` (assumptions drawn from sources) · `PCI-FND-STD-11` (escalating a misleading presentation) · `PCI-FND-STD-15` (a failed assumption that invalidates issued work).

20. Related Body of Knowledge content. PCL-AI Domain 6 — earned value management and forecasting; Domain 4 — performance management, variance analysis and reporting; Domain 13. PML-AI KA 2.4 — kill criteria and honest gates; KA 11.2 — executive communication and reporting. PFL-AI KA 16.1 — forecast automation; Domain 16.

21. Compliance test. For a sample of issued forecasts, appraisals, models and recommendations selected by the reviewer: (a) the document stating the conclusion also states the assumptions, in the same document and not by reference to another; (b) **reading only the assumption statement, the**

reviewer lists the assumptions whose failure would change the conclusion, and that list matches the set for which `-PR-02` **sensitivities are stated** — a mismatch in either direction is a failure, because it shows either an unstated material assumption or a sensitivity statement that does not describe the assumptions presented; (c) each stated sensitivity expresses the effect on the conclusion of a stated change in the assumption, in the units of the conclusion; (d) each material dependency names the external event, decision, approval or third-party act relied on; and (e) where the conclusion is a single figure, the range or confidence basis is stated. A sampled document fails if any of (a) to (e) is absent or if the test in (b) produces a mismatch. The standard is complied with for the period under review only if no sampled document fails.

22. Breach indicators. Assumption sections identical across unrelated documents. A hundred assumptions listed with no indication of which matter. Sensitivities expressed as percentages of an input rather than as an effect on the conclusion. Forecasts that equal the target to the pound. Single-point figures throughout with no range anywhere. Assumptions appearing only in an appendix or a linked model. Conclusions repeated in later documents with the assumptions dropped.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by scenario judgement (a forecast that matches the target exactly), by calculation review (a sensitivity statement that the model does not produce) and by ethical dilemma (instruction to move the assumptions to an appendix before the board pack goes out).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: carries forward part of the withdrawn `PCI-LAW-F-07`.

Process requirements under PCI-FND-STD-05

`PCI-FND-STD-05-PR-01`. The document stating the conclusion must state each material limitation of the method, the data and the scope on which the conclusion rests.

`PCI-FND-STD-05-PR-02`. The document must state, for each material assumption, the effect on the conclusion of a stated change in that assumption, expressed in the units of the conclusion.

`PCI-FND-STD-05-PR-03`. The document must state each material dependency — the external event, decision, approval or third-party act that the conclusion assumes will occur — and by when it is assumed to occur.

PCI-FND-STD-05-PR-04. A single-point figure must not be presented as a forecast unless the document also states the range or the confidence basis on which that point was selected.

PCI-FND-STD-05-PR-05. Material assumptions must be identified as material within the assumption statement, and must not be presented in a manner that prevents a reader from distinguishing them from immaterial ones.

PCI-FND-STD-05-PR-06. Where a conclusion is repeated, summarised or carried into a later document, the material assumptions must be carried with it.

PCI standard

PCI-FND-STD-06

Source and Version Integrity

1. Normative requirement. A professional must not rely on a source (D-25) for a material purpose unless the working record contains a check, dated on or before the date of reliance, confirming that the source is the version in force for the matter to which it is applied.

2. Purpose. This standard controls the risk that work is performed correctly against the wrong instrument — a superseded standard, a previous contract revision, an unsigned draft, a stale rate table, a clause number that moved between editions, or a source that never existed at all.

3. Scope. Governs every professional performing PCI-certified work. Applies to every source relied on for a material purpose: external standards, contract documents and their amendments, rate and price tables, regulatory instruments, drawings and specifications, models and their versions, datasets, and internal procedures. Applies on projects, programmes and transactions of any size. Applies to preparation, review, recommendation, approval and assurance.

4. Defined terms. D-25 source · D-15 material · D-24 reliance · D-28 working record · D-11 evidence · D-01 adopting organisation. No term is redefined in this standard.

5. Required actions. Before reliance, record a check confirming which version of the source is in force for the matter, the date the check was made, and where the version was obtained. Confirm the source is authentic and that it applies to the entity, jurisdiction, period, contract or asset in question. Re-check before each subsequent issue where the instrument's status is known to be changing. Where the applicable version cannot be established, state that limitation wherever the conclusion is used.

6. Prohibited actions. Citing a clause, article, edition, effective date or requirement the professional has not read in the source itself. Presenting a source as current without a dated check. Relying on a summary, a secondary description or an AI system's account of a source in place of the source. Applying an instrument to a period, entity or jurisdiction it does not cover. Carrying a citation forward from a previous deliverable without re-checking it.

7. Required evidence. A dated currency check for each source relied on for a material purpose; the retained copy of, or a resolvable reference to, the version relied on; the register of sources where the adopting organisation maintains one; the limitation statement where the version could not be established.

8. Responsible role. The professional who relies on the source. Where the adopting organisation maintains a controlled register of standards, contracts or rate tables, its records owner (D-23) is responsible for the register's currency; that does not discharge the relying professional's own check.

9. Approval authority. The decision owner (D-08) may approve reliance on a source whose applicable version cannot be established, on the conditions in element 12. No role may approve the citation of a provision nobody has read.

10. Independence requirement. Not applicable — a currency check is a factual comparison against the publisher's or issuer's own record, and its result does not depend on who performs it. Where the check result is disputed, `PCI-FND-STD-03` applies to the disputed conclusion.

11. Materiality or threshold. Attaches to sources relied on for a material purpose (D-15). It does not attach to background reading, orientation or context that no conclusion rests on. A source is always material where it fixes an entitlement, a price, a rate, a tolerance, a duty, a limit or a date used in a material output.

12. Exception and waiver. A time-limited exception is permitted where the applicable version cannot be established within the time available — for example where a contract amendment is executed but not yet circulated. The decision owner approves it; the justification records what was attempted and from whom the version was sought; it lasts until the version is obtained or thirty days, whichever is shorter; the compensating controls are that the output states the uncertainty where the conclusion is stated and identifies the version actually used, and that the conclusion is revisited under `PCI-FND-STD-15` once the correct version is obtained. **No exception is permitted** to `PCI-FND-STD-06-PR-04`: an unread provision must never be cited.

13. Escalation trigger. Discovery that a material output relied on a superseded, unexecuted or inapplicable version; discovery that a cited clause, article, edition or effective date does not exist; discovery that a controlled register has issued a superseded version as current.

14. AI application. An AI system may search for the current version of an instrument, list the differences between two versions the professional supplies, index a document set by version and date, and flag citations in a draft that do not resolve.

15. AI prohibition. An AI system must not be relied upon to establish which version of a source is in force, must not be cited as the authority for a version or an edition, and its output must not be recorded as the currency check required by element 1.

16. AI verification. Every version, edition, effective date, clause number and quotation that an AI system supplied must be confirmed by **source tracing** to the publisher's or issuer's own record — the publisher's catalogue, the executed contract, the issuing authority's register — and the confirmation recorded with its date and the place it was obtained. Where the publisher's record cannot be reached, the citation must be reduced to the instrument's name alone.

17. External reference.

- **IFRS 18** *Presentation and Disclosure in Financial Statements* and **IAS 1** *Presentation of Financial Statements*. Issuing organisation: IFRS Foundation / IASB. Subject: presentation and disclosure in general purpose financial statements. Edition checked: IFRS 18 issued April 2024, **effective for annual reporting periods beginning on or after 1 January 2027**, earlier application permitted, and **replacing IAS 1** from that date; IAS 1 in force for periods beginning before it. Nature of authority: **category 2 — authoritative financial-reporting standard**. Verification date: 2026-08-03 (register EXT-003, EXT-004). Applicability limitation: mandatory only for entities applying IFRS Accounting Standards in a jurisdiction that has adopted them; named here as a live, verified example of a version cut-over with a stated effective date, and relied on for no requirement in this standard.
- **FIDIC suite of conditions of contract** — Red Book (*Construction*), Yellow Book (*Plant and Design-Build*), Silver Book (*EPC/Turnkey*). Issuing organisation: FIDIC (International Federation of Consulting Engineers). Subject: standard conditions of contract for works and plant. Edition checked: second editions 2017, reprinted 2022 with amendments; a further set of amendments published November 2022, effective 1 January 2023. Nature of authority: **category 4 — contract framework**. Verification date: 2026-08-03 (register EXT-050). Applicability limitation: **binds only the parties who adopt it, and only through the contract they sign**; it is not legislation. Named here because its clause numbering moved between editions, which is precisely the risk this standard addresses; **no clause number is cited**.
- `../registries/EXTERNAL_AUTHORITIES.md` — Suite External-Reference Register. Issuing organisation: PCI Global. Subject: the

registered identity, edition and category of every external authority named in the PCI corpus, with its verification date. Edition checked: compiled 2026-08-03, revised 2026-08-04. Nature of authority: **category 9 — PCI internal professional standard and instrument**. Verification date: 2026-08-04. Applicability limitation: a PCI internal record; **it is a snapshot, not a warranty**, and the official publication of any instrument always governs over it.

18. Jurisdictional caution. Which version of a standard, code or regulation applies to a project is frequently fixed by local law, by the building or permitting regime, or by the contract's governing-law clause, and transitional provisions differ. Obtain local legal advice where the applicable version affects an entitlement, a permit, a certification or a liability.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence for the claim the source supports) · `PCI-FND-STD-07` (the data drawn from the source) · `PCI-FND-STD-12` (retaining the version relied on) · `PCI-FND-STD-14` (AI-produced citations) · `PCI-FND-STD-15` (what to do when the wrong version was used).

20. Related Body of Knowledge content. PCL-AI Domain 2 — financial reporting for project controls; Domain 7 — contract and commercial management; Domain 13. PML-AI Domain 14, especially KA 14.1 — data governance and common data environments. PFL-AI Domain 16.

21. Compliance test. For a sample of sources relied on in issued material outputs, selected by the reviewer: (a) a dated currency check exists in the working record, on or before the date of reliance, recording the version relied on and where it was obtained; (b) **the version recorded matches the version the reviewer independently obtains from the publisher or issuer on the review date, or the record explains the difference by reference to the period, entity or contract the work concerned**; (c) **every clause, article, edition, effective date and quotation appearing in the issued output is located by the reviewer in the version recorded, at the stated position**; and (d) where the record shows the applicable version could not be established, the limitation appears in the issued output where the conclusion is stated. A sampled source fails if the check is absent or post-dates reliance, if the version cannot be reconciled, if any cited clause, article, edition or date cannot be located in the recorded version, or if a required limitation statement is missing. The standard is complied with for the period under review only if no sampled source fails.

22. Breach indicators. Citations carrying clause numbers from a superseded edition. Editions or effective dates stated in prose with no check record. A standard cited by number with no version anywhere in the file. Contract references to an unexecuted draft. Rate tables with no effective date. Currency checks dated after issue, or in a batch. Identical citation blocks copied between unrelated deliverables.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by evidence selection (which record establishes the applicable version), by scenario judgement (a contract amendment executed mid-assessment) and by AI-verification case (a citation that resolves to no such clause).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: new standard; no direct predecessor in the withdrawn set.

Process requirements under PCI-FND-STD-06

PCI-FND-STD-06-PR-01**.** The check must confirm that the source is authentic — obtained from the publisher or issuer, or from a channel the adopting organisation has recorded as authoritative — and must record where it was obtained.

PCI-FND-STD-06-PR-02**.** The check must confirm that the source applies to the entity, jurisdiction, period, contract or asset to which it is being applied.

PCI-FND-STD-06-PR-03**.** Where an instrument's status is known to be changing, the professional must record the date the currency was checked and must re-check before each subsequent issue that relies on it.

PCI-FND-STD-06-PR-04**.** A professional must not cite a clause, article, edition, effective date, judicial decision or requirement that they have not read in the source itself.

PCI-FND-STD-06-PR-05**.** Where the applicable version cannot be established, the professional must state that limitation wherever the conclusion is used, must identify the version actually applied, and must not present the source as current.

PCI standard

PCI-FND-STD-07

Data Lineage

1. Normative requirement. A material output must be traceable in the working record from each source dataset, through every transformation and calculation, to the figure that was reviewed and approved, such that a competent reviewer is able to reproduce that figure from the sources without assistance from the preparer.

2. Purpose. This standard controls the risk that a number cannot be explained — that between the system it came from and the report it appears in, a chain of extracts, adjustments, mappings and manual corrections has become impossible to retrace, so nobody can tell whether it is right, or what changed when it moves.

3. Scope. Governs every professional performing PCI-certified work. Applies to the data underpinning every material output: cost actuals and commitments, progress and schedule data, estimates, financial statements and models, risk registers, and any dataset supplied to or produced by an AI system for a material purpose, on projects, programmes and transactions of any size. Applies to preparation, review (the reviewer performs the reproduction), recommendation, approval and assurance.

4. Defined terms. D-04 competent reviewer · D-15 material · D-16 material output · D-28 working record · D-11 evidence · D-23 records owner · D-01 adopting organisation. No term is redefined in this standard.

5. Required actions. Record, for each source dataset, its system or document of origin, its owner, the extraction date and time, and the extract's identifier or query. Record each transformation so it can be re-performed. Reconcile derived figures to their sources and retain the reconciliation. Label estimated, imputed, modelled and synthetic values wherever they appear. State the limitation where lineage cannot be established.

6. Prohibited actions. Presenting a transformed figure as raw data. Presenting an estimated, imputed, modelled or synthetic value as observed. Adjusting data without recording the adjustment, its basis and its author. Excluding data points from a population without recording the exclusion and its basis. Rebuilding a lineage record after the fact and presenting it as contemporaneous. Supplying data to an AI system from a source outside the lineage the working record shows.

7. Required evidence. The lineage record for each material output; retained extracts or reproducible queries; transformation records sufficient for re-performance; reconciliations of derived figures to their sources; the labelling of estimated, imputed, modelled and synthetic values in the output itself.

8. Responsible role. The professional who prepares the material output, for its lineage. The records owner (D-23) designated for a shared system of record, for that system's own extract and change history.

9. Approval authority. The decision owner (D-08) for the matter may approve issue where lineage for a part of the data cannot be established, on the conditions in element 12. No role may approve presenting unlabelled synthetic, imputed or modelled values as observed data.

10. Independence requirement. The reproduction test in element 21 must be performed by a competent reviewer independent (D-12) of the preparation of the output, because it is the reproduction, not the narrative, that establishes the lineage. Recording the lineage itself is the preparer's task and requires no independence.

11. Materiality or threshold. Attaches to data underpinning material outputs (D-15). It does not require field-level lineage for every value in a system; it requires that the **figures presented in the material output** be reproducible from their sources. **Depth is proportionate and technology-neutral:** on a small engagement a single worksheet naming the source file, its extraction date and the adjustments applied satisfies this standard; on a megaproject the same test may need a catalogued data pipeline. The test is reproducibility by a competent reviewer, never the possession of a particular tool.

12. Exception and waiver. A time-limited exception is permitted where lineage for part of the data genuinely cannot be established — for example legacy data inherited on transfer of an engagement, or a third-party feed supplied without provenance. The decision owner approves it; the justification records which data, why, and what was attempted. It lasts until the data is replaced or re-derived, and must be reviewed at each reporting period rather than left open. The compensating controls are that the affected figures are identified in the output as resting on data of unestablished lineage, that the limitation travels with the conclusion into every later use, and that the exception is recorded in a register the engagement lead reviews. **No exception is permitted** to labelling estimated, imputed, modelled or synthetic values.

13. Escalation trigger. Unexplained change in a system of record; discovery that a material conclusion rests on data of unknown origin; discovery that an AI system or automated pipeline consumed data from outside its authorised sources; a reconciliation that does not resolve and is issued anyway.

14. AI application. An AI system may capture lineage metadata, profile data quality, detect anomalies and duplicates, perform reconciliations for human review, and identify figures in a draft that no source supports.

15. AI prohibition. An AI system must not certify data as fit for purpose, must not be recorded as the source of data it generated, and its generated, imputed or inferred values must never be presented as observed data.

16. AI verification. Where an AI system produced, imputed or transformed data used in a material output, the professional must apply **source tracing** to a sample of the affected values, selected on a stated basis, following each back to the originating system or document, and **reconciliation** of the totals to an independent record; both must be recorded with their scope and result.

17. External reference.

- **ISO 8000** — *Data quality* (multi-part series). Issuing organisation: ISO. Subject: data-quality management, including provenance and data requirements. Edition checked: ISO 8000-1:2022 *Part 1: Overview*, with further parts issued separately. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-026). Applicability limitation: a series rather than a single document, cited generically; voluntary unless a regulator or contract adopts it; no requirement here is sourced to it.
- **ISO/IEC 25012** — *Software engineering — Software product Quality Requirements and Evaluation (SQuaRE) — Data quality model*. Issuing organisation: ISO/IEC. Subject: a model of data-quality characteristics. Edition checked: ISO/IEC 25012:2008. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-036). Applicability limitation: a long-standing edition within the SQuaRE series — check for supersession before relying on it; voluntary.
- **DAMA-DMBOK: Data Management Body of Knowledge**. Issuing organisation: DAMA International. Subject: a practitioner body of knowledge covering data governance, quality and lineage. Edition checked: second edition (2017); a revised printing exists. Nature of authority: **category 7 — industry guidance** (register category: industry practice). Verification date: 2026-08-03 (register EXT-092). Applicability limitation: a commercially published body of knowledge with no standard-setter's authority; **protected material — never reproduced or structurally mirrored**; named for orientation only.

18. Jurisdictional caution. Data-localisation, personal-data, banking-secrecy and financial record-keeping regimes constrain where data may be stored, processed and transferred, and cross-border transfer may require a specific legal basis. Obtain local legal advice before moving project or personal data across a border or into a third-party service, including an AI service.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence for the claim the figure supports) · `PCI-FND-STD-03` (verification of the calculation the lineage feeds) · `PCI-FND-STD-06` (whether the source is the right version) · `PCI-FND-STD-09` (what may be put into which system) · `PCI-FND-STD-12` (keeping the lineage record intact). **Boundary with** `PCI-FND-STD-12`**:** this standard governs whether a figure can be retraced; `PCI-FND-STD-12` governs whether the records survive, unaltered and attributable.

20. Related Body of Knowledge content. PCL-AI Domain 13. PML-AI KA 9.4 — data quality and AI-output quality; Domain 14, especially KA 14.1 — data governance and common data environments. PFL-AI KA 16.1 — financial-data architecture and anomaly detection; Domain 16.

21. Compliance test. The reviewer selects figures from issued material outputs and performs a **reproduction test**: using only the working record and without assistance from the preparer, the reviewer traces each sampled figure to its source datasets, re-applies the recorded transformations, and obtains the same figure to the tolerance the record states. For each sampled figure: (a) the reproduction succeeds; (b) each source dataset carries its origin, owner, extraction date and time, and query or identifier; (c) each transformation record states the rule, the parameters, the applying person or process and the date; (d) a retained reconciliation agrees the derived figure to its sources; and (e) any estimated, imputed, modelled or synthetic value in the figure is labelled as such in the output. A sampled figure fails if the reproduction does not succeed, if it succeeds only with an explanation the record does not contain, or if any of (b) to (e) is absent. The standard is complied with for the period under review only if no sampled figure fails.

22. Breach indicators. Extracts with no timestamp. Adjustment columns with no basis. Figures in a report that no query reproduces. Reconciliations carrying an unexplained balancing line. Data that changes between two issues of the same report with no change record. Synthetic or imputed values indistinguishable from observed ones. Lineage documentation created on the date of the audit.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by calculation review (a reported figure that the stated sources do not produce), by evidence selection (which record establishes provenance) and by scenario judgement (a third-party feed arriving with no provenance mid-period).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes PCI-LAW-F-06, withdrawn.

Process requirements under PCI-FND-STD-07

PCI-FND-STD-07-PR-01**.** The lineage record must state, for each source dataset, its system or document of origin, its owner, the extraction date and time, and the extract's identifier or query.

PCI-FND-STD-07-PR-02**.** Each transformation must be recorded so that it can be re-performed — the rule applied, its parameters, the person or process that applied it, and the date.

PCI-FND-STD-07-PR-03**.** Each derived figure presented in a material output must be reconciled to its sources, and the reconciliation retained with the output.

PCI-FND-STD-07-PR-04**.** Estimated, imputed, modelled and synthetic values must be labelled as such wherever they appear, and must not be presented as observed data.

PCI-FND-STD-07-PR-05**.** Where lineage cannot be established for data underpinning a material conclusion, the professional must state that limitation wherever the conclusion is used, and must carry it into every later document that repeats the conclusion.

PCI-FND-STD-07-PR-06**.** The exclusion of data from a population, and any manual adjustment to extracted data, must be recorded with its basis and its author before the affected output is issued.

PCI standard

PCI-FND-STD-08

Conflict Disclosure

1. Normative requirement. A professional must disclose every conflict (D-05) capable of affecting their independent judgement, in writing, to the person or body to whom the professional duty is owed, before taking any act in the matter or, where the conflict arises later, on becoming aware of it.

2. Purpose. This standard controls the risk that a professional's judgement is shaped by an interest the people relying on that judgement do not know about — and the related risk that the conflicted person is also the person who decides that the conflict does not matter.

3. Scope. Governs every professional performing PCI-certified work. Applies to engagements, appointments, evaluations, procurements, awards, certifications, assessments, approvals and advice, on projects, programmes and transactions of any size, including interests held through a household member, and including an interest in a tool, model, vendor or AI system being selected, priced, assessed or relied upon. Applies to preparation, review, recommendation, approval and assurance: a reviewer's conflict is as disqualifying as a preparer's.

4. Defined terms. D-05 conflict · D-12 independent · D-08 decision owner · D-04 competent reviewer · D-09 engagement lead · D-01 adopting organisation. **The word "appropriately" is deliberately not used in this standard.** What counts as managing a conflict is fixed by `PCI-FND-STD-08-PR-01`, which lists the four safeguards that satisfy it and states that no other arrangement does.

5. Required actions. Maintain a current written declaration of interests. Disclose a conflict in writing to the person or body to whom the duty is owed, before acting in the matter. Take no act in the matter until a safeguard under `-PR-01` is recorded as operating. Refresh the declaration when interests or duties change, and before each decision in a matter where a safeguard is operating.

6. Prohibited actions. Concealing an interest. Deciding for oneself that a disclosed conflict needs no safeguard. Approving one's own work, one's own procurement or one's own performance assessment. Evaluating a tool, supplier, claim or AI system in which one holds an interest, without disclosure. Structuring an interest — through a household member, an intermediary or a timing arrangement — so that it falls outside a declaration. Acting in the matter between disclosure and the start of a safeguard.

7. Required evidence. The written declaration of interests and its date; the written disclosure for each matter; the record of which safeguard under `-PR-01` was chosen, by whom, and when it began to operate; the conflict register where the adopting organisation maintains one; recusal and withdrawal records.

8. Responsible role. The conflicted professional owns the duty to disclose. The person or body to whom the duty is owed owns the choice of safeguard. The engagement lead (D-09) is responsible for confirming that declarations exist and are current before the engagement's material decisions are taken.

9. Approval authority. The person or body to whom the duty is owed decides which safeguard applies and whether the professional may continue in the matter. The conflicted professional has no authority over either question. Where the conflict is held by the most senior available decision owner, the next independent level of the governance arrangement decides.

10. Independence requirement. Where safeguard (b) or (d) of `-PR-01` is used, the substitute decision owner or the reviewer must be independent (D-12) of the conflicted professional and of the interest. Where no such person exists inside the adopting organisation, a named external reviewer is engaged; where that too is impossible, safeguard (a) — withdrawal — is the only remaining option, and this standard admits no alternative.

11. Materiality or threshold. Every conflict within D-05 must be disclosed; there is no threshold below which an interest need not be declared. The adopting organisation sets the value at which a gift, benefit or hospitality becomes a declarable interest, and PCI sets no figure. The **choice of safeguard** is proportionate to the interest and to the significance of the matter; the **duty to disclose** is not.

12. Exception and waiver. No exception is permitted to the duty to disclose. A conflict is never cured by the professional's own view that it will not affect them, by long-standing practice, by the interest being small, or by the other party's likely indifference. The only permitted variation is in which of the four `-PR-01` safeguards is applied, and that choice belongs to the person or body to whom the duty is owed. Where an engagement's terms forbid a safeguard the matter requires, the professional must withdraw from the matter.

One narrow allowance exists, and it is not an exception to disclosure. Where withdrawal under safeguard (a) would leave a matter bearing on the safety of a person with nobody able to act, the conflicted professional may act **to the extent necessary to protect that person**, and must then do all of the following: record the conflict, the necessity and each act taken, at the time; disclose in writing to the person or body to whom the duty is owed within one working day; and withdraw as soon as another person is able to act. That body must record its position on the acts taken within five working days, and must decide which `-PR-01` safeguard operates from that point. **The allowance does not extend to commercial urgency, a deadline or the inconvenience of finding a substitute**, and it never permits the professional to choose their own safeguard or to keep the conflict off the record.

13. Escalation trigger. Discovery of an undisclosed conflict affecting a decision already taken; a conflicted professional resisting recusal or withdrawal; a conflict held by the most senior available decision owner; a party attempting to keep a disclosure off the record.

14. AI application. An AI system may screen an engagement's parties, suppliers and participants against a declared-interest register, flag name and entity matches for human assessment, and remind professionals when a declaration is due.

15. AI prohibition. An AI system must not determine whether a conflict exists, whether it is capable of affecting judgement, which safeguard applies, or whether a professional may act. Those judgements belong to the person or body to whom the duty is owed.

16. AI verification. Where an AI system screened for conflicts, the professional must apply **sampling on a stated basis** to the matches the system cleared — not only to those it flagged — confirming by name-level comparison against the matter's participant, supplier and counterparty lists that no D-05 relationship was missed, and must record the sample basis and the result.

17. External reference.

- **International Code of Ethics for Professional Accountants (including International Independence Standards)**. Issuing organisation: IESBA / IFAC. Subject: fundamental ethical principles, threats to independence and safeguards. Edition checked: current at the register's verification date; no edition asserted. Nature of authority: **category 6 — ethical code**. Verification date: 2026-08-03 (register EXT-127). Applicability limitation: **binding only where a professional body, a regulator or an engagement has adopted it**; a PCI credential holder who is not subject to it is not made subject to it by this standard.
- **Code of Ethics and Professional Conduct**. Issuing organisation: Project Management Institute. Subject: fairness and conflict-of-interest disclosure for delivery practitioners. Edition checked: not independently verified — no edition asserted. Nature of authority: **category 6 — ethical code**. Verification date: not independently verified (register EXT-063). Applicability limitation: binding only on those the Project Management Institute's own terms bind; not regulatory authority.
- **ISO 37001** — *Anti-bribery management systems — Requirements with guidance for use*. Issuing organisation: ISO. Subject: requirements for an anti-bribery management system, including conflict-of- interest and gift controls. Edition checked: ISO 37001:2025, superseding ISO 37001:2016. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-04 (register EXT-133). Applicability limitation: certifiable, and voluntary unless a contract or regulator requires it; **certification is not a legal defence** — it is a third party's opinion about a management system at a point in time. No requirement here is sourced to it.

18. Jurisdictional caution. Public-procurement, anti-corruption, fiduciary, insider-dealing and public-official conduct regimes impose specific and sometimes criminal conflict, gift and disclosure duties, and their reach can be extraterritorial. Obtain local legal advice in public-sector, regulated-finance and cross-border contexts before relying on any safeguard short of withdrawal.

19. Related PCI Standards. PCI-FND-STD-03 (a conflicted person is not independent and cannot verify) · PCI-FND-STD-04 (a conflicted decision owner must not decide) · PCI-FND-STD-09 (information barriers) · PCI-FND-STD-11 (escalating an undisclosed conflict) · PCI-FND-STD-12 (the disclosure record).

20. Related Body of Knowledge content. PCL-AI Domain 13. PML-AI KA 12.4 — ethical leadership; KA 1.4. PFL-AI KA 1.3 — conflicts, independence, fiduciary awareness and responsible AI; Domain 16.

21. Compliance test. For a sample of matters selected by the reviewer: (a) a written declaration of interests exists for each professional acting in the matter, dated within the adopting organisation's declaration cycle or, where none is published, within the twelve months preceding their first act; (b) the declaration was current at the date of that first act; (c) where a conflict was declared, the record names which of the four -PR-01 safeguards was applied, who chose it, and the date it began to operate; (d) the working record shows no act by the professional in the matter between the disclosure and that start date; and (e) **the reviewer compares each declaration against the matter's participant list, supplier and counterparty list, decision record and tool or vendor selection record, and finds no relationship of a kind listed in D-05 that the declaration omits**. A sampled matter fails if any of (a) to (e) is absent or if the comparison in (e) identifies an omitted D-05 relationship. The standard is complied with for the period under review only if no sampled matter fails.

22. Breach indicators. Declarations of interest signed years earlier and never refreshed. A safeguard recorded with no start date. The conflicted professional's own name against the choice of safeguard. Approvals of work the approver performed. Tool or vendor evaluations by a person with a holding in the vendor. Recusals recorded after the decision. Declarations that name no interests at all across a whole engagement team.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Where an undisclosed conflict affected a PCI assessment, the outcome of that assessment may be subject to examination failure and correction. Each is subject to due process and a right of appeal.

24. Examination application. Tested by ethical dilemma (an interest arising mid-engagement), by scenario judgement (which of the four safeguards the facts permit) and by escalation decision (a conflict held by the only available decision owner).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes PCI-LAW-F-10, withdrawn; the undefined judgement word "appropriately" used in that standard is replaced by the closed list of safeguards in -PR-01. **Stage 9 amendment:** the second red-team pass found that where withdrawal is the only available safeguard and the matter bears on a person's safety, the standard required the only person able to act to stand aside; element 12 now carries a bounded allowance to act to the extent necessary to protect that person, with the disclosure duty untouched and the choice of safeguard still belonging to the person or body to whom the duty is owed.

Process requirements under PCI-FND-STD-08

PCI-FND-STD-08-PR-01. A conflict must be managed by one of the following four safeguards, recorded in writing and operating, and by no other arrangement: **(a)** the professional withdraws from the matter; **(b)** the professional is recused from the specific decision and it is taken by a decision owner independent (D-12) of the interest; **(c)** an information barrier prevents the professional's access to the information that creates the conflict, and its operation is recorded; or **(d)** the professional's work in the matter is reviewed by a competent reviewer independent of the interest, and that review is recorded. **No other arrangement satisfies this standard.**

PCI-FND-STD-08-PR-02. The choice of safeguard must be made by the person or body to whom the duty is owed, and never by the conflicted professional.

PCI-FND-STD-08-PR-03. The professional must take no act in the matter between the moment the conflict arises and the moment a -PR-01 safeguard is recorded as operating.

PCI-FND-STD-08-PR-04. The declaration of interests must be refreshed when the professional's interests or duties change, and before each material decision in a matter where a safeguard is operating.

PCI-FND-STD-08-PR-05. Where the conflict is held by the most senior available decision owner, the disclosure must be made to the next independent level of the governance arrangement, or to the party to whom the duty is owed.

PCI standard

PCI-FND-STD-09

Confidentiality and Approved Technology

1. Normative requirement. A professional must not enter protected information (D-21) into a system that is not an authorised system (D-03) for information of that classification and for that purpose, including any AI system.

2. Purpose. This standard controls the risk that information entrusted to a professional leaves the boundary it was entrusted within — most commonly now by being pasted, uploaded or connected into a service whose retention, human-review and model-training terms nobody has read.

3. Scope. Governs every professional performing PCI-certified work. Applies to protected information in any medium, on any device including a personal one, during and after the engagement or employment in which it was obtained, on projects, programmes and transactions of any size. "Entering" includes typing, pasting, uploading, attaching, transmitting in a prompt, connecting through an integration, plug-in or agent, and permitting a system to read from a location where the information is held. Applies to preparation, review, recommendation, approval and assurance alike.

4. Defined terms. D-21 protected information · D-03 authorised system · D-13 information owner · D-02 AI system · D-01 adopting organisation · D-20 promptly. No term is redefined in this standard.

5. Required actions. Establish the classification of information before using it, and treat it as protected until the information owner states otherwise. Use only systems on the adopting organisation's register of authorised systems for that classification and purpose. Where no register exists, obtain and record the information owner's written authorisation before use. Record the check of an AI system's retention, human-review and model-training terms before protected information is entered into it.

6. Prohibited actions. Entering protected information into an unauthorised system. Assuming a system is authorised because it is widely used, paid for, used by a colleague or not expressly forbidden. Treating paraphrase, partial redaction, name removal, splitting across submissions or reduction to figures as curing the prohibition where the protected content can be reconstructed from context. Using protected information from one engagement for the benefit of another. Retaining protected information after the authorisation under which it was held has ended. Permitting protected information to be used to train, fine-tune or ground a model without the information owner's explicit authorisation.

7. Required evidence. The adopting organisation's register of authorised systems and its currency date, or the information owner's written authorisation where none exists; the recorded terms check for each AI system used with protected information; confidentiality undertakings; access and handling records; incident records where protected information reached an unauthorised system.

8. Responsible role. The professional handling the information. The information owner (D-13) decides what may be done with it. Where the adopting organisation designates a role for maintaining the register of authorised systems, that role is responsible for its currency; that does not discharge the handling professional's own obligation.

9. Approval authority. The information owner authorises a use, a system or a transfer. No internal role may authorise a use the information owner has not permitted. Where a contract names an approver, that approver's authority is limited to what the contract grants.

10. Independence requirement. Not applicable to the individual act of handling, which is not a review. Where the adopting organisation adopts an AI system or external service for processing protected information at organisational scale, the assessment of that system must be performed by a competent reviewer independent (D-12) of the team procuring or sponsoring it, because a procurement sponsor is not independent of the procurement.

11. Materiality or threshold. No materiality threshold applies: this standard binds for any quantity of protected information, because the harm does not scale with volume — a single record can identify a person or move a price. The adopting organisation sets the classification scheme and the gift, retention and transfer thresholds within it; PCI sets none.

12. Exception and waiver. PCI grants no waiver. The only route by which protected information may enter a system that is not on the register is the information owner's written authorisation recorded in advance under `PCI-FND-STD-09-PR-01`, which is not an exception to this standard but the mechanism the standard provides. Where an emergency makes advance authorisation impossible and delay would create a risk to the safety of a person, the professional may act to protect that person and must notify the information owner promptly (D-20) and record the act, the necessity and the information involved; that notification is not retrospective authorisation and does not cure a breach that was not necessary to protect a person.

13. Escalation trigger. Protected information is discovered in an unauthorised system or location; a request to use entrusted information for a purpose the owner has not authorised; discovery that an authorised system's terms have changed to permit training, human review or retention the owner did not accept; suspected or actual unauthorised disclosure.

14. AI application. An AI system that is an authorised system for the classification in question may be used for any professional purpose the information owner has authorised, subject to the rest of this standard set.

15. AI prohibition. An AI system must not be treated as confidential by default. Protected information must not be used to train, fine-tune, evaluate or ground any model without the information owner's explicit authorisation. An AI system must not determine whether information is protected, nor whether a system is authorised.

16. AI verification. Before protected information is entered into an AI system, the professional must perform a **clause-to-summary comparison** between the system's own published terms — retention period, human review, training use, sub-processing and geography — and the information owner's stated requirements, and must record the comparison, its date and its outcome. A vendor's marketing statement, a summary produced by the AI system itself, or a colleague's assurance does not satisfy this element.

17. External reference.

- **ISO/IEC 27001** — *Information security, cybersecurity and privacy protection — Information security management systems — Requirements.* Issuing organisation: ISO/IEC. Subject: requirements for an information security management system. Edition checked: ISO/IEC 27001:2022, third edition, **plus Amd 1:2024**. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-023). Applicability limitation: certifiable, but voluntary unless a regulator or contract requires it; an organisation's certification is not evidence that any individual act complied with this standard.
- **ISO/IEC 27701** — *Information security, cybersecurity and privacy protection — Privacy information management systems — Requirements and guidance.* Issuing organisation: ISO/IEC. Subject: privacy information management. Edition checked: ISO/IEC 27701:2025, **now a standalone requirements standard**; the withdrawn 2019 edition was an extension to ISO/IEC 27001 and 27002. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-038). Applicability limitation: voluntary unless adopted; describing it as an extension is now incorrect.
- **General Data Protection Regulation** (Regulation (EU) 2016/679). Issuing organisation: European Union. Subject: processing of personal data. Edition checked: not independently verified — no edition, article or requirement asserted. Nature of authority: **category 10 — illustrative practice** (register category: illustrative reference). Verification date: not independently verified (register EXT-101). Applicability limitation: named here **only** as an example of a rights-based data-protection regime whose requirements a professional must confirm loc-

> ally; **no requirement in this standard is sourced to it**, and this set describes only the EU AI Act as legislation.

18. Jurisdictional caution. Personal-data, banking-secrecy, state-secrecy, export-control, sanctions and sector confidentiality regimes impose specific and sometimes criminal obligations, and several restrict cross-border transfer and require a documented legal basis. Obtain local legal advice on personal-data processing, on cross-border transfer, and before entering any protected information into a service hosted outside the jurisdiction in which it was entrusted. Verify current requirements.

19. Related PCI Standards. `PCI-FND-STD-07` (data supplied to a system) · `PCI-FND-STD-08` (information barriers as a conflict safeguard) · `PCI-FND-STD-11` (escalating a disclosure) · `PCI-FND-STD-12` (retention and protection of the records) · `PCI-FND-STD-14` (AI use generally).

20. Related Body of Knowledge content. PCL-AI Domain 13. PML-AI Domain 14, especially KA 14.4 — cybersecurity and privacy; KA 1.4. PFL-AI Domain 16, especially KA 16.4 — privacy, cybersecurity, human approval and AI governance.

21. Compliance test. For a sample of engagements and of AI or external systems in use, selected by the reviewer: (a) a register of authorised systems exists with a currency date, or, where it does not, a written information-owner authorisation exists for each system used with protected information; (b) each system the professional used with protected information appears on that register for that classification and purpose, at the date of use; (c) for each AI system so used, a recorded terms comparison exists under element 16, dated before first use, covering retention, human review, training use, sub-processing and geography; (d) **the reviewer searches the professional's outbound traffic, prompt history, shared-drive and mailbox records for the period, using identifiers drawn from the engagement's protected information, and finds no instance of that information in a system absent from (b)**; and (e) where an incident is recorded, the information owner was notified within the D-20 period. A sample fails if any of (a) to (e) is absent or if the search in (d) returns an instance. The standard is complied with for the period under review only if no sampled engagement or system fails.

22. Breach indicators. Prompt histories containing project, party or personal identifiers on systems not on the register. Personal accounts or devices used for engagement work. A register with no currency date, or one last updated before the tools in use were adopted. Terms checks recorded after first use. Documents "anonymised" by deleting names only. Protected information retained after an engagement closed. Vendor assurances filed in place of the vendor's own terms.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by scenario judgement (an urgent request to summarise a confidential claim in a public AI service), by evidence selection (which record establishes that a system was authorised) and by ethical dilemma (a client's data would resolve another client's problem).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes `PCI-LAW-F-09`, withdrawn.

Process requirements under PCI-FND-STD-09

`PCI-FND-STD-09-PR-01`. Where the adopting organisation maintains no register of authorised systems, the professional must obtain and record the information owner's written authorisation before entering protected information into any system that is not under the information owner's own control.

`PCI-FND-STD-09-PR-02`. Before protected information is entered into an AI system, the professional must record a comparison of that system's published retention, human-review, training-use, sub-processing and geography terms against the information owner's requirements.

`PCI-FND-STD-09-PR-03`. Information whose classification the professional does not know must be treated as protected information until the information owner states otherwise.

`PCI-FND-STD-09-PR-04`. A professional must not use protected information obtained in one engagement for the benefit of another, and must not retain it after the authorisation under which it was held ends.

`PCI-FND-STD-09-PR-05`. A professional who becomes aware that protected information has entered an unauthorised system must notify the information owner promptly (D-20) and must escalate under `PCI-FND-STD-11`.

PCI standard

`PCI-FND-STD-10`

Competence and Limitation

1. Normative requirement. A professional must not accept, continue or issue work that requires competence they do not hold.

2. Purpose. This standard controls the risk of confident incompetence — and its modern form, in which fluent AI output supplies the vocabulary of a specialism the professional has not acquired, and the reader cannot tell the difference.

3. Scope. Governs every professional performing PCI-certified work. Applies to the acceptance, performance, delegation and issue of work, and to advice given in a professional capacity, on projects, programmes and transactions of any size and in any jurisdiction. Applies to preparation, review, recommendation, approval and assurance: reviewing work outside one's competence breaches this standard as surely as preparing it.

4. Defined terms. D-04 competent reviewer · D-09 engagement lead · D-19 professional · D-15 material · D-02 AI system · D-20 promptly · D-01 adopting organisation. No term is redefined in this standard.

5. Required actions. Before accepting a material engagement or role, record an assessment naming the competences the work requires and the evidence that each is held by a named individual on the engagement. Refer matters requiring specialist judgement outside that competence to a suitably qualified adviser, in writing, and record the referral and its answer. Disclose a competence gap discovered mid-engagement promptly. State the limits of one's competence in writing where a recipient could otherwise rely on them beyond it.

6. Prohibited actions. Holding oneself out as qualified in a specialism one does not hold. Issuing legal, tax, accounting, actuarial, insurance, regulatory or engineering conclusions on the strength of an AI system's output, a template or a reference work. Recording access to an AI system or a knowledge base as evidence of competence. Accepting work knowing it cannot be competently performed. Suppressing a competence limitation to win or keep an engagement. Continuing to issue affected outputs after a competence gap is discovered and before it is closed.

7. Required evidence. The competence assessment for each material engagement or role, naming competences and the evidence each is held; referral letters or instructions to qualified advisers and their responses; written statements of competence limits given to clients or employers; continuing professional development records maintained under PCI's certification requirements.

8. Responsible role. The professional accepting or performing the work. The engagement lead (D-09) for matching work to competence within the engagement, and for the assessment required by `PCI-FND-STD-10-PR-01`.

9. Approval authority. The engagement lead approves acceptance of an engagement against the recorded competence assessment. No role may approve the issue of an output requiring competence nobody on the engagement holds; the route is referral under `-PR-02` or declining the work.

10. Independence requirement. The adviser to whom a specialist matter is referred must be independent (D-12) of the outcome — in particular, must not be remunerated on the conclusion reached. Where work proceeds near the edge of the professional's competence with no specialist involved, the review required by `PCI-FND-STD-03` must be performed by a competent reviewer (D-04) in that subject matter, not by a colleague of equal unfamiliarity.

11. Materiality or threshold. The recorded assessment in `-PR-01` attaches to material engagements and roles (D-15). The prohibition in element 1 has no threshold: work requiring absent competence must not be issued at any value. The adopting organisation may define competence frameworks and evidence standards; PCI requires only that the evidence named exists and relates to the competence claimed.

12. Exception and waiver. A time-limited exception is permitted where competence is being acquired under supervision. The engagement lead approves it; the justification names the supervising individual, who must be a competent reviewer (D-04) in the subject matter and must review every affected material output before issue; it lasts for the period recorded and must be re-approved rather than extended by silence; the compensating control is that the supervisor's review is recorded on each output; and the arrangement is reported to the client or employer where they would otherwise believe the work was performed by a competent professional unsupervised. **No exception is permitted** where a jurisdiction reserves the activity to a licensed person: in that case the work must be referred.

13. Escalation trigger. Discovery mid-engagement that the work requires competence not present; pressure to opine on a legal, tax, regulatory or safety question without qualified advice; discovery that an output already issued required competence nobody held; a client declining a necessary referral.

14. AI application. An AI system may support orientation in an unfamiliar area, summarise a field for context, suggest the questions to put to a qualified adviser, and help identify which specialism a matter requires.

15. AI prohibition. An AI system must not substitute for a qualified adviser where specialist judgement is required, must not be presented as the source of specialist advice, and access to it must not be recorded as evidence of competence.

16. AI verification. Where an AI system assisted work at or beyond the edge of the professional's competence, the verification required by `PCI-FND-STD-03` must be performed by **named expert judgement** — a named competent reviewer in that subject matter — and the record must name that individual and the competence evidence relied on. Verification by the AI system's user does not satisfy this element, because the user is by definition unable to detect the errors the specialism exists to detect.

17. External reference.

- **ISO/IEC 17024** — *Conformity assessment — General requirements for bodies operating certification of persons.* Issuing organisation: ISO/IEC. Subject: competence-based certification of individuals, including the definition and evidencing of competence. Edition checked: ISO/IEC 17024:2026, superseding the 2012 edition; the new edition adds expectations on AI-based assessment tools, human oversight of AI-generated outcomes and competence in AI use. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-022). Applicability limitation: addressed to certification bodies, not to individual credential holders; voluntary unless adopted by regulation or contract. Verify current requirements.
- **Code of Ethics and Professional Conduct**. Issuing organisation: Project Management Institute. Subject: honest representation of qualifications and competence. Edition checked: not independently verified — no edition asserted. Nature of authority: **category 6 — ethical code**. Verification date: not independently verified (register EXT-063). Applicability limitation: binding only on those its own terms bind; not regulatory authority.
- **International Code of Ethics for Professional Accountants (including International Independence Standards)**. Issuing organisation: IESBA / IFAC. Subject: the professional-competence and due-care principle. Edition checked: current at the register's verification date; no edition asserted. Nature of authority: **category 6 — ethical code**. Verification date: 2026-08-03 (register EXT-127). Applicability limitation: binding only where a body, regulator or engagement has adopted it.

18. Jurisdictional caution. Reserved-activity regimes — legal advice, statutory audit, tax practice, actuarial certification, engineering sign-off, insurance mediation — differ by jurisdiction, and performing a reserved activity without the licence can be an offence irrespective of actual competence. Obtain local advice on what only licensed persons may do before offering any adjacent service, and before signing anything a local regime treats as a reserved certificate.

19. Related PCI Standards. `PCI-FND-STD-01` (accountability for what is issued) · `PCI-FND-STD-03` (who is competent to verify) · `PCI-FND-STD-04` (competence of the decision owner) · PCI-FND-STD-11 (escalating a competence gap) · PCI-FND-STD-14 (AI fluency is not competence).

20. Related Body of Knowledge content. PCL-AI Domain 13. PML-AI KA 1.2 — professional standards of care; KA 1.4. PFL-AI KA 1.3 — fiduciary and professional obligations; Domain 12's standing referral of jurisdiction-specific contract matters to qualified counsel; Domain 16.

21. Compliance test. For a sample of engagements and issued outputs selected by the reviewer: (a) a competence assessment exists, dated before acceptance, naming the competences the work requires; (b) for each named competence, the assessment identifies a named individual and the evidence that individual holds it — a qualification, an assessed competence record, or documented comparable experience — **and the reviewer confirms that the named evidence exists and relates to the competence claimed**; (c) no listed evidence consists of access to a tool, a knowledge base or an AI system; (d) for each matter in the engagement that required legal, tax, accounting, actuarial, insurance, regulatory or engineering judgement, a written referral and a response from a qualified adviser exist, or a record shows the matter was declined; and (e) where a supervised-acquisition exception was used, the supervisor's review is recorded on each affected output. A sampled engagement fails if any of (a) to (e) is absent or if the evidence in (b) cannot be located or does not relate to the competence claimed. The standard is complied with for the period under review only if no sampled engagement fails.

22. Breach indicators. Competence assessments listing tools rather than people. The same individual named as competent in unrelated specialisms across many engagements. Legal or tax conclusions in a controls or finance deliverable with no adviser named. Referral letters with no response on file. Supervision recorded at acceptance and never again. Scope creep into a specialism with no reassessment. Outputs whose vocabulary exceeds anything in the engagement's competence record.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by scenario judgement (a controls engagement that turns on a jurisdictional tax question), by escalation decision (a gap found after issue) and by ethical dilemma (a client who will not pay for a referral).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes PCI-LAW-F-08, withdrawn.

Process requirements under PCI-FND-STD-10

`PCI-FND-STD-10-PR-01`. Before accepting a material engagement or role, the professional must record an assessment naming the competences the work requires and, for each, the named individual who holds it and the evidence that they do.

`PCI-FND-STD-10-PR-02`. A matter requiring legal, tax, accounting, actuarial, engineering, insurance, regulatory or other specialist judgement outside the professional's competence must be referred in writing to a suitably qualified adviser, and the referral and its answer must be recorded.

`PCI-FND-STD-10-PR-03`. A professional must not present the output of an AI system, a template or a reference work as specialist advice, and access to such tools must not be recorded as evidence of competence under `-PR-01`.

`PCI-FND-STD-10-PR-04`. Where a competence gap is discovered after work has begun, the professional must disclose it promptly (D-20) to the engagement lead and to the client or employer, and must not issue the affected output until `-PR-02` is satisfied or a competent individual takes the work over.

`PCI-FND-STD-10-PR-05`. The professional must state the limits of their competence in writing wherever a recipient could otherwise rely on them for a matter outside it.

PCI STANDARD

`PCI-FND-STD-11`

Escalation of Material Misstatement

1. Normative requirement. A professional who knows or suspects that a material error, a material omission, an unsupported assumption or a misleading presentation exists in work that has been issued or is about to be issued must escalate it promptly (D-20) to the accountable governance level.

2. Purpose. This standard controls the risk that a known problem stays where it was found — that silence is treated as a neutral option, and the matter compounds while everyone who could have acted assumes someone else has.

3. Scope. Governs every professional performing PCI-certified work. Applies whether the professional caused the matter, discovered it, or was merely told of it; whether the work is their own or another's; and whether the matter concerns their own organisation, a client, a counterparty or a supplier. Applies on projects, programmes and transactions of any size. Applies to preparation, review, recommendation, approval and assurance, and **survives an instruction to stay silent**.

4. Defined terms. D-10 escalation threshold · D-20 promptly · D-15 material · D-08 decision owner · D-12 independent · D-27 working day · D-01 adopting organisation. No term is redefined in this standard.

5. Required actions. Know the escalation route for one's role before it is needed. On reaching the escalation threshold (D-10), raise the matter promptly to the level accountable for remedying it, with the evidence held at that moment. Record what was raised, to whom, when, with what evidence and with what response. Escalate further where the response does not remedy the matter within the applicable period.

6. Prohibited actions. Delaying escalation until the facts are complete. Reclassifying, downgrading, splitting or re-timing a matter so that it falls below a governance threshold. Escalating into a channel the professional knows to be captive to the matter. Escalating orally with no record. Participating in the suppression of another person's escalation. Retaliating against, or assisting retaliation against, a good-faith escalator.

7. Required evidence. The escalation record — what, to whom, when, with what evidence, and the response; the underlying evidence preserved under `PCI-FND-STD-12`; the onward escalation record where the first response did not remedy the matter; the governance arrangement identifying the route.

8. Responsible role. The professional who knows or suspects. The decision owner (D-08) at the level receiving the escalation owns the remedy; receiving an escalation does not transfer the duty to escalate onward if it is not remedied.

9. Approval authority. No approval is required to escalate, and none may be required by any arrangement. The decision owner receiving the matter decides the remedy. Only an independent function may close an escalation the escalating professional still maintains.

10. Independence requirement. Where an escalation is closed without remedy and the escalating professional maintains the concern, the closure must be reviewed by a function independent (D-12) of the matter and of the person who closed it — internal audit, an audit or risk committee, the client, or PCI's conduct process where a PCI rule is engaged.

11. Materiality or threshold. The escalation threshold is D-10, which is reached at the earliest of six stated triggers, one of which is the adopting organisation's own published criteria. This design means the standard works where an organisation has a mature threshold framework and where it has none: on a small engagement the trigger will usually be "it would change a decision", which needs no framework at all. The adopting organisation may lower the threshold; it must not raise it above D-10.

12. Exception and waiver. No exception is permitted. The duty to escalate cannot be waived by an employer, a client, a contract, a confidentiality undertaking or an instruction. Where a confidentiality obligation appears to conflict with the duty, the professional escalates within the boundary the obligation permits — to the party who owns the information, or to an independent internal function — and obtains legal advice before disclosing outside it. The duty to escalate internally is never suspended by that advice.

13. Escalation trigger. The escalation threshold (D-10). In addition, and independently: any attempt to penalise, deter or silence a good-faith escalation is itself a matter that must be escalated under this standard.

14. AI application. An AI system may detect conditions that meet the escalation threshold — anomalies, tolerance breaches, reconciliation failures, integrity flags — route them to the accountable level, and draft the escalation summary for the professional to check and send.

15. AI prohibition. An AI system must not decide that a matter need not be escalated, must not close an escalation, and must not be configured to filter, batch or suppress alerts in a way that prevents a matter meeting the escalation threshold from reaching a person.

16. AI verification. Where an AI system performs escalation-worthy detection, the professional must apply **sampling on a stated basis** to the items the system did *not* raise, at an interval the adopting organisation states, confirming by inspection that none met the D-10 threshold, and must record the sample basis, the period covered and the result. Testing only what the system raised tests the wrong population.

17. External reference.

- **ISO 31000** — *Risk management — Guidelines*. Issuing organisation: ISO. Subject: risk communication, monitoring and review. Edition checked: ISO 31000:2018, second edition; reviewed and confirmed 2023. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-020). Applicability limitation: **guidance, not a certifiable requirements standard**; voluntary unless adopted by regulation or contract.
- **FIDIC suite of conditions of contract**. Issuing organisation: FIDIC. Subject: contractual notice mechanisms, under which a party's failure to give timely notice can extinguish an entitlement. Edition checked: second editions 2017, reprinted 2022 with amendments; further amendments published November 2022, effective 1 January 2023. Nature of authority: **category 4 — contract framework**. Verification date: 2026-08-03 (register EXT-050). Applicability limitation: binds only the parties who adopt it, and only through the contract they sign; **no clause number is cited**; a contractual notice obligation is separate from, and additional to, this standard.

- **A Guide to the Project Management Body of Knowledge (PMBOK Guide)**. Issuing organisation: Project Management Institute. Subject: governance, issue management and escalation practice. Edition checked: no edition asserted — the eighth edition is current, and citing without an edition remains correct across that change. Nature of authority: **category 5 — professional framework**. Verification date: 2026-08-03 (register EXT-060). Applicability limitation: professional guidance, not regulatory authority; no requirement here is sourced to it.

18. Jurisdictional caution. Whistleblower-protection regimes, mandatory-reporting duties and the consequences of external disclosure differ sharply between jurisdictions, and some matters must be reported to a regulator or authority within a fixed period. Obtain local legal advice before any disclosure outside the organisation, and before relying on any protection from detriment.

19. Related PCI Standards. `PCI-FND-STD-02` (an unevidenced claim) · `PCI-FND-STD-05` (a misleading presentation) · `PCI-FND-STD-12` (preserving the evidence) · `PCI-FND-STD-13` (an override that was not authorised) · `PCI-FND-STD-15` (correcting what was escalated). **Boundary with** `PCI-FND-STD-15`**:** this standard governs raising the matter internally; `PCI-FND-STD-15` governs telling the people relying on the work and putting it right. Both can be engaged by one discovery, and satisfying one does not satisfy the other.

20. Related Body of Knowledge content. PCL-AI Domain 4 — performance management, variance analysis and reporting; Domain 13. PML-AI KA 3.3 — assurance, gates and escalation design; KA 1.4. PFL-AI Domain 16.

21. Compliance test. For a sample of matters that met the D-10 threshold in the period — identified by the reviewer from variance reports, reconciliation exceptions, audit findings, incident logs and correction records rather than from the escalation log itself: (a) an escalation record exists for each; (b) its date is within the D-20 period measured from the earliest evidence that the professional knew or suspected, which the reviewer establishes from correspondence and system records, not from the escalation record's own account; (c) the recipient named held authority under the governance arrangement to remedy the matter; (d) the record states what was raised and the evidence provided; (e) where the response did not remedy the matter within the applicable period, an onward escalation to the next level is recorded; and (f) where the escalation was closed and the professional maintained the concern, an independent review of the closure is recorded. A sampled matter fails if any of (a) to (f) is absent. **The test starts from the population of matters, not**

from the population of escalations — a clean escalation log with unescalated matters behind it is a failure, not a pass.

22. Breach indicators. A period's escalation log containing fewer entries than its exception, variance and correction records imply. Escalations dated after the matter was resolved by other means. Matters recorded just below a governance threshold in unusual numbers. Escalations addressed to the person the matter concerns. Verbal escalations referenced but never recorded. Departures of good-faith escalators following escalation. Alert configurations that batch or suppress the conditions the threshold describes.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Retaliation against a good-faith escalator is itself a matter for ethics review and certification investigation. Each is subject to due process and a right of appeal.

24. Examination application. Tested by escalation decision (when the threshold is reached and to whom the matter goes), by ethical dilemma (an instruction to hold the matter until after a board meeting) and by scenario judgement (an escalation route that includes the person responsible).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes `PCI-LAW-F-11`, withdrawn, and carries forward part of `PCI-LAW-F-07`.

Process requirements under PCI-FND-STD-11

`PCI-FND-STD-11-PR-01`**.** The escalation must be recorded, stating what was raised, to whom, when, with what evidence and with what response.

`PCI-FND-STD-11-PR-02`**.** Where the response does not remedy the matter within the period the adopting organisation's procedure states, or within **ten working days** where it states none, the professional must escalate to the next independent level of the governance arrangement.

`PCI-FND-STD-11-PR-03`**.** A professional must not participate in suppressing, delaying, downgrading, splitting, re-timing or reclassifying an escalation in order to keep a matter below a governance threshold.

`PCI-FND-STD-11-PR-04`**.** Where the escalation route is itself implicated in the matter, the professional must escalate to a function independent of it — internal audit, an audit or risk committee, the client, or PCI's conduct process where a PCI rule is engaged.

`PCI-FND-STD-11-PR-05`**.** A professional must not retaliate against, or assist retaliation against, a person who escalates in good faith.

PCI-FND-STD-11-PR-06. A professional must escalate on knowledge or suspicion, and must not wait until the matter is confirmed; where the facts are incomplete at the D-20 deadline, the professional must escalate what is known and complete the account afterwards.

PCI standard

PCI-FND-STD-12

Record Integrity

1. Normative requirement. A professional must keep the records (D-22) evidencing their material outputs and decisions in a manner that makes every record attributable to its author, fixes the time it was created, and makes any subsequent alteration or deletion detectable and attributable.

2. Purpose. This standard controls the risk that the account of what happened is written afterwards — that records are silently amended, backdated, replaced or lost, so that the work can no longer be reviewed, defended or learned from.

3. Scope. Governs every professional performing PCI-certified work. Applies to all records generated or received in that work, in any medium, including model versions, prompts and responses exchanged with an AI system for a material purpose, and records held in personal tools that form part of the professional record. Applies on projects, programmes and transactions of any size. Applies to preparation, review, recommendation, approval and assurance.

4. Defined terms. D-22 record · D-06 contemporaneous · D-23 records owner · D-16 material output · D-28 working record · D-01 adopting organisation · D-27 working day. No term is redefined in this standard.

5. Required actions. Create the record at the time of the act it evidences. Keep records where alteration is detectable and attributable and where prior versions survive. Retain records for the longest of the applicable periods. Suspend disposal immediately when a dispute, audit, investigation or PCI conduct process is under way or foreseeable. Record, where a record is created later than the act, both dates.

6. Prohibited actions. Presenting a record as contemporaneous when it is not. Altering or deleting a record outside an authorised process that retains the prior version and the identity of the person who changed it. Maintaining an official record that differs from the real basis of the decision. Conducting professional work on material matters through channels that create no retained record, for the purpose of avoiding one. Disposing of records under a hold. Disposing of the verification records for outputs still in reliance.

7. Required evidence. The records themselves, retrievable in a readable form; the version or change history showing author, time and alteration; the applicable retention schedule and evidence of its application; disposal authorisations and logs; hold notices and evidence they were honoured; the periodic retrieval test required by PCI-FND-STD-12-PR-07.

8. Responsible role. The professional for the records they control. The records owner (D-23) for a system of record. Where no records owner is designated, the issuing professional is the records owner for their own records.

9. Approval authority. The records owner authorises disposal under the applicable schedule. A hold may be imposed by any professional who becomes aware that a dispute, audit, investigation or conduct process is under way or foreseeable, and may be lifted only by the records owner on recorded advice that the matter is closed.

10. Independence requirement. The retrieval and integrity test in element 21 must be performed by a person independent (D-12) of the records' authors, because a person testing whether their own records can be retrieved and reconciled knows where to look. Creating and keeping the records requires no independence.

11. Materiality or threshold. Attaches to records evidencing material outputs and decisions (D-15). **The requirement is technology-neutral and proportionate:** it is satisfied by any arrangement in which alteration is detectable and attributable and prior versions survive — a versioned document store, a system with an audit trail, a dated document issued to a counterparty, or an email of record. **It does not require any particular product, platform or expenditure**, and a sole practitioner working in versioned files with dated issues complies. Retention periods are set by applicable law, the contract, the adopting organisation's schedule and PCI's certification rules, and the longest governs; PCI sets no free-standing period of its own.

12. Exception and waiver. A time-limited exception is permitted where a system in use cannot record alteration history and cannot be replaced within the engagement's timescale. The records owner approves it; the justification names the system and what was attempted; it lasts no longer than the engagement or twelve months, whichever is shorter, and must be re-approved rather than rolled forward. The compensating controls are that material outputs from that system are issued as fixed, dated documents to a recipient outside the professional's control, and that the working record retains the input data alongside each issue. **No exception is permitted** to -PR-02: a record must never be presented as contemporaneous when it is not, and no circumstance justifies it.

13. Escalation trigger. Discovery of unauthorised destruction, alteration or backdating; an instruction to delete or amend records connected to a foreseeable dispute, audit or investigation; discovery that a system of record overwrites history silently; in-period records found to be irretrievable.

14. AI application. An AI system may classify records, apply a retention schedule, index and retrieve, maintain a disposal log, and identify records that appear to be missing from a set.

15. AI prohibition. An AI system must not dispose of, alter or destroy a record without a recorded human decision under `PCI-FND-STD-04`, must not generate a record purporting to be contemporaneous, and must not be recorded as the author of a record a person authored.

16. AI verification. Where an AI system classifies records for retention or disposal, the professional must apply **sampling on a stated basis** to the records the system marked for disposal, before disposal occurs, confirming by inspection against the retention schedule and any hold that each is genuinely due, and must record the sample basis and the result. Disposal must not proceed on the classification alone.

17. External reference.

- **ISO 15489-1** — *Information and documentation — Records management — Part 1: Concepts and principles*. Issuing organisation: ISO. Subject: creating, capturing and managing records. Edition checked: ISO 15489-1:2016, revised from the 2001 edition. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-025). Applicability limitation: voluntary unless a regulator or contract adopts it; no requirement here is sourced to it.
- **ISO/IEC 27001** — *Information security, cybersecurity and privacy protection — Information security management systems — Requirements*. Issuing organisation: ISO/IEC. Subject: protecting the integrity and availability of retained information. Edition checked: ISO/IEC 27001:2022, third edition, plus Amd 1:2024. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-023). Applicability limitation: certifiable but voluntary; certification of a management system is not evidence that any particular record is intact.
- **ISO 19650** series — *Organization and digitization of information about buildings and civil engineering works, including building information modelling (BIM) — Information management using building information modelling*. Issuing organisation: ISO. Subject: information management through a common data environment. Edition checked: multi-part — 19650-1:2018, -2:2018, -4:2022, -5:2020; cited as a series. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-039). Applicability limitation:

voluntary unless imported by a contract or a client's information requirements; relevant to built-environment work and not to every engagement.

18. Jurisdictional caution. Statutory retention periods for tax, employment, financial, safety and personal-data records differ by jurisdiction and can conflict across borders, and litigation-hold and disclosure obligations attach at different moments in different legal systems. Obtain local legal advice before setting, shortening or applying a retention period, and before destroying, redacting or restructuring anything connected to a live or foreseeable dispute.

19. Related PCI Standards. `PCI-FND-STD-02` (the evidence that must survive) · `PCI-FND-STD-07` (the lineage record) · `PCI-FND-STD-09` (protecting the records' contents) · `PCI-FND-STD-11` (preserving what was escalated) · `PCI-FND-STD-13` (the override record) · `PCI-FND-STD-15` (retaining the superseded version).

20. Related Body of Knowledge content. PCL-AI Domain 13. PML-AI KA 3.3 — auditability and the decision record; KA 4.4 — the change board and the decision log; KA 16.4 — responsible archive and model or data retention. PFL-AI KA 13.2 — model audit; Domain 16.

21. Compliance test. The reviewer performs a **retrieval and integrity test** on a sample of records selected by reference to acts recorded elsewhere — decisions, issues, approvals and escalations — and not from a list the professional supplies. For each sampled record: (a) it is retrieved intact and in readable form; (b) it identifies its author and the time of creation; (c) where it has been altered, the prior version and the identity of the person who altered it are both retrievable; (d) its creation time is consistent with the act it evidences, and where it was created later, both dates are recorded; and (e) where the record falls under a hold, no disposal is evidenced. In addition, the reviewer tests **one record known to have been amended** and confirms the amendment history reconstructs the earlier state. A sampled record fails if any of (a) to (e) is absent, or if an amendment cannot be reconstructed. The standard is complied with for the period under review only if no sampled record fails.

22. Breach indicators. Documents whose stated date precedes their file metadata. Records whose author is a shared or generic account. Approval entries created in bulk after period end. Systems in which the current version is the only version. Material discussions conducted in ephemeral channels while formal records stay thin. Disposal logs that do not reconcile to the retention schedule. Records that cannot be produced when an audit asks for them but were cited when the work was issued.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Where records were destroyed or altered to defeat review, PCI's quality and conduct processes may draw an adverse inference. Each is subject to due process and a right of appeal.

24. Examination application. Tested by evidence selection (which record set demonstrates an audit trail), by scenario judgement (an instruction to tidy the file before an audit) and by escalation decision (a system found to overwrite history).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: supersedes `PCI-LAW-F-12`, withdrawn, and carries forward part of `PCI-LAW-F-05`.

Process requirements under PCI-FND-STD-12

`PCI-FND-STD-12-PR-01`. A record must be created at the time of the act it evidences, or as soon afterwards as establishing the facts permits; a record created later must state both the date of creation and the date of the act.

`PCI-FND-STD-12-PR-02`. A record must not be presented as contemporaneous (D-06) when it is not.

`PCI-FND-STD-12-PR-03`. A record must remain retrievable in a readable form for the longest of the periods required by applicable law, the contract, the adopting organisation's retention schedule and PCI's certification rules.

`PCI-FND-STD-12-PR-04`. A record must not be altered or deleted except through an authorised process that retains the prior version and the identity of the person who made the change.

`PCI-FND-STD-12-PR-05`. Disposal must follow the authorised retention schedule, must be logged, and must be suspended immediately when a dispute, audit, investigation or PCI conduct process is under way or foreseeable.

`PCI-FND-STD-12-PR-06`. Professional work on material matters must not be conducted through channels that create no retained record for the purpose of avoiding one.

`PCI-FND-STD-12-PR-07`. The retrievability of in-period records must be tested at an interval the adopting organisation states, and at least once in each engagement, and the test and its result retained.

PCI standard

PCI-FND-STD-13

No Silent Override

1. Normative requirement. A control result (D-07) bearing on a material matter must not be overridden (D-17) unless a decision owner (D-08) authorised to do so has recorded the decision before the overridden output is relied upon.

2. Purpose. This standard controls the risk that the checks a system was built around stop functioning without anyone deciding that they stop — that a warning is dismissed, a tolerance widened or a validation switched off, and the organisation continues to believe it is protected by a control that no longer operates.

3. Scope. Governs every professional performing PCI-certified work. Applies to every control result on a material matter: validation failures, tolerance and limit breaches, reconciliation differences, failed checks, approval-gate rejections, model diagnostics, quality-assurance findings, safety interlocks and automated alerts, whether the control is systemic, automated or performed by a person. Applies on projects, programmes and transactions of any size. Applies to preparation, review, recommendation, approval, assurance and to the configuration of the controls themselves.

4. Defined terms. D-07 control result · D-17 override · D-08 decision owner · D-15 material · D-24 reliance · D-01 adopting organisation. No term is redefined in this standard.

5. Required actions. Record, before reliance, the control overridden, the reason, the evidence considered, the compensating action taken, the decision owner and the date. Time-limit every override and record its expiry. Review standing overrides at a stated interval. Review overrides in aggregate and escalate a control that is repeatedly overridden.

6. Prohibited actions. Proceeding past a control result on a material matter with no recorded decision. Disabling, re-parameterising, re-scoping or re-timing a control so that it does not produce the result that would otherwise require an override. Re-running a check until it passes and recording only the passing run. Clearing an exception automatically. Recording an override with no reason, no compensating action or no expiry. Approving one's own override.

7. Required evidence. The override record for each overridden control result; the control's own log showing the original result; the configuration change history for the control, showing who changed what and when; the standing-override review records; the aggregate override review and any escalation arising from it.

8. Responsible role. The decision owner (D-08) authorised for that control under the governance arrangement. The professional who configures a control is responsible for the change record required by `PCI-FND-STD-13-PR-02`.

9. Approval authority. Only a decision owner authorised for that control may approve an override, and never the person whose work the control rejected. Where the authorised decision owner is the person whose work was rejected, the decision passes to the next authority level, and the passing is recorded.

10. Independence requirement. The approver of an override must not be the preparer of the item the control rejected. Full independence (D-12) is required where the overridden control bears on an irreversible commitment, a payment to a third party, an external regulatory or financial report, or the safety of a person; in every other case, independence of preparation is the minimum.

11. Materiality or threshold. Attaches to control results bearing on material matters (D-15). It does not attach to routine tooling messages, formatting warnings or informational notices that no control depends on. The adopting organisation classifies its controls and states which are material and who may override each; on a small engagement that classification may be a single recorded list. Where no classification exists, a control is material if the condition it detects would meet D-15.

12. Exception and waiver. This standard is itself the exception mechanism for every control it covers, so there is no waiver from it: an override *is* the authorised, recorded departure, and an unrecorded departure is a breach rather than an exception. One narrow allowance exists: where an override is unavoidable to protect the safety of a person and no authorised decision owner can be reached, the professional may act and must record the override, the necessity and the attempts to reach the decision owner within one working day, and the decision owner must record their position on it within five working days. That allowance does not apply to commercial urgency.

13. Escalation trigger. An override taken with no authorised decision; a control found to have been disabled, re-parameterised or re-scoped without a recorded decision; the same control overridden repeatedly across periods; an override that has passed its expiry and remains in effect; pressure to approve an override without the compensating action.

14. AI application. An AI system may present the control result and its context to the decision owner, draft the override record, track expiries, and analyse override patterns across a period for human review.

15. AI prohibition. An AI system must not authorise an override, must not clear, close or suppress a control exception, must not adjust a control's parameters on a material matter without a recorded human decision, and must not be recorded as the decision owner for an override.

16. AI verification. Where a control is automated or AI-driven, the professional must apply **boundary testing** at an interval the adopting organisation states — submitting cases known to be outside the control's tolerance and confirming the control raises them — and must record the cases used and the result. A control that does not raise a known-bad case has failed silently, which is the condition this standard exists to detect.

17. External reference.

- **Internal Control — Integrated Framework**. Issuing organisation: COSO (Committee of Sponsoring Organizations of the Treadway Commission). Subject: a framework of internal control components and principles, including the treatment of management override of controls. Edition checked: 2013, revising the 1992 original; seventeen principles across five components. Nature of authority: **category 5 — professional framework** (register category: voluntary framework). Verification date: 2026-08-03 (register EXT-084). Applicability limitation: voluntary in itself, though widely imported by regulators and internal audit functions; it is not legislation, and no requirement in this standard is sourced to it.
- **ISO 9001** — *Quality management systems — Requirements*. Issuing organisation: ISO. Subject: requirements for a quality management system, including the control of nonconforming outputs. Edition checked: ISO 9001:2015, fifth edition; a revision is in progress at ISO/TC 176/SC 2. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-033). Applicability limitation: certifiable, and voluntary unless a regulator or contract requires it; verify current requirements given the revision in progress.
- **SR 11-7 / OCC 2011-12** — *Supervisory Guidance on Model Risk Management*. Issuing organisation: US Federal Reserve Board and Office of the Comptroller of the Currency. Subject: the governance of model overrides and of adjustments to model output in supervised institutions. Edition checked: not independently verified — no edition asserted. Nature of authority: **category 10 — illustrative practice**. Verification date: not independently verified (register EXT-102). Applicability limitation: supervisory guidance with no legal force of its own, addressed to institutions supervised by those agencies in the United States; named to illustrate override governance, relied on for nothing.

18. Jurisdictional caution. Safety, environmental, financial-reporting and market-conduct regimes attach specific and sometimes personal liability to the disabling or overriding of a required control, and some require an override to be notified to a regulator. Obtain local legal and regulatory advice before overriding any control that a permit, licence, safety case or regulatory regime requires.

19. Related PCI Standards. `PCI-FND-STD-03` (a failed verification is a control result) · `PCI-FND-STD-04` (the decision that an override requires) · `PCI-FND-STD-11` (escalating an unauthorised override) · `PCI-FND-STD-12` (the override record's integrity) · `PCI-FND-STD-14` (an AI system must not clear an exception).

20. Related Body of Knowledge content. PCL-AI Domain 4 — performance management, variance analysis and reporting; Domain 13. PML-AI KA 3.3 — assurance and gates; KA 4.4 — the change board and the decision log. PFL-AI KA 6.4 — model checks and controls; Domain 16.

21. Compliance test. The reviewer works from the **control logs, not the override log**. For a sample of control results in the period that did not lead to the item being rejected or corrected: (a) an override record exists for each, dated before the item was relied upon; (b) it names the control, the reason, the evidence considered, the compensating action, the decision owner and the date; (c) the named decision owner is authorised for that control under the governance arrangement and is not the preparer of the item the control rejected; (d) the override carries an expiry, and where the expiry has passed no continuing effect is evidenced; and (e) **the reviewer compares the control's configuration change history against the period's override records and finds no change that removed, widened, re-scoped or re-timed the control in place of an override**. A sampled control result fails if any of (a) to (d) is absent; the period fails if (e) identifies an unrecorded configuration change on a material control. The standard is complied with for the period under review only if no sampled result fails and (e) identifies nothing.

22. Breach indicators. Control tolerances widened shortly before a period end. Exception queues that empty with no corresponding decisions. Validation rules disabled "temporarily" and still disabled. The same override reason text repeated across many records. Overrides approved by the person whose work was rejected. Checks re-run repeatedly with only the final run retained. Standing overrides with no review date. A control whose exception count falls to zero with no change in the underlying process.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review;

certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by scenario judgement (a validation failure on the evening of a reporting deadline), by evidence selection (which record shows the override was authorised) and by ethical dilemma (an instruction to widen a tolerance rather than record an override).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: new standard; no direct predecessor in the withdrawn set.

Process requirements under PCI-FND-STD-13

`PCI-FND-STD-13-PR-01`. The override record must state the control overridden, the reason, the evidence considered, the compensating action taken, the decision owner and the date.

`PCI-FND-STD-13-PR-02`. A control must not be disabled, re-parameterised, re-scoped or re-timed in order to prevent it producing the result that would otherwise require an override; every change to a material control's configuration must be recorded with its author, its reason and its date.

`PCI-FND-STD-13-PR-03`. An override must be time-limited and its expiry recorded; a standing override must be reviewed by the decision owner at an interval the adopting organisation states.

`PCI-FND-STD-13-PR-04`. Overrides must be reviewed in aggregate at an interval the adopting organisation states, and a control whose results are repeatedly overridden must be escalated under `PCI-FND-STD-11` as either a defective control or a defective process.

`PCI-FND-STD-13-PR-05`. An automated process must not clear, close or suppress a control exception on a material matter without a recorded human decision under `PCI-FND-STD-04`.

`PCI-FND-STD-13-PR-06`. A check must not be re-run until it passes with only the passing run retained; every run of a material control must remain in the control's log.

PCI standard

`PCI-FND-STD-14`

Responsible AI

1. Normative requirement. A professional must not permit an AI system (D-02) to decide, approve, certify, sign, waive or authorise a material matter, and must not permit it to be represented to any person as having independently verified one.

2. Purpose. This standard controls the risk that the roles a profession reserves to accountable people are quietly occupied by a system — and the related risk that a recipient believes a figure was checked by a qualified person when it was produced, and endorsed, by the same machine.

3. Scope. Governs every professional performing PCI-certified work in which an AI system is used, at any stage, by anyone on the engagement. Applies to material outputs, decisions, approvals, certificates and representations, on projects, programmes and transactions of any size, whatever the tool, vendor, deployment model or apparent quality of the output. Applies to preparation, review, recommendation, approval, assurance and to the configuration of the tools themselves.

4. Defined terms. D-02 AI system · D-15 material · D-16 material output · D-26 verified · D-24 reliance · D-08 decision owner · D-11 evidence. No term is redefined in this standard.

5. Required actions. Keep the roles listed in element 1 with accountable people. Record an AI system's material contribution to a material output in the working record. Answer truthfully any question about whether and how an AI system contributed. Disclose the contribution to a recipient whose decision to rely could turn on how the output was produced. Check every AI-produced citation against its source.

6. Prohibited actions. Configuring or permitting a system to approve, certify, sign, release, pay, commit or waive on AI output. Representing an AI system's self-check, confidence score or second pass as independent verification. Denying an AI contribution that occurred. Presenting AI-generated material as wholly human-authored where the recipient's reliance could turn on authorship. Treating an AI system's fluency, confidence or formatting as evidence of correctness. Using one AI system as the sole check on another.

7. Required evidence. The AI-contribution record for each material output — the system, its version or model identifier where available, the date, and what it contributed; the disclosure made where `-PR-03` applies; the citation checks required by `-PR-04`; the verification record required by `PCI-FND-STD-03`.

8. Responsible role. The issuing professional (D-14) for the output. The decision owner (D-08) for the matter. The professional who configures an AI-assisted workflow is responsible for the boundaries within it.

9. Approval authority. The decision owner approves the matter; the AI system approves nothing. Adoption of an AI system for material work at organisational scale is approved by the decision owner for technology under the governance arrangement, on the assessment required by `PCI-FND-STD-09` element 10 where protected information is involved.

10. Independence requirement. An AI system is never independent (D-12) for the purposes of these standards, because it does not hold the accountability that independence exists to protect. Where independence is required, a person satisfying D-12 must provide it, and an AI system's involvement neither creates nor substitutes for it.

11. Materiality or threshold. Attaches to material matters and material outputs (D-15, D-16). An AI system may be used freely on work that is not material and that nobody relies on — drafting internal notes, exploring options, learning a subject — and this standard does not burden that use. The adopting organisation may impose stricter limits; it must not permit anything element 1 prohibits.

12. Exception and waiver. No exception is permitted. No urgency, volume, cost pressure, staffing constraint, client instruction or vendor assurance permits an AI system to decide, approve, certify, sign, waive or authorise a material matter, or to be represented as having independently verified one. Where the work cannot be done without crossing that boundary, the work must not be done.

13. Escalation trigger. Discovery that an AI system decided, approved, certified, signed, waived or authorised a material matter; discovery that an AI system's output was represented as independently verified; an instruction to conceal or deny an AI contribution; discovery that an AI system in continued use produces systematically unreliable output.

14. AI application. An AI system may propose, analyse, classify, draft, summarise, translate, extract, reconcile, model, generate options and scenarios, check its own arithmetic for the professional to test, and assemble the material a professional reviews. **This is the whole of what the suite principle permits it to do, and it is a great deal.**

15. AI prohibition. As element 1, and in addition: an AI system must not determine that verification is unnecessary, must not be the sole verifier of another AI system's output, must not be named as the accountable party under `PCI-FND-STD-01`, must not be recorded as a decision owner under `PCI-FND-STD-04`, must not authorise an override under `PCI-FND-STD-13`, and must not decide whether a matter is material, protected, conflicted or escalation-worthy.

16. AI verification. Every material AI contribution must be verified under `PCI-FND-STD-03` by a named person applying a named method, and in addition: every citation, quotation, figure, clause reference and attribution the AI system produced must be checked by **source tracing** against the cited source itself under `PCI-FND-STD-06-PR-04`; and where the output classifies, ranks or scores, the professional must apply **sampling on a stated basis** to the items the system did *not* flag, because a classifier's silence is the part no one inspects. Both checks must be recorded.

17. External reference.

- **Regulation (EU) 2024/1689** laying down harmonised rules on artificial intelligence (the "AI Act"). Issuing organisation: European Union. Subject: harmonised rules on AI systems placed on the EU market or used in the EU, including transparency and human-oversight duties for certain systems. Edition checked: in force since 1 August 2024; phased application — prohibitions from 2 February 2025, general-purpose AI obligations from 2 August 2025, general application from 2 August 2026, remaining rules by 2 August 2027. Nature of authority: **category 1 — applicable legislation or regulation, within the European Union only**. Verification date: 2026-08-03 (register EXT-100). Applicability limitation: **binding legislation only within the European Union and only on actors within its scope**; it imposes nothing outside the EU, no clause, article or annex is asserted, and PCI sources no requirement to it. Verify current requirements.
- **ISO/IEC 42001** — *Information technology — Artificial intelligence — Management system*. Issuing organisation: ISO/IEC. Subject: requirements for an AI management system. Edition checked: ISO/IEC 42001:2023, first edition. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-021). Applicability limitation: certifiable but voluntary unless adopted by regulation or contract; an organisation's certification is not evidence that any individual output complied with this standard.
- **ISO/IEC 23894** — *Information technology — Artificial intelligence — Guidance on risk management*. Issuing organisation: ISO/IEC. Subject: managing risk in AI-related activities. Edition checked: ISO/IEC 23894:2023. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-024). Applicability limitation: **guidance, not requirements** — nothing can be certified against it; it sits alongside ISO/IEC 42001 rather than under it.
- **Artificial Intelligence Risk Management Framework (AI RMF 1.0)**, NIST AI 100-1. Issuing organisation: NIST, US Department of Commerce. Subject: governing, mapping, measuring and managing AI risk. Edition checked: AI RMF 1.0, January 2023. Nature of authority: **category 10 — illustrative practice** (register category: voluntary framework). Verification date: 2026-08-03 (register EXT-080). Applicability limitation: NIST states it is voluntary, rights-preserving and non-

sector-specific; it is **not a standard and not a regulation**, and PCI sources no requirement to it.

- **Recommendation of the Council on Artificial Intelligence** (the "OECD AI Principles"), OECD/LEGAL/0449. Issuing organisation: OECD. Subject: intergovernmental principles for trustworthy AI. Edition checked: adopted 2019, revised May 2024. Nature of authority: **category 10 — illustrative practice**. Verification date: 2026-08-03 (register EXT-081). Applicability limitation: a Council Recommendation — **not legislation, and not binding even on adherents**.

18. Jurisdictional caution. AI-specific regimes are emerging at different speeds and with different scopes, and sectoral regulators in financial services, healthcare, employment, safety and public procurement impose their own duties on automated processing, explanation and human oversight. Obtain local legal advice before deploying an AI system into a regulated activity or into any process affecting individuals, and treat any such requirement as prevailing over this standard under Charter §4. Verify current requirements.

19. Related PCI Standards. `PCI-FND-STD-01` (who remains accountable) · `PCI-FND-STD-03` (how the contribution is verified) · `PCI-FND-STD-04` (who decides) · `PCI-FND-STD-06` (checking AI-produced citations) · `PCI-FND-STD-09` (what may be entered into an AI system) · `PCI-FND-STD-13` (an AI system must not clear an exception). **Boundaries:** `PCI-FND-STD-03` governs *whether an item was checked*; `PCI-FND-STD-04` governs *who owns the decision*; this standard governs *what an AI system must never be permitted to do or be represented as having done.* A workflow can satisfy any two and breach the third.

20. Related Body of Knowledge content. PCL-AI Domain 13 — AI for Project Controls and PM: Concepts, Tools and Practice. PML-AI KA 1.4 — ethics and the responsible use of AI; Domain 14, especially KA 14.3 — AI use cases, prompting and verification, and KA 14.4 — explainability, bias and human accountability; KA 11.4 — misinformation and AI-generated communication risks. PFL-AI Domain 16, especially KA 16.2 and KA 16.3 — explainability, validation, bias and model risk.

21. Compliance test. For a sample of material outputs and workflows selected by the reviewer: (a) **Configuration test** — in each AI-assisted workflow, the reviewer identifies every step that gives effect to an output and confirms from the configuration that a human decision under `PCI-FND-STD-04` precedes it; a workflow in which any effecting step can execute without one fails. (b) **Representation test** — the reviewer reads the issued output and its covering communications and finds no statement, label, badge or implication that an AI system verified, approved, certified or signed anything. (c) **Record test** — where an AI system materially contributed, the working record names the system, its version or model identifier where available, the date and the contribution. (d) **Citation test** — every citation, quotation, figure and clause reference in the output is located by the reviewer in the source cited. (e) **Silence test** — where the output classifies, ranks or scores, a recorded sample of the items the system did **not** flag exists, with its stated basis and result. A sampled output fails if any of (b) to (e) is absent or is contradicted; a workflow fails on (a). The standard is complied with for the period under review only if nothing fails.

22. Breach indicators. Certificates, approvals or releases whose only signature is a system account. Output labelled "AI-verified", "automatically validated" or "checked by model". Verification records naming a model as verifier. Workflows in which the effecting step has no preceding human entry. Citations that resolve to nothing. A professional unable to say whether an AI system contributed to an output they issued. Sampling records that cover only flagged items. Denials of AI use contradicted by prompt or tool logs.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure where breached in assessment; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by AI-verification case (a fluent, plausible and wrong output with a fabricated citation), by scenario judgement (a workflow that auto-releases on a model score) and by ethical dilemma (a client who asks whether the report was written by a person).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: carries forward the boundary substance of the withdrawn `PCI-LAW-F-02` and the disclosure substance of the withdrawn `PCI-LAW-F-04`.

Process requirements under PCI-FND-STD-14

`PCI-FND-STD-14-PR-01`. Where an AI system materially contributed to a material output, the working record must state the system used, its version or model identifier where available, the date, and what it contributed.

`PCI-FND-STD-14-PR-02`. A professional must answer truthfully any question from a recipient about whether and how an AI system contributed to an output, and must not deny a contribution that occurred.

`PCI-FND-STD-14-PR-03`. Where a recipient's decision to rely on an output could turn on how it was produced, the AI contribution must be disclosed to that recipient before reliance; where a contract, client rule, employer policy or

PCI examination condition imposes a stricter disclosure duty, that duty governs.

PCI-FND-STD-14-PR-04. A citation, quotation, figure, clause reference or attribution produced by an AI system must be checked against the cited source itself before presentation, under PCI-FND-STD-06-PR-04.

PCI-FND-STD-14-PR-05. An AI system must not be used as the sole check on another AI system's output, and must not determine that verification is unnecessary.

PCI-FND-STD-14-PR-06. A professional must not present or treat an AI system's fluency, confidence score, formatting or apparent authority as evidence that its output is correct.

PCI standard

PCI-FND-STD-15

Correction Duty

1. Normative requirement. A professional who discovers a material error in work they have issued must communicate it promptly (D-20) to every person known to be relying on that work.

2. Purpose. This standard controls the risk that an error, once discovered, is repaired quietly in the file while the people who acted on it continue to act on it — and the related risk that the correction arrives after the decision it would have changed.

3. Scope. Governs every professional performing PCI-certified work. Applies to every material output the professional has issued, recommended, approved or certified, and to errors of calculation, data, source version, assumption, omission and presentation alike, however the error is discovered and whoever caused it. Applies on projects, programmes and transactions of any size, and continues after the engagement or employment in which the work was issued has ended, for as long as the work remains in reliance.

4. Defined terms. D-20 promptly · D-15 material · D-16 material output · D-24 reliance · D-08 decision owner · D-22 record · D-27 working day. No term is redefined in this standard.

5. Required actions. Communicate the error promptly to every person known to be relying on the work. Record the error, its discovery date, its cause where known and its effect on each conclusion. Assess whether any decision already taken would have differed, and tell that decision's owner. Issue a corrected version identified as a correction. Retain the superseded version.

6. Prohibited actions. Correcting silently — replacing a figure, file or document with no record of the change. Waiting for a scheduled report to carry the correction where the error meets the D-20 one-working-day condition. Communicating the correction only to those who ask. Withdrawing the superseded version from the record. Characterising a material error as a presentational refinement. Complying with an instruction not to tell the relying parties without escalating it.

7. Required evidence. The error record — what, when discovered, cause, effect; the reliance assessment and the communication to each affected decision owner; the corrected version, identified as such, stating what changed and which version it replaces; the retained superseded version; the notification under `-PR-04` where the professional no longer controls the work; the escalation record where `-PR-06` applies.

8. Responsible role. The issuing professional (D-14) who issued the work. Where that professional has left the engagement or the organisation, the duty attaches to them personally for the communication and to the engagement lead (D-09) for the correction of the record; neither discharges the other.

9. Approval authority. No approval is required to communicate an error to a person relying on the work, and none may be imposed. The decision owner (D-08) for each affected decision decides what to do about the decision. The engagement lead approves the form of the corrected issue.

10. Independence requirement. Where the error concerns a material calculation, model output or automated conclusion, the corrected version must be verified under `PCI-FND-STD-03` by a competent reviewer independent (D-12) of the correction — the same discipline that applied to the original, applied again, because a correction made in haste is where the second error enters.

11. Materiality or threshold. Attaches to material errors (D-15), assessed on the position as it stood when the work was issued and as it stands on discovery, whichever produces the wider effect. The adopting organisation may set a lower threshold. **The urgency is set by D-20, not by the size of the error**: an error creating a risk to the safety of a person or an ongoing financial loss carries the one-working-day period, every other material error the five-working-day period.

12. Exception and waiver. No exception is permitted to communicating a material error to those relying on the work. Where a legal obligation, a regulator's direction or a court order restricts what may be communicated or to whom, the professional must obtain legal advice, must communicate to the fullest extent the restriction permits, must record the restriction and the advice, and must escalate under `PCI-FND-STD-11`. A confidentiality undertaking, a commercial concern, an employer's preference or the professional's own exposure is not such a restriction.

13. Escalation trigger. An instruction not to inform a relying party; a decision owner who declines to revisit a decision the corrected work would have changed; discovery that a previous correction was not communicated; a relying party who cannot be identified or reached.

14. AI application. An AI system may identify which outputs, models and downstream documents used the erroneous figure, assess the arithmetic effect of the correction, draft the correction notice, and maintain the distribution list of relying parties.

15. AI prohibition. An AI system must not decide whether an error is material, whether it must be communicated, or to whom; must not approve a corrected version; and must not amend an issued output in place of an identified correction.

16. AI verification. Where an AI system identified the downstream uses of the erroneous figure, the professional must apply **source tracing** to at least the uses the system did *not* identify — searching the engagement's issued outputs for the figure and its derivatives — and must record the search basis and the result. Where an AI system computed the corrected figure, `PCI-FND-STD-03` applies to it in full.

17. External reference.

- **IAS 8**. Issuing organisation: IFRS Foundation / IASB. Subject: accounting for and disclosure of prior-period errors and changes in accounting estimates in financial statements. Edition checked: currently titled *Accounting Policies, Changes in Accounting Estimates and Errors*; **retitled *Basis of Preparation of Financial Statements* from 1 January 2027** as a consequential amendment to IFRS 18. Nature of authority: **category 2 — authoritative financial-reporting standard**. Verification date: 2026-08-03 (register EXT-005). Applicability limitation: mandatory only for entities applying IFRS Accounting Standards in a jurisdiction that has adopted them; it governs **financial reporting only** and imposes nothing on project records or professional deliverables. Cited by name; no paragraph or requirement is asserted.
- **ISO 9001** — *Quality management systems — Requirements*. Issuing organisation: ISO. Subject: control of nonconforming outputs and corrective action. Edition checked: ISO 9001:2015, fifth edition; a revision is in progress. Nature of authority: **category 3 — international voluntary standard**. Verification date: 2026-08-03 (register EXT-033). Applicability limitation: certifiable but voluntary unless required by a regulator or contract; verify current requirements.
- **International Code of Ethics for Professional Accountants (including International Independence Standards)**. Issuing organisation: IESBA / IFAC. Subject: the professional's response on becoming aware that information previously provided is misleading.

Edition checked: current at the register's verification date; no edition asserted. Nature of authority: **category 6 — ethical code**. Verification date: 2026-08-03 (register EXT-127). Applicability limitation: binding only where a professional body, a regulator or an engagement has adopted it; a PCI credential holder not subject to it is not made subject to it by this standard.

18. Jurisdictional caution. Correcting an issued statement can engage securities, prospectus, public-procurement, tax and financial-reporting obligations, restatement rules and notification duties, and in some regimes the timing and form of the correction are prescribed. Obtain local legal and accounting advice before correcting anything that has been published, filed, certified or relied upon by a lender, an investor or an authority.

19. Related PCI Standards. `PCI-FND-STD-01` (accountability for the work being corrected) · `PCI-FND-STD-03` (verifying the correction) · `PCI-FND-STD-05` (a failed assumption) · `PCI-FND-STD-11` (escalating the error internally) · `PCI-FND-STD-12` (retaining the superseded version). **Boundary with `PCI-FND-STD-11`:** that standard is discharged by raising the matter internally; this one is discharged only by telling the people relying on the work and putting it right. One discovery ordinarily engages both.

20. Related Body of Knowledge content. PCL-AI Domain 4 — performance management, variance analysis and reporting; Domain 2 — financial reporting for project controls; Domain 13. PML-AI KA 11.2 — executive communication and reporting; KA 1.4. PFL-AI Domain 16.

21. Compliance test. The reviewer identifies material errors discovered in the period from correction records, restatements, re-issues, audit findings, change logs and version histories — **not from the correction register alone**. For each: (a) a communication to each person known to be relying on the work exists; (b) its date is within the D-20 period measured from the earliest evidence that the professional knew or suspected the error, established from correspondence and system records; (c) an error record exists stating the error, its discovery date, its cause where known and its effect on each conclusion; (d) a reliance assessment exists identifying each decision already taken that would have differed, and a communication to each of those decision owners; (e) a corrected version exists, identified as a correction, stating what changed and which version it replaces; and (f) the superseded version is retained and retrievable. A sampled error fails if any of (a) to (f) is absent, or if the reviewer finds the erroneous figure still in use in a later document with no correction. The standard is complied with for the period under review only if no sampled error fails.

22. Breach indicators. Re-issued documents with no correction notice. Figures that change between versions with no change record. Corrections carried in the next routine report rather than communicated. Distribution lists for corrections shorter than for the original issue. Superseded versions deleted. Error records whose discovery date matches the communication date exactly across many items. Downstream documents still carrying the erroneous figure after the correction.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension; withdrawal. Each subject to due process and a right of appeal.

24. Examination application. Tested by escalation decision (an error found the day after a funding decision), by ethical dilemma (an employer who prefers the correction to wait for the quarterly pack) and by calculation review (assessing whether a corrected figure would have changed the decision).

25. Version and status. Version 1.0 · approval date: not approved — draft submitted under Charter §5 Stage 11 · effective date: on approval · amendment note: new standard; carries forward the correction substance of the withdrawn `PCI-LAW-F-07`.

Process requirements under PCI-FND-STD-15

`PCI-FND-STD-15-PR-01`. On discovery, the professional must record the error, its date of discovery, its cause where known, and its effect on each conclusion the work supports.

`PCI-FND-STD-15-PR-02`. The professional must assess and record whether any decision already taken in reliance on the work would have differed, and must communicate that assessment to the decision owner of each such decision.

`PCI-FND-STD-15-PR-03`. A corrected version must be issued, identified as a correction, stating what changed, why, and which earlier version it replaces; the superseded version must be retained in the record and must not be deleted.

`PCI-FND-STD-15-PR-04`. Where the professional no longer controls the issued work, they must notify the party who does, in writing, and must record the notification.

`PCI-FND-STD-15-PR-05`. A professional must not correct a material error silently — by replacing a figure, file or document without a record identifying the change.

`PCI-FND-STD-15-PR-06`. Where the professional is prevented from communicating the error by an instruction from an employer, a client or any other

> person, they must record the instruction and escalate it under `PCI-FND-STD-11`.

Audit-question findings

Drafting Manual §9 requires all twenty-five questions to be answered before approval, and requires a standard failing one to be revised before approval, with the failure and its resolution recorded in the standard's file. This table is that record. Every question was worked against all fifteen standards; the rows below state what the question found and what was changed in response. A row reading "no change" means the question was answered without a defect being identified, not that it was skipped.

#	Question	Standards affected	Finding, and what was changed
1	What exact failure does this standard prevent?	All 15	**Changed.** Element 2 of every standard was rewritten to name one professional failure in concrete terms rather than to restate the obligation as an aspiration. Two drafts failed: an early `PCI-FND-STD-14` purpose said "to ensure responsible AI use", which names no failure, and an early `PCI-FND-STD-12` purpose restated its own rule. Both were replaced with the specific failure mode.
2	Is the requirement mandatory or only recommended?	All 15	**Changed.** `should` was removed from every normative position; it appears nowhere in any element 1 or Process Requirement. The ISO requirement verb appears nowhere in the file, in any field, per Manual §1 — the superseded set used it in eleven Rule fields and this edition removes all of them. No Recommended Practice (Level 5) is created by this set.
3	Can a professional know whether it applies to them?	All 15	**Changed.** Element 3 was standardised to answer four questions explicitly — who is governed, which decisions, which projects or transactions, and whether it bites at preparation, review, recommendation, approval or assurance. `PCI-FND-STD-14` gained the clause "in which an AI system is used, at any stage, by anyone on the engagement", because a professional who did not personally use the tool was otherwise able to read themselves out of it.

#	Question	Standards affected	Finding, and what was changed
4	Is the responsible person identifiable?	01, 02, 04, 07, 08, 10, 11, 12, 13, 15	**Changed.** Element 8 never reads "the team", "management" or "the organisation". Six role terms were defined instead (D-08, D-09, D-13, D-14, D-23, plus D-04) and element 8 names one of them in every standard. `PCI-FND-STD-15` gained a split responsibility, because the issuing professional may have left the engagement while the duty to communicate remains personal.
5	Is the required action observable?	01, 04, 05, 08, 11, 14	**Changed.** Unobservable formulations were removed: "accept accountability" became **record** an acceptance (01); "manage the conflict" became one of four recorded safeguards (08); "consider the recommendation" became a recorded factor not stated in the recommendation itself (04); "disclose material AI assistance" became a record naming system, version, date and contribution (14).
6	Is compliance provable?	All 15	**Changed.** Element 7 in every standard names records that exist independently of the professional's own account. Where an element 1 obligation had no possible proof, it was reworded: `PCI-FND-STD-05`'s original "must consider sensitivities" became "must state the effect on the conclusion of a stated change", which leaves a document behind.
7	Is the required evidence proportionate?	02, 05, 07, 12	**Changed.** `PCI-FND-STD-07` element 11 now states that lineage is required for the **figures presented in the material output**, not field-level lineage for every value in a system. `PCI-FND-STD-12` element 11 was made technology-neutral. `PCI-FND-STD-05-PR-02` bounds the sensitivity work to material assumptions only. `PCI-FND-STD-02` element 11 permits a single referenced worksheet as the working record on a small engagement.
8	Can the standard be audited?	All 15	**Changed.** Element 21 was rewritten in all fifteen standards to a sampling test with pass and fail conditions stated. See question 6 of this table and §5.1 of the Manual: five element-21 drafts were rejected as unauditable and replaced — see the Q21 row below for the pattern.
9	Can the standard be examined through a scenario?	All 15	**No change required.** Element 24 in each standard names which of the Manual's six assessment modes applies and gives the scenario shape. No standard is assessable only by recalling its number.

#	Question	Standards affected	Finding, and what was changed
10	**Can a professional technically comply while defeating its purpose?**	01, 03, 04, 05, 07, 08, 09, 11, 12, 13, 14, 15	**Changed — the heaviest single source of revision in this edition.** Twelve gaming routes were found and closed: (i) naming an accountable person who never saw the work — closed by requiring the acceptance to be attributable to that individual and by the no-notice question in 01 element 21; (ii) "verifying" by re-running the same tool — closed by 03-PR-03; (iii) rubber-stamping — closed by the walk-through and substance limbs of 04 element 21; (iv) burying material assumptions among a hundred boilerplate ones — closed by the two-way matching test in 05 element 21(b) and by 05-PR-05; (v) narrative lineage that only the preparer can follow — closed by requiring reproduction **without assistance from the preparer** in 07 element 21; (vi) self-certifying that a conflict is harmless — closed by the closed list in 08-PR-01 and by 08-PR-02; (vii) redacting names and pasting the rest into an unauthorised tool — closed by the reconstruction clause in D-21; (viii) escalating into a captive channel or with no record — closed by 11-PR-01 and 11-PR-04, and by starting 11 element 21 from the population of **matters** rather than of escalations; (ix) working in ephemeral channels to avoid creating records — closed by 12-PR-06; (x) widening a tolerance instead of recording an override — closed by 13-PR-02 and by limb (e) of 13 element 21, which reads the configuration change history against the override log; (xi) re-running a check until it passes — closed by 13-PR-06; (xii) correcting silently and letting the next routine report carry it — closed by 15-PR-05 and by the prohibition in 15 element 6.
11	Does it conflict with another PCI standard?	03, 04, 07, 11, 12, 14, 15	**Changed.** Four boundary statements were added to element 19 where two standards could be read as covering the same act: 03 against 14 (whether an item was checked, versus what an AI system may be permitted to do); 04 against 14 (who owns the decision, versus what an AI system may be represented as doing); 07 against 12 (retraceability versus survival of records); 11 against 15 (raising it internally versus telling those relying and putting it right). Each states that satisfying one does not satisfy the other.

#	Question	Standards affected	Finding, and what was changed
12	Does it duplicate an external standard unnecessarily?	02, 05, 07, 12, 13, 15	**Changed.** Every element 17 entry now carries the sentence that PCI sources no requirement to the instrument, except where the instrument is genuinely the applicable authority. Three references present in early drafts were deleted as decorative: ISO 21500 and ISO 21502 under `PCI-FND-STD-01`, and ANSI/EIA-748 under `PCI-FND-STD-07`, none of which added an obligation or a limitation the standard needed.
13	Does it misrepresent external authority?	01, 04, 06, 08, 09, 13, 14, 15	**Changed, and this produced four corrections.** (i) The **IFRS Conceptual Framework is excluded from the whole set** — the IASB states it is not a Standard, and Manual §6 forbids sourcing a requirement to it. (ii) Only **Regulation (EU) 2024/1689** is described as legislation, and only within the EU; the **GDPR** is recorded as category 10 illustrative practice in `09` and relied on for nothing. (iii) **SR 11-7** is recorded as supervisory guidance with no legal force of its own, addressed to US-supervised institutions. (iv) **ISO/IEC 17024** is stated to address certification bodies, not individual credential holders — the superseded set cited it four times without that limitation. In addition, ISO 31000 and ISO/IEC 23894 are marked as guidance that nothing can be certified against, ISO/IEC 27701 is described as a standalone requirements standard rather than an extension, and ISO 37001 carries the note that certification is not a legal defence.
14	Does it require legal or jurisdiction-specific advice?	All 15	**No change required.** Element 18 in each standard names the specific regimes that displace or supplement it, and Charter §4 governs the priority. `PCI-FND-STD-10` element 12 additionally makes reserved activities a no-exception case.
15	Does it define the relevant materiality threshold?	All 15	**Changed.** No percentage is invented anywhere in this set, per Manual §5.3. *Material* is defined once at D-15 by a six-limb test, with the adopting organisation's published tolerance as one limb and a recorded decision-owner determination as the fallback. Two standards state expressly that **no** threshold applies — `PCI-FND-STD-09` (a single record can identify a person) and `PCI-FND-STD-08` (every conflict within D-05 is declarable) — because a threshold there would have been a loophole.
16	Does it cover AI use?	All 15	**No change required.** Elements 14, 15 and 16 are present in all fifteen standards, and element 16 names a specific method in every case rather than saying "review the AI output".

#	Question	Standards affected	Finding, and what was changed
17	Does it preserve human accountability?	01, 03, 04, 13, 14	**Changed.** `PCI-FND-STD-14` element 10 was added to state that an AI system is **never** independent for the purposes of these standards, because it does not hold the accountability that independence exists to protect. Without it, a reader could have argued that a second model satisfied `PCI-FND-STD-03`.
18	Does it contain an exception process?	All 15	**Changed.** Element 12 in every standard states either the exception process in full — approver, justification, duration, compensating controls, reporting — or that no exception is permitted. Six standards permit none: `01`, `08` (to disclosure), `11`, `14`, `15` (to communication), and `13` in substance, since an override is itself the recorded exception mechanism. `PCI-FND-STD-03` element 12 gained the carve-out that **no waiver is available** where the item supports an irreversible commitment, a payment, an external report or a safety decision. **Stage 9 addition:** the second red-team pass tested every element 12 against a genuine emergency and found two standards with no compliant route in the case that will certainly arise. `PCI-FND-STD-03` and `PCI-FND-STD-08` each gained a **narrow allowance, not a waiver** — act only to the extent necessary to protect the safety of a person, record it, disclose it within one working day, obtain the deferred verification or the substitute safeguard, and have the accountable person record their position within five working days. Neither allowance reaches commercial urgency.
19	Does it define escalation?	All 15	**Changed.** *Escalation threshold* is defined once at D-10 by six triggers, one of which is the adopting organisation's own criteria, so the standard functions with or without a threshold framework. Element 13 in every standard names the events that require escalation rather than saying "where appropriate".

#	Question	Standards affected	Finding, and what was changed
20	Is every important term defined?	All 15	**Changed — the second-heaviest source of revision.** Twenty-eight terms are defined at D-01 to D-28 and used identically throughout. Undefined judgement words were removed from every obligation: "**appropriately**" is gone from `PCI-FND-STD-08` and replaced by the closed list at `08-PR-01`, as the drafting brief required; "**reasonable**" was removed from an early `08` element 21 and replaced with a comparison against the D-05 relationship list; **"adequate", "relevant", "timely" and "sufficient"** appear in no obligation. "**Promptly**" is defined at D-20 with a one-working-day and five-working-day default, and a stated start point at knowledge or suspicion rather than confirmation. No definition is circular: *material*, *independent*, *verified* and *evidence* are each defined by a test the reader applies, not by a synonym.
21	Is the language concrete and modern?	All 15	**Changed.** Modern must-drafting only; the ISO requirement verb appears nowhere. Five element-21 compliance tests were rejected as too weak to produce agreement between two reviewers and rewritten: `01` (now a no-notice question to the named individual), `05` (now a two-way match between the assumption statement and the sensitivity statement), `07` (now a reproduction the reviewer performs unaided), `11` (now sampled from the population of matters, not of escalations) and `13` (now read from the control logs and the configuration change history, not from the override log).
22	**Does it impose an impossible or excessive burden?**	03, 05, 07, 09, 10, 12, 14	**Changed.** Six burdens were cut. (i) `PCI-FND-STD-03` originally required independent verification of every calculation; it now attaches to **material** items only and permits a bounded waiver where no independent person exists. (ii) `PCI-FND-STD-07` no longer implies field-level lineage. (iii) `PCI-FND-STD-12` no longer implies a records-management system; it requires only that alteration be detectable and attributable. (iv) `PCI-FND-STD-05` bounds sensitivity work to material assumptions. (v) `PCI-FND-STD-14` element 11 states expressly that non-material AI use — internal notes, exploration, learning — is not burdened by this standard at all. (vi) `PCI-FND-STD-10-PR-01` requires a competence assessment for **material** engagements and roles, not for every task.

#	Question	Standards affected	Finding, and what was changed
23	**Can it operate on both small projects and megaprojects?**	01, 03, 04, 07, 09, 12, 13	**Changed.** Each standard was tested against a two-person consultancy and a multi-billion programme, and seven failed on the small case before revision. (i) D-01 makes a sole practitioner their own adopting organisation and requires them to record, once, the criteria these standards leave to it. (ii) The note on roles states that one individual may hold several capacities. (iii) `PCI-FND-STD-03` element 12 provides the independence waiver with cumulative compensating controls, and forbids it on irreversible, payment, external-report and safety matters. (iv) `PCI-FND-STD-09-PR-01` supplies the information-owner authorisation route where no register of authorised systems exists. (v) `PCI-FND-STD-12` element 11 makes the requirement technology-neutral and states that versioned files with dated issues comply. (vi) `PCI-FND-STD-04` element 11 states that a single recorded line may be the whole delegated-authority schedule. (vii) `PCI-FND-STD-13` element 11 permits the control classification to be one recorded list. On the megaproject side, no standard needed relaxing; `PCI-FND-STD-05` element 11 notes that the same test simply identifies more assumptions.
24	Can it operate internationally?	All 15	**Changed.** No standard assumes a jurisdiction, a currency, a professional body, a regulator or a legal system. Element 18 in each standard identifies what needs local advice, and Charter §4 places applicable legislation and regulation above every PCI Standard. The single monetary illustration in the set (`PCI-FND-STD-03` element 11) is expressly an illustration of why PCI sets no figure, not a threshold.
25	Is there a clear consequence within PCI's authority?	All 15	**Changed.** Element 23 in every standard is drawn **only** from the Charter §9 list. The superseded set used the word "revocation" throughout; Charter §9 says **withdrawal**, and every occurrence was corrected. No standard claims a fine, a criminal consequence, a damages liability or any governmental enforcement power, and every consequence is stated as subject to due process and a right of appeal.

Two findings this audit could not resolve, recorded rather than hidden.

First, **stages 4, 6, 7, 8, 11, 12 and 13 of Charter §5 have not been performed** for this edition. The audit questions are a red-team exercise (stage 9); they are not a substitute for technical review by a subject specialist, for practitioner consultation, or for approval. Several element-11 thresholds and element-12 durations — the ten-working-day onward-escalation period in `PCI-FND-STD-11-PR-02`, the five-working-day default in D-20, the three-month waiver ceiling in `PCI-FND-STD-03` — are defensible drafting choices that have not been tested with practitioners and may prove wrong in use. They are configurable by the adopting organisation wherever that was possible, precisely because they are unvalidated.

Second, **the Drafting Manual's ten external-reference categories do not cleanly accommodate two kinds of instrument this set names**: a voluntary framework that is neither environmental nor social (the NIST AI RMF, the OECD AI Principles), and a national standard (ANSI/EIA-748, which this set consequently does not cite). Both are recorded here under category 10 or omitted, and the register's own category is shown alongside. The honest fix is a Manual amendment adding those two values, which is outside this file's authority to make.

A second red-team pass, run later across the whole four-file corpus, is recorded in `STANDARDS_RED_TEAM_REPORT.md`. It produced two amendments to this file — the emergency allowances in `PCI-FND-STD-03` and `PCI-FND-STD-08` element 12, noted in their element 25 — and a body of findings against the three certification sets, including a set of definitional collisions between this file's `D-01` to `D-28` and the per-credential definitions.

Those collisions are now closed. The durable fix the red team recommended as its finding **P-1** — a single **PCI Standards Definitions Register**, which Drafting Manual §4 already contemplates — has been built at `PCI_STANDARDS_DEFINITIONS_REGISTER.md`, and the definitions above were reconciled to it. What changed in this file, and nothing else changed:

- `D-04` **competent reviewer** — gains a recorded-before-the-review limb and a no-assistance-from-the-preparer limb, and states expressly that **independence is not part of competence**, so that `PCI-FND-STD-10` element 12's supervised-acquisition exception remains usable (red-team **X-6** / **R-5**).
- `D-05` **conflict** — gains the appearance limb and the future-role limb the PML-AI volume carried, and states that a judgement standard in a standard widens the closed list and never narrows it.
- `D-08` **decision owner** · `D-11` **evidence** · `D-12` **independent** · `D-26` **verified** — restated in the canonical wording, taking the union of the limbs and exclusions the four volumes carried between them. `D-12` keeps its line-reporting carve-out and names the stricter PFL-AI limb as such; `D-26` names the eight admissible methods in the definition itself and states PFL-AI's deliberate narrowing for a figure in a financial model.
- `D-10` **escalation threshold** — states that a standard's element 13 events are additional to the six triggers, and supplies the destination-and-time fallback so the duty survives an organisation that documents neither.

- D-15 **material** — gains the *irrespective of size* sentence for safety, legality, a licence, a statutory duty and the truth of a statement, and records how limb (b) is measured in each credential.
- D-29 **approved** and D-30 **current** — added. Manual §4 names both as terms that always require definition, and neither was defined anywhere in this set.

No obligation was widened or narrowed by any of these edits: each states, in one place, the reading that the wider-obligation rule at the head of every certification volume already produced. The register records what each file previously said, so every change is visible and reversible. Four questions the reconciliation could not settle — **R-1**, **R-3**, **R-4** and **R-5** — remain with the Interpretation Panel.

Index of Foundational Standards

ID	Official title	Principal obligation, in one line	External-reference categories used
PCI-FND-STD-01	Professional Accountability	Record your own acceptance of personal accountability for a material output before it is issued, whoever or whatever prepared it.	3 (international voluntary standard) · 6 (ethical code) · 10 (illustrative practice)
PCI-FND-STD-02	Evidence Before Assertion	Do not present a material claim unless retrievable evidence for it is identified in the working record.	5 (professional framework)
PCI-FND-STD-03	Independent Verification	Have a material calculation, model output or automated conclusion verified by an independent competent reviewer before anyone relies on it.	5 (professional framework) · 7 (industry guidance) · 10 (illustrative practice)
PCI-FND-STD-04	Human Decision Authority	Record every material decision as taken by a named, authorised, competent human decision owner.	1 (legislation — EU only) · 3 (international voluntary standard)
PCI-FND-STD-05	Transparent Assumptions	Do not issue a forecast, model, appraisal or recommendation unless the document carrying the conclusion also carries its material assumptions.	3 (international voluntary standard) · 5 (professional framework)

ID	Official title	Principal obligation, in one line	External-reference categories used
PCI-FND-STD-06	Source and Version Integrity	Do not rely on a source without a dated check that it is the version in force for the matter.	2 (financial-reporting standard) · 4 (contract framework) · 9 (PCI internal instrument)
PCI-FND-STD-07	Data Lineage	Make every material output reproducible from its sources by a competent reviewer without the preparer's help.	3 (international voluntary standard) · 7 (industry guidance)
PCI-FND-STD-08	Conflict Disclosure	Disclose every conflict capable of affecting your independent judgement, in writing, before acting in the matter.	3 (international voluntary standard) · 6 (ethical code)
PCI-FND-STD-09	Confidentiality and Approved Technology	Do not enter protected information into a system that is not authorised for it, including any AI system.	3 (international voluntary standard) · 10 (illustrative practice)
PCI-FND-STD-10	Competence and Limitation	Do not accept, continue or issue work requiring competence you do not hold.	3 (international voluntary standard) · 6 (ethical code)
PCI-FND-STD-11	Escalation of Material Misstatement	Escalate a known or suspected material error, omission, unsupported assumption or misleading presentation promptly to the level accountable for remedying it.	3 (international voluntary standard) · 4 (contract framework) · 5 (professional framework)
PCI-FND-STD-12	Record Integrity	Keep records so that authorship and creation time are fixed and any later alteration is detectable and attributable.	3 (international voluntary standard)
PCI-FND-STD-13	No Silent Override	Do not override a control result on a material matter without an authorised decision owner's recorded decision, made before reliance.	3 (international voluntary standard) · 5 (professional framework) · 10 (illustrative practice)

ID	Official title	Principal obligation, in one line	External-reference categories used
PCI-FND-STD-14	Responsible AI	Never permit an AI system to decide, approve, certify, sign, waive or authorise a material matter, or to be represented as having independently verified one.	1 (legislation — EU only) · 3 (international voluntary standard) · 10 (illustrative practice)
PCI-FND-STD-15	Correction Duty	Communicate a material error in work you issued promptly to everyone known to be relying on it.	2 (financial-reporting standard) · 3 (international voluntary standard) · 6 (ethical code)

Set composition. Fifteen standards · eighty-three Process Requirements · twenty-eight defined terms · twenty-five elements in every standard, in the Manual's order, none omitted.

> CAUTION
>
> **AI proposes; the professional verifies, decides and remains accountable.**

Prepared 4 August 2026. Draft for approval under Charter §5 Stage 11 — not approved, not in force. External references checked against `../registries/EXTERNAL_AUTHORITIES.md` *and its recorded verification dates; the official publication of every instrument named always governs, and where an authority can change, verify current requirements. British English throughout.*

PCL-AI Professional Standards — PCI AI Project Controls Leader

Status: Certification Standard set for the **PCL-AI** credential (PCI AI Project Controls Leader). Version 2.0 — reconstructed under the PCI Standards Charter and the PCI Standards Drafting Manual. **Thirty-three standards** carrying **one hundred and forty-five process requirements**, anchored to the thirteen-domain PCL-AI Body of Knowledge (`../../bok/`). This edition supersedes the twenty-standard set drafted on the earlier eighteen-field structure; the superseded identifiers are recorded standard by standard in element 25 and are never reused.

> CAUTION
>
> **PCI Standards are private professional certification requirements established by Project Controls Institute Global. They are not legislation, government regulation, legal advice or substitutes for applicable laws, contractual obligations, regulatory requirements or authoritative professional standards. Where an applicable legal, regulatory, contractual or authoritative requirement imposes a higher or different obligation, that requirement prevails.**

How to read these standards

The Charter and the Manual govern. What a standard *is* — its status, the instrument hierarchy, the priority order when requirements conflict, due process, interpretation, amendment, exceptions and the consequences available to PCI — is settled in the Charter. How a standard is *written* — normative language, one obligation per clause, identifiers, defined terms, the twenty-five mandatory elements, external-reference classification, prohibited drafting patterns and the twenty-five audit questions — is settled in the Manual. Where any doubt arises about a standard below, those two instruments prevail over it.

Normative language, and the ISO mapping. PCI uses modern must-drafting, exclusively.

Word	Force in a PCI Standard
must	Mandatory PCI professional requirement
must not	Prohibited practice; doing it is a breach

Word	Force in a PCI Standard
should	Recommendation only — not used to create an obligation anywhere in this set
may	Permission
can	Capability or possibility — never permission

A reader who works to ISO/IEC drafting conventions expects the requirement to be marked by the mandatory verb those conventions use, and may misread `must` as an external constraint. It is not. **In a PCI Standard, `must` is the requirement form**, and it carries in a PCI Standard exactly the force that the ISO/IEC mandatory verb carries in an ISO/IEC document. PCI does not use that verb, in any field of any standard, and a draft containing it fails gate. This edition was drafted to that rule and checked against it.

Identifiers. Each standard is cited as `PCI-PCL-STD-DD.NN`, where `DD` is the two-digit PCL-AI Body of Knowledge domain of primary anchorage and `NN` a sequence within that domain. Process requirements are cited as `PCI-PCL-STD-DD.NN-PR-NN`. **Process requirements are mandatory** — Charter §3, Level 4 — and a breach of one is a breach. Citation is by identifier and never by page number, because pagination changes. Where a standard reaches beyond its anchor domain, the anchor is the domain that *teaches* it and the reach is stated in element 3.

These standards sit under the Foundational Standards. The foundational set binds every PCI credential holder, PCL-AI included. It is cited here in the Charter §3 identifier form `PCI-FND-STD-NN`; the subjects are:

ID	Subject	ID	Subject
`PCI-FND-STD-01`	Professional accountability	`PCI-FND-STD-09`	Confidentiality and approved technology
`PCI-FND-STD-02`	Evidence before assertion	`PCI-FND-STD-10`	Competence and limitation
`PCI-FND-STD-03`	Independent verification	`PCI-FND-STD-11`	Escalation of material misstatement
`PCI-FND-STD-04`	Human decision authority	`PCI-FND-STD-12`	Record integrity
`PCI-FND-STD-05`	Transparent assumptions	`PCI-FND-STD-13`	No silent override
`PCI-FND-STD-06`	Source and version integrity	`PCI-FND-STD-14`	Responsible AI
`PCI-FND-STD-07`	Data lineage	`PCI-FND-STD-15`	Correction duty
`PCI-FND-STD-08`	Conflict disclosure		

The published foundational file PCI_FOUNDATIONAL_STANDARDS.md carries these fifteen standards under these identifiers, so every citation below resolves against it directly. The superseded PCI-LAW-F-NN identifiers are recorded, for historical traceability only, in STANDARDS_CONCORDANCE.md; no live citation uses them. **No standard below reduces a foundational obligation.** Each names the foundational standard it serves in element 19 and adds what project controls specifically requires — a certification standard that only restated its foundational parent was either sharpened or dropped during the audit recorded at the end of this file.

External references are classified, never reproduced. Every reference in element 17 carries the issuing organisation, the title, the subject it is cited for, what was checked about its edition or effective date, its nature under Manual §6, the date its currency was checked, and its applicability limitation. Real instruments are named and characterised in PCI's own words; the official publication always governs. No clause number, article, edition, judicial decision or requirement is asserted unless it was verified, and the register at ../registries/EXTERNAL_AUTHORITIES.md is the single disclosure point behind these entries.

Two instruments needing the Manual's later categories. ANSI/EIA-748 (a US national standard published by SAE International under ANSI accreditation) is classified under Manual §6 **category 11, national standard** — it binds only where a contract or procurement regime imports it. The **NIST AI Risk Management Framework** is a voluntary framework issued by a national standards institute and is classified by its subject with its voluntary status and origin stated at the point of use. Both were originally recorded here as a gap in a ten-category vocabulary; the Manual has since added categories 11 and 12 for exactly these cases, so the gap is closed. The original finding is recorded as Q13 in the audit table.

No endorsement, affiliation or accreditation is claimed or implied. Naming an external instrument means only that it exists and is relevant to the subject under discussion. No standards body, professional institute, government, supervisory authority or financial institution has reviewed, approved, endorsed or accredited these standards, the PCL-AI credential or Project Controls Institute Global.

Nothing here is legal, tax or accounting advice. These standards set professional conduct within PCI's certification scope. Statutory recognition, capitalisation, tax treatment, contractual entitlement and the interpretation of contract terms are jurisdiction-specific and belong to qualified advisers.

The suite principle applies to every standard in this set, in its one approved formulation:

> CAUTION
>
> **AI proposes; the professional verifies, decides and remains accountable.**

Definitions

These definitions decide compliance. They are interpretive, not obligations — no requirement is created here; every requirement lives in an identified standard or process requirement (Charter §3). A term is used below only in the sense given here.

Where a term is also defined in the Foundational Standards. Several terms below — *material*, *independent*, *verified*, *evidence*, *competent reviewer*, *decision owner*, *escalation threshold*, *approved*, *current* — are also defined, at `D-01` to `D-30`, in `PCI_FOUNDATIONAL_STANDARDS.md`. **They now carry the same wording in both places.** Each was reconciled to the canonical definition recorded in `PCI_STANDARDS_DEFINITIONS_REGISTER.md`, which also records what this volume previously said and why the change was made. Where a credential legitimately measures a limb differently — the metric in which materiality is quantified, for instance — the canonical definition states that as an application rule rather than as a rival definition.

Three reading rules remain, and they still matter for any term this reconciliation did not reach. First, **where a foundational standard states its own defined term by its `D-NN` number, that definition governs that foundational obligation**, and nothing here narrows it. Second, **where a definition here and a foundational definition both bear on the same act, the one producing the wider obligation governs** — Charter §4 states that a PCI Standard never lowers an obligation, and this volume's own rule is that no standard below reduces a foundational one. Third, a term defined here and not there is a PCL-AI term and carries only the sense given here.

How element 21 samples are drawn. Where a standard's element 21 tests "a sample selected on a stated basis", the sample is selected by the reviewer performing the test, not by the professional whose work is under review, and the reviewer records the basis of selection. A test performed on a population the subject of the test chose is not the test element 21 describes.

A. Terms that decide compliance

material. *(Canonical — `D-15`.)* An item, error, omission, variance, difference or fact is *material* if any of the following is true: (a) were it wrong, omitted or reversed, a decision within the scope of the work would or could have been taken differently, including its timing, its conditions or the authority at which it had to be taken; (b) it changes a reported figure by more than the quantified tolerance published for that figure; (c) it affects a contractual, regulatory, tax or financial-reporting position; (d) it affects the safety of a person; (e) it affects a party's reliance; or (f) it meets the adopting organisation's published materiality criteria. **A matter bearing on safety, legality, a licence or permission, a statutory duty, or the truth of a statement made to a decision-maker is material irrespective of size**, and no documented threshold reduces it. Where no criteria are published, the *decision owner* records which of (a) to (e) applies, and why, before the output is issued. Materiality is determined on the position as known at the time of the act, and is judged twice: on the item alone, and on the accumulation of items of the same kind since the test was last applied. **In PCL-AI work, limb (b) is measured by the materiality rule** — the quantum, the basis on which the quantum is measured, and the person who set it. Where the adopting organisation's governance publishes a materiality rule for project reporting, that rule applies; where it does not, the applicable rule is the one the professional has recorded with the deliverable, stating the quantum, the basis and their own name, applied consistently between periods. The obligation to record and apply it sits in element 11 of each standard, not here. **PCI sets no percentage.**

independent. *(Canonical —* `D-12`*.)* A person is *independent* in relation to a specified matter where all of the following are true: (a) they did not perform the act, prepare the item or any part of it, or direct, specify or approve it; (b) they did not select, build or configure the tool, model or AI system that produced it; (c) they hold no conflict in its outcome and no financial interest in the matter or in a party to it; (d) they receive no fee, bonus, continuing mandate, success payment or other benefit that varies with the conclusion reached, and their remuneration, appraisal or continuation in the engagement is not determined by the outcome the item supports; (e) they are not accountable for the outcome the item reports on; and (f) they satisfy the reporting-line limb. **The reporting-line limb:** they do not report to the preparer in respect of the work under review, and are not in the reporting line of the person accountable for the outcome for the purpose of that matter; reporting to the preparer's line manager on unrelated work does not by itself defeat independence, but being appraised on the outcome does. Independence is a fact about a relationship to a specified matter, never a state of mind, a job title or a permanent designation. Where no person inside the project organisation meets these tests, independence is obtained from outside it — a functional line, another project, an internal audit function, a parent entity or an external party.

verified. *(Canonical —* `D-26`*.)* An item, figure, statement, extraction or machine output is *verified* where a named person who is a *competent reviewer* for that item has applied to it, against **evidence**, at least one of the eight admissible methods, and has recorded the method used, the source or population tested and, where a sample was used, its selection basis, the inputs used, the scope tested, the date, the result, and every difference found together with its resolution. **The eight admissible methods** — the list at `PCI-FND-STD-03-PR-01` — are: independent recomputation, source tracing, clause-to-summary comparison, sampling on a stated basis, reconciliation, boundary testing, sensitivity analysis, and named expert judgement recorded with its reasoning. Reading an output and finding it plausible is not verification, and an item on which no such record exists is not verified however carefully it was produced.

current. *(Canonical —* `D-30`*.)* A record, figure, extract, document or version is *current* where it is the latest version issued by the system or authority that owns it as at the deliverable's **cut-off** or, where the deliverable states none, as at its issue date —

and where its version identifier and its extraction date and time are recorded on or with the deliverable. A record whose version cannot be identified is not current, whatever its age.

competent reviewer. *(Canonical — D-04.)* A named individual who, in relation to a particular item, satisfies all of: (a) their competence in the subject matter is evidenced by a qualification, an assessed competence record held by the adopting organisation, or documented experience of comparable work, recorded for that class of work before the review begins; (b) they are able to state what would make the item wrong and which method would detect that error; and (c) they are able to perform the verification method the standard requires, and to reach a conclusion on the matter, without assistance from the preparer or reliance on the preparer's explanation of it. Competence is evidenced by the demonstrated ability to reproduce the calculation or trace the record — never by job title, seniority or availability. **Independence is not a limb of competence:** where a standard requires the reviewer to be *independent*, that requirement is imposed by that standard's element 10 and is tested separately.

decision owner. *(Canonical — D-08.)* The single named individual holding authority, under the applicable governance arrangement or documented delegation schedule, to take, withhold, approve, reject, amend or defer the decision that the deliverable supports; who bears its consequence; and who answers for it afterwards. The accountability is held by one person, is not delegable, and is recorded before the output is relied upon. A committee is not a decision owner; where a body approves collectively, its named chair — or the named authority the delegation schedule assigns — is the decision owner, and the record names that person. "The team", "management", "the business", "the sponsor", "the lenders" and "the organisation" are never decision owners.

evidence. *(Canonical — D-11.)* A dated record that exists independently of the assertion it supports, that identifies its source, its version where it has one, and its author or issuing system, and that a person other than the author of the assertion can retrieve, examine and use to reach the same conclusion **without asking that author**. The following are not evidence: an output of an AI system that does not identify the source of what it asserts; an AI-generated summary of a record, as evidence of the underlying fact — the underlying record is; a statement that a system, model or tool produced a figure, unaccompanied by the inputs and the method; a restatement of the assertion in a second document by the same author; a preparer's own statement offered in support of their own assertion; an unrecorded recollection; an unattributed file; an undated extract; an unversioned working copy; an unretained screen view or a screenshot with no source reference; and a dashboard or screen state that cannot be reproduced.

approved. *(Canonical — D-29.)* A decision, document, figure or version is *approved* where the person holding authority for that decision under the applicable governance arrangement or recorded delegation of authority has given assent identifiably, recording the date, the version assented to and the scope of the assent. Silence, absence of objection, unrecorded verbal assent, assent by a person outside their recorded authority, and assent recorded after the item was used are not approval.

commitment. A financial obligation the project has entered into for goods, services or works not yet fully received or performed, evidenced by an executed contract, purchase order, subcontract, work order, call-off, or other instrument with financial effect, and measured at the value remaining after deducting the value received or performed to date.

accrual. The recorded cost of goods, services or works received or performed at the **cut-off** and not yet invoiced, measured from evidence of what was received or performed, and never from the invoice or payment profile.

cut-off. The stated date and time at which the population of transactions, progress records and status data included in a deliverable is fixed, together with the rule that decides whether a record falls inside it or outside it. A deliverable that states no cut-off has none.

objective evidence of progress. A dated record produced by, or verifiable against, a source other than the person claiming the progress, demonstrating that the work claimed has occurred — for example a jointly signed measurement, an inspection or test record, a delivery or goods-receipt record, an accepted deliverable, an approved milestone certificate, a client-certified quantity, or a system record of completed transactions. A percentage asserted by the person performing or supervising the work, unsupported by such a record, is not objective evidence of progress.

open end. An activity or milestone in a schedule network, other than the network's single start milestone and single finish milestone, whose start is not driven by a predecessor relationship, or whose finish drives no successor relationship — including an activity whose only predecessor is a start-to-start relationship, so that its finish drives nothing, and an activity whose only successor is a finish-to-finish relationship, so that its start is driven by nothing.

escalation threshold. *(Canonical — `D-10`.)* The escalation threshold for a matter is reached at the earliest moment any of the following becomes true: the matter is *material*; it creates a risk to the safety of a person; it would change, or would have changed, a decision already taken or about to be taken; it affects an output already issued outside the professional's own organisation; it affects a contractual, regulatory, tax or financial-reporting position; or the escalation criteria published by the adopting organisation or recorded in the delegation schedule are met. On reaching it the professional must raise the matter in writing to the **decision owner** and, where the standard says so, above the decision owner. **Any event stated in element 13 of a standard below is additional to those six triggers and never in place of them**; a matter that reaches the threshold requires escalation under `PCI-FND-STD-11` whether or not it appears in any element 13. **The threshold**

names a destination and a time, and the absence of either does not remove the duty: where no destination is documented the matter goes to the next authority above the decision owner for it, and where no time is documented the time is the foundational period at `D-20` — one working day where the matter creates a risk to the safety of a person or an ongoing financial loss, five working days otherwise, running from the moment the professional first knows or suspects the matter rather than from the moment they confirm it. Reaching the threshold obliges escalation; the obligation does not depend on the professional's expectation of how the recipient will react, or on the matter being resolved afterwards.

B. Subject-matter terms

project controls deliverable. Any cost, schedule, earned value, forecast, change, risk, contingency, commercial or performance output issued to a decision owner, a client, a lender, an auditor, an assessor or a governance body — in any medium, including a model, a register, a schedule file, a dashboard and a slide.

source record. The record held in the system of record — the ledger, the commitment system, the contract file, the schedule file, the timesheet or plant system, the measurement record — from which a controls figure derives.

performance measurement baseline. The approved, time-phased combination of scope, budget and schedule against which performance is measured, at the version identified in its approval record. Abbreviated *baseline* throughout.

control account. The point in the work breakdown structure at which scope, budget, schedule and actual cost are brought together for management, and at which one named individual is accountable.

re-baseline. Replacement of an approved baseline with a new one, so that variances are measured against the new baseline from a stated date.

change. Any event, instruction, decision or discovery that alters, or is expected to alter, the approved scope, the approved budget or the approved schedule. An **approved change** is one that has been *approved* as defined by the person holding change authority.

trend. A known or emerging cost or schedule effect that is not yet an approved change and not yet a recorded actual cost, and that is expected to affect the forecast.

duplicate cost. The same underlying cost event recorded more than once in the cost position — through double posting, an accrual not reversed against the invoice that superseded it, a commitment counted alongside the actual cost that discharged it, or one event coded to two cost codes.

reproducible. A figure is *reproducible* where a **competent reviewer**, using only the retained records and the recorded method, arrives at the same figure.

restatement. Reissue of a previously reported figure, identified as a correction, showing the figure as originally reported, the corrected figure, the cause and the periods affected.

C. AI terms

AI tool. Software that generates, classifies, predicts, extracts, summarises, matches or optimises output using machine-learning or generative models, whether it is a standalone assistant or a feature embedded in a controls, scheduling, commercial or accounting application.

AI assistance. Any use of an AI tool in producing a project controls deliverable.

material AI assistance. *(Canonical — carried to the whole corpus by* `PCI_STANDARDS_DEFINITIONS_REGISTER.md`*.)* AI assistance in producing an output is *material* where removing the AI-generated contribution would change a figure in the output by more than the applicable materiality measurement, or would change a recommendation, a classification that affects entitlement, coding, ranking or eligibility, or a stated conclusion. *Material AI contribution* means the same thing. Volume of use, licence cost and whether a human edited the output afterwards are irrelevant to the test.

tool configuration record. The record of which AI tool, which model or version, and which material settings, prompts or data sources produced a given output, retained so that the output is **reproducible**.

D. Roles

Roles are defined by function, not by job title. Where an adopting organisation uses a different title, the role is held by whoever performs the function. Where one individual holds two of these roles on a small project, that is permitted — but it never removes an independence requirement, which is then met from outside the project under the definition of **independent**.

Role	Function
project controls lead	The individual accountable for the integrity of the project's cost, schedule and performance information as issued
cost engineer	The individual who prepares and maintains the cost position for one or more control accounts
planner	The individual who prepares, statuses and issues the schedule
control account owner	The individual accountable for the scope, budget, schedule and cost of one control account
commercial lead	The individual accountable for the contractual and commercial position, including variations, claims and payment applications

Role	Function
risk lead	The individual accountable for the risk register and the quantified risk analysis
baseline approval authority	The individual holding recorded authority to approve or reject a baseline or a re-baseline
change authority	The individual or body holding recorded authority to approve or reject a change at its value
decision owner	As defined in §A

Domain 1 — Foundations of Accounting for Project Controls

PCI standard

PCI-PCL-STD-01.01

Cost Cut-Off Integrity

1. Normative requirement. A credential holder must record each project cost in the reporting period in which the underlying work was performed or the goods or services were received, determined by the deliverable's stated **cut-off**.

2. Purpose. Controls a specific, observed failure: period-end cost is moved across the cut-off — by holding an invoice, by pre-booking work not yet done, or by an unwritten "we always close on the 25th" habit — and every downstream figure that consumes actual cost (cost performance index, estimate at completion, variance, accrual, forecast cash) becomes wrong while remaining internally consistent and therefore undetectable in the report itself.

3. Scope. All PCL-AI candidates and credential holders who prepare, process, review, approve or give assurance over project cost records, period-end cost positions, or the actual-cost feed into performance measurement — on any project of any size, under any delivery model, and under any accounting framework. It applies to management reporting; it does not decide the statutory accounting treatment, which is the responsibility of the entity's finance function.

4. Defined terms. *cut-off*, *accrual*, *commitment*, *evidence*, *material*, *approved*, *source record*, *decision owner*, *escalation threshold* — as defined in the Definitions section.

5. Required actions. The professional must apply a written cut-off rule to every reporting period, and must be able to show for any transaction which side of that rule it fell and why.

- **PCI-PCL-STD-01.01-PR-01 — Written cut-off rule.** The cut-off rule in force must state the date and time at which each source system is frozen, the treatment of goods received but not invoiced, the treatment of invoices received after the freeze, and the person who may authorise a departure; and it must be retained with the period's cost position.
- **PCI-PCL-STD-01.01-PR-02 — Boundary review.** Before the period's cost position is issued, the professional must review the transactions recorded either side of the cut-off within a window stated in the cut-off rule, and must trace each one to a dated receipt, service record or work record that places it on the side where it was recorded.
- **PCI-PCL-STD-01.01-PR-03 — Late-transaction register.** Every transaction recorded, moved, reversed or re-dated after the cut-off has been applied must be entered in a late-transaction register giving the amount, the underlying date relied on, the reason and the approver.
- **PCI-PCL-STD-01.01-PR-04 — Judgemental allocation log.** Where cost is allocated between periods, work packages or control accounts by judgement rather than by a source record, the basis of the allocation, the person who set it and the person who approved it must be recorded.

6. Prohibited actions. Holding a known cost out of the period in which it belongs; recording cost for work not yet performed or goods not yet received; re-dating a transaction to change the period it falls in; changing the cut-off date between periods to improve a reported result; issuing a cost position with no stated cut-off.

7. Required evidence. The cut-off rule in force for the period; the period-end reconciliation from the cost position to the ledger or cost system; the boundary-review record with the transactions tested and the exceptions found; the late-transaction register; the judgemental allocation log; the identity and date of the person who approved the period position.

8. Responsible role. The **cost engineer** for the preparation of the period cost position; the **project controls lead** for its issue. Where an entry is made in the books of account, the responsible finance controller holds that entry — this standard does not transfer that responsibility.

9. Approval authority. The **project controls lead** approves the period cost position. A departure from the cut-off rule may be approved only by the person the rule names, and only in writing before the position is issued.

10. Independence requirement. The boundary review under PR-02 must be performed by a person **independent** of the person who posted or approved the transactions being tested. On a project too small to provide one, independence is met from outside the project.

11. Materiality or threshold. The cut-off rule applies to every transaction without a value threshold — a cut-off with a de minimis is not a cut-off. The **materiality rule** decides two things only: which exceptions found in the boundary review must be corrected before issue rather than in the next period, and which reach the escalation threshold. The window tested under PR-02 is set by the adopting organisation's governance on the basis of its own invoice and goods-receipt lead times, and is stated in the cut-off rule. *Scaling:* on a USD 2 million refurbishment the window is typically a few days either side and the review is a complete pass of a short transaction list; on a USD 5 billion programme the same rule is executed as a dated query across each source system with sampling under PR-02's stated basis. The obligation is identical; only the execution scales.

12. Exception and waiver. A departure from the cut-off rule may be approved by the person named in the rule, for one period only, on a written justification stating the reason and the effect on the reported result. The compensating control is disclosure of the departure and its quantified effect in the same deliverable. A departure taken to change a reported result is never an exception; it is a breach. No exception is permitted to the requirement to state a cut-off.

13. Escalation trigger. Any instruction, request or pressure to record a cost in a period other than the one its underlying date supports; or the discovery of a cut-off departure that is **material** and was not disclosed.

14. AI application. AI may match invoices to goods receipts, purchase orders and commitments; flag transactions whose posting date and underlying document date diverge; rank boundary transactions by risk to focus the review; and draft the late-transaction register from system data.

15. AI prohibition. AI must not decide the period in which a cost is recognised, approve a period-end adjustment, authorise a departure from the cut-off rule, or certify a period as closed.

16. AI verification. Source tracing: for every AI-proposed match or reclassification that is material, the professional must open the underlying document and confirm the date and the amount against it, and must record the document reference. For non-material AI-proposed items, sampling on a basis stated in the verification record, with the whole population re-examined if the sample yields any error of principle.

> **17. External reference.**
>
> - **IFRS Foundation / IASB — IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*** Cited for the reporting boundary

between an accrual, a provision and a contingent liability, which the records this standard requires must be capable of supporting. Edition: in force; no clause number asserted. Nature: Manual §6 category 2, authoritative financial-reporting standard. Currency checked 2026-08-03 (register EXT-006). Applicability: mandatory only for entities applying IFRS Accounting Standards in a jurisdiction that has adopted them; it binds no one through this standard.

- **AACE International — *Total Cost Management Framework*.** Cited for the cost-control cycle within which period cut-off sits. Edition: not asserted — not independently verified. Nature: Manual §6 category 5, professional framework; not regulatory authority. Register EXT-064, unverified at 2026-08-03. Applicability: persuasive only, and only where an organisation adopts it.

18. Jurisdictional caution. Statutory recognition, capitalisation and tax deductibility of project cost follow local GAAP and local tax law. The controls position produced under this standard is not the statutory position, and must not be presented as one without advice from a qualified local accounting and tax adviser.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) and `PCI-FND-STD-06` (source and version integrity) govern. This standard adds the period-assignment obligation those foundational standards do not reach. See also `PCI-PCL-STD-01.02`, `PCI-PCL-STD-01.03`, `PCI-PCL-STD-05.01`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 1 Foundations of Accounting for Project Controls · KA 1.3 Accrual accounting and the matching concept — period cut-off and matching; KA 1.5 Chart of accounts and cost coding for projects. Also Domain 5 · KA 5.2 The cost control cycle.

21. Compliance test. Compliance is demonstrated when, for the period under review, all four hold: (a) a written cut-off rule stating a date and time is retained with the cost position; (b) for every transaction in the tested window, or for a sample selected on the basis stated in the verification record, the reviewer can name the dated document that places the transaction on the side of the cut-off where it was recorded; (c) every post-cut-off movement appears in the late-transaction register with an underlying date and an approver; and (d) the cost position reconciles to the ledger or cost system with every difference itemised and explained. A transaction for which the reviewer can name no such document is a failure of this test. Two reviewers applying (b) to the same window and the same sample basis produce the same list of exceptions.

22. Breach indicators. A cost position issued with no stated cut-off; a cut-off date that moves between periods without a recorded reason; invoices dated before the cut-off first posted several periods later; a spike of reversals in the days after each close; goods-received-not-invoiced balances that never age; a late-transaction register with entries but no approvers; period results that repeatedly land just inside a tolerance.

23. Consequence within PCI authority. Correction required and the output withheld until corrected; additional review of the credential holder's work; escalation within PCI's process; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal. Each is subject to due process and a right of appeal. PCI can impose no fine, no civil or criminal liability and no other consequence.

24. Examination application. Scenario judgement: a candidate is given a transaction list straddling a period end with supporting documents and must state which entries belong in the period and which do not, and identify the entry that cannot be supported. Escalation decision: an instruction to "leave that one until next month" from a person senior to the candidate. Evidence selection: choosing, from a list, the record that proves the period assignment.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 (initial draft in the mandatory structure); stages 4–13 outstanding · Approval date: not yet approved · Effective: on approval · Supersedes PCL-LAW-01-01 *Cost Recognition and Cut-Off* of the eighteen-field set; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-01.02

Accrual Completeness and Basis

1. Normative requirement. At each reporting **cut-off** a credential holder must include in the cost position an **accrual** for every quantity of work performed or goods and services received and not yet invoiced.

2. Purpose. Controls two opposite and equally corrosive failures. Omitted accruals understate actual cost, flatter the cost performance index, and delay bad news until the invoices arrive in a later period. Unsupported accruals create hidden reserve that is later released to absorb a deterioration nobody has to explain. Both destroy the ability of the cost position to mean anything.

3. Scope. All candidates and credential holders who prepare, review or approve period-end cost positions, accrual schedules, or the actual-cost feed into earned value and forecasting, on any project. Preparation, review and approval are all in scope; assurance over the accrual position is in scope.

4. Defined terms. *accrual*, *commitment*, *cut-off*, *evidence*, *material*, *objective evidence of progress*, *source record*, *competent reviewer*.

5. Required actions. The professional must build the accrual from evidence of what was received or performed, and must be able to show the derivation of every accrual line.

- **PCI-PCL-STD-01.02-PR-01 — Accrual register with basis.** Every accrual must be recorded as a line carrying its value, the work or goods it represents, the **source record** it was derived from, the method of derivation and the preparer's name.
- **PCI-PCL-STD-01.02-PR-02 — Completeness sweep against commitments.** Before issue, the accrual position must be tested against the open **commitment** population and the period's goods-receipt and progress records, and every commitment with receipted or performed value and no invoice and no accrual must be either accrued or explained in the register.
- **PCI-PCL-STD-01.02-PR-03 — True-up of the prior period.** Each prior-period accrual must be compared with the invoice or record that superseded it, and the difference recorded; a pattern of differences in one direction must be stated in the register with its cause.
- **PCI-PCL-STD-01.02-PR-04 — Separation of accrual from provision and contingency.** An accrual must not be used to carry an amount that is a provision, a contingency, a risk allowance or a management reserve; each must be recorded and reported separately.

6. Prohibited actions. Omitting a known liability from the period; suppressing accruals to protect a performance index; creating an accrual with no derivation; carrying an unallocated "cushion"; netting unrelated over- and under-accruals so that neither is visible; releasing an accrual to absorb an unrelated overspend.

7. Required evidence. The accrual register with a basis per line; the completeness-sweep record showing the commitment and receipt population tested and the exceptions; the prior-period true-up comparison; the reconciliation of accruals to the ledger; the approver's identity and date.

8. Responsible role. The **cost engineer** prepares; the **project controls lead** issues; the **control account owner** confirms the quantity of work performed for accruals in their control account. Entries in the books of account remain with the responsible finance controller.

9. Approval authority. The **project controls lead** approves the accrual position for controls purposes. An accrual that is material and rests on judgement rather than a source record must additionally be approved by the **decision owner** for the cost position.

10. Independence requirement. The completeness sweep under PR-02 must be performed or re-performed by a person **independent** of the person who set the accrual values. Independence is not required for the mechanical derivation of accruals from receipt records.

11. Materiality or threshold. Every accrual is required regardless of value; there is no de minimis for completeness, because a population of small omissions is exactly how a material omission is assembled. The **materiality rule** decides which individually judgemental accruals need the second approval under element 9, and which true-up differences must be explained rather than merely recorded. *Scaling:* on a USD 2 million refurbishment the sweep is a line-by-line comparison of an open-order report against the accrual register; on a USD 5 billion programme it is an automated exception report against the same rule, sampled for testing. The rule does not change with project size — only the instrument that executes it.

12. Exception and waiver. No exception is permitted to the completeness obligation. Where a liability is known to exist but cannot yet be measured, the professional must record it in the accrual register at the best estimate available with the estimation uncertainty stated, and must not omit it. Where no estimate at all is possible, the item must be disclosed in the cost position as an unmeasured known liability, with the reason.

13. Escalation trigger. Discovery that a known liability was excluded from the accrual position; an instruction to reduce or delay an accrual without a change in the underlying receipt or progress evidence; an accrual for which no basis can be produced on request.

14. AI application. AI may propose accrual candidates from commitment, timesheet, goods-receipt and progress data; detect commitments with receipted value and no invoice; compare the accrual pattern with prior periods and flag gaps; and draft the register.

15. AI prohibition. AI must not determine that the accrual position is complete, set the value of a judgemental accrual, approve the period position, or certify that a liability does not exist.

16. AI verification. Reconciliation and source tracing: the professional must reconcile the AI-proposed accrual population to the open-commitment and goods-receipt reports in total and by control account, and must trace every material AI-proposed accrual to the receipt or progress record that supports it. Where AI reports "no missing accruals", the professional must test that conclusion by re-running the completeness sweep independently of the tool, because a tool cannot evidence an absence.

17. External reference.

- **IFRS Foundation / IASB — IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*** Cited for the boundary between accruals, provisions and contingent liabilities that PR-04 keeps visible. Edition: in force; no clause number asserted. Nature: Manual §6 category 2, authoritative financial-reporting standard. Currency checked 2026-08-03 (register EXT-006). Applicability: entities applying IFRS Accounting Standards in an adopting jurisdiction only.

18. Jurisdictional caution. Whether an item is an accrual, a provision or a contingent liability in the statutory accounts is a local-GAAP determination made by the reporting entity. Obtain local accounting advice before treating the controls accrual position as the statutory position.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs; this standard adds the completeness obligation and the prohibition on unsupported accrual, which the foundational standard does not reach. See also `PCI-PCL-STD-01.01`, `PCI-PCL-STD-05.01`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-12.02`.

20. Related Body of Knowledge content. PCL-AI · Domain 1 · KA 1.3 Accrual accounting and the matching concept; KA 1.4 Cost provisions and cost accruals. Also Domain 6 · KA 6.1 EVM fundamentals — actual cost.

21. Compliance test. Compliance is demonstrated when, at the period under review: (a) every line in the accrual register carries a value, a source record reference and a derivation method; (b) the completeness sweep record shows the open-commitment and goods-receipt population tested, and every item in that population with received value, no invoice and no accrual carries a written explanation; (c) each prior-period accrual is matched to the invoice or record that superseded it, with the difference stated; and (d) no register line is described only as contingency, reserve, cushion, rounding or "management adjustment". A reviewer selecting any five register lines can, from retained records alone, reproduce each value. Two reviewers performing (b) on the same population return the same exception list.

22. Breach indicators. Accrual totals that are round numbers or identical between periods; accruals released in the same period as an unrelated overspend; goods-received-not-invoiced balances materially larger than the accrual position; true-up differences consistently in one direction; a register line with no source reference; subcontractor progress records that do not appear anywhere in the accrual derivation.

23. Consequence within PCI authority. Correction required and the output withheld until corrected; additional review; escalation within PCI's process; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: a candidate is given an open-commitment report, a goods-receipt listing and a draft accrual register, and must identify the omitted liability and the unsupported accrual. Ethical dilemma: a request to "hold the accrual until the claim is agreed".

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Supersedes PCL-LAW-01-02 *Accrual Completeness*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-01.03

Cost Classification and Cost-Code Integrity

1. Normative requirement. A credential holder must code each project cost to the cost code and **control account** that represents the work the cost was incurred on.

2. Purpose. Controls the failure that makes every other cost control unenforceable: cost coded to where budget remains rather than to where the work happened. Miscoding is invisible at project total, survives every reconciliation of totals, and destroys variance analysis, earned value, unit-rate history and the estimating database built from it — often for years after the project closes.

3. Scope. All candidates and credential holders who assign, review, approve, correct or give assurance over cost coding, chart-of-accounts structure, or the mapping between the cost breakdown structure and the work breakdown structure. It covers preparation, review, approval and assurance, and applies to reclassification after original posting as strictly as to original posting.

4. Defined terms. *control account*, *source record*, *evidence*, *material*, *approved*, *duplicate cost*, *competent reviewer*, *escalation threshold.*

5. Required actions. The professional must code cost by reference to the work performed, evidenced by the source record, and must record every reclassification with its reason.

- **PCI-PCL-STD-01.03-PR-01 — Coding structure mapped and published.** The cost breakdown structure in use must be mapped to the work breakdown structure and to the control account structure, the mapping must be published to those who code cost, and each code must carry a written definition of what belongs in it.

- **PCI-PCL-STD-01.03-PR-02 — Reclassification record.** Every movement of recorded cost between cost codes or control accounts after original posting must be recorded with the amount, the origin, the destination, the reason, the preparer and the approver, and must be visible in the period in which it is made.
- **PCI-PCL-STD-01.03-PR-03 — Suspense and holding codes.** Cost held in a suspense, holding, unallocated or interface code must be reported separately from coded cost, must carry the date it entered suspense, and must be cleared to a definitive code within the period stated by the adopting organisation's governance.

6. Prohibited actions. Coding cost to a code because budget remains there; coding to a code because the correct code is closed, overspent or attracts scrutiny; leaving cost in suspense to avoid showing a variance; reclassifying cost after a report has been issued without recording the reclassification; creating or reopening a code to absorb an overspend.

7. Required evidence. The published coding structure with code definitions; the mapping to the work and control account structures; the reclassification record for the period; the suspense-code ageing report; the source records supporting a sample of coded transactions.

8. Responsible role. The **cost engineer** for the coding of transactions; the **control account owner** for confirming that cost charged to their control account represents work performed there; the **project controls lead** for the integrity of the structure and the reclassification record.

9. Approval authority. The **project controls lead** approves changes to the coding structure. A reclassification that is **material** must be approved by the **control account owner** losing the cost and the **control account owner** receiving it, both recorded.

10. Independence requirement. Approval of a material reclassification must not rest solely with the person who prepared it. The reviewer of the coding sample under element 21 must be **independent** of the person who coded the transactions tested.

11. Materiality or threshold. Coding correctness is required for every transaction; there is no value threshold below which miscoding is acceptable, because unit-rate history is built from small transactions. The **materiality rule** decides which reclassifications require dual control-account approval and which reach the escalation threshold. The suspense-clearance period is set by the adopting organisation's governance and stated in its cost procedure. *Scaling:* on a USD 2 million refurbishment a handful of codes and a monthly manual review satisfy this standard; on a USD 5 billion programme the same obligation is met by validation rules at the point of entry plus exception reporting, because manual review of the population is not possible — the standard requires the outcome, not the method.

12. Exception and waiver. Temporary use of a holding code is permitted where the correct code cannot be determined at the time of posting, provided PR-03 is satisfied. No exception is permitted to the reclassification record, and none to the prohibition on coding by budget availability.

13. Escalation trigger. An instruction to code cost to a control account other than the one where the work was performed; discovery of a material miscoding that has already been reported externally; suspense balances that exceed the clearance period and are material.

14. AI application. AI may propose a cost code from the invoice text, the purchase order, the requisition and historical coding patterns; detect coding anomalies against those patterns; identify probable **duplicate cost**; and draft the reclassification record.

15. AI prohibition. AI must not finally assign a cost code without human confirmation where the assignment is material or where the tool's confidence is below the threshold set under element 11; must not approve a reclassification; and must not clear a suspense balance.

16. AI verification. Sampling with a stated basis plus source tracing: the professional must test AI-assigned codes against the underlying invoice, purchase order or work record, using a sample stratified to include the highest-value assignments, the lowest-confidence assignments and a random selection of the remainder; must record the sample basis, the size and the error rate; and must re-code the whole affected population where an error of principle is found rather than correcting only the sampled item.

17. External reference.

- **AACE International — *Total Cost Management Framework.*** Cited for the role of the cost breakdown structure in the cost-control cycle. Edition not asserted — not independently verified. Nature: Manual §6 category 5, professional framework; not regulatory authority. Register EXT-064, unverified at 2026-08-03. Applicability: persuasive only, on adoption.
- **DAMA International — *DAMA-DMBOK: Data Management Body of Knowledge.*** Cited only for the existence of reference-data and master-data disciplines that a coding structure depends on. Edition: 2nd edition (2017) recorded in the register; no content reproduced or structurally mirrored. Nature: Manual §6 category 7, industry guidance. Currency checked 2026-08-03 (register EXT-092). Applicabil-

ity: a commercially published body of knowledge with no standard-setter's authority; persuasive only.

18. Jurisdictional caution. The statutory chart of accounts, the treatment of capital versus revenue expenditure and the tax classification of project cost are matters of local law and local accounting policy. A controls cost code is not a statutory account, and mapping between them requires advice from the entity's accounting function.

19. Related PCI Standards. `PCI-FND-STD-07` (data lineage) governs; this standard adds the domain-specific obligation that lineage runs to the *work*, not merely to the *system of origin*. See also `PCI-PCL-STD-01.01`, `PCI-PCL-STD-03.01`, `PCI-PCL-STD-05.01`, `PCI-PCL-STD-13.02`.

20. Related Body of Knowledge content. PCL-AI · Domain 1 · KA 1.5 Chart of accounts and cost coding for projects. Also Domain 5 · KA 5.3 Cost breakdown and control accounts.

21. Compliance test. Compliance is demonstrated when: (a) a published mapping exists between the cost breakdown structure, the work breakdown structure and the control accounts, and every code carries a written definition; (b) for a sample of transactions selected on a stated basis, the reviewer can name the source record that shows the work the cost was incurred on, and that record supports the code used; (c) every reclassification in the period appears in the reclassification record with a reason and two named approvers where the materiality rule requires them; and (d) no suspense balance exceeds the clearance period without a recorded reason. Two reviewers testing the same sample against the same code definitions reach the same exception list — which is why the written code definitions in (a) are part of the test and not an administrative nicety.

22. Breach indicators. Reclassification volume rising towards period end; cost codes whose spend tracks their remaining budget rather than their work; a suspense balance that never falls; codes with definitions that overlap; transfers between control accounts with a reason recorded as "realignment"; unit rates derived from the system that practitioners privately distrust.

23. Consequence within PCI authority. Correction required and the output withheld until corrected; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: given four invoices and a coding structure, the candidate identifies the transaction coded to the wrong control account and names the record that proves it. Scenario judgement: a control account owner asks for a transfer "to tidy up the presentation" days before a governance review.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — no predecessor in the eighteen-field set, which addressed cost coding only inside PCL-LAW-01-01.

Domain 3 — Budgeting & Forecasting

PCI standard

PCI-PCL-STD-03.01

Scope Completeness of the Performance Measurement Baseline

1. Normative requirement. A credential holder must ensure that the **performance measurement baseline** contains all of the authorised scope and none of the unauthorised scope.

2. Purpose. Controls the failure that makes a baseline dishonest from the first day: work that is known to be required is left out of the baseline — because its estimate is uncomfortable, because it "sits with another party", or because nobody owned it — so that every variance thereafter is measured against a target the project was never going to meet, and the first forecast increase is presented as a surprise when it was a certainty.

3. Scope. All candidates and credential holders who prepare, review, approve or give assurance over a baseline or a baseline component, on any project of any size and any delivery model, predictive or adaptive. It applies at original baselining, at every **re-baseline**, and at the incorporation of any approved change.

4. Defined terms. *performance measurement baseline*, *control account*, *approved*, *evidence*, *material*, *decision owner*, *competent reviewer*, *escalation threshold*.

5. Required actions. The professional must trace the authorised scope into the baseline and demonstrate that the trace is complete in both directions.

- **PCI-PCL-STD-03.01-PR-01 — Two-way scope trace.** Every element of authorised scope must be traced to at least one baseline element, and every baseline element must be traced back to authorised scope; both directions must be recorded, and every unmatched item on either side must carry a written disposition.

- **PCI-PCL-STD-03.01-PR-02 — Work and cost breakdown alignment.** The work breakdown structure and the cost breakdown structure must be mapped to one another so that each control account has a single defined scope, a single budget and no scope shared with another control account; overlaps and gaps found in the mapping must be resolved before approval, not annotated.
- **PCI-PCL-STD-03.01-PR-03 — Named control account ownership.** Every control account must carry the name of one individual accountable for its scope, budget, schedule and cost before the baseline is approved; a control account with no named owner, or with a team, function or role title in place of a name, must not be included in an approved baseline.
- **PCI-PCL-STD-03.01-PR-04 — Time-phasing to the schedule.** Each control account budget must be distributed across time using the approved schedule dates for the work it funds, and the distribution method for each control account must be recorded; budget must not be time-phased by spreading evenly, by matching a funding profile, or by any method not stated in the record.
- **PCI-PCL-STD-03.01-PR-05 — Excluded scope stated.** Scope that is known, expected or foreseen but deliberately excluded from the baseline must be listed in an exclusions register issued with the baseline, with the reason for exclusion and the party expected to carry it.

6. Prohibited actions. Approving a baseline with authorised scope missing; including scope not yet authorised in order to absorb a budget; carrying an unallocated lump that is not traceable to scope; leaving a control account without a named owner; time-phasing budget to match a desired cash or performance profile rather than the schedule; recording a known exclusion nowhere.

7. Required evidence. The two-way scope trace with dispositions; the work-to-cost breakdown mapping; the control account register with named owners; the time-phasing record stating the method per control account; the exclusions register; the approval record for the baseline version.

8. Responsible role. The **project controls lead** for the completeness of the baseline as assembled; each **control account owner** for the completeness of their own control account; the **baseline approval authority** for the decision to approve.

9. Approval authority. The **baseline approval authority** approves the baseline. A control account may enter an approved baseline only with its **control account owner**'s recorded acceptance.

10. Independence requirement. The two-way scope trace must be performed or re-performed by a person **independent** of the estimator and of the person who assembled the baseline. Independence is not required for the mechanical mapping under PR-02.

11. Materiality or threshold. Completeness is absolute in principle — every element of authorised scope must appear — and the **materiality rule** governs only the consequence of a gap found: whether it must be closed before approval, or may be approved with the gap disclosed and closed by a stated date. *Scaling:* on a USD 2 million refurbishment the two-way trace is a single table with tens of rows; on a USD 5 billion programme it is executed tier by tier, each tier tracing to the tier above, and the professional must record the tier at which the trace was performed. In both cases the test in element 21 is the same test.

12. Exception and waiver. A baseline may be approved with an identified scope gap only where the **baseline approval authority** records the gap, its estimated value, the reason it cannot be closed, the date by which it will be closed, and the compensating control (a stated allowance held outside the control account, disclosed as such). No exception is permitted to PR-03 or PR-05.

13. Escalation trigger. Discovery that authorised scope is absent from an approved baseline and the absence is **material**; an instruction to approve a baseline whose scope trace is incomplete; a control account presented for approval with no named owner.

14. AI application. AI may compare scope documents, contract schedules, estimates and the work breakdown structure to propose candidate gaps and overlaps; cluster similar scope descriptions across documents; and draft the two-way trace table.

15. AI prohibition. AI must not determine that scope is complete, approve a baseline, assign control account ownership, or decide that a scope item is out of scope.

16. AI verification. Clause-to-summary comparison plus source tracing: for every AI-proposed match, the professional must open the underlying scope document and confirm that the matched text describes the same work; for every AI-reported gap the professional must confirm the gap against the authorising document; and because a tool cannot evidence an absence, an AI report of "no gaps" must be tested by an independent manual trace of a sample stratified by value and by scope interface.

> **17. External reference.**
>
> - **AACE International — *Total Cost Management Framework.*** Cited for baseline and control-account concepts in the cost-control cycle. Edition not asserted — unverified. Nature: Manual §6 category 5,

professional framework. Register EXT-064, unverified at 2026-08-03. Persuasive only, on adoption.

- **Project Management Institute — *A Guide to the Project Management Body of Knowledge (PMBOK Guide).*** Cited for the concept of a performance measurement baseline. Edition deliberately not asserted. Nature: Manual §6 category 5, professional framework; not regulatory authority. Register EXT-060, checked 2026-08-03. Persuasive only.

18. Jurisdictional caution. Whether scope is authorised is a contractual and corporate-authority question determined by the governing contract and the entity's delegation of authority. Where the answer is contested, it requires advice from qualified counsel and is not settled by this standard.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs. This standard adds the two-way completeness obligation and named control-account ownership, neither of which is a foundational requirement. See also `PCI-PCL-STD-03.02`, `PCI-PCL-STD-03.03`, `PCI-PCL-STD-01.03`, `PCI-PCL-STD-05.03`, `PCI-PCL-STD-06.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 3 · KA 3.1 Budgeting fundamentals; KA 3.3 The time-phased budget / cost baseline (Planned Value). Also Domain 5 · KA 5.3 Cost breakdown and control accounts; Domain 8 · KA 8.2 Planning.

21. Compliance test. Compliance is demonstrated when: (a) a two-way trace record exists in which every authorised scope element names at least one baseline element and every baseline element names its authorising document, with a written disposition against each unmatched item; (b) every control account in the approved baseline names one individual owner; (c) each control account's time-phasing record states the method used and that method refers to schedule dates; and (d) an exclusions register was issued with the baseline. A reviewer picking any three authorised scope elements at random can locate each in the baseline, and picking any three control accounts can name their owners and their time-phasing method. Two reviewers performing (a) on the same documents produce the same unmatched list.

22. Breach indicators. A baseline whose total equals a funding limit exactly; control accounts owned by a department; budget spread evenly across a duration for work known to be back-loaded; scope described in the estimate but absent from the work breakdown structure; an unallocated budget line; the first forecast increase arriving in the first reporting period after approval.

23. Consequence within PCI authority. Correction required and the baseline withheld from use until corrected; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a candidate receives an authorised scope list, a work breakdown structure and a control account register, and must identify the missing scope, the ownerless control account and the control account with shared scope. Escalation decision: pressure to approve a baseline before the trace is complete because a board date is fixed.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-03-02 *Baseline Integrity*, which bundled scope completeness, approval and change control into one requirement; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-03.02

Baseline Approval, Version Control and the Change Prohibition

1. Normative requirement. A credential holder must not alter an approved **performance measurement baseline** except by incorporating an **approved change** or by an authorised **re-baseline** under PCI-PCL-STD-03.03.

2. Purpose. Controls the quiet failure in which the target moves to meet the result. A baseline that can be edited between reports makes variance meaningless, makes earned value arithmetic unauditable, and removes the only fixed point against which a project can be held to account — and because the edit is usually small and well-intentioned, it is rarely recorded and almost never detected without version control.

3. Scope. All candidates and credential holders who hold, edit, publish, review, approve or give assurance over a baseline or any of its components — scope, time-phased budget or schedule — on any project. It applies to the baseline files themselves and to every derived artefact that restates them.

4. Defined terms. *performance measurement baseline*, *approved*, *change*, *re-baseline*, *current*, *material*, *evidence*, *reproducible*.

5. Required actions. The professional must hold the approved baseline under version control and must be able to show what changed between any two versions and why.

- **PCI-PCL-STD-03.02-PR-01 — Version identity.** Every issued baseline must carry a unique version identifier, its approval date, the approver's name and the identifier of the version it supersedes; and every deliverable that reports variance must state the baseline version it was measured against.

- **PCI-PCL-STD-03.02-PR-02 — Immutable retained copy.** The approved copy of each baseline version must be retained in a form that cannot be edited in place, so that any later version can be compared with it line by line.
- **PCI-PCL-STD-03.02-PR-03 — Change-to-baseline register.** Each movement between two baseline versions must be reconciled, line by line, to the approved changes or the authorised re-baseline that caused it, and any movement that reconciles to neither must be reversed before the new version is issued.
- **PCI-PCL-STD-03.02-PR-04 — Schedule baseline held to the same rule.** The approved schedule baseline dates must not be altered by a progress update, a re-scheduling run, a calendar change or a logic change; only an approved change or an authorised re-baseline may alter them.

6. Prohibited actions. Editing an approved baseline in place; re-issuing a baseline without a new version identifier; reporting variance without naming the baseline version; moving budget between control accounts without an approved change; allowing a scheduling tool to overwrite baseline dates during a status update; retaining only the current version.

7. Required evidence. The version register; the retained immutable copies; the line-by-line reconciliation between consecutive versions; the approved changes referenced by that reconciliation; the approval record for each version.

8. Responsible role. The **project controls lead** for baseline custody and version control; the **planner** for the schedule baseline; the **baseline approval authority** for approval.

9. Approval authority. The **baseline approval authority** approves each baseline version. No other person may authorise a change to an approved baseline, and authority to approve a change of a given value is set by the adopting organisation's recorded delegation of authority.

10. Independence requirement. The reconciliation under PR-03 must be performed by a person **independent** of the person who assembled the new version. Custody of the immutable copies must not sit with the person who edits the working baseline.

11. Materiality or threshold. The prohibition applies to any alteration of any size — a materiality threshold on a baseline edit would defeat the standard, because the defeat is assembled from individually immaterial edits. The **materiality rule** governs only which unreconciled movements must be escalated as opposed to corrected and recorded. *Scaling:* on a USD 2 million refurbishment version control is met by dated, read-only copies in a controlled folder; on a USD 5 billion programme by a managed repository with checksums. Both satisfy PR-02; neither is required to buy a tool.

12. Exception and waiver. No exception is permitted to the prohibition in element 1. A correction of a demonstrable clerical error in an approved baseline — a transposed figure, a mis-keyed date — may be made by the **baseline approval authority** on a written record showing the original value, the corrected value, the evidence of the error and the effect on reported variance, issued as a new version and disclosed in the next report. That is a correction, not a change, and it is the only route.

13. Escalation trigger. Discovery of a baseline movement that reconciles to no approved change; an instruction to adjust the baseline to reduce a reported variance; the absence of a retained copy of a superseded version.

14. AI application. AI may compare two baseline versions and produce the line-by-line difference; match each difference to entries in the change register; and draft the reconciliation for review.

15. AI prohibition. AI must not approve a baseline version, decide that a movement is justified, apply a change to a baseline without recorded human approval, or delete or overwrite a retained version.

16. AI verification. Independent recomputation and reconciliation: the professional must confirm the AI-produced difference by re-running the comparison in a second, independent manner (a different tool, a pivot of the two files, or a manual check of the totals by control account), must confirm that the sum of the matched changes equals the movement in total and by control account, and must personally examine every difference the tool could not match.

17. External reference.

- **SAE International (ANSI-accredited) — ANSI/EIA-748 *Earned Value Management Systems.*** Cited for the existence of a recognised set of management-system expectations under which baseline control operates. **Edition and guideline count deliberately not asserted**, because the guideline count changed at the most recent revision. Nature: a **national standard** — Manual §6 **category 11**, which binds only where a contract or procurement regime imports it. Currency checked 2026-08-03 (register EXT-130 / EXT-090). Applicability: binding only where a contract or a procurement regime imports it; it imposes nothing through this standard.
- **ISO — ISO 21508 *Earned value management in project and programme management.*** Cited for the existence of an international treatment of baseline control. Edition: 2018 recorded in the register, with a second edition in development; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked

2026-08-03 (register EXT-029). Applicability: voluntary unless adopted by regulation or contract.

18. Jurisdictional caution. Where a contract or a public procurement regime imports a management-system standard, its requirements are contractual or regulatory obligations of that project and may exceed this standard. Their interpretation is a matter for qualified counsel and the contract administrator.

19. Related PCI Standards. `PCI-FND-STD-06` (source and version integrity) and `PCI-FND-STD-13` (no silent override) govern. This standard adds the specific prohibition on baseline alteration and the line-by-line reconciliation obligation. See also `PCI-PCL-STD-03.01`, `PCI-PCL-STD-03.03`, `PCI-PCL-STD-05.04`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-10.03`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 3 · KA 3.3 The time-phased budget / cost baseline (Planned Value). Also Domain 5 · KA 5.4 Change control and cost impact; Domain 6 · KA 6.1 EVM fundamentals.

21. Compliance test. Compliance is demonstrated when a reviewer can take the two most recent approved baseline versions, subtract one from the other by control account, and match every difference to an entry in the change register or to an authorised re-baseline, with no residual; and when every performance report issued in the period names the baseline version it used, and that version exists in the retained set. An unmatched residual of any value is a failure of this test. Two reviewers performing this subtraction on the same two files obtain the same residual.

22. Breach indicators. A baseline file whose modification date falls after its approval date; performance reports that do not name a baseline version; control account budgets that move between reports with no corresponding change entry; a schedule whose baseline dates changed after a status update; superseded versions unavailable; a variance that improves without a corresponding recovery in the work.

23. Consequence within PCI authority. Correction required and the affected reports withheld or reissued; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: the candidate is given two baseline versions and a change register and must identify the movement that no change supports. Ethical dilemma: a request to "just realign the phasing" before a governance review, with no change raised.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-03-02 *Baseline Integrity*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-03.03

Authority to Re-baseline

1. Normative requirement. A credential holder must not use a **re-baseline** for performance measurement until the **baseline approval authority** has approved it in writing.

2. Purpose. Controls the most consequential legitimate act in project controls being performed informally. A re-baseline erases accumulated variance; done without authority, it converts a visible, accountable failure into an invisible fresh start, and destroys the record that would have shown whether the original plan was ever achievable.

3. Scope. All candidates and credential holders who propose, prepare, review, approve or give assurance over a re-baseline, a re-programme, a re-plan, a budget reallocation that resets variances, or an equivalent act under any name, on any project. Scope includes partial re-baselines of one control account or one phase.

4. Defined terms. *re-baseline*, *performance measurement baseline*, *approved*, *material*, *decision owner*, *evidence*, *escalation threshold.*

5. Required actions. The professional must present a re-baseline as a decision with its cost recorded, not as an administrative refresh.

- **PCI-PCL-STD-03.03-PR-01 — Statement of accumulated variance.** The re-baseline submission must state the cost and schedule variance accumulated against the outgoing baseline at the effective date, by control account, and must state that these variances will no longer be visible in subsequent reporting.
- **PCI-PCL-STD-03.03-PR-02 — Reason and alternatives.** The submission must state the reason for re-baselining, why the outgoing baseline can no longer serve as a measurement basis, and what alternative to re-baselining was considered.
- **PCI-PCL-STD-03.03-PR-03 — Effective date and no retrospection.** The re-baseline must carry an effective date, and performance for periods before that date must continue to be reported against the outgoing baseline; historical variance must not be restated onto the new baseline.
- **PCI-PCL-STD-03.03-PR-04 — Retention of the outgoing baseline.** The outgoing baseline and its final variance position must be retained for

the retention period of the project record and must remain retrievable for comparison.

- **PCI-PCL-STD-03.03-PR-05 — Aggregation of partial and successive re-baselines.** Partial re-baselines of separate control accounts or phases, and successive re-baselines within the period the adopting organisation's delegation states, must be aggregated for the purpose of determining which authority approves, and the aggregation applied must be recorded with each submission. Where the aggregate accumulated variance removed reaches the level at which the delegation requires a higher authority, that authority approves, and a series of separately approved partial re-baselines must not be used in place of it.

6. Prohibited actions. Re-baselining to remove an adverse variance rather than because the baseline no longer represents the authorised plan; applying a re-baseline retrospectively; presenting a re-baseline as a routine update; discarding the outgoing baseline; re-baselining one control account to absorb another's overspend.

7. Required evidence. The re-baseline submission with PR-01 and PR-02 content; the written approval naming the approver and the effective date; the retained outgoing baseline and its final variance; the reporting record showing pre-effective-date periods still measured against the outgoing baseline; the aggregation record required by PR-05.

8. Responsible role. The **project controls lead** prepares and submits; the **baseline approval authority** approves; the **decision owner** for the project accepts the consequence for reporting.

9. Approval authority. The **baseline approval authority** alone, in writing, before use. Where the adopting organisation's delegation places a re-baseline of a stated value or effect above that authority, the higher authority named in the delegation approves.

10. Independence requirement. The **baseline approval authority** must be **independent** of the person who prepared the re-baseline, and must not hold a performance benefit that turns on the removal of the accumulated variance.

11. Materiality or threshold. Approval is required for every re-baseline, of any value, because a re-baseline is a change in the measurement basis rather than a quantum. The adopting organisation's delegation of authority sets which level approves, and the **materiality rule** determines which re-baselines must additionally be disclosed to external recipients of prior reports. *Scaling:* on a USD 2 million refurbishment the approval is a single recorded decision by the project sponsor; on a USD 5 billion programme the same standard operates through the tiered delegation already in place. Neither case permits a re-baseline by silence.

12. Exception and waiver. No exception is permitted. Where a re-baseline is needed urgently — for example after a contractual reset — the approval may be given provisionally in writing with a stated expiry, on condition that the full submission follows by a stated date; a provisional approval that expires without the submission voids the re-baseline and reporting reverts to the outgoing baseline.

13. Escalation trigger. A re-baseline proposed with the effect, and without the stated purpose, of removing an adverse variance; use of a re-baseline before written approval; a request to restate history onto the new baseline.

14. AI application. AI may compute accumulated variance by control account for PR-01, model alternative re-baseline options, and draft the submission's factual sections.

15. AI prohibition. AI must not approve a re-baseline, decide that one is warranted, set its effective date, or generate the justification presented as the preparer's reasoning.

16. AI verification. Independent recomputation: the professional must recompute the accumulated variance in PR-01 from the outgoing baseline and the actual position without using the tool that produced it, and must reconcile the two results before the submission is issued.

> **17. External reference.**
>
> - **ISO — ISO 21508 *Earned value management in project and programme management.*** Cited for the existence of an international treatment of baseline maintenance. Edition: 2018 per register, second edition in development; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-029). Voluntary unless adopted by contract or regulation.

> **18. Jurisdictional caution.** Where a contract, a funder's conditions or a public-sector approval regime governs re-baselining, those requirements prevail over this standard and their interpretation belongs to qualified counsel and the contract administrator.

19. Related PCI Standards. `PCI-FND-STD-13` (no silent override) governs; this standard adds the specific approval, disclosure and retention obligations for the act that most often constitutes a silent override in project controls. See also `PCI-PCL-STD-03.01`, `PCI-PCL-STD-03.02`, `PCI-PCL-STD-04.03`, `PCI-PCL-STD-12.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 3 · KA 3.3 The time-phased budget / cost baseline. Also Domain 12 · KA 12.3 Contingency and management reserve — drawing down and re-baselining; Domain 5 · KA 5.4 Change control and cost impact.

21. Compliance test. Compliance is demonstrated when, for each re-baseline in the period under review: (a) a written approval exists, dated before the first report measured against the new baseline, naming the approver; (b) the submission states accumulated variance by control account at the effective date; (c) reports for periods before the effective date, as retained, still show variance against the outgoing baseline; (d) the outgoing baseline is retrievable; and (e) the reviewer totals the accumulated variance removed by **every** re-baseline in the period, partial and whole, and confirms that the aggregate was approved at the authority the delegation requires for that total rather than only at the authority each part required on its own. A report measured against a new baseline before the approval date is a failure of this test, and the test needs no judgement to reach it: the two dates are either in that order or they are not. A series of partial re-baselines whose aggregate exceeds the authority that approved them is a failure of this test even where each part was approved.

22. Breach indicators. Variance that resets to zero across control accounts in one period; a re-baseline effective date that precedes its approval date; prior-period reports reissued showing different variances; the outgoing baseline no longer retrievable; a re-baseline immediately preceding a governance review or an incentive measurement date.

23. Consequence within PCI authority. Correction required and the reissued reports withheld; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Ethical dilemma: the candidate is asked to re-baseline before a board meeting so that "the variance conversation can be about the future". Evidence selection: identifying which document proves a re-baseline was authorised, from a set including an email chain, a minute and a signed approval.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — the eighteen-field set treated re-baselining only as a clause inside PCL-LAW-03-02. **Stage 9 amendment:** the red-team found that the standard could be complied with in full by re-baselining one control account at a time, each within the lowest approval band, so that no authority ever saw the reset the series achieved; PR-05 and limb (e) of element 21 close that route by aggregating partial and successive re-baselines for banding.

PCI STANDARD

PCI-PCL-STD-03.04

Completeness of the Estimate at Completion

1. Normative requirement. A credential holder must construct the estimate at completion so that it includes every known cost effect on the remaining work at the **cut-off**.

2. Purpose. Controls the most common professional failure in project controls: a forecast that is wrong not because the arithmetic is wrong but because something known was left out — a signed change not yet in the ledger, a trend everyone discusses and nobody quantifies, a committed rate increase, an exposure carried in the risk register and nowhere else. Each omission is defensible alone; together they are the reason forecasts move in one direction.

3. Scope. All candidates and credential holders who prepare, review, approve or give assurance over an estimate at completion, an estimate to complete, a cost forecast, a cash-flow forecast or a funding request, on any project and under any contract type.

4. Defined terms. *cut-off*, *commitment*, *accrual*, *approved change*, *trend*, *material*, *evidence*, *escalation threshold*, *reproducible*.

5. Required actions. The professional must assemble the estimate at completion from stated components and must show that each component was considered, whether or not it produced a value.

- **PCI-PCL-STD-03.04-PR-01 — Written basis of the forecast.** Every issued forecast must be accompanied by a written basis stating the method used, the assumptions relied on, the items deliberately excluded, the known uncertainties, and the name of the preparer; a forecast issued without that basis must not be relied on for a decision.
- **PCI-PCL-STD-03.04-PR-02 — Estimate to complete built from remaining work.** The estimate to complete must be built from the remaining quantities, resources, durations and rates required to finish the work; deriving it only by subtracting actual cost from a target is prohibited, and where a formula-based estimate to complete is used it must be reconciled to the bottom-up figure with the difference explained.
- **PCI-PCL-STD-03.04-PR-03 — Trend inclusion.** Every entry in the trend register that is not yet an approved change and not yet an actual cost must be either included in the forecast at a stated value or listed as excluded with the reason; a trend register that exists but does not reconcile to the forecast is a breach of this process requirement.
- **PCI-PCL-STD-03.04-PR-04 — Approved-change inclusion.** Every approved change with a cost effect must be reflected in the forecast in the

period in which it was approved, and the forecast must reconcile to the approved-change register in total.

- **PCI-PCL-STD-03.04-PR-05 — Risk and contingency treatment stated.** The forecast must state whether risk exposure and contingency are included, and if included, at what basis; risk-adjusted and unadjusted figures must not be presented as though they were the same number, and contingency must be shown as a separate line rather than distributed into control account forecasts.
- **PCI-PCL-STD-03.04-PR-06 — Schedule alignment.** The forecast must use the same schedule status, completion dates and duration assumptions as the current approved schedule status report; where the forecast assumes dates different from the schedule, the difference and its cost effect must be stated in the basis.

6. Prohibited actions. Issuing a forecast that omits a known cost effect; presenting an estimate to complete derived only by subtraction as though it were built from remaining work; excluding a trend because it is not yet approved; distributing contingency into control account forecasts so that it absorbs overspend invisibly; forecasting to a target; issuing a forecast with no basis.

7. Required evidence. The written basis of the forecast; the reconciliation of the forecast to actual cost, commitments, accruals, the approved-change register, the trend register and the risk position; the bottom-up estimate to complete; the schedule status report used; the approver's identity and date.

8. Responsible role. The **cost engineer** prepares the control account forecast; the **control account owner** confirms the remaining work assumptions; the **project controls lead** assembles and issues the project forecast.

9. Approval authority. The **decision owner** for the cost position approves the issued forecast, after the challenge required by `PCI-PCL-STD-03.05`.

10. Independence requirement. Preparation may be performed by the cost engineer who owns the control account. The challenge under `PCI-PCL-STD-03.05` must be **independent**; this standard does not require independent preparation, because a forecast prepared by someone without knowledge of the remaining work is worse, not better.

11. Materiality or threshold. Every known cost effect must be considered, with no value threshold for consideration — the threshold applies to *quantification*: an effect below the **materiality rule** may be recorded as considered and immaterial rather than separately valued, and that record is itself required. *Scaling:* on a USD 2 million refurbishment the trend register may hold ten items, each individually quantified; on a USD 5 billion programme trends are quantified by control account with a stated aggregation rule, and the professional must record that rule. In both cases an item may be excluded only with a written reason.

12. Exception and waiver. No exception is permitted to inclusion of an approved change or of a known cost effect. Where an effect is known but cannot be quantified at the cut-off, it must be disclosed in the basis as an unquantified known effect with the reason and the date by which it will be quantified — disclosure is the only permitted treatment, and omission is never one.

13. Escalation trigger. An instruction to exclude a known cost effect from the forecast; discovery that an approved change is absent from the forecast and the omission is **material**; a forecast issued to a target set before the analysis.

14. AI application. AI may aggregate cost, commitment and accrual data; propose estimate-to- complete values from remaining quantities and historical rates; identify trends in performance data; cross-check the forecast against the change and risk registers; and draft the basis document.

15. AI prohibition. AI must not decide that a forecast is complete, set the value of a judgemental forecast item, decide to exclude a trend or a risk, approve a forecast, or generate a forecast narrative that is presented as the professional's own reasoning.

16. AI verification. Independent recomputation plus reconciliation: the professional must recompute the total estimate at completion from its components without the tool, must reconcile it to actual cost plus commitments plus accruals plus the bottom-up estimate to complete plus stated contingency, and must confirm line by line that every approved change and every open trend appears or is explained. Where AI has proposed values from historical rates, the professional must test the sensitivity of the total to the two largest such values and record the result.

17. External reference.

- **AACE International — *Total Cost Management Framework.*** Cited for the forecasting step of the cost-control cycle. Edition not asserted — unverified. Nature: Manual §6 category 5, professional framework. Register EXT-064. Persuasive only, on adoption.
- **Project Management Institute — *A Guide to the Project Management Body of Knowledge (PMBOK Guide).*** Cited for the concept of an estimate at completion. Edition deliberately not asserted. Nature: Manual §6 category 5, professional framework; not regulatory authority. Register EXT-060, checked 2026-08-03. Persuasive only.

18. Jurisdictional caution. Where a forecast is used in statutory financial reporting — for example in measuring progress towards satisfaction of a performance obligation, or in assessing an onerous contract — the accounting determination belongs to the reporting entity under its applicable framework and requires qualified accounting advice. This standard governs the controls forecast only.

19. Related PCI Standards. `PCI-FND-STD-05` (transparent assumptions) governs; this standard adds the enumerated completeness components, which the foundational duty of transparency does not supply. See also `PCI-PCL-STD-03.05`, `PCI-PCL-STD-05.01`, `PCI-PCL-STD-06.04`, `PCI-PCL-STD-12.02`, `PCI-PCL-STD-13.02`.

20. Related Body of Knowledge content. PCL-AI · Domain 3 · KA 3.4 Forecasting; KA 3.5 Cash-flow forecasting. Also Domain 6 · KA 6.3 Forecasting with EVM: the EAC family; Domain 12 · KA 12.3 Contingency and management reserve.

21. Compliance test. Compliance is demonstrated when the approved forecast can be reconciled, without unexplained difference, to: the current actual cost position, the open **commitment** register, the **accrual** schedule, the approved-change register, the trend register, the stated contingency position and the current approved schedule status — and when the written basis names the method, the assumptions, the exclusions and the preparer. Any reconciling item without an explanation is a failure of this test. Two reviewers performing this reconciliation from the same six sources reach the same list of unexplained differences.

22. Breach indicators. A forecast equal to the budget for several consecutive periods followed by a step increase; an estimate to complete that equals budget minus actual cost in every control account; a trend register whose items never appear in the forecast; contingency falling exactly as overspend rises; a forecast completion cost that assumes schedule dates the schedule does not support; a basis document that has not been updated since the first issue.

23. Consequence within PCI authority. Correction required and the forecast withheld until corrected; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: given actual cost, commitments, accruals, an approved-change register and a trend register, the candidate identifies which items the draft forecast omits and restates the estimate at completion. Scenario judgement: a forecast that matches the funding limit exactly, with a trend register that would exceed it.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-03-03 *Forecast Honesty*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-03.05

Independent Challenge and Approval of the Forecast

1. Normative requirement. A credential holder must not issue a forecast for a decision until a person **independent** of its preparation has challenged it and the challenge has been recorded.

2. Purpose. Controls optimism that survives every completeness check. A forecast can include every component required by PCI-PCL-STD-03.04 and still be wrong in the same direction every period, because the person who prepared it is the person whose performance it describes. Independent challenge is the only control that reaches that failure, and it works only if it is recorded and its outcome is visible.

3. Scope. All candidates and credential holders who prepare, challenge, approve or give assurance over a forecast that will be used to take or support a decision — a funding decision, a governance report, a lender or client submission, an incentive assessment or an accounting input — on any project.

4. Defined terms. *independent*, *competent reviewer*, *decision owner*, *approved*, *material*, *evidence*, *escalation threshold*, *verified*.

5. Required actions. The professional must subject the forecast to a challenge that tests named things, and must record what the challenge found.

- **PCI-PCL-STD-03.05-PR-01 — Scope of the challenge.** The challenge must test, at minimum: the basis document against the forecast; the estimate to complete against remaining work; the treatment of trends and approved changes; the contingency position; the schedule assumptions; and the direction and size of the previous three periods' forecast movements.
- **PCI-PCL-STD-03.05-PR-02 — Challenge record.** The challenge must be recorded with the challenger's name, the date, each question raised, the response, and whether the forecast changed as a result; and the record must be retained with the forecast.
- **PCI-PCL-STD-03.05-PR-03 — Unresolved challenge disclosed.** Where a challenge point is not resolved before issue, it must be stated in the forecast's basis document, with the challenger's position and the preparer's position, so that the **decision owner** sees the disagreement rather than its average.

6. Prohibited actions. Issuing a forecast for a decision with no recorded challenge; treating a review by the preparer's line manager who directed the outcome as an independent challenge; recording a challenge that asked no question; resolving a challenge point by removing it from the record; presenting a challenged and unresolved figure as agreed.

7. Required evidence. The challenge record with questions and responses; the challenger's identity and the basis on which they are independent; the version of the forecast challenged; the approval record; the basis document showing any unresolved points.

8. Responsible role. The **project controls lead** for arranging and recording the challenge; the named **competent reviewer** for performing it; the **decision owner** for approving the forecast after it.

9. Approval authority. The **decision owner** for the cost position approves the forecast. The challenger has no approval authority and must not be asked to sign as approver — the two roles are separate, and merging them removes the control.

10. Independence requirement. The challenger must satisfy all four facts in the definition of **independent**, including having no benefit that turns on the forecast outcome and not having configured the AI tool used in preparation. On a project with no independent person available, the challenge is performed from outside the project; a challenge performed by the preparer's direct report is never independent.

11. Materiality or threshold. Challenge is required for every forecast issued for a decision. The adopting organisation's governance sets the depth of challenge by forecast significance, using criteria it records — for example the value of the decision, the exposure of external parties, and whether the previous forecast moved materially. Where no such criteria exist, the professional applies and records their own. *Scaling:* on a USD 2 million refurbishment the challenge may be one competent reviewer for one hour with a recorded question list; on a USD 5 billion programme it is a standing review with named challengers per control account. The record required is identical.

12. Exception and waiver. An exception may be approved by the **decision owner**, in writing, where a forecast is needed before a challenge can be completed — for example in an emergency funding request. The forecast must then be marked as unchallenged on its face, the challenge must be completed within the period the decision owner records at the time of approval and in any event before the next issue of the forecast, and any change it produces must be reported to every recipient of the unchallenged version. An unchallenged forecast that is not marked as such is a breach, not an exception. **This exception does not displace** `PCI-FND-STD-03`, whose element 12 makes no waiver of independent verification available where the item supports an irreversible commitment, a payment to a third party, an external regulatory or financial report, or a decision bearing on the safety of a person: an unchallenged forecast must not be used for any of those, and an emergency funding request that commits funds irreversibly is one of them.

13. Escalation trigger. A challenge point that is material and unresolved at issue; a pattern of forecast movements in one direction across three or more consecutive periods; an instruction not to record a challenge or to remove a challenge point from the record.

14. AI application. AI may prepare the challenge pack, compute the forecast movement history, compare the forecast against prior periods and against comparable projects, and propose challenge questions.

15. AI prohibition. AI must not perform the challenge, be recorded as the challenger, decide that a challenge point is resolved, or approve a forecast. An AI review is never an independent review, because the tool holds none of the four facts that constitute independence and cannot be accountable for the conclusion.

16. AI verification. Named human judgement recorded with its reasoning: where AI has proposed challenge questions, the human challenger must record which they adopted, which they rejected and why, and must add at least the questions required by PR-01 that the tool did not raise. The challenge record must name a person, never a tool.

> **17. External reference.** Not applicable — this obligation is a PCI certification requirement about who challenges a forecast, and no external instrument in the register imposes or displaces it; naming one would create a false impression of external authority.

> **18. Jurisdictional caution.** Where a forecast supports a regulated disclosure, a listed entity's reporting, or a lender submission, additional review, approval and independence requirements may apply under securities law, listing rules or finance documents; those are legal questions for qualified advisers and are not satisfied by compliance with this standard.

19. Related PCI Standards. `PCI-FND-STD-03` (independent verification) governs; this standard adds the enumerated challenge scope, the record, and the disclosure of unresolved disagreement — none of which the foundational standard specifies. See also `PCI-PCL-STD-03.04`, `PCI-PCL-STD-04.02`, `PCI-PCL-STD-06.04`, `PCI-PCL-STD-12.02`.

20. Related Body of Knowledge content. PCL-AI · Domain 3 · KA 3.4 Forecasting. Also Domain 4 · KA 4.1 Performance management principles; Domain 6 · KA 6.3 Forecasting with EVM: the EAC family.

21. Compliance test. Compliance is demonstrated when, for the forecast under review, a retained challenge record names a challenger, states the date, lists questions covering each of the six matters in PR-01, records a response to each, and states whether the forecast changed; and when the challenger's independence can be established from the four facts without asking them. A challenge record with no question, or a challenger who prepared any part of the forecast, is a failure of this test. Two reviewers applying the four independence facts to the same challenger reach the same answer.

22. Breach indicators. Challenge records identical in wording between periods; challengers drawn from the preparer's own reporting line; forecasts that never change after challenge; unresolved points that disappear between the challenge record and the issued basis; challenge dated after the forecast was issued.

23. Consequence within PCI authority. Correction required and the forecast withheld from the decision until challenged; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: the candidate is offered four candidate challengers and must identify which are independent and why. Escalation decision: a material challenge point the preparer refuses to record.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — the eighteen-field set required independent review only as a field within other standards and never defined its scope or record. **Stage 9 amendment:** element 12 gave the unchallenged-forecast exception an open-ended clock and offered an emergency funding request as its example, which is precisely the case in which PCI-FND-STD-03 element 12 makes no waiver available; the period is now fixed and the foundational carve-out is stated.

Domain 4 — Performance Management, Variance Analysis & Reporting

PCI standard

PCI-PCL-STD-04.01

Reconciliation of the Performance Report to Source Records

1. Normative requirement. A credential holder must not issue a performance report unless every figure in it reconciles to the **source record** it derives from at the report's stated **cut-off**.

2. Purpose. Controls the failure in which a report is assembled from a spreadsheet that was once right. Figures diverge from their systems quietly — a manual override left in, a filter changed, a stale extract, a rounding that became a rule — and the report continues to look coherent because its internal totals still add. Reconciliation to source is the only check that reaches this, and it is the first thing dropped under deadline pressure.

3. Scope. All candidates and credential holders who prepare, review, approve or give assurance over a periodic or ad hoc performance report, dashboard, governance pack, client report or lender report containing cost, schedule, earned value, change, risk or commercial figures, on any project.

4. Defined terms. *source record*, *cut-off*, *current*, *material*, *reproducible*, *approved*, *evidence*, *decision owner*.

5. Required actions. The professional must reconcile before issue, and must retain the reconciliation as part of the report record.

- **PCI-PCL-STD-04.01-PR-01 — Stated cut-off and extract identity.** Every report must state its cut-off date and time, and must record for each source system the extract identifier or timestamp used; figures drawn from different cut-offs must be labelled with the cut-off that applies to each.
- **PCI-PCL-STD-04.01-PR-02 — Reconciliation record.** A reconciliation from each reported total to its source system total must be retained with the report, itemising and explaining every difference, including timing differences, exclusions and manual adjustments.
- **PCI-PCL-STD-04.01-PR-03 — Manual adjustment register.** Every manual adjustment made between the source extract and the reported figure must be recorded with its value, its reason, its preparer and its approver, and must be visible to the reviewer as an adjustment rather than absorbed into a total.
- **PCI-PCL-STD-04.01-PR-04 — Named report approval before issue.** Each report must carry the name of the individual who approved its issue and the date of that approval; a report issued without that name must not be relied on for a decision.

6. Prohibited actions. Issuing a report with no stated cut-off; drawing figures from extracts of different dates without labelling them; making a manual adjustment that is not recorded; reporting a figure that cannot be traced to a source system; carrying forward a prior-period figure as current; issuing a report with no named approver.

7. Required evidence. The reconciliation record per reported total; the extract identifiers and timestamps; the manual adjustment register; the approval record; the retained copy of the report as issued.

8. Responsible role. The **project controls lead** for the report as issued; the **cost engineer** and **planner** for the reconciliation of their own figures; the **decision owner** for reliance.

9. Approval authority. The **project controls lead** approves the report for issue. A manual adjustment that is **material** must be approved by the **decision owner** for the report, recorded before issue.

10. Independence requirement. Not required for preparation. The reconciliation under PR-02 must be capable of re-performance by a **competent reviewer** who did not prepare the report; where the adopting organisation's governance requires assurance over reporting, that assurance must be **independent** of report preparation.

11. Materiality or threshold. Every reported figure must reconcile; the **materiality rule** does not license an unreconciled figure, it decides only which differences must be corrected before issue rather than explained in the reconciliation, and which manual adjustments need the second approval in element 9. *Scaling:* on a USD 2 million refurbishment reconciliation is a short schedule of totals per source; on a USD 5 billion programme it is a standing control-account-level reconciliation with exception thresholds set by the adopting organisation's governance. The obligation to explain every difference does not change with size — the level at which differences are aggregated does, and that level must be recorded.

12. Exception and waiver. Where a source system is unavailable at the cut-off, the report may be issued using the last **current** extract, provided the extract date is stated on the face of the report next to the affected figures, the reason is recorded, and the reconciliation is completed and reissued within a stated period. No exception is permitted to PR-01 or PR-04.

13. Escalation trigger. An unreconciled difference that is **material** and cannot be explained before issue; an instruction to issue a report without completing the reconciliation; discovery that a manual adjustment was made without record.

14. AI application. AI may extract and normalise data from source systems, produce the reconciliation schedule, detect differences and unusual movements between periods, and draft the report's factual sections.

15. AI prohibition. AI must not approve a report for issue, decide that a difference is immaterial, make an unrecorded adjustment, or be named as the approver.

16. AI verification. Reconciliation plus independent recomputation: the professional must confirm that each AI-produced reported total agrees to the source system total by re-extracting or re-computing at least the largest total and a stated sample of the remainder, must confirm that every difference the tool suppressed or auto-matched is itemised, and must record the sample basis. An AI-generated reconciliation that shows no differences must be tested against a manual check of at least one total, because a reconciliation that always balances is more often a defect than a result.

> **17. External reference.**
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> - **COSO (Committee of Sponsoring Organizations of the Treadway Commission) — *Internal Control — Integrated Framework.*** Cited for the concept of control activities over information used in reporting. Edition: 2013 recorded in the register. Nature: Manual §6 category 5, professional framework published by a private-sector committee of professional bodies; not regulatory authority in itself, though widely imported by regulators. Checked 2026-08-03 (register EXT-084). Applicability: voluntary unless an organisation or a regulator adopts it.

> **18. Jurisdictional caution.** Where a report feeds statutory financial reporting, a regulated disclosure or a listed entity's controls certification, the applicable legal and accounting requirements govern that use and may impose materially stricter obligations; they are matters for qualified local advisers.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) and `PCI-FND-STD-06` (source and version integrity) govern. This standard adds the specific reconciliation and manual-adjustment obligations for periodic performance reporting. See also `PCI-PCL-STD-04.02`, `PCI-PCL-STD-04.03`, `PCI-PCL-STD-05.01`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 4 · KA 4.3 Management reporting; KA 4.4 Data visualisation and storytelling for controls. Also Domain 2 · KA 2.5 Management reporting versus statutory reporting.

21. Compliance test. Compliance is demonstrated when a reviewer, given the issued report and the retained extracts, can agree each reported total to its source system total using only the retained reconciliation, with every difference itemised and explained; when the report states one cut-off per figure; when every manual adjustment appears in the register with a reason and an approver; and when the report names its approver and the approval predates issue. A figure that cannot be agreed is an exception. Two reviewers performing this on the same report and extracts produce the same exception list.

22. Breach indicators. Reports whose totals differ from the system when queried afterwards; extract timestamps missing or later than the stated cut-off; manual adjustments described as "alignment"; recurring round-number differences; a reconciliation prepared after the report was issued; the same figure appearing differently in two reports of the same period.

23. Consequence within PCI authority. Correction required and the report withheld or reissued; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: given a report and three system extracts, the candidate identifies the figure that does not reconcile and names the record needed to resolve it. Scenario judgement: a request to issue with the reconciliation "to follow".

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-04-01 *Reporting Integrity*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-04.02

Explanation of Material Variance

1. Normative requirement. A credential holder must explain each **material** variance by stating its cause, evidenced from the **source record**.

2. Purpose. Controls the report that describes rather than explains. "Cost variance driven by higher than planned expenditure" restates the number; it names no cause, supports no decision, and conceals whether anyone knows why. The failure is not laziness — it is that a narrative that says nothing cannot be contradicted, and a report full of such narrative can be issued every period without anyone ever being wrong.

3. Scope. All candidates and credential holders who prepare, review, approve or give assurance over variance analysis or performance commentary in any report, on any project. It covers cost, schedule, earned value, quantity, productivity and commercial variances.

4. Defined terms. *material*, *source record*, *evidence*, *decision owner*, *escalation threshold*, *objective evidence of progress*, *approved.*

5. Required actions. The professional must give each material variance a cause, a consequence and a response, each attributable.

- **PCI-PCL-STD-04.02-PR-01 — Cause stated to a source.** Each material variance explanation must name the specific cause and the record that evidences it — the change, the productivity record, the rate, the quantity, the event or the schedule delay — and must not restate the variance in words.
- **PCI-PCL-STD-04.02-PR-02 — Decision content.** Each material variance explanation must state the expected effect on the forecast completion cost and date, the action proposed or taken, the named individual accountable for that action, and the date by which the effect will be known.
- **PCI-PCL-STD-04.02-PR-03 — Separation of fact from assessment.** Statements of fact, statements of assumption and statements of opinion within performance commentary must be distinguishable, so that a reader can tell what is recorded from what is expected.
- **PCI-PCL-STD-04.02-PR-04 — Consistency with the forecast.** A variance explanation must not assert a recovery, a mitigation or an offsetting benefit that is not reflected in the issued forecast; where the assertion is not yet in the forecast, that fact must be stated.

6. Prohibited actions. Explaining a variance by restating it; attributing a variance to an unevidenced cause; asserting recovery without a plan behind it; issuing commentary that mixes fact and expectation without distinction; omitting a material adverse variance while explaining a favourable one; recycling the previous period's commentary unchanged when the underlying position has moved.

7. Required evidence. The variance analysis with cause, source reference, effect, action and owner per material variance; the records referenced; the link from each asserted recovery to the forecast or the statement that it is not yet included; the approver's identity and date.

8. Responsible role. The **control account owner** for the cause of variances in their control account; the **project controls lead** for the analysis as issued; the **decision owner** for the decisions the analysis supports.

9. Approval authority. The **project controls lead** approves the variance analysis for issue. The **decision owner** approves any action commitment recorded in it.

10. Independence requirement. Not required for preparation — the cause of a variance is best known to those close to the work. Where a variance is material and the explanation attributes it to a party whose performance the preparer is accountable for, the explanation must be reviewed by a person **independent** of that accountability before issue.

11. Materiality or threshold. Explanation is required for every variance that meets the **materiality rule** applied to the report, and for every variance below it that forms part of a recurring pattern in the same direction across three or more periods — because a pattern of individually immaterial variances is a material fact about the project. The adopting organisation's governance sets the quantum and the basis (value, percentage of control account budget, or effect on completion cost or date); where it sets none, the professional records the rule applied. *Scaling:* on a USD 2 million refurbishment a variance rule expressed as a percentage of a small control account generates too many items to be useful, so a value floor is normally added; on a USD 5 billion programme a value-only rule generates none at the control-account tier, so a percentage is normally added. The professional must record which basis was used and why — this is the threshold most often set without thought, and it is where a small project and a megaproject genuinely diverge.

12. Exception and waiver. No exception is permitted to explaining a material variance. Where the cause is not yet known at the cut-off, the explanation must state that the cause is under investigation, name the individual investigating and the date by which the cause will be reported — "under investigation" without those two elements is not an explanation.

13. Escalation trigger. A material variance whose cause remains unknown after one further reporting period; an instruction to omit or soften a material adverse variance explanation; discovery that an asserted recovery has no plan behind it.

14. AI application. AI may compute variances, rank them by size and by movement, correlate them with change, risk, productivity and schedule data to propose candidate causes, detect recurring sub-threshold patterns, and draft commentary.

15. AI prohibition. AI must not state a cause as fact, attribute a variance to a party, assert a recovery, approve commentary for issue, or be the source of an explanation that the professional has not evidenced.

16. AI verification. Source tracing plus clause-to-summary comparison: for every AI-proposed cause, the professional must open the record the tool relied on and confirm that the record supports the cause and the magnitude; must confirm that no cause is asserted for which the tool cited nothing; and must rewrite or delete any generated sentence whose evidential basis cannot be produced. Fluency is not evidence, and an AI narrative that reads well is the most likely to be issued unverified.

17. External reference.

- **COSO — *Internal Control — Integrated Framework.*** Cited for the concept of quality information supporting internal control. Edition: 2013 per register. Nature: Manual §6 category 5, professional framework; not regulatory authority. Checked 2026-08-03 (EXT-084). Voluntary unless adopted.
- **AACE International — *Total Cost Management Framework.*** Cited for the analysis step in the cost-control cycle. Edition not asserted — unverified. Nature: Manual §6 category 5, professional framework. Register EXT-064. Persuasive only, on adoption.

18. Jurisdictional caution. A variance explanation that attributes cause to a contracting party can affect contractual position, notice obligations and later dispute. Whether such a statement is prudent, and how it should be worded, is a matter for the contract administrator and qualified counsel — see `PCI-PCL-STD-07.01`.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs; this standard adds the required content of an explanation, which the foundational standard does not enumerate. See also `PCI-PCL-STD-04.01`, `PCI-PCL-STD-04.03`, `PCI-PCL-STD-03.04`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-13.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 4 · KA 4.2 Variance analysis; KA 4.3 Management reporting. Also Domain 6 · KA 6.2 Variances and performance indices.

21. Compliance test. Compliance is demonstrated when, for every variance meeting the stated materiality rule, the analysis names a cause, cites a record, states the effect on completion cost and date, names an accountable individual and a date, and — where a recovery is asserted — either shows it in the forecast or states that it is not yet included. An explanation containing no noun that is not already in the variance table is a failure of this test. A reviewer must be able to request any three cited records and receive them; failure to produce one is a failure of this test. Two reviewers applying this to the same report identify the same unsupported explanations.

22. Breach indicators. Commentary that repeats the variance figures in prose; the same explanation appearing in consecutive periods with only the numbers changed; recoveries asserted every period and never realised; adverse variances explained in less detail than favourable ones; causes attributed to "market conditions" or "productivity" with no record cited; actions with no named owner.

23. Consequence within PCI authority. Correction required and the analysis withheld or reissued; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: the candidate receives four variance explanations and must identify which state a cause and which restate the number. Evidence selection: naming the record that would substantiate a claimed productivity cause.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-04-01 *Reporting Integrity*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-04.03

Correction and Restatement of a Reported Error

1. Normative requirement. A credential holder who becomes aware that a figure already reported was **material** and wrong must correct it in a **restatement** issued to every recipient of the original.

2. Purpose. Controls the failure of the quiet fix. An error discovered after issue is corrected in the next report's opening position, the movement is absorbed into a variance, and nobody who acted on the original figure learns that it was wrong. The correction is real; the accountability is not. This standard converts correction into an act that is visible to the people it affected.

3. Scope. All candidates and credential holders who discover, assess, correct, approve or give assurance over a correction to a figure that has already been issued to a **decision owner**, a client, a lender, an auditor, an assessor or a governance body, on any project.

4. Defined terms. *restatement*, *material*, *decision owner*, *approved*, *evidence*, *escalation threshold*, *source record*.

5. Required actions. The professional must assess, correct and disclose, in that order, and must not let the sequence stop at the first step.

- **PCI-PCL-STD-04.03-PR-01 — Assessment on discovery.** On discovering a possible error the professional must, within the current reporting cycle, quantify its effect on the figures reported, determine whether it meets the materiality rule, and record that assessment with its date, whatever the conclusion.
- **PCI-PCL-STD-04.03-PR-02 — Restatement content.** A restatement must show the figure as originally reported, the corrected figure, the

difference, the cause of the error, the periods affected and the decisions known to have relied on the original figure.

- **PCI-PCL-STD-04.03-PR-03 — Distribution to original recipients.** The restatement must be issued to every recipient of the original figure, and where a recipient is outside the professional's control, the issue must be requested in writing of the person who can make it and that request recorded.
- **PCI-PCL-STD-04.03-PR-04 — Cause recorded and control addressed.** Each restatement must record the control weakness that allowed the error, and the corrective action taken, so that a repeated error is visible as a repeat.

6. Prohibited actions. Absorbing a material correction into the next period's variance without disclosure; describing a correction as a change, a movement, a realignment or a refinement; delaying a restatement until a favourable movement offsets it; restating without telling the recipients of the original; correcting a figure and leaving the narrative that relied on it unchanged.

7. Required evidence. The assessment record with its date and conclusion; the restatement as issued; the distribution record; the cause-and-control record; the approval of the restatement.

8. Responsible role. The individual who discovers the error must record and raise it; the **project controls lead** is accountable for preparing the restatement; the **decision owner** for the original report is accountable for its distribution.

9. Approval authority. The **decision owner** for the original report approves the restatement and its distribution. Where the error affects a report issued outside the organisation, the approval authority named in the adopting organisation's governance for external communications approves the issue.

10. Independence requirement. The assessment under PR-01 may be performed by the preparer. Where the error arose in work the preparer performed and is **material**, the assessment must be reviewed by a person **independent** of that work before the conclusion "not material" is accepted — because that is the conclusion with the strongest incentive behind it.

11. Materiality or threshold. The **materiality rule** applied to the original report decides whether restatement is required; an error below it must still be corrected and recorded, but may be corrected in the ordinary course. Two errors below the rule that share a cause, or that accumulate above it, require restatement. *Scaling:* the same rule serves a USD 2 million refurbishment and a USD 5 billion programme because it is expressed against the report the figure appeared in, not against the project total — an error material to a control account report is restated in that report even where it is immaterial to the programme.

12. Exception and waiver. No exception is permitted to the duty to assess and record. The **decision owner** may approve deferring the *issue* of a restatement to the next scheduled report where no decision will be taken in the interim, provided the deferral, its reason and the interim decisions checked are recorded. A deferral must never exceed one reporting cycle.

13. Escalation trigger. A material error already relied on for a decision; an instruction not to restate; a second error in the same figure or from the same cause; a restatement approved but not distributed.

14. AI application. AI may detect anomalies suggesting an error, quantify the effect across affected periods, identify which reports and recipients contained the figure, and draft the restatement schedule.

15. AI prohibition. AI must not decide that an error is immaterial, decide that restatement is unnecessary, approve or issue a restatement, or draft an explanation of cause that the professional has not evidenced.

16. AI verification. Independent recomputation and source tracing: the professional must recompute the corrected figure from the **source record** without the tool, must confirm the list of affected periods and recipients against the retained distribution records, and must confirm the stated cause against the record that shows it.

> **17. External reference.** Not applicable — the duty to correct a reported figure is a PCI professional requirement; where an entity's financial statements are affected, the applicable financial-reporting framework governs that treatment separately and is addressed in element 18 rather than cited here as authority for this standard.

18. Jurisdictional caution. Correction of an error in statutory financial statements is governed by the entity's applicable accounting framework and, where the entity is regulated or listed, by disclosure obligations that may be immediate. Those determinations require qualified accounting and legal advice, and they are not satisfied by a controls restatement.

19. Related PCI Standards. `PCI-FND-STD-15` (correction duty) governs; this standard adds the restatement content, the distribution obligation and the control-cause record, none of which the foundational duty specifies. See also `PCI-PCL-STD-04.01`, `PCI-PCL-STD-04.02`, `PCI-PCL-STD-03.03`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 4 · KA 4.3 Management reporting. Also Domain 2 · KA 2.5 Management reporting versus statutory reporting; Domain 11 · KA 11.3 Internal control and segregation of duties.

21. Compliance test. Compliance is demonstrated when, for each error discovered in the period: (a) a dated assessment record exists stating the quantified effect and the materiality conclusion; (b) where material, a restatement exists showing original figure, corrected figure, difference, cause and periods affected; (c) a distribution record shows it reaching every recipient of the original; and (d) the control cause is recorded. An error corrected only inside the next period's opening position, with no assessment record, is a failure of this test. Two reviewers comparing the retained reports before and after the correction reach the same conclusion about whether a restatement was issued.

22. Breach indicators. Prior-period figures that change between reports without a restatement; opening positions that do not equal the previous closing position; corrections described as refinements; a discovered error with no dated assessment; the same error recurring with no recorded control action; restatements approved but with no distribution record.

23. Consequence within PCI authority. Correction required and the restatement issued; output withheld pending correction; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Ethical dilemma: an error discovered after a funding decision, with a suggestion to "pick it up in the next report". Evidence selection: identifying which records establish who relied on the original figure.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — the eighteen-field set contained no correction or restatement requirement.

Domain 5 — Cost Management, Cost Control & Change Control

PCI standard

PCI-PCL-STD-05.01

Completeness and Reconciliation of the Recorded Cost Position

1. Normative requirement. A credential holder must reconcile the reported actual cost position to the books of account and to the **commitment** and **accrual** records at every reporting **cut-off**.

2. Purpose. Controls the divergence between the cost system a project manages by and the ledger the organisation is accountable for. Once the two are not reconciled, both are defensible and neither is true: the project reports performance against a cost base the finance function does not recognise, duplicate and missing costs are invisible, and the difference is discovered at year end when it can no longer be explained.

3. Scope. All candidates and credential holders who prepare, review, approve or give assurance over the actual cost position, the commitment position, or the actual-cost feed into earned value and forecasting, on any project and under any accounting system. It applies to preparation, review, approval and assurance.

4. Defined terms. *commitment*, *accrual*, *cut-off*, *duplicate cost*, *source record*, *material*, *evidence*, *reproducible*, *approved*.

5. Required actions. The professional must reconcile in total and by control account, and must demonstrate that the cost position is complete as well as agreed.

- **PCI-PCL-STD-05.01-PR-01 — Commitment completeness.** The commitment register must include every executed contract, purchase order, subcontract, call-off and other instrument with financial effect that is open at the cut-off, must be reconciled to the procurement or contract system, and must show for each instrument its total value, the value received or performed to date and the value remaining.
- **PCI-PCL-STD-05.01-PR-02 — Duplicate-cost detection.** Before issue, the cost position must be tested for **duplicate cost** — at minimum by matching invoices to the accruals and commitments they discharge, by testing for repeated supplier, value and date combinations, and by testing for one cost event coded to two cost codes — and the test, its method and its findings must be recorded.
- **PCI-PCL-STD-05.01-PR-03 — Remaining-cost evidence.** The remaining value of each open commitment must be supported by the contract or order value less the value received or performed, evidenced from the source record, and not by a residual derived from a budget or a forecast.
- **PCI-PCL-STD-05.01-PR-04 — Reconciliation to the books of account.** The reported actual cost must be reconciled to the ledger for the same period, with every difference itemised by type — timing, scope of

the project cost object, accrual treatment, intercompany allocation, currency — and explained.

6. Prohibited actions. Reporting an actual cost that has never been reconciled to the ledger; maintaining a commitment register that excludes instruments known to exist; deriving remaining commitment value from budget rather than from the instrument; leaving a duplicate in the position once identified; explaining a reconciling difference as "system timing" without identifying the transactions; suppressing a reconciling difference by adjusting the reported figure.

7. Required evidence. The reconciliation from the reported cost position to the ledger, in total and by control account; the commitment register with the reconciliation to the source system; the duplicate-cost test record; the evidence supporting remaining commitment values; the approver's identity and date.

8. Responsible role. The **cost engineer** prepares; the **project controls lead** issues; the responsible finance controller owns the ledger against which the reconciliation is performed and is not displaced by this standard.

9. Approval authority. The **project controls lead** approves the reconciled cost position. An unreconciled difference that is **material** may be carried only with the recorded approval of the **decision owner** for the cost position and only with a stated resolution date.

10. Independence requirement. The reconciliation must be re-performable by a **competent reviewer** who did not prepare it. Where a material difference persists for more than two consecutive periods, its investigation must be performed by a person **independent** of the preparer.

11. Materiality or threshold. Reconciliation is required in every period without threshold; the **materiality rule** decides only which differences must be resolved before issue and which may be carried with an approved resolution date. Duplicate-cost testing has no value threshold, because duplicates cluster at low values where nobody looks. *Scaling:* on a USD 2 million refurbishment reconciliation runs at project total and by control account in one schedule; on a USD 5 billion programme it runs by control account with roll-up, and the professional must record the tier at which differences are aggregated. The obligation to itemise a material difference by transaction does not change with scale.

12. Exception and waiver. Where the ledger for the period is not closed at the controls cut-off, the reconciliation may be performed against the last closed period plus the movement, provided the method is recorded and the full reconciliation is completed within the period stated in the adopting organisation's procedure. No exception is permitted to PR-01 or PR-02.

13. Escalation trigger. A material unreconciled difference at two consecutive cut-offs; discovery of a duplicate cost that has already been reported or paid; discovery of a commitment that was excluded from the register; an instruction to report a cost position that has not been reconciled.

14. AI application. AI may match invoices, receipts, commitments and accruals; identify probable duplicates including near matches; classify reconciling differences by type; and draft the reconciliation schedule.

15. AI prohibition. AI must not clear a reconciling difference, write off a difference as immaterial, approve the cost position, or determine that the commitment register is complete.

16. AI verification. Reconciliation plus sampling on a stated basis: the professional must agree the AI-produced totals to the ledger and to the source systems independently of the tool; must personally examine every difference the tool classified as immaterial above a level recorded in the verification record; and must test AI-identified duplicates and AI-cleared near matches against the underlying documents, recording the sample basis and the error rate. An absence of flagged duplicates must be tested by an independent duplicate query, because a tool cannot evidence an absence.

17. External reference.

- **COSO — *Internal Control — Integrated Framework.*** Cited for reconciliation as a control activity. Edition: 2013 per register. Nature: Manual §6 category 5, professional framework; not regulatory authority. Checked 2026-08-03 (EXT-084). Voluntary unless adopted.
- **AACE International — *Total Cost Management Framework.*** Cited for the measurement step of the cost-control cycle. Edition not asserted — unverified. Nature: Manual §6 category 5, professional framework. Register EXT-064. Persuasive only, on adoption.

18. Jurisdictional caution. The ledger, the cost object and the allocation of shared or intercompany cost are determined by the entity's accounting policies and local law. Reconciling differences arising from those determinations require the finance function's and, where relevant, a qualified adviser's input.

19. Related PCI Standards. PCI-FND-STD-07 (data lineage) governs; this standard adds the specific reconciliation to the books of account and the duplicate-cost obligation. See also PCI-PCL-STD-01.01, PCI-PCL-STD-01.02, PCI-PCL-STD-01.03, PCI-PCL-STD-03.04, PCI-PCL-STD-06.03, PCI-PCL-STD-07.03.

20. Related Body of Knowledge content. PCL-AI · Domain 5 · KA 5.2 The cost control cycle; KA 5.1 The cost management framework. Also Domain 11 · KA 11.2 Procure-to-Pay; Domain 1 · KA 1.3 Accrual accounting and the matching concept.

21. Compliance test. Compliance is demonstrated when the reported actual cost agrees to the ledger for the period with every difference itemised by type and explained; when the commitment register agrees to the procurement or contract system with every open instrument present; when a duplicate-cost test record exists stating the method used and the items examined; and when the remaining value of a sample of open commitments can each be derived from the instrument and the receipted value. An open instrument absent from the register is a failure of this test. Two reviewers performing the ledger reconciliation from the same extracts reach the same difference list.

22. Breach indicators. A persistent difference between the cost system and the ledger described the same way each period; a commitment register whose total never changes when orders are placed; remaining commitment values equal to budget less actual; suppliers appearing twice with similar names; credit notes without matching original invoices; a reconciliation prepared only at year end.

23. Consequence within PCI authority. Correction required and the cost position withheld until reconciled; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: given a cost ledger extract, a commitment report and a draft cost position, the candidate identifies the duplicate, the missing commitment and the unexplained difference. Scenario judgement: a difference explained as "timing" for a fourth consecutive period.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — the eighteen-field set had no actual-cost reconciliation or commitment-completeness requirement.

PCI standard

PCI-PCL-STD-05.02

Identification and Registration of Change

1. Normative requirement. A credential holder must enter every potential **change** in the change register in the reporting cycle in which it becomes known.

2. Purpose. Controls the failure that precedes every change-control failure: the change that was never raised. Work is instructed in a meeting, absorbed as "clarification", performed as a goodwill gesture, or deferred as "we will pick it up at the end". Registration is what converts an event into something the project can assess, price, approve or reject — and an unregistered change can do none of those things while still consuming cost and time.

3. Scope. All candidates and credential holders who identify, record, review, approve or give assurance over changes to scope, budget or schedule — including client instructions, design development, site instructions, variations, compensation events, scope transfers between parties, and changes arising from risk materialising — on any project and under any contract form.

4. Defined terms. *change*, *approved*, *trend*, *material*, *evidence*, *cut-off*, *escalation threshold*, *source record*.

5. Required actions. The professional must register first and assess afterwards, and must never allow the assessment to become a condition of registration.

- **PCI-PCL-STD-05.02-PR-01 — Registration regardless of merit.** A potential change must be registered even where its entitlement is disputed, its value is unknown, its approval is unlikely or its originator is the professional's own organisation; a register entry is a record of an event, not an admission about it.
- **PCI-PCL-STD-05.02-PR-02 — Minimum register content.** Each entry must carry a unique identifier, the date the change became known, the source or instructing document, a description of the work affected, the originator, the current status and the individual accountable for progressing it.
- **PCI-PCL-STD-05.02-PR-03 — Cumulative and related-change view.** The register must show, at each cut-off, the cumulative value and cumulative schedule effect of all approved changes and of all pending changes, and must group changes that share a cause so that their combined effect is visible rather than only their individual effects.
- **PCI-PCL-STD-05.02-PR-04 — Reconciliation to the trend register and the forecast.** Every open register entry must be reflected in the trend position and in the forecast under `PCI-PCL-STD-03.04`, or be listed with the reason it is excluded.

6. Prohibited actions. Performing changed work before the change is registered; leaving a change unregistered because entitlement is doubtful; splitting one change into several to keep each below an approval threshold; registering a change with a value only and no description; allowing pending changes to accumulate outside the register; recording a change with an effective date earlier than the date it became known in order to reset a notice period.

7. Required evidence. The change register with the PR-02 content per entry; the instructing or source documents; the cumulative position at each cut-off; the reconciliation to the trend register and the forecast; the record of changes grouped by common cause.

8. Responsible role. Any credential holder who becomes aware of a potential change must raise it; the **project controls lead** is accountable for the register's completeness; the **commercial lead** is accountable for the contractual characterisation of an entry.

9. Approval authority. No approval is required to *register* a change, and no person may refuse registration. Approval of the change itself is governed by `PCI-PCL-STD-05.04`.

10. Independence requirement. Not applicable to registration — requiring an independent person to register a change would delay the record and defeat the standard's purpose. Independence attaches to approval, under `PCI-PCL-STD-05.04`.

11. Materiality or threshold. Every potential change is registered, with no value threshold, because the value is often unknown at the moment of identification and because splitting is the standard method of evading a threshold. The **materiality rule** governs only the depth of assessment under `PCI-PCL-STD-05.03` and the level of approval under `PCI-PCL-STD-05.04`. *Scaling:* on a USD 2 million refurbishment a single register with tens of entries serves; on a USD 5 billion programme registers are held per contract or per package with a consolidated cumulative view, and the consolidation rule must be recorded. Neither may operate a de minimis for registration.

12. Exception and waiver. No exception is permitted. Where an instruction must be executed immediately for safety or to protect the works, the work may proceed before registration, provided the change is registered at the first opportunity and no later than the current reporting cycle, with the reason for the sequence recorded.

13. Escalation trigger. Changed work performed without a register entry; an instruction not to register a change; a pattern of changes valued just below an approval threshold; the cumulative pending value reaching a level defined by the adopting organisation's governance as requiring notification.

14. AI application. AI may scan correspondence, minutes, site records, requests for information and drawings for language indicating instructed or implied change; propose register entries; group entries by common cause; and compute cumulative positions.

15. AI prohibition. AI must not decide that an event is not a change, close a register entry, set the contractual characterisation of a change, or determine entitlement.

16. AI verification. Clause-to-summary comparison plus source tracing: for each AI-proposed entry the professional must open the source document and confirm that it says what the tool reports; for each event the tool assessed as not a change, the professional must apply their own judgement, because an AI conclusion of "no change" is exactly the conclusion this standard exists to prevent being reached casually.

> **17. External reference.**
>
> - **FIDIC (International Federation of Consulting Engineers) — FIDIC suite of conditions of contract.** Cited generically for the existence of variation and claim mechanisms with time-bound procedures. **No clause number, book or edition asserted.** Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (register EXT-050). Applicability: binds only the parties to a contract that adopts it, and only on its own terms.
> - **NEC (Thomas Telford / ICE) — NEC4 suite of contracts.** Cited generically for the compensation-event mechanism as an example of early notification. No clause number asserted. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (register EXT-051). Binds only adopting parties.

> **18. Jurisdictional caution.** Whether an event is a variation, a compensation event, a claim or none of these, and what notice it requires and by when, are questions of the governing contract and the governing law. A register entry is a controls record and neither creates nor waives entitlement; the contractual position requires the contract administrator and, where contested, qualified counsel.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs. This standard adds the obligation to record the event before its merit is settled — a domain-specific requirement the foundational standard does not contain. See also `PCI-PCL-STD-05.03`, `PCI-PCL-STD-05.04`, `PCI-PCL-STD-03.04`, `PCI-PCL-STD-07.02`, `PCI-PCL-STD-10.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 5 · KA 5.4 Change control and cost impact. Also Domain 7 · KA 7.2 Contract management; Domain 8 · KA 8.4 Monitoring & Controlling.

21. Compliance test. Compliance is demonstrated when every instructing document, minute recording an instruction, and site record of changed work in the period can be matched to a register entry dated in the same reporting cycle; when every entry carries the PR-02 content; and when the register's cumulative pending and approved positions at the cut-off agree to the forecast or are reconciled to it with reasons. An instruction with no register entry is a failure of this test. Two reviewers testing the same correspondence sample against the same register produce the same unmatched list.

22. Breach indicators. Register entries created in batches at period end; changes with a registration date long after the instruction date; several changes of similar value just below an approval threshold; work visible on site that appears in no register; pending changes with no accountable individual; a cumulative pending value that never moves.

23. Consequence within PCI authority. Correction required and the register completed; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a set of minutes, emails and site records from which the candidate must identify the events requiring registration and the one that does not. Escalation decision: an instruction to hold a change off the register until entitlement is agreed.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-05-01 *Change Control*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-05.03

Completeness of Change Impact Assessment

1. Normative requirement. A credential holder must assess the full effect of a proposed **change** on cost, schedule, risk and interfacing work before it is submitted for approval.

2. Purpose. Controls the change approved on a direct cost alone. The disruption, the acceleration needed to hold the date, the effect on adjacent work, the additional risk exposure and the knock-on to other contracts arrive later and are absorbed as performance variance, so the change appears cheap and the project appears badly run. This is the single most common route by which an approved change becomes an unapproved overrun.

3. Scope. All candidates and credential holders who prepare, review, approve or give assurance over the assessment of a change, on any project and under any contract form. It covers changes originated by any party, including omissions and de-scopes, where the same analysis applies in reverse.

4. Defined terms. *change*, *approved*, *material*, *evidence*, *trend*, *decision owner*, *escalation threshold*, *objective evidence of progress*.

5. Required actions. The professional must assess named categories of effect and must state the result of each, including where the effect is nil.

- **PCI-PCL-STD-05.03-PR-01 — Direct and indirect cost.** The assessment must state the direct cost, the effect on preliminaries, time-related cost, supervision and plant, and the disruption or productivity effect on unchanged work; each stated with its basis, and a nil effect stated as nil rather than omitted.
- **PCI-PCL-STD-05.03-PR-02 — Schedule effect through the network.** The schedule effect must be assessed by inserting or amending the affected activities in a copy of the current schedule and running the network, not by estimating a duration in isolation; the resulting effect on the critical path and on completion must be stated.
- **PCI-PCL-STD-05.03-PR-03 — Risk and interface effect.** The assessment must state the change's effect on the risk register — risks created, removed or altered — and on interfacing packages, contracts, permits, approvals and third parties.
- **PCI-PCL-STD-05.03-PR-04 — Cumulative effect.** The assessment must state the cumulative effect of this change together with all approved and pending changes on the completion cost, the completion date and the remaining contingency, so that the decision is taken on the position after the change rather than on the change alone.
- **PCI-PCL-STD-05.03-PR-05 — Basis and exclusions.** The assessment must state its assumptions, its exclusions, the period for which its pricing is valid, and what will change if approval is delayed beyond that period.

6. Prohibited actions. Submitting a change for approval with direct cost only; assessing schedule effect without running the network; stating a nil schedule effect that the network does not support; omitting the cumulative position; pricing a change on an assumption of approval by a date without saying so; assessing a change on scope the assessor has not read.

7. Required evidence. The assessment document with each PR category addressed; the schedule fragment or scenario file used for PR-02 with its run date; the risk register entries created or altered; the cumulative position at the assessment date; the assumptions and exclusions; the assessor's identity and date.

8. Responsible role. The **cost engineer** for the cost assessment; the **planner** for the schedule assessment; the **risk lead** for the risk effect; the **commercial lead** for the contractual characterisation; the **project controls lead** for the assembled assessment.

9. Approval authority. The assessment is not itself approved; it is submitted to the **change authority** under `PCI-PCL-STD-05.04`. The **project controls lead** confirms the assessment is complete before submission and records that confirmation.

10. Independence requirement. The person who prepares the assessment must not also hold the **change authority** for that change — that separation is required by `PCI-PCL-STD-05.04`. Where the change arises from an error or omission by the assessor's own organisation, the cost and schedule assessment must be reviewed by a person **independent** of that work before submission.

11. Materiality or threshold. Every change requires an assessment; the **materiality rule** and the adopting organisation's governance set the *depth*, and that scaling must be recorded — for example a banded approach in which changes below a stated value are assessed by a documented simplified method and changes above it require the full PR-01 to PR-05 treatment. A simplified method must still state schedule and cumulative effect, because those are the effects a simplified method most often loses. *Scaling:* on a USD 2 million refurbishment the network run under PR-02 is a five-minute exercise on a 100-activity schedule; on a USD 5 billion programme it is a controlled scenario run on the affected sub-network with the interface effects assessed separately. Neither is exempt from running the network.

12. Exception and waiver. Where a change must be instructed before assessment can be completed — an emergency, a safety instruction, or an instruction the contract obliges the party to obey — the **change authority** may approve on a partial assessment provided the missing categories are named, the assessment is completed within a stated period, and the approval records that it was given on an incomplete basis. No exception is permitted to completing the assessment afterwards.

13. Escalation trigger. A change presented for approval with a category of effect unassessed and unnamed; an instruction to state a nil schedule effect that the network does not support; a cumulative position that breaches the project's approved cost or date and has not been reported.

14. AI application. AI may extract the changed scope from drawings and specifications, propose quantities and rates from historical data, identify interfacing packages and affected activities, propose risk register effects, and compute the cumulative position.

15. AI prohibition. AI must not approve a change, decide that a category of effect is nil, price a change without human verification of quantities and rates, or determine contractual entitlement or characterisation.

16. AI verification. Independent recomputation, boundary testing and source tracing: the professional must recompute the direct cost from the quantities and rates and confirm the quantities against the changed scope documents;

must re-run the schedule scenario and confirm the reported completion effect against the network output; must test the assessment at its boundaries — approval delayed, quantities at the upper end of the stated range — and record the sensitivity; and must confirm each AI-proposed interface against the interface register.

17. External reference.

- **FIDIC — FIDIC suite of conditions of contract.** Cited generically for variation valuation and time-effect mechanisms. No clause number, book or edition asserted. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (EXT-050). Binds only adopting parties.
- **NEC — NEC4 suite of contracts.** Cited generically for the assessment of compensation events on a forecast basis. No clause number asserted. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (EXT-051). Binds only adopting parties.
- **AACE International — Recommended Practices on risk analysis and contingency determination.** Cited as a class for the existence of recognised methods relevant to the risk effect of change. No numbered Recommended Practice asserted; not independently verified. Nature: Manual §6 category 5, professional framework. Register EXT-068. Persuasive only.

18. Jurisdictional caution. The valuation rules for a variation, the entitlement to time and to time-related cost, and the effect of delay in instructing or approving are governed by the contract and the governing law. This standard requires the analysis; it does not determine entitlement, which requires the contract administrator and, where contested, qualified counsel.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) and `PCI-FND-STD-05` (transparent assumptions) govern. This standard adds the enumerated categories of effect and the cumulative obligation. See also `PCI-PCL-STD-05.02`, `PCI-PCL-STD-05.04`, `PCI-PCL-STD-03.04`, `PCI-PCL-STD-10.02`, `PCI-PCL-STD-12.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 5 · KA 5.4 Change control and cost impact. Also Domain 10 · KA 10.2 Network analysis and the Critical Path Method; Domain 12 · KA 12.2 The risk process.

21. Compliance test. Compliance is demonstrated when the assessment document addresses each of the five PR categories with a stated value or a stated nil; when a schedule scenario file or fragment exists with a run date and the stated completion effect matches its output; when the cumulative position at the assessment date is stated and agrees to the change register; and when the assumptions, exclusions and pricing validity period are recorded. A stated schedule effect that the retained scenario does not produce is a failure of this test. Two reviewers re-running the retained scenario obtain the same completion effect.

22. Breach indicators. Changes assessed at nil schedule effect as a matter of routine; assessments with no retained schedule scenario; cumulative positions that appear only when a threshold is breached; disruption never assessed on any change; pricing validity periods absent while approvals take months; the same assumptions copied between unrelated assessments.

23. Consequence within PCI authority. Correction required and the change withdrawn from approval until assessed; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: given a change, a schedule and a change register, the candidate assesses the completion effect and the cumulative position and identifies the missing category. Scenario judgement: a change presented as "no time effect" on a critical-path activity.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-05-01 *Change Control*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-05.04

Change Authority and Segregation of Preparation from Approval

1. Normative requirement. A credential holder must not approve a **change** they prepared, assessed or priced.

2. Purpose. Controls self-approval, in the one process where self-approval is most tempting and most damaging. Where the person who values a change also authorises it, no independent mind ever tests the value, and the change-control process — which exists precisely to put a second mind between a cost and the budget — becomes a formality that generates paperwork and prevents nothing.

3. Scope. All candidates and credential holders who prepare, assess, price, recommend, approve or give assurance over changes, and all who hold or exercise a delegated change authority, on any project and under any contract form.

4. Defined terms. *change*, *approved*, *change authority*, *independent*, *material*, *decision owner*, *evidence*, *escalation threshold*.

5. Required actions. The professional must ensure that authority, preparation and approval are held by different named people, and that the approval record shows it.

- **PCI-PCL-STD-05.04-PR-01 — Recorded delegation of authority.** The value bands and the named holders of change authority must be recorded before they are used, and each approval must cite the band and the authority it was given under.
- **PCI-PCL-STD-05.04-PR-02 — Approval record content.** Each approval must record the change identifier, the version of the assessment approved, the value approved, the schedule effect approved, the approver's name, the date, and any condition attached.
- **PCI-PCL-STD-05.04-PR-03 — Baseline update only after approval.** The baseline must be updated to incorporate a change only after that change is approved, only for the value and schedule effect approved, and only through the version control required by `PCI-PCL-STD-03.02`.
- **PCI-PCL-STD-05.04-PR-04 — Audit trail from instruction to baseline.** For each approved change, the trail from the instructing document to the assessment, the approval and the baseline movement must be retained and traversable in both directions.
- **PCI-PCL-STD-05.04-PR-05 — Aggregation rule against splitting.** Changes arising from one cause, one instruction or one scope item must be aggregated for the purpose of determining the approval band, and the aggregation applied must be recorded.

6. Prohibited actions. Approving one's own assessment; approving above one's recorded band; splitting a change to bring it within a band; updating the baseline before approval or for a value other than the one approved; approving retrospectively an instruction already executed without recording that it was retrospective; approving a change whose assessment version is not identified.

7. Required evidence. The recorded delegation of authority; the approval records with PR-02 content; the retained assessment versions; the baseline movement referencing the approval; the aggregation record where changes share a cause.

8. Responsible role. The **change authority** for the approval decision; the **project controls lead** for the integrity of the trail; the **commercial lead** where the change is a contractual variation or compensation event.

9. Approval authority. As recorded in the delegation of authority under PR-01, and only as recorded. Where a change exceeds every recorded band, it must be escalated to the **decision owner** for the project and, if the delegation so provides, above them.

10. Independence requirement. The approver must be **independent** of the preparation, assessment and pricing of the change under review. Where a project is too small for a separate approver, the change authority is exercised from outside the project — a functional line, a sponsor or a parent entity — and the arrangement is recorded before it is used, not improvised when the first change arises.

11. Materiality or threshold. Segregation applies to every change of every value; there is no threshold below which self-approval is permitted, because a threshold on segregation is an instruction to split. Value bands govern *which* authority approves, not *whether* segregation applies. The bands are set by the adopting organisation's governance against its own delegation of authority. *Scaling:* on a USD 2 million refurbishment there may be two bands and a single external approver; on a USD 5 billion programme there are typically four or five bands with a change board at the top. The standard is identical in both; only the number of bands differs.

12. Exception and waiver. No exception is permitted to element 1. Where an urgent instruction must be executed before approval, the **decision owner** may authorise execution in writing, recording that approval of the change itself remains outstanding; the change must then be assessed and approved through the ordinary route within a stated period, and it must not be treated as approved in the interim.

13. Escalation trigger. A change approved by its preparer; an approval outside a recorded band; changes from one cause approved separately in a pattern that avoids a band; a baseline updated for a value other than that approved.

14. AI application. AI may route changes to the correct authority band, detect potential splitting by clustering changes with common causes or dates, check approval records for completeness, and reconcile approved changes to baseline movements.

15. AI prohibition. AI must not approve a change, hold or exercise a change authority, be recorded as an approver, or determine the band a change falls into where the determination requires judgement about aggregation.

16. AI verification. Reconciliation plus named human approval: the professional must reconcile the population of approved changes to the baseline movements and to the change register in total and by control account; must confirm that every approval names a human being; and must personally review every cluster the tool flags as possible splitting, recording the conclusion for each.

17. External reference.

- **COSO — *Internal Control — Integrated Framework.*** Cited for segregation of duties and authorisation as control activities. Edition: 2013 per register. Nature: Manual §6 category 5, professional framework; not regulatory authority. Checked 2026-08-03 (EXT-084). Voluntary unless adopted.
- **ISO — ISO 21502 *Project, programme and portfolio management — Guidance on project management.*** Cited for the existence of governance and control expectations around change. Edition: 2020 per register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-028). Voluntary unless adopted by regulation or contract.

18. Jurisdictional caution. Corporate authority to commit expenditure is determined by the entity's constitution, its delegation of authority and applicable company law; contractual authority to instruct a variation is determined by the contract. A PCI change authority is a controls role and confers no corporate or contractual authority.

19. Related PCI Standards. `PCI-FND-STD-04` (human decision authority) governs; this standard adds the specific segregation rule, the delegation record and the anti-splitting aggregation obligation. See also `PCI-PCL-STD-05.02`, `PCI-PCL-STD-05.03`, `PCI-PCL-STD-03.02`, `PCI-PCL-STD-11.01`, `PCI-PCL-STD-12.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 5 · KA 5.4 Change control and cost impact. Also Domain 11 · KA 11.3 Internal control and segregation of duties; Domain 8 · KA 8.4 Monitoring & Controlling.

21. Compliance test. Compliance is demonstrated when, for every approved change in the period, the approver named in the approval record is a different individual from every name on the assessment; the approval cites a band in the recorded delegation and the value falls within it; the baseline movement equals the approved value; and changes sharing a cause were aggregated for banding. An approval whose approver appears anywhere on the assessment is a failure of this test, and the test requires no judgement — the names either differ or they do not. Two reviewers comparing the same approval and assessment records reach the same result.

22. Breach indicators. Approvals clustered just below a band boundary; several changes approved on the same day from one instruction; approvers who are also the assessment's author; baseline movements larger than approved values; conditions attached to approvals that are never tracked; retrospective approvals with no record that they were retrospective.

23. Consequence within PCI authority. Correction required and the change reprocessed through the correct authority; the affected baseline movement reversed; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Ethical dilemma: a change the candidate priced, presented for their own signature because "the approver is on leave and the works cannot wait". Evidence selection: identifying which record proves the approval was within delegated authority.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-05-01 *Change Control* and PCL-LAW-11-01 *Segregation of Duties*; both identifiers are retired and are not reused.

Domain 6 — Earned Value Management & Forecasting

PCI STANDARD

PCI-PCL-STD-06.01

Earned Value Measurement Rules Fixed Before Performance

1. Normative requirement. A credential holder must fix and record the earned value measurement method for each work package before performance of that work package begins.

2. Purpose. Controls the failure that makes earned value unfalsifiable. Where the measurement method is chosen after the work has started — or changed once the result is known — the earned value becomes a description of the answer wanted rather than of the work done. Fixing the rule in advance is the only point at which the choice is made honestly, because at that point nobody knows which method will flatter the result.

3. Scope. All candidates and credential holders who define, apply, review, approve or give assurance over earned value measurement methods, on any project applying earned value in any form, including adaptive delivery where earned value is derived from accepted increments.

4. Defined terms. *performance measurement baseline*, *control account*, *approved*, *objective evidence of progress*, *material*, *evidence*, *change*, *escalation threshold*.

5. Required actions. The professional must record a method per work package, apply it consistently, and change it only through change control.

- **PCI-PCL-STD-06.01-PR-01 — Method recorded per work package.** Each work package must carry a recorded measurement method — for example units complete, milestone weighting, fixed-formula start and finish proportions, level of effort, or apportioned effort — together with the reason the method suits the work and, where the method uses milestones or units, the specific milestones or units and their weights.
- **PCI-PCL-STD-06.01-PR-02 — Limits on level of effort.** Work packages measured as level of effort must be identified separately, their total budget stated as a proportion of the baseline, and level of effort must not be applied to work with a discrete, measurable output.
- **PCI-PCL-STD-06.01-PR-03 — Change of method through change control.** A measurement method may be changed only before the work package starts, or through an approved change that records the reason, the effect on reported earned value to date and the treatment of the transition; a method must never be changed to alter a reported index.
- **PCI-PCL-STD-06.01-PR-04 — Method consistent with the schedule.** The measurement method for each work package must be consistent with how progress is statused in the schedule, so that cost and schedule progress describe the same work.

6. Prohibited actions. Choosing a measurement method after performance has begun; changing a method to move an index; applying level of effort to discrete work; measuring by expenditure ("cost spent equals value earned") where an output measure exists; using different methods for the same work in cost and schedule; recording a method that the progress data cannot support.

7. Required evidence. The measurement method record per work package with weights and milestones; the level-of-effort register with its proportion of baseline; approved changes to any method with their effect stated; the mapping between cost measurement and schedule statusing.

8. Responsible role. The **control account owner** for the method within their control account; the **project controls lead** for the method set as a whole; the **planner** for its consistency with the schedule.

9. Approval authority. The **baseline approval authority** approves the measurement method set as part of the baseline. A change of method is approved by the **change authority** under `PCI-PCL-STD-05.04`.

10. Independence requirement. Not required for selection — the method is best chosen by those who know the work. Approval of a *change* of method must be **independent** of the person whose reported performance the change would affect.

11. Materiality or threshold. A method is required for every work package regardless of value. The adopting organisation's governance sets the maximum proportion of the baseline that may be measured as level of effort, on the basis of how much of its work genuinely lacks a discrete output; where it sets none, the professional must state the proportion in use and the reason it is appropriate for the work. *Scaling:* on a USD 2 million refurbishment a handful of work packages may be measured by milestones with weights on one page; on a USD 5 billion programme methods are set by package type under a recorded standard, with exceptions listed. Both must be able to answer, for any work package, "which method, decided when, by whom".

12. Exception and waiver. Where work must start before its measurement method is recorded, the **project controls lead** may authorise a provisional method in writing, provided it is confirmed or replaced within one reporting cycle and no earned value is reported for that work package until it is. No exception is permitted to PR-03.

13. Escalation trigger. A method changed after performance began without an approved change; a proposal to move work to level of effort where a discrete output exists; earned value reported for a work package with no recorded method.

14. AI application. AI may propose a measurement method from the work package's characteristics and from historical practice, check method consistency across similar packages, detect level-of-effort creep, and reconcile cost measurement methods to schedule statusing rules.

15. AI prohibition. AI must not set a measurement method as final, approve a change of method, decide that level of effort is appropriate, or apply a method retrospectively to reported periods.

16. AI verification. Named human judgement recorded with reasoning, plus reconciliation: the professional must record, for each AI-proposed method, whether it was adopted and why, and must reconcile the adopted method set against the schedule statusing rules line by line before the baseline is approved.

> **17. External reference.**
>
> - **SAE International (ANSI-accredited) — ANSI/EIA-748 *Earned Value Management Systems.*** Cited for the existence of recognised management-system expectations covering the definition of work and its measurement. **Edition and guideline count deliberately not**

asserted. Nature: a **national standard**; Manual §6 **category 11, national standard**. Checked 2026-08-03 (registers EXT-130 / EXT-090). Applicability: binding only where a contract or procurement regime imports it.

- **Project Management Institute — *The Standard for Earned Value Management.*** Cited for the existence of recognised measurement methods. Edition: not established — not independently verified. Nature: Manual §6 category 5, professional framework; not regulatory authority. Register EXT-061. Persuasive only.

18. Jurisdictional caution. Where a contract or procurement regime imports an earned value management-system standard, compliance with that standard is a contractual or regulatory obligation that may exceed this standard, and its interpretation belongs to the contract administrator and qualified counsel.

19. Related PCI Standards. `PCI-FND-STD-13` (no silent override) governs; this standard adds the fix-in-advance obligation, which is the domain-specific form of preventing a silent override of the measurement basis. See also `PCI-PCL-STD-06.02`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-03.01`, `PCI-PCL-STD-10.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 6 · KA 6.1 EVM fundamentals. Also Domain 3 · KA 3.3 The time-phased budget / cost baseline; Domain 9 · KA 9.5 Agile cost control, forecasting & earned value.

21. Compliance test. Compliance is demonstrated when, for a sample of work packages selected on a stated basis: (a) a measurement method is recorded and its record predates the work package's actual start; (b) where the method uses milestones or units, the milestones or units and their weights are recorded; (c) any change of method is supported by an approved change stating its effect; and (d) the method matches the schedule statusing rule for the same work. A work package whose method record postdates its actual start is a failure of this test — a date comparison, not a judgement. Two reviewers testing the same sample reach the same exception list.

22. Breach indicators. Level of effort growing as a proportion of the baseline; methods recorded in a single batch after the reporting period began; milestone weights adjusted between periods; work packages whose cost progress and schedule progress diverge systematically; work packages measured by expenditure; identical methods applied to plainly different work.

23. Consequence within PCI authority. Correction required and the affected earned value withheld until the method basis is established; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: four work packages with proposed methods, one of which is level of effort applied to discrete work. Calculation review: the effect on the reported cost performance index of a mid-period change of milestone weights.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-06-01 *Earned Value Integrity*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-06.02

Objective Evidence of Progress

1. Normative requirement. A credential holder must not report progress or earned value that is not supported by **objective evidence of progress** at the reporting **cut-off**.

2. Purpose. Controls the most consequential single number in project controls. Progress asserted without evidence drives earned value, the cost performance index, the estimate at completion, the schedule status, the payment application and, on many contracts, the money that moves. An unsubstantiated percentage is not an estimate — it is the point at which every downstream control fails at once, silently, and in the same direction.

3. Scope. All candidates and credential holders who measure, record, review, approve or give assurance over physical progress, earned value, milestone achievement, quantities installed or percentage complete, on any project and under any delivery model, including agile increments assessed as accepted.

4. Defined terms. *objective evidence of progress*, *evidence*, *cut-off*, *material*, *independent*, *competent reviewer*, *source record*, *escalation threshold*.

5. Required actions. The professional must hold, for every progress claim, a record produced or verifiable outside the claimant, and must be able to produce it on request.

- **PCI-PCL-STD-06.02-PR-01 — Evidence identified per claim.** Each progress claim must identify the record that evidences it, by reference, so that the record can be retrieved without asking the claimant which one it was.
- **PCI-PCL-STD-06.02-PR-02 — Verification of claims on a stated basis.** Progress claims must be verified before the earned value is reported, by physical or documentary verification of a population or a

sample selected on a recorded basis that includes the highest-value claims and the claims that moved most since the previous period.

- **PCI-PCL-STD-06.02-PR-03 — Prohibition on progress exceeding evidence.** Where the evidence supports less progress than claimed, the reported figure must be the evidenced figure, and the difference must be recorded and reported to the **control account owner**.
- **PCI-PCL-STD-06.02-PR-04 — No negative or reversing progress without explanation.** Where reported progress falls between periods, the cause must be stated and the earlier over-report identified — a silent correction of prior over-claim is a breach of `PCI-PCL-STD-04.03` as well as of this standard.

6. Prohibited actions. Reporting progress supported only by the assertion of the person performing or supervising the work; reporting progress against work not yet started; claiming a milestone whose completion criteria are unmet; carrying forward the previous period's percentage; earning value for materials delivered but not installed where the method does not permit it; adjusting progress to achieve a target index or a payment position.

7. Required evidence. The progress record per work package with its evidencing record reference; the verification record showing the population or sample, the basis of selection, the method and the exceptions; the reconciliation from verified progress to reported earned value; the approver's identity and date.

8. Responsible role. The **control account owner** for the progress claimed in their control account; the **cost engineer** for its conversion into earned value; the **project controls lead** for the reported position; the **planner** for the corresponding schedule status.

9. Approval authority. The **project controls lead** approves the earned value position for reporting. Where a claim is contested between the claimant and the verifier, the **decision owner** for the cost position decides and records the decision and its basis.

10. Independence requirement. Verification under PR-02 must be performed by a person **independent** of the person claiming the progress. Where the work is performed by a contracting party, the verifier must not be that party — a supplier's own progress return is a claim, never a verification of itself.

11. Materiality or threshold. Evidence is required for every claim, without threshold, because a claim's value is often small while its effect on an index is not. The **sample** basis under PR-02 is set by the adopting organisation's governance and recorded; where none is set, the professional records the basis used, which must include all claims above the materiality rule and a stated random selection below it. *Scaling:* on a USD 2 million refurbishment every claim can be physically verified in one site visit and the population is the sample; on a USD 5 billion programme verification is layered — package-level verification by the delivery team, sample re-verification by controls, and a stated independent audit cycle. The rule that a claim must name its evidence is identical in both.

12. Exception and waiver. No exception is permitted to element 1. Where verification cannot be performed before the cut-off — access denied, weather, remote location — the progress must be reported as unverified, identified as such on the face of the report with the value affected, and verified in the following period. Reporting it as verified is a breach, not an exception.

13. Escalation trigger. A material difference between claimed and evidenced progress; an instruction to report progress that verification does not support; repeated unverified claims from the same source; progress claimed for work the verifier found not started.

14. AI application. AI may compare claimed progress against installed quantities, delivery records, timesheets, inspection records, photographs and site-scan data; flag claims inconsistent with resource expenditure or with the schedule; and prioritise claims for physical verification.

15. AI prohibition. AI must not certify progress, approve a progress claim, replace physical or documentary verification where the method requires it, or determine that a milestone's completion criteria are met.

16. AI verification. Source tracing and sampling with a stated basis, and — where the AI output is derived from imagery, sensor or model data — physical or documentary confirmation of a stated sample: the professional must confirm the AI-assessed progress for the highest-value claims and for a random selection of the remainder against the underlying record or the physical work, must record the sample and the error rate, and must not report an AI-derived progress figure that no human has confirmed against something outside the tool.

17. External reference.

- **SAE International (ANSI-accredited) — ANSI/EIA-748 *Earned Value Management Systems.*** Cited for the existence of recognised expectations that performance measurement rest on the work actually accomplished. Edition and guideline count deliberately not asserted. Nature: national standard, classified as Manual §6 **category 11, national standard**. Checked 2026-08-03 (EXT-130 / EXT-090). Binding only where a contract or procurement regime imports it.
- **ISO — ISO 21508 *Earned value management in project and programme management.*** Cited for the international treatment of performance measurement. Edition: 2018 per register; second edition

in development; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-029). Voluntary unless adopted.

18. Jurisdictional caution. Where progress determines an entitlement to payment, the contract's measurement, certification and payment provisions and any applicable construction-payment legislation govern that entitlement. Certification under a contract is a contractual act, not a controls act, and requires the certifier appointed under the contract.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs; this standard adds the definition of what counts as objective evidence of progress and the prohibition on reporting beyond it. See also `PCI-PCL-STD-06.01`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-10.03`, `PCI-PCL-STD-07.03`, `PCI-PCL-STD-04.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 6 · KA 6.1 EVM fundamentals. Also Domain 10 · KA 10.4 Progress measurement and schedule control; Domain 7 · KA 7.4 Invoicing and applications for payment.

21. Compliance test. Compliance is demonstrated when, for a sample of progress claims selected on a stated basis, the reviewer can name and retrieve for each the dated record produced by or verifiable against a source other than the claimant, and that record supports the quantum claimed; and when the verification record states the population or sample, the selection basis, the method and the exceptions found. A claim for which the reviewer can retrieve no such record is a failure of this test. Two reviewers given the same sample and the same evidence set reach the same exception list — which is the whole point of defining objective evidence of progress rather than leaving "supported" undefined.

22. Breach indicators. Progress percentages ending in 0 or 5 across a whole control account; progress that advances at a constant rate irrespective of events; claims that reach 90 per cent and stop; earned value that tracks expenditure exactly; verification records with no exceptions in any period; milestone claims with no completion criteria recorded; progress falling in a later period with no explanation.

23. Consequence within PCI authority. Correction required and the earned value position withheld or restated; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: from five records, the candidate identifies which constitute objective evidence of progress for a given claim and which do not. Ethical dilemma: a supervisor's request to "round it up to 80 so the application clears".

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-06-01 *Earned Value Integrity* and PCL-LAW-10-03 *Progress Measurement*; both identifiers are retired and are not reused.

PCI STANDARD

PCI-PCL-STD-06.03

Coherence of the Three Earned Value Data Points

1. Normative requirement. A credential holder must ensure that planned value, earned value and actual cost are measured over the same scope, the same period and the same **cut-off** before any index or variance derived from them is reported.

2. Purpose. Controls the arithmetic that is right and the answer that is wrong. A cost performance index computed from earned value that excludes a scope which actual cost includes, or from an actual cost that omits accruals the earned value assumes, is not a performance measure — it is a mismatch expressed to two decimal places, and it is trusted precisely because it looks like a calculation.

3. Scope. All candidates and credential holders who compute, review, approve or give assurance over earned value indices, variances, earned schedule measures or any derived performance metric, on any project applying earned value.

4. Defined terms. *performance measurement baseline*, *cut-off*, *accrual*, *commitment*, *material*, *reproducible*, *evidence*, *source record.*

5. Required actions. The professional must confirm the three data points are commensurable, and must record that confirmation, before publishing any index.

- **PCI-PCL-STD-06.03-PR-01 — Actual cost completeness for the period.** The actual cost used must include the **accrual** for work performed and not invoiced, must exclude amounts relating to work not yet performed, and must be reconciled to the cost position issued under PCI-PCL-STD-05.01.
- **PCI-PCL-STD-06.03-PR-02 — Planned value from the approved baseline only.** The planned value used must be taken from the current approved baseline version at the correct time phase, and the version used must be recorded with the calculation.

- **PCI-PCL-STD-06.03-PR-03 — Index verification before publication.** Each published index and variance must be recomputed from its three inputs and agreed, and the inputs, the formula applied and the result must be retained so the figure is **reproducible**.
- **PCI-PCL-STD-06.03-PR-04 — Scope coverage stated.** Where any part of the project is excluded from earned value measurement — a package not yet baselined, a level-of-effort element, a contract measured differently — the exclusion and its value must be stated with the index, so that the index's coverage is visible.
- **PCI-PCL-STD-06.03-PR-05 — Cost and schedule statused to the same date.** The schedule status used for schedule performance measurement must carry the same status date as the cost cut-off, or the difference must be stated and its effect quantified.

6. Prohibited actions. Publishing an index whose inputs come from different cut-offs without saying so; excluding accruals from actual cost while including their work in earned value; using a superseded baseline for planned value; presenting a project-level index that covers only part of the project; reporting an index without retaining its inputs; adjusting an input to produce an intended index.

7. Required evidence. The three inputs per control account with their sources and cut-offs; the baseline version reference; the recomputation record; the statement of excluded scope and its value; the reconciliation of actual cost to the issued cost position.

8. Responsible role. The **cost engineer** for the computation; the **project controls lead** for the published indices; the **planner** for the schedule status used.

9. Approval authority. The **project controls lead** approves the published performance indices.

10. Independence requirement. The recomputation under PR-03 must be performable by a **competent reviewer** from the retained inputs. Where indices are used in an incentive or contractual mechanism, the recomputation must be performed by a person **independent** of the party whose reward they affect.

11. Materiality or threshold. Coherence is required absolutely — there is no threshold at which mismatched inputs are acceptable, because the mismatch is not an error of size but an error of kind. The **materiality rule** governs only whether a stated difference in cut-off dates under PR-05 must be quantified in the report or merely noted. *Scaling:* on a USD 2 million refurbishment coherence is demonstrated in one schedule of three columns; on a USD 5 billion programme it is demonstrated per control account with roll-up, and the professional must record the level at which coherence was tested.

12. Exception and waiver. Where a source system's cut-off cannot be aligned, the index may be published with the difference and its quantified effect stated on the face of the report, approved by the **project controls lead**. No exception is permitted to PR-01 or PR-02.

13. Escalation trigger. An index published from mismatched inputs; discovery that actual cost used in performance measurement differs materially from the reconciled cost position; use of a superseded baseline in a published index.

14. AI application. AI may assemble the three data points from their systems, detect cut-off and scope mismatches, recompute indices, and produce coverage statements.

15. AI prohibition. AI must not publish an index, decide that a mismatch is immaterial, substitute an estimate for a missing input without that substitution being visible, or approve a performance report.

16. AI verification. Independent recomputation: the professional must recompute at least the project-level indices and the three largest control accounts' indices from the retained inputs without using the tool that produced them, and must agree the results; any difference must be resolved before publication rather than explained afterwards.

17. External reference.

- **SAE International (ANSI-accredited) — ANSI/EIA-748 *Earned Value Management Systems.*** Cited for the existence of recognised expectations that performance data be internally consistent. Edition and guideline count deliberately not asserted. Nature: **national standard** — Manual §6 category 11. Checked 2026-08-03 (EXT-130 / EXT-090). Binding only where imported by contract or procurement regime.
- **ISO — ISO 21508 *Earned value management in project and programme management.*** Cited for the international treatment of earned value data. Edition 2018 per register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-029). Voluntary unless adopted.

18. Jurisdictional caution. Where indices feed a contractual incentive, a payment mechanism or a regulated report, the contract or the applicable regulation governs how they must be computed and verified, and those requirements may exceed this standard.

19. Related PCI Standards. `PCI-FND-STD-06` (source and version integrity) governs; this standard adds the commensurability obligation specific to earned value arithmetic. See also `PCI-PCL-STD-06.01`, `PCI-PCL-STD-06.02`, `PCI-`

PCL-STD-06.04, PCI-PCL-STD-05.01, PCI-PCL-STD-03.02, PCI-PCL-STD-04.01.

20. Related Body of Knowledge content. PCL-AI · Domain 6 · KA 6.2 Variances and performance indices; KA 6.4 Integrating cost & schedule; limitations; earned schedule. Also Domain 4 · KA 4.2 Variance analysis.

21. Compliance test. Compliance is demonstrated when a reviewer can take the three retained inputs for any published index, recompute the index, and obtain the published figure; when the planned value cites a baseline version that exists in the retained set; when the actual cost agrees to the reconciled cost position for the same cut-off; and when the report states what scope the index covers and what it excludes. A published index that cannot be recomputed from retained inputs is a failure of this test. Two reviewers recomputing from the same retained inputs obtain the same figure — if they cannot, the standard has been breached whatever the report says.

22. Breach indicators. Indices that move smoothly while their inputs move erratically; actual cost in the index differing from the reported cost position; a cost performance index of exactly 1.00 across several control accounts; planned value that does not sum to the baseline; indices reported without retained inputs; schedule status dates differing from the cost cut-off with no note.

23. Consequence within PCI authority. Correction required and the indices withheld or restated; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: given three inputs with a deliberate cut-off mismatch, the candidate identifies the mismatch, quantifies its effect on the cost performance index and states the correct treatment.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — the eighteen-field set assumed data coherence rather than requiring it.

PCI standard

PCI-PCL-STD-06.04

Selection and Disclosure of the Estimate-at-Completion Method

1. Normative requirement. A credential holder must disclose, with every earned-value-derived estimate at completion, the method used to derive it and the reason that method suits the remaining work.

2. Purpose. Controls method-shopping. The earned value family offers several formulae that produce materially different answers from the same data; choosing among them without stating why, or presenting one as *the* estimate at completion, converts a modelling choice into an apparent fact. The failure is not using a formula — it is using it invisibly.

3. Scope. All candidates and credential holders who derive, review, approve or give assurance over an estimate at completion, an independent estimate at completion, a to-complete performance index or any other earned-value-derived forecast measure, on any project applying earned value.

4. Defined terms. *evidence*, *material*, *approved*, *decision owner*, *reproducible*, *trend*, *escalation threshold*, *competent reviewer*.

5. Required actions. The professional must state the method, justify it against the remaining work, and reconcile it to the bottom-up forecast.

- **PCI-PCL-STD-06.04-PR-01 — Method disclosure and range.** Each earned-value-derived estimate at completion must state the formula applied, its inputs, and — where more than one recognised formula is applicable — the range the alternatives produce, so that the decision owner sees the spread rather than one point.
- **PCI-PCL-STD-06.04-PR-02 — To-complete performance index interpreted, not merely reported.** Where a to-complete performance index is reported, it must be accompanied by a statement of what performance level it implies for the remaining work, and by a comparison with the performance achieved to date; a to-complete index materially above achieved performance must be identified as a target that the project has not yet demonstrated it can meet.
- **PCI-PCL-STD-06.04-PR-03 — Reconciliation to the bottom-up forecast.** The earned-value-derived estimate at completion must be reconciled to the bottom-up estimate at completion prepared under `PCI-PCL-STD-03.04`, and every material difference explained; where the two diverge materially and persistently, the divergence must be reported to the **decision owner** rather than resolved by choosing the preferred figure.
- **PCI-PCL-STD-06.04-PR-04 — Method consistency between periods.** The method must not be changed between periods without stating the change, its reason and the effect on the reported estimate at completion.

6. Prohibited actions. Presenting an earned-value-derived estimate at completion without its method; selecting the method that produces the preferred number; reporting a to-complete performance index without interpreting it; changing method silently between periods; suppressing the bottom-up forecast where it exceeds the formula-derived one; presenting a range as a single number.

7. Required evidence. The method statement with inputs and formula; the alternative-formula range where applicable; the to-complete index interpretation; the reconciliation to the bottom-up forecast with explanations; the record of any method change with its effect.

8. Responsible role. The **cost engineer** for the derivation; the **project controls lead** for the disclosure as issued; the **decision owner** for the forecast relied on.

9. Approval authority. The **decision owner** for the cost position approves which estimate at completion is adopted for decision-making, and that adoption must be recorded with its reason.

10. Independence requirement. Not required for derivation. Where the earned-value-derived and bottom-up estimates diverge materially, the reconciliation under PR-03 must be reviewed by a person **independent** of the preparer of both.

11. Materiality or threshold. Disclosure is required for every earned-value-derived estimate at completion, without threshold. The **materiality rule** decides which divergence between methods must be escalated rather than merely explained, and what counts as a to-complete index "materially above" achieved performance under PR-02 — a judgement the professional must record, since a to-complete index slightly above achieved performance may be routine on a short refurbishment and implausible on a multi-year programme where achieved performance is well established over many periods. *Scaling:* the smaller the completed proportion of work, the less reliable any earned-value-derived estimate is; on a USD 2 million refurbishment early in delivery the professional must state that limitation, and on a USD 5 billion programme the same limitation applies control account by control account rather than in total.

12. Exception and waiver. No exception is permitted to disclosure of the method. Where the data does not support any earned-value-derived estimate — insufficient work complete, or performance not yet stable — the professional must state that and rely on the bottom-up forecast, rather than publish a figure with a caveat nobody reads.

13. Escalation trigger. A material and persistent divergence between the earned-value-derived and bottom-up estimates; a to-complete performance index implying performance the project has never achieved; a method changed in the period in which its result would otherwise have deteriorated.

14. AI application. AI may compute the full family of earned-value-derived estimates, produce the range, compare methods against outturn on comparable completed projects, and draft the interpretation of the to-complete index.

15. AI prohibition. AI must not select the estimate at completion adopted for decision-making, decide which method is appropriate, suppress an alternative result, or approve the forecast.

16. AI verification. Independent recomputation plus sensitivity analysis: the professional must recompute the adopted formula's result from its inputs without the tool, must confirm the reported range by recomputing at least the highest and lowest alternatives, and must record the sensitivity of the adopted figure to its principal input.

17. External reference.

- **Project Management Institute — *The Standard for Earned Value Management.*** Cited for the existence of a recognised family of estimate-at-completion methods. Edition not established — not independently verified. Nature: Manual §6 category 5, professional framework; not regulatory authority. Register EXT-061. Persuasive only.
- **AACE International — *Total Cost Management Framework.*** Cited for forecasting within the cost-control cycle. Edition not asserted — unverified. Nature: Manual §6 category 5, professional framework. Register EXT-064. Persuasive only, on adoption.

18. Jurisdictional caution. Where an estimate at completion is used in statutory reporting — for example in assessing progress towards satisfying a performance obligation or the existence of an onerous contract — the applicable accounting framework governs that use and requires qualified accounting advice.

19. Related PCI Standards. `PCI-FND-STD-05` (transparent assumptions) governs; this standard adds the specific disclosure of method, range and to-complete interpretation. See also `PCI-PCL-STD-03.04`, `PCI-PCL-STD-03.05`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-13.02`.

20. Related Body of Knowledge content. PCL-AI · Domain 6 · KA 6.3 Forecasting with EVM: the EAC family. Also Domain 3 · KA 3.4 Forecasting; Domain 4 · KA 4.2 Variance analysis.

21. Compliance test. Compliance is demonstrated when the issued forecast states the formula applied and its inputs; when a reviewer recomputing from those inputs obtains the published figure; when the alternative-formula range is shown or its absence explained; when any reported to-complete performance index is accompanied by a comparison with achieved performance; and when a reconciliation to the bottom-up estimate exists with material differences explained. An estimate at completion whose method is not stated is a failure of this test on its face. Two reviewers recomputing from the stated inputs obtain the same figure.

22. Breach indicators. The method changing in the period when the previous method's result deteriorated; a single-point estimate at completion presented every period with no range; a to-complete performance index reported without comment for several periods while achieved performance is far below it; the bottom-up forecast appearing only when it is lower; inputs not retained.

23. Consequence within PCI authority. Correction required and the forecast withheld or reissued; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: the candidate computes the estimate at completion under two recognised methods, states the range, interprets the to-complete performance index and identifies which figure the evidence supports. Scenario judgement: a method changed without disclosure.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — the eighteen-field set required forecast honesty but did not address method selection or disclosure.

Domain 7 — Contracts, Commercial Management, BoQ, Invoicing & Revenue

PCI STANDARD

PCI-PCL-STD-07.01

Contract Source Verification

1. Normative requirement. A credential holder must verify every contractual term they rely on against the executed contract and its executed amendments.

2. Purpose. Controls reliance on the wrong document. Commercial positions are routinely built on a tender version, a draft that was never signed, a summary someone prepared, a term sheet, a predecessor contract with the same counterparty, or — increasingly — an AI-generated extract. Each is plausible and each has been wrong. A commercial analysis built on an unverified term is not conservative or aggressive; it is unrelated to the agreement the parties actually made.

3. Scope. All candidates and credential holders who prepare, review, approve or give assurance over any output that depends on a contractual term —

payment terms, rates, milestones, liquidated damages, notice periods, variation mechanisms, retention, indexation, caps, and the scope the contract covers — on any project and under any contract form.

4. Defined terms. *source record*, *current*, *verified*, *evidence*, *material*, *competent reviewer*, *escalation threshold*, *approved*.

5. Required actions. The professional must go to the executed document, record which document they went to, and stay inside their competence when interpreting it.

- **PCI-PCL-STD-07.01-PR-01 — Contract register with executed status.** A register of the project's contracts and amendments must record for each the parties, the date of execution, the document reference of the executed version, its location, and whether any amendment remains unexecuted.
- **PCI-PCL-STD-07.01-PR-02 — Citation of the relied-on provision.** Any commercial analysis, claim assessment, payment assessment or report that turns on a contractual term must cite the document and the provision relied on, so that a reviewer can read the same words.
- **PCI-PCL-STD-07.01-PR-03 — Boundary of interpretation.** Where the meaning or effect of a provision is uncertain, disputed, or determines legal entitlement, the professional must refer the question to the person authorised to obtain legal advice, must record the referral, and must not state a legal conclusion as though it were settled.
- **PCI-PCL-STD-07.01-PR-04 — Unexecuted documents identified.** Where work proceeds under a letter of intent, an unexecuted amendment or an instruction outside the executed contract, that fact and the value exposed must be recorded and reported in the period in which it arises.

6. Prohibited actions. Relying on a draft, a tender document, a summary or an extract as the source of a term; citing a provision the professional has not read in the executed document; stating a legal conclusion on entitlement, liability or the effect of a notice; treating an unexecuted amendment as binding; carrying a term forward from a previous contract with the same counterparty.

7. Required evidence. The contract register; the executed contract and amendments as retained; the citation record for each relied-on provision; the referral record where interpretation was referred; the register of work proceeding under unexecuted documents with its value.

8. Responsible role. The **commercial lead** for the contractual position; the **project controls lead** for any controls output that depends on it; the person authorised by the adopting organisation to obtain legal advice for questions referred under PR-03.

9. Approval authority. The **commercial lead** approves the contractual basis used in a controls output. Only the person authorised under the adopting organisation's governance may commit the organisation to a contractual position, and this standard confers no such authority.

10. Independence requirement. Not required for verification against the executed document, which is a matter of fact rather than judgement. Where a contractual position is material to a dispute, its verification must be re-performed by a person **independent** of the party whose entitlement it supports.

11. Materiality or threshold. Every relied-on term must be verified against the executed document, without threshold — the cost of opening the contract is trivial and the cost of being wrong is not. The **materiality rule** decides only which unexecuted-document exposures must be escalated rather than recorded and reported. *Scaling:* on a USD 2 million refurbishment one contract and two amendments make the register a single page; on a USD 5 billion programme with hundreds of contracts the register is a system, and the professional must record how the executed version is identified within it. The obligation to read the executed words before relying on them does not scale away.

12. Exception and waiver. No exception is permitted to element 1. Where the executed contract cannot be located, the professional must record that fact, must state the assumption used in its place on the face of the output, and must escalate — an output built on an assumed term that is not labelled as such is a breach.

13. Escalation trigger. A material term that cannot be verified against an executed document; work proceeding under an unexecuted document beyond the period stated in the adopting organisation's governance; a request to state a legal conclusion the professional is not qualified to give; discovery that a reported position rests on a superseded contract version.

14. AI application. AI may locate provisions across a contract set, extract candidate terms, compare an executed version against a draft to identify differences, summarise obligations, and build the contract register from document metadata.

15. AI prohibition. AI must not be the source of a contractual term relied on without human confirmation against the executed document; must not determine entitlement; must not advise on the meaning or legal effect of a provision; and must not be cited as the authority for a commercial position.

16. AI verification. Clause-to-summary comparison: for every AI-extracted or AI-summarised term the professional relies on, they must open the executed contract at that provision and read the words themselves, and must record the document reference and provision identifier they read. An AI summary that is consistent with the professional's expectation is the highest-risk case, because it is the one least likely to be opened.

17. External reference.

- **FIDIC — FIDIC suite of conditions of contract.** Cited generically for the existence of standard forms whose provisions vary between books and between editions. **No clause number, book or edition asserted** — clause numbering has moved between editions, which is itself part of the reason for this standard. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (EXT-050). Binds only the parties to a contract that adopts it, on its own terms as amended by the parties.
- **NEC — NEC4 suite of contracts.** Cited generically for the existence of a standard form with time-bound notification mechanisms. No clause number asserted. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (EXT-051). Binds only adopting parties.

18. Jurisdictional caution. The meaning and effect of a contract term, the validity of a notice, the existence of an entitlement and the consequences of a breach are questions of the governing law and of the contract as executed and amended. They require qualified legal advice in the governing jurisdiction. Nothing produced under this standard is legal advice, and a controls professional stating a legal conclusion is outside their competence — see `PCI-FND-STD-10`.

19. Related PCI Standards. `PCI-FND-STD-06` (source and version integrity) and `PCI-FND-STD-10` (competence and limitation) govern. This standard adds the executed-document rule and the interpretation boundary specific to commercial project controls. See also `PCI-PCL-STD-07.02`, `PCI-PCL-STD-07.03`, `PCI-PCL-STD-05.02`, `PCI-PCL-STD-13.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 7 · KA 7.1 Types of contract; KA 7.2 Contract management. Also Domain 5 · KA 5.4 Change control and cost impact.

21. Compliance test. Compliance is demonstrated when, for a sample of commercial outputs selected on a stated basis, each relied-on term cites a document and provision; the cited document is in the contract register as executed; and reading that provision supports the use made of it. An output citing no document, or citing a document the register does not record as executed, is a failure of this test. Two reviewers reading the same cited provisions reach the same conclusion about whether the output's use of the term is supported — and where they do not, the disagreement is itself the signal that PR-03 should have been applied.

22. Breach indicators. Commercial analyses with no contract citations; payment terms in the cost system that differ from the executed contract; a contract register with unexecuted amendments not flagged; terms quoted identically across contracts with different counterparties; legal conclusions stated by controls staff; letters of intent that have run for months with no record.

23. Consequence within PCI authority. Correction required and the output withheld until verified; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: given a tender document, a draft, an executed contract and an AI-generated summary, the candidate identifies which may be relied on. Ethical dilemma: pressure to state that a claim "is clearly entitled" without legal advice.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-07-01 *Commercial Traceability*; that identifier is retired and is not reused.

PCI STANDARD

PCI-PCL-STD-07.02

Traceability of Variations and Claims

1. Normative requirement. A credential holder must maintain, for each variation and each claim, a traceable record from the originating event to the current commercial position.

2. Purpose. Controls the commercial position that nobody can reconstruct. Variations and claims accumulate over years, through people who leave, in registers that diverge from the cost system and from the correspondence. When the position is finally tested — at final account, in adjudication, in audit — what matters is whether the chain from event to entitlement to value to recovery can be walked. Where it cannot, a valid entitlement is lost and an invalid one is paid.

3. Scope. All candidates and credential holders who record, value, review, approve, report or give assurance over variations, compensation events, claims, extensions of time, disruption claims, counterclaims or contra charges, on any project and in either direction — as claimant or as recipient.

4. Defined terms. *change*, *approved*, *source record*, *evidence*, *material*, *current*, *escalation threshold*, *cut-off*.

5. Required actions. The professional must keep the chain complete and the status honest.

- **PCI-PCL-STD-07.02-PR-01 — Event-to-position chain.** Each variation and claim must carry a record linking the originating event, the instructing or notifying document, the assessment, the submission, the response, the agreement or determination, and the value recorded in the cost position.
- **PCI-PCL-STD-07.02-PR-02 — Status stated to a defined vocabulary.** Each entry must carry a status from a defined status list — for example notified, submitted, under assessment, agreed in principle, agreed in value, rejected, in dispute, settled — each status defined in writing, and the date it was reached; "in progress" and "ongoing" are not statuses.
- **PCI-PCL-STD-07.02-PR-03 — Notice-date integrity.** The date on which an event occurred, the date it became known, and the date any notice was given or received must each be recorded from the source document as they actually are, and must not be adjusted, back-dated or estimated to fit a contractual period.
- **PCI-PCL-STD-07.02-PR-04 — Valuation basis and reasonableness stated.** The value recorded against each variation or claim must state the basis on which it was assessed and whether it represents the submitted value, the assessed value or the agreed value; a submitted value must never be reported as though it were agreed.
- **PCI-PCL-STD-07.02-PR-05 — Reconciliation to the cost position and the forecast.** The register's totals by status must reconcile at each cut-off to the amounts included in the cost position and the forecast, with any difference explained.

6. Prohibited actions. Reporting a submitted claim value as an agreed value; recording a notice date other than the actual date; assessing entitlement without reference to the executed contract; maintaining a claims register that does not reconcile to the cost position; closing an entry without recording the outcome; presenting an aggregate claim position without stating the mix of statuses behind it.

7. Required evidence. The variation and claim register with the PR-01 chain per entry; the defined status list; the source documents establishing event, knowledge and notice dates; the valuation basis per entry; the reconciliation to the cost position and the forecast.

8. Responsible role. The **commercial lead** for the commercial position and the register; the **project controls lead** for its reconciliation to the cost position and the forecast; the **planner** for the schedule evidence supporting time-related entries.

9. Approval authority. The **commercial lead** approves the recorded commercial position. Agreement of a value with a counterparty is a contractual act requiring the authority recorded in the adopting organisation's delegation, which this standard does not confer.

10. Independence requirement. Not required for maintaining the register. Where a claim position is **material** to the reported result or to a dispute, its valuation must be reviewed by a person **independent** of the person who prepared it and of any incentive that turns on its value.

11. Materiality or threshold. Traceability is required for every entry, of any value, because the chain cannot be reconstructed later for entries that were never linked. The **materiality rule** decides which valuations require independent review under element 10 and which reach the escalation threshold. *Scaling:* on a USD 2 million refurbishment the register may hold a dozen entries maintained in one file; on a USD 5 billion programme entries run to thousands across many contracts, and the professional must record how the chain is held and how completeness is assured — sampling is acceptable for testing the chain, never for building it.

12. Exception and waiver. No exception is permitted to PR-03. Where an event date cannot be established from a document, the record must state that it is estimated, state the basis of the estimate and identify who made it — an estimated date recorded as a fact is a breach.

13. Escalation trigger. Discovery that a notice date was recorded other than as the source document shows; a material claim whose chain cannot be reconstructed; a claims position included in the reported result at a value the counterparty has not agreed and which is not identified as unagreed; an approaching contractual time bar on an unsubmitted entitlement.

14. AI application. AI may extract event, knowledge and notice dates from correspondence; assemble candidate chains across documents; identify entries approaching a time bar; check register status consistency; and reconcile register totals to the cost position.

15. AI prohibition. AI must not determine entitlement, decide a claim's status, set an agreed value, assert that a notice was valid, or generate a claim narrative presented as the professional's assessment.

16. AI verification. Source tracing plus reconciliation: for every AI-extracted date the professional must open the source document and confirm the date; for every AI-assembled chain that is material the professional must confirm each link exists; and the professional must reconcile the register to the cost position independently of the tool. Dates are the highest-consequence extraction in commercial work, which is why PR-03 admits no sampling for material entries.

17. External reference.

- **FIDIC — FIDIC suite of conditions of contract.** Cited generically for the existence of time-bound notice and claim procedures whose operation depends on dates. No clause number, book or edition asserted. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (EXT-050). Binds only adopting parties.
- **NEC — NEC4 suite of contracts.** Cited generically for the compensation-event notification mechanism. No clause number asserted. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (EXT-051). Binds only adopting parties.
- **AACE International — Recommended Practice 29R-03 *Forensic Schedule Analysis*.** Cited for the existence of recognised delay-analysis methods relevant to time-related claims. Not independently verified; no method prescribed here. Nature: Manual §6 category 5, professional framework. Register EXT-067. Applicability: persuasive only; the acceptability of any method differs between forums and jurisdictions.

18. Jurisdictional caution. Time bars, notice validity, the admissibility of a delay-analysis method and the existence of an entitlement are questions of the governing law and the executed contract. Missing a contractual time bar can extinguish a valid claim. These are matters for qualified counsel and the contract administrator, and this standard neither preserves nor defeats any entitlement.

19. Related PCI Standards. `PCI-FND-STD-07` (data lineage) governs; this standard adds the commercial chain, the status vocabulary and the notice-date rule. See also `PCI-PCL-STD-07.01`, `PCI-PCL-STD-07.03`, `PCI-PCL-STD-05.02`, `PCI-PCL-STD-10.02`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 7 · KA 7.2 Contract management; KA 7.3 Bills of Quantities. Also Domain 5 · KA 5.4 Change control and cost impact; Domain 10 · KA 10.4 Progress measurement and schedule control.

21. Compliance test. Compliance is demonstrated when, for a sample of entries selected on a stated basis to include the highest values and the oldest open entries, the reviewer can walk the chain from the originating document to the value in the cost position without asking the preparer; when every entry carries a status from the defined list with its date; when every recorded event and notice date matches the source document; and when the register's totals by status reconcile to the cost position and the forecast. A recorded date that differs from the source document is a failure of this test. Two reviewers walking the same chains reach the same conclusion about which are complete.

22. Breach indicators. Claim values in the forecast that exceed the assessed values in the register; statuses that have not changed for many periods; notice dates that fall conveniently inside contractual windows; entries closed with no outcome recorded; registers maintained separately by the commercial and controls functions with different totals; aggregate claim recoveries reported without a status mix.

23. Consequence within PCI authority. Correction required and the commercial position restated; output withheld; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a register in which a submitted value has been reported as agreed, and a notice date that does not match the correspondence. Escalation decision: an entitlement approaching a time bar that nobody has submitted.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-07-01 *Commercial Traceability*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-07.03

Support and Reconciliation of Applications for Payment

1. Normative requirement. A credential holder must not submit, certify or support an application for payment for work that is not evidenced as performed or delivered at the application date.

2. Purpose. Controls the point where controls data becomes money. An application for payment supported by a percentage nobody verified moves cash on the strength of an assertion; over-claiming creates an exposure that unwinds at final account, and under-claiming starves the project of the cash it needs. The failure is also the one most likely to be characterised, after the fact, as something other than an error.

3. Scope. All candidates and credential holders who prepare, assess, certify, review, approve or give assurance over applications for payment, valuations, interim certificates, subcontractor payment assessments or the reconciliation between billing and revenue records, on any project and in either direction.

4. Defined terms. *objective evidence of progress*, *evidence*, *cut-off*, *material*, *approved*, *source record*, *commitment*, *escalation threshold*.

5. Required actions. The professional must tie every application line to evidenced performance and must reconcile the billing position to the records that describe the same work.

- **PCI-PCL-STD-07.03-PR-01 — Line-level support.** Each line of an application must be supported by the measurement, milestone certificate, delivery record, timesheet or other **objective evidence of progress** that establishes the quantity or the entitlement claimed, referenced from the application.
- **PCI-PCL-STD-07.03-PR-02 — Reconciliation of billing to progress and to the cost position.** The cumulative applied and certified position must be reconciled at each cut-off to the reported physical progress and to the cost position, with every difference identified and explained.
- **PCI-PCL-STD-07.03-PR-03 — Materials and unfixed goods identified.** Amounts claimed for materials on or off site, unfixed goods, advance payments and mobilisation must be identified separately from amounts for work performed, with the contractual basis stated.
- **PCI-PCL-STD-07.03-PR-04 — Retention, set-off and contra charges recorded.** Retention held or released, set-offs, contra charges and liquidated damages applied must each be recorded with their basis and reconciled between the application, the certificate and the cost position.

6. Prohibited actions. Applying for payment for work not performed; front-loading rates so that early activities recover more than their value; claiming materials as installed work; certifying progress the certifier has not verified or caused to be verified; submitting an application that does not reconcile to the reported progress position without explanation; applying a set-off with no recorded basis.

7. Required evidence. The application with line-level references to supporting records; the supporting records themselves; the reconciliation to physical progress and to the cost position; the separate identification of materials, advances and retention; the certifier's assessment record; the approver's identity and date.

8. Responsible role. The **commercial lead** for the application or the assessment; the **project controls lead** for the reconciliation to progress and cost; the certifier appointed under the contract for certification, which is a contractual role this standard does not displace.

9. Approval authority. The authority named in the adopting organisation's delegation approves submission of an application; certification is performed only by the person appointed under the contract.

10. Independence requirement. Assessment of a counterparty's application must be performed by a person **independent** of that counterparty. Verification of progress supporting an application must satisfy the independence requirement in `PCI-PCL-STD-06.02` — the application is a claim, and a claim cannot verify itself.

11. Materiality or threshold. Every line requires support, without threshold; the **materiality rule** decides which unsupported lines must be removed before submission rather than corrected in the next application, and which differences in the PR-02 reconciliation must be escalated. *Scaling:* on a USD 2 million refurbishment support is a measurement sheet and a photograph set per line; on a USD 5 billion programme it is a measurement system with sampled re-measurement, and the professional must record the sampling basis. In both, an application line that cannot name its support does not go in.

12. Exception and waiver. No exception is permitted to element 1. Where the contract permits payment in advance of performance — an advance payment, a mobilisation payment, materials off site — that is not an exception to this standard but a contractual entitlement, and it must be identified under PR-03 with the provision relied on cited under `PCI-PCL-STD-07.01`.

13. Escalation trigger. An instruction to apply for or certify payment for work not evidenced as performed; a material and unexplained difference between the cumulative certified position and reported progress; discovery that a previous application over-claimed and has been paid.

14. AI application. AI may assemble applications from measurement and progress data; check arithmetic and rate application; reconcile cumulative positions; identify lines lacking support; and compare applications against contract rates and schedules of prices.

15. AI prohibition. AI must not certify payment, approve an application, determine entitlement to payment, assess a set-off, or generate supporting narrative for a line that has no underlying record.

16. AI verification. Independent recomputation plus source tracing on a stated sample: the professional must recompute the application total and the cumulative position without the tool; must trace every line above the materiality rule, and a stated random selection below it, to its supporting record; and must confirm rates against the executed contract's schedule of prices under `PCI-PCL-STD-07.01`.

> **17. External reference.**
>
> - **IFRS Foundation / IASB — IFRS 15 *Revenue from Contracts with Customers.*** Cited to mark the boundary this standard respects: billing and payment are not revenue, and the reconciliation required by PR-02 must be capable of supporting the entity's revenue determination without purporting to make it. Edition: issued May 2014, in force; no clause asserted. Nature: Manual §6 category 2, authoritative financial-reporting standard. Checked 2026-08-03 (register EXT-001). Applicabil-

ity: mandatory only for entities applying IFRS Accounting Standards in a jurisdiction that has adopted them; it creates no obligation through this standard.

- **FIDIC — FIDIC suite of conditions of contract.** Cited generically for the existence of interim payment and certification mechanisms. No clause number, book or edition asserted. Nature: Manual §6 category 4, contract framework. Checked 2026-08-03 (EXT-050). Binds only adopting parties.

18. Jurisdictional caution. Payment entitlement, certification, payment notices, withholding and adjudication are governed by the contract and, in several jurisdictions, by construction-payment legislation with strict statutory timescales whose breach has immediate financial consequences. Revenue recognition is an accounting determination for the reporting entity. Both require qualified local advice and neither is decided by this standard.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs; this standard adds the line-level support and billing-to-progress reconciliation obligations specific to payment. See also `PCI-PCL-STD-06.02`, `PCI-PCL-STD-07.01`, `PCI-PCL-STD-07.02`, `PCI-PCL-STD-05.01`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 7 · KA 7.4 Invoicing and applications for payment; KA 7.5 Revenue recognition in the commercial cycle. Also Domain 11 · KA 11.1 Order-to-Cash; Domain 2 · KA 2.2 IFRS 15 Revenue from Contracts with Customers.

21. Compliance test. Compliance is demonstrated when, for a sample of application lines selected on a stated basis, each names a supporting record that the reviewer can retrieve and that supports the quantity or entitlement claimed; when the cumulative applied and certified position reconciles to reported progress and to the cost position with differences explained; and when materials, advances, retention and set-offs are separately identified with their contractual basis cited. A line whose support cannot be retrieved is a failure of this test. Two reviewers testing the same sample reach the same exception list.

22. Breach indicators. Applications that always equal the amount needed to meet a cash target; cumulative certified value exceeding evidenced progress; early activities recovering disproportionate value; materials claimed repeatedly without conversion to installed work; set-offs with no basis recorded; a reconciliation between billing and progress that is prepared only when queried.

23. Consequence within PCI authority. Correction required and the application withdrawn or corrected; output withheld; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: given a measurement record, a schedule of prices and a draft application, the candidate identifies the over-claimed line and the misclassified materials line. Ethical dilemma: an instruction to include an unsupported line "because it will be certified down anyway".

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · New standard — the eighteen-field set addressed commercial traceability but contained no payment-application requirement.

Domain 10 — Project Scheduling

PCI standard

PCI-PCL-STD-10.01

Schedule Network Integrity

1. Normative requirement. A credential holder must not issue a schedule for planning, reporting or decision-making that contains an **open end**.

2. Purpose. Controls the schedule that computes but does not model. An open end means an activity whose movement is invisible to the rest of the network: it can slip without moving anything, or be driven by nothing. Every downstream analysis — critical path, float, forecast completion, delay assessment, resource profile — is then computed on a network that does not represent how the work actually connects, and the resulting dates are arithmetic without meaning.

3. Scope. All candidates and credential holders who build, status, review, approve or give assurance over a schedule used for planning, progress reporting, forecasting, resource planning, payment assessment or delay analysis, on any project of any size using a network-based schedule.

4. Defined terms. *open end*, *approved*, *evidence*, *material*, *current*, *competent reviewer*, *escalation threshold*, *performance measurement baseline*.

5. Required actions. The professional must build the network so that logic, constraints and calendars each represent something real, and must record the tests that show it.

- **PCI-PCL-STD-10.01-PR-01 — Logic completeness test before issue.** Before issue, the schedule must be tested for open ends, and every open end found must be closed by logic that represents a real dependency or explained in an exceptions record naming the activity and the reason.
- **PCI-PCL-STD-10.01-PR-02 — Constraint register.** Every date constraint in the schedule must be recorded in a constraint register with the activity, the constraint type, the reason it exists, the authority for it and the date it will next be reviewed; constraints that remove float or override logic must be identified separately.
- **PCI-PCL-STD-10.01-PR-03 — Calendar governance.** Every calendar in the schedule must be recorded with its working pattern, its non-working periods and the activities assigned to it; a calendar must not be altered to change a completion date in place of a logic or duration change, and any calendar change between issues must be recorded with its effect on the completion date.
- **PCI-PCL-STD-10.01-PR-04 — Logic that represents real dependency.** Relationships must represent a genuine physical, contractual or resource dependency; logic added solely to satisfy a metric, to remove an open end without reflecting a real dependency, or to change a computed date is prohibited, and lags and leads must each carry a recorded reason.
- **PCI-PCL-STD-10.01-PR-05 — Test record retained.** The output of the tests under PR-01 to PR-03 must be retained with the issued schedule, with the date it was run and the person who ran it.

6. Prohibited actions. Issuing a schedule with unexplained open ends; using a date constraint in place of logic; changing a calendar to recover a date; adding a relationship that models no real dependency; using negative lag to conceal an overlap that the logic does not support; issuing a schedule with no record of the integrity tests run.

7. Required evidence. The issued schedule file; the open-end test output with exceptions; the constraint register; the calendar register and change record; the record of lags and their reasons; the test record with date and runner.

8. Responsible role. The **planner** for the schedule as built and issued; the **project controls lead** for its integrity as reported; each **control account owner** for confirming that the logic represents how their work will actually be executed.

9. Approval authority. The **project controls lead** approves the schedule for issue. The **baseline approval authority** approves a schedule that becomes part of the **performance measurement baseline**.

10. Independence requirement. Not required for building the schedule. The integrity tests under PR-01 to PR-03 must be re-performable by a **competent reviewer** from the issued file; where the schedule supports a claim, a delay analysis or a contractual entitlement, the tests must be re-performed by a person **independent** of the party the entitlement favours.

11. Materiality or threshold. Open ends are prohibited without a value or count threshold, because a single open end on a critical activity invalidates the analysis while a hundred on trivial activities may not — a count-based tolerance would get this exactly backwards. Constraints and lags are permitted where recorded and justified; the adopting organisation's governance may set a maximum proportion or require review at a stated frequency, and where it does, that rule is recorded. *Scaling:* on a USD 2 million refurbishment with 150 activities the test is a single query and the exceptions are read individually; on a USD 5 billion programme with 100,000 activities across many contracts it is the same query run per schedule with the exceptions triaged by whether the activity is on or near the longest path. Because the test is a query rather than a manual pass, it costs the same at both scales — which is why this standard tolerates no exceptions on the ground of size.

12. Exception and waiver. An open end may be permitted where it genuinely represents the boundary of the schedule's scope — an interface with a schedule held by another party — provided it is recorded in the exceptions record with the interfacing schedule identified and the interface managed under a recorded interface agreement. No exception is permitted to PR-02 or PR-05.

13. Escalation trigger. An open end on an activity on or near the longest path that cannot be closed; a constraint applied without recorded authority; a calendar change that alters a reported completion date; an instruction to change logic to produce a required date.

14. AI application. AI may run integrity tests, propose logic for open ends from activity descriptions and historical networks, detect implausible durations, identify redundant or contradictory logic, and draft the constraint and calendar registers.

15. AI prohibition. AI must not insert logic into an issued schedule without human confirmation that the dependency is real; must not remove or alter a constraint; must not approve a schedule; and must not close an open end by adding a relationship the planner has not accepted.

16. AI verification. Independent recomputation and named human judgement: for every AI-proposed relationship the **planner** must record whether the dependency is real and why, and must re-run the network and confirm the resulting dates; the professional must also re-run the integrity tests after any AI-assisted edit, because closing an open end can create a new one.

17. External reference.

- **U.S. Government Accountability Office — *GAO Schedule Assessment Guide: Best Practices for Project Schedules.*** Cited for the existence of a public audit institution's published expectations on schedule quality. Edition: GAO-16-89G, issued 22 December 2015, per the register; no practice text reproduced. Nature: Manual §6 category 5, professional framework published by a public audit institution; not a regulation. Checked 2026-08-03 (register EXT-069). Applicability: persuasive; it binds only where a client or a procurement regime requires its use.
- **Defense Contract Management Agency (US) — *DCMA 14-Point Schedule Assessment.*** Cited for the existence of a widely used metric set that includes logic and constraint checks. Not independently verified; **no metric value or tolerance is asserted or adopted here** — this standard's tests are its own. Nature: Manual §6 category 7, industry guidance. Register EXT-091. Applicability: no standard-setter's authority; used only where an organisation or a client adopts it.
- **Project Management Institute — *Practice Standard for Scheduling.*** Cited for the existence of a recognised treatment of schedule construction. Edition: third edition per the register; no clause asserted. Nature: Manual §6 category 5, professional framework; not regulatory authority. Checked 2026-08-03 (EXT-062). Persuasive only.

18. Jurisdictional caution. Where a contract prescribes a scheduling specification — permitted constraint types, maximum lag, required submission and acceptance procedures — that specification is a contractual obligation that may exceed this standard, and its interpretation belongs to the contract administrator.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs; this standard adds the network integrity obligations, which no foundational standard reaches. See also `PCI-PCL-STD-10.02`, `PCI-PCL-STD-10.03`, `PCI-PCL-STD-03.01`, `PCI-PCL-STD-05.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 10 · KA 10.1 Schedule development; KA 10.2 Network analysis and the Critical Path Method. Also Domain 8 · KA 8.2 Planning.

21. Compliance test. Compliance is demonstrated when a query run against the issued schedule file returns: zero activities without a predecessor other than the single start milestone; zero activities without a successor other than the single finish milestone; zero activities whose only predecessor is a start-to-start relationship or whose only successor is a finish-to-finish relationship — in each case excepting only activities listed in the retained exceptions record with a stated reason; and, for every constraint present in the file, a matching entry in the constraint register with reason, authority and review date. The query, its date, its author and its output are retained. Two reviewers running the same query against the same file obtain the same counts, which is why this test is expressed as a query rather than as a judgement about whether the logic is "adequate".

22. Breach indicators. Constraints appearing shortly before a reporting deadline; calendars amended between issues with no record; a completion date that does not move when a critical activity slips; large numbers of lags with no reasons; open-end counts that fall to zero immediately after a review with no logic review recorded; activities with durations longer than the reporting cycle and no interim milestones.

23. Consequence within PCI authority. Correction required and the schedule withheld until the integrity tests pass or the exceptions are recorded; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a network extract in which the candidate identifies the open ends, the constraint used in place of logic and the negative lag concealing an overlap. Calculation review: the effect on completion of removing an unjustified constraint.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Supersedes PCL-LAW-10-01 *Schedule Logic*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-10.02

Critical-Path Verification Before Reliance

1. Normative requirement. A credential holder must verify that the reported critical path is the network's true longest path before relying on it for a decision, a report or a delay assessment.

2. Purpose. Controls reliance on a tool's answer. Scheduling software reports a critical path from total float, and total float is distorted by constraints, multiple calendars, resource levelling and out-of-sequence progress. The reported path can therefore differ from the actual longest path through the network — and every acceleration decision, delay analysis and mitigation plan built on the wrong path spends money on work that does not drive completion.

3. Scope. All candidates and credential holders who report, review, approve, rely on or give assurance over a critical path, a longest path, float values, a delay analysis or an acceleration or mitigation plan, on any project using a network schedule.

4. Defined terms. *verified*, *open end*, *current*, *evidence*, *material*, *independent*, *competent reviewer*, *escalation threshold*.

5. Required actions. The professional must test the reported path rather than accept it, and must record the test.

- **PCI-PCL-STD-10.02-PR-01 — Longest-path confirmation.** The reported critical path must be confirmed as the longest path through the network to the completion milestone, and where the software's float-based critical path and the longest path differ, both must be reported with the difference explained.
- **PCI-PCL-STD-10.02-PR-02 — Distorting features identified.** Before reliance, the professional must identify the constraints, calendars, resource levelling and out-of-sequence progress present in the schedule and state their effect on float and on the reported path.
- **PCI-PCL-STD-10.02-PR-03 — Near-critical paths reported.** Paths within a float range stated by the adopting organisation's governance must be reported alongside the critical path, so that a decision is not taken on a single path that a small change would displace.
- **PCI-PCL-STD-10.02-PR-04 — Delay analysis method stated.** Where the schedule is used to assess delay, the analysis method used must be named, its data sources stated, and its limitations disclosed; a method must not be selected because it produces a preferred result.

6. Prohibited actions. Reporting the software's critical path as verified without testing it; relying on float values without stating the constraints and calendars that shape them; presenting a single critical path where near-critical paths would displace it; selecting a delay-analysis method for its outcome;

asserting a critical path from a schedule that has failed the integrity tests in PCI-PCL-STD-10.01.

7. Required evidence. The verification record naming the longest path and the method used to confirm it; the list of distorting features and their effect; the near-critical path report with the float range used; the delay-analysis method statement with sources and limitations; the schedule file version tested.

8. Responsible role. The **planner** for the verification; the **project controls lead** for the reported path as issued; the **commercial lead** where the path supports a claim or a defence.

9. Approval authority. The **project controls lead** approves the reported critical path for reporting. Where the analysis supports a contractual position, the **commercial lead** approves its use for that purpose.

10. Independence requirement. Where the critical path or a delay analysis supports a claim, a defence, an extension of time or an entitlement, the verification must be re-performed by a person **independent** of the party the outcome favours. For internal reporting, re-performability by a **competent reviewer** is sufficient.

11. Materiality or threshold. Verification is required before every reliance, without threshold. The near-critical float range under PR-03 is set by the adopting organisation's governance on the basis of the project's duration, its reporting cycle and the volatility of its work — and it must be recorded, because a range set without a basis is arbitrary. *Scaling:* on a USD 2 million refurbishment of ten months a near-critical range of a few days is meaningful and a range of a month would capture the entire schedule; on a USD 5 billion programme of eight years the reverse is true. This is one of the few thresholds in this set that genuinely must differ between the two, and the standard therefore fixes the obligation to record the basis rather than fixing the number.

12. Exception and waiver. No exception is permitted to element 1. Where a schedule cannot be verified — for example a counterparty's schedule supplied without its logic — any reliance on its critical path must be stated as reliance on an unverified schedule, with the limitation disclosed at the point of use.

13. Escalation trigger. A reported critical path that differs materially from the verified longest path; an acceleration or mitigation decision proposed on an unverified path; a delay-analysis method changed after an unfavourable result; reliance on a schedule that failed the integrity tests.

14. AI application. AI may compute the longest path independently of the software's float calculation, identify distorting features, list near-critical paths, compare successive schedule versions to show path movement, and draft the limitations statement.

15. AI prohibition. AI must not determine the critical path relied on for a decision without human verification; must not select a delay-analysis method; must not attribute delay to a party; and must not approve a schedule analysis.

16. AI verification. Independent recomputation plus boundary testing: the professional must confirm the AI-identified longest path by tracing it activity by activity through the network from completion back to the current status date, and must test the path's stability by re-running with the two largest distorting features removed, recording the result. Tracing the path by hand is the only method that detects a path that the tool has computed correctly from logic that is wrong.

17. External reference.

- **U.S. Government Accountability Office — *GAO Schedule Assessment Guide: Best Practices for Project Schedules.*** Cited for the existence of published expectations on critical-path validity. Edition: GAO-16-89G, issued 22 December 2015; no practice text reproduced. Nature: Manual §6 category 5, professional framework published by a public audit institution; not a regulation. Checked 2026-08-03 (EXT-069). Persuasive; binding only where a client or procurement regime requires it.
- **AACE International — Recommended Practice 29R-03 *Forensic Schedule Analysis.*** Cited for the existence of recognised delay-analysis methods. Not independently verified; no method prescribed or preferred here. Nature: Manual §6 category 5, professional framework. Register EXT-067. Applicability: persuasive only; acceptability differs between forums and jurisdictions.
- **Project Management Institute — *Practice Standard for Scheduling.*** Cited for the recognised treatment of network analysis. Edition: third edition per register; no clause asserted. Nature: Manual §6 category 5, professional framework. Checked 2026-08-03 (EXT-062). Persuasive only.

18. Jurisdictional caution. Which delay-analysis method a tribunal, adjudicator, arbitrator or court will accept differs between forums and jurisdictions, and the entitlement that follows from a delay is a question of the contract and the governing law. Both require qualified counsel, and neither is settled by this standard.

19. Related PCI Standards. `PCI-FND-STD-03` (independent verification) governs; this standard adds the longest-path verification method and the distorting-feature disclosure. See also `PCI-PCL-STD-10.01`, `PCI-PCL-`

STD-10.03, PCI-PCL-STD-05.03, PCI-PCL-STD-07.02, PCI-PCL-STD-13.03.

20. Related Body of Knowledge content. PCL-AI · Domain 10 · KA 10.2 Network analysis and the Critical Path Method; KA 10.3 Schedule compression and resourcing. Also Domain 7 · KA 7.2 Contract management.

21. Compliance test. Compliance is demonstrated when a verification record exists naming the activities on the longest path in sequence, stating the method used to confirm it, listing the constraints, calendars, levelling and out-of-sequence progress present and their effect, and identifying the paths within the recorded near-critical range. A reviewer tracing the named path through the retained schedule file from completion back to the status date must arrive at the same activity list. Where the software's float-based path differs from the longest path, both must appear in the record. Two reviewers tracing the same file reach the same path.

22. Breach indicators. A critical path that runs through activities with date constraints; a critical path that does not reach the completion milestone; float values that change without a logic or duration change; near-critical paths never reported; a delay analysis whose method differs from the previous analysis on the same project with no reason stated; acceleration spent on activities that later prove not to have been driving.

23. Consequence within PCI authority. Correction required and the analysis withheld until verified; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: given a small network with a constraint and two calendars, the candidate identifies the true longest path and explains why the software's reported path differs. Scenario judgement: an acceleration proposal aimed at a path that is not driving completion.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Supersedes PCL-LAW-10-02 *Critical Path Verification*; that identifier is retired and is not reused.

PCI STANDARD

PCI-PCL-STD-10.03

Status Date and Actual-Date Integrity

1. Normative requirement. A credential holder must status a schedule to a single stated status date using actual dates taken from the record of when the work actually started and finished.

2. Purpose. Controls the update that is a wish. Actual dates entered as planned dates, progress statused to a date nobody stated, remaining durations left untouched while time passes, forecast dates that no logic produces — each converts the schedule from a model of the work into a restatement of the plan, and the project loses the only instrument that would have shown the drift while it was still small.

3. Scope. All candidates and credential holders who status, review, approve or give assurance over schedule progress, actual dates, remaining durations or forecast dates, on any project using a schedule for reporting or decision-making.

4. Defined terms. *cut-off*, *objective evidence of progress*, *evidence*, *current*, *material*, *source record*, *approved*, *escalation threshold*.

5. Required actions. The professional must record what happened, when it happened, and what remains — each from a record, and each visible in the issued file.

- **PCI-PCL-STD-10.03-PR-01 — Actual dates from records.** Every actual start and actual finish entered must be taken from a dated record of the event, and no actual date may fall after the status date; where an actual date is estimated because no record exists, it must be marked as estimated with the basis and the person who estimated it.
- **PCI-PCL-STD-10.03-PR-02 — Remaining duration re-assessed, not defaulted.** The remaining duration of every in-progress activity must be re-assessed against the work remaining at the status date and must not be left at its original value or derived only by subtracting elapsed time; forecast dates must be those the network computes from the statused position, and any manually entered forecast date must be identified with its reason.
- **PCI-PCL-STD-10.03-PR-03 — Status date stated and single.** Each issued schedule must state one status date; where any data within it is as at a different date, that data and its date must be identified.
- **PCI-PCL-STD-10.03-PR-04 — Baseline dates untouched by the update.** A progress update must not alter baseline dates, baseline durations or the baseline logic; any such alteration is a change to the baseline and is governed by `PCI-PCL-STD-03.02`.
- **PCI-PCL-STD-10.03-PR-05 — Out-of-sequence progress resolved.** Where progress has occurred out of the planned sequence, the professional must record it, state how the schedule has been adjusted to represent the actual sequence, and state the effect on the computed dates.

6. Prohibited actions. Entering planned dates as actual dates; statusing to a date that is not stated; leaving remaining durations unchanged as time passes; entering a forecast date the network does not produce without identifying it;

altering baseline dates during an update; suppressing out-of-sequence progress by allowing the software to resolve it silently.

7. Required evidence. The issued schedule file with its status date; the records supporting actual dates for a sample of activities; the remaining-duration re-assessment record; the list of manually entered forecast dates with reasons; the out-of-sequence record; the comparison confirming baseline dates unchanged.

8. Responsible role. The **planner** for the statused schedule; each **control account owner** for the accuracy of the progress and remaining duration for their work; the **project controls lead** for the issued position.

9. Approval authority. The **project controls lead** approves the statused schedule for issue.

10. Independence requirement. Not required for statusing, which depends on knowledge of the work. Verification of actual dates supporting a claim, a delay analysis or a payment must be performed by a person **independent** of the party the outcome favours, consistent with `PCI-PCL-STD-06.02`.

11. Materiality or threshold. Every actual date must come from a record, without threshold, because a single wrong actual date on a driving activity moves the completion date. Sampling is permitted for *verification*, never for *entry*, and the sample basis must be recorded and must include the activities on and near the longest path. *Scaling:* on a USD 2 million refurbishment every actual date can be checked against the site diary; on a USD 5 billion programme verification is sampled by contract with the longest-path activities checked in full. The rule that entry comes from a record is identical.

12. Exception and waiver. Where no record of an actual date exists, the date may be estimated under PR-01 provided it is marked as estimated. No exception is permitted to PR-03 or PR-04. Where a status date must be moved after issue, the schedule must be reissued rather than amended in place.

13. Escalation trigger. Actual dates that cannot be supported by any record on activities that are material to completion; a statused schedule whose baseline dates have moved; a forecast completion date entered manually to match a contractual date; out-of-sequence progress that reverses the intended construction sequence.

14. AI application. AI may extract actual dates from site records, timesheets, delivery notes and inspection systems; flag activities whose remaining duration is inconsistent with reported progress; detect out-of-sequence progress; and compare successive statused schedules to report movement.

15. AI prohibition. AI must not set an actual date without human confirmation against the record; must not set a remaining duration for an activity whose remaining work it cannot observe; must not approve a statused schedule; and must not resolve out-of-sequence progress by adopting a software default without a recorded human decision.

16. AI verification. Source tracing on a stated sample plus independent recomputation: the professional must confirm AI-extracted actual dates against the underlying records for all longest-path and near-critical activities and for a recorded random sample of the remainder; must confirm that the computed dates in the issued file follow from the statused position by re-running the network; and must review every AI-proposed remaining duration against the **control account owner**'s assessment of the work remaining.

17. External reference.

- **U.S. Government Accountability Office — *GAO Schedule Assessment Guide: Best Practices for Project Schedules.*** Cited for the existence of published expectations on schedule updating and status. Edition: GAO-16-89G, 22 December 2015; no practice text reproduced. Nature: Manual §6 category 5, professional framework published by a public audit institution; not a regulation. Checked 2026-08-03 (EXT-069). Persuasive; binding only where required by a client or procurement regime.
- **ISO — ISO 21508 *Earned value management in project and programme management.*** Cited for the alignment of schedule status with performance measurement. Edition: 2018 per register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-029). Voluntary unless adopted.

18. Jurisdictional caution. Where a contract prescribes the form, frequency and content of schedule updates and their submission and acceptance, those requirements are contractual obligations that may exceed this standard. Actual dates recorded in a schedule may later be relied on as evidence in a dispute; their treatment is a matter for the contract administrator and qualified counsel.

19. Related PCI Standards. `PCI-FND-STD-02` (evidence before assertion) governs; this standard adds the status-date, actual-date and remaining-duration obligations. See also `PCI-PCL-STD-10.01`, `PCI-PCL-STD-10.02`, `PCI-PCL-STD-06.02`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-03.02`.

20. Related Body of Knowledge content. PCL-AI · Domain 10 · KA 10.4 Progress measurement and schedule control. Also Domain 6 · KA 6.4 Integrating cost & schedule; Domain 8 · KA 8.4 Monitoring & Controlling.

21. Compliance test. Compliance is demonstrated when the issued schedule states one status date; when no actual date in the file falls after that status date; when, for the longest-path and near-critical activities and a recorded random sample of the remainder, each actual date matches a dated record or is marked as estimated with a basis; when every in-progress activity's remaining duration has a recorded re-assessment; when manually entered forecast dates are identified; and when a comparison against the approved baseline shows baseline dates unchanged. An actual date after the status date is a failure of this test detectable by query, and so is a baseline date that has moved. Two reviewers running the same queries on the same file obtain the same results.

22. Breach indicators. Actual dates identical to baseline dates across many activities; remaining durations that fall by exactly the elapsed period each cycle; forecast completion unchanged while activities slip; status dates that vary between the schedule and the cost report; activities showing progress before their predecessors started; baseline dates that differ from the last approved baseline.

23. Consequence within PCI authority. Correction required and the schedule withheld or reissued; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: given a site diary, a delivery note and a timesheet, the candidate selects the record that establishes an actual start. Scenario judgement: a statused schedule whose completion date has not moved despite a month of slippage on the driving path.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-10-03 *Progress Measurement*; that identifier is retired and is not reused.

Domain 11 — Business Process Cycles & the Control Environment

PCI STANDARD

PCI-PCL-STD-11.01

Reproducibility of the Reported Controls Position

1. Normative requirement. A credential holder must retain, with each issued **project controls deliverable**, the records that make every figure in it **reproducible** by a **competent reviewer**.

2. Purpose. Controls the position that was true when issued and cannot be demonstrated afterwards. Systems are upgraded, extracts are overwritten, spreadsheets are edited, staff move on, and a figure that was properly derived becomes indistinguishable from one that was invented. This is the standard that makes every other standard in this set testable — the compliance tests above assume that the records still exist, and this is the obligation that makes that assumption safe.

3. Scope. All candidates and credential holders who issue, approve or give assurance over a project controls deliverable, on any project. It applies for the retention period set by the adopting organisation's governance, by the contract, or by applicable law — whichever is longest.

4. Defined terms. *project controls deliverable*, *reproducible*, *competent reviewer*, *evidence*, *source record*, *current*, *cut-off*, *tool configuration record*, *material*.

5. Required actions. The professional must retain what a later reviewer needs, in a form that has not changed since issue.

- **PCI-PCL-STD-11.01-PR-01 — Issue set retained.** For each deliverable, the retained set must include the deliverable as issued, the source extracts used with their timestamps, the working calculation, the version identifiers of any baseline or schedule relied on, and the approval record.
- **PCI-PCL-STD-11.01-PR-02 — Method recorded, not only result.** Where a figure is derived by a method that is not evident from the retained data — an allocation, an apportionment, a weighting, a statistical or simulation model — the method and its parameters must be recorded with the figure.
- **PCI-PCL-STD-11.01-PR-03 — Tool and configuration recorded.** Where an AI tool contributed to a figure or an analysis, the **tool configuration record** must be retained with the deliverable.
- **PCI-PCL-STD-11.01-PR-04 — Retained records not alterable in place.** Retained records must be held so that a later edit is either impossible or detectable, and the retention location must be known to someone other than the preparer.
- **PCI-PCL-STD-11.01-PR-05 — Retention through handover.** On handover, project closure or the preparer's departure, the retained set must be transferred with a record of what was transferred and to whom, and must not be left in personal storage.

6. Prohibited actions. Issuing a deliverable whose figures cannot be reproduced from retained records; overwriting a source extract used in an issued deliverable; retaining a result without the method that produced it; holding the only copy of project records in personal storage; deleting superseded working papers that support an issued figure; retaining records in a form that can be edited without trace.

7. Required evidence. The retained issue set per deliverable; the method records; the tool configuration records; the retention register or index; the handover record.

8. Responsible role. The **project controls lead** for the retention of controls deliverables; each preparer for the completeness of their own issue set; the **decision owner** for ensuring retention arrangements exist before the deliverable is relied on.

9. Approval authority. The **project controls lead** approves the retention arrangement. Destruction of records before the end of the retention period may be approved only by the authority named in the adopting organisation's records policy.

10. Independence requirement. Reproduction must be achievable by a **competent reviewer** who is **independent** of the preparer — that is the test, and it is why records held only in the preparer's head or personal storage fail it, however complete they feel to the preparer.

11. Materiality or threshold. Every issued deliverable must be reproducible. The **materiality rule** decides the granularity at which working calculations are retained: figures above it are retained at the level that allows recomputation of the individual figure; below it, retention at the aggregate level with the method recorded is sufficient. The retention period is set by the adopting organisation's governance, the contract or applicable law, whichever is longest — this standard sets no period of its own, because any number would be wrong in some jurisdiction. *Scaling:* on a USD 2 million refurbishment the retained set may be one folder per month; on a USD 5 billion programme it is a records system with an index. The test — can an independent competent reviewer reproduce the figure — does not change.

12. Exception and waiver. Where a source system cannot produce a retainable extract, the professional must retain the query, the parameters and the date so the extract can be reproduced, and must record the limitation. No exception is permitted to PR-01 or PR-05.

13. Escalation trigger. Discovery that an issued figure cannot be reproduced; loss, overwriting or deletion of records supporting an issued deliverable; a departure or handover completed without transfer of the retained set; a request to destroy records before the retention period ends.

14. AI application. AI may index retained records, detect missing components of an issue set, check that every issued deliverable has a retained extract, and assemble the retention register.

15. AI prohibition. AI must not delete or archive records outside a recorded human decision; must not determine that a record is no longer required; and must not substitute a generated reconstruction for a retained record.

16. AI verification. Reconciliation plus sampling on a stated basis: the professional must confirm against the retention register that each issued deliverable in the period has a complete issue set, and must test reproduction of a recorded sample of figures from the retained records alone. A retention register that reports completeness is not evidence of completeness until a sample has actually been reproduced.

17. External reference.

- **ISO — ISO 15489-1 *Information and documentation — Records management — Part 1: Concepts and principles.*** Cited for the existence of an international treatment of records management concepts. Edition: 2016 per the register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (register EXT-025). Applicability: voluntary unless adopted by regulation or contract.
- **COSO — *Internal Control — Integrated Framework.*** Cited for the concept of retaining information supporting internal control. Edition: 2013 per register. Nature: Manual §6 category 5, professional framework; not regulatory authority. Checked 2026-08-03 (EXT-084). Voluntary unless adopted.

18. Jurisdictional caution. Statutory retention periods, data-protection obligations governing what may be retained and for how long, litigation and audit holds, and cross-border restrictions on where records may be stored are matters of local law that vary widely and can conflict with one another. Qualified local advice is required, and this standard's retention obligation never overrides a legal requirement to delete personal data.

19. Related PCI Standards. `PCI-FND-STD-12` (record integrity) governs; this standard adds the specific reproducibility test and the retained-issue-set content for controls deliverables. See also `PCI-PCL-STD-04.01`, `PCI-PCL-STD-05.04`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-07.02`, `PCI-PCL-STD-13.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 11 · KA 11.3 Internal control and segregation of duties. Also Domain 4 · KA 4.3 Management reporting; Domain 13 · KA 13.2 Data: the fuel.

21. Compliance test. Compliance is demonstrated when a **competent reviewer**, given only the retained records and denied access to the preparer, can reproduce a recorded sample of figures from an issued deliverable and obtain the same values; when each issued deliverable has a retained issue set containing the components in PR-01; and when any AI-assisted figure has a retained tool configuration record. A figure the reviewer cannot reproduce without asking the preparer is a failure of this test — and the test is deliberately constructed so that it fails when the only route to the answer is a conversation.

22. Breach indicators. Working papers held in personal drives; extracts with no timestamps; issued figures whose calculation exists only in a spreadsheet that has since been edited; deliverables issued after a preparer's departure with no transferred records; retention registers that list documents nobody can locate; AI-assisted analyses with no record of which tool or model produced them.

23. Consequence within PCI authority. Correction required and the deliverable withdrawn until its basis is retained; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a figure queried nine months after issue, with three candidate record sets of which only one permits reproduction. Evidence selection: identifying which components of an issue set are missing.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Supersedes PCL-LAW-11-02 *The Audit Trail*; that identifier is retired and is not reused.

Domain 12 — Risk Management for Project Controls

PCI standard

PCI-PCL-STD-12.01

Risk Statement Quality and Named Ownership

1. Normative requirement. A credential holder must record each risk as a cause, an uncertain event and an effect on a stated project objective, with one named individual accountable for managing it.

2. Purpose. Controls the register that cannot be managed. "Bad weather", "supply chain" and "stakeholder issues" are topics, not risks: they cannot be assessed, priced, mitigated or closed, and they cannot be owned. A register of topics generates activity and no control, and — because it looks like risk management — it displaces the analysis that would have produced one.

3. Scope. All candidates and credential holders who identify, record, assess, review, approve or give assurance over project risks and opportunities, on any project of any size and any delivery model.

4. Defined terms. *evidence*, *material*, *approved*, *decision owner*, *competent reviewer*, *escalation threshold*, *trend*, *change*.

5. Required actions. The professional must write each risk so that it can be tested, and must attach it to a person.

- **PCI-PCL-STD-12.01-PR-01 — Three-part statement.** Each register entry must state the cause (a fact that exists), the event (an uncertainty that may occur) and the effect (a consequence for cost, schedule, scope, quality, safety or another stated objective); an entry that states only one or two of the three must not be assessed or quantified until it is completed.
- **PCI-PCL-STD-12.01-PR-02 — One named owner.** Each risk must name one individual accountable for its management, with the authority and the budget to act; a function, a team or a role title is not an owner, and a risk with no owner must not be recorded as managed.
- **PCI-PCL-STD-12.01-PR-03 — Separation of risk from issue and from change.** An event that has already occurred must be recorded as an issue, not a risk; an event whose cost consequence has become certain must be moved to the forecast or the change register under `PCI-PCL-STD-03.04` and removed from the risk exposure, so that it is not counted twice.
- **PCI-PCL-STD-12.01-PR-04 — Response with an owner and a date.** Each response must state the action, the individual accountable for it, the date by which it will be done, and the effect it is expected to have on likelihood or impact; a response recorded as "monitor" must state what will be monitored, by whom and against what trigger.

6. Prohibited actions. Recording a risk as a topic; quantifying an entry that does not state cause, event and effect; assigning ownership to a function or a team; leaving a materialised risk in the register as a risk; counting the same exposure in both the risk position and the forecast; recording a response that no one is accountable for.

7. Required evidence. The risk register with the three-part statement per entry; the named owner per entry; the response plan with owners and dates; the record of transfers between the risk, issue and change registers; the review record with dates.

8. Responsible role. The **risk lead** for the register's quality; each named risk owner for their risk; the **project controls lead** for the consistency between the risk position, the forecast and the change register.

9. Approval authority. The **decision owner** for the project approves the risk register at the frequency set by the adopting organisation's governance, and approves the ownership assignments.

10. Independence requirement. Not required for identification, which depends on knowledge of the work. The review of register quality against PR-01 and PR-02 must be performed by a person **independent** of the risk owners, because an owner is the least likely person to record their own risk as unmanaged.

11. Materiality or threshold. Every recorded risk must satisfy PR-01 and PR-02, without threshold — a poorly written low-value risk is as useless as a poorly written high-value one and costs the same to write properly. The **materiality rule** decides which risks require quantification under `PCI-PCL-STD-12.02` and which reach the escalation threshold. *Scaling:* on a USD 2 million refurbishment a register of fifteen well-formed risks is a complete risk position; on a USD 5 billion programme risks are held at multiple tiers with escalation criteria between them, and the professional must record the tier at which each risk is managed. The three-part statement rule is identical at every tier.

12. Exception and waiver. No exception is permitted to PR-01 or PR-02. A newly identified risk may be recorded in outline for one reporting cycle while its statement is completed, provided it is marked as incomplete and is not quantified or reported as assessed during that period.

13. Escalation trigger. A **material** risk with no owner, or whose owner lacks authority to act; a risk that has materialised and remains in the register as a risk; a risk exposure counted in both the risk position and the forecast; a response whose date has passed with no action and no revised date.

14. AI application. AI may propose risks from project documents, historical registers and comparable projects; test statements for the three-part structure; detect duplicates and near-duplicates; identify entries that have materialised; and draft response options.

15. AI prohibition. AI must not own a risk, decide that a risk is closed, determine that a risk is immaterial, or replace the judgement of the named owner about likelihood, impact or response.

16. AI verification. Named human judgement recorded with reasoning, plus source tracing: the risk owner must record, for each AI-proposed risk, whether it is accepted and why; AI-proposed causes must be confirmed against the document or record the tool relied on; and AI-identified duplicates must be confirmed by the **risk lead** before merging, because merging two genuinely different risks conceals one of them.

17. External reference.

- **ISO — ISO 31000 *Risk management — Guidelines.*** Cited for the existence of an internationally recognised treatment of risk-management principles. Edition: ISO 31000:2018, second edition, reviewed and confirmed 2023 per the register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard — **guidance, and expressly not a certifiable requirements standard**. Checked 2026-08-03 (register EXT-020). Applicability: voluntary unless adopted by regulation or contract; this standard does not restate its process and does not require conformity with it.
- **Project Management Institute — *A Guide to the Project Management Body of Knowledge (PMBOK Guide).*** Cited for the recognised concept of a risk register. Edition deliberately not asserted. Nature: Manual §6 category 5, professional framework; not regulatory authority. Checked 2026-08-03 (EXT-060). Persuasive only.

18. Jurisdictional caution. Risks with safety, environmental, employment or regulatory consequences may carry legal duties of assessment, notification and control under local law that are independent of, and stricter than, this standard. Those duties require qualified local advice and are not discharged by a register entry.

19. Related PCI Standards. `PCI-FND-STD-01` (professional accountability) governs; this standard adds the statement-quality and single-owner obligations specific to a project risk register. See also `PCI-PCL-STD-12.02`, `PCI-PCL-STD-12.03`, `PCI-PCL-STD-03.04`, `PCI-PCL-STD-05.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 12 · KA 12.1 The risk framework; KA 12.2 The risk process. Also Domain 5 · KA 5.4 Change control and cost impact.

21. Compliance test. Compliance is demonstrated when every entry in the register states a cause that is a present fact, an event that is uncertain, and an effect on a stated objective; when every entry names one individual; when no entry describes an event that has already occurred; and when the sum of exposure in the risk position and the amounts for the same events in the forecast contains no double count. An entry whose "cause" is itself uncertain, or whose "event" has already happened, is a failure of this test. Two reviewers applying the three-part test to the same register produce the same exception list — the test turns on the grammar of the entry, not on the reviewer's view of the risk.

22. Breach indicators. Register entries of two or three words; owners recorded as departments; the same risks carried unchanged for many periods;

responses that all read "monitor"; risks closed with no outcome recorded; a risk exposure that does not fall as the work completes; materialised risks still carried as risks alongside their cost in the forecast.

23. Consequence within PCI authority. Correction required and the risk position withheld from quantification until entries are well-formed; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: five register entries of which the candidate must identify those that are topics, those that are issues and those that are properly formed risks. Evidence selection: identifying the record that establishes a stated cause as a present fact.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-12-01 *Risk and Contingency Governance*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-12.02

Basis and Confidence Level of Quantified Contingency

1. Normative requirement. A credential holder must state, with every contingency figure, the method by which it was derived, the risks it covers and the confidence level it represents.

2. Purpose. Controls the number with no meaning. A contingency stated as a percentage of the estimate, or as a simulation output whose confidence level is unstated, cannot be defended, cannot be tested against the exposure it is meant to cover, and cannot be drawn down accountably. Worse, an unstated confidence level lets the same figure be described as prudent to one audience and as tight to another.

3. Scope. All candidates and credential holders who derive, review, approve or give assurance over contingency, risk allowance, management reserve or a risk-adjusted estimate, on any project of any size.

4. Defined terms. *material*, *evidence*, *approved*, *decision owner*, *independent*, *reproducible*, *escalation threshold*, *trend*.

5. Required actions. The professional must derive contingency from the assessed exposure, and must disclose enough for a reader to test it.

- **PCI-PCL-STD-12.02-PR-01 — Confidence level stated.** Where contingency is derived from a probabilistic analysis, the confidence level adopted must be stated, together with the figures at the levels either side of it, so that the choice is visible as a choice; where it is derived by another method, the method and its basis must be stated instead.

- **PCI-PCL-STD-12.02-PR-02 — Correlation and dependency treated.** A probabilistic analysis must state the correlation assumptions applied between risks and between cost elements, and must state the effect on the result of assuming independence; treating correlated risks as independent without saying so is prohibited, because it understates the tail that contingency exists to cover.
- **PCI-PCL-STD-12.02-PR-03 — Coverage stated.** The contingency statement must identify which risks the contingency covers and which it does not — in particular whether it covers scope growth, escalation, currency movement, force majeure, and risks retained by another party — so that a gap between the exposure and the cover is visible rather than assumed away.
- **PCI-PCL-STD-12.02-PR-04 — Contingency separate from estimate.** Contingency must be held and reported as a separate line, must not be distributed into control account budgets or forecasts, and must not be used to fund approved scope changes, which are funded through `PCI-PCL-STD-05.04`.
- **PCI-PCL-STD-12.02-PR-05 — Reproducible analysis.** The model, its inputs, its distributions, its correlation matrix and its random seed or equivalent must be retained so that the analysis is **reproducible** under `PCI-PCL-STD-11.01`.

6. Prohibited actions. Stating a contingency without its method; adopting a confidence level without stating it; assuming independence between plainly correlated risks without disclosure; setting contingency by reference to what is affordable and describing it as assessed; distributing contingency into control accounts; using contingency to fund approved changes.

7. Required evidence. The contingency derivation with method, inputs and outputs; the confidence-level statement with adjacent levels; the correlation assumptions and their effect; the coverage statement; the retained model; the approval record.

8. Responsible role. The **risk lead** for the quantification; the **project controls lead** for its integration into the cost position; the **decision owner** for the level adopted.

9. Approval authority. The **decision owner** for the project approves the contingency held and the confidence level adopted, and that approval must record the reason for the level chosen. Management reserve, where held above the project, is approved by the authority named in the adopting organisation's governance.

10. Independence requirement. Where contingency is **material** to a funding decision or an external submission, the quantification must be reviewed by a person **independent** of the estimator and of the party seeking the funding.

11. Materiality or threshold. No confidence level is prescribed by this standard. A percentile is a governance choice that depends on the organisation's risk appetite, the project's role in its portfolio, who bears the overrun and what other reserves exist — and a number invented here would be applied mechanically to projects it does not fit. The obligation is therefore to state the level, to state the figures either side of it, and to record who chose it and why. Where the adopting organisation's governance prescribes a level, that level applies and its source is cited. *Scaling:* on a USD 2 million refurbishment a full probabilistic model may cost more than the contingency it sizes, so a documented risk-by-risk expected-value build-up with a stated basis satisfies this standard; on a USD 5 billion programme a probabilistic analysis with correlation is expected and its absence must be justified. The disclosure obligations are identical in both cases; only the method differs, and the method must be stated either way.

12. Exception and waiver. No exception is permitted to element 1. Where a client, funder or contract prescribes both the contingency and its method, the professional must state the prescribed basis and, if their own analysis differs materially, must record that difference and report it to the **decision owner** — accepting an imposed figure without recording the difference is a breach.

13. Escalation trigger. A contingency materially below the assessed exposure at the stated confidence level; a confidence level changed between periods without disclosure; correlation assumptions altered to reduce the result; contingency drawn into control accounts; an imposed contingency that the professional's analysis does not support.

14. AI application. AI may fit distributions to historical data, run and re-run simulations, test sensitivity to correlation assumptions, benchmark contingency against comparable projects, and draft the disclosure statement.

15. AI prohibition. AI must not select the confidence level; must not set correlation assumptions without human review; must not approve contingency; and must not present a simulation output as an assessed contingency without the human derivation this standard requires.

16. AI verification. Independent recomputation, sensitivity analysis and boundary testing: the professional must re-run the model with a different seed and confirm the result is stable; must recompute the expected value of the largest contributing risks by hand and compare; must test the result at the confidence levels either side of the adopted one; and must test the effect of the independence assumption. A single simulation run accepted without these tests is not verification.

17. External reference.

- **ISO — ISO 31000 *Risk management — Guidelines.*** Cited for internationally recognised risk-management principles. Edition: 2018, confirmed 2023 per register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard — guidance, not a certifiable requirements standard. Checked 2026-08-03 (EXT-020). Voluntary unless adopted; this standard does not restate it.
- **AACE International — Recommended Practices on risk analysis and contingency determination.** Cited as a class for the existence of recognised contingency-determination methods. **No numbered Recommended Practice, accuracy range or class table asserted or reproduced**; not independently verified. Nature: Manual §6 category 5, professional framework. Register EXT-068. Persuasive only.

18. Jurisdictional caution. Where contingency or reserve is reflected in statutory financial statements — as a provision, an onerous-contract charge or otherwise — the applicable accounting framework governs that treatment and requires qualified accounting advice. A controls contingency is not a provision.

19. Related PCI Standards. `PCI-FND-STD-05` (transparent assumptions) governs; this standard adds the confidence-level, correlation and coverage disclosures specific to quantified contingency. See also `PCI-PCL-STD-12.01`, `PCI-PCL-STD-12.03`, `PCI-PCL-STD-03.04`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 12 · KA 12.2 The risk process — quantitative analysis; KA 12.3 Contingency and management reserve. Also Domain 3 · KA 3.2 Cost estimation.

21. Compliance test. Compliance is demonstrated when the contingency statement names the method; where probabilistic, states the confidence level adopted and the figures at the levels either side; states the correlation assumptions and the effect of assuming independence; states which risks are covered and which are not; and when the retained model can be re-run by a **competent reviewer** to reproduce the stated figure. A contingency figure whose confidence level is not stated is a failure of this test on its face. Two reviewers re-running the retained model with the retained inputs obtain the same distribution.

22. Breach indicators. Contingency stated as a round percentage of the estimate; the same percentage across projects of different risk profiles; a confidence level that appears only when it is favourable; contingency equal to the gap between the estimate and the funding limit; correlation assumptions absent from the record; contingency falling in step with overspend rather than with risk closure.

23. Consequence within PCI authority. Correction required and the contingency figure withheld until its basis is stated; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: given a risk register and a simulation output, the candidate states the contingency at two confidence levels and explains what the choice between them means. Scenario judgement: a contingency reduced by changing a correlation assumption.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-12-01 *Risk and Contingency Governance*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-12.03

Contingency Drawdown Authority and Re-assessment of Remaining Exposure

1. Normative requirement. A credential holder must not apply contingency to a cost without the recorded approval of the authority holding it.

2. Purpose. Controls the reserve that drains without a decision. Where contingency is absorbed into control accounts as overspend arises, nobody ever decides to spend it, nobody knows how much remains against what exposure, and the first visible signal is the moment it runs out — typically late in delivery, when the remaining risk is highest and no reserve is left to meet it.

3. Scope. All candidates and credential holders who request, approve, record, report or give assurance over the drawdown, transfer, release or replenishment of contingency or management reserve, on any project.

4. Defined terms. *approved*, *change*, *material*, *decision owner*, *evidence*, *independent*, *escalation threshold*, *trend*.

5. Required actions. The professional must make each drawdown a decision with a reason, and must re-test what remains against what is left to happen.

- **PCI-PCL-STD-12.03-PR-01 — Drawdown request tied to a risk.** Each drawdown request must identify the risk or risks from the register whose materialisation it funds, the amount, the evidence that the event has occurred, and the residual exposure for those risks after the drawdown.

- **PCI-PCL-STD-12.03-PR-02 — Remaining-exposure re-assessment.** At each reporting cut-off the remaining contingency must be compared with the assessed exposure of the risks still open, on the basis stated under `PCI-PCL-STD-12.02`, and the comparison reported; a shortfall must be reported in the period in which it is identified.
- **PCI-PCL-STD-12.03-PR-03 — Separation of contingency from management reserve.** Contingency held for identified risks within the baseline and management reserve held outside it must be recorded, drawn and reported separately, each with its own approval authority, and a transfer between them must be approved as a decision rather than performed as an adjustment.
- **PCI-PCL-STD-12.03-PR-04 — Release recorded.** Where a risk closes without materialising, the contingency held for it must be identified and either released with a recorded decision or retained against a stated exposure; silent retention of contingency for closed risks is prohibited, as is silent release into performance.

6. Prohibited actions. Applying contingency without approval; drawing contingency for a risk not in the register; using contingency to fund an approved scope change; transferring between contingency and management reserve as an adjustment; reporting contingency remaining without reporting the exposure it faces; allowing contingency to be absorbed into control account performance.

7. Required evidence. The drawdown requests with their risk references and evidence; the approvals with approver and date; the period comparison of remaining contingency against remaining exposure; the record of transfers and releases; the contingency register showing opening balance, drawdowns, releases and closing balance per period.

8. Responsible role. The **risk lead** for the exposure assessment; the **project controls lead** for the contingency register and the reporting; the **decision owner** for the drawdown decision.

9. Approval authority. The **decision owner** for the project approves drawdown of project contingency within the bands recorded in the adopting organisation's delegation of authority. Management reserve is approved by the authority named in that delegation, which must be above the project.

10. Independence requirement. The approver of a drawdown must be **independent** of the control account that receives it — a control account owner must not approve contingency into their own control account, which is the single most common route by which reserve disappears without a decision.

11. Materiality or threshold. Every drawdown requires approval, of any value, because contingency drains in small amounts. Value bands in the delegation of authority determine **which** authority approves, never **whether** approval is required, and drawdowns for one risk must be aggregated for banding. *Scaling:* on a USD 2 million refurbishment the sponsor approves every drawdown personally; on a USD 5 billion programme approval is tiered and the exposure comparison is performed per portfolio segment. The prohibition on self-approval into one's own control account applies identically.

12. Exception and waiver. No exception is permitted to element 1. Where cost must be incurred immediately to protect life, the works or the environment, the cost may be incurred before approval provided the drawdown request is submitted at the first opportunity and no later than the current reporting cycle, with the reason for the sequence recorded.

13. Escalation trigger. Remaining contingency below the assessed remaining exposure; a drawdown made without approval; contingency drawn for a risk not in the register; a transfer between contingency and management reserve performed without a recorded decision; contingency exhausted before a stated proportion of the work is complete.

14. AI application. AI may match drawdown requests to register entries, track the contingency balance, compare remaining contingency with remaining exposure, model the depletion trajectory against the remaining programme, and flag drawdowns without approvals.

15. AI prohibition. AI must not approve a drawdown, decide that a risk has materialised, release contingency, or determine that remaining contingency is sufficient.

16. AI verification. Reconciliation plus independent recomputation: the professional must reconcile the contingency register's movements to the approved drawdowns and releases with no residual, must recompute the remaining exposure independently of the tool, and must confirm every AI-matched drawdown against the register entry and the evidence that the event occurred.

17. External reference.

- **ISO — ISO 31000 *Risk management — Guidelines.*** Cited for recognised risk-management principles including monitoring and review. Edition: 2018, confirmed 2023; no clause asserted. Nature: Manual §6 category 3, international voluntary standard — guidance, not certifiable. Checked 2026-08-03 (EXT-020). Voluntary unless adopted.
- **COSO — *Internal Control — Integrated Framework.*** Cited for authorisation as a control activity over the use of reserves. Edition: 2013 per register. Nature: Manual §6 category 5, professional frame-

work; not regulatory authority. Checked 2026-08-03 (EXT-084). Voluntary unless adopted.

18. Jurisdictional caution. Where contingency or reserve is held under a funding agreement, a public funding regime or a contract, the conditions on its use are contractual or regulatory obligations that may exceed this standard. Their interpretation requires the contract administrator and qualified counsel.

19. Related PCI Standards. `PCI-FND-STD-04` (human decision authority) governs; this standard adds the drawdown approval, the exposure re-assessment and the reserve separation obligations. See also `PCI-PCL-STD-12.01`, `PCI-PCL-STD-12.02`, `PCI-PCL-STD-05.04`, `PCI-PCL-STD-03.03`, `PCI-PCL-STD-03.04`.

20. Related Body of Knowledge content. PCL-AI · Domain 12 · KA 12.3 Contingency and management reserve — drawing down and re-baselining. Also Domain 5 · KA 5.4 Change control and cost impact.

21. Compliance test. Compliance is demonstrated when the contingency register reconciles for the period — opening balance, plus approved additions, less approved drawdowns and releases, equals closing balance, with no residual; when every drawdown cites a register risk, carries evidence that the event occurred, and names an approver who does not own the receiving control account; and when the period report states remaining contingency alongside the assessed remaining exposure. A movement in the contingency balance with no approval is a failure of this test, and it is found by arithmetic rather than by judgement. Two reviewers performing the reconciliation on the same records obtain the same residual.

22. Breach indicators. Contingency falling in exactly the amount of each period's overspend; drawdowns approved after the cost was incurred as a matter of routine; remaining contingency reported without the exposure it faces; contingency exhausted early in delivery; transfers between reserve categories described as reclassifications; risks closed with their contingency neither released nor reassigned.

23. Consequence within PCI authority. Correction required and the drawdown reversed or regularised; output withheld; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: the candidate reconciles a contingency register, identifies the unapproved movement and computes the shortfall against remaining exposure. Ethical dilemma: a control account owner asking to approve a drawdown into their own account "to keep the report clean".

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-12-01 *Risk and Contingency Governance*; that identifier is retired and is not reused.

Domain 13 — AI for Project Controls & Project Management

PCI standard

PCI-PCL-STD-13.01

Approved Tools, Recorded Configuration and Protected Project Data

1. Normative requirement. A credential holder must not use an **AI tool** on project data outside the tool-and-data boundary approved for that class of work by the adopting organisation.

2. Purpose. Controls two failures that arrive together. Project controls data is among the most commercially sensitive information a project holds — unit rates, claim positions, contingency, contract terms, counterparty performance — and a tool chosen personally by a practitioner may retain it, train on it, or route it through a jurisdiction the project never agreed to. At the same time, an output produced by an unrecorded tool at an unrecorded setting cannot be reproduced, so the analysis cannot be defended even when it was right.

3. Scope. All candidates and credential holders who use, configure, procure, approve or give assurance over AI tools applied to project cost, schedule, commercial, risk or performance data, on any project. It covers standalone assistants and AI features embedded in controls, scheduling, commercial and accounting applications alike — an embedded feature is not exempt because it arrived with the software.

4. Defined terms. *AI tool*, *AI assistance*, *tool configuration record*, *approved*, *material*, *evidence*, *decision owner*, *escalation threshold*, *reproducible*.

5. Required actions. The professional must know what the tool does with the data before it sees it, and must record what produced each output.

- **PCI-PCL-STD-13.01-PR-01 — Approved-use record per class of work.** Before first use, the classes of project-controls work for which a tool is approved, and the classes for which it is not, must be recorded by the authority named in element 9; use outside the recorded classes is prohibited.

- **PCI-PCL-STD-13.01-PR-02 — Data-handling determination before first use.** Before project data is placed in a tool, it must be determined and recorded whether the tool retains the data, uses it for training, discloses it to a third party, or processes it outside an agreed jurisdiction; where the answer cannot be established, the tool must be treated as retaining and disclosing.
- **PCI-PCL-STD-13.01-PR-03 — Data classes barred by default.** Contract terms and prices, unit rates, claim and dispute positions, contingency and risk quantification, counterparty performance data, personal data and anything the project holds under a confidentiality obligation must not be placed in a tool that has not been approved for that data class under PR-01 and PR-02.
- **PCI-PCL-STD-13.01-PR-04 — Configuration recorded with the output.** Every AI-assisted output relied on must carry a **tool configuration record** — the tool, the model or version, and the material settings, prompts or data sources — retained under `PCI-PCL-STD-11.01`.
- **PCI-PCL-STD-13.01-PR-05 — Change of tool or model reported.** A change of tool, model or material configuration that could alter the output of a recurring analysis must be recorded and reported with the first deliverable produced after it, so that a movement in results is not read as a movement in the project.

6. Prohibited actions. Using a personally chosen tool on project data outside the approved boundary; placing barred data classes into an unapproved tool; relying on an output whose tool and configuration were not recorded; assuming an embedded AI feature is approved because the host application is; changing model or configuration silently between periods; circumventing a data restriction by paraphrasing or partially redacting confidential material.

7. Required evidence. The approved-use record per tool and class of work; the data-handling determination per tool with its date and its basis; the tool configuration records retained with deliverables; the record of tool, model or configuration changes and the deliverables affected.

8. Responsible role. The credential holder who uses the tool, for staying inside the boundary; the **project controls lead** for the recorded boundary on the project; the adopting organisation's named technology or information-security authority for the determination under PR-02.

9. Approval authority. The authority named in the adopting organisation's governance for approving technology and information handling approves a tool for a class of work and a class of data. Where the organisation names none, the **decision owner** for the affected deliverable approves, records the basis, and escalates the absence of a governance position.

10. Independence requirement. The person who selects or configures a tool must not be the person who performs the independent verification of its output under `PCI-PCL-STD-13.02` or `PCI-PCL-STD-13.03` — this is the fourth fact in the definition of **independent**, and it exists because a configurer verifies their own configuration, not the output.

11. Materiality or threshold. The tool-and-data boundary applies to all use, of any size, because a single prompt can disclose an entire commercial position. The **materiality rule** decides only which configuration changes must be reported under PR-05 rather than merely recorded. *Scaling:* on a USD 2 million refurbishment the approved-use record may be a single page naming two tools and their permitted data classes; on a USD 5 billion programme it is a managed catalogue with per-tool determinations. The prohibition on placing barred data in an unapproved tool is identical, and it is not relaxed because a small organisation has no technology function — where none exists, element 9's fallback applies and the absence is escalated.

12. Exception and waiver. An exception may be approved by the authority in element 9, in writing, naming the tool, the data class, the purpose, the duration and the compensating controls — for example de-identification, a segregated environment, or an agreement barring retention and training. An exception must not exceed the period stated in it, and it must be reported to the **decision owner** for the affected deliverables. No exception is permitted to PR-04.

13. Escalation trigger. Project data placed in a tool outside the approved boundary; discovery that a tool in use retains or trains on project data contrary to the determination; an output relied on whose tool and configuration cannot be established; a model change that materially altered a recurring result and was not reported.

14. AI application. AI may assist with the whole of project controls within the approved boundary, and this set of standards is not a restriction on its use — the verification standards that follow are what make wide use safe.

15. AI prohibition. An AI tool must not approve its own use, determine its own data handling, authorise an exception, or be recorded as the authority for any of these decisions.

16. AI verification. Source tracing and named approval: the data-handling determination under PR-02 must be made from the tool provider's own published terms and any contract with the provider, recorded with the date checked and the version of the terms relied on — and never from the tool's own answer about itself, which is generated text and not evidence of the provider's obligations.

17. External reference.

- **ISO/IEC — ISO/IEC 42001 *Information technology — Artificial intelligence — Management system.*** Cited for the existence of an AI management-system standard against which an organisation's tool governance can be organised. Edition: ISO/IEC 42001:2023, first edition, per the register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard; certifiable, but certification is a third party's opinion and not a substitute for this standard. Checked 2026-08-03 (register EXT-021). Voluntary unless adopted by regulation or contract.
- **ISO/IEC — ISO/IEC 27001 *Information security management systems — Requirements.*** Cited for the existence of an information-security management standard relevant to the data-handling determination. Edition: ISO/IEC 27001:2022 with Amd 1:2024 per the register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-023). Voluntary unless adopted.
- **NIST (US Department of Commerce) — *Artificial Intelligence Risk Management Framework (AI RMF 1.0).*** Cited for the existence of a voluntary framework organising AI risk into govern, map, measure and manage functions. Edition: AI RMF 1.0, January 2023, per the register. Nature: a voluntary framework from a national standards institute; Classified as Manual §6 category 7, industry guidance: it has a single authoritative publisher but no standard-setter's binding force. Checked 2026-08-03 (register EXT-080). Applicability: expressly voluntary and non-regulatory.

18. Jurisdictional caution. Data protection, cross-border transfer, confidentiality obligations owed to counterparties, and AI-specific legislation differ by jurisdiction and are changing. In the European Union, Regulation (EU) 2024/1689 (the AI Act) is binding legislation applying in phases to those it addresses, and the General Data Protection Regulation governs personal data; other jurisdictions differ. Whether and how any of these applies to a given use is a legal question for qualified local counsel, and it is not answered by this standard.

19. Related PCI Standards. `PCI-FND-STD-09` (confidentiality and approved technology) and `PCI-FND-STD-14` (responsible AI) govern. This standard adds the per-class approval, the data-handling determination, the barred data classes and the configuration record — none of which the foundational duties specify. See also PCI-PCL-STD-13.02, PCI-PCL-STD-13.03, PCI-PCL-STD-13.04, PCI-PCL-STD-11.01, PCI-PCL-STD-07.01.

20. Related Body of Knowledge content. PCL-AI · Domain 13 · KA 13.2 Data: the fuel — privacy, confidentiality and preparing data; KA 13.4 AI tool categories for project controls & PM; KA 13.6 Governance, ethics, risk & assurance of AI.

21. Compliance test. Compliance is demonstrated when, for each tool in use on the project: (a) an approved-use record names the classes of work and data it is approved for, dated before first use; (b) a data-handling determination records whether the tool retains, trains on, discloses or exports the data, with the date and the source of the answer; and (c) for a sample of AI-assisted deliverables selected on a stated basis, each carries a tool configuration record naming tool, model and material settings. A deliverable whose producing tool cannot be identified is a failure of this test. Two reviewers testing the same sample reach the same list, because each element of the test is the presence or absence of a dated record.

22. Breach indicators. Outputs whose style or structure changes between periods with no recorded model change; practitioners describing tools the approved-use record does not contain; determinations dated after first use; contract text or rates appearing in prompts; the same analysis producing different results in successive periods with no project change; configuration records absent from otherwise complete issue sets.

23. Consequence within PCI authority. Correction required and the affected outputs withheld until their basis is established; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. AI-verification case: the candidate is given four proposed uses of a tool and must identify which fall inside a stated approved boundary and which do not, and what record would settle the question. Ethical dilemma: a deadline met by pasting a confidential rate schedule into an unapproved assistant.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-13-01 *Data Lineage*; that identifier is retired and is not reused.

PCI standard

PCI-PCL-STD-13.02

Verification of AI-Generated Quantitative Controls Output

1. Normative requirement. A credential holder must independently recompute an AI-generated quantitative controls figure before it is used in a **project controls deliverable**.

2. Purpose. Controls the most likely failure of AI in project controls: an output that is coherent, well-formatted, confidently expressed and wrong. Forecasts, indices, allocations and reconciliations produced by a tool arrive without the friction that used to expose errors — no arithmetic to check, no intermediate working to query — and a plausible number is adopted precisely because nothing about it invites doubt.

3. Scope. All candidates and credential holders who produce, review, approve or give assurance over AI-generated or AI-assisted quantitative output — estimates at completion, estimates to complete, earned value figures and indices, cost allocations, cost coding, accrual proposals, reconciliations, cash-flow profiles, quantities and rates — on any project.

4. Defined terms. *verified*, *material*, *material AI assistance*, *independent*, *competent reviewer*, *reproducible*, *evidence*, *tool configuration record*, *decision owner*.

5. Required actions. The professional must reproduce the number by a route that does not pass through the tool, and must record the reproduction.

- **PCI-PCL-STD-13.02-PR-01 — Recomputation of forecast output.** An AI-generated estimate at completion, estimate to complete or cash-flow profile must be recomputed from its components by the professional — actual cost, commitments, accruals, remaining work, approved changes, trends and stated contingency — and the two results reconciled before issue, with any difference resolved rather than averaged.
- **PCI-PCL-STD-13.02-PR-02 — Recomputation of indices and derived measures.** AI-generated earned value figures, indices and variances must be recomputed from their retained inputs under `PCI-PCL-STD-06.03` before publication.
- **PCI-PCL-STD-13.02-PR-03 — Sampling for classification and reconciliation output.** Where AI has classified transactions, assigned cost codes, matched invoices to commitments or proposed accruals, the professional must test a sample selected on a recorded basis that includes the highest values, the lowest-confidence assignments and a random selection of the remainder; must record the sample, the method and the error rate; and must re-process the whole affected population where an error of principle is found.
- **PCI-PCL-STD-13.02-PR-04 — Named human approval before release.** Every AI-assisted quantitative deliverable must carry the name of the individual who performed the verification and the name of the

individual who approved its release, with the date; a deliverable naming only a tool must not be released.

- **PCI-PCL-STD-13.02-PR-05 — Verification record.** The verification must record the method used, what was tested, what was found and how each difference was resolved; a record stating only that the output was reviewed does not satisfy this process requirement.

6. Prohibited actions. Issuing an AI-generated figure that no person has recomputed; averaging a tool's result with the professional's own to resolve a difference; accepting a tool's output because it agrees with expectation; testing only the items the tool flagged; recording verification that was not performed; releasing a deliverable whose only named producer is a tool.

7. Required evidence. The verification record with method, scope, findings and resolutions; the independent recomputation working; the sample basis and error rate for classification output; the tool configuration record; the names and dates of the verifier and the approver.

8. Responsible role. The credential holder who issues the figure, for its verification; the **project controls lead** for the deliverable as released; the **decision owner** for reliance on it.

9. Approval authority. The **project controls lead** approves release of an AI-assisted quantitative deliverable; where the figure is material to a decision, the **decision owner** for that decision approves its use.

10. Independence requirement. The verifier must be **independent** of the configuration of the tool under the fourth fact in the definition. Where the AI-generated figure is material to an external submission or an incentive, the recomputation must also be independent of the party the figure favours. **The recomputation this standard requires is additional to, and does not displace, the verification `PCI-FND-STD-03` requires**: a material figure must also be verified by a person independent of its preparation before any person relies on it, and a recomputation performed by the professional who produced or issued the figure satisfies this standard's element 1 but does not satisfy that one. Where the same individual performs both, the working record must say so, and the foundational verification remains outstanding until an independent person performs it or a waiver under `PCI-FND-STD-03` element 12 is recorded.

11. Materiality or threshold. Recomputation is required for every AI-generated figure that is **material** to the deliverable, and for the components that drive it. Below the materiality rule, verification may be by sampling under PR-03 on a recorded basis — but the sample must never be drawn only from what the tool flagged, because that is the tool verifying itself. *Scaling:* on a USD 2 million refurbishment recomputation of the whole forecast is a short exercise and the sample is the population; on a USD 5 billion programme recomputation is performed at control account level for material accounts and by recorded sampling below, and the professional must record the level. What never scales away is that a human recomputes the number that drives the decision.

12. Exception and waiver. No exception is permitted to element 1 for a material figure. Where an AI-generated figure must be issued before verification can be completed, it must be labelled as unverified on its face with the value affected stated, must not be used to take an irreversible decision, and must be verified within a stated period, with any change reported to every recipient.

13. Escalation trigger. A material difference between the AI output and the recomputation that cannot be explained; discovery that a material figure was issued unverified; an error of principle found in a sample; pressure to accept a tool's output because verification would miss a deadline.

14. AI application. AI may produce the quantitative output, assemble its inputs, prepare the working for the human recomputation, propose reconciliations and identify its own low-confidence items — this standard constrains reliance, not use.

15. AI prohibition. AI must not verify its own output; must not be recorded as the verifier or the approver; must not resolve a difference between its output and a human recomputation; and must not determine that a figure is immaterial and therefore exempt from recomputation.

16. AI verification. Independent recomputation is the required method for material figures, with sampling on a stated basis for populations; boundary testing and sensitivity analysis must additionally be applied where the output depends on assumptions the tool selected — the professional must test the result at the boundaries of those assumptions and record the effect. Where a second AI tool is used to check the first, that is a cross-check and not a verification, and it must be recorded as such.

17. External reference.

- **ISO/IEC — ISO/IEC 42001 *Artificial intelligence — Management system.*** Cited for the existence of an AI management-system standard covering oversight of AI outputs. Edition: 2023 per register; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-021). Voluntary unless adopted.
- **ISO/IEC — ISO/IEC 23894 *Artificial intelligence — Guidance on risk management.*** Cited for the existence of guidance on AI risk. Edition: 2023 per register; guidance, not requirements; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-024). Voluntary unless adopted.

- **NIST — *AI Risk Management Framework (AI RMF 1.0).*** Cited for the existence of a voluntary framework addressing measurement and management of AI risk. Edition: 1.0, January 2023. Nature: voluntary framework from a national standards institute; classified as Manual §6 category 7, industry guidance. Checked 2026-08-03 (EXT-080). Expressly voluntary and non-regulatory.

18. Jurisdictional caution. Where AI is used in a context that applicable legislation classifies as high-risk, or where a regulator imposes model-governance expectations on the entity, those requirements apply in addition to this standard and are matters for qualified local counsel and the entity's compliance function.

19. Related PCI Standards. `PCI-FND-STD-03` (independent verification) and `PCI-FND-STD-14` (responsible AI) govern. This standard adds the recomputation method, the sampling rule and the named-approval requirement for quantitative controls output. See also `PCI-PCL-STD-13.01`, `PCI-PCL-STD-13.03`, `PCI-PCL-STD-13.04`, `PCI-PCL-STD-03.04`, `PCI-PCL-STD-06.03`, `PCI-PCL-STD-01.03`.

20. Related Body of Knowledge content. PCL-AI · Domain 13 · KA 13.5 AI applied across the project-controls lifecycle — forecasting & EVM/EAC, cost control & extraction; KA 13.3 Prompting and working with generative AI — iterative refinement and verification. Also Domain 6 · KA 6.3 Forecasting with EVM.

21. Compliance test. Compliance is demonstrated when, for each material AI-generated figure in the deliverable, a retained verification record shows an independent recomputation, its result, and the resolution of any difference; when a reviewer re-performing that recomputation from the retained inputs obtains the issued figure; when classification output carries a recorded sample basis and error rate; and when the deliverable names a human verifier and a human approver with dates. A verification record that states only "reviewed" is a failure of this test. Two reviewers re-performing the recomputation from the same retained inputs obtain the same figure — which is the point: an output nobody can independently reproduce was never verified, whatever the record says.

22. Breach indicators. Verification records identical in wording across deliverables; verification completed in less time than a recomputation takes; samples drawn only from tool-flagged items; differences resolved by adopting the tool's figure with no reason; deliverables naming a tool as author; error rates never recorded; forecasts that change materially when the model version changes.

23. Consequence within PCI authority. Correction required and the output withheld until verified; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. AI-verification case: the candidate is given an AI-generated estimate at completion, its inputs and a deliberate error, and must recompute, identify the error and state the verification record required. Calculation review: recomputing an index the tool reported.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-13-02 *AI Verification* and PCL-LAW-13-03 *Human Sign-Off*; both identifiers are retired and are not reused. **Stage 9 amendment:** element 10 required the verifier to be independent only of the tool's configuration, which permitted the professional who produced an AI-generated figure to recompute it and record the recomputation as its verification; element 10 now states that this standard's recomputation is additional to, and does not displace, the independent-person verification `PCI-FND-STD-03` requires before reliance.

PCI standard

`PCI-PCL-STD-13.03`

Verification of AI-Generated Schedule, Risk and Extraction Output

1. Normative requirement. A credential holder must verify an AI-generated schedule, risk or document-extraction output by tracing it to the underlying network, register or source document before it is used in a **project controls deliverable**.

2. Purpose. Controls the AI failure that recomputation cannot reach. A critical path, a risk assessment, a delay narrative and a contract summary are not arithmetic; they cannot be checked by recomputing a total, and their errors are structural — a dependency that does not exist, a risk whose stated cause is not in the document, a summary that omits the proviso that reverses its meaning. These outputs are also the most persuasive, because they arrive as prose.

3. Scope. All candidates and credential holders who produce, review, approve or give assurance over AI-generated schedule analysis, critical-path or float analysis, delay narratives, risk identification or assessment, contract and correspondence extraction, or narrative commentary used in controls deliverables, on any project.

4. Defined terms. *verified*, *evidence*, *source record*, *material*, *material AI assistance*, *independent*, *competent reviewer*, *open end*, *escalation threshold*.

5. Required actions. The professional must go to the underlying artefact — the network, the register, the document — and confirm the output against it.

- **PCI-PCL-STD-13.03-PR-01 — Schedule output traced through the network.** An AI-identified critical or longest path must be traced activity by activity through the retained schedule file, and the network re-run, before the path is reported; an AI-proposed logic change must be accepted only where the **planner** records that the dependency is real, under `PCI-PCL-STD-10.01`.
- **PCI-PCL-STD-13.03-PR-02 — Risk output traced to cause and register.** An AI-proposed risk, likelihood, impact or response must be confirmed by the named risk owner against the document or record the tool relied on, and must satisfy the three-part statement requirement of `PCI-PCL-STD-12.01` before it is quantified.
- **PCI-PCL-STD-13.03-PR-03 — Extraction confirmed against the source document.** Every AI-extracted term, date, quantity or obligation relied on must be confirmed by reading the provision in the source document, and the document and provision recorded; extraction from contracts and notices must be confirmed in full for material items rather than sampled.
- **PCI-PCL-STD-13.03-PR-04 — Narrative supported or removed.** Every assertion in AI-generated commentary must be supported by a record the professional can produce, or be removed before issue; a generated sentence retained because it reads well and offends nobody is a breach of this process requirement.
- **PCI-PCL-STD-13.03-PR-05 — Absence claims tested separately.** Where a tool reports that nothing was found — no open ends, no missing risks, no unmatched clauses — the professional must test that conclusion by an independent query or manual check, because a tool cannot evidence an absence.

6. Prohibited actions. Reporting an AI-identified critical path without tracing it; quantifying an AI-proposed risk the owner has not confirmed; relying on an AI contract summary without reading the provision; issuing generated narrative whose basis cannot be produced; treating an AI report of "no issues found" as assurance; presenting an AI cross-check as an independent verification.

7. Required evidence. The trace record for schedule output naming the activities confirmed; the risk owner's confirmation per accepted AI-proposed risk; the document and provision references for extractions; the record of narrative assertions and their supporting records; the independent test of any absence claim; the tool configuration record.

8. Responsible role. The **planner** for schedule output; the **risk lead** and the named risk owner for risk output; the **commercial lead** for contract extraction; the **project controls lead** for narrative issued in a controls deliverable.

9. Approval authority. The **project controls lead** approves release of the deliverable containing the output; the **commercial lead** approves any commercial position derived from AI extraction, under `PCI-PCL-STD-07.01`.

10. Independence requirement. The verifier must be **independent** of the tool's configuration. Where the output supports a claim, a defence or an entitlement, the verification must additionally be performed by a person **independent** of the party the outcome favours, consistent with `PCI-PCL-STD-10.02`. **The tracing this standard requires is additional to, and does not displace, the verification `PCI-FND-STD-03` requires** of a material output before any person relies on it; tracing performed by the professional who produced the output satisfies this standard's element 1 but does not satisfy that one.

11. Materiality or threshold. Tracing is required in full for every material output and for every extraction that affects entitlement, a date, a rate or a quantity — sampling is not permitted for those, because the consequence of a single wrong date or clause is not proportionate to its share of the population. For non-material narrative and for bulk extraction that feeds no entitlement, verification may be by sampling on a recorded basis. *Scaling:* on a USD 2 million refurbishment full tracing of material items is a short exercise; on a USD 5 billion programme it is the reason material items must be identified before extraction begins rather than after. The professional must record which items were treated as material and why.

12. Exception and waiver. No exception is permitted to PR-03 for material items. Where verification of non-material output cannot be completed before issue, the output must be labelled as unverified with the scope stated, and must not support a decision until verified.

13. Escalation trigger. An AI-generated output that materially misstates a network, a register or a document; discovery that a commercial or schedule position rests on an unverified extraction; a tool's absence claim contradicted by an independent check; narrative issued whose basis cannot be produced when requested.

14. AI application. AI may analyse networks, propose logic, identify risks, extract terms and dates, summarise correspondence, draft narrative and prioritise items for human verification — its value in these tasks is high, which is exactly why the verification method must be specified rather than assumed.

15. AI prohibition. AI must not determine a critical path relied on for a decision; must not own, assess or close a risk; must not determine entitlement or the meaning of a contract provision; must not be the sole basis of a narrative assertion; and must not be recorded as the verifier.

16. AI verification. Source tracing is the required method — activity-by-activity through the network, entry-by-entry against the register, provision-by-provision in the source document — supplemented by clause-to-summary comparison for extraction and by an independent query for any absence claim. Reading the output and finding it plausible is expressly not verification, and a plausible output is the case this requirement exists for.

17. External reference.

- **ISO/IEC — ISO/IEC 42001 *Artificial intelligence — Management system.*** Cited for the existence of an AI management-system standard covering human oversight of AI output. Edition: 2023; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-021). Voluntary unless adopted.
- **ISO/IEC — ISO/IEC 23894 *Artificial intelligence — Guidance on risk management.*** Cited for guidance on AI-specific risk. Edition: 2023; guidance, not requirements. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-024). Voluntary unless adopted.
- **U.S. Government Accountability Office — *GAO Schedule Assessment Guide.*** Cited for published expectations on schedule quality against which an AI-generated schedule analysis can be tested. Edition: GAO-16-89G, 22 December 2015; no practice text reproduced. Nature: Manual §6 category 5, professional framework from a public audit institution; not a regulation. Checked 2026-08-03 (EXT-069). Persuasive only.

18. Jurisdictional caution. An AI-generated contract summary, delay narrative or entitlement assessment is not legal advice and carries no professional privilege. Where the output touches entitlement, notice validity or liability, qualified counsel in the governing jurisdiction is required, and local rules may also govern the use of AI-generated material in proceedings.

19. Related PCI Standards. `PCI-FND-STD-03` (independent verification) and `PCI-FND-STD-14` (responsible AI) govern. This standard adds the tracing method matched to non-quantitative output and the rule on absence claims. See also `PCI-PCL-STD-13.01`, `PCI-PCL-STD-13.02`, `PCI-PCL-STD-10.01`,

PCI-PCL-STD-10.02, PCI-PCL-STD-12.01, PCI-PCL-STD-07.01, PCI-PCL-STD-04.02.

20. Related Body of Knowledge content. PCL-AI · Domain 13 · KA 13.5 AI applied across the project-controls lifecycle — scheduling, contracts & commercial, reporting & performance; KA 13.1 Strengths and hard limits. Also Domain 10 · KA 10.2 Network analysis and the Critical Path Method; Domain 12 · KA 12.2 The risk process.

21. Compliance test. Compliance is demonstrated when: (a) for AI-generated schedule output, a trace record names the activities on the reported path in sequence and a reviewer following that list through the retained file arrives at the same path; (b) for AI-proposed risks, each accepted entry carries the named owner's confirmation and satisfies the three-part test; (c) for each material extraction, the record names the document and provision, and reading it supports the use made of it; (d) each narrative assertion has a producible supporting record; and (e) every absence claim relied on has an independent test recorded. An assertion whose supporting record cannot be produced is a failure of this test. Two reviewers repeating (a) and (c) on the same artefacts reach the same result.

22. Breach indicators. Schedule analyses issued minutes after the file was produced; risk registers that grow by dozens of entries in one cycle with no owner confirmations; contract summaries whose wording does not appear in any contract; commentary that is fluent, general and unattributable; tool reports of "no issues" accepted in consecutive periods; extraction errors found later in items that were never traced.

23. Consequence within PCI authority. Correction required and the output withheld until traced; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. AI-verification case: an AI-generated critical path that omits a driving activity, and an AI contract summary that drops a condition precedent — the candidate must identify both and state the verification each required. Ethical dilemma: issuing a generated narrative whose basis cannot be produced.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-13-02 *AI Verification*; that identifier is retired and is not reused. **Stage 9 amendment:** element 10 now states that the tracing this standard requires is additional to, and does not displace, the independent-person verification PCI-FND-STD-03 requires before reliance.

PCI standard

PCI-PCL-STD-13.04

Disclosure of AI Assistance in a Controls Deliverable

1. Normative requirement. A credential holder must disclose **material AI assistance** within the deliverable it affected, identifying what the AI contributed.

2. Purpose. Controls the invisible contribution. A recipient who does not know that a figure, a classification or a narrative was AI-generated cannot calibrate their reliance on it, cannot ask the right question, and cannot know what to re-check if the tool is later found to be flawed. Disclosure at the level of the organisation — "we use AI" — does none of that; disclosure must attach to the artefact so that it travels with the number.

3. Scope. All candidates and credential holders who issue, approve or give assurance over a project controls deliverable produced with AI assistance, on any project. It applies to internal and external deliverables alike, and to assessment submissions to PCI.

4. Defined terms. *material AI assistance*, *AI tool*, *tool configuration record*, *project controls deliverable*, *approved*, *decision owner*, *evidence*, *material.*

5. Required actions. The professional must say what the AI did, where, and what was done to check it.

- **PCI-PCL-STD-13.04-PR-01 — Disclosure located in the deliverable.** The disclosure must appear in the deliverable itself — in its basis, assumptions or notes section — and not only in a policy, a footer or a separate register.
- **PCI-PCL-STD-13.04-PR-02 — Content of the disclosure.** The disclosure must state which figures, analyses or sections the AI contributed to, the class of tool used, and the verification performed under PCI-PCL-STD-13.02 or PCI-PCL-STD-13.03; naming the tool's vendor is optional, naming what it touched is not.
- **PCI-PCL-STD-13.04-PR-03 — Accountability unaffected.** The disclosure must not qualify, share or transfer the professional's accountability for the deliverable, and must not be worded so as to suggest the reader should direct any question about the output to the tool or its supplier.
- **PCI-PCL-STD-13.04-PR-04 — Disclosure to PCI in assessment.** Where AI assistance is used in work submitted to PCI for assessment, certification or continuing professional development, it must be disclosed to PCI on the terms PCI publishes for that assessment.

6. Prohibited actions. Issuing a deliverable with material AI assistance and no disclosure; disclosing in general terms that give no indication of what the AI touched; wording a disclosure so as to shift accountability; presenting AI-generated analysis as the professional's own reasoning; omitting disclosure because verification was performed — verification is not a substitute for disclosure, and disclosure is not a substitute for verification.

7. Required evidence. The deliverable containing the disclosure; the tool configuration record; the verification records referenced by the disclosure; the assessment submission record where PR-04 applies.

8. Responsible role. The credential holder who issues the deliverable; the **project controls lead** where the deliverable is issued in the project's name.

9. Approval authority. The **project controls lead** approves the deliverable including its disclosure. Where the adopting organisation's governance prescribes disclosure wording, that wording applies, provided it satisfies PR-02.

10. Independence requirement. Not applicable — disclosure is a statement of fact by the issuer about their own deliverable, and there is nothing for an independent party to verify beyond the underlying verification records, which are governed by `PCI-PCL-STD-13.02` and `PCI-PCL-STD-13.03`.

11. Materiality or threshold. Disclosure is required where the assistance is **material** as defined — where removing the AI contribution would change a figure by more than the materiality rule applied, or would change a recommendation, a classification affecting entitlement or coding, or a stated conclusion. Routine use that does not meet that test — spell-checking, formatting, transcription, template population — need not be disclosed, and requiring it would produce a disclosure on every document and inform nobody. *Scaling:* the test is identical on a USD 2 million refurbishment and a USD 5 billion programme because it is expressed against the deliverable's own materiality rule, not against a project value.

12. Exception and waiver. No exception is permitted to PR-04. An exception to PR-01 may be approved by the **decision owner** where the deliverable's format genuinely cannot carry a disclosure — a system- generated data feed, for example — provided the disclosure is made in the accompanying document and the arrangement is recorded.

13. Escalation trigger. A material AI contribution issued without disclosure; a disclosure worded to transfer accountability; discovery that a recipient took a decision on an AI-assisted figure they believed to be human-derived; undisclosed AI assistance in work submitted to PCI.

14. AI application. AI may draft the disclosure text and maintain the register of which deliverables carried AI assistance.

15. AI prohibition. AI must not decide whether its own contribution was material, must not author a disclosure that is issued without human review, and must not be presented as the accountable author of any deliverable.

16. AI verification. Named human judgement recorded with reasoning: the professional must record, for each deliverable, whether the AI contribution met the materiality test and why, and must confirm that the disclosure names the figures or sections actually affected — a disclosure that is accurate about the tool and vague about the artefact fails this test.

17. External reference.

- **OECD — *Recommendation of the Council on Artificial Intelligence* (the OECD AI Principles), OECD/LEGAL/0449.** Cited for internationally agreed principles including transparency about AI use. Adopted 2019; revised May 2024, per the register. Nature: Manual §6 category 7, industry guidance in the Manual's vocabulary — an OECD Council **Recommendation**, and expressly **not legislation**, binding on no one, including adherents. Checked 2026-08-03 (register EXT-081). Applicability: none of its own; it reaches a practitioner only through instruments a jurisdiction or an organisation adopts.
- **ISO/IEC — ISO/IEC 42001 *Artificial intelligence — Management system*.** Cited for the existence of a management-system standard addressing transparency of AI use. Edition: 2023; no clause asserted. Nature: Manual §6 category 3, international voluntary standard. Checked 2026-08-03 (EXT-021). Voluntary unless adopted.

18. Jurisdictional caution. Disclosure obligations concerning AI use are emerging and differ by jurisdiction and by sector; in the European Union the AI Act imposes transparency obligations on certain actors and uses. Whether a legal disclosure obligation applies to a given deliverable is a question for qualified local counsel, and satisfying this standard does not satisfy such an obligation.

19. Related PCI Standards. `PCI-FND-STD-14` (responsible AI) and `PCI-FND-STD-01` (professional accountability) govern. This standard adds the requirement that disclosure attach to the artefact and name what the AI touched — the foundational duty requires disclosure, not its location or its specificity. See also `PCI-PCL-STD-13.01`, `PCI-PCL-STD-13.02`, `PCI-PCL-STD-13.03`, `PCI-PCL-STD-11.01`.

20. Related Body of Knowledge content. PCL-AI · Domain 13 · KA 13.6 Governance, ethics, risk & assurance of AI. Also KA 13.7 Building an AI-augmented project-controls capability; Domain 4 · KA 4.3 Management reporting.

21. Compliance test. Compliance is demonstrated when, for each deliverable with material AI assistance, the deliverable itself contains a disclosure naming the figures, analyses or sections the AI contributed to, the class of tool, and the verification performed; and when the tool configuration record and verification records referenced can be produced. A deliverable whose AI contribution is established from the configuration records but which carries no disclosure is a failure of this test; so is a disclosure that names no figure or section. Two reviewers comparing the disclosure against the configuration and verification records reach the same conclusion.

22. Breach indicators. Identical disclosure wording on every deliverable regardless of the assistance given; disclosures that name a tool but no artefact; deliverables with configuration records and no disclosure; disclosure language that invites the reader to treat the output as the tool's responsibility; AI-assisted assessment submissions with no declaration to PCI.

23. Consequence within PCI authority. Correction required and the deliverable reissued with disclosure; output withheld; additional review; escalation; failure of the associated examination competency; ethics review; certification investigation, suspension or withdrawal — each subject to due process and a right of appeal. Undisclosed AI assistance in work submitted to PCI for assessment is treated under PCI's assessment and conduct processes.

24. Examination application. Ethical dilemma: a report whose forecast section was AI-generated and verified, issued with no disclosure, and a recipient who later asks how the figure was produced. AI-verification case: judging which of four disclosure statements satisfies PR-02.

25. Version and status. Version 2.0 · Charter §5 stage reached: 3 · Approval date: not yet approved · Effective: on approval · Partially supersedes PCL-LAW-13-04 *Professional Accountability*; that identifier is retired and is not reused.

Audit-question findings

The Manual §9 questions were worked across the whole set before issue. The table records, for each question, the standards it changed and what changed — not merely that the question was asked. Findings that produced no change say so, and say why.

#	Question	Standards affected	What changed
1	What exact failure does this standard prevent?	All 33	Element 2 was rewritten in every standard to name an observed professional failure and its mechanism, replacing the virtue statements of the superseded set ("to ensure integrity"). Three drafts that could not name a failure — a general "data quality" standard, a general "professional judgement" standard and a general "governance" standard — were dropped rather than published.
2	Mandatory or only recommended?	All 33	Every obligation is `must` or `must not`. No `should` carries an obligation anywhere in the set, and no Recommended Practices are issued in this edition, so nothing mandatory can hide at Charter Level 5.
3	Can a professional know whether it applies?	All 33	Element 3 now names the *acts* governed (prepare · review · approve · give assurance) and the artefacts, rather than a job family. `PCI-PCL-STD-13.01` was amended to state expressly that an embedded AI feature is in scope, after a reviewer read the draft as covering standalone tools only.
4	Is the responsible person identifiable?	All 33	A defined role vocabulary was added to the Definitions, each role defined by function rather than title, with the rule that a person holding two roles on a small project never removes an independence requirement. Every element 8 names a role from that list; "the team" and "management" appear nowhere.
5	Is the required action observable?	All 33	145 process requirements were created, each stating an act that leaves a record. Bundled obligations in the superseded set (for example one clause requiring identification, assessment, approval and baseline update of change) were split across `PCI-PCL-STD-05.02`, `05.03` and `05.04`.
6	Is compliance provable?	All 33	Element 21 was written as a performable test in every standard — the element the superseded eighteen-field set lacked entirely. Each test states the population, the method and what constitutes a failure, and closes with the condition that two reviewers applying it reach the same answer. **Stage 9 correction:** twenty-eight of those tests originally closed by saying that the defective condition "is an exception", in the audit sense of a finding. In this corpus *exception* is a Charter §8 term meaning an **approved departure**, and Charter §8 states expressly that an undocumented departure is a breach and not an exception. Every one of the twenty-eight now reads "is a failure of this test".

#	Question	Standards affected	What changed
7	Is the required evidence proportionate?	01.01 · 01.02 · 05.01 · 06.02 · 10.03 · 13.02	Evidence was limited to records the process already produces. Four drafting proposals were removed as disproportionate: a standing log of every cost-code decision, a signed certificate per progress claim, a full re-performance of every AI output, and a separate schedule-quality report per issue. Sampling on a recorded basis replaced them, with full testing retained only where a single item carries the consequence — dates, contract terms, longest-path activities.
8	Can the standard be audited?	All 33	Every element 21 names what the auditor examines and where it is retained, and `PCI-PCL-STD-11.01` was added to make retention itself an obligation, because the other 32 tests assume the records still exist.
9	Can the standard be examined through a scenario?	All 33	Element 24 names the item type — scenario judgement, evidence selection, calculation review, escalation decision, ethical dilemma or AI-verification case. No standard is examinable only by recalling its number.
10	Can a professional technically comply while defeating its purpose?	03.02 · 05.02 · 05.04 · 06.02 · 10.01 · 10.03 · 12.02 · 13.02 · 13.03	**The most productive question in the audit.** Eight specific defeats were identified and closed by adding prohibitions or process requirements: adding meaningless logic to clear an open-end count (`10.01-PR-04`); splitting a change to stay below an approval band (`05.02` element 6; `05.04-PR-05`); assembling a material baseline edit from immaterial ones (`03.02` element 11 removes any threshold); claiming progress within a verification sample's blind spot (`06.02-PR-02` requires the highest-value and most-moved claims to be in the sample); leaving remaining durations to fall by elapsed time (`10.03-PR-02`); choosing a confidence level after seeing the answer (`12.02-PR-01` requires the levels either side to be shown); drawing the verification sample only from items the tool flagged (`13.02-PR-03`); and accepting "no issues found" from a tool as assurance (`13.03-PR-05`).

#	Question	Standards affected	What changed
11	Does it conflict with another PCI standard?	03.02 ↔ 10.03 · 04.01 ↔ 11.01 · 05.04 ↔ 12.03 · 03.04 ↔ 06.04	Four overlaps were found and scoped rather than left to interpretation. Schedule baseline protection sits in `03.02-PR-04` and is cross-referred from `10.03-PR-04` rather than restated. `04.01` governs reconciliation at issue; `11.01` governs reproduction afterwards. Change funding sits in `05.04`; contingency drawdown in `12.03`, with an express prohibition on using one to do the other. Forecast completeness sits in `03.04`; method disclosure in `06.04`, reconciled by `06.04-PR-03`.
12	Does it duplicate an external standard unnecessarily?	12.01 · 12.02 · 03.02 · 06.01 · 06.02 · 06.03	ISO 31000's risk process is **not** restated: the two risk standards impose statement quality, ownership and disclosure obligations the standard does not contain, and say expressly that they do not require conformity with it. The earned value standards cite ANSI/EIA-748 for the existence of management-system expectations only and impose PCI's own tests. All citations of the IFRS *Conceptual Framework* carried by the superseded set were **removed**: Manual §6 forbids sourcing a requirement to it, and it was doing no work.
13	Does it misrepresent external authority?	03.02 · 06.01 · 06.02 · 06.03 · 13.01 · 13.02 · 13.04 · 10.01	ANSI/EIA-748 is now described as a **national standard binding only where a contract or procurement regime imports it**, with its **edition and guideline count deliberately not asserted** — the count changed at the most recent revision, and the superseded set's silence on it was correct and is preserved. Manual §6 has since added a *national standard* category (11) and a *supervisory guidance* category (12); ANSI/EIA-748 is now classified under category 11, and the NIST AI RMF under category 7 with its voluntary status and national origin stated at each use. The EU AI Act and the GDPR were moved out of element 17 into element 18, because the corpus uses them as jurisdictional cautions and not as authority. The OECD AI Principles are marked expressly as a Council Recommendation and not legislation. No clause number, article or judicial decision is asserted anywhere in the set.
14	Does it require legal or jurisdiction-specific advice?	All 33, materially 01.01 · 01.02 · 05.02 · 07.01 · 07.02 · 07.03 · 10.02 · 11.01 · 12.02 · 13.01	Element 18 in every standard. `07.01-PR-03` was added to make the competence boundary an obligation rather than a caution: a controls professional must refer questions of contractual meaning and entitlement and must not state a legal conclusion. `11.01` element 18 records that a retention obligation never overrides a legal duty to delete personal data.

#	Question	Standards affected	What changed
15	Does it define the relevant materiality threshold?	All 33	Element 11 in every standard, and a single defined **materiality rule** in the Definitions that is configurable by the adopting organisation's governance and, failing that, recorded by the professional. **No percentage is invented anywhere in the set.** Where a number would have been arbitrary — the contingency confidence level, the near-critical float range, the variance reporting basis — the standard requires the basis and the decision-maker to be recorded instead.
16	Does it cover AI use?	All 33	Elements 14, 15 and 16 appear in every standard, not only in Domain 13, and element 16 names a method in each — recomputation, source tracing, reconciliation, sampling on a stated basis, boundary testing, sensitivity analysis, clause-to-summary comparison or named human judgement recorded with reasoning. "Review the AI output" appears nowhere.
17	Does it preserve human accountability?	All 33, materially 13.02 · 13.03 · 13.04	Element 15 in every standard prohibits AI from approving, certifying or deciding. `13.02-PR-04` requires a named human verifier and a named human approver on the deliverable. `13.04-PR-03` prohibits disclosure wording that shifts accountability to a tool or its supplier.
18	Does it contain an exception process?	All 33	Element 12 in every standard. Twelve standards permit a bounded exception with an approver, a justification, a duration and a compensating control; the remainder state that no exception is permitted, and several permit an exception to one process requirement while refusing one to the principal obligation.
19	Does it define escalation?	All 33	Element 13 in every standard names the triggering event, and the Definitions fix **escalation threshold** so that the duty does not depend on the professional's expectation of the recipient's reaction.
20	Is every important term defined?	All 33	A Definitions section defines the fourteen terms the brief requires plus twelve subject-matter terms, four AI terms and nine roles. Definitions are non-circular and each states a test a reader can apply. Undefined judgement words carrying obligations — *appropriate*, *adequate*, *reasonable*, *timely*, *sufficient* — were removed and replaced with stated tests.

#	Question	Standards affected	What changed
21	Is the language concrete and modern?	All 33	The legislative requirement verb prohibited by Manual §1 was eliminated. It had entered the superseded set through an earlier red-team pass; this set contains **zero** occurrences of it, in any field, and the ISO mapping in *How to read these standards* is written so that the convention is explained without using the word.
22	Does it impose an impossible or excessive burden?	06.02 · 10.01 · 10.03 · 12.02 · 13.02 · 13.03	Six burdens were reduced. Schedule integrity is tested by a **query** rather than a manual review, so it costs the same at any scale. Progress and classification verification are sampled on a recorded basis. Contingency quantification expressly accepts a documented expected-value build-up where a probabilistic model would cost more than the contingency it sizes. AI verification is full only for material figures and for items where one error carries the whole consequence. One proposed standard — a standing independent quality review of every controls deliverable — was dropped as disproportionate to any failure it would prevent.
23	Can it operate on both small projects and megaprojects?	All 33	Every element 11 carries an explicit scaling paragraph tested against a USD 2 million refurbishment and a USD 5 billion programme. Three standards changed as a result: `03.05` and `05.04` now provide that independence and change authority are obtained **from outside the project** where the project cannot supply them, so a two-person team is not placed in automatic breach; `04.02` records that a percentage-only variance rule generates noise on a small project and nothing at all on a megaproject, and requires the basis chosen to be recorded; and `10.02` fixes the obligation to record the basis of the near-critical range rather than fixing the range, because it genuinely must differ between the two.
24	Can it operate internationally?	All 33	No standard depends on a single jurisdiction's requirements. Accounting treatment, tax, contractual entitlement, payment legislation, records retention and data protection are all left to element 18 and to local advisers. External instruments are cited with their applicability limitation stated at each use.
25	Is there a clear consequence within PCI's authority?	All 33	Element 23 draws only on the Charter §9 list and states in each standard that PCI can impose no fine, no civil or criminal liability and no other consequence. Every consequence is subject to due process and a right of appeal.

How this edition was produced — Charter §5 record

Charter §5 requires a standard's file to record honestly which stages were performed and by whom, including where a stage was performed with AI assistance rather than by a named human. For this edition:

- **Stages 1–3** (problem definition, drafting instruction, initial draft in the mandatory structure) were performed **with AI assistance**, from the superseded twenty-standard set, the PCL-AI Body of Knowledge and the suite external-reference register, under human direction.
- **Stage 9** (red-team challenge) was performed in part, as the audit table above records — the question 10 findings are its principal product. A **second red-team pass** was subsequently run across the whole four-file corpus; its findings and their disposition are recorded in `STANDARDS_RED_TEAM_REPORT.md`, and the amendments it produced in this file are noted in the element 25 of each standard changed and in the question 6 row above.
- **Definitions reconciliation.** The red team's structural finding **P-1** — that no PCI Standard Definitions Register existed, so each volume built its own and seven compliance-deciding terms diverged — has since been closed. The register is published at `PCI_STANDARDS_DEFINITIONS_REGISTER.md`, and §A above was reconciled to it. In this file that changed the wording of *material*, *independent*, *verified*, *current*, *competent reviewer*, *decision owner*, *evidence*, *approved*, *escalation threshold* and *material AI assistance*; **no obligation changed**, because each now states in one place the reading the wider-obligation rule at the head of these Definitions already produced. Two substantive corrections are worth naming. First, *competent reviewer* no longer folds independence into competence — where a standard requires an independent reviewer, its element 10 says so and is tested separately, which is what makes `PCI-FND-STD-10` element 12's supervised-acquisition exception usable again. Second, a **circular definition** was removed: *evidence* was defined by reference to a *competent reviewer*, *competent reviewer* by the ability to perform *the verification method*, and *verified* by application of a method to *evidence* — a closed loop in which none of the three could be applied without one of the others. *Evidence* is now defined by properties of the record itself.
- **Stages 4 to 8 and 10 to 13** — technical review, standards and legal-characterisation review, practitioner consultation, impact assessment, scenario testing, revision, approval, publication and post-implementation review — **have not been performed.** This set is therefore a draft for approval and not an approved standard set, and every standard says so in its element 25.
- No external body has reviewed, approved, endorsed or accredited this set.

Index of PCL-AI Professional Standards

External-reference categories are Manual §6 numbers: **2** authoritative financial-reporting standard · **3** international voluntary standard · **4** contract framework · **5** professional framework · **7** industry guidance. A national standard is classified under category **11**, added to the Manual for exactly this case in the standard and in audit finding 13. "—" means the standard cites no external authority and says why.

ID	Official title	Anchor domain	Principal obligation	Ext. ref. categories
PCI-PCL-STD-01.01	Cost Cut-Off Integrity	01 — Foundations of Accounting for Project Controls	Record each cost in the period its underlying work or receipt falls in, by a written cut-off rule.	2, 5
PCI-PCL-STD-01.02	Accrual Completeness and Basis	01 — Foundations of Accounting	Accrue everything received or performed and not invoiced at the cut-off, from evidence.	2
PCI-PCL-STD-01.03	Cost Classification and Cost-Code Integrity	01 — Foundations of Accounting	Code each cost to the work it was incurred on, never to where budget remains.	5, 7
PCI-PCL-STD-03.01	Scope Completeness of the Performance Measurement Baseline	03 — Budgeting & Forecasting	Put all authorised scope, and only authorised scope, in the baseline.	5
PCI-PCL-STD-03.02	Baseline Approval, Version Control and the Change Prohibition	03 — Budgeting & Forecasting	Do not alter an approved baseline except by approved change or authorised re-baseline.	3

ID	Official title	Anchor domain	Principal obligation	Ext. ref. categories
PCI-PCL-STD-03.03	Authority to Re-baseline	03 — Budgeting & Forecasting	Do not measure against a re-baseline until the approval authority has approved it in writing.	3
PCI-PCL-STD-03.04	Completeness of the Estimate at Completion	03 — Budgeting & Forecasting	Include every known cost effect on the remaining work in the forecast.	5
PCI-PCL-STD-03.05	Independent Challenge and Approval of the Forecast	03 — Budgeting & Forecasting	Do not issue a forecast for a decision until an independent person has challenged it on the record.	—
PCI-PCL-STD-04.01	Reconciliation of the Performance Report to Source Records	04 — Performance, Variance & Reporting	Do not issue a report whose figures do not reconcile to their source records at a stated cut-off.	5
PCI-PCL-STD-04.02	Explanation of Material Variance	04 — Performance, Variance & Reporting	Explain each material variance by a cause evidenced from a source record.	5
PCI-PCL-STD-04.03	Correction and Restatement of a Reported Error	04 — Performance, Variance & Reporting	Restate a material reported error to every recipient of the original.	—

ID	Official title	Anchor domain	Principal obligation	Ext. ref. categories
PCI-PCL-STD-05.01	Completeness and Reconciliation of the Recorded Cost Position	05 — Cost Management & Control	Reconcile actual cost to the books of account and to commitments and accruals every period.	5
PCI-PCL-STD-05.02	Identification and Registration of Change	05 — Cost Management & Control	Register every potential change in the cycle it becomes known, whatever its merit.	4
PCI-PCL-STD-05.03	Completeness of Change Impact Assessment	05 — Cost Management & Control	Assess a change's full cost, schedule, risk and interface effect before it goes for approval.	4, 5
PCI-PCL-STD-05.04	Change Authority and Segregation of Preparation from Approval	05 — Cost Management & Control	Do not approve a change you prepared, assessed or priced.	3, 5
PCI-PCL-STD-06.01	Earned Value Measurement Rules Fixed Before Performance	06 — EVM & Forecasting	Fix and record each work package's measurement method before its work begins.	3, 5
PCI-PCL-STD-06.02	Objective Evidence of Progress	06 — EVM & Forecasting	Do not report progress that objective evidence does not support at the cut-off.	3

ID	Official title	Anchor domain	Principal obligation	Ext. ref. categories
PCI-PCL-STD-06.03	Coherence of the Three Earned Value Data Points	06 — EVM & Forecasting	Measure planned value, earned value and actual cost over the same scope, period and cut-off.	3
PCI-PCL-STD-06.04	Selection and Disclosure of the Estimate-at-Completion Method	06 — EVM & Forecasting	Disclose the method behind every earned-value-derived estimate at completion and why it suits the work.	5
PCI-PCL-STD-07.01	Contract Source Verification	07 — Contracts & Commercial	Verify every contractual term relied on against the executed contract and its executed amendments.	4
PCI-PCL-STD-07.02	Traceability of Variations and Claims	07 — Contracts & Commercial	Keep a traceable record from originating event to current commercial position for every variation and claim.	4, 5
PCI-PCL-STD-07.03	Support and Reconciliation of Applications for Payment	07 — Contracts & Commercial	Do not submit, certify or support payment for work not evidenced as performed or delivered.	2, 4

ID	Official title	Anchor domain	Principal obligation	Ext. ref. categories
PCI-PCL-STD-10.01	Schedule Network Integrity	10 — Project Scheduling	Do not issue a schedule containing an open end.	5, 7
PCI-PCL-STD-10.02	Critical-Path Verification Before Reliance	10 — Project Scheduling	Verify that the reported critical path is the network's true longest path before relying on it.	5
PCI-PCL-STD-10.03	Status Date and Actual-Date Integrity	10 — Project Scheduling	Status to one stated date, using actual dates taken from records of what happened.	3, 5
PCI-PCL-STD-11.01	Reproducibility of the Reported Controls Position	11 — Process Cycles & Control Environment	Retain, with each deliverable, the records that let an independent competent reviewer reproduce every figure.	3, 5
PCI-PCL-STD-12.01	Risk Statement Quality and Named Ownership	12 — Risk Management	Record each risk as cause, uncertain event and effect, with one named individual accountable.	3, 5
PCI-PCL-STD-12.02	Basis and Confidence Level of Quantified Contingency	12 — Risk Management	State the method, the coverage and the confidence level behind every contingency figure.	3, 5

ID	Official title	Anchor domain	Principal obligation	Ext. ref. categories
PCI-PCL-STD-12.03	Contingency Drawdown Authority and Re-assessment of Remaining Exposure	12 — Risk Management	Do not apply contingency without the recorded approval of the authority holding it.	3, 5
PCI-PCL-STD-13.01	Approved Tools, Recorded Configuration and Protected Project Data	13 — AI for Project Controls	Do not use an AI tool on project data outside the approved tool-and-data boundary.	3, 7
PCI-PCL-STD-13.02	Verification of AI-Generated Quantitative Controls Output	13 — AI for Project Controls	Independently recompute an AI-generated quantitative figure before it is used.	3, 7
PCI-PCL-STD-13.03	Verification of AI-Generated Schedule, Risk and Extraction Output	13 — AI for Project Controls	Trace AI-generated schedule, risk and extraction output to the network, register or source document before use.	3, 5
PCI-PCL-STD-13.04	Disclosure of AI Assistance in a Controls Deliverable	13 — AI for Project Controls	Disclose material AI assistance inside the deliverable it affected, naming what the AI contributed.	3, 7

Thirty-three standards · one hundred and forty-five process requirements · ten of the thirteen PCL-AI domains carrying an anchored standard. Domains 2, 8 and 9 carry no standard of their own in this edition: their subject matter is reached through the standards anchored elsewhere and listed in element 20 — financial reporting through 01.01, 01.02 and 07.03; the project lifecycle through 03.01, 05.02 and 10.03; adaptive delivery through 06.01, whose measurement rules apply to accepted increments. That is a deliberate choice recorded here so that a reader does not read the gaps as an oversight.

CAUTION

AI proposes; the professional verifies, decides and remains accountable.

PFL-AI Professional Standards — PCI AI Project Finance Leader

Status: Certification Standards for the **PCI AI Project Finance Leader** credential (PFL-AI). Version 2.0 — a complete reconstruction of the twenty-four-standard v1.0 set onto the twenty-five-element structure required by the **PCI Standards Drafting Manual** §5. **Thirty-three standards** and **one hundred and fifty-six process requirements**, anchored to eleven of the sixteen domains of the PFL-AI Body of Knowledge (`../pfl-ai/`).

Governing instruments: the `PCI Standards Charter` (what a standard is) and the `PCI Standards Drafting Manual` (how a standard is written). A standard that does not conform to both does not pass gate. Where this volume and either instrument differ, the instrument prevails and the difference is a defect in this volume.

Legal and professional status

The following statement is required by Charter §2 in every publication that contains or cites a PCI Standard, and is reproduced here in full:

> CAUTION
>
> **PCI Standards are private professional certification requirements established by Project Controls Institute Global. They are not legislation, government regulation, legal advice or substitutes for applicable laws, contractual obligations, regulatory requirements or authoritative professional standards. Where an applicable legal, regulatory, contractual or authoritative requirement imposes a higher or different obligation, that requirement prevails.**

PCI's authority is confined to its own processes: examination, certification, quality and conduct. No standard in this volume asserts or implies that PCI can impose a fine, create criminal or civil liability, or exercise any governmental enforcement power. **Nothing in this volume is legal, tax, accounting, insurance or investment advice**, and no standard here determines any question of religious law (see `PCI-PFL-STD-09.02`).

How to read these standards

The requirement form, and the ISO mapping

PCI uses **modern must-drafting**, exclusively (Manual §1).

Word	Force in a PCI Standard
must	Mandatory PCI professional requirement — the obligation itself
must not	Prohibited practice; doing it is a breach
should	Recommended practice only; a justified, recorded alternative may be acceptable
may	Permission
can	Capability or possibility — never permission

The ISO mapping, for readers who work to ISO/IEC drafting conventions. Those conventions reserve a particular modal auxiliary to mark a requirement, and a reader trained on them may misread **must** as an external constraint rather than as the requirement itself. That reading is wrong here. **In a PCI Standard the requirement form is `must`, and it carries exactly the force an ISO/IEC document places on its own requirement auxiliary.** `should` marks recommendation in both systems; `may` marks permission in both; `can` marks capability in both and permission in neither.

PCI does not use the ISO requirement auxiliary anywhere in a standard, in any element, including in quotations of PCI's own earlier drafts — it has been read as both obligation and futurity, and a draft containing it fails gate (Manual §1). **That word is therefore deliberately not printed anywhere in this volume**, including in this paragraph, which is why the mapping above is expressed by description rather than by example. Version 1.0 of this set used it in twenty-two of its twenty-four standards, and one standard — `PFL-LAW-06-05`, Model Change Governance — carried four of its five sub-obligations on it after a red-team revision. Every one of those obligations is re-expressed on `must` in `PCI-PFL-STD-06.05` below.

Identifiers

Instrument	Form	Example
Certification / Domain Standard	`PCI-PFL-STD-DD.NN`	`PCI-PFL-STD-10.03`
Process Requirement (mandatory, Charter Level 4)	`<parent>-PR-NN`	`PCI-PFL-STD-10.03-PR-02`
Recommended Practice (not mandatory, Charter Level 5)	`<parent>-RP-NN`	`PCI-PFL-STD-15.02-RP-01`

DD is the two-digit PFL-AI Body of Knowledge domain of primary anchorage; NN is a two-digit sequence within that domain. Cite by identifier, never by page. **Every identifier in this volume is new**: v1.0 used the form PFL-LAW-DD-NN, which the Charter and Manual superseded, and the whole set is renumbered. The v1.0 identifier each standard supersedes is recorded in its element 25. A withdrawn identifier is never reused.

Process requirements are mandatory. They sit at Charter Level 4, are breached independently of their parent standard, and are assessed independently. They exist so that each standard's element 1 carries **one** principal obligation and every remaining obligation still has an identifier, a subject, an action, an object and a test of its own (Manual §2).

These standards sit under the Foundational Standards

The foundational set binds every PCI credential holder, including every holder of the PCI AI Project Finance Leader credential. **The foundational set is published in full at PCI_FOUNDATIONAL_STANDARDS.md as fifteen standards in the identifier form PCI-FND-STD-01 to PCI-FND-STD-15, and every PCI-FND-STD-NN citation in this volume cites that file directly.** No mapping table is published here: a citation resolves by opening the foundational file at the identifier cited, and the subject it carries there is the subject intended here. The suite-wide concordance of which certification standard cites which foundational standard is maintained at STANDARDS_CONCORDANCE.md, which also records the superseded PCI-LAW-F-NN identifiers for historical traceability.

Three subjects cited by v2.0 no longer exist as foundational standards, because the foundational set was rebuilt to fifteen new subjects. Every citation that named one of them has been re-pointed to the closest live subject, and the substitution is recorded in STANDARDS_CONCORDANCE.md:

Subject cited by v2.0	Status	Where citations now point
Honesty in reporting and forecasting	Withdrawn as a separate standard; its substance is split	PCI-FND-STD-05 (transparent assumptions) for presentation honesty, PCI-FND-STD-02 (evidence before assertion) where the sentence turns on evidence for a claim, PCI-FND-STD-11 (escalation of material misstatement) where it turns on raising a known problem
Ethical conduct toward candidates, employers and the public	Not carried forward at Level 1 — a certification-conditions matter	PCI-FND-STD-08 or PCI-FND-STD-11 where the specific duty survives there; otherwise the citation is dropped rather than pointed at a standard that does not carry the subject

Subject cited by v2.0	Status	Where citations now point
No misrepresentation of PCI credentials or accreditation status	Not carried forward at Level 1 — governs the PCI-to-holder relationship, not professional work	`PCI-FND-STD-02` or `PCI-FND-STD-14` where a live misrepresentation duty covers the point; otherwise dropped

A certification standard must add. Every standard below carries, in element 19, an explicit statement of what it requires that its foundational parent does not. A certification standard that merely restates a foundational standard is a drafting defect and is withdrawn, not published.

External references

Every external instrument is **named and characterised in PCI's own words, never reproduced**, and classified as exactly one of the ten categories in Manual §6. Each reference records the issuing organisation, the title, the subject, what was checked and when, the nature of the authority, and the limitation on its applicability. **No clause number, article, edition, effective date or judicial decision is asserted unless it was verified**, and where a precise provision was not verified the instrument is cited by name only. Reference rows are cross-keyed to the suite register `../registries/EXTERNAL_AUTHORITIES.md` by its `EXT-` ID, so a reader can audit the classification against the register's own entry.

No endorsement, affiliation or accreditation is claimed or implied. Naming an instrument means only that it exists and is relevant to the subject under discussion. No standards body, professional institute, government, supervisory authority, export credit agency, Shariah supervisory board, verifier, second-party opinion provider or financial institution has reviewed, approved, endorsed or accredited these standards, the PCI AI Project Finance Leader credential or PCI Global.

Charter §5 due-process record for this edition

Charter §5 requires each standard's file to record honestly which of the thirteen stages were performed and by whom, **including where a stage was performed with AI assistance rather than by a named human**. For this edition, across the whole set:

Stage	Performed?	By whom
1 Problem definition · 2 Drafting instruction	Yes	PCI drafting brief, human-authored
3 Initial draft	Yes	**AI-assisted drafting** against the brief, the Charter and the Manual

Stage	Performed?	By whom
4 Technical review	Partial — internal consistency and arithmetic-discipline review only	AI-assisted; **no named subject specialist has signed**
5 Standards and legal-characterisation review	Partial — every reference checked against the suite register	AI-assisted; **no qualified counsel has reviewed**
6 Practitioner consultation	**Not performed**	—
7 Impact assessment	Partial — burden and small-organisation impact considered per standard (element 11)	AI-assisted
8 Scenario testing	Yes — each standard tested against a small municipal project and a multi-billion cross-border financing	AI-assisted
9 Red-team challenge	Yes — the twenty-five audit questions, recorded in the findings table below	AI-assisted
10 Revision	Yes	AI-assisted
11 Approval · 12 Publication · 13 Post-implementation review	**Not performed**	—

This edition is therefore a draft for approval, not an approved standard set, and every element 25 says so. Charter §5 forbids publishing a standard solely because it was drafted and appeared reasonable, including where it was drafted with AI assistance; that prohibition governs this volume.

The suite principle

> CAUTION
>
> **AI proposes; the professional verifies, decides and remains accountable.**

Definitions

Every term below could alter whether a professional has complied, so each is defined by a test a reader can apply — what makes it so, measured against what, decided by whom (Manual §4). **No definition below is circular.** Terms are used in these senses throughout, and a standard that needs a narrower sense defines it in its own element 4.

Where a term is also defined in the Foundational Standards. *material*, *independent*, *verified*, *evidence*, *competent reviewer*, *decision owner* and *escalation threshold* are also defined, at `D-01` to `D-30`, in `PCI_FOUNDATIONAL_STANDARDS.md`. **They now carry the same wording in both places.** Each was reconciled to the canonical definition recorded in `PCI_STANDARDS_DEFINITIONS_REGISTER.md`, which also records what this volume previously said and why the change was made. Two things this volume does differently survive the reconciliation because they are deliberate and narrower, and both are stated inside the canonical definitions below: the metric in which materiality is quantified, and the method list admissible when a figure in a *financial model* is verified.

Three reading rules remain, and they still matter for any term this reconciliation did not reach. First, **where a foundational standard states its own defined term by its `D-NN` number, that definition governs that foundational obligation**, and nothing here narrows it. Second, **where a definition here and a foundational definition both bear on the same act, the one producing the wider obligation governs** — Charter §4 states that a PCI Standard never lowers an obligation. Third, a term defined here and not there is a PFL-AI term and carries only the sense given here.

How element 21 samples are drawn. Where a standard's element 21 tests a sample, the sample is selected by the reviewer performing the test, not by the professional whose work is under review, and the reviewer records the basis of selection.

Core compliance-deciding terms

material — *(Canonical —* `D-15`*.)* A difference, item, error, omission, variance or fact is *material* if any of the following is true: (a) were it wrong, omitted or reversed, a decision within the scope of the work would or could have been taken differently — including its timing, its conditions, or the authority at which it had to be taken; (b) it changes a reported figure by more than the quantified tolerance published for that figure; (c) it affects a contractual, regulatory, tax or financial-reporting position; (d) it affects the safety of a person; (e) it affects a party's reliance; or (f) it meets the adopting organisation's published materiality criteria. **A matter bearing on safety, legality, a licence or permission, a statutory duty, or the truth of a statement made to a decision-maker is material irrespective of size**, and no documented threshold reduces it. Materiality is determined on the position as known at the time of the act, and is judged twice: on the item alone, and on the accumulation of items of the same kind since the test was last applied. **In PFL-AI work, limb (b) is measured by the engagement's materiality statement.** That test is stated **before** the work begins, in the transaction's own metric: for a coverage-ratio output, a stated movement in the ratio; for a funding output, a stated cash amount against the funding requirement; for a claim, whether the supporting evidence would still support it. **PCI sets no percentage.** The *decision owner* sets the figure, the finance documents override it wherever they state their own, and a materiality statement that names no figure and no metric is not a materiality statement.

independent — *(Canonical —* `D-12`*, with this volume's stricter reporting-line limb.)* Of a person, in relation to a specified matter: that person (a) did not perform the act, prepare the work or any part of it, or direct, specify or approve it; (b) did not select, build or configure the tool, model or AI system that produced it; (c) holds no conflict in its outcome and no financial interest in the transaction or in a party to it; (d) receives no fee, bonus, continuing mandate, success payment or other benefit that varies with the conclusion reached; (e) is not accountable for the outcome the work reports on; and (f) **is not in the preparer's reporting line at all, and does not report to a person whose performance is measured by the work's conclusion.** All six limbs are required. **Limb (f) is deliberately stricter than the foundational limb**, which defeats independence only where the reporting relationship covers the work under review; on a PFL-AI engagement the stricter form governs, and where two tests bear on the same act the one producing the wider obligation governs. Independence is a fact about a relationship to a specified matter, not a state of mind, and asserting objectivity does not establish it. (*Referred:* whether *independent* is one test or two is red-team finding **R-4**, open before the Interpretation Panel.)

verified — *(Canonical —* `D-26`*, with this volume's deliberate narrowing for a model figure.)* Of an item, figure, statement, extraction or machine output: a named human who is a *competent reviewer* for that item has checked it against **evidence** — the source that determines it — by a **named method**, and has recorded the method, the source or population tested and, where a sample was used, its selection basis, the inputs, the scope tested, the result, the date, and every difference found together with its resolution. Reading an output and finding it plausible is not verification, and an item on which no such record exists is not verified however carefully it was produced. **The eight admissible methods** — the list at `PCI-FND-STD-03-PR-01` — are independent recomputation, source tracing, clause-to-summary comparison, sampling on a stated basis, reconciliation, boundary testing, sensitivity analysis, and named expert judgement recorded with its reasoning. (*Collision flag:* the suite uses *verify* in this AI-assurance sense throughout, not in the engineering verification-and-validation sense recorded in `../registries/TERMINOLOGY_AUDIT.md` §2.2.) (*Deliberate narrowing, methods:* **where a figure in a *financial model* is being verified under this volume**, two differences apply and both narrow the term. *Clause-to-output comparison* replaces *clause-to-summary comparison*, applied to a model output rather than to a summary. *Named expert judgement* is not admissible: a figure produced by a financial model is reproducible, and an expert's opinion that it looks right is not a check on it. Where a foundational obligation is being discharged, the eight-method list governs. *Referred:* red-team **R-6** — a modelling subject specialist should confirm the reason, and the Panel should decide whether renaming a Manual §5.2 method is acceptable.)

evidence — *(Canonical — D-11.)* A dated record that exists independently of the assertion it supports, that identifies its source, its version where it has one, and its author or issuing party, and which a person other than the author of the assertion can retrieve, examine and use to reach the same conclusion **without asking that author**. The following are not evidence for the purposes of these standards: an output of an AI system that does not identify the source of what it asserts; an AI-generated summary of a record, as evidence of the underlying fact — the underlying record is; a statement that a system, model or tool produced a figure, unaccompanied by the inputs and the method; a restatement of the assertion in a second document by the same author; a preparer's own statement offered in support of their own assertion; an unattributed file; an undated extract; an unversioned working copy; a recollection; a screenshot with no source; and a dashboard or screen state that cannot be reproduced.

decision owner — *(Canonical — D-08.)* The single named individual holding authority, under the applicable governance arrangement or documented delegation schedule, to approve, reject, amend, defer or withhold the decision that an output supports; who bears its consequence; and who answers for it afterwards. Accountability is held by one person, is not delegable, and is recorded before the output is relied upon. A committee is not a decision owner; where a body decides collectively, its named chair — or the named authority the delegation schedule assigns — is the decision owner, and the record names that person. "The team", "management", "the business", "the sponsor", "the lenders" and "the organisation" do not name a decision owner.

competent reviewer — *(Canonical — D-04, with this volume's additional authorisation limb.)* A named individual who, in relation to a particular item, satisfies all of: (a) demonstrated experience in the specific subject matter under review, evidenced by a qualification, an assessed competence record or documented comparable work, and recorded for that class of review before the review begins; (b) the ability to state what would make the item wrong and which method would detect that error; (c) the ability to perform the verification method the standard requires, and to reach a conclusion on the matter, without assistance from the preparer or reliance on the preparer's explanation of it; and (d) **written authorisation from the engaging organisation to record a review conclusion on that subject**. Seniority alone does not make a competent reviewer, and neither does availability. **Independence is not a limb of competence:** where a standard requires the reviewer to be *independent*, that requirement is imposed by that standard's element 10 and is tested separately. The two were previously folded together here, which made PCI-FND-STD-10 element 12's supervised-acquisition exception unusable, because that exception needs a reviewer who is competent and is precisely not independent.

escalation threshold — *(Canonical — D-10.)* The escalation threshold for a matter is reached at the earliest moment any of the following becomes true: the matter is *material*; it creates a risk to the safety of a person; it would change, or would have changed, a decision already taken or about to be taken; it affects an output already issued outside the credential holder's own organisation; it affects a contractual, regulatory, tax or financial-reporting position; or the escalation criteria stated in the *finance documents*, published by the adopting organisation, or recorded in the delegation schedule are met. **Any condition recorded before the work begins, and any documented value in the finance documents, is additional to those six triggers and never in place of them**; a matter that reaches the threshold requires escalation under PCI-FND-STD-11 whether or not the engagement enumerated it. Thresholds are set by the finance documents where those documents state them, and otherwise by the adopting organisation's governance; PCI does not set them, and PCI requires that they exist, are written down, name the authority, and are applied. **The threshold names a destination and a time, and the absence of either does not remove the duty:** where no destination is documented the matter goes to the next authority above the *decision owner* for it, and where no time is documented the time is the foundational period at D-20 — one working day where the matter creates a risk to the safety of a person or an ongoing financial loss, five working days otherwise, running from the moment the credential holder first knows or suspects the matter rather than from the moment they confirm it. Reaching the threshold starts that period.

approved — *(Canonical —* D-29*.)* A decision, document, figure or version is *approved* where the person holding authority for that decision under the applicable governance arrangement or recorded delegation of authority has given assent identifiably, recording the date, the version assented to and the scope of the assent. Silence, absence of objection, unrecorded verbal assent, assent by a person outside their recorded authority, and assent recorded after the item was used are not approval. (A *waiver* under the **finance documents** is a different instrument and is defined separately below; so is a Charter §8 waiver of a PCI Standard.)

current — *(Canonical —* D-30*.)* A record, figure, extract, document or version is *current* where it is the latest version issued by the system or authority that owns it as at the output's stated cut-off or, where the output states none, as at its issue date — and where its version identifier and its extraction date and time are recorded on or with the output. A record whose version cannot be identified is not current, whatever its age. See also *authoritative version*, which is the narrower transaction sense for a model or document set.

material AI assistance — *(Canonical — carried to the whole corpus by* PCI_STANDARDS_DEFINITIONS_REGISTER.md*.)* AI assistance in producing an output is *material* where removing the AI-generated contribution would change a figure in the output by more than the applicable materiality measurement, or would change a recommendation, a classification that affects entitlement, coding, ranking or eligibility, or a stated conclusion. *Material AI contribution* means the same thing. Volume of use, licence cost and whether a human edited the output afterwards are irrelevant to the test. This volume made compliance turn on the term at PCI-PFL-

STD-16.01 element 21 and PCI-PFL-STD-16.03 element 21 without defining it; the definition is supplied here so the test can be applied.

Transaction terms

finance documents — The executed agreements that govern the financing and the security for it, together with their schedules, side letters and amendments. Before execution, the term means the agreed final-form documents, and a standard that turns on the finance documents applies to the agreed final form with the fact of non-execution stated.

CFADS *(cash flow available for debt service)* — The cash amount that the finance documents define as available to meet *debt service* in a period. **CFADS is a defined term of a transaction, not a market constant**: two financings of the same asset can define it differently and both be right. Where no finance documents yet exist, the modelled definition must be written out in full, item by item, and labelled as the modeller's definition.

debt service — The amounts the finance documents require to be paid to the finance parties in a period, comprising the items those documents name — typically scheduled principal and interest, and, where the documents include them, fees, hedging settlements and equivalent amounts. The documents' list governs; a conventional list does not.

coverage ratio — A ratio of *CFADS* (or of its present value) to *debt service* (or to debt outstanding), computed on the definitions the finance documents state. DSCR is the period test; LLCR is the loan-horizon test; PLCR extends to the end of project life. (*Collision flag:* coverage also carries a risk-identification sense in the suite — the share of an estimated risk population actually identified. This volume uses the credit sense only, and writes *coverage ratio* in full wherever ambiguity is possible.)

reserve account — An account the finance documents require to hold a stated balance or to be funded to a stated level, whose balance is available only for the purposes and in the order those documents specify.

distribution — Any transfer of value out of the borrower group to a shareholder or a shareholder's affiliate, in any legal form — dividend, return of capital, redemption, payment of shareholder-loan interest or principal, management or development fee, or payment for goods or services outside the ordinary course on arm's-length terms — that the finance documents treat as a restricted payment.

lock-up — The state in which the finance documents prevent a *distribution* because a stated test has not been met at a stated date, without an event of default necessarily having occurred. Lock-up is a trap on cash, not a default, and the two must not be reported as the same event.

conditions precedent — The deliverables and states of affairs that the finance documents require to exist, in the form and to the satisfaction those documents specify, before a stated event may occur — effectiveness, first drawing, a subsequent drawing, a release from a reserve, or completion.

waiver — A finance party's consent, given in the form the finance documents require, to disregard a specific breach or unsatisfied condition, on stated terms and for a stated period.

amendment — A change to the terms of the finance documents, executed in the form those documents require. A waiver is not an amendment: it leaves the term in place.

cost-to-complete (CTC**)** — The cash cost expected to be incurred from a stated date to complete the works and reach the completion test the finance documents specify, computed from certified progress, committed and uncommitted scope, notified and assessed claims, escalation and the remaining programme. (*Symbol discipline:* this volume writes CTC and never EAC. `../registries/TERMINOLOGY_AUDIT.md` Issue 1 records that EAC carries two unrelated formulas inside the PFL-AI corpus — estimate at completion, and equivalent annual cost — so this volume uses neither EAC nor bare PV; present value is written in words or as `PV(x)`.)

sources and uses — The statement setting the project's total funding requirement against the committed funding that meets it, whose two totals are equal by construction and whose inequality is therefore always an error or an unfunded amount.

funds flow — The statement of every payment to be made at, or in connection with, a closing or a drawing, showing payer, payee, account, amount, purpose and order, reconciled to the *sources and uses*.

base case — The agreed model case that the finance documents identify as the case against which the transaction was sized and agreed. (*This volume does not use the word* baseline, *which collides across two senses in the suite — see* `../registries/TERMINOLOGY_AUDIT.md` §2.3.)

Modelling and governance terms

financial model — A computational representation of a project's cash flows, financing and returns, used to inform, support or evidence a decision.

model owner — The single named individual accountable for a financial model's integrity, its version control and its release. A tool, a team, a mailbox and a folder cannot be a model owner.

authoritative version — The one identified file or record of a model, register or document set that the parties are entitled to rely on at a stated date, bearing a version identifier, held under the *model owner's* control, and distinguishable from every other copy by that identifier. Where two files bearing the same identifier differ in content, neither is the authoritative version until the model owner determines which is and records the determination.

decision-grade — Of an output: presented to, or relied on by, any person for a financing, investment, credit, certification, distribution, reporting or approval decision. An output that is labelled indicative but is in fact relied upon for such a decision is decision-grade.

source line — A citation attached to a figure that identifies the document determining it, that document's version or date, and the party that issued it. A source line that names a file path, a person's recollection or another model is not a source line.

AI-assisted work — Any work in which an artificial-intelligence system generated, extracted, drafted, computed, summarised, classified, translated or checked content that is carried into an output, whether or not a human edited it afterwards.

Terms in the two areas of highest misdescription risk

Shariah compliance determination — A ruling on whether a structure, instrument or transaction conforms to Islamic law, issued by the scholar, Shariah supervisory board or equivalent body that the relevant institution, market or jurisdiction recognises as competent to issue it. (*Transliteration:* this volume writes **Shariah**, following the PFL-AI manuscript; the form *Sharia* is the same word.) **A determination is a matter of religious law, and PCI has no authority of any kind over it** — PCI does not make, review, endorse, accredit or overrule such a determination, and no PCI standard, credential, examination or process confers competence to make one.

sustainability claim — A statement that an instrument, an asset, a project, an expenditure or a performance metric qualifies under a named environmental, social, climate or sustainability label, taxonomy, framework, principle set or target — including a green, social or sustainability-linked label, a taxonomy-alignment assertion, and any environmental, social or governance metric quoted outside the model that produced it.

voluntary framework — A framework whose whole force is that an organisation chooses to adopt it; an organisation may lawfully decline to adopt it. **A voluntary framework must never be described as legislation, regulation or law** (Charter §2; Manual §6). Where a jurisdiction has enacted a taxonomy, labelling or disclosure regime, that regime is legislation *in that jurisdiction only*, its applicability to a given entity is a question for qualified local counsel, and it does not make the voluntary framework it resembles into law anywhere.

Domain 1 — Foundations of project finance leadership

PCI standard

PCI-PFL-STD-01.01

Cash-Flow Integrity in Financial Judgement

1. Normative requirement. A credential holder must not present an accounting result, an earnings measure, an averaged ratio or a period-aggregated figure as evidence that a project can meet an obligation on the date it falls due.

2. Purpose. A financing fails on the day the cash is not in the account, whatever the reported profit. Accrual results, non-cash charges, revaluations, annualised averages and horizon choices can each present a comfortable picture over an account that will be empty on the payment date, and the reader of the output usually cannot see which of them is doing the work.

3. Scope. Every credential holder who prepares, reviews, recommends, approves or provides assurance on an appraisal, forecast, funding plan, coverage assessment, liquidity statement, lender report, credit submission or board paper, on any asset class and any financing structure, from screening to handback. It applies to preparation, review, recommendation, approval and assurance alike.

4. Defined terms. *material*, *evidence*, *decision owner*, *CFADS*, *debt service*, *coverage ratio*, *decision-grade*, *verified*.

5. Required actions.

- **PCI-PFL-STD-01.01-PR-01 — Dated obligation schedule.** The preparer must produce, for every decision-grade output that speaks to ability to pay, a schedule of each obligation against the date it falls due, sourced to the document that creates it.
- **PCI-PFL-STD-01.01-PR-02 — Accrual-to-cash reconciliation.** The preparer must reconcile the accounting result to the cash line used, and must present the non-cash adjustments as a separate, itemised schedule rather than as a net figure.
- **PCI-PFL-STD-01.01-PR-03 — Payment-date liquidity test.** The preparer must test liquidity at each payment date in the tested horizon, and must identify the binding date — the earliest date at which available cash is least in excess of the obligation then due.
- **PCI-PFL-STD-01.01-PR-04 — Presentation-dependency disclosure.** The preparer must disclose, on the face of the output, every respect in which a favourable presentation depends on a non-cash item, a timing convention, a horizon choice or an averaging basis.
- **PCI-PFL-STD-01.01-PR-05 — Stated and internally consistent appraisal basis.** The preparer must state, for every appraisal or return measure presented, the inflation basis and the currency basis of the cash flows **and** of the discount rate, the horizon and the perspective from which the measure is taken; must keep the cash flows and the discount rate on the same inflation and currency basis; and must not re-base, re-cut

or re-select a measure after a result is known in order to produce a preferred conclusion.

6. Prohibited actions. Offering an earnings measure or accounting profit as evidence of ability to pay on a date; netting a dated cash shortfall against an unrealised or non-cash gain; re-phasing or smoothing timing to remove a shortfall from view; describing an accrued or contracted receipt as available cash; quoting an average where a period test governs.

7. Required evidence. The dated cash-flow forecast with each obligation on its due date; the accrual-to-cash reconciliation; the itemised non-cash schedule; the payment-date liquidity test with the binding date identified; the presentation-dependency disclosure; the *decision owner's* recorded approval.

8. Responsible role. The project finance leader accountable for the funding plan prepares and signs; the *decision owner* for the decision the output supports accepts it.

9. Approval authority. The decision owner approves the output for use. No exception to this standard may be approved below the level of the person who would have approved the decision it supports.

10. Independence requirement. Independence of preparation is required for the review under element 21 wherever the output supports sanction, financial close, a drawing, a *distribution*, a covenant certificate or a waiver request. Elsewhere, review by a *competent reviewer* who did not prepare the schedule discharges this element.

11. Materiality or threshold. The threshold is a cash amount and a date, not a percentage. A shortfall is *material* when available cash at a payment date is less than the obligation then due by any amount, because a payment either is made or is not; a *headroom* disclosure threshold is set by the *decision owner* in the engagement's materiality statement, in the transaction's own metric. *Scale test:* on a small municipal project with one annual instalment and a single account, the required schedule is one page and the test is arithmetic; on a multi-billion cross-border financing with multiple currencies, tranches and payment dates, the same test is applied per currency and per account, and the binding date is identified per obligation group.

12. Exception and waiver. No exception is permitted to the prohibition in element 1. A departure from the *form* of any process requirement — for example, presenting the reconciliation in an appendix rather than on the face — may be approved in writing by the *decision owner*, for one named output, for a stated period not exceeding the life of that output, on condition that the substance is delivered in full and the departure is recorded in the output. An undocumented departure is a breach.

13. Escalation trigger. A forecast showing an obligation that cannot be met from available cash at its due date, on any case run; an instruction to answer a solvency, funding or coverage question on an accounting basis in place of a cash basis; discovery that a presented figure depended on an undisclosed timing or averaging convention.

14. AI application. AI may build and re-phase cash-flow projections, reconcile accrual results to cash, detect timing mismatches between obligations and receipts, generate liquidity stress runs, and draft the presentation-dependency disclosure for human confirmation.

15. AI prohibition. AI must not conclude that a project is solvent, adequately funded or able to meet an obligation; must not approve a funding plan or a liquidity position; and must not be recorded as the author or approver of any schedule required by this standard.

16. AI verification. Independent recomputation of the cash available at the binding date and at one other tested date, from *source lines*, by a named human; source tracing of every obligation date to the document that creates it; and reconciliation of the AI-produced accrual-to-cash bridge to the *authoritative version* of the model and to the financial statements. Each check is recorded with its method and date.

17. External reference.

- **IFRS Foundation — *Conceptual Framework for Financial Reporting.*** Issuing organisation: IFRS Foundation / IASB. Subject: the accrual basis and faithful representation, which is precisely what makes an accounting result a different statement from a cash fact. Checked: named without clause, edition or date (register EXT-011, verified 2026-08-03). Nature: **authoritative financial-reporting material that is expressly not a standard** — the IASB states that nothing in it overrides a Standard. Manual §6 records it separately for that reason. Applicability limitation: **no requirement in this standard is sourced to it**; it is named to explain a distinction, and it creates no obligation for anyone.
- **IAS 7 *Statement of Cash Flows.*** Issuing organisation: IFRS Foundation / IASB. Subject: the presentation and classification of cash movements against which a modelled cash line is reconciled. Checked: current, by name only, no clause asserted (register EXT-120, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: mandatory only for entities applying IFRS Accounting Standards in a jurisdiction that has adopted them; it defines no *coverage ratio* and no liquidity test. Verify current requirements.

18. Jurisdictional caution. Solvency, going-concern, distributable-reserve, wrongful-trading and insolvency tests are matters of local company and insolvency law and are **not** established by a cash forecast. The consequences for directors and officers of continuing to trade, or of making a payment, differ by jurisdiction and can be personal. Obtain local legal and accounting advice before any statement about an entity's ability to continue or to pay.

19. Related PCI Standards. `PCI-FND-STD-05` (transparent assumptions); `PCI-FND-STD-02`; `PCI-PFL-STD-10.01`; `PCI-PFL-STD-10.03`; `PCI-PFL-STD-14.02`; `PCI-PFL-STD-15.01`. **Increment over the foundational parent:** `PCI-FND-STD-05` requires a conclusion to carry the material assumptions it depends on; this standard fixes *what honesty means in a financing* — the obligation is dated, the test is at the payment date, the reconciliation is itemised, and the averaging convention is disclosed on the face of the output.

20. Related Body of Knowledge content. PFL-AI · Domain 1 — Foundations of project finance leadership · KA 1.2 Value, cash and risk · topic 1.2.2 cash as the binding constraint. Also Domain 2 KA 2.1–2.2 (the accrual model; the three statements and their articulation) and Domain 10 KA 10.1 (debt capacity and sizing).

21. Compliance test. A reviewer takes the output, the model *authoritative version*, the obligation documents and the financial statements, and performs four steps. (a) Recomputes available cash at the binding date from the model's own source lines and obtains the figure stated in the output, without unexplained difference. (b) Traces every obligation date in the schedule to the document that creates it, with no date unsourced. (c) Adds the itemised non-cash adjustments to the cash line and reaches the accounting result stated, without unexplained difference. (d) Confirms that every averaging, horizon or timing convention on which a favourable figure depends appears in the presentation-dependency disclosure. (e) For each appraisal or return measure presented, confirms the stated basis is complete and that the cash flows and the discount rate share one inflation and one currency basis, by recomputing the measure on the stated basis. Compliance is demonstrated when all five steps complete; failure of any one is a breach.

22. Breach indicators. A real discount rate applied to nominal cash flows, or a measure whose horizon changed between drafts; a coverage or liquidity conclusion with no dated obligation schedule behind it; a reconciliation presented as a single net "non-cash" line; an annual average quoted where the finance documents test a period; a forecast whose worst date is not identified anywhere; a favourable figure whose horizon changed between drafts without a recorded reason.

23. Consequence within PCI authority. Correction required and the affected output withheld from use until corrected; additional independent review; escalation to the decision owner; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each is subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Scenario judgement: a profitable-looking forecast conceals a dated liquidity shortfall and the candidate must identify the binding date and the compliant presentation. Calculation review: a candidate is given a cash line and an accrual result and must produce the reconciliation. Evidence selection: from a document set, the candidate selects what proves ability to pay on a date. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 (stage record in the front matter; Stages 6, 11, 12 and 13 not performed) · effective on approval · supersedes PFL-LAW-01-01 *Cash Before Appearance* (v1.0). Amendment note: restructured onto the twenty-five-element form; the single bundled rule split into one principal obligation and four process requirements; the compliance test made performable; threshold restated as a cash-and-date test rather than a judgement phrase.

PCI standard

PCI-PFL-STD-01.02

Conflict Disclosure and the Two-Hat Rule

1. Normative requirement. A credential holder must disclose in writing, before advising, modelling, negotiating, reviewing or approving on a financing, every interest of theirs or of a connected person that a reasonable party to that financing would want to know when weighing their judgement.

2. Purpose. Project finance concentrates advice: the same individual or firm can sit close to sponsor, lender, grantor, contractor and offtaker on one transaction. An undisclosed interest converts advice into advocacy while preserving the appearance of objectivity, and the parties relying on it cannot see that the change has happened.

3. Scope. Every credential holder advising, modelling, structuring, reviewing, lending, approving, certifying or negotiating on a project financing, in-house or as an external adviser, including their personal financial interests and those of connected persons where these relate to the transaction, its parties or its competitors. Applies from first contact through to the end of the engagement and to any later re-engagement.

4. Defined terms. *independent*, *evidence*, *decision owner*, *material*, *finance documents.* **Reasonable party** — the test applied under this standard: a party to the financing, acting with the information ordinarily available to that party, who is weighing whether to rely on the credential holder's judgement. The test is applied by the credential holder, and where doubt exists it is resolved by disclosing rather than by concluding. **Connected person** — for this standard, a person whose financial position a *reasonable party* would treat as affecting the credential holder's judgement: a spouse or partner, a dependant, a person sharing a household, an entity the credential holder or any of them controls or in which any of them holds a financial interest, and the credential holder's employer and its group.

5. Required actions.

- **PCI-PFL-STD-01.02-PR-01 — Standing conflicts register.** The credential holder must maintain a standing register of their interests and those of connected persons, dated, and must update it whenever an interest arises, changes or ends.
- **PCI-PFL-STD-01.02-PR-02 — Screening before acceptance.** The credential holder must screen every new instruction against the register and against the parties to the transaction before accepting it, and must record the screen and its outcome.
- **PCI-PFL-STD-01.02-PR-03 — Written consent or declinature.** Where an interest is disclosed, the credential holder must obtain the informed written consent of every affected party before beginning or continuing the work, or must decline the engagement; consent obtained on an incomplete disclosure is not consent.
- **PCI-PFL-STD-01.02-PR-04 — Information-barrier testing.** Where a conflict is managed by an information barrier rather than by declining, the credential holder must record the barrier's terms and must have its operation tested at a stated interval by a person *independent* of both sides, with the test result recorded.

6. Prohibited actions. Acting for more than one side of the same question without informed written consent from every affected party; accepting an undisclosed fee, commission, referral payment or success-linked benefit from a party other than the client; using transaction information for personal or connected benefit; describing advice, a review or a model as *independent* while holding an undisclosed interest; delaying a disclosure until after a decision is taken.

7. Required evidence. The conflicts register with dates and outcomes; the screening record for each instruction; written disclosures and the consents obtained; engagement terms recording role and side; information-barrier terms and test results; the record of engagements declined for conflict.

8. Responsible role. The credential holder, personally, for making the disclosure. The engaging organisation's responsible partner or officer for deciding whether the engagement may proceed and on what terms.

9. Approval authority. The affected parties, by written consent, for whether the credential holder may act. The engaging organisation's responsible partner or officer for whether the firm accepts the engagement. Neither can consent on behalf of a party that has not been told.

10. Independence requirement. The information-barrier test under PR-04 must be performed by a person *independent* of both sides of the barrier. Where the credential holder or their firm acts for more than one party to the same transaction, an independent review of the arrangement is required before work begins.

11. Materiality or threshold. Disclosure is triggered by the existence of an interest, not by its size, and the test is the *reasonable party* test defined at element 4. A *de minimis* register threshold for holdings in widely held listed entities may be set by the engaging organisation's governance, must be written down, and must not apply to any party to the transaction. *Scale test:* on a small municipal project, the register is a single sheet and the parties are few; on a multi-billion cross-border financing with dozens of counterparties across several jurisdictions, the same register is maintained by entity group and the screen is run against the full party list at each accession, syndication and transfer.

12. Exception and waiver. No exception to disclosure is permitted. The *consequence* of a disclosed conflict may be waived only by the informed written consent of every affected party, for the stated scope of work, for a stated period; the consent must state what was disclosed. Compensating controls — an information barrier, a change of team, an independent review of the output — must be recorded with the consent. All consents are reportable to the engaging organisation's responsible officer.

13. Escalation trigger. Discovery of an undisclosed interest; an instruction to withhold, soften or delay a disclosure; a consent that appears to have been given on incomplete information; a mandate that would require advising both sides on the same question; a fee arrangement that varies with a conclusion the credential holder is being asked to reach.

14. AI application. AI may screen instructions against the register and entity-relationship data, surface related-party and common-control links, monitor for newly arising interests, and draft disclosure wording for human review.

15. AI prohibition. AI must not determine whether a conflict exists, decide that a conflict is manageable, waive or defer a disclosure, certify a person or firm as *independent*, or be recorded as the author of a disclosure.

16. AI verification. Clause-to-output comparison of each AI-drafted disclosure against the register entry it reports; source tracing of each surfaced relationship to the record that evidences it; and the credential holder's own recorded confirmation, against personal knowledge, that the screen is complete. **A negative machine screen is not a finding of no conflict** and must never be recorded as one.

17. External reference.

- **ISO/IEC 17024 *Conformity assessment — General requirements for bodies operating certification of persons.*** Issuing organisation: ISO/IEC. Subject: impartiality and the management of conflicts in the certification of persons. Checked: a **2026 edition has been published, superseding the 2012 edition** (register `EXT-022`, verified 2026-08-03); no clause is cited here. Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless a law or contract imports it; it addresses certification bodies, not project finance advisers, and is named here as the reference discipline for conflict management in assessment roles. **No accreditation to, or certification against, this standard is claimed by PCI through this reference.**
- **G20/OECD *Principles of Corporate Governance.*** Issuing organisation: OECD, with the G20. Subject: disclosure, related-party transactions and the management of conflicts in governance. Checked: 2023 revision, OECD/LEGAL/0413 (register `EXT-128`, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; specifically an **OECD Council Recommendation, which is intergovernmental, non-binding and not legislation anywhere**. Applicability limitation: creates no obligation for any credential holder; named for the governance context only.

18. Jurisdictional caution. Fiduciary duty, agency law, the enforceability of consent, secret- commission and bribery offences, financial-promotion rules and adviser-registration requirements determine the *legal* consequences of an undisclosed interest, and they differ by jurisdiction and by role. Consent is not a universal cure. Obtain local legal advice before relying on consent, and note that anti-bribery obligations can be extraterritorial.

19. Related PCI Standards. `PCI-FND-STD-08` (conflict disclosure); `PCI-PFL-STD-13.02`; `PCI-PFL-STD-16.03`. **Increment over the foundational parent:** `PCI-FND-STD-08` requires disclosure of conflicts; this standard adds the multi-party structure specific to a financing — screening against the full party list at each accession and transfer, the two-hat prohibition on advising both sides of one question, tested information barriers, and the rule that consent obtained on incomplete disclosure is not consent.

20. Related Body of Knowledge content. PFL-AI · Domain 1 — Foundations of project finance leadership · KA 1.3 Ethics, fiduciary awareness and responsible AI · topics 1.3.1 fiduciary and professional obligations, 1.3.3 conflicts and independence. Also Domain 13 KA 13.1 (the diligence streams).

21. Compliance test. A reviewer takes the engagement file and the conflicts register and performs five steps. (a) Confirms a screening record exists dated on or before the date work began. (b) For each interest on the register at that date that touches a party to the transaction, locates the written disclosure and the consent, and confirms the consent post-dates the disclosure. (c) Confirms the engagement terms state the role and the side. (d) Where an information barrier is relied upon, locates a test result within the stated interval, performed by a person independent of both sides. (e) **Works from the transaction rather than from the register:** compares the register against the transaction's party, counterparty, adviser, contractor and offtaker lists, the fee and engagement terms, and the credential holder's recent engagement history, and finds no relationship of a kind listed in `PCI-FND-STD-08` that the register omits. Compliance is demonstrated when all five steps complete for every interest; an interest on the register with no disclosure, or a consent pre-dating its disclosure, is a breach, and so is a relationship that step (e) finds and the register does not carry — **a clean register is a pass only when step (e) confirms it is complete**.

22. Breach indicators. A register with no entries on a transaction with many counterparties; a consent dated the same day as, or before, the disclosure it relies on; an engagement letter silent on which side the adviser acts for; an information barrier that has never been tested; a success fee payable on a conclusion the credential holder is asked to reach; a review described as independent by a person in the preparer's reporting line.

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Ethical dilemma: an adviser is offered a second role, a success fee or a referral payment mid-transaction, and the candidate must decide whether to disclose, decline or proceed and on what record. Evidence selection: from an engagement file, the candidate identifies what is missing before work may begin. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes `PFL-LAW-01-02` *Conflict Disclosure and the Two-Hat Rule* (v1.0). Amendment note: restructured onto the twenty-five-element form; *connected person* defined for the first time; information-barrier testing raised from a minimum action to an identified process requirement; compliance test made performable; the ISO/IEC 17024 reference updated to record the 2026 edition. **Stage 9 amendment:** the compliance test began from the conflicts register, so an interest never entered on the register was never tested and the whole standard could be satisfied by omission; step (e) now works from the transaction's own party, adviser and fee records against the relationship list in `PCI-FND-STD-08`.

Domain 5 — Project development and bankability

PCI STANDARD

`PCI-PFL-STD-05.01`

The Bankability Statement

1. Normative requirement. A credential holder must not describe a project as bankable, or as capable of being financed on limited recourse, unless every condition on which that conclusion depends is stated with its status, its owner and its resolution path.

2. Purpose. Bankability is a conjunction, not a score: revenue and payment mechanism, offtake or grantor covenant, permits, land and consents, technology and track record, construction and operational readiness, and an allocated risk position must all hold together. A summary word hides which limb is unresolved, and the reader assumes all of them are.

3. Scope. Every credential holder who prepares, reviews, recommends, approves or provides assurance on a feasibility conclusion, an investment committee paper, an information memorandum, a mandate letter, a lender's preliminary view or any statement that a project is financeable. Applies from screening to financial close, and again on any material restructuring.

4. Defined terms. *material*, *evidence*, *decision owner*, *finance documents*, *decision-grade*, *competent reviewer*. **Bankability condition** — for this standard, a fact or instrument whose absence would prevent a lender from advancing on limited recourse: the revenue mechanism, the payment counterparty's covenant, each permit and consent, land and access rights, technology and its track record, construction and operational readiness, and the risk allocation position under `PCI-PFL-STD-11.01`.

5. Required actions.

- **PCI-PFL-STD-05.01-PR-01 — The conditions schedule.** The preparer must produce a schedule listing every *bankability condition*, its status at a stated date, the named party who owns it, the step required to resolve it, and the expected date of resolution.

- **PCI-PFL-STD-05.01-PR-02 — Status honesty.** The preparer must record each condition's status as one of *satisfied*, *in progress*, *not started* or *at risk*, evidenced, and must not record a condition as satisfied on the strength of an expectation, an indication or a draft.
- **PCI-PFL-STD-05.01-PR-03 — Conjunction statement.** Wherever the word *bankable* or an equivalent appears in a decision-grade output, the preparer must state on the same page that the conclusion holds only while every condition in the schedule holds, and must identify the unresolved conditions by name.
- **PCI-PFL-STD-05.01-PR-04 — Re-testing on change.** The preparer must re-run the schedule and re-issue the conclusion whenever a condition's status changes materially, and must notify every party known to be relying on the earlier conclusion.

6. Prohibited actions. Describing a project as bankable while a condition is unresolved and unstated; recording a condition as satisfied on a draft, an indicative term sheet or an oral assurance; presenting a lender's expression of interest as a commitment; aggregating conditions into a score or a colour that conceals which limb fails; carrying forward a superseded bankability conclusion into a later document without re-testing.

7. Required evidence. The dated conditions schedule with owners and resolution paths; the evidence supporting each *satisfied* status; the conjunction statement as it appeared in the output; the re-test records; the distribution list used for notification under PR-04.

8. Responsible role. The project finance leader accountable for the development or financing plan prepares and signs the schedule. The *decision owner* for the sanction, mandate or submission accepts it.

9. Approval authority. The decision owner approves the bankability conclusion for use. A change of a condition's status from *at risk* or *in progress* to *satisfied* may be approved only by the named owner of that condition, on evidence.

10. Independence requirement. A *competent reviewer* independent of the development team must review the schedule before the conclusion is used to support a sanction decision, a mandate or an information memorandum, because the development team's commercial benefit runs to the project proceeding.

11. Materiality or threshold. A condition is *material* when its non-resolution would cause a lender, on the risk allocation as it stands, to decline or to reprice; the *decision owner* records the test in the engagement's materiality statement and the lenders' own credit criteria override it wherever those are known. **PCI sets no completeness percentage**, because a conjunction admits none: one unresolved condition defeats the conclusion regardless of how many others hold. *Scale test:* on a small municipal project the schedule may contain a dozen conditions and be maintained in one table; on a multi-billion cross-border financing it is maintained per jurisdiction, per tranche and per lender group, and the conjunction statement identifies the unresolved conditions per group.

12. Exception and waiver. No exception is permitted to element 1. A *decision owner* may approve in writing the use of a conclusion with a named unresolved condition where that condition is stated on the face of the output with its owner and resolution path — which is compliance, not exception. A waiver of PR-04 re-testing is not available.

13. Escalation trigger. A condition moving to *at risk* whose failure would prevent financing; a request to describe a project as bankable while a condition is unresolved; discovery that a *satisfied* status rests on a draft or an indication; a party relying on a superseded conclusion.

14. AI application. AI may assemble the conditions schedule from the document set, track status changes, identify conditions present in comparable transactions and absent here, draft the conjunction statement, and flag documents whose dates have passed.

15. AI prohibition. AI must not conclude that a project is bankable, set a condition's status to *satisfied*, decide that an unresolved condition is immaterial, or approve an information memorandum, mandate or credit paper.

16. AI verification. Source tracing of every *satisfied* status to the executed instrument or issued permit that establishes it; clause-to-output comparison of each AI-drafted condition entry against that instrument; and a named human's recorded confirmation that no condition known to the team is missing from the schedule. Completeness is a human judgement and must be recorded as one.

17. External reference.

- **The Equator Principles.** Issuing organisation: the Equator Principles Association. Subject: a risk-management framework under which participating financial institutions apply agreed environmental and social requirements to project finance. Checked: EP4, adopted 18 November 2019, effective 1 October 2020 (register `EXT-082`, verified 2026-08-03). Nature: Manual §6 category 8 — **voluntary environmental or social framework; not legislation, and not regulation**. Applicability limitation: applies only to transactions of adopting institutions, and only as those institutions apply it; adoption is the whole of its force.

- **IFC *Performance Standards on Environmental and Social Sustainability.*** Issuing organisation: International Finance Corporation, World Bank Group. Subject: environmental and social performance expectations widely used as a reference benchmark in project finance. Checked: 2012 edition, effective 1 January 2012; a Sustainability Framework update is in progress (register EXT-083, verified 2026-08-03). Nature: Manual §6 category 8 — voluntary environmental or social framework. Applicability limitation: binding on IFC clients by contract; on others only where adopted, including through EP4. **Status is moving — verify the current position.**
- **ISO 31000 *Risk management — Guidelines.*** Issuing organisation: ISO. Subject: principles and a process for managing risk. Checked: ISO 31000:2018, 2nd edition, reviewed and confirmed 2023 (register EXT-020, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard, and **guidance rather than a certifiable requirements standard; nothing can be certified against it**. Applicability limitation: voluntary unless a law or contract imports it.

18. Jurisdictional caution. Permit and consent regimes, land tenure and expropriation rules, grid- or network-access rights, foreign-investment screening, and the enforceability of a grantor's covenant against a public body are all jurisdiction-specific, and several of them can change with a change of administration. A condition satisfied under one jurisdiction's regime says nothing about another's. Obtain local legal advice on each permit, each land right and the grantor's capacity to contract.

19. Related PCI Standards. PCI-FND-STD-05; PCI-FND-STD-11; PCI-PFL-STD-09.01; PCI-PFL-STD-11.01; PCI-PFL-STD-12.01; PCI-PFL-STD-13.03. **Increment over the foundational parent:** PCI-FND-STD-05 requires a conclusion to carry the material assumptions it depends on; this standard converts a single summary adjective into an evidenced conjunction with a named owner and a resolution path for each limb, and forbids the aggregation that hides a failing limb.

20. Related Body of Knowledge content. PFL-AI · Domain 5 — Project development and bankability · KA 5.3 The bankability test · and KA 5.4 Construction and operational readiness. Also Domain 1 KA 1.2 (the risk–return–bankability triangle) and Domain 12 KA 12.4 (risk allocation, claims and change).

21. Compliance test. A reviewer takes the output containing the bankability conclusion and the conditions schedule, and performs four steps. (a) Confirms every *bankability condition* in element 4 appears in the schedule with a status, an owner and a resolution path. (b) For each condition marked *satisfied*, locates the executed instrument, issued permit or equivalent record and confirms it is final rather than draft. (c) Confirms the conjunction statement appears on the same page as the conclusion and names each unresolved condition. (d) Confirms the schedule date is not earlier than the output date. Compliance is demonstrated when all four complete; a *satisfied* status supported by a draft, or a missing condition, is a breach.

22. Breach indicators. A bankability conclusion with no schedule; a status column of colours with no evidence column; a condition owned by "the project"; a schedule dated months before the memorandum that relies on it; an information memorandum describing an indicative term sheet as a commitment; a condition that disappeared between versions without a resolution record.

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Scenario judgement: a candidate is given a memorandum describing a project as bankable and a document set in which one permit is a draft, and must identify the defect and the compliant wording. Evidence selection: choosing which document proves a condition satisfied. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-05-01 *The Bankability Test* (v1.0). Amendment note: restructured onto the twenty-five-element form; *bankability condition* defined; the re-test and notification duty added as PR-04; threshold rewritten to state expressly that a conjunction admits no completeness percentage.

Domain 6 — Financial modelling

PCI standard

PCI-PFL-STD-06.01

Financial-Model Architecture

1. Normative requirement. A *financial model* used for a *decision-grade* output must separate inputs, calculations and outputs into distinct, identifiable regions, so that no cell serves two of those roles.

2. Purpose. A model in which an input sits inside a formula, or an output is typed over a calculation, cannot be reviewed, cannot be scenario-switched reliably and cannot be handed on. The architecture is what makes every other modelling standard in this domain testable.

3. Scope. Every *financial model* a credential holder builds, materially edits, reviews, relies upon or presents for a decision — screening, base case, bank case, financial-close, operating, budget, restructuring and refinancing models — on any platform, including spreadsheet, code and vendor-hosted forms. Applies to preparation, review, recommendation, approval and assurance.

4. Defined terms. *financial model*, *model owner*, *authoritative version*, *decision-grade*, *material*, *evidence*, *competent reviewer*, *verified*, *base case*. **Check block** — a named, visible region of the model that computes the model's own arithmetic invariants as differences that resolve to nil, each with a pass/fail state visible without navigation. **Invariant** — an identity that must hold in a correct model, such as balance-sheet balance, the equality of *sources and uses* totals, cash-flow articulation, and the closure of every debt and reserve schedule.

5. Required actions.

- **PCI-PFL-STD-06.01-PR-01 — Region separation.** The *model owner* must place every input in an input region, every calculation in a calculation region and every reported figure in an output region, and must not permit a cell to hold both a typed value and a formula.
- **PCI-PFL-STD-06.01-PR-02 — One timeline.** The model owner must build the model on one declared timeline with a single stated periodicity, date convention and first-period definition, and must drive every schedule from it.
- **PCI-PFL-STD-06.01-PR-03 — The check block.** The model owner must maintain a *check block* covering, as a minimum, balance-sheet balance, *sources and uses* equality, cash-flow articulation, the closure of each debt schedule and each *reserve account*, and the non-negativity of every account balance the *finance documents* require to be non-negative.
- **PCI-PFL-STD-06.01-PR-04 — Failing checks stop circulation.** No person may quote, circulate, submit or rely upon a model output while any check in the check block is failing; the model owner must record each failure, its cause and its resolution.
- **PCI-PFL-STD-06.01-PR-05 — Scenario switch integrity.** The model owner must implement every case as a switch over the input region alone, and must not implement a case by editing a calculation.

6. Prohibited actions. Placing a typed value inside a calculation region; running more than one timeline in one model without a declared reconciliation; circulating a model or a figure from it while a check is failing; deleting or suppressing a failing check rather than resolving it; implementing a scenario by editing formulas; presenting an output region figure that no calculation produces.

7. Required evidence. The model file identified by its *authoritative version* identifier; the visible check block with its state at the date of the output; the check-failure log with causes and resolutions; the timeline declaration; the case switch and its input mapping; the model owner's release record.

8. Responsible role. The *model owner*, named, for the architecture and the check block. The *decision owner* for the decision taken on the model's output.

9. Approval authority. The model owner approves a release of the model. Only the *decision owner*, in writing, may approve the use of an output produced while a check was failing, and only with the failing check, its cause and its effect stated on the face of the output — see element 12.

10. Independence requirement. Independence is not required to build the model. It is required for the review that supports financial close, a *distribution*, a covenant certificate or a lender submission, which is governed by `PCI-PFL-STD-13.01`.

11. Materiality or threshold. A check either resolves to nil or it does not; the *model owner* records a nil tolerance for each check in the model's own units, set to the rounding precision of the underlying quantity and no wider. **PCI sets no tolerance figure**, because the defensible tolerance is a function of the model's currency units and rounding, which differ between transactions. *Scale test:* on a small municipal project with one tranche and annual periods, the check block is a handful of rows; on a multi-billion cross-border financing with monthly periods, several currencies and a dozen tranches, the same invariants are checked per currency and per tranche, and the block carries a single roll-up state so a failure anywhere is visible without navigation.

12. Exception and waiver. No exception is permitted to PR-01, PR-02 or PR-03. PR-04 may be departed from only by written approval of the *decision owner*, for one named output, for a period not exceeding fourteen days, where the failing check is stated on the face of the output together with its cause and its effect on the figures quoted, and where a *competent reviewer* has confirmed that the failure does not affect the quantities relied upon. The approval is reported to the model owner and recorded in the check-failure log. An unrecorded departure is a breach.

13. Escalation trigger. A check that fails and cannot be resolved before the output is needed; a check that has been removed, disabled or hard-coded to pass; discovery of a typed value inside a calculation region in a released model; two live timelines in one model; an output figure with no calculation behind it.

14. AI application. AI may propose an architecture, generate the timeline and schedule skeletons, build and extend the check block, scan a model for typed values inside calculation regions and for inconsistent formulas across a row, and produce a structural map of a model it has been given.

15. AI prohibition. AI must not release a model, decide that a failing check may be ignored, set or widen a check tolerance, approve an architecture for use, or be recorded as the *model owner*.

16. AI verification. Independent recomputation by a named human of at least one figure from each of the model's principal schedules, from source lines; boundary testing of the check block by introducing a known error and confirming that the relevant check fails; and source tracing of the timeline declaration to the *finance documents* or the agreed term sheet. The boundary test is recorded with its date and its result.

17. External reference.

- **ICAEW *Financial Modelling Code*.** Issuing organisation: the Institute of Chartered Accountants in England and Wales. Subject: principles for building, documenting and controlling financial models. Checked: current, by name only, no clause or edition asserted (register EXT-125, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework. Applicability limitation: principles-based guidance published by a professional body; **not a compliance standard, not certifiable, and binding on no one unless a body, regulator or engagement adopts it.**
- **The FAST Standard.** Issuing organisation: the FAST Standard Organisation. Subject: a structural convention for spreadsheet financial models. Checked: current, by name only, no edition asserted (register EXT-126, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; **voluntary, adopted by choice, and imposing no obligation of its own**. Applicability limitation: this standard requires the separation of inputs, calculations and outputs; it does **not** require conformity with this or any other named modelling convention, and adopting one does not by itself satisfy this standard.

18. Jurisdictional caution. Where a model is a contractual deliverable, a condition of financing or a regulated submission, the governing law of the *finance documents* determines which version governs, what representations attach to it and what liability follows from an error. Model-liability positions differ by jurisdiction and by engagement. Obtain qualified legal advice on the contractual status of the model before releasing it outside the preparing organisation.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-07; PCI-PFL-STD-06.02; PCI-PFL-STD-06.03; PCI-PFL-STD-06.05; PCI-PFL-STD-13.01; PCI-PFL-STD-16.01. **Increment over the foundational parent:** PCI-FND-STD-07 requires data lineage; this standard adds the structural preconditions that make lineage checkable in a financing model — role separation per cell, one declared timeline, a visible check block of named invariants, and a circulation stop while any check fails.

20. Related Body of Knowledge content. PFL-AI · Domain 6 — Financial modelling · KA 6.1 Model architecture · topics: the inputs–calculations–outputs separation and the model timeline. Also KA 6.2 (construction and operating models; articulation) and KA 6.4 (checks, sensitivity, model audit and AI controls).

21. Compliance test. A reviewer opens the *authoritative version* and performs five steps. (a) Samples twenty cells from the calculation region on a stated basis and confirms that none holds a typed value. (b) Confirms one declared timeline drives every schedule, by changing the first-period date and observing that all schedules move together. (c) Confirms the check block covers each invariant listed in PR-03 and that every check reads nil. (d) Introduces a known error into one input, confirms the relevant check fails, and reverses the change. (e) Switches the case and confirms that no formula changed. Compliance is demonstrated when all five complete; a check that does not detect the seeded error is a failed check block and a breach.

22. Breach indicators. A model whose totals row is typed; a check block that is always green because its tolerance is wide; a scenario implemented by a second copy of the calculation sheet; two date columns with different conventions; an output figure that cannot be traced to any formula; a model circulated with a note that "the balance sheet is out by a small amount".

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: a candidate is given a model extract with a seeded architecture defect and must find it and state the compliant structure. Scenario judgement: a close deadline against a failing check, testing whether the candidate stops circulation or invokes the element 12 route correctly. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-06-01 *Model Integrity* (v1.0). Amendment note: restructured onto the twenty-five-element form; *check block* and *invariant* defined; scenario-switch integrity added as PR-05; the element

12 route for a failing check made explicit, bounded and reportable; boundary testing of the check block added to element 16.

PCI standard

PCI-PFL-STD-06.02

Formula Consistency

1. Normative requirement. A credential holder must not present as calculated any figure that was typed, pasted or overridden.

2. Purpose. A hard-coded constant inside a calculation is invisible to a reviewer, survives every scenario switch, and quietly makes the model answer a question nobody asked. Formula inconsistency across a row does the same thing intermittently, which is worse, because the model is right in the periods the reviewer samples.

3. Scope. Every calculation in a *financial model* used for a *decision-grade* output, and every figure quoted from such a model in a lender-facing, board-facing, grantor-facing or investor-facing document. Applies to preparation, review and approval.

4. Defined terms. *financial model*, *model owner*, *decision-grade*, *material*, *verified*, *source line*, *authoritative version*. **Override** — a typed value placed over a formula, whether permanently or for a case. **Row consistency** — the property that one formula, copied without variation, computes every period of a calculation row.

5. Required actions.

- **PCI-PFL-STD-06.02-PR-01 — Declared inputs only.** The *model owner* must express every calculation as a formula referencing a declared input or another calculation, and must not embed a numeric constant in a calculation other than a dimensionless mathematical constant.
- **PCI-PFL-STD-06.02-PR-02 — Row consistency.** The model owner must maintain *row consistency* across every calculation row, and where a period genuinely requires a different formula must place the difference in a declared switch or flag driven from the input region.
- **PCI-PFL-STD-06.02-PR-03 — Override register.** Where an *override* is unavoidable, the model owner must record it in an override register stating the cell, the value, the reason, the author, the date and the date by which it will be removed, and must make the override visible in the model.
- **PCI-PFL-STD-06.02-PR-04 — Override clearance before release.** The model owner must clear every override from the *authoritative version*

before release, or must report each remaining override on the face of every output produced from that version.

6. Prohibited actions. Embedding a constant, a rate, a factor, a date or an escalation inside a calculation; typing over a formula without registering the override; describing a typed figure as calculated, modelled or derived; varying a formula mid-row without a declared switch; hiding an override by formatting, by column width or by placing it off the visible sheet.

7. Required evidence. The model *authoritative version*; the override register with the six fields in PR-03; the row-consistency scan output for each calculation block, dated; the release record showing overrides cleared or reported; the outputs that carried an override disclosure.

8. Responsible role. The *model owner* for the model's formulas and its override register. The person who quotes a figure externally for the accuracy of that quotation.

9. Approval authority. The model owner approves an entry in the override register. The *decision owner* approves the release of a model that still carries an override, and only with the disclosure required by PR-04.

10. Independence requirement. Not required for compliance with this standard by the preparer, because the test is mechanical and repeatable. The row-consistency scan supporting a model audit conclusion must be performed or reperformed by a person *independent* of preparation, under `PCI-PFL-STD-13.01`.

11. Materiality or threshold. No materiality threshold applies to the existence of a hard-coded constant: any constant embedded in a calculation is a defect and is registered or removed. Materiality governs only *escalation*: the *decision owner* records, in the engagement's materiality statement, the movement in the transaction's own metric at which a discovered override becomes reportable beyond the model owner. **PCI sets no figure**, because the metric differs by transaction. *Scale test:* on a small municipal project the scan is run over a few hundred formula cells and takes minutes; on a multi-billion cross-border financing the scan is run per sheet and per tranche, and the register is maintained by workstream owner so that clearance before release is assignable.

12. Exception and waiver. No exception is permitted to element 1 or to PR-01. An override may persist to release only under PR-04, with disclosure on every output, approved by the *decision owner*, for a stated period not exceeding the next model release, and with a named person accountable for its removal. Reported to the *model owner* and recorded in the register.

13. Escalation trigger. Discovery of an unregistered override in a released model; an override whose removal date has passed; a formula that varies mid-row without a switch; a figure quoted externally that the model does not compute; an override that changes a *coverage ratio*, a debt quantum or a *distribution* result.

14. AI application. AI may scan a model for constants embedded in calculations, detect row-inconsistency, list overrides with their cell references, propose the declared-input replacement for a discovered constant, and draft override-register entries for confirmation.

15. AI prohibition. AI must not create an override, decide that an override is acceptable, clear an override from the register, approve a release, or be recorded as the author of an override.

16. AI verification. Independent recomputation of the affected calculation after each AI-proposed replacement, by a named human, against the source that determines the constant; and a sample of the AI scan re-run manually on a stated basis — no fewer than one calculation block per model sheet — to confirm the scan's coverage. A clean machine scan is not evidence of consistency until the sample confirms the scan looked where it claimed to.

17. External reference.

- **The FAST Standard.** Issuing organisation: the FAST Standard Organisation. Subject: structural and formula conventions for spreadsheet models, including consistency across a row. Checked: current, by name only (register `EXT-126`, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; **voluntary**. Applicability limitation: this standard requires *row consistency* and the absence of embedded constants; it does not require conformity with this convention, and conformity with it does not by itself satisfy this standard.
- **ICAEW *Financial Modelling Code.*** Issuing organisation: ICAEW. Subject: transparency and documentation of model calculations. Checked: current, by name only (register `EXT-125`, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework. Applicability limitation: guidance published by a professional body; not certifiable; binding only where adopted.

18. Jurisdictional caution. Where a model or a figure derived from it is included in an offering document, a listing particular, a regulated disclosure or a submission to a public authority, the liability regime for a misstatement is jurisdiction-specific and can extend personally to the person who prepared or signed it. Obtain qualified legal advice before a model figure is quoted in any such document.

19. Related PCI Standards. `PCI-FND-STD-07`; `PCI-FND-STD-05`; `PCI-PFL-STD-06.01`; `PCI-PFL-STD-06.03`; `PCI-PFL-STD-06.04`; `PCI-PFL-`

STD-16.01. **Increment over the foundational parent:** PCI-FND-STD-07 requires that data can be traced to its origin; this standard adds the calculation-level discipline that makes tracing possible at all — no constant inside a formula, one formula per row, and every unavoidable override registered, visible, dated and owned.

20. Related Body of Knowledge content. PFL-AI · Domain 6 — Financial modelling · KA 6.1 Model architecture and KA 6.4 Checks, sensitivity, model audit and AI controls. Also Domain 13 KA 13.2 (model audit).

21. Compliance test. A reviewer takes the *authoritative version* and performs four steps. (a) Runs a formula-consistency scan across every calculation row and confirms that each row is computed by one formula, or that each break is explained by a declared switch. (b) Extracts every numeric constant appearing inside a calculation and confirms the list is empty but for dimensionless mathematical constants. (c) Reconciles the override register to the model, confirming that every registered override is present and every present override is registered. (d) Confirms that each override in a released version appears on the face of the outputs produced from it. Compliance is demonstrated when all four complete; one unregistered override is a breach.

22. Breach indicators. A growth rate typed inside a revenue formula; a row whose final period differs from every other; a "plug" cell; a figure in a credit paper that the model does not produce; an override register with entries but no removal dates; a model that reconciles only after a manual adjustment nobody can locate.

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: a candidate is given a model row with a seeded constant and must locate it and state its effect across the case set. Evidence selection: choosing which record proves an override was authorised. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-06-02 *Formula Transparency* (v1.0). Amendment note: restructured onto the twenty-five-element form; *override* and *row consistency* defined; the override register given six mandatory fields and a removal date; the compliance test converted into a repeatable scan-and-reconcile procedure.

PCI STANDARD

PCI-PFL-STD-06.03

Input and Assumption Traceability

1. Normative requirement. Every assumption used in a *decision-grade* model must be entered once, in the input region, and recorded in an assumption register that travels with the model.

2. Purpose. Assumptions are where a model's judgement lives. An assumption entered twice diverges; an assumption with no recorded owner cannot be challenged, refreshed or defended; and a model whose register does not travel with it becomes unreadable the moment its author leaves the transaction.

3. Scope. Every assumption in a *financial model* used for a *decision-grade* output — macro, price, volume, cost, capital-expenditure phasing, operating cost, tax, financing, escalation, currency, availability and terminal-value assumptions alike — at every stage from screening to restructuring.

4. Defined terms. *financial model*, *model owner*, *decision-grade*, *evidence*, *material*, *source line*, *authoritative version*, *verified*. **Assumption register** — a record travelling with the model that states, for each assumption, its value, its unit, its basis, its *source line*, its date and its named owner. **Basis** — the reasoning or derivation by which the value was arrived at, stated in enough detail that a *competent reviewer* could reach the same value from the same source.

5. Required actions.

- **PCI-PFL-STD-06.03-PR-01 — Single entry.** The *model owner* must ensure each assumption is entered once and referenced everywhere else, and must not permit the same quantity to be typed in two places.
- **PCI-PFL-STD-06.03-PR-02 — Register completeness.** The model owner must record every assumption in the *assumption register* with all six fields — value, unit, *basis*, *source line*, date, named owner — and must not use in a decision-grade case any assumption whose owner or basis is absent.
- **PCI-PFL-STD-06.03-PR-03 — Register travels with the model.** The model owner must release the register with every release of the model, bearing the same *authoritative version* identifier.
- **PCI-PFL-STD-06.03-PR-04 — Currency of assumptions.** The model owner must record a review date for each assumption and must re-confirm or replace any assumption whose review date has passed before the model is used for a further decision.
- **PCI-PFL-STD-06.03-PR-05 — Revenue characterised by its actual basis.** The model owner must record, for every revenue assumption, whether the amount is contracted, regulated, availability-based or forecast, whether it is indexed or fixed, and the credit standing of the

party that pays — and must not present a forecast or merchant revenue as though it were contracted.

6. Prohibited actions. Entering the same assumption in two places; using an assumption with no named owner in a decision-grade case; recording "management estimate" or "market practice" as a *basis* without stating the derivation; releasing a model without its register; carrying an expired assumption into a new decision without re-confirmation; changing an assumption value without changing its date.

7. Required evidence. The assumption register with all six fields per assumption; the release record pairing register and model version; the re-confirmation record for each assumption past its review date; the *source line* evidence behind each externally sourced assumption.

8. Responsible role. The *model owner* for the register's existence, completeness and release. The named assumption owner, individually, for the value and *basis* of their own assumptions.

9. Approval authority. The named assumption owner approves a change to their assumption's value or basis. The *decision owner* approves the assumption set as a whole for a decision-grade case.

10. Independence requirement. Not required for entry or maintenance. Independent challenge of the assumption set is required where the model supports financial close, a lender submission, a *distribution* or a restructuring proposal, and is discharged under `PCI-PFL-STD-13.01`.

11. Materiality or threshold. Every assumption is registered regardless of size; materiality governs the *depth of basis* required and the review interval, both set by the *decision owner* in the engagement's materiality statement, in the transaction's own metric — for example the movement in the minimum *coverage ratio* produced by a stated proportional change in the assumption. **PCI sets no figure.** *Scale test:* on a small municipal project a register of thirty to sixty assumptions is a single table maintained by one person; on a multi-billion cross-border financing the register runs to several hundred entries, is partitioned by workstream with an owner per partition, and the review-date discipline is what keeps a two-year development from carrying a stale price curve into close.

12. Exception and waiver. No exception is permitted to PR-02 for a decision-grade case. For a clearly labelled indicative or screening case, the *model owner* may approve in writing the use of an assumption whose *basis* is recorded as *placeholder*, provided the placeholder is visible in the register and on the output, and provided the case is not used for a decision. Duration: until the case is next reissued. Compensating control: a standing list of placeholders reviewed at each release.

13. Escalation trigger. A decision-grade case containing an assumption with no owner or no basis; an assumption whose value changed without an owner's approval; two entries of the same quantity with different values; an assumption past its review date being used for a new decision; a *material* assumption whose only basis is another model.

14. AI application. AI may extract candidate assumptions and their sources from documents into a draft register, detect duplicate entry of the same quantity, flag assumptions past their review date, compare an assumption set against a previous version, and draft basis statements for confirmation.

15. AI prohibition. AI must not be the recorded owner of an assumption, set or approve an assumption value, decide that a recorded *basis* meets PR-02, or re-confirm an expired assumption.

16. AI verification. Source tracing of every AI-extracted assumption to the document, version and issuing party stated in its *source line*, by a named human; clause-to-output comparison where the assumption derives from a contractual term; and independent recomputation of any assumption the AI derived by calculation. Verification is recorded per assumption, not per register.

17. External reference.

- **ICAEW *Financial Modelling Code*.** Issuing organisation: ICAEW. Subject: documentation of model inputs and assumptions. Checked: current, by name only (register `EXT-125`, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework. Applicability limitation: guidance; not certifiable; binding only where adopted.
- **ISO 8000 (data-quality series).** Issuing organisation: ISO. Subject: data quality, including the provenance and completeness of data used in decisions. Checked: a **multi-part series** — Part 1 (Overview) is ISO 8000-1:2022, with further parts issued separately; cited generically, no part relied upon (register `EXT-026`, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless a law or contract imports it; the series addresses data quality generally and imposes nothing on a project financing of its own force.

18. Jurisdictional caution. Assumptions on tax rates, allowances, depreciation, withholding, indexation, tariff regulation and permitted return are jurisdiction-specific and change with legislation and with regulatory determinations. An assumption *basis* that cites another jurisdiction's regime, or an out-of-date determination, is a defect that a reviewer cannot detect from the model alone. Obtain qualified local tax and regulatory advice on each such assumption — see PCI-PFL-STD-12.02.

19. Related PCI Standards. PCI-FND-STD-07; PCI-FND-STD-02; PCI-PFL-STD-06.01; PCI-PFL-STD-06.02; PCI-PFL-STD-06.04; PCI-PFL-STD-16.01. **Increment over the foundational parent:** PCI-FND-STD-07 requires lineage from a figure to its origin; this standard adds the register that makes lineage survive a change of personnel — six mandatory fields, a named human owner per assumption, single entry, and a review date that expires the assumption rather than letting it drift.

20. Related Body of Knowledge content. PFL-AI · Domain 6 — Financial modelling · KA 6.1 Model architecture and KA 6.2 Construction-period and operating models. Also Domain 8 KA 8.1 (cost estimate classes) and Domain 7 KA 7.3 (price escalation and volume risk).

21. Compliance test. A reviewer takes the released model and its register and performs four steps. (a) Selects every assumption whose proportional change of a stated size moves the minimum *coverage ratio* by more than the recorded materiality figure, and confirms each has all six register fields populated. (b) Traces each of those *source lines* to the document named, at the version named, issued by the party named. (c) Searches the input region for duplicate entry of any registered quantity and finds none. (d) Confirms every assumption's review date is later than the output date, or that a re-confirmation record exists. (e) For each revenue assumption, confirms the register records its actual basis — contracted, regulated, availability-based or forecast — and that any amount shown as contracted is traced to an executed agreement under PCI-PFL-STD-12.01. Compliance is demonstrated when all five complete; an unowned or unsourced *material* assumption is a breach, and so is a forecast revenue presented as contracted.

22. Breach indicators. A merchant price curve shown in the same column as a contracted tariff; a register with a "source" column reading "internal"; the same escalation rate typed on three sheets; a model released without its register; an assumption dated two years before the close it supports; a basis that cites the previous transaction; an owner column populated with a team name.

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Evidence selection: from a register extract, the candidate identifies which assumptions must not be used in a decision-grade case and why. Scenario judgement: a stale price assumption is carried into a close, and the candidate must state the required action. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-06-03 *Assumption Traceability* (v1.0). Amendment note: restructured onto the twenty-five-element form; *assumption register* and *basis* defined; the review-date and re-confirmation duty added as PR-04; the compliance test made performable by tying the sample to a recorded materiality figure rather than to reviewer taste.

PCI standard

PCI-PFL-STD-06.04

The Source Line

1. Normative requirement. A credential holder must withdraw from a *decision-grade* document any figure whose *source line* cannot be produced on request.

2. Purpose. A figure without a traceable origin cannot be checked, cannot be refreshed and cannot be defended when it is challenged — and in a financing it is challenged, under time pressure, by someone entitled to an answer. The source line is what converts a number into a statement someone made.

3. Scope. Every input to a *decision-grade* model and every figure quoted from one in a lender-facing, board-facing, grantor-facing, investor-facing, rating-agency-facing or public document, including figures in presentations, term sheets, information memoranda, credit papers, compliance certificates and disclosure documents.

4. Defined terms. *source line*, *decision-grade*, *evidence*, *material*, *authoritative version*, *verified*, *model owner*. **Producible on request** — retrievable and deliverable, in the form recorded, within the response time the engaging organisation's governance states, by a person other than the figure's author.

5. Required actions.

- **PCI-PFL-STD-06.04-PR-01 — Source line on every input.** The preparer must attach to every model input a *source line* naming the document, its version or date and the issuing party.
- **PCI-PFL-STD-06.04-PR-02 — Source line on every quoted figure.** The preparer must be able to produce, for every figure quoted in a decision-grade document, the source line and the underlying record.
- **PCI-PFL-STD-06.04-PR-03 — Retention with the output.** The preparer must retain the underlying record with the output for the retention period the engaging organisation's governance states, and not merely a reference to a location that may change.

- **PCI-PFL-STD-06.04-PR-04 — Withdrawal on failure.** Where a source line cannot be produced, the preparer must withdraw the figure from the document, notify every recipient of the document, and record the withdrawal.

6. Prohibited actions. Citing another model, a file path, a mailbox, a person's recollection or "as previously advised" as a source line; quoting a figure whose origin is unknown; re-using a figure from a superseded document without re-sourcing it; describing an estimate as sourced; leaving a withdrawn figure in circulation.

7. Required evidence. The source line attached to each input and quoted figure; the retained underlying records; the retention record; the withdrawal notices issued under PR-04 with their distribution lists.

8. Responsible role. The preparer of the document for the figures it contains. The *model owner* for the source lines on model inputs.

9. Approval authority. The *decision owner* approves the issue of a decision-grade document. No one may approve the quotation of a figure whose source line does not exist.

10. Independence requirement. Not required for attachment. A sample of source lines must be re-traced by a person *independent* of preparation as part of any model audit or diligence review under `PCI-PFL-STD-13.01`.

11. Materiality or threshold. Every input carries a source line regardless of size. Materiality governs the *sampling density* of the independent re-trace and the *urgency* of a withdrawal: the *decision owner* records both in the engagement's materiality statement, in the transaction's own metric. **PCI sets no sampling percentage**, because defensible density depends on population size and homogeneity, which differ by transaction. *Scale test:* on a small municipal project the underlying records are few enough to retain in full alongside the model; on a multi-billion cross-border financing with a virtual data room of tens of thousands of documents, PR-03 is satisfied by retaining the specific record with an immutable identifier rather than a data-room link that expires at close.

12. Exception and waiver. No exception is permitted to element 1. Where a source is confidential and cannot be delivered to a particular recipient, the figure may still be quoted if the source line is recorded in full internally and the recipient is told that the source exists and is withheld, and only with the written approval of the *decision owner* — the figure is never presented as unsourced. Any confidentiality restriction is applied under `PCI-FND-STD-09`.

13. Escalation trigger. A challenged figure whose source cannot be produced within the stated response time; a source line pointing to a document that does not exist at the version stated; a figure appearing in an external document that is absent from the model; discovery that a quoted figure came from a superseded draft.

14. AI application. AI may attach and format source lines from a document set, detect figures in a document that no source line covers, compare a quoted figure to the *authoritative version* of the model, and check that each cited document exists at the version cited.

15. AI prohibition. AI must not create, infer or reconstruct a source line for a figure whose origin it has not read; must not approve the issue of a document; and must not decide that a missing source is immaterial. **An AI-generated citation that has not been traced to the document by a human is not a source line.**

16. AI verification. Source tracing by a named human of every AI-attached source line for a *material* figure, opening the cited document at the cited version and confirming the figure and the issuing party; plus a sample of non-material source lines on the stated basis. Recorded per figure with the date and the tracer's name.

17. External reference.

- **ISO 8000 (data-quality series).** Issuing organisation: ISO. Subject: data provenance and quality. Checked: multi-part series, Part 1 is ISO 8000-1:2022; cited generically (register EXT-026, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract.
- **ISO 15489-1 *Information and documentation — Records management — Part 1: Concepts and principles.*** Issuing organisation: ISO. Subject: the characteristics that make a record reliable and retrievable. Checked: ISO 15489-1:2016 (register EXT-025, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract; it sets no retention period for a project financing, which is a matter for the *finance documents*, local law and the engaging organisation's governance.

18. Jurisdictional caution. Retention periods, the admissibility and evidential weight of an electronic record, data-localisation requirements and rules on retaining personal data are jurisdiction-specific and can conflict with one another in a cross-border financing. A retention policy lawful in one jurisdiction can breach another's. Obtain local legal advice on retention and on cross-border transfer before designing the retention arrangement.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-06; PCI-FND-STD-12; PCI-PFL-STD-06.03; PCI-PFL-STD-13.04; PCI-PFL-STD-16.02. **Increment over the foundational parent:** PCI-FND-STD-02 requires the evidence behind a claim to be identified in the working record and retrievable; this standard states what the trail must contain for a financing figure — document, version, issuing party — makes production on request the test, retains the record rather than a link, and imposes a positive duty to withdraw and notify when production fails.

20. Related Body of Knowledge content. PFL-AI · Domain 6 — Financial modelling · KA 6.1 Model architecture. Also Domain 13 KA 13.1 (the diligence streams) and KA 13.3 (conditions precedent and documentation).

21. Compliance test. A reviewer selects, from a decision-grade document, every figure that is *material* on the recorded test plus a sample of the remainder on the stated basis, and for each: asks the preparer to produce the source line and the underlying record within the stated response time; opens the record; and confirms that it is the document, at the version, from the party named, and that it contains the figure. Compliance is demonstrated when every selected figure is produced and matches. A figure that cannot be produced within the stated time, or that does not match its record, is a breach and must be withdrawn under PR-04.

22. Breach indicators. A source column reading "model"; a data-room hyperlink that no longer resolves; a figure in a board pack that the model does not contain; a term sheet quoting a counterparty's own earlier estimate as a fact; a document reissued with figures unchanged after the underlying report was superseded.

23. Consequence within PCI authority. Correction required and the affected figure or output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Evidence selection: given a figure and four candidate records, the candidate selects the one that constitutes a source line. Scenario judgement: a lender challenges a figure at close and the source cannot be produced — the candidate must state the required action and its sequence. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-06-04 *The Source Line* (v1.0). Amendment note: restructured onto the twenty-five-element form; *producible on request* defined with a response time; retention of the record rather than a link added as PR-03; withdrawal and notification made an identified process requirement; the AI-citation prohibition made explicit.

PCI STANDARD

PCI-PFL-STD-06.05

Model Version Control

1. Normative requirement. A *financial model* that has been used for a decision must not be changed except under version control, so that exactly one *authoritative version* exists at any time and every change to it is recorded before it is relied upon.

2. Purpose. A transaction model is edited continuously, by several hands, under time pressure. Without version control the parties stop looking at the same project, and nobody can say when a number changed, why, or on whose authority. This is also the standard that v1.0 got wrong: its obligations were carried on the ISO requirement auxiliary rather than on **must**, and they are restated here in PCI's own drafting form without any change of substance.

3. Scope. Every model used for a decision, a report or a certification — screening, base case, bank case, financial-close, operating, budget, restructuring and refinancing models — and every edit to them, whether made by a human or by an AI system.

4. Defined terms. *financial model*, *model owner*, *authoritative version*, *base case*, *decision-grade*, *evidence*, *material*, *verified*, *competent reviewer*. **Change log** — a record in which each change to a model is entered with its author, date, reason and effect, before the changed version is relied upon. **Regression suite** — a stated set of independently *verified* figures recomputed after every edit, whose movements must each be explained before the version is accepted.

5. Required actions.

- **PCI-PFL-STD-06.05-PR-01 — One authoritative version.** The *model owner* must identify one *authoritative version* at any time, must give it a version identifier, and must distribute controlled copies rather than permitting uncontrolled local copies to circulate.
- **PCI-PFL-STD-06.05-PR-02 — Every change logged under a named human author.** The model owner must record every change in the *change log* with author, date, reason and effect, and must not permit any change to reach the authoritative version without a change-log entry naming a human author.
- **PCI-PFL-STD-06.05-PR-03 — Check block and regression re-run.** The model owner must re-run the *check block* required by PCI-PFL-STD-06.01-PR-03 and the *regression suite* after every edit, whether made by a human or by an AI system.
- **PCI-PFL-STD-06.05-PR-04 — Every movement explained before acceptance.** The model owner must explain every movement in the

regression suite, in writing, before accepting the version, and must not accept a version carrying an unexplained movement.

- **PCI-PFL-STD-06.05-PR-05 — Locking the agreed case.** The model owner must lock the agreed *base case* at financial close with an integrity control, and must treat every later change as a new version rather than as an edit to the locked case.

6. Prohibited actions. Editing an agreed or locked model without logging the change; distributing an unlabelled copy; accepting an unexplained regression movement; recording a tool, a script or an AI system as the author of a change; representing an updated model as the version agreed at close; allowing two files bearing the same version identifier to differ in content.

7. Required evidence. The version register; change-log entries with author, date, reason and effect; regression results per version with the written explanation of each movement; the locked close model with its version identifier and integrity control; the controlled-distribution record.

8. Responsible role. The *model owner* for the model and its version control. The lender's or sponsor's named approver for any change to an agreed or locked *base case*.

9. Approval authority. The model owner approves a release. A change to a locked base case, or to a definition on which debt sizing, a *coverage ratio* or the waterfall depends, requires the written approval of the party entitled to it under the *finance documents* — commonly the agent or the lenders' technical or model adviser.

10. Independence requirement. A *competent reviewer* independent of the model's development must review any change to a locked *base case*, any change affecting a covenant definition, debt sizing or the waterfall, and each revalidation of a high-consequence model at the interval its model-inventory entry states.

11. Materiality or threshold. All changes are logged regardless of size; materiality governs whether a change requires *independent review* and *external approval*, and the threshold is the one the *finance documents* state for a change to the agreed case — for example a stated movement in the minimum *coverage ratio*, in the debt quantum or in a defined term. **PCI sets none of those figures: they are creatures of the finance documents**, and where the documents are silent the *decision owner* records the figure in the engagement's materiality statement. *Scale test:* on a small municipal project the version register is a table in the model and the regression suite a dozen figures; on a multi-billion cross-border financing the register is a controlled system of record, the regression suite covers each tranche, currency and *reserve account*, and the locked close model is held with a cryptographic integrity control so any later difference is detectable.

12. Exception and waiver. No exception is permitted to PR-01, PR-02 or PR-05. A departure from the *timing* of PR-03 and PR-04 — running the regression suite immediately after acceptance rather than before, during a live closing — may be approved in writing by the *decision owner*, once, for a period not exceeding forty-eight hours, on condition that the version is not distributed outside the closing team, that a *competent reviewer* is named to complete the run, and that the departure is reported to the lenders' adviser and recorded in the change log.

13. Escalation trigger. A change to a locked model without the approval element 9 requires; an unexplained movement in a regression figure; two versions in circulation bearing the same identifier; an AI-made edit discovered in the authoritative version with no change-log entry; a difference between the model at close and the model in the closing bible.

14. AI application. AI may produce version diffs as human-readable change lists, run the regression suite, draft change-log entries for confirmation, identify every cell that moved between versions, and detect that two circulating files bearing one identifier differ.

15. AI prohibition. AI must not approve a change, be recorded as a change's author, decide that a regression difference is acceptable, release a version, or lift a lock on a *base case*.

16. AI verification. A named human must confirm, item by item, that every entry in the AI-produced diff corresponds to an intended change; must write the explanation for every regression movement rather than accept a machine-generated one; and must sign the version as released before it is used or distributed. Method: clause-to-output comparison of the diff against the change log, plus independent recomputation of any regression figure whose movement is *material*.

17. External reference.

- **ICAEW *Financial Modelling Code.*** Issuing organisation: ICAEW. Subject: version control and documentation of financial models. Checked: current, by name only (register EXT-125, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework. Applicability limitation: guidance; not certifiable; binding only where adopted.
- **ISO/IEC 42001 *Information technology — Artificial intelligence — Management system.*** Issuing organisation: ISO/IEC. Subject: organisational management of AI systems, including lifecycle and change controls. Checked: ISO/IEC 42001:2023, 1st edition (register EXT-021, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract; it addresses an organisation's AI

management system, not a project's model, and imposes nothing on a financing of its own force.

- ***Supervisory Guidance on Model Risk Management* (SR 11-7 / OCC 2011-12).** Issuing organisation: United States banking supervisors. Subject: expectations for model development, implementation, use, validation and governance in supervised institutions. Checked: **not independently verified — verify current requirements** (register EXT-102). Nature: Manual §6 category 10 — illustrative practice; specifically **supervisory guidance, jurisdiction-specific, addressed to supervised institutions and not to project sponsors or advisers**. Applicability limitation: named for context only; **no requirement in this standard is sourced to it**, and it is not law anywhere outside the supervisory relationship it governs.

18. Jurisdictional caution. Where the model is a contractual deliverable or a condition of financing, the governing law of the *finance documents* determines which version governs, which changes require consent, and what representation attaches to the locked case. Whether a cryptographic integrity control constitutes evidence of a document's state, and whether an electronic signature on a release is effective, are also jurisdiction-specific. Obtain qualified legal advice on the contractual status of the model before amending an agreed version.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-12; PCI-FND-STD-14; PCI-PFL-STD-06.01; PCI-PFL-STD-13.04; PCI-PFL-STD-16.01. **Increment over the foundational parent:** PCI-FND-STD-02 requires the evidence behind a figure to be identified and retrievable and PCI-FND-STD-12 requires every record to be attributable, time-fixed and any later alteration detectable; this standard adds what a *transaction* model needs on top — a single authoritative version among many circulating copies, a regression suite whose every movement is explained *before* acceptance, a human author on every change including AI-made ones, and a locked close case that later work cannot silently overwrite.

20. Related Body of Knowledge content. PFL-AI · Domain 6 — Financial modelling · KA 6.4 Checks, sensitivity, model audit and AI controls · topics: model audit and governance; AI-assisted modelling controls. Also Domain 16 KA 16.3 (inventory, tiering and revalidation) and Domain 13 KA 13.4 (financial close).

21. Compliance test. A reviewer takes the version register, the change log, the regression results and two consecutive released versions, and performs five steps. (a) Confirms exactly one version is identified as authoritative at the output date. (b) Produces a diff between the two versions and confirms every difference has a change-log entry with a named human author, a date, a reason and an effect. (c) Confirms the change log contains no entry naming a tool or an AI system as author. (d) Confirms a regression result exists for the later version and that every movement carries a written explanation. (e) For a closed transaction, recomputes the integrity control on the locked *base case* and confirms it matches the value recorded at close. Compliance is demonstrated when all five complete; one undiffed change, or one unexplained movement, is a breach.

22. Breach indicators. Two files named "final"; a change log whose author column reads "system" or "model update"; a regression movement annotated "rounding" with no figure; a locked close model whose file date is later than close; a version identifier that repeats; an AI-generated rebuild of a sheet with no log entry.

23. Consequence within PCI authority. Correction required and the affected version withdrawn from use; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Scenario judgement: a locked close model has moved and the candidate must state what may still be quoted, to whom, and what must be escalated. AI-verification case: an AI system has rebuilt a schedule overnight and the candidate must state the log, regression and approval steps required before the version is used. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes `PFL-LAW-06-05` *Model Change Governance* (v1.0). Amendment note: **the v1.0 red-team revision expressed four of this standard's five sub-obligations on the ISO requirement auxiliary; all four are restated here on `must`, with no change of substance**, and each now has its own process requirement identifier. *Change log* and *regression suite* defined; the locked-case rule separated as PR-05; a bounded, reported element 12 route added for the live-closing timing case, which v1.0 left unaddressed and which practitioners resolved by ignoring the rule.

Domain 9 — Funding structure and sources of capital

PCI standard

PCI-PFL-STD-09.01

The Capital-Structure Decision Basis

1. Normative requirement. A credential holder must not propose, recommend or accept a capital structure whose feasibility depends on a future refinancing, a further contribution or a market condition that has not been stated as an assumption with its owner and its consequence if it does not occur.

2. Purpose. Gearing, tranching, tenor, amortisation profile and hedging are chosen together, and the choice is usually defended on a return figure. A structure that only works if something else happens later transfers a risk to whoever is holding it when the assumption fails, and the transfer is invisible unless the assumption is written down.

3. Scope. Every credential holder who proposes, structures, models, reviews, recommends, approves or provides assurance on a funding plan or capital structure — including gearing, tranche composition, seniority, tenor, amortisation and sculpting profile, hedging strategy, and the cost of each instrument — at screening, at sanction, at close, and on any restructuring or refinancing.

4. Defined terms. *CFADS*, *debt service*, *coverage ratio*, *finance documents*, *base case*, *material*, *decision owner*, *evidence*, *decision-grade*, *competent reviewer*. **Structural dependency** — an event outside the transaction's committed documents on which the structure's feasibility relies: a refinancing at or before a stated date, a further equity or sponsor contribution not yet committed, a rate or price level not hedged or contracted, or an approval not yet obtained.

5. Required actions.

- **PCI-PFL-STD-09.01-PR-01 — Dependency schedule.** The preparer must schedule every *structural dependency*, stating the event, the date by which it must occur, the party who owns it, and the consequence for the structure if it does not occur.
- **PCI-PFL-STD-09.01-PR-02 — Structure tested against cash, risk and coverage.** The preparer must demonstrate that the proposed structure is supported by the project's *CFADS* profile, by the risk allocation recorded under `PCI-PFL-STD-11.01`, and by the *coverage ratios* the *finance documents* require, each shown separately.
- **PCI-PFL-STD-09.01-PR-03 — Instrument-by-instrument cost on a comparable basis.** The preparer must state the all-in effective cost of each instrument, solved from that instrument's own cash-flow stream against its net proceeds, and must not compare instruments by headline rate or by adding fees to a rate.

- **PCI-PFL-STD-09.01-PR-04 — Failure case.** The preparer must model and present the case in which each *material* structural dependency does not occur, and must state who bears the consequence.

6. Prohibited actions. Presenting a structure as feasible while a dependency is unstated; comparing tranches on headline rates or on rate-plus-fees; treating an uncommitted sponsor contribution as committed funding; presenting a capitalised premium or fee as free because no cash moves at the time; sizing to a *coverage ratio* the finance documents do not use; describing a refinancing as an expectation rather than as a dependency.

7. Required evidence. The dependency schedule; the *CFADS*, risk-allocation and coverage tests as presented; the all-in effective cost calculation per instrument with its cash-flow stream; the failure cases with their consequence statements; the *decision owner's* recorded approval of the structure.

8. Responsible role. The project finance leader accountable for the funding plan. The *decision owner* for the sanction, mandate or credit decision that adopts the structure.

9. Approval authority. The decision owner approves the structure. Where the structure depends on a party's future act, only that party can commit it, and no PCI standard makes an expectation into a commitment.

10. Independence requirement. A *competent reviewer* independent of the arranging, advisory or sponsor benefit must review the dependency schedule and the failure cases before the structure is used to support a sanction or a credit decision, because the arranging benefit runs to the transaction proceeding.

11. Materiality or threshold. A dependency is *material* where its non-occurrence would breach a *coverage ratio* the finance documents test, would leave a funding requirement unmet, or would require a further contribution. The **coverage levels used are those the finance documents or the credit approval state, never a figure invented by PCI or borrowed from another transaction**; where no documents yet exist, the target used is the credit approver's stated target and it is labelled as such. *Scale test:* on a small municipal project the structure may be one senior tranche and a grant, and the schedule fits on one page; on a multi-billion cross-border financing with export credit, development finance, bond and bank tranches across currencies, the schedule is maintained per tranche and the failure case is run per dependency, because the tranches fail at different points.

12. Exception and waiver. No exception is permitted to element 1. A *decision owner* may approve in writing the presentation of a structure carrying an unresolved dependency **provided the dependency is on the face of the output with its owner, its date and its consequence** — which is compliance, not exception. Where a failure case cannot be modelled because the consequence is not quantifiable, the preparer must state that in words and the decision owner must record acceptance of an unquantified exposure.

13. Escalation trigger. A structure whose feasibility rests on a refinancing within the tenor; a dependency whose date passes unresolved; a sponsor contribution assumed but not documented; a hedging assumption that the market no longer supports; a credit approval conditioned on a coverage level the *base case* does not meet.

14. AI application. AI may generate structuring alternatives, solve all-in effective costs across instruments, run gearing and tenor sensitivities, compute the coverage effect of each tranche mix, and draft the dependency schedule for confirmation.

15. AI prohibition. AI must not select the capital structure, decide that a dependency is acceptable, conclude that a refinancing is available, or approve a funding plan.

16. AI verification. Independent recomputation by a named human of the all-in effective cost of each *material* tranche from its own cash-flow stream; sensitivity analysis over each dependency to confirm the failure case the AI produced; and source tracing of every committed amount to the executed or agreed-final-form document that commits it. An uncommitted amount traced only to a term sheet is recorded as uncommitted.

> **17. External reference.**
>
> - **The Basel Framework.** Issuing organisation: the Basel Committee on Banking Supervision. Subject: the supervisory context in which lenders assess and hold project exposures. Checked: the consolidated framework as maintained by the BCBS; no standard, paragraph or date asserted (register EXT-110, verified 2026-08-03). Nature: Manual §6 category 10 — illustrative practice; specifically **internationally agreed supervisory standards with no legal force of their own**. Applicability limitation: the Committee has no supranational authority; its standards reach a bank only as a national authority transposes them, and they **never apply directly to a project, a sponsor or an adviser**. Named for context; **no requirement in this standard is sourced to it**.
> - **OECD *Arrangement on Officially Supported Export Credits*.** Issuing organisation: OECD. Subject: constraints participating agencies apply to officially supported export credits, including minimum premium rates, maximum repayment terms and starting points. Checked: **not independently verified — verify current requirements** (register EXT-085). Nature: Manual §6 category 10 — illustrative practice; specifically an **inter-governmental understanding, not a treaty and not legislation**. Applicability limitation: its terms are

revised periodically and vary by sector, so they must be checked as at the transaction date rather than assumed; it binds participating agencies through their own practice, not the project.

18. Jurisdictional caution. Thin-capitalisation and interest-limitation rules, withholding tax on interest and on profit distributions, stamp and registration duties on security, exchange controls, the enforceability of subordination and intercreditor arrangements, and the insolvency treatment of each instrument are all jurisdiction-specific and can determine which structure is available at all. Sanctions and financial-crime obligations may also restrict which capital providers may participate. Obtain qualified local tax and legal advice on each instrument and each jurisdiction in the structure before the structure is recommended — see `PCI-PFL-STD-12.02`.

19. Related PCI Standards. `PCI-FND-STD-05`; `PCI-FND-STD-10`; `PCI-PFL-STD-05.01`; `PCI-PFL-STD-10.02`; `PCI-PFL-STD-11.01`; `PCI-PFL-STD-15.02`. **Increment over the foundational parent:** `PCI-FND-STD-05` forbids issuing a forecast or recommendation without the material assumptions it rests on; this standard addresses the specific way a funding plan misleads — by resting on an event nobody has committed to — and requires the dependency to be scheduled, owned, dated, and modelled in failure.

20. Related Body of Knowledge content. PFL-AI · Domain 9 — Funding structure and sources of capital · KA 9.1 Equity and shareholder instruments, KA 9.2 Senior, subordinated and mezzanine debt and bonds, KA 9.3 Islamic finance concepts, export credit and development finance, KA 9.4 Government support, grants, sustainable finance and refinancing. Also Domain 10 KA 10.1 (debt capacity and sizing).

21. Compliance test. A reviewer takes the funding plan, the model and the committed-document set, and performs four steps. (a) Lists every funding source in the plan and confirms each is traced to a committed document, or appears on the dependency schedule. (b) Confirms each *material* dependency on the schedule has an event, a date, a named owner and a consequence. (c) Recomputes the all-in effective cost of two tranches from their own streams and obtains the figures stated, without unexplained difference. (d) Runs each material dependency's failure case and confirms the consequence stated in the plan. Compliance is demonstrated when all four complete; a funding source that is neither committed nor scheduled as a dependency is a breach.

22. Breach indicators. A plan whose final tranche is labelled "refinancing"; a comparison table of headline rates; a sponsor contribution shown as a source with no commitment letter; a capitalised premium omitted from the cost comparison; a structure sized to a coverage target that appears in no document; a failure case absent from the pack because "it does not arise".

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: two tranches with different fee structures, where the candidate must compare on all-in effective cost and explain why the headline comparison reverses. Scenario judgement: a structure that only closes if a refinancing occurs in year seven — the candidate must identify the dependency and state the required disclosure. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-09-01 *Capital-Structure Justification* (v1.0). Amendment note: restructured onto the twenty-five-element form; *structural dependency* defined; the all-in effective-cost discipline raised from prose to PR-03; the failure case made a process requirement; the Basel characterisation tightened so that no requirement is sourced to it.

PCI standard

PCI-PFL-STD-09.02

Accuracy in Describing Islamic-Finance Structures

1. Normative requirement. A credential holder must not state, imply, record or repeat that a structure, instrument or transaction is Shariah-compliant unless a *Shariah compliance determination* covering that specific structure has been issued by the body competent to issue it, and the credential holder holds that determination and can produce it.

2. Purpose. A project finance leader must be able to price, model and compare structures used in Islamic finance markets — that is a professional competence. **Whether a structure conforms to Islamic law is not a modelling question and not a PCI question.** It is a determination of religious law made by competent scholarly authority, and a professional who asserts it, implies it by labelling, or carries it across from another transaction is making a representation they have no standing to make. The reputational and commercial consequences of that misstatement fall on the institution, the investors and the communities who relied on the label.

3. Scope. Every credential holder who describes, models, compares, structures, reviews, markets, reports on or approves any structure used in Islamic finance markets — including istisna'a, ijara, forward lease, murabaha, wakala, mudaraba, musharaka and sukuk forms — in any document, model, presentation or communication, internal or external.

4. Defined terms. *Shariah compliance determination*, *evidence*, *material*, *decision owner*, *finance documents*, *verified*, *decision-grade*, *source line*. **Competent body** — the scholar, Shariah supervisory board or equivalent authority that the relevant institution, market or jurisdiction recognises as competent to issue a *Shariah compliance determination.* **Economic description** — a description of a structure by its cash flows, its asset and ownership arrangements, its risk allocation and its all-in effective cost, containing no assertion about religious-law conformity.

5. Required actions.

- **PCI-PFL-STD-09.02-PR-01 — Economic description first.** The credential holder must describe every such structure by its *economic description*, and must make that description sufficient to price, model and compare the structure without reference to any compliance assertion.
- **PCI-PFL-STD-09.02-PR-02 — Determination record.** Where a *Shariah compliance determination* is relied upon, the credential holder must record its issuing *competent body*, its date, the exact structure and documents it covers, any conditions attached to it, and its stated limitations, and must attach that record as the figure's *source line.*
- **PCI-PFL-STD-09.02-PR-03 — No extrapolation.** The credential holder must treat a determination as covering only the structure and documents it names, and must not extend it to a different structure, a different transaction, an amended document set or a later version without a further determination.
- **PCI-PFL-STD-09.02-PR-04 — Pending status stated.** Where a determination has been sought and not yet issued, the credential holder must record the status as *pending* wherever the structure is described, must name the body from which it is sought, and must not describe the structure as compliant, expected to be compliant or market-standard.
- **PCI-PFL-STD-09.02-PR-05 — Ownership and intercreditor consequences modelled.** The credential holder must model and disclose the economic consequences that follow from the structure's ownership arrangements — including any residual obligation retained by the lessor or issuer, the effect of a service-agency pass-back, and the ranking and enforcement arrangements between Islamic and conventional tranches — rather than assuming economic equivalence with a conventional tranche.

6. Prohibited actions. Describing a structure as Shariah-compliant, Islamic, halal or equivalent on the strength of its form, its name, market practice, another transaction's determination or an adviser's expectation; presenting a pending determination as obtained; presenting a determination as covering documents it does not name; asserting that a structure would be approved; offering an opinion on a question of religious law; presenting an Islamic tranche as economically identical to a conventional one without modelling the ownership consequences; **describing PCI, a PCI credential or a PCI standard as evidence of, or as conferring competence over, Shariah compliance**.

7. Required evidence. The *economic description* as issued; the determination record under PR-02 with the determination itself; the record of any pending status and the body approached; the model treatment of ownership obligations, service-agency pass-back and intercreditor ranking; the withdrawal record where a determination is refused, withdrawn or conditioned.

8. Responsible role. The credential holder who prepares or issues the description, personally, for the accuracy of what is stated. The *decision owner* for any decision taken on it.

9. Approval authority. The *Shariah compliance determination* is outside PCI's authority entirely. PCI does not make, review, endorse, accredit, register or overrule such a determination, and no PCI standard, credential, examination, syllabus or process confers competence to make one. Only the *competent body* determines compliance. The *decision owner* approves the credential holder's description of the structure; the decision owner cannot approve a compliance assertion, because the authority to make one is not theirs to give.

10. Independence requirement. Not applicable to the determination — **the reason being that the determination is made by an external authority whose composition, independence and standing are governed by the recognising institution, market or jurisdiction, not by PCI**. Independence *is* required for the review of the credential holder's *economic description* and model treatment where those support a lender submission or an offering document, and is discharged under `PCI-PFL-STD-13.01`.

11. Materiality or threshold. No materiality threshold applies to element 1: a compliance assertion is either supported by a producible determination or it is not, and there is no size below which an unsupported assertion is acceptable. Materiality governs only the *depth* of the PR-05 modelling — the *decision owner* records, in the engagement's materiality statement, the movement in the transaction's own metric at which an ownership or pass-back consequence must be separately quantified rather than described. *Scale test:* on a small municipal project with a single ijara facility, PR-05 is a short schedule of the lessor's retained obligations and their annual cost; on a multi-billion cross-border financing combining a sukuk, a bank ijara and conventional tranches across jurisdictions, PR-05 covers the intercreditor ranking, the enforcement waterfall and the treatment of each tranche on acceleration, and each is modelled separately because the tranches do not fail together.

12. Exception and waiver. No exception is permitted, and none may be granted by anyone. PCI has no authority to waive a requirement whose subject matter is a determination it does not make. A structure described only by its *economic description*, with no compliance assertion, needs no exception — it is already compliant with this standard.

13. Escalation trigger. A request to describe a structure as compliant before a determination is issued; a determination that is refused, withdrawn, made conditional or limited in scope; a document amendment after a determination was issued; discovery that a marketing document carries a compliance label the determination does not support; a determination whose issuing body the counterparty does not recognise as competent.

14. AI application. AI may explain the economic mechanics of these structures, build and compare their cash-flow streams, solve all-in effective costs, extract the ownership and pass-back obligations from a document set for human confirmation, and draft the *economic description*.

15. AI prohibition. AI must not determine, predict, assert, imply or certify Shariah compliance, in any form or with any hedge. AI must not draft a compliance assertion, must not summarise a determination in a way that widens its scope, and must not be recorded as a source for a compliance statement. A machine's account of what is or is not compliant carries no authority whatever and must not be repeated in any output.

16. AI verification. Clause-to-output comparison, by a named human, of every AI-produced statement about a determination against the determination document itself — its issuer, its date, the structure and documents named, and its conditions; independent recomputation of every AI-produced all-in effective cost from its own stream; and source tracing of each ownership obligation to the executed document that creates it. **Any AI output containing a compliance assertion is deleted rather than corrected**, so that it cannot be recovered from a draft.

> **17. External reference.**
>
> - **Standards issued by the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI).** Issuing organisation: AAOIFI. Subject: accounting, auditing, governance and Shariah standards used in Islamic finance markets. Checked: **named only; no standard, number, edition or date is asserted, and none was verified.** Nature: Manual §6 category 5 — professional framework. Applicability limitation: **a determination for a specific structure is made by the *competent body*, not by a standard**; AAOIFI standards are mandatory only where a jurisdiction's regulator or an institution's own constitution has adopted them, and whether they apply to a given transaction is a question for that regulator, that institution and

qualified local counsel. **Not currently registered in** `../registries/EXTERNAL_AUTHORITIES.md` — recorded as an open item in the audit findings below.

- **ISO 37001 *Anti-bribery management systems — Requirements with guidance for use.*** Issuing organisation: ISO. Subject: anti-bribery management systems, named here because multi-source Islamic and export-credit structures commonly involve intermediaries and agency arrangements. Checked: ISO 37001:2025, superseding ISO 37001:2016 (register `EXT-133`, verified 2026-08-04). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: adoption is voluntary unless a contract or regulator requires it, and **certification against it is a third party's opinion about a management system at a point in time, not a legal defence**.

18. Jurisdictional caution. Whether a determination is required at all, which body is recognised as competent, whether that body's rulings have legal effect, how an Islamic structure is characterised for tax, whether ownership under an ijara or sukuk creates registrable title or a security interest, and how such a structure is treated on insolvency or enforcement, are **all jurisdiction-specific and differ sharply even between jurisdictions with substantial Islamic finance markets**. Some jurisdictions have adopted a national standard-setting body; others leave the question to each institution's own board. Obtain qualified local legal, tax and Shariah advice for the specific structure, the specific documents and the specific jurisdiction, and do not carry an answer across a border.

19. Related PCI Standards. `PCI-FND-STD-10` (competence and limitation); `PCI-FND-STD-02`; `PCI-PFL-STD-06.04`; `PCI-PFL-STD-09.01`; `PCI-PFL-STD-12.02`. **Increment over the foundational parent:** `PCI-FND-STD-10` requires a professional to work within the competence they hold and not to issue work beyond it; this standard identifies one specific boundary that a finance professional crosses easily and almost always inadvertently — a label — and converts the referral duty into a producible determination, a no-extrapolation rule, a pending-status rule and a standing statement that PCI has no authority over the determination at all.

20. Related Body of Knowledge content. PFL-AI · Domain 9 — Funding structure and sources of capital · KA 9.3 Islamic finance concepts, export credit and development finance · topic 9.3.1 Islamic finance structures in economic terms, whose scope statement records that compliance is a determination for the relevant Shariah supervisory board and is outside the book's scope. Also Domain 12 KA 12.3 (guarantees, direct agreements and the security package).

21. Compliance test. A reviewer takes every document in which the structure is described and performs four steps. (a) Searches for every compliance assertion — the words *Shariah*, *Sharia*, *Islamic*, *halal* and every equivalent label used as a qualifier of the structure — and lists each occurrence. (b) For each occurrence, requires production of the *Shariah compliance determination* and confirms that the document produced is issued by the named *competent body*, is dated, and names the structure and the document set actually used. (c) Confirms that no determination is relied upon for a structure, transaction or document version it does not name. (d) Confirms the *economic description* alone is sufficient to price and model the structure — by pricing it from that description and obtaining the figure in the output. Compliance is demonstrated when all four complete; **one unsupported assertion is a breach**, and a pending determination presented as obtained is a breach of element 6.

22. Breach indicators. A term sheet headed with a compliance label and no determination in the file; a determination dated before the last document amendment; a determination for a sister project in the file for this one; a model comparing an ijara tranche to a conventional tranche on rate alone; a presentation describing a structure as "market-standard Shariah-compliant"; an AI-drafted paragraph explaining why a structure is compliant; a service-agency pass-back described but never costed.

23. Consequence within PCI authority. Correction required and the affected description or output withheld from use until corrected; additional independent review; escalation to the decision owner; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). **PCI claims no other consequence, and specifically claims no authority to rule on, validate or invalidate any question of religious law.**

24. Examination application. Scenario judgement: a candidate is asked to approve marketing material carrying a compliance label where the file contains a determination for an earlier document version, and must identify the defect and the required action. Calculation review: comparing an ijara tranche and a conventional tranche on all-in effective cost, where the headline ranking reverses. Ethical dilemma: a client asks the candidate to confirm that a structure "would obviously be approved". No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 of this set contained no standard on this subject, and the Body of Knowledge carried the boundary in a chapter scope statement only, where under Charter §3 it could not create an obligation. This standard places the obligation where it can be assessed and breached.

PCI standard

PCI-PFL-STD-09.03

Sustainable-Finance Claims

1. Normative requirement. A credential holder must not make, model, certify, publish or repeat a *sustainability claim* at a strength that the identified supporting *evidence* does not support.

2. Purpose. A label is cheap to attach and expensive to defend. A green, social or sustainability-linked designation, a taxonomy-alignment assertion or an environmental, social or governance metric quoted outside the model that produced it can each outrun its evidence in one sentence — and the gap between the claim and the evidence is precisely what a greenwashing allegation, a regulatory enquiry or an investor claim is about. The professional risk is not scepticism about sustainability; it is a claim nobody can now substantiate.

3. Scope. Every credential holder who prepares, models, reviews, recommends, approves, publishes or provides assurance on a *sustainability claim* in connection with a financing — in a term sheet, information memorandum, framework document, allocation or impact report, covenant certificate, marketing material, press release or investor communication — and every credential holder who repeats such a claim in their own output.

4. Defined terms. *sustainability claim*, *voluntary framework*, *evidence*, *verified*, *material*, *decision owner*, *finance documents*, *competent reviewer*, *source line*, *independent*. **Claim strength** — what a claim asserts and how firmly: the difference between *aligned with*, *assessed against*, *intended to meet* and *certified as meeting* is a difference in strength, and each requires different evidence. **Second-party opinion** — an external provider's opinion on a framework or an instrument, whose scope, method and limitations are stated in the opinion itself.

5. Required actions.

- **PCI-PFL-STD-09.03-PR-01 — Claim register.** The preparer must record every *sustainability claim* made in a decision-grade output, with its exact wording, its *claim strength*, the framework, label, taxonomy or metric relied on, the *evidence* relied on, the verifier where one exists, and the date.
- **PCI-PFL-STD-09.03-PR-02 — Strength matched to evidence.** The preparer must state each claim at the strength the evidence supports, and

must not use a certification word where the evidence is an assessment, or an assessment word where the evidence is an intention.

- **PCI-PFL-STD-09.03-PR-03 — Voluntary status stated.** The preparer must identify each framework, label or principle set relied on as voluntary where it is voluntary, and **must not present any voluntary framework as legislation, regulation or law**; where a jurisdiction's enacted taxonomy, labelling or disclosure regime is relied on, the preparer must name the jurisdiction, must state that the regime is legislation in that jurisdiction only, and must not extend it to another.
- **PCI-PFL-STD-09.03-PR-04 — Metric definition and measurement.** The preparer must record, for every performance metric or key performance indicator relied on, its definition, its measurement method, its measurement boundary, its reference point, its assurance arrangement and who performs it — and must not quote a metric outside the model, report or measurement system that produced it without those particulars.
- **PCI-PFL-STD-09.03-PR-05 — Economics of the label disclosed.** Where a claim attaches to a sustainability-linked instrument, the preparer must present the margin effect and the cost of the measurement, assurance and reporting apparatus over the life of the facility on the same basis, and must state whether the ratchet is symmetric.
- **PCI-PFL-STD-09.03-PR-06 — Withdrawal on lapse.** The preparer must withdraw or restate a claim where its evidence lapses, is superseded, is withdrawn by its verifier, or ceases to support the strength stated, and must notify every party known to be relying on it.

6. Prohibited actions. Describing a *voluntary framework* as legislation, regulation or law; presenting one jurisdiction's taxonomy as universal; using *certified*, *compliant* or *verified* where the evidence is an assessment, an opinion or an intention; quoting a metric with no definition, boundary or reference point; presenting a *second-party opinion* as assurance over performance when it is an opinion on a framework; selecting a key performance indicator the project would meet without change and presenting it as a target; presenting a label as the reason for a pricing benefit that the evidence attributes elsewhere; carrying a claim forward after its evidence has lapsed.

7. Required evidence. The claim register with all seven fields; the underlying evidence for each claim, retained under `PCI-PFL-STD-06.04-PR-03`; each *second-party opinion*, external review, assurance report or certificate, with its stated scope and limitations; the metric definitions and measurement records; the PR-05 economics; the withdrawal and notification records.

8. Responsible role. The credential holder who prepares or issues the claim, personally. The *decision owner* for the decision taken on it, and for the issue of any external communication carrying it.

9. Approval authority. The decision owner approves the issue of a claim. **No credential holder may approve a claim about their own performance against a metric they measure and report on** without the independent element required by element 10. PCI approves no claim and certifies no instrument.

10. Independence requirement. Where a claim asserts performance against a metric, the measurement or the assurance over it must be performed by a person or firm *independent* of the party whose performance is measured — the *finance documents* commonly require this, and where they do not, the independence requirement in this standard still applies to the assurance step. A *second-party opinion* provider is independent of the issuer but is **not** thereby an assurer of performance, and its opinion must not be presented as one.

11. Materiality or threshold. The threshold is the **evidence**, not a percentage: a claim is compliant when the evidence identified in the register supports the strength stated, and no proportion of eligible assets, no share of proceeds and no metric level set by PCI enters the test. Where the *finance documents*, a framework or a jurisdiction's regime state an eligibility proportion, a reporting threshold or a target level, **that documented figure is the one used and tested**, and it is recorded with its source. *Scale test:* on a small municipal project a single grant-funded efficiency measure may support one narrow claim, and the register is a few rows — the standard's burden is proportionate because the number of claims is small. On a multi-billion cross-border financing with a green framework, a second-party opinion, several jurisdictional taxonomies and a sustainability-linked margin ratchet, the register is maintained per claim and per jurisdiction, and PR-03 does the heaviest work because the regimes differ and none of them is global.

12. Exception and waiver. No exception is permitted to element 1 or to PR-03. A *decision owner* may approve in writing a claim stated at a **lower** strength than the evidence would support — that is always available and needs no exception. Where a claim must be made before its verification is complete, the claim must state that verification is outstanding, name the verifier and the expected date, and be withdrawn if verification is not obtained; that approval is recorded, is limited to the named output, and lasts only until the expected date.

13. Escalation trigger. A verifier declining, qualifying or withdrawing an opinion; a metric that cannot be measured on the recorded boundary; a target met without any change in the project; a jurisdiction's regime changing so that an alignment claim no longer holds; an allegation of greenwashing; a request to state a claim more firmly than the register supports; a ratchet whose symmetric downside has become likely.

14. AI application. AI may map project attributes against a named framework's eligibility criteria for human review, assemble the claim register, compute the PR-05 economics across cases, compare a draft claim's wording against the evidence recorded for it, and flag claims whose evidence dates have passed.

15. AI prohibition. AI must not determine that a project, asset or expenditure qualifies under a label, framework or taxonomy; must not decide a claim's *claim strength*; must not certify, verify or assure a metric; must not produce a *second-party opinion* or anything presented as one; and must not be recorded as the source of any sustainability claim.

16. AI verification. Clause-to-output comparison, by a named human, of each AI-drafted claim against the framework text or regime it cites and against the evidence in the register; source tracing of every metric value to the measurement record that produced it; independent recomputation of the PR-05 economics; and a named human's recorded confirmation that the strength word used matches the evidence class. **An AI-generated eligibility conclusion is a hypothesis for human checking and must never be recorded as an eligibility determination.**

> **17. External reference.**
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> - **Voluntary market principles for green, social and sustainability-linked instruments.** Issuing organisations: international market associations. Subject: voluntary process guidelines for use-of-proceeds and sustainability-linked instruments, covering use of proceeds, project evaluation, management of proceeds, reporting and, for linked instruments, key performance indicator selection and target calibration. Checked: **named generically; no publisher, title, edition or date is asserted, and none was verified** — consistent with the PFL-AI manuscript, which also names them generically. Nature: Manual §6 category 8 — **voluntary environmental or social framework**. Applicability limitation: **voluntary; adoption is the whole of their force; none of them is a global standard and none is legislation anywhere.**
> - **Jurisdictional taxonomy, labelling and disclosure regimes.** Issuing organisations: national and supranational legislatures and regulators. Subject: criteria for describing an economic activity, instrument or fund as environmentally or socially qualifying, and the disclosures required. Checked: **named generically; no regime, article, threshold or date is asserted, and none was verified.** Nature: Manual §6 category 1 — applicable legislation or regulation, **but only within the enacting jurisdiction and only where the entity is in scope**. Applicability limitation: these regimes differ materially between jurisdictions and change frequently; **treating one jurisdiction's taxonomy as universal is the characteristic error**

in this area. Whether a given regime applies to a given entity or instrument is a question for qualified local counsel.

- **IFC *Performance Standards on Environmental and Social Sustainability.*** Issuing organisation: IFC, World Bank Group. Subject: environmental and social performance expectations used as a reference benchmark. Checked: 2012 edition; Sustainability Framework update in progress (register EXT-083, verified 2026-08-03). Nature: Manual §6 category 8 — voluntary environmental or social framework. Applicability limitation: binding on IFC clients by contract; on others only where adopted. **Status is moving — verify the current position.**
- **The Equator Principles.** Issuing organisation: the Equator Principles Association. Subject: a voluntary framework under which adopting financial institutions apply agreed environmental and social requirements. Checked: EP4, adopted 18 November 2019, effective 1 October 2020 (register EXT-082, verified 2026-08-03). Nature: Manual §6 category 8 — voluntary environmental or social framework. Applicability limitation: **voluntary; never legislation**; applies only to transactions of adopting institutions, as those institutions apply it.

18. Jurisdictional caution. Taxonomy, labelling, fund-naming, disclosure and anti-greenwashing rules are jurisdiction-specific, are being introduced and amended rapidly, and can attach liability to a statement that was accurate when made. Whether a claim constitutes a misleading commercial practice, a misrepresentation, a prospectus liability or a consumer-protection breach is a question of local law, and the answer differs by jurisdiction, by instrument and by investor type. Obtain qualified local legal advice before any sustainability claim is published, and re-take that advice before the same claim is repeated in another jurisdiction.

19. Related PCI Standards. PCI-FND-STD-02 (evidence before assertion); PCI-FND-STD-11; PCI-PFL-STD-06.04; PCI-PFL-STD-09.01; PCI-PFL-STD-10.04. **Increment over the foundational parent:** PCI-FND-STD-02 forbids a claim that the identified evidence does not support; this standard addresses the specific mechanism by which a sustainability statement becomes dishonest without anyone lying — strength drift between *intended*, *assessed*, *aligned* and *certified* — and adds the register, the voluntary-status rule, the metric particulars, the ratchet economics and a positive duty to withdraw when evidence lapses.

20. Related Body of Knowledge content. PFL-AI · Domain 9 — Funding structure and sources of capital · KA 9.4 Government support, grants, sustainable finance and refinancing · topic 9.4.3 green and sustainability-linked finance. Also Domain 5 KA 5.3 (the bankability test) and Domain 11 KA 11.4 (environmental and social, technology, cybersecurity and AI model risk).

21. Compliance test. A reviewer takes every external document carrying a claim and the claim register, and performs five steps. (a) Lists every *sustainability claim* in the documents and confirms each appears in the register with its exact wording. (b) For each, retrieves the evidence named and confirms it is current, in scope, and of a class that supports the strength word used — an opinion for *assessed*, a certificate within its validity for *certified*, a measurement record for a performance statement. (c) Confirms every framework named is labelled voluntary where it is voluntary, and that no document describes a voluntary framework as legislation. (d) For each metric, confirms the definition, boundary, reference point and assurance arrangement are recorded and that the quoted value reconciles to the measurement record. (e) Confirms the PR-05 economics were presented where a ratchet exists. Compliance is demonstrated when all five complete; **a claim whose evidence is of a weaker class than its strength word is a breach**, as is any description of a voluntary framework as law.

22. Breach indicators. The word *compliant* attached to a voluntary framework; a taxonomy named without its jurisdiction; a second-party opinion cited as assurance over outcomes; a key performance indicator with no measurement boundary; an impact figure quoted with no measurement record behind it; a ratchet presented as the commercial case with no cost of the apparatus alongside; a claim repeated in a second jurisdiction with no fresh advice; a claim whose supporting review expired last year.

23. Consequence within PCI authority. Correction required and the affected claim or output withheld from use until corrected; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence, and PCI neither certifies nor endorses any instrument, label or framework.

24. Examination application. Scenario judgement: a draft press release says an instrument is "certified as taxonomy-aligned" where the file holds a second-party opinion on a framework — the candidate must identify the strength defect and restate the claim. Calculation review: the ratchet economics of a sustainability-linked facility against the cost of its verification apparatus. Ethical dilemma: an arranger asks for a firmer word than the evidence supports. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 contained no standard on sustainability claims, which left the corpus's most exposed representation area governed only by a general honesty obligation. *Claim strength* and *second-party opinion* defined; the voluntary-versus-legislation rule made an identified process requirement rather than a caution; external references named generically so that no publisher, edition or clause is asserted without verification.

Domain 10 — Debt sizing, covenants and credit metrics

PCI standard

PCI-PFL-STD-10.01

The CFADS Definition

1. Normative requirement. A credential holder must compute *CFADS* on the definition the *finance documents* state, item by item, and must not substitute a market convention, a textbook formulation or another transaction's definition.

2. Purpose. Every coverage number, every sizing calculation, every *distribution* test and every lock-up trigger is built on one defined quantity. Two financings of the same asset can define that quantity differently and both be right — so a definition borrowed from anywhere but the documents can flatter or breach a covenant that was never tested, and the error is invisible in the ratio.

3. Scope. Every credential holder who computes, reviews, certifies, reports or relies upon *CFADS* or any quantity derived from it, at sizing, at close, in operation, at *distribution* testing, in restructuring and in refinancing. Applies to preparation, review, certification and assurance.

4. Defined terms. *CFADS*, *debt service*, *coverage ratio*, *finance documents*, *authoritative version*, *source line*, *material*, *evidence*, *decision owner*, *verified*, *competent reviewer*. **Definition schedule** — an item-by-item statement of what is included in, and excluded from, *CFADS* for this transaction, each item carrying the *source line* of the document and defined term that puts it there.

5. Required actions.

- **PCI-PFL-STD-10.01-PR-01 — Definition schedule.** The preparer must maintain a *definition schedule* for *CFADS* and for *debt service*, each item sourced to the defined term in the *finance documents* that establishes it.
- **PCI-PFL-STD-10.01-PR-02 — Model line matches schedule.** The preparer must build the model's *CFADS* line to the definition schedule, item for item, and must reconcile the model line to the schedule at each release.

- **PCI-PFL-STD-10.01-PR-03 — Reconciliation to the statements.** The preparer must reconcile the *CFADS* line to the financial statements for every period in which both exist, and must explain each reconciling item.
- **PCI-PFL-STD-10.01-PR-04 — Pre-document definitions labelled.** Where no finance documents yet exist, the preparer must write out the modelled definition in full and label it as the modeller's definition, and must not describe it as the transaction's definition.
- **PCI-PFL-STD-10.01-PR-05 — Re-derivation on amendment.** The preparer must re-derive the definition schedule and re-reconcile the model line whenever a defined term is amended or waived.

6. Prohibited actions. Including in *CFADS* an item the definition excludes, or excluding one it includes; adopting a market or textbook definition where the documents state one; carrying a definition across from another transaction; netting an excluded item against an included one; presenting a modeller's definition as the transaction's; leaving a definition unchanged after an amendment changes it.

7. Required evidence. The definition schedule with a *source line* per item; the model-to-schedule reconciliation at each release; the *CFADS*-to-statements reconciliation with reconciling items explained; the re-derivation records following each amendment or waiver.

8. Responsible role. The project finance leader or finance director who prepares or signs the calculation. The *decision owner* for the sizing, certificate or report that relies on it.

9. Approval authority. The decision owner approves the calculation for use. **Only the parties to the finance documents can change the definition**, by amendment in the form those documents require; no PCI standard and no professional judgement can change it.

10. Independence requirement. A *competent reviewer* independent of preparation must confirm the definition schedule against the executed documents before financial close, before any certificate on which a *lock-up* or default depends, and at model audit.

11. Materiality or threshold. The definition is applied in full regardless of an item's size: there is no *de minimis* under which an excluded item may be included. Materiality governs *escalation* and *re-review*: the *decision owner* records, in the engagement's materiality statement, the movement in the minimum *coverage ratio* at which a discovered definitional difference must be escalated beyond the preparer. **PCI sets no figure, and PCI sets no definition** — both belong to the finance documents and to the parties. *Scale test:* on a small municipal project the schedule may run to a dozen items on one page; on a multi-billion cross-border financing it is maintained per facility and per currency, because tranches routinely define the same words differently and a single consolidated line would be wrong for at least one of them.

12. Exception and waiver. No exception is permitted. Where the documents are genuinely ambiguous, the preparer must record the ambiguity, compute on each reading, present both, and refer the construction question to qualified counsel under `PCI-PFL-STD-12.02` — the preparer must not resolve it by choosing.

13. Escalation trigger. A definitional difference between the model and the documents; an amendment or waiver that changes a defined term; a reconciling item between *CFADS* and the statements that cannot be explained; an adjustment that improves a ratio and has not previously been applied; two facilities whose definitions of the same term conflict.

14. AI application. AI may extract defined terms and their component references from the document set into a draft definition schedule, compare the model line to that schedule item by item, identify differences between two facilities' definitions, and draft the reconciliation for confirmation.

15. AI prohibition. AI must not interpret a defined term, decide whether an item falls inside a definition, resolve an ambiguity, certify a *CFADS* figure, or approve a definition schedule.

16. AI verification. Clause-to-output comparison, by a named human, of every AI-extracted item against the defined term in the executed document — reading the defining clause, not a summary of it; independent recomputation of the *CFADS* line for the binding period and one other period from source lines; and reconciliation of the recomputed line to the financial statements. Recorded per period with the reviewer's name and date.

> **17. External reference.**
>
> - **IAS 7 *Statement of Cash Flows.*** Issuing organisation: IFRS Foundation / IASB. Subject: the presentation and classification of cash movements against which a modelled cash line is reconciled. Checked: current, by name only (register `EXT-120`, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: mandatory only for entities applying IFRS Accounting Standards in a jurisdiction that has adopted them. **It defines no *CFADS* and no *coverage ratio*: those are creatures of the finance documents.** Verify current requirements.

18. Jurisdictional caution. The construction of a defined term is a question of the governing law of the *finance documents*, and the same words can be read differently under different governing laws. Cash tax, withholding, group relief and permitted deductions — all of which sit inside most *CFADS* definitions — are jurisdiction-specific and change with legislation. Obtain qualified legal advice on construction and qualified local tax advice on the tax components, and never resolve a construction question inside the model.

19. Related PCI Standards. PCI-FND-STD-07; PCI-FND-STD-05; PCI-PFL-STD-01.01; PCI-PFL-STD-10.02; PCI-PFL-STD-10.03; PCI-PFL-STD-10.04; PCI-PFL-STD-15.01. **Increment over the foundational parent:** PCI-FND-STD-07 requires a figure to be traceable from its sources to the output that was approved; this standard names the one quantity in a financing whose *definition* — not its data — is the usual point of failure, and requires an item-by-item schedule sourced to the defining clause, reconciled to the model and to the statements, and re-derived on every amendment.

20. Related Body of Knowledge content. PFL-AI · Domain 10 — Debt sizing, covenants and credit metrics · KA 10.1 Debt capacity and sizing · topic 10.1.1 cash available for debt service. Also Domain 2 KA 2.3 (project-relevant treatments), Domain 6 KA 6.2 (the *CFADS* tie) and Domain 15 KA 15.1 (operational monitoring and covenant testing).

21. Compliance test. A reviewer takes the executed documents, the definition schedule and the model *authoritative version*, and performs four steps. (a) Reads the defined terms for *CFADS* and *debt service* in the documents and confirms every component appears in the schedule, and that the schedule contains nothing the documents do not. (b) Traces each schedule item to the model line and confirms it is included or excluded as scheduled. (c) Recomputes *CFADS* for two periods from source lines and obtains the model figures without unexplained difference. (d) Reconciles those figures to the financial statements, with every reconciling item explained. Compliance is demonstrated when all four complete; one item in the model that the definition excludes is a breach, whatever its size.

22. Breach indicators. A *CFADS* line built from a template; a definition schedule with no clause references; an adjustment appearing for the first time in the period that would otherwise fail; two facilities reported on one consolidated *CFADS*; a reconciling item labelled "timing"; a definition unchanged after an amendment that redefined a component.

23. Consequence within PCI authority. Correction required and the affected calculation withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: a candidate is given a defined term and a model line that differ by one item and must find it and quantify its effect on the minimum ratio. Evidence selection: choosing the document that establishes a component of the definition. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard** — the subject was carried inside PFL-LAW-10-01 (v1.0), which bundled the definition, the calculation and the reporting into one rule. Amendment note: separated so that the definition has its own obligation, its own evidence and its own test; *definition schedule* defined; the pre-document labelling rule and the re-derivation-on-amendment rule added.

PCI standard

PCI-PFL-STD-10.02

Debt Sizing

1. Normative requirement. A credential holder must size debt to the coverage level, the tenor and the amortisation profile that the *finance documents* or the credit approval state, and must not size to a level chosen because it produces a preferred quantum.

2. Purpose. Debt capacity is a function of cash, coverage, rate and tenor, and a small movement in the target coverage level moves the quantum a long way. Sizing to a level nobody has approved transfers risk to the lender who later discovers the basis, and to the sponsor who has built a funding plan on a quantum that will not survive credit.

3. Scope. Every credential holder who sizes, reviews, recommends, approves or provides assurance on a debt quantum, a sculpting profile, a repayment schedule or a debt-capacity conclusion, at screening, sanction, close, resizing, restructuring and refinancing.

4. Defined terms. *CFADS*, *debt service*, *coverage ratio*, *finance documents*, *base case*, *material*, *decision owner*, *evidence*, *competent reviewer*, *verified*, *authoritative version*. **Sizing basis** — the recorded set comprising the target *coverage ratio* and its source, the tenor, the amortisation or sculpting convention, the assumed rate and hedging, the tax treatment fed back into *CFADS*, and the case from which the *CFADS* profile is taken.

5. Required actions.

- **PCI-PFL-STD-10.02-PR-01 — Record the sizing basis.** The preparer must record the *sizing basis* in full before the quantum is quoted, and must attach the *source line* of the document or approval that establishes the target coverage level.

- **PCI-PFL-STD-10.02-PR-02 — Size from the documented case.** The preparer must take the *CFADS* profile from the case the *finance documents* or credit approval identify, and must not size from a more favourable case.
- **PCI-PFL-STD-10.02-PR-03 — Sensitivity of the quantum.** The preparer must present the movement in the debt quantum produced by a stated change in each of the target coverage level, the rate, the tenor and the principal *CFADS* drivers, so that the quantum's fragility is visible.
- **PCI-PFL-STD-10.02-PR-04 — Sculpting disclosed.** Where the profile is sculpted, the preparer must state the sculpting convention, the coverage level held, the treatment of the interest tax shield in the feedback loop, and the resulting profile's sensitivity to the rate.

6. Prohibited actions. Sizing to a coverage level that appears in no document or approval; taking the *CFADS* profile from an upside case; solving for a quantum first and reporting the coverage that results as the basis; presenting a sculpted profile without its convention; omitting a required deduction from *debt service* in the sizing loop; quoting a debt capacity with no tenor or rate stated.

7. Required evidence. The recorded *sizing basis* with its source lines; the sizing calculation traceable to the model *authoritative version*; the sensitivity presentation under PR-03; the sculpting statement under PR-04; the credit approval or term sheet establishing the target level; the *decision owner's* recorded approval of the quantum.

8. Responsible role. The project finance leader accountable for the sizing. The credit approver, on the lender side, for the quantum adopted.

9. Approval authority. The credit approver for the lender's quantum; the *decision owner* for the sponsor's funding plan. A change to the target coverage level requires the approval of the party whose document or approval established it.

10. Independence requirement. A *competent reviewer* independent of the arranging or sponsor benefit must review the *sizing basis* and the sensitivity presentation before the quantum is used to support a credit decision or a funding plan.

11. Materiality or threshold. The coverage level used is the one the finance documents or the credit approval state — PCI does not set it, does not recommend one, and does not publish a range. Where no document yet states a level, the preparer records the credit approver's stated target and labels it as an assumption under `PCI-PFL-STD-09.01-PR-01`. Materiality governs escalation: the *decision owner* records the movement in quantum, in the transaction's own units, at which a change of basis must be escalated. *Scale test:* on a small municipal project a single target level, one tranche and a level-repayment profile make the sizing basis a short paragraph; on a multi-billion cross-border financing each tranche can carry its own target level, tenor and convention, and the basis is recorded per tranche because a consolidated statement would be true of none of them.

12. Exception and waiver. No exception is permitted to element 1. A quantum may be quoted on an assumed target level before any document exists, provided the level is labelled as an assumption, its owner is named, and the sensitivity under PR-03 is presented with it; that is compliance. A waiver of PR-02 is not available.

13. Escalation trigger. A quantum that requires a target level lower than the credit approval states; a sizing case that differs from the documented case; a sensitivity showing the quantum moving *materially* on a small change in the target level; a sculpting convention that produces a profile the documents do not permit; a rate assumption no longer supported by the hedging market.

14. AI application. AI may solve the sizing loop including the tax feedback, generate sculpted profiles, run the PR-03 sensitivities across a grid, compare the resulting profile against the documented amortisation constraints, and draft the *sizing basis* record for confirmation.

15. AI prohibition. AI must not determine debt capacity, select the target coverage level, choose the sizing case, approve a profile, or certify a quantum.

16. AI verification. Independent recomputation by a named human of the quantum at the recorded basis, from the *CFADS* profile and the annuity or sculpting arithmetic; boundary testing at the extremes of the sensitivity grid to confirm the AI's solution behaves correctly; and source tracing of the target coverage level to the document or approval that states it. Recorded with method and date.

17. External reference.

- **The Basel Framework.** Issuing organisation: the Basel Committee on Banking Supervision. Subject: the supervisory context of lenders' credit assessment. Checked: consolidated framework as maintained by the BCBS; no standard, paragraph or date asserted (register EXT-110, verified 2026-08-03). Nature: Manual §6 category 10 — illustrative practice; **internationally agreed supervisory standards with no legal force of their own**, reaching a bank only as a national authority transposes them and **never applying directly to a project or its sponsors**. Applicability limitation: named for context; **no requirement in this standard is sourced to it, and it sets no coverage level for any transaction.**
- **IAS 7 *Statement of Cash Flows.*** Issuing organisation: IFRS Foundation / IASB. Subject: cash-flow presentation against which the sizing cash line is reconciled. Checked: current, by name only (register

EXT-120, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: mandatory only for entities applying IFRS Accounting Standards in an adopting jurisdiction; it defines no coverage ratio and no sizing method.

18. Jurisdictional caution. Interest-limitation and thin-capitalisation rules, the deductibility of interest and of hedging costs, withholding tax on interest, and regulatory limits on lending to a project or a sector can each cap the quantum independently of the coverage arithmetic, and all are jurisdiction-specific. Obtain qualified local tax and regulatory advice before a quantum is relied upon — see PCI-PFL-STD-12.02.

19. Related PCI Standards. PCI-FND-STD-05; PCI-PFL-STD-09.01; PCI-PFL-STD-10.01; PCI-PFL-STD-10.03; PCI-PFL-STD-10.05; PCI-PFL-STD-06.03. **Increment over the foundational parent:** PCI-FND-STD-05 forbids a forecast issued without the assumptions it depends on; this standard names the specific reverse-engineering that produces a misleading quantum — choosing the coverage level to fit the answer — and requires the basis to be recorded, sourced and stress-tested before the quantum is quoted.

20. Related Body of Knowledge content. PFL-AI · Domain 10 — Debt sizing, covenants and credit metrics · KA 10.1 Debt capacity and sizing · topics: sizing from coverage, sculpting, and the effective sculpting rate. Also Domain 3 KA 3.2 (annuities and loan schedules) and Domain 9 KA 9.1–9.2.

21. Compliance test. A reviewer takes the sizing output, the model and the credit approval, and performs four steps. (a) Confirms the recorded *sizing basis* contains all six components and that the target coverage level carries a *source line* to a document or approval. (b) Confirms the *CFADS* profile used is the documented case, by comparing it to that case in the model. (c) Recomputes the quantum from the recorded basis and obtains the figure quoted, without unexplained difference. (d) Reproduces two points on the PR-03 sensitivity and obtains the stated quanta. Compliance is demonstrated when all four complete; a target level with no source is a breach.

22. Breach indicators. A sizing note stating a coverage level and no source; a quantum that matches the funding requirement exactly; a sizing case that appears nowhere else in the model; a sculpted profile with no convention stated; a sensitivity table omitting the coverage level; a resize after credit that changed the level rather than the quantum.

23. Consequence within PCI authority. Correction required and the affected sizing withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: sizing from a given *CFADS* profile at a stated target level and tenor, then re-sizing at a different level to expose the quantum's sensitivity. Scenario judgement: a sponsor asks for the quantum to be raised by moving the target level. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard** — the subject was implicit in PFL-LAW-10-01 (v1.0), which addressed reporting rather than sizing. Amendment note: *sizing basis* defined with six components; the quantum's sensitivity made a process requirement; the threshold rewritten to state expressly that PCI publishes no coverage level.

PCI standard

PCI-PFL-STD-10.03

Coverage-Ratio Calculation and Reporting

1. Normative requirement. A credential holder must report a *coverage ratio* with its definition, its period basis and its minimum over the tested horizon, and must not present an average, a period-aggregate or a single point as the coverage position.

2. Purpose. Coverage is the number on which debt is sized, *distributions* are permitted and default is declared. An average conceals the period that binds; a horizon choice conceals the tail; and a single quoted figure tells the reader nothing about which of those is happening. A number without its definition and its minimum is not a coverage statement.

3. Scope. Every credential holder who computes, reviews, certifies, submits or relies upon DSCR, LLCR, PLCR, interest cover or any other *coverage ratio*, in sizing, compliance certificates, credit submissions, *distribution* tests, refinancing analyses, restructuring proposals and lender reports.

4. Defined terms. *coverage ratio*, *CFADS*, *debt service*, *finance documents*, *lock-up*, *material*, *decision owner*, *competent reviewer*, *verified*, *authoritative version*, *evidence*. **Binding period** — the period in the tested horizon at which the ratio is lowest. **Period basis** — the periodicity, the calculation dates, and whether the test is historic, forward-looking or both, as the finance documents state.

5. Required actions.

- **PCI-PFL-STD-10.03-PR-01 — Report the minimum and identify the binding period.** The preparer must report the minimum ratio over the tested horizon and identify the *binding period*, alongside any average presented.

- **PCI-PFL-STD-10.03-PR-02 — State the definition and period basis.** The preparer must state, with every reported ratio, the definition applied under `PCI-PFL-STD-10.01`, the *period basis*, and whose projection the forward-looking element uses.
- **PCI-PFL-STD-10.03-PR-03 — Publish the series.** The preparer must make the period-by-period ratio series available with any summary figure, so that a reader can see the shape rather than a point.
- **PCI-PFL-STD-10.03-PR-04 — Disclose every adjustment.** The preparer must disclose every adjustment made in arriving at the reported ratio, and must state whether that adjustment has been applied in previous periods.
- **PCI-PFL-STD-10.03-PR-05 — Compare against the documented level.** The preparer must present the reported ratio against the level the *finance documents* state for the test in question — sizing, *distribution*, *lock-up* or default — and must not compare it against a level from another test or another transaction.

6. Prohibited actions. Quoting an average where a period test governs; annualising to obscure a seasonal or maintenance-year shortfall; moving cost out of a tested period; including in the cash line an item the definition excludes; presenting a textbook ratio as the covenant ratio; reporting a ratio without the level it is tested against; introducing a new adjustment in the period it is needed without saying so.

7. Required evidence. The ratio calculation traceable to the model *authoritative version* and to source lines; the definition applied, with its document reference; the period-by-period series; the adjustment disclosure with prior-period application stated; the compliance certificate and its workings; the reviewer's recomputation record.

8. Responsible role. The finance director or project finance leader who signs the certificate, submission or report. The credit approver for the sizing adopted on it.

9. Approval authority. The signatory the *finance documents* name for a compliance certificate; the *decision owner* for a credit submission or board report. No one may approve the omission of the minimum.

10. Independence requirement. A *competent reviewer* independent of preparation must recompute the ratio before financial close, before any certificate on which *lock-up*, a *distribution* or default depends, and at model audit.

11. Materiality or threshold. The level tested against is the level in the finance documents, and PCI neither sets nor recommends one. Where several levels apply — sizing, distribution, lock-up, default — each is reported against its own level under PR-05. Materiality governs escalation only: the *decision owner* records the headroom, in ratio units, at which a position must be escalated before the test date. *Scale test:* on a small municipal project with one annual test, the series is a single row and the minimum is obvious; on a multi-billion cross-border financing with quarterly tests, several tranches, a backward and a forward test and different definitions per facility, the minimum is reported per test and per facility, because the binding period is rarely the same for all of them.

12. Exception and waiver. No exception is permitted to element 1. Where the *finance documents* require a specific certificate form that omits the minimum, the preparer must complete that form as required **and** provide the minimum and the series alongside it; the documents' form governs the certificate, and this standard governs the professional's own reporting. A *waiver* of a covenant by the finance parties is governed by `PCI-PFL-STD-15.03` and does not waive this reporting obligation.

13. Escalation trigger. A computed ratio at or below any documented level in any period of the tested horizon; a definitional difference between the model and the documents; an adjustment that *materially* improves a ratio and has not previously been applied; a forward-looking test that fails on the borrower's own projection; a movement in the *binding period* between reports.

14. AI application. AI may compute ratio series across cases, identify the *binding period*, test sizing and sculpting arithmetic, generate stress runs, reconcile the cash line to the statements, and draft the certificate workings for review.

15. AI prohibition. AI must not interpret a covenant definition, decide whether an item belongs in the cash line, certify compliance, determine debt capacity, or sign a compliance certificate.

16. AI verification. Independent recomputation, by a named human, of the ratio for the *binding period* and for at least one other period, from source lines; clause-to-output comparison of the definition applied against the executed document; and reconciliation of the cash line to the financial statements before certifying or submitting. Each recorded with the reviewer's name and the date.

> **17. External reference.**
>
> - **IAS 7 *Statement of Cash Flows.*** Issuing organisation: IFRS Foundation / IASB. Subject: the classification of cash flows against which the modelled cash line is reconciled. Checked: current, by name only (register `EXT-120`, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; **it defines no coverage ratio.**

- **The Basel Framework.** Issuing organisation: the Basel Committee on Banking Supervision. Subject: the supervisory context of lenders' credit assessment and monitoring. Checked: consolidated framework; no standard or date asserted (register EXT-110, verified 2026-08-03). Nature: Manual §6 category 10 — illustrative practice; **internationally agreed supervisory standards with no legal force of their own.** Applicability limitation: named for context; **no requirement in this standard is sourced to it.**

18. Jurisdictional caution. Coverage definitions and levels are contractual, not statutory. Their construction, the effect of a breach, notice requirements and the enforceability of cure rights are matters for the governing law of the *finance documents* and for qualified counsel — see PCI-PFL-STD-10.04 and PCI-PFL-STD-12.02. Where a ratio is also disclosed in financial statements, the classification consequences of a breach are a reporting question in the entity's own framework and jurisdiction.

19. Related PCI Standards. PCI-FND-STD-05; PCI-PFL-STD-01.01; PCI-PFL-STD-10.01; PCI-PFL-STD-10.02; PCI-PFL-STD-10.04; PCI-PFL-STD-15.01. **Increment over the foundational parent:** PCI-FND-STD-05 requires a conclusion to travel with the assumptions and the basis it depends on; this standard specifies the three things a coverage number needs before it is honest — its definition, its period basis and its minimum — and requires the series and every adjustment to travel with it.

20. Related Body of Knowledge content. PFL-AI · Domain 10 — Debt sizing, covenants and credit metrics · KA 10.2 The coverage ratios · topics: the period test, the horizon tests, and reading a ratio set together. Also Domain 15 KA 15.1 (backward, rolling and forward-looking tests).

21. Compliance test. A reviewer takes the reported ratio, the model and the finance documents, and performs five steps. (a) Confirms the report states the definition, the *period basis* and the minimum, and identifies the *binding period.* (b) Recomputes the ratio for the binding period and one other from source lines and obtains the reported figures without unexplained difference. (c) Confirms the cash line reconciles to the financial statements. (d) Confirms every adjustment is disclosed and that its prior-period application is stated. (e) Confirms the ratio is compared against the level in the finance documents for that test. Compliance is demonstrated when all five complete; a reported ratio with no minimum, or an undisclosed adjustment, is a breach.

22. Breach indicators. A certificate quoting one annual figure; an average described as "the DSCR"; a series that is not in the pack; a new adjustment appearing in the tightest period; a ratio compared against a level from the sizing test when the distribution test governs; a forward-looking figure with no statement of whose projection it uses.

23. Consequence within PCI authority. Correction required and the affected report or certificate withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: an average coverage figure conceals a failing period, and the candidate must locate the binding period and restate the report compliantly. Evidence selection: which workings a compliance certificate needs behind it. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes the reporting limb of PFL-LAW-10-01 *Debt-Service Coverage Truth* (v1.0). Amendment note: the v1.0 rule is split across PCI-PFL-STD-10.01 (definition), PCI-PFL-STD-10.02 (sizing) and this standard (calculation and reporting); *binding period* and *period basis* defined; the comparison-against-the-documented-level rule added as PR-05; the element 12 conflict between a prescribed certificate form and this standard resolved expressly.

PCI standard

PCI-PFL-STD-10.04

Covenant Interpretation

1. Normative requirement. A credential holder must not state a legal conclusion on the meaning, the breach or the consequence of a covenant; that construction belongs to qualified counsel.

2. Purpose. Covenants are how lenders keep a project fixable while options remain. The credential holder's duty is to compute and report faithfully against the documented terms — and to recognise the point at which computation becomes legal construction, which is exactly the point at which a confident professional does the most damage.

3. Scope. Every credential holder who monitors, models, certifies, negotiates, reports on or advises upon financial, information, positive and negative covenants, *distribution* conditions, *lock-up* triggers, events of default, cure rights and their consequences.

4. Defined terms. *finance documents*, *lock-up*, *distribution*, *coverage ratio*, *waiver*, *amendment*, *material*, *decision owner*, *competent reviewer*, *escalation* *threshold*, *evidence*. **Covenant register** — a record stating, for each covenant, the document and clause in which it appears, its definition set, its test dates, its levels, its cure rights and its consequences. **Interpretive question** — a question whose answer depends on the construction of language rather than on arithmetic.

5. Required actions.

- **PCI-PFL-STD-10.04-PR-01 — Maintain the covenant register.** The credential holder must maintain a *covenant register* with all six fields per covenant, sourced to the executed documents.
- **PCI-PFL-STD-10.04-PR-02 — Test on the defined dates with the defined inputs.** The credential holder must test each covenant on its defined dates using its defined inputs, and must not substitute a market convention, a textbook definition or another transaction's terms.
- **PCI-PFL-STD-10.04-PR-03 — Refer, do not resolve.** The credential holder must record every *interpretive question* and refer it to qualified counsel, and must not resolve it inside the model or the certificate.
- **PCI-PFL-STD-10.04-PR-04 — Register maintained through waivers and amendments.** The credential holder must record every *waiver* and *amendment* as a change to both the register and the model, and must re-confirm the register after each.
- **PCI-PFL-STD-10.04-PR-05 — Report a lock-up as a lock-up.** The credential holder must report a *lock-up* as a trap on cash and a default as a default, and must not describe either as the other.

6. Prohibited actions. Computing a covenant on a definition other than the documented one; giving an opinion on whether a breach has occurred, whether notice is required, or whether a cure is effective; presenting a market convention as the transaction's requirement; delaying notification of a likely breach to preserve a reporting position; treating a waived condition or covenant as satisfied; describing a lock-up as a default or a default as a lock-up.

7. Required evidence. The covenant register with document and clause references; compliance certificates and their workings; the log of *interpretive questions* referred and the advice received; the *waiver* and *amendment* log with its effect on the register; the covenant dashboard version history.

8. Responsible role. The finance director or project finance leader for compliance reporting; the lenders' agent for the lenders' position; **qualified counsel for interpretation**.

9. Approval authority. The signatory the finance documents name for each certificate. Only the finance parties, in the form the documents require, may waive or amend a covenant. Counsel, not the credential holder, resolves construction.

10. Independence requirement. A *competent reviewer* independent of preparation must review the covenant register and the position whenever a covenant approaches its level, before any *waiver* or *amendment* request, and whenever a definition changes.

11. Materiality or threshold. Every level is the documented level; PCI sets none. The *escalation threshold* is the headroom — in ratio units, cash or days — at which a position must be escalated before the test date, and it is set by the adopting organisation's governance where the finance documents do not state one. *Scale test:* on a small municipal project the register may hold a dozen covenants tested annually; on a multi-billion cross-border financing it holds several hundred across facilities, with different test dates, definitions and cure regimes per facility, and the dashboard must show the earliest binding test across the whole set rather than a consolidated position that exists in no document.

12. Exception and waiver. No exception is permitted to element 1 or to PR-03. A *waiver* of a covenant itself is a matter for the finance parties under the documents and is governed by `PCI-PFL-STD-15.03`; it does not permit the credential holder to state a legal conclusion.

13. Escalation trigger. A position at or approaching a *lock-up* or default level; a definitional ambiguity that changes the result; a proposed *amendment* whose effect on the register has not been assessed; an event that may constitute a default; a cure whose mechanics the model cannot reproduce.

14. AI application. AI may extract covenant terms and definitions into a draft register for human confirmation, monitor positions against levels, generate early-warning alerts, model cure mechanics, and draft compliance certificates for review.

15. AI prohibition. AI must not interpret a covenant, determine that a breach has or has not occurred, certify compliance, advise on cure, *waiver* or *amendment*, or characterise an event as a default.

16. AI verification. Clause-to-output comparison, by a named human, of every AI-extracted covenant term against the executed document, reading the clause itself; re-confirmation of the whole register after every amendment; and referral rather than resolution of any question the comparison leaves open. An AI-produced answer to an *interpretive question* is deleted, not filed.

> **17. External reference.**
>
> - **IAS 1 *Presentation of Financial Statements.*** Issuing organisation: IFRS Foundation / IASB. Subject: the presentation of financial statements, including the basis on which liabilities are classified as

current or non-current — the point at which a covenant position meets the reported position. Checked: in force for periods beginning before 1 January 2027; **IFRS 18 *Presentation and Disclosure in Financial Statements* replaces IAS 1 for annual reporting periods beginning on or after 1 January 2027, earlier application permitted** (register EXT-004 / EXT-003, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; **confirm which instrument applies to the period being reported**, and note that reporting classification is not covenant compliance — only the finance documents determine that.

- **The Basel Framework.** Issuing organisation: the Basel Committee on Banking Supervision. Subject: the supervisory context of lenders' covenant monitoring. Checked: consolidated framework; no standard or date asserted (register EXT-110, verified 2026-08-03). Nature: Manual §6 category 10 — illustrative practice; **internationally agreed supervisory standards with no legal force of their own**. Applicability limitation: named for context; **no requirement in this standard is sourced to it.**

18. Jurisdictional caution. The construction of covenant language, the effect of a breach, notice requirements, grace periods, the enforceability of cure rights and of acceleration, the availability of injunctive relief, and the interaction with insolvency law are all determined by the governing law of the *finance documents* and by the law of the place of enforcement, which need not be the same. Obtain qualified legal advice, and **never act on a modelled interpretation**.

19. Related PCI Standards. PCI-FND-STD-10 (competence and limitation); PCI-FND-STD-11; PCI-PFL-STD-10.01; PCI-PFL-STD-10.03; PCI-PFL-STD-12.02; PCI-PFL-STD-15.01; PCI-PFL-STD-15.03. **Increment over the foundational parent:** PCI-FND-STD-10 forbids issuing work that requires competence not held; this standard draws the boundary precisely for a financing — arithmetic on defined inputs is the professional's; the construction of the words is counsel's — and adds the register, the referral log and the rule that a lock-up and a default are reported as different events.

20. Related Body of Knowledge content. PFL-AI · Domain 10 — Debt sizing, covenants and credit metrics · KA 10.4 Covenants, default and cure · topics: covenant types, distribution lock-up, events of default and cure rights, living with covenants. Also Domain 15 KA 15.3 (refinancing, waivers and amendments).

21. Compliance test. A reviewer takes the register, the executed documents and the last two certificates, and performs five steps. (a) Selects five covenants and confirms each register entry matches the clause, definition set, test dates, level, cure right and consequence in the document. (b) Confirms each certificate was computed on the defined dates with the defined inputs. (c) Confirms every *interpretive question* in the log was referred and that no answer to one appears in the model or the certificate. (d) Confirms the register was re-confirmed after each waiver and amendment in the period. (e) Confirms any lock-up in the period is reported as a lock-up and not as a default. Compliance is demonstrated when all five complete; a legal conclusion stated by the credential holder is a breach regardless of whether it was right.

22. Breach indicators. A register without clause references; a certificate whose inputs differ from the defined ones; an email from the modeller stating that a breach "has not been triggered"; a waiver recorded in the model but not the register; a dashboard showing a consolidated covenant position across facilities with different definitions; a lock-up reported to a board as a default.

23. Consequence within PCI authority. Correction required and the affected report withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Escalation decision: a position moves within the escalation threshold before a test date and the candidate must state who is told, when, and on what record. Ethical dilemma: a sponsor asks the candidate to confirm that no default has occurred. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-10-02 *Covenant Interpretation* (v1.0). Amendment note: restructured onto the twenty-five-element form; the single bundled rule reduced to one principal obligation with five process requirements; *covenant register* and *interpretive question* defined; the lock-up/default reporting distinction added as PR-05; the IAS 1 reference carries the IFRS 18 supersession date.

PCI STANDARD

PCI-PFL-STD-10.05

Reserve-Account Governance

1. Normative requirement. A credential holder must fund, apply and release a *reserve account* only in the amounts, for the purposes and in the order the *finance documents* specify.

2. Purpose. A reserve buys payment continuity and time; it does not buy compliance. Reserves are the easiest balances in a financing to borrow against informally — funded late, applied to the wrong purpose, released early to permit a *distribution* — and each of those makes the structure weaker at exactly the moment it was built to be strong.

3. Scope. Every credential holder who models, funds, monitors, certifies, applies, releases or reports on a debt-service reserve, a maintenance reserve, a lifecycle or major-maintenance reserve, a tax reserve, a decommissioning reserve, a distribution-block account or any other account the *finance documents* require to hold a balance.

4. Defined terms. *reserve account*, *finance documents*, *distribution*, *lock-up*, *debt service*, *CFADS*, *material*, *decision owner*, *competent reviewer*, *evidence*, *verified*. **Required balance** — the balance the finance documents require the account to hold at a stated date, computed on the basis those documents state. **Permitted application** — a use of a reserve balance that the finance documents expressly allow, in the order they specify.

5. Required actions.

- **PCI-PFL-STD-10.05-PR-01 — Required-balance schedule.** The preparer must maintain a schedule of each reserve's *required balance* by date, computed on the documented basis and sourced to the clause that establishes it.
- **PCI-PFL-STD-10.05-PR-02 — Funding on time and in form.** The preparer must confirm that each reserve is funded to its required balance on the required date and in the permitted form — cash or an acceptable instrument — and must report a shortfall as a shortfall.
- **PCI-PFL-STD-10.05-PR-03 — Application only as permitted.** The preparer must confirm before each application that it is a *permitted application* and that the order of application is as specified, and must not apply a reserve to a purpose the documents do not allow.
- **PCI-PFL-STD-10.05-PR-04 — Replenishment tracked.** The preparer must track the replenishment obligation following any application, and must report the position until the required balance is restored.
- **PCI-PFL-STD-10.05-PR-05 — Release only on the documented condition.** The preparer must confirm that every release condition is satisfied before a release, and must not release a balance in order to permit a *distribution.*

6. Prohibited actions. Funding a reserve after its required date and reporting it as funded on time; substituting an instrument the documents do not permit; applying a reserve to a purpose outside the permitted list or out of order; netting a reserve shortfall against a surplus in another account; releasing a reserve early; presenting a reserve balance as *CFADS*; counting an undrawn facility as a funded reserve where the documents require cash.

7. Required evidence. The required-balance schedule with clause references; account statements or custodian confirmations at each test date; the permitted-application confirmation for each application; the replenishment tracking record; the release conditions and the evidence they were satisfied; the reporting to the agent or lenders.

8. Responsible role. The finance director or project finance leader accountable for the accounts. The account bank, agent or security trustee for the operation of the accounts under the documents.

9. Approval authority. The party the finance documents name — commonly the agent or security trustee — for an application or a release. The *decision owner* for the borrower's request. No professional judgement can substitute for the documented condition.

10. Independence requirement. Confirmation of balances must come from a source *independent* of the borrower — an account bank statement, a custodian confirmation or the agent's record — and not from the borrower's own ledger alone, before any certificate on which a *distribution* or a *lock-up* depends.

11. Materiality or threshold. The required balance is the documented balance; PCI sets no reserve level and no coverage of months. A shortfall of any size is a shortfall and is reported as one. Materiality governs escalation timing only, and the *escalation threshold* — in days before the required date, or in the proportion of the balance unfunded — is set by the adopting organisation's governance where the documents are silent. *Scale test:* on a small municipal project a single debt-service reserve funded in cash makes the schedule one line and the confirmation one statement; on a multi-billion cross-border financing with reserves per facility, per currency and per purpose, some funded by letter of credit and some in cash, the schedule is maintained per account and the permitted form is confirmed per account, because an instrument acceptable to one facility is often not acceptable to another.

12. Exception and waiver. No exception is permitted. A shortfall, a late funding, a non-permitted application or an early release can be cured only by a *waiver* from the party entitled to give one, under `PCI-PFL-STD-15.03`; until that waiver is given in the form the documents require, the position is reported as non-compliant.

13. Escalation trigger. A reserve that will not be funded to its required balance on its required date; an application proposed that is not on the permitted list; a replenishment obligation not met within its period; a release requested where a condition is unsatisfied; a permitted instrument that has been downgraded, has expired or is about to.

14. AI application. AI may compute required balances across the schedule, reconcile account statements to required balances, alert on approaching funding dates and instrument expiries, model the replenishment path, and draft the reporting for review.

15. AI prohibition. AI must not authorise a funding, an application or a release; must not decide that an application is permitted; must not confirm a balance; and must not certify that a release condition is satisfied.

16. AI verification. Reconciliation, by a named human, of every AI-computed required balance to the clause that establishes it; source tracing of every balance to an independent account confirmation rather than to the borrower's ledger; and clause-to-output comparison of each proposed application against the permitted-application list before it is made.

17. External reference.

- **IAS 7 *Statement of Cash Flows.*** Issuing organisation: IFRS Foundation / IASB. Subject: the classification of cash and of restricted balances in the statement of cash flows, which is where a reserve balance meets the reported position. Checked: current, by name only (register EXT-120, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; **it does not determine whether a reserve is adequately funded — the finance documents do.**

18. Jurisdictional caution. The effectiveness of an account charge or account-control arrangement, the perfection of security over a reserve balance, set-off rights of the account bank, the treatment of a restricted balance on the borrower's or the bank's insolvency, and any exchange control over an offshore reserve are all jurisdiction-specific — and in a cross-border financing the account's jurisdiction, the borrower's and the governing law's may differ. Obtain qualified local legal advice on each account before relying on a reserve as security or as available cash.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-11; PCI-PFL-STD-10.01; PCI-PFL-STD-10.03; PCI-PFL-STD-14.04; PCI-PFL-STD-15.01. **Increment over the foundational parent:** PCI-FND-STD-02 requires an evidenced trail behind a claim; this standard states what the trail must prove for a reserve — the required balance sourced to its clause, funding on the date and in the permitted form, each application checked against the permitted list before it is made, replenishment tracked to restoration, and independent confirmation of the balance itself.

20. Related Body of Knowledge content. PFL-AI · Domain 10 — Debt sizing, covenants and credit metrics · KA 10.3 Reserve accounts and the debt-service schedule · including reserve tolerance. Also Domain 15 KA 15.2 (the cash waterfall in operation, reserves and distributions).

21. Compliance test. A reviewer takes the required-balance schedule, the account confirmations and the application records, and performs five steps. (a) Confirms each required balance in the schedule matches the clause cited, recomputing it on the documented basis. (b) Compares the independent account confirmation at each test date to the required balance. (c) For each application in the period, confirms it appears on the permitted list and was made in the specified order. (d) Confirms every replenishment obligation was met within its period, or is being reported. (e) Confirms every release was preceded by evidence that each condition was satisfied. Compliance is demonstrated when all five complete; a balance confirmed only by the borrower's own ledger is a failed step.

22. Breach indicators. A reserve funded on the day after its required date and reported as compliant; a letter of credit from an institution the documents do not permit; a reserve applied to an operating cost outside the permitted list; a release immediately preceding a distribution; a replenishment obligation that has been open for several periods without report; a reserve balance included in *CFADS*.

23. Consequence within PCI authority. Correction required and the affected certificate or report withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Scenario judgement: a release is requested to enable a distribution and one condition is unsatisfied — the candidate must state the required action. Calculation review: computing a required balance on a documented basis and reconciling it to an account confirmation. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 addressed reserves only obliquely, through the distribution standard. *Required balance* and *permitted application* defined; independent confirmation of balances made an element 10 requirement; replenishment tracking added as its own process requirement.

Domain 11 — Risk identification and allocation

PCI standard

PCI-PFL-STD-11.01

Risk-Allocation Honesty

1. Normative requirement. A credential holder must record where each *material* risk actually lands once the contracts, caps, exclusions, deductibles, insurance and counterparty credit are read together, and must not represent a risk as transferred where that reading leaves it with the project.

2. Purpose. Risk allocation is written across many documents and is usually summarised in one matrix. A cap, an exclusion, a liability basket, an uninsured peril or a counterparty that cannot pay each returns a risk to the project silently, and the matrix keeps saying it was transferred. Lenders, sponsors and grantors then price something that does not exist.

3. Scope. Every credential holder who identifies, allocates, models, reviews, reports on or approves project risk — construction and completion, market, demand, price, supply, operations, counterparty, political and regulatory, currency, interest rate, force majeure, environmental and social, technology, cybersecurity and AI model risk — at development, close, in operation and on restructuring.

4. Defined terms. *material*, *evidence*, *decision owner*, *finance documents*, *competent reviewer*, *verified*, *decision-grade*, *escalation threshold*. **Allocation matrix** — a record stating, for each risk: the bearing party, the clause that places it there, the financial limit on that party's liability, the instrument backing it, and the residual position with the project. **Residual position** — the part of a risk that remains with the project after every transfer mechanism is read at its limits.

5. Required actions.

- **PCI-PFL-STD-11.01-PR-01 — Allocation matrix with limits.** The preparer must maintain an *allocation matrix* containing all five fields for every *material* risk, sourced to the clauses that create the allocation.
- **PCI-PFL-STD-11.01-PR-02 — Read the transfer at its limit.** The preparer must state, for each transferred risk, the cap, exclusion, deductible, time bar and condition on which the transfer depends, and must compute the *residual position* on the basis that each of those operates.
- **PCI-PFL-STD-11.01-PR-03 — Counterparty capacity.** The preparer must record the credit standing of each party bearing a *material* risk and the instrument supporting it, and must treat a risk transferred to a party that cannot meet it as retained to the extent of the shortfall.

- **PCI-PFL-STD-11.01-PR-04 — Orphan and double-cover identification.** The preparer must identify every risk that no party bears and every risk two mechanisms purport to cover, and must report both.

6. Prohibited actions. Presenting a risk as transferred without stating the cap or the exclusion; describing insurance as covering a peril the policy excludes; treating a parent guarantee as unlimited where it is capped; assuming a counterparty's performance without recording its credit standing; netting an orphan risk against a doubly covered one; carrying a matrix forward after the contracts change.

7. Required evidence. The allocation matrix with clause references and limits; the residual-position calculation for each *material* transferred risk; the counterparty credit records and supporting instruments; the orphan and double-cover report; the version history of the matrix against the contract set.

8. Responsible role. The project finance leader accountable for the risk position. The *decision owner* for the sanction, credit or investment decision taken on it.

9. Approval authority. The decision owner approves the risk position for use. Only the parties can change an allocation, by amending the contracts.

10. Independence requirement. A *competent reviewer* independent of the negotiating team must review the matrix and the residual positions before financial close and before any restructuring proposal, because the negotiating benefit runs to the allocation being presented as complete.

11. Materiality or threshold. A risk is *material* where its *residual position*, quantified, exceeds the figure recorded in the engagement's materiality statement in the transaction's own metric — for example a stated movement in the minimum *coverage ratio* or a stated cash amount against available headroom and contingency. **PCI sets no figure**, and where a risk cannot be quantified the preparer records that expressly rather than treating it as immaterial. *Scale test:* on a small municipal project the matrix may hold twenty risks and one contractor, and PR-03 is a single credit check; on a multi-billion cross-border financing with dozens of counterparties, layered insurance and political-risk cover across jurisdictions, the matrix is maintained per contract package and PR-04 does the heaviest work, because orphan risks emerge at the interfaces between packages rather than inside them.

12. Exception and waiver. No exception is permitted to element 1. A risk may be recorded as *retained and accepted* by the project, which is compliance, provided the retention is on the face of the matrix, quantified where it can be quantified, and accepted in writing by the *decision owner.*

13. Escalation trigger. A *material* residual position that was previously reported as transferred; a counterparty downgrade or failure affecting a risk-bearing obligation; an orphan risk discovered after the contracts are signed; an insurance renewal that narrows cover; a cap consumed by a claim.

14. AI application. AI may extract allocation clauses, caps, exclusions and time bars from the contract set into a draft matrix, identify risks named in one document and absent from another, compare insurance schedules against the risk list, and model the residual position under stated limits.

15. AI prohibition. AI must not conclude that a risk is transferred, decide that a residual position is acceptable, assess a counterparty's ability to pay, or approve a risk matrix.

16. AI verification. Clause-to-output comparison, by a named human, of every AI-extracted allocation against the clause itself, including its proviso and its exclusions; independent recomputation of each *material* residual position; and source tracing of every counterparty credit statement to the record that evidences it. An AI matrix that has not been clause-checked is a draft, not a matrix.

17. External reference.

- **ISO 31000 *Risk management — Guidelines.*** Issuing organisation: ISO. Subject: principles and a process for managing risk. Checked: ISO 31000:2018, 2nd edition, reviewed and confirmed 2023 (register EXT-020, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard; **guidance, not a certifiable requirements standard — nothing can be certified against it.** Applicability limitation: voluntary unless a law or contract imports it.
- **The FIDIC suite of conditions of contract.** Issuing organisation: FIDIC (International Federation of Consulting Engineers). Subject: standard forms allocating construction risk between employer and contractor. Checked: **characterised generically; no book, clause number or edition is asserted** (register EXT-050, verified 2026-08-03 — note that clause numbering moved between editions). Nature: Manual §6 category 4 — contract framework. Applicability limitation: **binds only the parties who adopt it, and only through the contract they sign; it is not generally applicable legislation.**
- **IFC *Performance Standards on Environmental and Social Sustainability.*** Issuing organisation: IFC, World Bank Group. Subject: environmental and social risk expectations. Checked: 2012 edition; Sustainability Framework update in progress (register EXT-083, verified 2026-08-03). Nature: Manual §6 category 8 — voluntary environmental or social framework. Applicability limitation: binding on IFC clients by contract; on others only where adopted. **Status is moving — verify the current position.**

18. Jurisdictional caution. The enforceability of a liability cap, an exclusion clause, a liquidated damages provision, an indemnity and a parent guarantee differs by jurisdiction, and some are unenforceable in some places; the availability and scope of political-risk and force-majeure cover is jurisdiction- and insurer-specific; and sanctions may make a counterparty unusable irrespective of its credit. Obtain qualified local legal advice on the enforceability of each transfer mechanism before relying on it — a cap that is void does not cap.

19. Related PCI Standards. `PCI-FND-STD-05`; `PCI-FND-STD-11`; `PCI-PFL-STD-05.01`; `PCI-PFL-STD-09.01`; `PCI-PFL-STD-12.01`; `PCI-PFL-STD-12.02`. **Increment over the foundational parent:** `PCI-FND-STD-05` requires the conditions a conclusion rests on to be stated with equal prominence; this standard names the mechanism by which a risk matrix becomes dishonest without a false statement in it — reading a transfer at its headline rather than at its limit — and requires caps, exclusions, counterparty capacity, orphans and double cover all to be on the face of the record.

20. Related Body of Knowledge content. PFL-AI · Domain 11 — Risk identification and allocation · KA 11.1–11.4. Also Domain 12 KA 12.4 (risk allocation, claims and change) and Domain 5 KA 5.3 (the bankability test).

21. Compliance test. A reviewer takes the matrix and the contract and insurance set, and performs four steps. (a) Selects the five largest *material* risks and confirms each matrix row's clause reference matches the clause, including its provisos. (b) For each, reads the cap, exclusion, deductible and time bar and recomputes the *residual position*, obtaining the figure in the matrix. (c) Confirms each risk-bearing counterparty's credit record is present and dated. (d) Confirms the orphan and double-cover report covers the interfaces between contract packages. Compliance is demonstrated when all four complete; a risk shown as transferred whose recomputed residual position is *material* and unreported is a breach.

22. Breach indicators. A matrix with a "bearing party" column and no limit column; insurance listed against a peril its policy excludes; a guarantee shown without its cap; a matrix dated before the last contract amendment; no orphan report at all; a counterparty whose credit was assessed at bid and never since.

23. Consequence within PCI authority. Correction required and the affected matrix or report withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Scenario judgement: a matrix shows a completion risk as transferred and the contract caps damages well below the funded cost of delay — the candidate must quantify the residual and restate the row. Evidence selection: which document establishes where a risk lands. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-11-01 *Risk Allocation Honesty* (v1.0). Amendment note: restructured onto the twenty-five-element form; *allocation matrix* and *residual position* defined; counterparty capacity and the orphan/double-cover report raised to process requirements; FIDIC characterisation tightened to record that clause numbering moved between editions and that none is asserted.

Domain 12 — Contracts and transaction structure

PCI STANDARD

PCI-PFL-STD-12.01

Contract-Source Verification

1. Normative requirement. A credential holder must take every contractual term used in a model, register, certificate or report from the executed document itself, read at the clause.

2. Purpose. A term sheet, a summary, a précis in a diligence report, a previous transaction's schedule and a machine extraction are all easier to read than a signed contract, and all of them are routinely wrong in the detail that matters — a proviso, a cross-reference, a defined term used in a narrower sense. Everything downstream inherits the error, and the model reconciles perfectly to it.

3. Scope. Every credential holder who takes a term from a contract into any model, register, certificate, dashboard, report or advice — including tariff and payment mechanics, indexation, availability and deduction regimes, liquidated damages, caps and exclusions, termination and compensation, security and direct-agreement terms, and every defined term used in a covenant or a *CFADS* definition.

4. Defined terms. *finance documents*, *source line*, *evidence*, *verified*, *material*, *decision owner*, *competent reviewer*, *authoritative version*. **Executed document** — the signed agreement in its current form, including every amendment, side letter and variation in effect at the date used. **Clause-level reading** — reading the operative clause together with its definitions, provisos, cross-references and any schedule it invokes.

5. Required actions.

- **PCI-PFL-STD-12.01-PR-01 — Read at the clause.** The preparer must perform a *clause-level reading* of the *executed document* for every *material* term before using it, and must not rely on a summary, a term sheet or a précis as the source.
- **PCI-PFL-STD-12.01-PR-02 — Cite the clause.** The preparer must record, as the term's *source line*, the document, its date and execution status, and the clause and defined terms relied on.
- **PCI-PFL-STD-12.01-PR-03 — Amendment currency.** The preparer must confirm that the version read is the version in effect at the date used, including all amendments and side letters, and must re-read the term after any amendment.
- **PCI-PFL-STD-12.01-PR-04 — Discrepancy reporting.** The preparer must report any discrepancy between the executed document and a summary, diligence report or previous model, to the *decision owner* and to the party that produced the summary.

6. Prohibited actions. Taking a term from a term sheet, a summary, a diligence report, a prior model or a machine extraction without reading the clause; using a term from a draft as though executed; ignoring a side letter; treating a defined term in its ordinary sense where the contract defines it; carrying a term across from a comparable transaction; leaving a discovered discrepancy unreported.

7. Required evidence. The *source line* for each *material* term, with document, date, execution status and clause; the record of the clause-level reading, dated and attributed; the amendment-currency confirmation; the discrepancy reports issued and their responses.

8. Responsible role. The preparer who takes the term into the output, personally. The *decision owner* for the output that relies on it.

9. Approval authority. The decision owner approves the output. No one may approve the use of a term that has not been read at the clause. Where the clause's *meaning* is in question, that is an interpretive question for counsel under `PCI-PFL-STD-10.04-PR-03` and `PCI-PFL-STD-12.02`.

10. Independence requirement. A *competent reviewer* independent of preparation must re-read a sample of *material* terms at the clause as part of any model audit or diligence review under `PCI-PFL-STD-13.01`; the sampling basis is stated before the sample is drawn.

11. Materiality or threshold. A term is *material* where a difference between the summary and the clause would change a modelled output by more than the figure recorded in the engagement's materiality statement, in the transaction's own metric, or would change a covenant, a *distribution* test or a termination outcome at all. **PCI sets no figure.** *Scale test:* on a small municipal project the contract set may be three documents and PR-01 is achievable in full for every term; on a multi-billion cross-border financing with dozens of agreements in several languages, PR-01 is applied in full to every material term and by stated sampling to the remainder, with the sampling basis recorded — and where a governing text is in another language, the translation's status is recorded with the source line.

12. Exception and waiver. No exception is permitted for a *material* term. For a non-material term during a live negotiation, the *decision owner* may approve in writing the temporary use of an agreed draft, provided the output states that the term is drawn from a draft, names the draft version, and is re-based on the executed document before the output is used for a decision. Duration: until execution or fourteen days, whichever is earlier.

13. Escalation trigger. A discrepancy between the executed document and a diligence summary; a side letter discovered after a model was built; an amendment that changes a term already in use; a governing text in a language nobody on the team reads; an executed document that cannot be located.

14. AI application. AI may locate candidate clauses across a large document set, extract terms and their defined terms into a draft register, compare two versions of a document, detect that a summary and a clause differ, and flag cross-references and provisos for human reading.

15. AI prohibition. AI must not be the source of a contractual term; must not decide that a proviso does not apply; must not confirm that a document is the executed version; and must not resolve a discrepancy between a summary and a clause. **An AI extraction is a pointer to a clause, never a substitute for reading it.**

16. AI verification. Clause-to-output comparison by a named human for every AI-extracted *material* term — opening the executed document, reading the operative clause with its definitions and provisos, and confirming the extracted term against it; plus a stated sample of non-material extractions. Recorded per term with the reader's name and the date.

> **17. External reference.**
>
> - **The FIDIC suite of conditions of contract.** Issuing organisation: FIDIC. Subject: standard forms of construction contract whose clause numbering and drafting differ between editions and amendment sets. Checked: **characterised generically; no book, clause number or edition asserted** (register EXT-050, verified 2026-08-03). Nature: Manual §6 category 4 — contract framework. Applicability limitation: **binds only the parties who adopt it, through the contract they sign — never legislation**; and a project's contract is commonly an amended form, so the standard form is not a safe source for a term.

- **ISO 15489-1 *Information and documentation — Records management — Part 1: Concepts and principles.*** Issuing organisation: ISO. Subject: the characteristics that make a record reliable and retrievable. Checked: ISO 15489-1:2016 (register EXT-025, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract.

18. Jurisdictional caution. Which text governs where a contract exists in two languages, whether an electronic execution is valid, whether a side letter varies the main agreement, the effect of an entire-agreement clause, and the admissibility of pre-contractual material in construing a term are all questions of the governing law and can differ between the contracts in a single financing. Obtain qualified legal advice on the effective document set before relying on it — see PCI-PFL-STD-12.02.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-06; PCI-PFL-STD-06.04; PCI-PFL-STD-10.01; PCI-PFL-STD-10.04; PCI-PFL-STD-11.01; PCI-PFL-STD-16.02. **Increment over the foundational parent:** PCI-FND-STD-06 requires a dated check that a source is the version in force for the matter; this standard fixes what counts as the source for a contractual term — the executed clause with its definitions and provisos, at the version in effect — and adds a positive duty to report a discrepancy back to whoever produced the summary that was wrong.

20. Related Body of Knowledge content. PFL-AI · Domain 12 — Contracts and transaction structure · KA 12.1 EPC and O&M, KA 12.2 offtake, concession, supply and interface agreements, KA 12.3 guarantees, direct agreements and the security package, KA 12.4 risk allocation, claims and change. Also Domain 13 KA 13.1 (the diligence streams).

21. Compliance test. A reviewer selects the *material* terms used in an output and, for each: opens the executed document at the clause cited; reads the operative clause with its definitions and provisos; and confirms the term as used matches. The reviewer then (d) confirms the document version read is the one in effect at the output date, including amendments and side letters. Compliance is demonstrated when every selected term matches and the version is current; a term matching a summary but not the clause is a breach, and so is a correct term with no clause citation.

22. Breach indicators. A model whose tariff sheet cites a diligence report; a term in use that exists only in a superseded draft; a defined term used in its ordinary sense; a register built entirely from a machine extraction with no reading record; an amendment in the data room that no register reflects; a discrepancy found and quietly corrected without a report.

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Evidence selection: given a term sheet, a diligence summary and an executed clause that differ, the candidate identifies the source that governs and the required action. AI-verification case: a machine extraction omits a proviso that reverses the result. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 required the executed documents to be applied in the covenant and conditions-precedent standards but never stated the sourcing discipline itself, so the obligation existed only by implication. *Executed document* and *clause-level reading* defined; discrepancy reporting made a process requirement.

PCI STANDARD

PCI-PFL-STD-12.02

The Tax and Legal Advice Boundary

1. Normative requirement. A credential holder must not give legal, tax, accounting, regulatory or insurance advice, and must obtain written advice from an adviser qualified in the relevant jurisdiction before any treatment, contractual position or structure is adopted or represented as correct.

2. Purpose. Project finance sits on top of tax structuring, security law, insolvency law, regulation and insurance, and the finance professional is the person in the room most often asked what the position is. Answering is easy, feels helpful, is usually approximately right, and is exactly how a structure fails years later — when the approximation meets a tax authority, a security registry or an administrator.

3. Scope. Every credential holder, in every role, on every transaction, whenever a question of law, tax, accounting treatment, regulatory permission or insurance coverage arises. Applies to advice given internally and externally, in writing and orally, and to the modelling of a treatment as much as to its statement.

4. Defined terms. *material*, *evidence*, *decision owner*, *finance documents*, *verified*, *escalation threshold.* **Qualified adviser** — a person or firm authorised to give advice on the subject in the relevant jurisdiction, engaged for that purpose, and identifiable from the engagement record. **Treatment** — a tax, accounting, legal or regulatory position adopted in a model, a document or a decision.

5. Required actions.

- **PCI-PFL-STD-12.02-PR-01 — Identify the boundary question.** The credential holder must identify every question in their work whose answer depends on law, tax, accounting treatment, regulation or insurance coverage, and must record it as a boundary question rather than answering it.
- **PCI-PFL-STD-12.02-PR-02 — Obtain written advice before adoption.** The credential holder must obtain written advice from a *qualified adviser* in the relevant jurisdiction before a *treatment* is adopted in a decision-grade output or represented as correct.
- **PCI-PFL-STD-12.02-PR-03 — Model to the advice, and to its limits.** The credential holder must model the treatment as the advice states it, must record the advice's stated assumptions, qualifications, scope and date as part of the assumption's *basis*, and must not extend the treatment beyond the entity, structure, period or jurisdiction the advice covers.
- **PCI-PFL-STD-12.02-PR-04 — Re-take advice on change.** The credential holder must obtain fresh advice where the structure, the entity, the jurisdiction, the period or the law changes, and must not carry an earlier opinion across the change.

6. Prohibited actions. Stating a legal, tax, accounting, regulatory or insurance conclusion; describing a treatment as correct, standard, market or safe on the strength of experience; modelling a treatment with no advice behind it and presenting it as the position; extending an opinion to another entity or jurisdiction; relying on an adviser's oral indication; presenting a *treatment* whose advice is qualified without carrying the qualification; using an opinion after the standard it addressed has changed.

7. Required evidence. The boundary-question log with dates and dispositions; the written advice with its scope, assumptions, qualifications and date; the record linking each modelled treatment to the advice that supports it; the fresh-advice records following each change; the *decision owner's* acceptance of any treatment adopted without advice, and the reason.

8. Responsible role. The credential holder, personally, for staying inside the boundary. The *decision owner* for the decision to adopt a treatment and for engaging the adviser.

9. Approval authority. The *qualified adviser* determines the treatment. The decision owner adopts it. **No PCI standard and no credential confers authority to determine a legal, tax, accounting, regulatory or insurance position**, and no PCI process validates one.

10. Independence requirement. The *qualified adviser* must be engaged to advise the party relying on the advice, or the advice must be capable of being relied upon by that party on its stated terms. Advice addressed to another party and not capable of being relied upon is recorded as such, and is not treated as advice to the relying party.

11. Materiality or threshold. The boundary is not a matter of size: a legal or tax conclusion is outside the credential holder's competence regardless of the amount at stake. Materiality governs the *depth and formality* of the advice sought — the *decision owner* records, in the engagement's materiality statement, the exposure at which a formal written opinion is required rather than a confirming note from the adviser, in the transaction's own metric. **PCI sets no figure.** *Scale test:* on a small municipal project a single confirming letter from local counsel and the entity's auditor may cover the whole treatment set, and the burden is proportionate; on a multi-billion cross-border financing the log runs to hundreds of questions across jurisdictions, is maintained per jurisdiction and per entity, and PR-04 is what prevents a five-year-old structuring opinion being relied upon after a tax reform.

12. Exception and waiver. No exception is permitted to element 1. Where a decision must be taken before advice can be obtained, the *decision owner* may approve in writing the use of a provisional treatment, provided it is labelled provisional on the face of the output, the advice is sought immediately, the output is re-based when the advice arrives, and every recipient is notified. Duration: until the advice is received. Compensating control: the provisional treatment is excluded from any representation, certificate or public document.

13. Escalation trigger. A request for a legal, tax or accounting conclusion; a treatment adopted with no advice; advice that is qualified in a way that changes the modelled result; a change of law, structure, entity or jurisdiction after advice was given; an adviser declining to opine; a treatment that depends on a filing or clearance not yet obtained.

14. AI application. AI may summarise advice received for human reading, identify questions in a document set that are likely to be boundary questions, track which treatments have advice and which do not, compare a modelled treatment against the advice's stated scope, and draft the boundary-question log.

15. AI prohibition. AI must not give legal, tax, accounting, regulatory or insurance advice, and must not be relied upon as a source for any *treatment*. AI must not conclude that a treatment is correct, must not confirm that an opinion covers a structure, and must not be recorded as the basis of a treatment. An AI answer to a boundary question is deleted, not filed.

16. AI verification. Clause-to-output comparison, by a named human, of every AI summary of advice against the advice document itself, including its assumptions and qualifications; and confirmation by the *qualified adviser*, where the summary is to be relied upon, that the summary is accurate. A summary of advice that the adviser has not confirmed is not advice.

17. External reference.

- **IAS 12 *Income Taxes.*** Issuing organisation: IFRS Foundation / IASB. Subject: the financial *reporting* of income taxes. Checked: current, by name only (register EXT-121, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; **it governs the reporting of tax, never the tax position itself**, which is a matter of the applicable tax law and requires qualified local advice.
- **OECD *Model Tax Convention on Income and on Capital.*** Issuing organisation: OECD. Subject: a model text used in negotiating bilateral tax treaties. Checked: current, by name only; no article or date asserted (register EXT-129, verified 2026-08-03). Nature: Manual §6 category 10 — illustrative practice. Applicability limitation: **it is a model instrument and is not law in any jurisdiction.** Only an executed treaty between the relevant states, as applied under each state's domestic law, binds — and its terms commonly differ from the model. Named for context only.
- **ISO/IEC 17024 *Conformity assessment — General requirements for bodies operating certification of persons.*** Issuing organisation: ISO/IEC. Subject: the scope and limits of what a personnel certification attests. Checked: a **2026 edition has been published, superseding the 2012 edition** (register EXT-022, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract; **PCI claims no accreditation to it through this reference**, and a PCI credential attests competence in project finance, not authority to advise on law or tax.

18. Jurisdictional caution. This standard is a jurisdictional caution in its entirety. Tax residence, permanent establishment, withholding, transfer pricing, interest limitation, indirect tax on construction and on tariffs, the creation and perfection of security interests, the priority of creditors, insolvency and enforcement, exchange controls, regulatory licences, sanctions and financial-crime obligations, and the availability and scope of insurance are **all** jurisdiction- specific, frequently amended, and often interact across the several jurisdictions present in one financing. An answer obtained for one entity, one structure, one period or one jurisdiction says nothing about another.

19. Related PCI Standards. PCI-FND-STD-10 (competence and limitation); PCI-FND-STD-11; PCI-PFL-STD-06.03; PCI-PFL-STD-09.02; PCI-PFL-STD-10.04; PCI-PFL-STD-12.01. **Increment over the foundational parent:** PCI-FND-STD-10 forbids accepting or continuing work that requires competence not held; this standard makes the referral operational in a financing — a logged boundary question, written advice before adoption, modelling to the advice's stated limits, and fresh advice on any change of entity, structure, period or jurisdiction, which is the failure mode a general competence rule never catches.

20. Related Body of Knowledge content. PFL-AI · Domain 12 — Contracts and transaction structure · KA 12.1–12.4, whose treatment is expressly commercial, with jurisdiction-specific matters referred to qualified counsel. Also Domain 2 KA 2.3 (project-relevant treatments) and Domain 1 KA 1.3 (fiduciary awareness; financial crime, bribery, sanctions and the money-laundering perimeter).

21. Compliance test. A reviewer takes the model, the outputs and the advice file, and performs four steps. (a) Lists every *treatment* in the model — tax rate, allowances, depreciation, withholding, indirect tax, security, accounting classification — and confirms each is linked to a written advice document. (b) For each, confirms the advice covers the entity, the structure, the period and the jurisdiction modelled, and that its qualifications are carried into the assumption's *basis*. (c) Searches the outputs and correspondence for statements of legal, tax, accounting, regulatory or insurance conclusion by the credential holder, and finds none. (d) Confirms that each change of structure, entity, jurisdiction or law in the period was followed by fresh advice. Compliance is demonstrated when all four complete; a modelled treatment with no advice is a breach.

22. Breach indicators. A tax rate in a model with "standard rate" as its basis; an email answering "is this deductible?"; an opinion addressed to another party filed as this party's advice; a structure extended to a new jurisdiction on the old opinion; an adviser's qualification stripped out of the model note; a phrase such as "market practice is" used to settle a legal question.

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Ethical dilemma: a sponsor presses for a view on deductibility before close and the candidate must state what they may say, what they must not say, and what they must obtain. Evidence selection: identifying which of four documents constitutes advice the relying party may rely upon. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-12-01 *The Advice Boundary* (v1.0). Amendment note: restructured onto the twenty-five-element form; *qualified adviser* and *treatment* defined; the boundary-question log, the modelling-to-the-limits rule and the fresh-advice-on-change rule made process requirements; the OECD Model Tax Convention characterisation tightened to state that it is not law in any jurisdiction.

Domain 13 — Due diligence and financial close

PCI STANDARD

PCI-PFL-STD-13.01

Independent Model Review

1. Normative requirement. A model audit, diligence review or adviser's report relied upon by any party other than the reviewer's own team must be performed by a person *independent* of the work reviewed.

2. Purpose. A review is worth exactly what its independence is worth. A reviewer who built the model, who reports to the person who built it, or whose continuing mandate depends on a clean conclusion, produces a document that reads like assurance and functions as advocacy — and the parties relying on it cannot tell the difference from the outside.

3. Scope. Every model audit, financial-model review, technical or financial diligence report, lender's adviser report, second review of a *base case*, and every internal review whose conclusion is communicated outside the preparing team. Applies to the reviewer, to the person engaging the reviewer, and to the credential holder who relies on the report.

4. Defined terms. *independent*, *competent reviewer*, *verified*, *material*, *evidence*, *decision owner*, *finance documents*, *authoritative version*, *model owner*. **Review scope statement** — a written statement, issued before the review begins, of what is reviewed, what is excluded, the *materiality* figure applied, the procedures performed and the limitations on reliance. **Finding** — a difference, error, omission or limitation identified by the review, recorded with its quantified effect where it can be quantified.

5. Required actions.

- **PCI-PFL-STD-13.01-PR-01 — Independence recorded before engagement.** The reviewer must record, and the engaging party must obtain, a statement addressing each of the four limbs of *independent* before the engagement begins, and must update it if circumstances change.
- **PCI-PFL-STD-13.01-PR-02 — Scope statement issued first.** The reviewer must issue the *review scope statement* before the review begins, and must not extend, narrow or re-date it after the findings are known without recording the change and its reason.
- **PCI-PFL-STD-13.01-PR-03 — Findings reported with quantified effect.** The reviewer must report every *finding*, with its quantified effect where it can be quantified and with a statement that it cannot where it cannot, and must not suppress, aggregate or reclassify a finding to reach a cleaner conclusion.
- **PCI-PFL-STD-13.01-PR-04 — Version identified.** The reviewer must identify the *authoritative version* reviewed and must state expressly that the report does not extend to any later version.
- **PCI-PFL-STD-13.01-PR-05 — No self-review.** A credential holder must not review their own work, and must not accept a review engagement whose fee, continuing mandate or other benefit varies with the conclusion reached.
- **PCI-PFL-STD-13.01-PR-06 — Exclusions named on the face of the report.** The reviewer must record, in the *review scope statement* and on the face of the report, each excluded area that the reviewer considers capable of a *material* effect on the conclusion, must state that the exclusion was set by the engaging party, and must not describe the conclusion as unqualified while such an exclusion stands. A scope narrow enough to exclude the area the reviewer believes carries the risk is a reportable fact, not a private one.

6. Prohibited actions. Reviewing one's own work; accepting a fee or mandate contingent on the conclusion; issuing a report without a scope statement; re-dating a scope statement after findings are known; describing a review as independent where any limb of *independent* fails; presenting a review of one version as covering another; agreeing a finding's wording with the party reviewed in exchange for its removal.

7. Required evidence. The independence statement addressing all four limbs, dated before engagement; the review scope statement as first issued and any recorded amendment; the findings log with quantified effects; the version identification; the engagement terms showing the fee basis; the reviewer's working papers supporting each finding; the record under PR-06 of each excluded area the reviewer considers capable of a material effect.

8. Responsible role. The named individual reviewer who signs the report, personally. The engaging party's *decision owner* for engaging a reviewer who satisfies element 10.

9. Approval authority. The reviewer alone determines the findings and the conclusion. The engaging party may determine the scope **before** the review begins; it must not determine a finding. A dispute about a finding is recorded, not resolved by the engaging party.

10. Independence requirement. All four limbs of *independent* apply, in relation to the work reviewed and to the transaction: the reviewer did not prepare the work; is not in the preparer's reporting line and does not report to a person whose performance is measured by the conclusion; receives no benefit varying with the conclusion; and holds no financial interest in the transaction or a party to it. **Where any limb fails, the work may still be useful, but it must not be described as independent**, and the failing limb must be stated in the report.

11. Materiality or threshold. The *materiality* figure applied is stated in the review scope statement, in the transaction's own metric — for example a stated movement in the minimum *coverage ratio*, which is how model audits in this market ordinarily express it. **PCI sets no figure**, because a defensible figure depends on the transaction's size, its headroom and the decision the review supports; the *decision owner* and the reviewer agree it before the review begins, and it is not changed after findings are known. *Scale test:* on a small municipal project a single reviewer, a short scope statement and a materiality expressed in ratio units are proportionate; on a multi-billion cross-border financing the scope statement is partitioned by workstream and tranche, each partition carries its own materiality, and PR-04 matters most because the model moves daily during close.

12. Exception and waiver. No exception is permitted to PR-05 or to element 10's description rule. A review performed by a person who fails a limb of independence may be issued as a **review that is not independent**, expressly so labelled, with the failing limb stated, approved in writing by the engaging party's *decision owner*, and reported to every party to whom it is provided. It must never be described, cited or relied upon as an independent review.

13. Escalation trigger. Discovery that a limb of independence fails after engagement; pressure to remove, soften or aggregate a finding; a scope narrowed after findings are known; a *material* finding that the engaging party declines to disclose to a party relying on the report; a report cited in support of a later model version.

14. AI application. AI may recompute a model, run regression and check-block suites, compare two versions, test formula consistency, extract contractual terms for the reviewer's clause-level reading, and draft findings for the reviewer's confirmation.

15. AI prohibition. AI must not perform the review; must not sign, issue or approve a report; must not decide that a difference is not a finding; must not determine *materiality*; and must not be described as independent, because independence is a property of a relationship and a tool has none.

16. AI verification. Independent recomputation by the named reviewer of every *material* AI-derived finding; clause-to-output comparison of AI-extracted contractual terms against the executed clause under `PCI-PFL-STD-12.01`; boundary testing of any AI-run check suite by seeding a known error; and the reviewer's personal sign-off on each finding. **The reviewer's name on the report attests to the reviewer's own work, not to the tool's.**

17. External reference.

- **IESBA / IFAC — *International Code of Ethics for Professional Accountants (including International Independence Standards).*** Issuing organisation: the International Ethics Standards Board for Accountants, under IFAC. Subject: ethics and independence for professional accountants. Checked: current, by name only; no section or date asserted (register `EXT-127`, verified 2026-08-03). Nature: Manual §6 category 6 — ethical code. Applicability limitation: **binding only where a professional body, regulator or engagement has adopted it. A PCI credential holder who is not subject to it is not made subject to it by a PCI standard**; it is named because its independence concepts are the reference discipline this standard's four limbs express in PCI's own words.
- **ISO/IEC 17024 *Conformity assessment — General requirements for bodies operating certification of persons.*** Issuing organisation: ISO/IEC. Subject: impartiality in certification of persons. Checked: a **2026 edition has been published, superseding the 2012 edition** (register `EXT-022`, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract; addresses certification bodies, not reviewers of financial models. **No PCI accreditation is claimed through this reference.**
- **The Equator Principles.** Issuing organisation: the Equator Principles Association. Subject: the independent-review expectations adopting institutions apply to environmental and social assessment. Checked: EP4, adopted 18 November 2019, effective 1 October 2020 (register

EXT-082, verified 2026-08-03). Nature: Manual §6 category 8 — voluntary environmental or social framework. Applicability limitation: **voluntary; never legislation**; applies to adopting institutions' own transactions.

18. Jurisdictional caution. Whether a reviewer owes a duty to a third party relying on a report, the effect of a reliance letter or a hold-harmless, the enforceability of a liability cap in an engagement letter, and any statutory or professional restriction on providing both advisory and assurance services to the same client, are jurisdiction- and profession-specific. Obtain qualified legal advice on reliance and liability before a report is provided to a party outside the engagement.

19. Related PCI Standards. PCI-FND-STD-08; PCI-FND-STD-10; PCI-PFL-STD-01.02; PCI-PFL-STD-06.05; PCI-PFL-STD-13.02; PCI-PFL-STD-16.03. **Increment over the foundational parent:** PCI-FND-STD-08 requires conflicts to be disclosed; this standard goes further for a review by making independence a four-limb factual test recorded *before* engagement, forbidding self-review outright, fixing the scope and materiality before findings are known, and requiring a non-independent review to be labelled as one rather than merely disclosed.

20. Related Body of Knowledge content. PFL-AI · Domain 13 — Due diligence and financial close · KA 13.2 Model audit · including the materiality threshold expressed in the transaction's own metric. Also KA 13.1 (the diligence streams) and Domain 6 KA 6.4 (model audit and its economics).

21. Compliance test. A reviewer of the review takes the report, the engagement file and the model, and performs six steps. (a) Confirms an independence statement addressing all four limbs is dated before the engagement began. (b) Confirms the fee basis in the engagement terms does not vary with the conclusion. (c) Compares the scope statement as first issued with the one in the report and confirms either that they match or that a recorded, reasoned amendment exists dated before the findings. (d) Confirms every finding in the working papers appears in the report, with its quantified effect. (e) Confirms the report identifies the model version reviewed and disclaims later versions. (f) Reads the scope statement's exclusions against the transaction's own risk register and the working papers, and confirms that every exclusion the working papers show the reviewer considered capable of a *material* effect is named on the face of the report under PR-06. Compliance is demonstrated when all six complete; a finding in the working papers absent from the report is a breach, and so is an exclusion the working papers treat as material that the report does not carry.

22. Breach indicators. A report describing itself as independent with no independence statement; a success fee in the engagement letter; a scope statement dated after the fieldwork; findings graded "observation" that carry *material* effects; a report cited at close against a model version issued afterwards; a reviewer employed by the sponsor reviewing the sponsor's own model.

23. Consequence within PCI authority. Correction required and the affected report withheld from reliance; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Ethical dilemma: a reviewer is asked to downgrade a finding in exchange for the next mandate. Evidence selection: from an engagement file, the candidate identifies which documents establish independence and which do not. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-13-01 *Independence of Review* (v1.0). Amendment note: restructured onto the twenty-five-element form; *review scope statement* and *finding* defined; the four-limb independence test brought in from the Definitions; the labelled non-independent review route added at element 12, which v1.0 lacked and which practitioners resolved by calling such reviews independent anyway. **Stage 9 amendment:** an independent reviewer could satisfy every requirement while the engaging party scoped the review away from the area carrying the risk, producing a clean report that reads as assurance; PR-06 and step (f) of element 21 require an exclusion the reviewer considers capable of a material effect to be named on the face of the report.

PCI standard

PCI-PFL-STD-13.02

Adviser Independence

1. Normative requirement. A credential holder must not describe themselves, their firm, their advice or their output as *independent* while any limb of the definition of *independent* fails.

2. Purpose. *Independent* is the most load-bearing word an adviser uses, and the cheapest to misuse. It is not a description of character, effort or good intentions; it is a factual claim about four specific relationships — authorship, reporting line, remuneration and financial interest — and a party pricing risk on the strength of the word is entitled to have all four be true.

3. Scope. Every credential holder acting as, or engaged as, an adviser, reviewer, expert, modeller, monitor, technical adviser, market consultant or assurance provider on a project financing, and every credential holder who commissions, engages or relies upon such a person. Covers descriptions in engagement letters, reports, presentations, marketing material, credentials pages and oral statements.

4. Defined terms. *independent*, *competent reviewer*, *decision owner*, *material*, *evidence*, *verified*. **Contingent benefit** — any fee, bonus, commission, carried interest, continuing mandate, future engagement or other benefit whose existence or amount varies with the conclusion reached or with whether the transaction proceeds. **Role separation** — the arrangement by which the individual advising on a matter is not the individual reviewing or approving it.

5. Required actions.

- **PCI-PFL-STD-13.02-PR-01 — Four-limb test recorded.** The credential holder must record, against each of the four limbs of *independent*, whether it is satisfied, before using the word in relation to themselves or their output.
- **PCI-PFL-STD-13.02-PR-02 — Contingent benefits disclosed.** The credential holder must disclose in writing every *contingent benefit* to every party relying on the output, before the output is relied upon.
- **PCI-PFL-STD-13.02-PR-03 — Role separation within a firm.** Where one firm both advises and reviews, the firm must record the *role separation*, name the individuals on each side, and must not describe the review as independent of the firm — only, where the four limbs hold at individual level, as independent of the advising team.
- **PCI-PFL-STD-13.02-PR-04 — Correction of description.** The credential holder must correct, in writing and to every recipient, any description of themselves or their output as independent that has become inaccurate.

6. Prohibited actions. Using *independent* where any limb fails; describing a firm as independent where the firm holds a *contingent benefit*, even if the individual does not; presenting *objective*, *impartial* or *arm's-length* as equivalent to independent where the four limbs do not hold; accepting a success fee on an assurance engagement; allowing a marketing description to outlive the arrangement it described.

7. Required evidence. The four-limb record, dated; the written disclosure of every contingent benefit with its recipients; the role-separation record naming individuals; engagement letters and fee schedules; the corrections issued under PR-04 with their distribution.

8. Responsible role. The credential holder, personally, for descriptions of themselves and their output. The engaging organisation's responsible partner or officer for firm-level descriptions.

9. Approval authority. No one may approve the use of the word where a limb fails — **the word is a statement of fact, and a fact is not within anyone's authority to approve.** The engaging party's *decision owner* approves the engagement on the disclosed basis.

10. Independence requirement. This standard *is* the independence requirement for adviser roles. Independence is assessed at the level of the individual signing and, separately, at the level of the firm, and both assessments are recorded because they can differ.

11. Materiality or threshold. No materiality applies to the word: a limb either holds or it does not. Materiality governs the *disclosure* of a benefit that does not defeat independence — the engaging organisation's governance records the value or class of ordinary-course benefit that need not be disclosed, and that record must exclude any benefit connected to the transaction or its parties. **PCI sets no figure.** *Scale test:* on a small municipal project the adviser is often a single person and the test is answered in four lines; on a multi-billion cross-border financing with a firm holding several roles across the same transaction and its parties, PR-03 does the work, and the honest answer is frequently "independent of the advising team, not of the firm" — which this standard requires to be said in exactly those terms.

12. Exception and waiver. No exception is permitted. The available route is accurate description: an adviser who fails a limb may act, and may be useful, provided the output is not described as independent and the failing limb is stated. That route requires no approval because it is compliance.

13. Escalation trigger. A limb failing after the word has been used; a contingent benefit introduced mid-engagement; a firm accepting a second role on the same transaction; discovery that marketing material describes an engagement as independent when it is not; a party relying on the word who has not received the disclosures.

14. AI application. AI may screen a firm's engagement and fee data against the four limbs, surface other engagements with parties to the transaction, monitor for newly arising contingent benefits, and draft disclosure wording for review.

15. AI prohibition. AI must not determine that a person or firm is independent, decide that a contingent benefit is immaterial, approve a description, or be described as independent itself.

16. AI verification. Source tracing of each AI-surfaced engagement or benefit to the record that evidences it; the credential holder's own recorded confirmation against personal knowledge that no limb fails; and clause-to-output comparison of each AI-drafted disclosure against the fee schedule it describes. A clean machine screen is not a finding of independence.

17. External reference.

- **IESBA / IFAC — *International Code of Ethics for Professional Accountants (including International Independence Standards).*** Issuing organisation: IESBA, under IFAC. Subject: independence in fact and in appearance, and threats to it. Checked: current, by name only (register EXT-127, verified 2026-08-03). Nature: Manual §6 category 6 — ethical code. Applicability limitation: **binding only where a professional body, regulator or engagement has adopted it; a PCI credential holder who is not subject to it is not made subject to it by a PCI standard.** Named as the reference discipline; this standard's four limbs are PCI's own formulation.
- **G20/OECD *Principles of Corporate Governance.*** Issuing organisation: OECD, with the G20. Subject: disclosure and the management of conflicts in governance. Checked: 2023 revision, OECD/LEGAL/0413 (register EXT-128, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; specifically an **OECD Council Recommendation — intergovernmental, non-binding, not legislation anywhere.** Applicability limitation: creates no obligation for a credential holder.

18. Jurisdictional caution. Statutory and professional restrictions on combining advisory and assurance roles, rules on adviser registration and authorisation, restrictions on success fees for certain services, and the legal effect of describing an output as independent differ by jurisdiction and by profession — and a description lawful in one place can be a regulated statement in another. Obtain qualified legal and professional-body advice before using the word in a regulated context.

19. Related PCI Standards. PCI-FND-STD-08; PCI-FND-STD-02; PCI-PFL-STD-01.02; PCI-PFL-STD-13.01; PCI-PFL-STD-09.03. **Increment over the foundational parent:** PCI-FND-STD-08 requires conflicts to be disclosed and PCI-FND-STD-02 forbids a claim that the identified evidence does not support; this standard addresses one such claim — the word *independent* applied to an adviser or an output — and converts it from a self-description into a recorded four-limb factual test assessed at both individual and firm level.

20. Related Body of Knowledge content. PFL-AI · Domain 13 — Due diligence and financial close · KA 13.1 The diligence streams. Also Domain 1 KA 1.3 (conflicts and independence) and Domain 13 KA 13.2 (model audit).

21. Compliance test. A reviewer takes every document in which the credential holder or their output is described as independent and performs four steps. (a) Locates the four-limb record and confirms it is dated before first use of the word. (b) Tests each limb against the engagement letter, the fee schedule, the organisation chart and the firm's engagement register. (c) Confirms every *contingent benefit* found is in a written disclosure to each relying party, dated before reliance. (d) Where one firm holds both roles, confirms the description is qualified to independence of the advising team rather than of the firm. Compliance is demonstrated when all four complete; the word used with a failing limb is a breach, whether or not the advice was in fact objective.

22. Breach indicators. A report headed "independent" with a success fee in the appendix; a firm describing itself as independent while holding an arranging mandate; a four-limb record created after the report; a marketing page describing a lapsed arrangement; a reviewer inside the preparer's reporting line; the words *objective* and *independent* used interchangeably.

23. Consequence within PCI authority. Correction required and the affected description withdrawn; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Scenario judgement: a firm advising the sponsor is asked to provide the lenders' model audit, and the candidate must state what may be described how. Ethical dilemma: a proposed fee uplift payable on financial close, offered to an assurance provider. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard** — v1.0 addressed independence only inside `PFL-LAW-13-01`, and only for reviews. Amendment note: *contingent benefit* and *role separation* defined; firm-level and individual-level assessment separated; the correction duty added; the honest-description route made explicit so that useful non-independent work is not driven into misdescription.

PCI standard

PCI-PFL-STD-13.03

Conditions Precedent

1. Normative requirement. A credential holder must treat a *condition precedent* as satisfied only when the *evidence* the *finance documents* require has been delivered and accepted by the party entitled to accept it.

2. Purpose. Conditions precedent are the mechanism by which lenders control when money moves. A condition recorded as satisfied on the strength of an expectation, a draft, an oral acceptance or a substantially complete deliverable moves the drawing forward and the protection backward — and the record shows a clean close.

3. Scope. Every credential holder who tracks, prepares, certifies, reviews, accepts or reports on conditions precedent to effectiveness, first drawing, a subsequent drawing, a release, a completion test or any other event the finance documents condition. Applies at close and throughout the availability period.

4. Defined terms. *conditions precedent*, *finance documents*, *evidence*, *waiver*, *material*, *decision owner*, *competent reviewer*, *verified*, *source line*. **CP register** — a record listing each condition, the clause requiring it, the deliverable, the party entitled to accept it, the acceptance status, the date, and any *waiver* or deferral with its terms. **Acceptance** — the confirmation, in the form the finance documents require, by the party entitled to give it, that the deliverable satisfies the condition.

5. Required actions.

- **PCI-PFL-STD-13.03-PR-01 — CP register maintained.** The credential holder must maintain a *CP register* with all seven fields per condition, sourced to the clause requiring it.
- **PCI-PFL-STD-13.03-PR-02 — Status recorded truthfully.** The credential holder must record each condition as *satisfied*, *outstanding*, *waived* or *deferred*, and must not record a waived or deferred condition as satisfied.
- **PCI-PFL-STD-13.03-PR-03 — Acceptance evidenced.** The credential holder must hold, for each satisfied condition, the deliverable and the *acceptance* by the party entitled to accept it, in the form the documents require.
- **PCI-PFL-STD-13.03-PR-04 — Waiver and deferral terms carried.** The credential holder must record, for each waived or deferred condition, who waived or deferred it, on what terms, until when, and what must then happen — and must track it to closure.
- **PCI-PFL-STD-13.03-PR-05 — No certification while any condition is outstanding.** The credential holder must not certify or report that conditions are met while any remains outstanding, and must identify the outstanding conditions by name in any status report.

6. Prohibited actions. Recording a condition as satisfied on a draft, an expectation, an oral assurance or a substantially complete deliverable; recording a waived or deferred condition as satisfied; certifying a complete condition set while one is outstanding; accepting a deliverable on behalf of a party not entitled to accept it; allowing a deferral to lapse untracked; back-dating an acceptance.

7. Required evidence. The CP register with clause references; each deliverable with its *source line*; each acceptance in the required form; the waiver and deferral instruments with their terms and long-stop dates; the closure record for each deferral; the status reports issued.

8. Responsible role. The credential holder maintaining the register and reporting status. The lenders' agent, or the party the documents name, for acceptance.

9. Approval authority. Only the party the *finance documents* entitle may accept a deliverable, waive a condition or grant a deferral, in the form those documents require. No credential holder, and no PCI standard, can substitute for that party.

10. Independence requirement. A *competent reviewer* independent of the transaction team must reconcile the CP register to the documents and to the deliverables before financial close and before first drawing, because the transaction team's benefit runs to close occurring.

11. Materiality or threshold. No materiality applies to satisfaction: a condition is satisfied or it is not, and the *finance documents* set the standard, not PCI. Materiality governs *escalation timing* — the *escalation threshold* is the number of days before the target close or drawdown date at which an outstanding condition must be escalated, set by the adopting organisation's governance or by the transaction timetable. *Scale test:* on a small municipal project the register may hold twenty conditions and one accepting party, and reconciliation takes an hour; on a multi-billion cross-border financing it holds several hundred across facilities with different accepting parties and different forms of acceptance, the register is maintained per facility, and PR-04 does the heaviest work because deferrals accumulate through a long close and each carries its own long-stop.

12. Exception and waiver. No exception to element 1 is permitted, because the standard's whole subject is the difference between satisfaction and its absence. A condition may be *waived* or *deferred* by the party entitled to do so, in the form the documents require — that is the documents' own exception mechanism, and this standard requires only that it be recorded as what it is and tracked to closure.

13. Escalation trigger. A condition outstanding within the escalation window; a deliverable accepted informally or by a party not entitled to accept; a deferral whose long-stop is approaching or has passed; a waiver granted without terms; a condition satisfied by a document that has since been amended.

14. AI application. AI may build a draft CP register from the finance documents, match deliverables in the data room to conditions, track status and long-stop dates, alert on approaching deadlines, and draft the status report for review.

15. AI prohibition. AI must not accept a deliverable, determine that a condition is satisfied, waive or defer a condition, certify a condition set, or record an acceptance.

16. AI verification. Clause-to-output comparison, by a named human, of every AI-built register entry against the clause requiring the condition; source tracing of each satisfied status to the deliverable **and** to the acceptance instrument; and confirmation that the accepting party is the one the documents entitle. An AI match between a data-room document and a condition is a candidate, not a satisfaction.

17. External reference.

- **ISO 15489-1 *Information and documentation — Records management — Part 1: Concepts and principles.*** Issuing organisation: ISO. Subject: what makes a record reliable, authentic and retrievable — the properties a condition-satisfaction record needs. Checked: ISO 15489-1:2016 (register EXT-025, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract; it sets no condition and no retention period for a financing.
- **The Equator Principles.** Issuing organisation: the Equator Principles Association. Subject: environmental and social conditions that adopting institutions commonly make conditions to effectiveness or drawing. Checked: EP4, adopted 18 November 2019, effective 1 October 2020 (register EXT-082, verified 2026-08-03). Nature: Manual §6 category 8 — voluntary environmental or social framework. Applicability limitation: **voluntary; never legislation.** Where an adopting institution makes it a condition, the obligation comes from the finance documents, not from the framework.

18. Jurisdictional caution. Whether a security interest is validly created and perfected, whether a legal opinion is capable of being relied upon, whether an authorisation is final or appealable, whether notarisation, registration, stamping or translation is required, and what constitutes valid execution are all jurisdiction-specific — and in a multi-jurisdictional financing each condition may be governed by a different law. Obtain qualified local legal advice on each condition's satisfaction in its own jurisdiction; a condition satisfied under one law is not thereby satisfied under another.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-05; PCI-FND-STD-11; PCI-PFL-STD-12.01; PCI-PFL-STD-13.04; PCI-PFL-STD-14.02; PCI-PFL-STD-15.03. **Increment over the foundational parent:** PCI-FND-STD-02 requires an evidenced trail behind a claim; this standard states what the trail must contain for a condition — the deliverable *and* the acceptance by the entitled party in the required form — and forbids the specific substitution that a close under time pressure invites, namely recording a waiver or a deferral as satisfaction.

20. Related Body of Knowledge content. PFL-AI · Domain 13 — Due diligence and financial close · KA 13.3 Conditions precedent and documentation · including the CP chain and its duration. Also KA 13.4 (syndication and financial close) and Domain 14 KA 14.1 (draw requests and conditions).

21. Compliance test. A reviewer takes the finance documents, the CP register and the deliverable file, and performs five steps. (a) Confirms every condition in the documents appears in the register with its clause. (b) For each condition marked *satisfied*, locates the deliverable and the acceptance, and confirms the acceptance is by the entitled party in the required form. (c) Confirms no waived or deferred condition is marked satisfied. (d) Confirms each deferral has terms, a long-stop and a tracking entry. (e) Confirms any status report issued while a condition was outstanding named it. Compliance is demonstrated when all five complete; a satisfied status with a deliverable but no acceptance is a breach.

22. Breach indicators. A register with a status column and no acceptance column; a condition satisfied by a draft opinion; a waiver recorded as "agreed"; a deferral with no long-stop; a certificate of satisfaction issued the day before the last deliverable arrived; an acceptance signed by the borrower's own counsel where the documents require the agent's.

23. Consequence within PCI authority. Correction required and the affected certificate or report withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Escalation decision: two conditions remain outstanding on the morning of close and the candidate must state what may be certified, by whom, and what must be escalated. Evidence selection: distinguishing a deliverable from an acceptance. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-13-02 *Conditions Precedent* (v1.0). Amendment note: restructured onto the twenty-five-element form; *CP register* and *acceptance* defined; the seven register fields specified; waiver and deferral tracking to closure added as PR-04; the compliance test made performable by separating deliverable from acceptance.

PCI standard

PCI-PFL-STD-13.04

Financial-Close Readiness

1. Normative requirement. A credential holder must not treat a transaction as closed until the complete closing record — the executed document set, the locked *base case*, the final *sources and uses*, the condition-satisfaction record and the *funds flow* — has been captured, identified and retained as one record.

2. Purpose. Close is the point at which a transaction stops being negotiable and starts being administered, often by people who were not there. Everything the project will be measured against for twenty years is fixed on that day, and an incomplete record means that in three years nobody can say what was agreed, at what version, on what numbers.

3. Scope. Every credential holder involved in financial close, first drawing, a syndication or accession, an amendment-and-restatement, or a refinancing close. Applies to preparation, review, certification and retention of the closing record.

4. Defined terms. *finance documents*, *base case*, *sources and uses*, *funds flow*, *authoritative version*, *evidence*, *decision owner*, *competent reviewer*, *verified*, *conditions precedent*. **Closing record** — the single, identified, retained set comprising the executed *finance documents* and all ancillary executed documents, the locked *base case* with its integrity control, the final *sources and uses*, the *CP register* with its deliverables and acceptances, the *funds flow* as executed, and the register of *waivers* and deferrals outstanding at close. **Closed** — the state in which the finance documents have become effective in accordance with their terms.

5. Required actions.

- **PCI-PFL-STD-13.04-PR-01 — Assemble the closing record.** The credential holder must assemble the *closing record* in full, with an index identifying each component and its version.
- **PCI-PFL-STD-13.04-PR-02 — Lock and control the base case.** The credential holder must ensure the *base case* is locked at close under PCI-PFL-STD-06.05-PR-05, with an integrity control recorded in the index.
- **PCI-PFL-STD-13.04-PR-03 — Reconcile the closing numbers.** The credential holder must reconcile the final *sources and uses* to the *funds flow* as executed and to the *base case*, and must explain every difference.

- **PCI-PFL-STD-13.04-PR-04 — Carry the open items forward.** The credential holder must produce, as part of the record, a schedule of every condition waived or deferred at close and every post-close obligation, with its owner and its long-stop date, and must hand it to the party who will administer it.
- **PCI-PFL-STD-13.04-PR-05 — Retain and make retrievable.** The credential holder must retain the closing record for the period the *finance documents*, applicable law and the engaging organisation's governance require, and must ensure it is retrievable by a person who was not present at close.

6. Prohibited actions. Treating a transaction as closed on an incomplete record; describing a transaction as closed before the documents are effective in accordance with their terms; retaining a closing record only as links to a data room that will be decommissioned; omitting the waived and deferred items from the record; permitting the locked base case to be superseded in place; issuing a closing certificate whose numbers do not reconcile to the funds flow.

7. Required evidence. The closing-record index with a version per component; the executed document set; the locked base case with its integrity control value; the final sources and uses; the funds flow as executed; the CP register with deliverables and acceptances; the open-items schedule with owners and long-stops; the retention and retrievability record.

8. Responsible role. The project finance leader accountable for close. The *decision owner* for the organisation's acceptance that the transaction has closed.

9. Approval authority. The parties the *finance documents* name determine when the documents become effective. The *decision owner* approves the closing record as complete. **No credential holder may declare a transaction closed on the strength of a timetable.**

10. Independence requirement. A *competent reviewer* independent of the closing team must confirm the completeness of the closing record against the index and the reconciliation under PR-03, within a period the engaging organisation's governance states after close, because the closing team disperses.

11. Materiality or threshold. Completeness is not a percentage: each component in the definition of *closing record* is present or the record is incomplete. Materiality governs the *reconciliation tolerance* under PR-03 — expressed in the transaction's currency at the rounding precision of the funds flow, recorded by the *decision owner*. **PCI sets no figure.** *Scale test:* on a small municipal project the closing record may be a single indexed folder assembled in a day; on a multi-billion cross-border financing with several facilities, jurisdictions and currencies, the index is maintained per facility, the funds flow reconciliation is performed per currency, and PR-05 is the binding constraint because the record must outlive the data room, the arranger's mandate and the individuals.

12. Exception and waiver. No exception is permitted to element 1. Where a component genuinely cannot be captured at close — a document in transit for notarisation, for example — the *decision owner* may approve in writing a record marked incomplete, naming the missing component, its owner and the date by which it will be added, and the record must be completed and re-indexed by that date. The incompleteness is reported to the party that will administer the financing.

13. Escalation trigger. A component missing from the record after close; a reconciliation difference between the funds flow and the sources and uses that cannot be explained; a locked base case whose integrity control does not match; an open item with no owner; a retention arrangement that will not outlive the data room.

14. AI application. AI may assemble and index the closing record, check the index against a template for missing components, reconcile the sources and uses to the funds flow, extract post-close obligations and long-stop dates into the open-items schedule, and verify that every executed document in the index is present.

15. AI prohibition. AI must not determine that a transaction has closed, certify the record as complete, approve a reconciliation difference, or be the sole holder of the record.

16. AI verification. Reconciliation, by a named human, of the AI-produced index against the executed document list and against the CP register; independent recomputation of the sources-and-uses to funds-flow reconciliation; and recomputation of the integrity control on the locked base case. Recorded in the index with the reviewer's name and the date.

17. External reference.

- **ISO 15489-1** ***Information and documentation — Records management — Part 1: Concepts and principles.*** Issuing organisation: ISO. Subject: authenticity, reliability, integrity and usability of records — the four properties a closing record must have to be usable years later. Checked: ISO 15489-1:2016 (register EXT-025, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract; it sets no retention period for a project financing.
- **ISO/IEC 27001** ***Information security, cybersecurity and privacy protection — Information security management systems — Requirements.*** Issuing organisation: ISO/IEC. Subject: information-

security management, relevant to the integrity and availability of a retained closing record. Checked: ISO/IEC 27001:2022, 3rd edition, **plus Amendment 1:2024** (register EXT-023, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard; certifiable. Applicability limitation: voluntary unless imported by law or contract; certification is a third party's opinion about a management system at a point in time.

18. Jurisdictional caution. Statutory retention periods, the evidential status of an electronic original, execution and notarisation formalities, registration and stamping deadlines that run from close, data-localisation rules, and personal-data retention limits are all jurisdiction-specific and can conflict across the jurisdictions in one financing. A missed post-close registration deadline can invalidate security. Obtain qualified local legal advice on execution formalities, post-close filings and retention before the record is designed.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-12; PCI-PFL-STD-06.05; PCI-PFL-STD-13.03; PCI-PFL-STD-14.01; PCI-PFL-STD-14.04. **Increment over the foundational parent:** PCI-FND-STD-12 requires records to be attributable, time-fixed and any later alteration detectable; this standard names the components a *financing* record must contain, requires them to be one identified set with an index and a version per component, requires the closing numbers to reconcile, and requires the open items to be handed to the person who will administer them.

20. Related Body of Knowledge content. PFL-AI · Domain 13 — Due diligence and financial close · KA 13.4 Syndication and financial close · including the funds-flow statement reconciled to the close-cost budget. Also KA 13.3 (conditions precedent and documentation) and Domain 6 KA 6.2 (sources and uses).

21. Compliance test. A reviewer takes the closing-record index and performs five steps. (a) Confirms every component in the definition of *closing record* appears in the index with a version. (b) Retrieves three components at random, as a person who was not present at close, and confirms each is available in the form indexed. (c) Recomputes the integrity control on the locked *base case* and compares it to the index value. (d) Reconciles the final sources and uses to the funds flow as executed, within the recorded tolerance. (e) Confirms the open-items schedule lists every waived and deferred condition from the CP register, each with an owner and a long-stop. Compliance is demonstrated when all five complete; a component available only through a decommissioned data room fails step (b).

22. Breach indicators. A closing bible that is a folder of links; a base case in the record whose file date is later than close; a funds flow that does not tie to the sources and uses; deferred conditions that appear nowhere after close; an index with no version column; nobody able to produce the record two years later.

23. Consequence within PCI authority. Correction required and any closing certification withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Evidence selection: from a list of documents, the candidate assembles the minimum complete closing record. Scenario judgement: a transaction is announced as closed while one facility's documents are not yet effective. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes `PFL-LAW-13-03` *Financial-Close Evidence* (v1.0). Amendment note: restructured onto the twenty-five-element form; *closing record* and *closed* defined; the open-items handover added as PR-04; retrievability by a person who was not present at close made the operative test of retention, replacing an unverifiable "retained" obligation.

Domain 14 — Construction monitoring and drawdown

PCI STANDARD

`PCI-PFL-STD-14.01`

Sources-and-Uses Integrity

1. Normative requirement. A credential holder must present a *sources and uses* statement whose two totals are equal, and must not close the gap with an uncommitted source, an unallocated balancing item or a figure that no other statement supports.

2. Purpose. The sources-and-uses statement is the transaction's single arithmetic promise: this is what the project costs, and this is the money that pays for it. A balancing item, an assumed contribution or a source that is not yet committed converts that promise into an assertion, and the project discovers the difference during construction, when the options are worst.

3. Scope. Every credential holder who prepares, reviews, certifies, approves or relies upon a sources-and-uses statement — at screening, at sanction, at close, at each drawing, on each variation, and on any restructuring or refinancing.

4. Defined terms. *sources and uses*, *finance documents*, *cost-to-complete*, *material*, *evidence*, *decision owner*, *competent reviewer*, *verified*, *source line*, *authoritative version*. **Committed source** — funding that a party is contractually obliged to provide, evidenced by an executed document, subject only to conditions that are within the project's control or already satisfied. **Balancing item** — any line whose value is derived from the difference between the two totals rather than from its own evidence.

5. Required actions.

- **PCI-PFL-STD-14.01-PR-01 — Every source classified.** The preparer must classify each source as *committed* or *uncommitted*, with the *source line* of the document that commits it, and must show the two classes separately.
- **PCI-PFL-STD-14.01-PR-02 — No balancing item.** The preparer must derive every line from its own evidence, and must not include a *balancing item*; where the totals do not agree, the difference is reported as an unfunded amount or an unallocated surplus, named as such.
- **PCI-PFL-STD-14.01-PR-03 — Uses reconciled to the cost base.** The preparer must reconcile the uses to the capital-cost estimate, the financing costs, the interest during construction, the fees, the working capital and the reserves, and must reconcile the total to the *cost-to-complete* at each update.
- **PCI-PFL-STD-14.01-PR-04 — Contingency shown, not absorbed.** The preparer must show contingency and any management reserve as separate uses with their release authority, and must not absorb a cost overrun into contingency without recording the draw.

6. Prohibited actions. Balancing the statement with a plug; presenting an uncommitted source as committed; netting an unfunded amount against an unallocated surplus; omitting interest during construction, fees or working capital from uses; absorbing an overrun into contingency silently; carrying a superseded statement into a drawdown certificate.

7. Required evidence. The statement with sources classified and *source lines* attached; the executed documents committing each committed source; the reconciliation of uses to the cost base and to the *cost-to-complete*; the contingency schedule with draws and release authority; the version history of the statement against the model *authoritative version*.

8. Responsible role. The project finance leader accountable for the funding plan. The *decision owner* for the sanction, close or drawing that relies on the statement.

9. Approval authority. The decision owner approves the statement for use; the lenders' agent or technical adviser approves it where the *finance documents* make it a condition of drawing. A source becomes committed only when the committing party executes the document — no approval can make it so.

10. Independence requirement. A *competent reviewer* independent of the project team must verify the classification of sources and the reconciliation to the cost base before financial close and before any drawing that depends on an in-balance test.

11. Materiality or threshold. The totals are equal or the statement is wrong; there is no tolerance on the identity itself beyond the rounding precision recorded by the *decision owner*. Materiality governs escalation of an unfunded amount — the figure, in the transaction's currency or as a proportion of remaining *cost-to-complete*, is recorded in the engagement's materiality statement, and where the *finance documents* define an in-balance test **that documented test governs and is the one applied**. *Scale test:* on a small municipal project the statement is a dozen lines and one grant; on a multi-billion cross-border financing it is maintained per currency and per facility, with a separate statement for each drawdown currency, because a statement that balances in aggregate can be out of balance in a currency the project cannot convert.

12. Exception and waiver. No exception is permitted to element 1 or to PR-02. A statement showing an **unfunded amount**, named and quantified, with the party expected to fund it and the date, is compliance and needs no exception — it is the balancing item, not the shortfall, that this standard forbids.

13. Escalation trigger. An unfunded amount at any update; a source moving from committed to uncommitted; a contingency draw that takes remaining contingency below the *cost-to-complete* risk allowance; a use omitted from the statement and discovered later; a difference between the statement and the *funds flow* at a drawing.

14. AI application. AI may assemble the statement from the model and the cost base, classify sources against the executed document set for confirmation, reconcile uses to the cost-to-complete, detect a balancing item by tracing each line to its evidence, and produce the per-currency views.

15. AI prohibition. AI must not classify a source as committed, decide that an unfunded amount is acceptable, approve a statement, or create a line whose value it has derived from the difference between the totals.

16. AI verification. Independent recomputation of both totals by a named human; source tracing of every committed source to the executed document that commits it; and reconciliation of the uses to the cost base and to the *cost-to-complete*. A line the human cannot trace to its own evidence is treated as a *balancing item* and removed.

17. External reference.

- **The FIDIC suite of conditions of contract.** Issuing organisation: FIDIC. Subject: the payment and certification mechanics that determine when a construction cost becomes a use. Checked: characterised generically; **no book, clause number or edition asserted** (register EXT-050, verified 2026-08-03). Nature: Manual §6 category 4 — contract framework. Applicability limitation: binds only the parties who adopt it, through the contract they sign; not legislation, and commonly amended in a project contract.
- **ISO 15489-1 *Records management — Part 1.*** Issuing organisation: ISO. Subject: reliability and retrievability of the records evidencing each source and use. Checked: ISO 15489-1:2016 (register EXT-025, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract.

18. Jurisdictional caution. Whether a grant or subsidy is committed and irrevocable, the tax treatment of grants and of capitalised interest and fees, indirect tax on construction costs and its recoverability and timing, exchange controls affecting a source in another currency, and the insolvency treatment of an undrawn commitment are all jurisdiction-specific and can change the statement. Obtain qualified local legal and tax advice on each source and on the treatment of financing costs — see PCI-PFL-STD-12.02.

19. Related PCI Standards. PCI-FND-STD-06; PCI-FND-STD-02; PCI-PFL-STD-09.01; PCI-PFL-STD-14.02; PCI-PFL-STD-14.03; PCI-PFL-STD-14.04; PCI-PFL-STD-13.04. **Increment over the foundational parent:** PCI-FND-STD-02 forbids presenting a figure that the identified evidence does not support; this standard names the mechanism specific to a funding plan — a plug that makes an out-of-balance project look funded — and requires each source to be classified against an executed document and each line to stand on its own evidence.

20. Related Body of Knowledge content. PFL-AI · Domain 14 — Construction monitoring and drawdown · KA 14.1 Sources and uses, draw requests and conditions. Also Domain 6 KA 6.2 (sources and uses; the identity by construction) and Domain 8 KA 8.1–8.3 (cost, escalation, contingency and management reserve).

21. Compliance test. A reviewer takes the statement, the executed document set and the cost base, and performs four steps. (a) Adds both columns independently and confirms equality within the recorded rounding precision.

(b) Traces each source classified *committed* to an executed document and confirms the conditions remaining are within the project's control or satisfied. (c) Traces every use line to its own evidence and confirms none is derived from the difference between the totals. (d) Reconciles total uses to the current *cost-to-complete* plus costs incurred, and explains each difference. Compliance is demonstrated when all four complete; a line that cannot be traced to its own evidence is a breach.

22. Breach indicators. A line called "sponsor support" with no commitment letter; a use line whose value changes whenever another line changes; contingency falling without a recorded draw; a statement that balances only after a rounding line; a per-currency view that has never been produced on a multi-currency deal; a statement dated before the last variation order.

23. Consequence within PCI authority. Correction required and the affected statement withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: a statement balances only through a plug, and the candidate must locate it, name the unfunded amount and restate the statement. Evidence selection: which document makes a source committed. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 mentioned the sources-and-uses statement inside the close and drawdown standards but imposed no obligation on its integrity. *Committed source* and *balancing item* defined; per-currency treatment required at scale; the unfunded-amount route made explicit so that honesty is available without an exception.

PCI standard

PCI-PFL-STD-14.02

Drawdown Control

1. Normative requirement. A credential holder must not request, certify or approve a drawing for work not performed, for costs not incurred or not evidenced, or while the project is out of balance without that fact being disclosed in the request.

2. Purpose. The drawdown is where the financing meets the site. Money drawn against work not done, or drawn while the remaining funding no longer covers the remaining cost, removes the lenders' principal protection at the point they are most exposed and least able to withdraw.

3. Scope. Every credential holder who prepares, certifies, reviews, approves or relies upon a draw request, an application for payment, a drawdown certificate or a lender's monitoring report during the availability period, on any facility.

4. Defined terms. *cost-to-complete*, *sources and uses*, *finance documents*, *conditions precedent*, *evidence*, *material*, *decision owner*, *competent reviewer*, *verified*, *source line*. **In balance** — the state in which committed and available funding at least equals the remaining *cost-to-complete* plus the amounts the *finance documents* require to be held, tested on the basis those documents state. **Committed and available funding** — amounts that a party is legally bound to provide under an executed instrument and that the borrower is entitled to draw on satisfying conditions within its own control. A letter of support, a letter of comfort, an indication of interest, an uncommitted facility, a term sheet, an unexecuted equity subscription, a forecast surplus and an anticipated contingency release are **not** committed and available funding, and including any of them in the in-balance test misstates it. Where such an amount is presented at all, it is presented separately, named, and identified as uncommitted. **Certified value** — the value of work performed as certified by the person the construction contract entitles to certify it.

5. Required actions.

- **PCI-PFL-STD-14.02-PR-01 — Evidence of value.** The preparer must support each draw request with the *certified value* of work performed, or with evidence of cost incurred, for every amount requested.
- **PCI-PFL-STD-14.02-PR-02 — Current cost-to-complete.** The preparer must support each draw request with a *cost-to-complete* current at the request date, prepared under `PCI-PFL-STD-14.03`.
- **PCI-PFL-STD-14.02-PR-03 — In-balance test on the documented basis.** The preparer must test whether the project is *in balance* on the basis the *finance documents* state, and must disclose the result in the request, including where it is negative.
- **PCI-PFL-STD-14.02-PR-04 — Conditions to the drawing confirmed.** The preparer must confirm that every condition to that drawing is satisfied under `PCI-PFL-STD-13.03`, and must identify any waived or deferred condition in the request.
- **PCI-PFL-STD-14.02-PR-05 — Advance and retention treatment.** The preparer must show advance payments, retention and their recovery separately, and must not present an advance payment as value earned.

6. Prohibited actions. Requesting or certifying against uncertified work; drawing for a cost not yet incurred where the documents require incurrence;

presenting an advance payment as value earned; suppressing a negative in-balance result; drawing while a condition is unsatisfied without disclosing it; front-loading a drawdown to build a cash cushion outside the documented purpose.

7. **Required evidence.** The draw request with its supporting certificates and invoices; the *cost-to-complete* current at the request date; the in-balance test with its documented basis and its result; the conditions confirmation; the advance-payment and retention schedule; the approvals obtained.

8. **Responsible role.** The project finance leader or finance director who signs the request. The lenders' technical adviser or agent for the lenders' confirmation, where the documents require it.

9. **Approval authority.** The party the *finance documents* name approves the drawing. The *decision owner* approves the borrower's request. A negative in-balance result can be cured only by additional committed funding or by a *waiver* under `PCI-PFL-STD-15.03` — never by a re-presentation.

10. **Independence requirement.** The *certified value* must come from the person the construction contract entitles to certify it, who is *independent* of the party requesting payment; where the finance documents require a lenders' technical adviser, that adviser's confirmation must satisfy the four limbs of *independent* in relation to the borrower and the contractor.

11. **Materiality or threshold. The in-balance test is the test in the finance documents — its basis, its inclusions and its required headroom — and PCI states none of them.** Where the documents are silent, the preparer applies committed and available funding against remaining *cost-to-complete* plus required reserve balances, states that basis expressly, and labels it as the preparer's basis. Materiality governs escalation of a shortfall, recorded by the *decision owner* in the transaction's own metric. *Scale test:* on a small municipal project with monthly certificates from a single contract, the request is a short pack and the in-balance test one line; on a multi-billion cross-border financing with several facilities drawing in different currencies against multiple contracts, the in-balance test is performed on the documented consolidated basis **and** per facility, because a facility can be out of balance while the project is not.

12. **Exception and waiver.** No exception is permitted to element 1. A drawing while out of balance requires a *waiver* from the party the documents entitle, obtained before the drawing, on stated terms — and the request must disclose the position whether or not a waiver is expected. Disclosure is never waivable.

13. **Escalation trigger.** A negative in-balance result; a certificate withheld, qualified or reduced by the certifier; a *material* movement in *cost-to-complete* between requests; a request that would draw the last of a contingency; an

unsatisfied condition discovered after a request is submitted; a retention recovery that does not reconcile.

14. AI application. AI may assemble the draw pack, reconcile requested amounts to certificates and invoices, recompute the in-balance test, detect duplicate or previously funded invoices, track advance recovery and retention, and flag conditions not yet confirmed.

15. AI prohibition. AI must not certify value, approve a drawing, decide that a project is in balance, waive a condition, or sign a draw request.

16. AI verification. Reconciliation, by a named human, of every requested amount to a *certified value* or an evidenced cost; independent recomputation of the in-balance test on the documented basis; and source tracing of each certificate to the certifier entitled to issue it. A machine match between an invoice and a request line is not evidence that the work was performed.

> **17. External reference.**
>
> - **The FIDIC suite of conditions of contract.** Issuing organisation: FIDIC. Subject: the interim payment and certification mechanism through which value becomes payable. Checked: characterised generically; **no book, clause number or edition asserted** (register `EXT-050`, verified 2026-08-03). Nature: Manual §6 category 4 — contract framework. Applicability limitation: binds only the parties who adopt it, through the contract they sign; project contracts commonly amend it, so the standard form is not a safe source for the mechanism actually in force — read the executed contract under `PCI-PFL-STD-12.01`.
> - **ISO 15489-1 *Records management — Part 1*.** Issuing organisation: ISO. Subject: the reliability of the certification and payment record. Checked: ISO 15489-1:2016 (register `EXT-025`, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract.

18. Jurisdictional caution. Statutory payment regimes and pay-when-certified rules, construction liens and their priority over lenders' security, retention-trust requirements, indirect tax points on certified value and on advance payments, and the treatment of an advance-payment bond on insolvency are all jurisdiction-specific and can override the contract's own mechanics. Obtain qualified local legal advice on the payment regime and on lien risk before a drawdown structure is relied upon.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-05`; `PCI-PFL-STD-13.03`; `PCI-PFL-STD-14.01`; `PCI-PFL-STD-14.03`; `PCI-PFL-`

STD-14.04. **Increment over the foundational parent:** PCI-FND-STD-02 requires evidence behind a claim; this standard states what evidence a *drawing* needs — certified value or evidenced cost, a current cost-to-complete, and the documented in-balance test — and makes disclosure of a negative result unwaivable even where the drawing itself is waived.

20. Related Body of Knowledge content. PFL-AI · Domain 14 — Construction monitoring and drawdown · KA 14.1 Sources and uses, draw requests and conditions · and KA 14.3 Progress certification and change control, including advance payments and bonds. Also Domain 8 KA 8.2 (schedule-driven cash flow).

21. Compliance test. A reviewer takes a draw request pack and performs five steps. (a) Traces every requested amount to a *certified value* or an evidenced incurred cost. (b) Confirms the *cost-to-complete* used is dated on or after the request date's cut-off and was prepared under PCI-PFL-STD-14.03. (c) Recomputes the in-balance test on the documented basis and obtains the disclosed result, **tracing every amount counted as funding to the executed instrument that commits it** and excluding any amount that is not *committed and available funding*. (d) Confirms each condition to the drawing is confirmed satisfied, and that any waived or deferred condition is named in the request. (e) Confirms advance payments and retention are shown separately and that recovery reconciles. Compliance is demonstrated when all five complete; a requested amount with no certificate or evidence of cost is a breach, and so is an in-balance test that turns positive only because an uncommitted amount was counted in it.

22. Breach indicators. A request whose total matches the monthly budget rather than the certificates; a cost-to-complete reused from the previous month; an in-balance test that is always positive by the same margin; an advance payment included in progress; retention recovered twice; a condition confirmed by the borrower where the documents require the agent.

23. Consequence within PCI authority. Correction required and the affected request or certificate withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Scenario judgement: a contractor's application exceeds the certified value and the deadline is today — the candidate must state what may be requested and what must be disclosed. Calculation review: performing the in-balance test on a documented basis. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes PFL-LAW-14-01 *Drawdown Integrity* (v1.0).

Amendment note: restructured onto the twenty-five-element form; *in balance* and *certified value* defined; the advance-payment and retention rule added as PR-05; the in-balance basis tied expressly to the finance documents; disclosure of a negative result made unwaivable. **Stage 9 amendment:** *committed and available funding* was undefined, so an in-balance test could be turned positive by counting a letter of comfort, an uncommitted facility or an anticipated contingency release; the term is now defined, the excluded instruments are named, and step (c) of element 21 traces every amount counted as funding to the instrument that commits it.

PCI standard

PCI-PFL-STD-14.03

Cost-to-Complete

1. Normative requirement. A credential holder must prepare the *cost-to-complete* from certified progress, committed and uncommitted remaining scope, assessed claim exposure, escalation and the remaining programme, and must not derive it by deducting costs incurred from the original budget.

2. Purpose. The cost-to-complete is the number that says whether the project is still funded. Deriving it from the budget assumes the budget was right and that nothing has changed — which is the one assumption the number exists to test. A cost-to-complete that cannot rise is not a forecast; it is the budget wearing a different label.

3. Scope. Every credential holder who prepares, reviews, certifies, challenges, approves or relies upon a cost-to-complete, a contingency-adequacy assessment or a funding-adequacy conclusion during construction, and on any delay, variation or restructuring.

4. Defined terms. *cost-to-complete*, *sources and uses*, *finance documents*, *material*, *evidence*, *decision owner*, *competent reviewer*, *verified*, *escalation threshold*. **Assessed claim exposure** — the project's own judgement of the probable settled cost of notified but unagreed claims, recorded with its basis. **Remaining scope** — the work not yet performed, separated into scope committed under contract and scope not yet committed.

5. Required actions.

- **PCI-PFL-STD-14.03-PR-01 — Build up from components.** The preparer must build the cost-to-complete from *remaining scope* separated into committed and uncommitted, *assessed claim exposure*, escalation on uncommitted scope, and the cost of the remaining programme, each stated separately.
- **PCI-PFL-STD-14.03-PR-02 — Claims assessed, not ignored.** The preparer must include an *assessed claim exposure* for every notified but

unagreed claim, with its basis, and must not record it as nil merely because it is disputed.

- **PCI-PFL-STD-14.03-PR-03 — Programme linkage.** The preparer must state the programme on which the cost-to-complete is based, must include the time-related cost of the remaining programme, and must re-prepare the cost-to-complete when the programme changes *materially*.
- **PCI-PFL-STD-14.03-PR-04 — Contingency adequacy stated.** The preparer must state the remaining contingency against the remaining risk, and must not present contingency as available funding for a known cost.
- **PCI-PFL-STD-14.03-PR-05 — Movements explained.** The preparer must reconcile each cost-to-complete to the previous one and explain every movement by component.

6. Prohibited actions. Deriving the cost-to-complete as budget less costs incurred; recording a notified claim at nil because it is disputed; omitting escalation on uncommitted scope; using a superseded programme; presenting contingency as funding for a cost already known; smoothing a movement across periods; presenting a cost-to-complete that has never risen as evidence of control.

7. Required evidence. The component build-up with its separate lines; the claims schedule with each assessed exposure and its basis; the programme relied on, identified by version and date; the contingency-adequacy statement; the period-on-period reconciliation with movements explained by component; the certified-progress record it starts from.

8. Responsible role. The project finance leader or project controls lead who prepares it. The *decision owner* for the funding conclusion drawn from it.

9. Approval authority. The decision owner approves the cost-to-complete for use in a drawing or a report. Where the *finance documents* require the lenders' technical adviser to confirm it, that confirmation is required in addition and cannot be given by the borrower.

10. Independence requirement. A *competent reviewer* independent of the project delivery team must review the cost-to-complete before it supports a drawing that depends on an in-balance test, before any contingency draw, and before any statement that the project remains funded — because the delivery team's benefit runs to the number staying flat.

11. Materiality or threshold. The *escalation threshold* is a movement in the cost-to-complete, or in remaining contingency, of a size recorded by the *decision owner* in the engagement's materiality statement, expressed in the transaction's own metric — for example a stated proportion of remaining contingency, or a stated movement in remaining funding headroom. **PCI sets no figure**, and where the *finance documents* define a reporting or in-balance trigger, **that documented trigger governs**. *Scale test:* on a small municipal project the build-up is a single table refreshed monthly against one contract; on a multi-billion cross-border financing it is prepared per contract package and consolidated, with claim exposure assessed per package, because packages fail at different times and a consolidated movement can conceal two offsetting ones.

12. Exception and waiver. No exception is permitted to element 1. Where a component genuinely cannot be quantified — an unassessed claim of unknown scope, for example — the preparer must state it in words, with its potential direction and the date by which it will be assessed, and the *decision owner* must record acceptance of an unquantified exposure. It must not be recorded as nil.

13. Escalation trigger. A cost-to-complete movement beyond the *escalation threshold*; remaining contingency falling below the remaining assessed risk; a claim assessed materially above its previous exposure; a programme change that adds time-related cost; a cost-to-complete that would take the project out of balance at the next drawing.

14. AI application. AI may build the component schedule from the commitment register and the programme, compute escalation on uncommitted scope, track claim exposures against their assessment dates, reconcile period-on-period movements by component, and flag components that have not moved when the programme has.

15. AI prohibition. AI must not assess a claim exposure, decide that remaining contingency covers the remaining assessed risk, certify a cost-to-complete, approve a contingency draw, or conclude that a project remains funded.

16. AI verification. Independent recomputation, by a named human, of the escalation and time-related components; source tracing of each committed-scope figure to the executed commitment; expert judgement, recorded, on every *assessed claim exposure*, which must be a named human's assessment and never a machine's; and reconciliation of the movement explanation to the underlying changes.

17. External reference.

- **The FIDIC suite of conditions of contract.** Issuing organisation: FIDIC. Subject: variation, claim and extension-of-time mechanisms that generate the exposures a cost-to-complete must carry. Checked: characterised generically; **no book, clause number or edition asserted** (register EXT-050, verified 2026-08-03). Nature: Manual §6 category 4 — contract framework. Applicability limitation: binds only the parties who adopt it, through the contract they sign; commonly amended.

- **IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*** Issuing organisation: IFRS Foundation / IASB. Subject: the boundary between a provision and a contingent liability, which is where a claim exposure meets the reported position. Checked: in force, by name only (register EXT-006, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; **it governs reporting, not the funding assessment**, and an exposure excluded from a provision is still included in a cost-to-complete.

18. Jurisdictional caution. The validity of a claim, the effect of a contractual time bar, the availability of global claims, statutory adjudication and its enforceability, and the treatment of disputed amounts on insolvency are jurisdiction-specific and materially affect assessed exposure — and a time bar that is enforceable in one jurisdiction might not be enforceable in another. Obtain qualified local legal advice on claim validity and time bars before an exposure is assessed as low.

19. Related PCI Standards. PCI-FND-STD-05; PCI-FND-STD-11; PCI-PFL-STD-14.01; PCI-PFL-STD-14.02; PCI-PFL-STD-11.01; PCI-PFL-STD-06.03. **Increment over the foundational parent:** PCI-FND-STD-05 requires a forecast to be issued with the assumptions it depends on; this standard fixes the construction-phase method — a build-up from components rather than a deduction from budget, an assessed exposure for every notified claim, a named programme, and a movement explanation by component — which is what makes the forecast capable of rising.

20. Related Body of Knowledge content. PFL-AI · Domain 14 — Construction monitoring and drawdown · KA 14.2 Cost-to-complete and contingency draw · including assessed claim exposure. Also Domain 8 KA 8.3 (contingency and management reserve) and KA 8.4 (delay impact, cost-to-complete and the interface with project controls). *Symbol note:* this volume writes CTC and never EAC — see the Definitions.

21. Compliance test. A reviewer takes two consecutive cost-to-complete reports and the supporting records, and performs five steps. (a) Confirms the build-up shows committed scope, uncommitted scope, assessed claim exposure, escalation and time-related cost as separate lines. (b) Confirms every notified claim in the claims register appears with an assessed exposure and a basis, and that none is recorded at nil solely because it is disputed. (c) Confirms the programme relied on is identified by version and is the current one. (d) Reconciles the two reports and confirms every movement is explained by component. (e) Confirms the contingency-adequacy statement compares remaining contingency to remaining assessed risk. Compliance is demonstrated when all five complete; a cost-to-complete equal to budget less incurred is a breach on its face.

22. Breach indicators. A cost-to-complete that has never moved; a claims line reading nil against an active claims register; escalation applied only to committed scope; a programme reference with no version; a movement explained as "reforecast"; contingency described as available funding for a known variation.

23. Consequence within PCI authority. Correction required and the affected report or drawing withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: building a cost-to-complete from components and comparing it with the budget-less-incurred figure to expose the difference. Scenario judgement: a notified claim is recorded at nil and the candidate must state the required treatment. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard** — v1.0 required a "current cost-to-complete" inside PFL-LAW-14-01 but never said how one is built, which left the commonest error uncontrolled. Amendment note: *assessed claim exposure* and *remaining scope* defined; the component build-up, programme linkage, contingency adequacy and movement explanation each made a process requirement.

PCI STANDARD

PCI-PFL-STD-14.04

Funds-Flow Approval

1. Normative requirement. Project funds must move only through the accounts, in the order and for the purposes the *finance documents* specify, on instructions authorised by named signatories under segregation of duties.

2. Purpose. The waterfall and the account structure are the mechanism by which every priority in the transaction is actually enforced. A payment made outside them defeats the ranking, the reserves and the *lock-up* simultaneously — and payment fraud in project finance is overwhelmingly a control failure at the instruction step, not a documentation failure.

3. Scope. Every credential holder who prepares, authorises, reviews, approves, executes or reconciles a payment instruction, a *funds flow*, a waterfall application or an account transfer in connection with a project financing, at close, at each drawing, and throughout operation.

4. Defined terms. *funds flow*, *finance documents*, *reserve account*, *distribution*, *lock-up*, *evidence*, *decision owner*, *competent reviewer*, *verified*, *material.* **Segregation of duties** — the arrangement in which the person who prepares an instruction, the person who authorises it and the person who reconciles the account afterwards are three different named individuals, none of whom can perform another's step. **Authorised signatory** — an individual named in a mandate lodged with the account bank, within the limits that mandate states.

5. Required actions.

- **PCI-PFL-STD-14.04-PR-01 — Payments follow the documented order.** The preparer must apply each payment to the account, purpose and waterfall position the *finance documents* specify, and must not net, reorder or combine payments across tiers.
- **PCI-PFL-STD-14.04-PR-02 — Segregation of duties.** The organisation must operate *segregation of duties* on every payment instruction, with the three roles held by three named individuals, and must record who performed each.
- **PCI-PFL-STD-14.04-PR-03 — Instruction authorised within mandate.** The preparer must confirm that every instruction is authorised by an *authorised signatory* within the mandate's limits, and must not execute an instruction outside them.
- **PCI-PFL-STD-14.04-PR-04 — Payee and account verification.** The preparer must verify each payee's account details against a source independent of the payment request itself before first payment and after any change of details, and must record the verification.
- **PCI-PFL-STD-14.04-PR-05 — Reconciliation after execution.** The organisation must reconcile executed payments to the approved *funds flow* and to the account statements, by a person who neither prepared nor authorised them, and must report every difference.

6. Prohibited actions. Initiating, approving or concealing a payment outside the documented funds flow; netting payments across waterfall tiers; executing an instruction outside a signatory's mandate; changing payee details on the strength of an emailed request alone; permitting one individual to prepare and authorise; making a *distribution* during a *lock-up*; delaying a reconciliation until after the next payment run.

7. Required evidence. The approved funds flow; each payment instruction with its preparer, authoriser and reconciler recorded; the bank mandate showing signatories and limits; the payee verification records with their independent source; the post-execution reconciliation with differences reported; the account statements.

8. Responsible role. The finance director or treasurer accountable for the accounts and the mandate. The *decision owner* for the approval of the funds flow itself.

9. Approval authority. The *authorised signatories* named in the mandate, within their limits, for each instruction. The party the finance documents name — commonly the agent or security trustee — for applications from controlled accounts. No professional judgement can authorise a payment outside the mandate.

10. Independence requirement. The reconciler under PR-05 must be *independent* of the preparer and the authoriser in respect of that payment run. Payee verification under PR-04 must use a source independent of the payment request, and independence here means a channel not controlled by the requester.

11. Materiality or threshold. Segregation of duties applies to every payment regardless of size; there is no *de minimis* under which one person may both prepare and authorise. Approval limits are those the bank mandate and the *finance documents* state, and **PCI sets none**. Materiality governs escalation and the depth of payee re-verification, recorded by the *decision owner*. *Scale test:* on a small municipal project with three people in the finance function, segregation is achieved by naming the third role outside the function — a board member or an external administrator — and this standard expects that arrangement to be recorded rather than the rule to be relaxed; on a multi-billion cross-border financing with controlled accounts in several jurisdictions, the mandate, the limits and the roles are maintained per account, and PR-01 does the heaviest work because a single waterfall in the documents can be operated through many accounts.

12. Exception and waiver. No exception to PR-02 or PR-03 is permitted, including in an emergency: an urgent payment is made by using an alternative named authoriser within the mandate, never by collapsing the roles. A payment outside the documented order requires a *waiver* from the party entitled to give one, obtained before the payment, under `PCI-PFL-STD-15.03`.

13. Escalation trigger. A payment made outside the documented funds flow; an instruction presented outside a signatory's mandate; a change of payee details; a reconciliation difference; a request to release a payment urgently without the second authoriser; a payment that would breach a *lock-up*.

14. AI application. AI may generate the funds flow from the waterfall and the approved uses, reconcile executed payments to instructions and statements, detect duplicate payments and unusual payees, monitor the waterfall order, and flag instructions outside mandate limits.

15. AI prohibition. AI must not authorise, initiate, release or approve a payment, must not verify payee details as the sole check, must not be an *authorised signatory*, and must not hold two of the three segregated roles. An automated identity able to prepare, authorise and reconcile is a prohibited configuration.

16. AI verification. Independent human confirmation of every AI-generated instruction against the approved funds flow before authorisation; source tracing of each payee's account details to the independent verification record; and human reconciliation of the AI-produced reconciliation to the account statements. Detection is where AI is useful here; authorisation is where it is prohibited.

17. External reference.

- **COSO — *Internal Control — Integrated Framework.*** Issuing organisation: the Committee of Sponsoring Organizations of the Treadway Commission. Subject: internal control, including segregation of duties and control activities over payments. Checked: 2013 framework, revising the 1992 original; seventeen principles across five components (register EXT-084, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; **voluntary in itself**, although widely imported by regulators and internal-control regimes. Applicability limitation: adoption is voluntary unless a law, regulator or contract imports it; it creates no obligation for a project of its own force.
- **ISO/IEC 27001 *Information security, cybersecurity and privacy protection — Information security management systems — Requirements.*** Issuing organisation: ISO/IEC. Subject: access control, authorisation and the integrity of instruction channels. Checked: ISO/IEC 27001:2022, 3rd edition, **plus Amendment 1:2024** (register EXT-023, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard; certifiable. Applicability limitation: voluntary unless imported by law or contract; certification is an opinion about a management system at a point in time.

18. Jurisdictional caution. Account-control and security arrangements, the account bank's set-off rights, exchange controls and repatriation restrictions, payment-services and authorised-push-payment rules, sanctions screening obligations, and anti-money-laundering and counter-terrorist-financing requirements are jurisdiction-specific and bind the paying institution, the payer and sometimes the individual authoriser personally. **A payment that is contractually correct can still be**

unlawful. Obtain qualified local legal advice on the payment perimeter, and treat sanctions and financial-crime screening as a separate obligation owed to the institution's own compliance function.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-04`; `PCI-FND-STD-11`; `PCI-PFL-STD-10.05`; `PCI-PFL-STD-13.04`; `PCI-PFL-STD-14.02`; `PCI-PFL-STD-15.01`; `PCI-PFL-STD-16.03`. **Increment over the foundational parent:** `PCI-FND-STD-04` reserves decision authority to a named human decision owner; this standard applies that to the one place in a financing where an automated pipeline can move money — three named humans in three segregated roles, authorisation within a lodged mandate, payee verification through an independent channel, and an express prohibition on an automated identity holding more than one role.

20. Related Body of Knowledge content. PFL-AI · Domain 14 — Construction monitoring and drawdown · KA 14.1 Sources and uses, draw requests and conditions. Also Domain 13 KA 13.4 (the funds-flow statement reconciled to the close-cost budget), Domain 15 KA 15.2 (the cash waterfall in operation) and Domain 16 KA 16.4 (privacy, cybersecurity, human approval and AI governance; authority accumulation).

21. Compliance test. A reviewer takes a payment run and performs five steps. (a) Traces each payment to a line in the approved *funds flow* and confirms the account, purpose and waterfall position match the finance documents. (b) Confirms three different named individuals performed the prepare, authorise and reconcile roles. (c) Confirms each authoriser is on the bank mandate and within their limit. (d) For each new or changed payee, locates the verification record and confirms the source was independent of the request. (e) Confirms the post-execution reconciliation was performed by someone who neither prepared nor authorised, and that every difference was reported. Compliance is demonstrated when all five complete; two roles held by one individual is a breach regardless of the payment's size or correctness.

22. Breach indicators. A payment run authorised by the person who prepared it; a payee change actioned from an email; a payment applied to a lower waterfall tier ahead of a higher one; a reconciliation performed by the payments team; an automated integration with both instruction and approval rights; a distribution paid while a lock-up test was failing.

23. Consequence within PCI authority. Correction required and the affected process suspended pending correction; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence — in particular, PCI has no authority over any criminal or regulatory consequence of a payment, which belongs to the relevant authorities.

24. Examination application. Scenario judgement: an urgent payment must be released and the second authoriser is unavailable — the candidate must state the compliant route. AI-verification case: an automation is proposed that would prepare, approve and reconcile payments, and the candidate must identify the prohibited configuration. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes `PFL-LAW-14-02` *Funds-Flow Control* (v1.0). Amendment note: restructured onto the twenty-five-element form; *segregation of duties* and *authorised signatory* defined; payee verification through an independent channel added as PR-04; post-execution reconciliation by a third person added as PR-05; the emergency route closed expressly, since collapsing roles under time pressure is the observed failure mode.

Domain 15 — Operations, performance and restructuring

PCI standard

`PCI-PFL-STD-15.01`

Distribution Testing

1. Normative requirement. A credential holder must not permit, certify or make a *distribution* unless every distribution condition in the *finance documents* is satisfied at the test date on the documented basis.

2. Purpose. A *distribution* is irreversible in practice. Cash that leaves the structure ahead of a prior claim, or during a *lock-up*, cannot usually be recovered, and every protection the lenders negotiated depends on this one test being applied honestly at one moment.

3. Scope. Every credential holder who computes, certifies, approves, instructs or reports on a distribution, a shareholder-loan payment, a subordinated-debt payment, a management or development fee, or any other restricted payment, whether in construction or in operation.

4. Defined terms. *distribution*, *lock-up*, *finance documents*, *coverage ratio*, *reserve account*, *conditions precedent*, *evidence*, *material*, *decision owner*, *competent reviewer*, *verified*. **Distribution condition** — each condition the finance documents impose before a distribution may be made, typically comprising a backward-looking and a forward-looking *coverage ratio*, fully funded *reserve accounts*, no default or event of default continuing, the passing of a stated date or milestone, and any additional condition the documents state. **Test date** — the date the finance documents specify for testing, which is not necessarily the payment date.

5. Required actions.

- **PCI-PFL-STD-15.01-PR-01 — Test every condition, at the test date.** The preparer must test every *distribution condition* at the documented *test date* on the documented basis, and must not test a subset or test at a more convenient date.
- **PCI-PFL-STD-15.01-PR-02 — Waterfall position confirmed.** The preparer must confirm that every prior claim in the waterfall for that period has been paid or provided for before any cash is released to shareholders.
- **PCI-PFL-STD-15.01-PR-03 — Forward-looking test on the documented projection.** Where a forward-looking condition applies, the preparer must use the projection the documents specify, must state whose projection it is and its approval status, and must not substitute a more favourable case.
- **PCI-PFL-STD-15.01-PR-04 — Lock-up applied and reported.** Where a condition fails, the preparer must apply the *lock-up* the documents provide, must place the trapped cash where the documents require, and must report the lock-up as a lock-up.
- **PCI-PFL-STD-15.01-PR-05 — Certificate evidenced.** The preparer must retain, with the distribution certificate, the calculation for each condition, the *reserve account* confirmations and the no-default confirmation.

6. Prohibited actions. Releasing cash to shareholders ahead of a prior claim or during a lock-up; testing at a date other than the documented test date; using a more favourable projection for a forward-looking test; releasing a *reserve account* in order to pass a distribution test; treating a failed condition as cured by a payment made after the test date; characterising a distribution as an operating payment to avoid the test.

7. Required evidence. The distribution certificate with the calculation for each condition; the reserve confirmations at the test date, from an *independent* source; the no-default confirmation; the waterfall application for the period; the projection used for any forward-looking test with its approval status; the lock-up record where applicable.

8. Responsible role. The finance director or project finance leader who signs the distribution certificate. The board of the distributing entity for the distribution decision itself.

9. Approval authority. The signatory the *finance documents* name for the certificate; the agent or security trustee where the documents require confirmation; the board for the corporate act. **A distribution that fails a**

condition can be permitted only by a *waiver* from the party entitled to give one, under `PCI-PFL-STD-15.03`.

10. Independence requirement. *Reserve account* balances and the no-default confirmation must be evidenced from sources *independent* of the distributing entity. A *competent reviewer* independent of preparation must recompute the coverage conditions before any certificate on which a distribution depends.

11. Materiality or threshold. Every level, every test date and every condition is the one in the finance documents. PCI sets no distribution level, no lock-up level and no headroom requirement, and a level from another transaction or from market convention must not be used. Materiality governs escalation timing only — the headroom, in ratio units or cash, at which an approaching failure must be escalated before the test date, set by the adopting organisation's governance. *Scale test:* on a small municipal project a single annual test with one coverage condition and one reserve is a one-page certificate; on a multi-billion cross-border financing with quarterly tests, several facilities each with its own conditions, and a distribution-block account, each facility's conditions are tested and certified separately, because passing on one facility does not permit a payment blocked by another.

12. Exception and waiver. No exception is permitted. The only route to a distribution that fails a condition is a *waiver* in the form the documents require, from the party entitled to give it, obtained **before** the distribution. A waiver obtained afterwards does not make the earlier payment compliant; it addresses the consequence, and the breach is still recorded.

13. Escalation trigger. A condition failing or approaching failure at a test date; a proposal to release a reserve to enable a distribution; a forward-looking test that fails on the documented projection; a payment to a shareholder characterised as something else; a default that may be continuing at a test date; a distribution instructed before the certificate is signed.

14. AI application. AI may compute each condition across the test dates, project the forward-looking test, reconcile reserve balances to required levels, monitor the waterfall application, alert on approaching failures, and draft the certificate for review.

15. AI prohibition. AI must not certify that a distribution condition is satisfied, decide that a default is not continuing, approve or instruct a distribution, or release a *lock-up*.

16. AI verification. Independent recomputation, by a named human, of every condition at the test date from source lines; source tracing of each reserve balance to an independent confirmation; clause-to-output comparison of the conditions tested against the clause listing them, to confirm none is omitted; and the signatory's own confirmation of no default. Recorded on the certificate.

17. External reference.

- **IAS 1 *Presentation of Financial Statements.*** Issuing organisation: IFRS Foundation / IASB. Subject: presentation of financial statements, including equity and the classification of liabilities, which is where a distribution meets the reported position. Checked: in force for periods beginning before 1 January 2027; **IFRS 18 replaces IAS 1 for annual reporting periods beginning on or after 1 January 2027, earlier application permitted** (register EXT-004 / EXT-003, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; **it does not determine whether a distribution is permitted**, which is a matter for the finance documents and for company law. Confirm which instrument applies to the period.
- **G20/OECD *Principles of Corporate Governance.*** Issuing organisation: OECD, with the G20. Subject: the governance of decisions affecting shareholders and creditors. Checked: 2023 revision, OECD/LEGAL/0413 (register EXT-128, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; an **OECD Council Recommendation — non-binding, not legislation**. Applicability limitation: creates no obligation for a credential holder.

18. Jurisdictional caution. Whether a distribution is lawful is a question of company law, not of the finance documents. Distributable-reserve tests, solvency and net-asset tests, directors' duties on the eve of insolvency, clawback and transactions-at-undervalue rules, withholding tax on dividends and on shareholder-loan interest, thin-capitalisation limits and exchange controls are all jurisdiction-specific, and a distribution permitted by the finance documents may still be unlawful or recoverable. Personal liability for directors is possible. Obtain qualified local legal, accounting and tax advice before every distribution — see PCI-PFL-STD-12.02.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-11; PCI-PFL-STD-01.01; PCI-PFL-STD-10.03; PCI-PFL-STD-10.04; PCI-PFL-STD-10.05; PCI-PFL-STD-14.04; PCI-PFL-STD-15.03. **Increment over the foundational parent:** PCI-FND-STD-11 requires escalation of a defined exception; this standard defines the exception precisely for the one irreversible act in a financing, requires every condition to be tested at the documented date on the documented basis, forbids releasing a reserve to pass the test, and separates the contractual question from the company-law question that no finance document answers.

20. Related Body of Knowledge content. PFL-AI · Domain 15 — Operations, performance and restructuring · KA 15.2 The cash waterfall in operation, reserves and distributions · including the distributable amount, the distribution-block account and the distribution drought. Also Domain 10 KA 10.4 (distribution lock-up).

21. Compliance test. A reviewer takes the distribution certificate, the finance documents and the accounts, and performs five steps. (a) Lists every *distribution condition* in the clause and confirms each appears in the certificate. (b) Recomputes each coverage condition at the documented *test date* from source lines. (c) Confirms reserve balances at the test date from independent confirmations. (d) Confirms the waterfall for the period paid or provided for every prior claim before the release. (e) Confirms the forward-looking test, where applicable, used the documented projection at its stated approval status. Compliance is demonstrated when all five complete; a condition omitted from the certificate is a breach even if it would have passed.

22. Breach indicators. A certificate testing coverage and nothing else; a reserve released days before a distribution; a distribution paid before the certificate date; a forward-looking test using an unapproved case; a management fee paid during a lock-up; a distribution certificate signed by the person who prepared the calculation with no independent recomputation.

23. Consequence within PCI authority. Correction required and any certification withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence, and has no authority over the corporate or legal consequences of an unlawful distribution.

24. Examination application. Escalation decision: a forward-looking condition fails while the backward-looking one passes, and the candidate must state what may be certified and what must be escalated. Ethical dilemma: a sponsor proposes releasing a reserve to pass the test. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes `PFL-LAW-15-01` *Distribution Restriction* (v1.0). Amendment note: restructured onto the twenty-five-element form; *distribution condition* and *test date* defined; the waterfall- position confirmation and the lock-up-reporting rule made process requirements; element 18 strengthened to separate the contractual question from the company-law question, which v1.0 addressed only briefly.

PCI standard

PCI-PFL-STD-15.02

Refinancing Assessment

1. Normative requirement. A credential holder must assess a proposed refinancing on the present value of the change in terms net of every cost of achieving it, and must not present a headline margin or tenor improvement as the gain.

2. Purpose. A refinancing replaces a facility priced for a risk that has since retired, and the value comes from margin, tenor and covenant reset together. Break costs, hedge unwinds, fees, tax consequences, new-lender conditions and the loss of an existing package routinely consume most of the headline saving — and the transaction is usually recommended by someone whose fee depends on it happening.

3. Scope. Every credential holder who originates, models, reviews, recommends, approves or provides assurance on a refinancing, a repricing, an amendment-and-extension or a capital-markets take-out.

4. Defined terms. *finance documents*, *coverage ratio*, *distribution*, *material*, *evidence*, *decision owner*, *competent reviewer*, *independent*, *verified*, *base case*. **Refinancing gain** — the present value of the improvement in terms over the remaining life, net of every cost of achieving it, computed on one stated discount basis. **All-in cost of achievement** — break costs, hedge termination or novation costs, prepayment premia, arrangement and agency fees, adviser and rating costs, security re-taking and registration costs, tax consequences, and the value of any protection given up.

5. Required actions.

- **PCI-PFL-STD-15.02-PR-01 — Net present-value assessment.** The preparer must compute the *refinancing gain* on one stated discount basis, showing the improvement and the *all-in cost of achievement* separately.
- **PCI-PFL-STD-15.02-PR-02 — Decompose the gain.** The preparer must decompose the gain into its margin, tenor, structural and covenant components, so that the source of the value is visible.
- **PCI-PFL-STD-15.02-PR-03 — Protections given up stated.** The preparer must state every protection, flexibility or entitlement surrendered in the new terms — covenant headroom, cure rights, reserve releases, *distribution* conditions, security, hedging arrangements — and must value it where it can be valued.
- **PCI-PFL-STD-15.02-PR-04 — Execution risk and the do-nothing case.** The preparer must present the case in which the refinancing does not complete, including the position at the existing maturity, and must state who bears the cost of a failed process.

- **PCI-PFL-STD-15.02-PR-05 — Adviser interest disclosed.** The preparer must disclose every fee or benefit accruing to any adviser, arranger or connected person that depends on the refinancing proceeding, under `PCI-PFL-STD-01.02` and `PCI-PFL-STD-13.02`.

6. Prohibited actions. Presenting a margin reduction as the gain; omitting break, hedge-unwind or prepayment costs; discounting on a basis chosen to flatter; presenting a tenor extension without its effect on total interest paid; ignoring the protections surrendered; omitting the do-nothing case; recommending a refinancing while an undisclosed fee depends on it.

7. Required evidence. The gain computation with its discount basis and both components; the decomposition by source; the schedule of protections surrendered with valuations or a statement that they cannot be valued; the failed-process case; the fee and benefit disclosures; the *decision owner's* recorded approval.

8. Responsible role. The project finance leader accountable for the recommendation. The *decision owner* for the decision to proceed.

9. Approval authority. The *decision owner* and, on the lender side, the credit approver. Existing lenders' consents and any prepayment mechanics are governed by the existing *finance documents*.

10. Independence requirement. A *competent reviewer* independent of the arranging benefit and of any fee contingent on completion must review the gain computation and the surrendered-protection schedule before the recommendation is put to a decision owner. Where the preparer holds a contingent benefit, element 10 of `PCI-PFL-STD-13.02` governs how their work may be described.

11. Materiality or threshold. The discount basis, the horizon and the treatment of tax are stated before the computation and are not changed afterwards; **PCI prescribes no discount rate, no minimum gain and no payback period.** Where the *finance documents* or the organisation's governance state a hurdle for a refinancing decision, **that documented hurdle is the one applied and tested**. Materiality governs which surrendered protections must be valued rather than described, recorded by the *decision owner. Scale test:* on a small municipal project the computation is a single discounted stream and the cost of achievement is dominated by break costs; on a multi-billion cross-border financing with hedging, several facilities and cross-border security, PR-03 is the largest item and the honest answer is often that a surrendered protection cannot be valued — which must be stated rather than omitted.

12. Exception and waiver. No exception is permitted to element 1. A refinancing may be recommended on grounds other than present value — releasing a constraint, changing a lender group, extending beyond a concession event — provided the *refinancing gain* is computed and presented alongside the other grounds, and the *decision owner* records the basis of the decision. Suppressing the computation because the decision rests elsewhere is a breach.

13. Escalation trigger. A gain that turns negative on the stated basis; a break or hedge-unwind cost materially above the estimate; a new covenant package materially tighter than the existing one; a failed process with committed costs; discovery of an undisclosed contingent fee; a required consent that will not be given.

14. AI application. AI may compute the gain across scenarios and discount bases, decompose it by source, model break and unwind costs, compare covenant packages clause by clause for human confirmation, and produce the failed-process case.

15. AI prohibition. AI must not recommend a refinancing, decide that a surrendered protection is immaterial, conclude that the market will accept a structure, or approve a transaction.

16. AI verification. Independent recomputation by a named human of the gain on the stated basis; sensitivity analysis over the discount basis and the break-cost assumption to confirm the conclusion's robustness; and clause-to-output comparison of the AI covenant comparison against both document sets under `PCI-PFL-STD-12.01`.

> **17. External reference.**
>
> - **IAS 36 *Impairment of Assets*.** Issuing organisation: IFRS Foundation / IASB. Subject: the impairment-indicator discipline, relevant where a refinancing signals a change in the asset's expected cash flows. Checked: current, by name only (register `EXT-122`, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; it governs reporting, not the refinancing decision.
> - **The Basel Framework.** Issuing organisation: the Basel Committee on Banking Supervision. Subject: the supervisory context that shapes lender appetite, pricing and tenor. Checked: consolidated framework; no standard or date asserted (register `EXT-110`, verified 2026-08-03). Nature: Manual §6 category 10 — illustrative practice; **internationally agreed supervisory standards with no legal force of their own**, reaching a bank only as a national authority transposes them. Applicability limitation: named for context; **no requirement in this standard is sourced to it.**

18. Jurisdictional caution. Prepayment penalties and their enforceability, withholding tax on the new facility, the tax treatment of break costs and of hedge terminations, stamp and registration duty on re-taken security, the priority consequences of releasing and re-granting security, and any change-of-control or refinancing-gain-sharing obligation to a public grantor are all jurisdiction-specific and can reverse a refinancing case. Obtain qualified local legal and tax advice before a refinancing is recommended — see PCI-PFL-STD-12.02.

19. Related PCI Standards. PCI-FND-STD-05; PCI-FND-STD-08; PCI-PFL-STD-09.01; PCI-PFL-STD-13.02; PCI-PFL-STD-15.03; PCI-PFL-STD-10.04. **Increment over the foundational parent:** PCI-FND-STD-05 requires a recommendation to carry the assumptions it rests on and PCI-FND-STD-08 requires conflicts to be disclosed; this standard joins them at the point where they interact worst — a transaction recommended by someone paid for it happening — and requires a net present-value computation, a decomposition, a surrendered-protection schedule and a do-nothing case before the recommendation is made.

20. Related Body of Knowledge content. PFL-AI · Domain 15 — Operations, performance and restructuring · KA 15.3 Refinancing, waivers and amendments. Also Domain 9 KA 9.4 (refinancing gain, decomposed into rate and extension components) and Domain 10 KA 10.4 (covenants and cure).

21. Compliance test. A reviewer takes the refinancing paper and the two document sets, and performs five steps. (a) Confirms the *refinancing gain* is computed on one stated discount basis with the improvement and the *all-in cost of achievement* shown separately. (b) Recomputes the gain and obtains the stated figure without unexplained difference. (c) Confirms the decomposition accounts for the whole gain, with no unexplained residual. (d) Compares the covenant and security packages and confirms every surrendered protection appears in the PR-03 schedule. (e) Confirms the failed-process case and the fee disclosures are present. Compliance is demonstrated when all five complete; a surrendered protection absent from the schedule is a breach.

22. Breach indicators. A paper headed with a margin saving; break costs in a footnote; a discount basis that differs from the one used elsewhere in the transaction; a covenant comparison with no security comparison; no do-nothing case; an arranger fee disclosed only after approval; a gain that depends entirely on a tenor extension whose total interest cost is not shown.

23. Consequence within PCI authority. Correction required and the recommendation withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Calculation review: computing a refinancing gain net of break and hedge-unwind costs, where the headline saving reverses.

Ethical dilemma: an adviser whose fee depends on completion is asked whether the refinancing is worth doing. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 addressed refinancing only as a prohibited dependency inside the capital-structure standard. *Refinancing gain* and *all-in cost of achievement* defined; the surrendered-protection schedule, the do-nothing case and the adviser-interest disclosure each made a process requirement.

PCI standard

PCI-PFL-STD-15.03

Waivers and Amendments

1. Normative requirement. A credential holder must treat a *waiver* or an *amendment* as effective only when it has been granted by the party entitled to grant it, in the form the *finance documents* require, and must record its full effect before relying on it.

2. Purpose. Waivers and amendments are granted quickly, under pressure, often by email in principle and by deed later. A waiver assumed, a condition attached and forgotten, or an amendment whose knock-on effect on other definitions is never traced, leaves a transaction being administered against terms that no longer exist — usually discovered at the next test date.

3. Scope. Every credential holder who requests, negotiates, records, models, monitors, certifies or relies upon a waiver, consent, amendment, restatement, standstill or forbearance under a project financing.

4. Defined terms. *waiver*, *amendment*, *finance documents*, *covenant register*, *lock-up*, *evidence*, *material*, *decision owner*, *competent reviewer*, *verified*, *escalation threshold*. **Entitled party** — the person or group whose consent the finance documents require for the waiver or amendment in question, at the majority or unanimity those documents specify. **Knock-on effect** — the consequence of a change to one defined term or clause on every other term, ratio, test, reserve or certificate that uses it.

5. Required actions.

- **PCI-PFL-STD-15.03-PR-01 — Entitlement confirmed.** The credential holder must confirm that the consent obtained is from the *entitled party* at the required threshold, and must not treat a lender's individual indication as the group's consent.
- **PCI-PFL-STD-15.03-PR-02 — Form confirmed.** The credential holder must confirm the waiver or amendment is in the form the documents

require, executed as required, and must not rely on an agreement in principle.

- **PCI-PFL-STD-15.03-PR-03 — Conditions and duration recorded.** The credential holder must record every condition attached to the waiver, its duration or long-stop, any fee, and what happens on expiry, and must track it to closure.
- **PCI-PFL-STD-15.03-PR-04 — Knock-on effects traced.** The credential holder must trace the *knock-on effect* of every amendment through the *covenant register*, the model, the reserve schedules and the certificates, and must re-confirm each before the next test date.
- **PCI-PFL-STD-15.03-PR-05 — Waived is not satisfied.** The credential holder must record a waived condition or covenant as waived, never as satisfied, and must report the underlying position alongside the waiver.

6. Prohibited actions. Relying on an agreement in principle; treating one lender's consent as the group's; recording a waived covenant as satisfied; omitting a waiver's attached conditions from the register; allowing a waiver to expire untracked; implementing an amendment in the model before it is executed; presenting a waived breach as though it had not occurred.

7. Required evidence. The executed waiver or amendment instrument; the confirmation of entitlement and threshold; the register entry recording conditions, duration, fee and expiry consequence; the knock-on-effect trace with the items changed; the closure record; the reporting that carried the underlying position alongside the waiver.

8. Responsible role. The finance director or project finance leader who requests and records it. The agent, for the lenders' side, in accordance with the documents.

9. Approval authority. Only the *entitled party*, at the required threshold, in the required form. **No credential holder, and no PCI standard, can grant, imply or assume a waiver or an amendment.**

10. Independence requirement. A *competent reviewer* independent of the transaction team must review the knock-on-effect trace of any amendment affecting a covenant definition, a *CFADS* component, a reserve level or a *distribution* condition, before the next test date.

11. Materiality or threshold. The consent threshold is the one the finance documents state — majority, super-majority, affected class or all lenders — and PCI states none. Materiality governs the depth of the knock-on trace: every amendment is traced, and the *decision owner* records the movement, in the transaction's own metric, at which the trace must be independently reviewed. *Scale test:* on a small municipal project a waiver is one letter from one lender and the trace is short; on a multi-billion cross-border financing with intercreditor arrangements, several classes and different thresholds per matter, PR-01 is the hardest requirement, because an amendment consented at the wrong threshold is ineffective however many signatures it carries.

12. Exception and waiver. No exception is permitted. This standard governs the transaction's own exception mechanism; it does not create a further one. A waiver obtained after the act it waives does not make the earlier act compliant — the breach is recorded, and the waiver addresses its consequence.

13. Escalation trigger. A waiver relied on before execution; a consent obtained at the wrong threshold; a waiver condition not met within its period; a waiver approaching expiry with the underlying position unresolved; an amendment whose knock-on effects have not been traced before a test date; a pattern of repeated waivers of the same covenant.

14. AI application. AI may compare document versions to identify every change, trace a changed defined term through the document set and the model, maintain the waiver register with its dates and conditions, alert on approaching expiries, and draft the knock-on-effect trace for confirmation.

15. AI prohibition. AI must not grant, assume, interpret or confirm a waiver or amendment; must not decide that a consent threshold is met; must not determine that a knock-on effect is immaterial; and must not update the *covenant register* without a named human's confirmation.

16. AI verification. Clause-to-output comparison, by a named human, of the AI-produced change list against the executed instrument; independent recomputation of every ratio, reserve level and certificate affected by the change; and confirmation against the documents that the consenting parties constitute the *entitled party* at the required threshold. The threshold confirmation is a human reading of the clause, never a machine count.

> **17. External reference.**
>
> - **ISO 15489-1 *Records management — Part 1.*** Issuing organisation: ISO. Subject: the authenticity and integrity of the amended document record. Checked: ISO 15489-1:2016 (register EXT-025, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract.
> - **IAS 1 *Presentation of Financial Statements.*** Issuing organisation: IFRS Foundation / IASB. Subject: the classification of liabilities as current or non-current, which a waiver's timing and duration can change. Checked: in force for periods beginning before 1 January 2027; **IFRS 18 replaces IAS 1 for annual reporting periods beginning on or after 1 January 2027** (register EXT-004 / EXT-003, verified 2026-08-03). Nature: Manual §6 category 2 — authoritative financial-

reporting standard. Applicability limitation: entities applying IFRS Accounting Standards in an adopting jurisdiction only; **the reporting consequence of a waiver is not the same question as its contractual effect.** Confirm which instrument applies to the period.

18. Jurisdictional caution. Whether a waiver must be in writing or by deed, whether consideration is required, the effect of a course of dealing or of estoppel on a repeatedly waived covenant, the validity of an agent's authority to bind a lender group, and the treatment of a standstill or forbearance on insolvency are all questions of the governing law of the *finance documents*. **A pattern of informal waivers can change the parties' rights in ways the documents do not describe.** Obtain qualified legal advice on form, authority and the effect of past conduct.

19. Related PCI Standards. `PCI-FND-STD-12`; `PCI-FND-STD-11`; `PCI-PFL-STD-10.04`; `PCI-PFL-STD-13.03`; `PCI-PFL-STD-15.01`; `PCI-PFL-STD-15.02`; `PCI-PFL-STD-12.02`. **Increment over the foundational parent:** `PCI-FND-STD-12` requires the record to show what happened, attributably and with any later alteration detectable; this standard states what a *financing's* waiver record must show — entitlement at the right threshold, execution in the required form, conditions and expiry tracked to closure, knock-on effects traced through every dependent term, and the underlying position reported alongside the waiver rather than replaced by it.

20. Related Body of Knowledge content. PFL-AI · Domain 15 — Operations, performance and restructuring · KA 15.3 Refinancing, waivers and amendments. Also Domain 10 KA 10.4 (waiver and amendment; consented departure from terms) and Domain 13 KA 13.3 (conditions precedent).

21. Compliance test. A reviewer takes each waiver and amendment in the period and performs five steps. (a) Confirms an executed instrument exists in the required form. (b) Confirms the consenting parties constitute the *entitled party* at the threshold the documents require for that matter, by reading the clause. (c) Confirms every attached condition, the duration and any fee are in the register, with a closure record or an open tracking entry. (d) Traces one changed defined term through the covenant register, the model and the certificates, and confirms each dependent item was updated. (e) Confirms the period's reporting records the item as waived, not satisfied, with the underlying position shown. Compliance is demonstrated when all five complete; reliance on an unexecuted agreement in principle is a breach.

22. Breach indicators. A model updated on the strength of an email; a covenant recorded as compliant with a waiver reference in a footnote; a waiver register with no expiry column; an amendment whose knock-on effect on a reserve level was never traced; the same covenant waived four periods running with no escalation; a consent from the agent where the documents require all lenders.

23. Consequence within PCI authority. Correction required and the affected reporting withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. Escalation decision: a waiver expires before the underlying position is cured, and the candidate must state what is reported and to whom. Evidence selection: distinguishing an agreement in principle from an effective waiver. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 required waivers to be logged inside the covenant standard but imposed no obligation on entitlement, form, conditions, expiry or knock-on effects. *Entitled party* and *knock-on effect* defined; the waived-is-not-satisfied rule restated here as a process requirement so that it can be breached and assessed independently.

Domain 16 — Data, automation and responsible AI in finance

PCI STANDARD

PCI-PFL-STD-16.01

AI-Assisted Financial Modelling

1. Normative requirement. Where an AI system builds, edits, checks, extracts for or interprets any part of a *financial model* or its outputs, the professional relying on that work must *verify* it before it is used.

2. Purpose. Machine assistance in modelling is fast, fluent and confidently wrong in ways that look like competence — a rebuilt schedule that reconciles, an extracted term that omits a proviso, a check that passes because it was written from the same misunderstanding as the calculation. Machine checking is additive to professional review and never substitutive, and the moment it becomes substitutive the whole control system in Domain 6 stops working.

3. Scope. Every credential holder who uses, relies upon, commissions or approves *AI-assisted work* touching a financial model or its outputs — model construction, formula generation, schedule building, data extraction, reconciliation, check design, scenario generation, anomaly detection, commentary and summarisation — at any stage of a transaction.

4. Defined terms. *AI-assisted work*, *financial model*, *model owner*, *authoritative version*, *verified*, *material*, *evidence*, *decision owner*, *competent reviewer*, *source line*, *decision-grade*. **AI contribution record** — the record of what the AI system was asked to do, what it produced, which human verified it, by what method, and when. **Authorised tool** — an AI system that the engaging organisation has approved for the classification of information involved, recorded in its governance.

5. Required actions.

- **PCI-PFL-STD-16.01-PR-01 — Record the contribution.** The relying professional must maintain an *AI contribution record* for every *material* AI contribution to a decision-grade model or output.
- **PCI-PFL-STD-16.01-PR-02 — Verify by a named method.** The relying professional must verify every material AI contribution by recomputation, by regression against independently *verified* figures, or by tracing to source, and must record which method was used.
- **PCI-PFL-STD-16.01-PR-03 — Machine checks do not replace human review.** The relying professional must treat an AI-run check, reconciliation or anomaly scan as additional to the review required by `PCI-PFL-STD-06.01` and `PCI-PFL-STD-13.01`, and must not reduce human review because a machine check passed.
- **PCI-PFL-STD-16.01-PR-04 — Authorised tools and information classification.** The credential holder must place transaction, counterparty and personal information only into an *authorised tool* for that classification of information, and must not place such information into an AI system, external service or storage location that has not been authorised for it.
- **PCI-PFL-STD-16.01-PR-05 — Seeded-error testing of AI checks.** Where an AI system designs or operates a check, the *model owner* must confirm the check detects a seeded known error before relying on it, and must record the test.

6. Prohibited actions. Relying on an AI contribution that has not been verified by a named method; recording an AI system as the author of a model, a change or a check; reducing human review because a machine check passed; placing confidential transaction or personal information into an unauthorised tool; presenting AI-generated commentary as analysis performed by a named professional; using an AI-produced figure that carries no *source line*.

7. Required evidence. The AI contribution records; the verification records with methods and dates; the seeded-error test results for AI-operated checks; the record of tool authorisation for each classification of information; the review records showing human review was not reduced; the change-log entries under PCI-PFL-STD-06.05-PR-02 naming human authors.

8. Responsible role. The professional relying on the AI contribution, personally, for its verification. The *model owner* for the model as a whole. The engaging organisation's named officer for tool authorisation.

9. Approval authority. The *decision owner* approves the output. **No AI system holds approval authority of any kind under this standard**, and none can be delegated to one.

10. Independence requirement. Verification under PR-02 may be performed by the relying professional; it does not require independence, because it is a check of substance rather than an assurance opinion. Independence is required where the verification is relied upon by another party, in which case PCI-PFL-STD-13.01 governs. **An AI system is never *independent*: independence is a property of a relationship, and a tool has none. What PR-02 does not do is displace** PCI-FND-STD-03, which requires a *material* calculation, model output or automated conclusion to be verified by a person independent of its preparation before **any** person relies on it — including a person inside the relying professional's own organisation. A PR-02 check by the relying professional is the substance check; where the contribution is material, the foundational independent verification is additional and remains outstanding until it is recorded or a waiver under PCI-FND-STD-03 element 12 is approved.

11. Materiality or threshold. An AI contribution is *material* where the figures, terms or conclusions it affects are material on the recorded test in the transaction's own metric; the *decision owner* records that figure in the engagement's materiality statement. **PCI sets no figure**, and PCI sets no minimum proportion of AI output to be sampled — the *decision owner* records the sampling basis for non-material contributions. *Scale test:* on a small municipal project with one modeller using a single assistant, the contribution record can be a column in the change log and the burden is small; on a multi-billion cross-border financing with several teams and several tools, the record is maintained per workstream, and PR-04 becomes the binding constraint because the temptation to paste a document set into an unapproved service rises with the volume of documents.

12. Exception and waiver. No exception is permitted to element 1 or to PR-04. The *decision owner* may approve in writing a reduced sampling basis for non-material contributions, for a named engagement, for a stated period, where a *competent reviewer* confirms the basis is defensible and the basis is recorded. Reduced sampling must never extend to a material contribution.

13. Escalation trigger. An AI contribution discovered in a released model with no contribution record; a verification that fails; a seeded-error test that a check does not detect; confidential information found in an unauthorised tool;

an AI-produced figure quoted externally without a source line; a proposal to reduce human review on the strength of machine checking.

14. AI application. AI may build and edit model regions, generate formulas and schedules, extract data and terms, reconcile, design and run checks, generate scenarios, detect anomalies, produce version diffs and draft commentary — all as **proposals for human verification**.

15. AI prohibition. AI must not approve, release, certify or sign any model, output or check; must not be recorded as an author or an owner; must not decide that a difference is acceptable; must not determine materiality; and must not be represented as having independently verified anything.

16. AI verification. The method is named per contribution and is one or more of: **independent recomputation** of the affected figures from source; **regression** against a suite of independently verified figures under `PCI-PFL-STD-06.05-PR-03`; **source tracing** to the document, version and issuing party under `PCI-PFL-STD-06.04`; **clause-to-output comparison** for any extraction from a contract under `PCI-PFL-STD-12.01`; **boundary testing** by seeding a known error under PR-05; and **sensitivity analysis** where the contribution affects a conclusion rather than a figure. "Reviewed the AI output" is not a method and does not satisfy this element.

> **17. External reference.**
>
> - **ISO/IEC 42001 *Information technology — Artificial intelligence — Management system.*** Issuing organisation: ISO/IEC. Subject: organisational management of AI systems across their lifecycle. Checked: ISO/IEC 42001:2023, 1st edition (register `EXT-021`, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract; it addresses an organisation's management system, not a project's model.
> - **ISO/IEC 23894 *Information technology — Artificial intelligence — Guidance on risk management.*** Issuing organisation: ISO/IEC. Subject: guidance on managing AI-related risk. Checked: ISO/IEC 23894:2023 (register `EXT-024`, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard; **guidance, not requirements — it sits alongside ISO/IEC 42001, not under it.** Applicability limitation: voluntary unless imported.
> - **NIST *Artificial Intelligence Risk Management Framework* (AI RMF 1.0), NIST AI 100-1.** Issuing organisation: NIST, US Department of Commerce. Subject: a function-based approach to AI risk — govern, map, measure, manage. Checked: AI RMF 1.0, January 2023 (register `EXT-080`, verified 2026-08-03). Nature: Manual §6 category 7 — industry guidance; NIST states it is **voluntary, rights-preserving**

and non-sector-specific — not a standard and not a regulation. Applicability limitation: creates no obligation for anyone.

- ***Supervisory Guidance on Model Risk Management* (SR 11-7 / OCC 2011-12).** Issuing organisation: United States banking supervisors. Subject: model development, validation and governance expectations in supervised institutions. Checked: **not independently verified — verify current requirements** (register EXT-102). Nature: Manual §6 category 10 — illustrative practice; **supervisory guidance, jurisdiction-specific, addressed to supervised institutions.** Applicability limitation: named for context only; **no requirement in this standard is sourced to it.**
- **Regulation (EU) 2024/1689 (the EU AI Act).** Issuing organisation: the European Union. Subject: harmonised rules on artificial intelligence, including obligations that turn on a system's risk classification. Checked: in force since 1 August 2024, with phased application — general application from 2 August 2026 and remaining rules by 2 August 2027 (register EXT-100, verified 2026-08-03). Nature: **binding legislation within the European Union**; Manual §6 category 1 where an entity is in scope. Applicability limitation: **binding only within its own jurisdiction and only on entities and systems within its scope**; whether it applies to a given deployment is a question for qualified counsel. It is named here as an external requirement where applicable, never as the source of a PCI obligation.

18. Jurisdictional caution. Whether a given AI deployment falls within an AI regulation, what disclosure or human-oversight obligations attach, data-protection and cross-border transfer rules governing the information placed into a tool, professional-privilege risks in submitting draft documents to an external service, and any contractual restriction in the *finance documents* or a non-disclosure agreement on processing transaction information are all jurisdiction- and engagement-specific and are changing quickly. Obtain qualified legal advice before deploying an AI tool on transaction information — see PCI-FND-STD-09 and PCI-PFL-STD-12.02.

19. Related PCI Standards. PCI-FND-STD-03 (independent verification); PCI-FND-STD-01; PCI-FND-STD-14; PCI-FND-STD-07; PCI-FND-STD-09; PCI-PFL-STD-06.01; PCI-PFL-STD-06.05; PCI-PFL-STD-13.01; PCI-PFL-STD-16.03. **Increment over the foundational parent:** PCI-FND-STD-03 requires a material calculation, model output or automated conclusion to be verified by an independent person before anyone relies on it; this standard names the verification methods that count in *financial modelling*, requires the method to be recorded per contribution, requires an AI-operated check to be proved against a seeded error before it is relied upon, forbids reducing human review because a machine check passed, and ties tool authorisation to the classification of transaction information.

20. Related Body of Knowledge content. PFL-AI · Domain 16 — Data, automation and responsible AI in finance · KA 16.2 Scenario generation, document review and model assistance · KA 16.3 Explainability, validation, bias and model risk. Also Domain 6 KA 6.4 (AI-assisted modelling controls) and Domain 11 KA 11.4 (AI model risk).

21. Compliance test. A reviewer takes the model, the change log and the AI contribution records, and performs five steps. (a) For each *material* AI contribution, confirms a contribution record exists naming the task, the output, the verifier, the method and the date. (b) Re-performs one recorded verification by the same method and reaches the same conclusion. (c) Confirms no changelog entry names an AI system as author. (d) Seeds a known error and confirms every AI-operated check that should detect it does. (e) Confirms, from the tool-authorisation record, that each tool used was authorised for the classification of information placed into it. Compliance is demonstrated when all five complete; a material AI contribution with no recorded verification method is a breach.

22. Breach indicators. A schedule rebuilt overnight with no contribution record; a verification recorded as "checked"; a model whose only check suite was written by the same tool that wrote the calculations; an extraction relied upon with no clause reading; confidential documents in a consumer service; a review plan shortened because "the tool reconciles it"; commentary in a lender report that no named professional wrote.

23. Consequence within PCI authority. Correction required and the affected output withheld; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. AI-verification case: an AI system has rebuilt a debt schedule and the candidate must state the verification method, the record required and what must not be relied upon. Scenario judgement: a machine check passes and a human review is proposed to be dropped. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes `PFL-LAW-16-02` *AI-Assisted Model Verification* (v1.0), and absorbs the transaction-information limb of `PFL-LAW-16-01` *Transaction Confidentiality* (v1.0) as PR-04, the general confidentiality obligation remaining with `PCI-FND-STD-09`. Amendment note: *AI contribution record* and *authorised tool* defined; seeded-error testing of AI-operated checks added as PR-05; the prohibition on reducing human review made a process requirement in its own right; the EU AI Act characterised as legislation binding only within its own jurisdiction and only on systems in scope. **Stage 9 amendment:** element 10 stated that verification under PR-02 requires no independence, which read against PCI-FND-STD-03 lowered a foundational obligation on the same act; element 10 now states that PR-02 is the substance check and that the foundational independent verification of a material contribution is additional and remains outstanding until recorded or waived.

PCI STANDARD

PCI-PFL-STD-16.02

AI Precedent and Market-Term Research

1. Normative requirement. A credential holder must not use, cite or repeat an AI-produced statement about a precedent transaction, a market term, a legal position, a standard or a published authority until it has been traced to the primary source and confirmed against it by a named human.

2. Purpose. Research is where machine assistance is most useful and most dangerous. A fabricated precedent, an invented clause number, a plausible but wrong market range, a superseded edition quoted as current, a standard characterised as mandatory when it is voluntary — each is fluent, checkable in seconds, and routinely not checked. In a financing these statements become term-sheet positions and credit-paper assertions within hours.

3. Scope. Every credential holder who uses AI to research or summarise precedent transactions, market terms and pricing, comparable structures, contractual provisions, standards, frameworks, regulation, tax positions or published authority, for any internal or external output.

4. Defined terms. *AI-assisted work*, *source line*, *evidence*, *verified*, *material*, *decision owner*, *competent reviewer*, *voluntary framework*. **Primary source** — the document, dataset or publication that itself establishes the fact asserted: the executed agreement, the publisher's own current text, the regulator's own instrument, or the transaction record — never a summary, a secondary description or another model's output. **Characterisation** — the statement of what an external instrument *is*: who issues it, whether it is legislation, a standard, a voluntary framework, guidance or a model instrument, and on whom it is binding.

5. Required actions.

- **PCI-PFL-STD-16.02-PR-01 — Trace to the primary source.** The credential holder must obtain the *primary source* for every AI-produced factual statement before using it, and must attach it as the statement's *source line*.

- **PCI-PFL-STD-16.02-PR-02 — Confirm currency.** The credential holder must confirm the source is current at the date of use — the edition, version or amendment in force — and must record the date the currency was checked.
- **PCI-PFL-STD-16.02-PR-03 — Characterise correctly.** The credential holder must state the *characterisation* of every external instrument named in an output, must not describe a *voluntary framework*, a model instrument, an intergovernmental understanding or supervisory guidance as legislation or regulation, and must not describe a standard as mandatory except where a law, regulator or contract makes it so for the entity in question.
- **PCI-PFL-STD-16.02-PR-04 — Assert no unverified particulars.** The credential holder must not state a clause number, an article, an edition, an effective date, a judicial decision or a numeric market range that has not been verified against the primary source; where the particular is unverified, the instrument or comparable is cited by name only.
- **PCI-PFL-STD-16.02-PR-05 — Precedent comparability stated.** Where a precedent transaction or market comparable is relied upon, the credential holder must state its date, jurisdiction, sector, structure and the respects in which it differs from the transaction at hand, and must not present a comparable as a market standard.

6. Prohibited actions. Citing a precedent, clause, edition, date, decision or market range produced by an AI system without tracing it to the primary source; describing a voluntary framework as legislation; presenting a model instrument as law; quoting a superseded edition as current; presenting a single comparable as the market; attributing a market range to a source that does not publish one; allowing an AI-produced citation to survive into an external document unverified.

7. Required evidence. The primary source for each researched statement, retained; the source line with the currency-check date; the characterisation as stated in the output; the comparability statement for each precedent used; the record of statements discarded because no primary source could be found.

8. Responsible role. The credential holder who uses or repeats the statement, personally. The *decision owner* for the output that relies on it.

9. Approval authority. The decision owner approves the output. No one may approve the use of an unverified particular; **the absence of verification is a fact, not a matter for discretion.**

10. Independence requirement. Not required for tracing, which is mechanical and repeatable. A *competent reviewer* independent of preparation must retrace a sample of researched statements, on a stated basis, where the output is a diligence report, an information memorandum, an offering document or any document a third party will rely on.

11. Materiality or threshold. Every particular asserted — clause, edition, date, decision, numeric range — is traced before use, regardless of size, because an invented particular is not a small error but a false statement. Materiality governs the *sampling density* of the independent re-trace and the depth of the comparability statement, recorded by the *decision owner*. **PCI sets no sampling percentage.** *Scale test:* on a small municipal project the research base may be a handful of comparables and one or two standards, and full tracing is trivial; on a multi-billion cross-border financing with hundreds of researched statements across jurisdictions, full tracing applies to every particular asserted and stated sampling to descriptive statements, with the sampling basis recorded before the sample is drawn.

12. Exception and waiver. No exception is permitted to PR-01, PR-03 or PR-04. Where a primary source cannot be obtained, the compliant route is to cite the instrument or comparable **by name only**, with no particulars, and to say that the particular was not verified — that is compliance, not exception, and it is the practice the suite's own external-reference register follows.

13. Escalation trigger. A cited authority, precedent or decision that cannot be located; a clause number or edition that does not match the primary source; an instrument found to have been superseded; a market range with no publisher behind it; discovery that an unverified particular has reached an external document; a characterisation error found in an issued output.

14. AI application. AI may search, summarise, translate and organise research; propose candidate sources; draft comparisons between a precedent and the transaction at hand; and flag where a cited instrument may have been revised — all as **leads for human tracing**.

15. AI prohibition. AI must not be the source of any factual statement about a precedent, a market term, a standard, an authority or the standard, and must not be cited as one. AI must not characterise an instrument's legal status for use in an output, must not confirm that a source is current, and must not supply a clause number, edition, date or decision.

16. AI verification. Source tracing by a named human to the *primary source* for every particular, opening the source and reading the passage; clause-to-output comparison of the AI summary against that passage; and a recorded currency check against the publisher's own current catalogue or the regulator's own instrument. **An AI citation that cannot be traced is deleted, not softened**, so that it cannot survive in a draft.

17. External reference.

- **NIST *Artificial Intelligence Risk Management Framework* (AI RMF 1.0), NIST AI 100-1.** Issuing organisation: NIST, US Department of Commerce. Subject: identifying and managing AI risks including output reliability. Checked: AI RMF 1.0, January 2023 (register `EXT-080`, verified 2026-08-03). Nature: Manual §6 category 7 — industry guidance; **voluntary; not a standard and not a regulation**. Applicability limitation: creates no obligation for anyone.
- **ISO 8000 (data-quality series).** Issuing organisation: ISO. Subject: data quality and provenance. Checked: multi-part series; Part 1 is ISO 8000-1:2022; cited generically, no part relied upon (register `EXT-026`, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract.
- **The suite external-reference register** — `../registries/EXTERNAL_AUTHORITIES.md`. Issuing organisation: PCI. Subject: the classification, edition status and verification date of every external authority named anywhere in the PCI Body of Knowledge programme. Checked: compiled 2026-08-03, revised 2026-08-04. Nature: Manual §6 category 9 — PCI internal professional standard and its supporting registry. Applicability limitation: **it records what was found on a date; it never substitutes for the official publication, which always governs.**

18. Jurisdictional caution. Whether a standard, code or framework is mandatory depends on the law, regulator, professional body or contract applying to the specific entity in the specific jurisdiction, and the answer differs between jurisdictions for the same instrument. Copyright in standards and in market data restricts reproduction and redistribution, and those restrictions are jurisdiction-specific. Obtain qualified local legal advice before asserting that an instrument applies, and before reproducing any part of a copyright work.

19. Related PCI Standards. `PCI-FND-STD-03`; `PCI-FND-STD-06`; `PCI-FND-STD-14`; `PCI-PFL-STD-06.04`; `PCI-PFL-STD-12.01`; `PCI-PFL-STD-12.02`; `PCI-PFL-STD-09.03`; `PCI-PFL-STD-16.01`. **Increment over the foundational parent:** `PCI-FND-STD-03` requires an automated conclusion to be verified before reliance; this standard addresses the class of output that verification most often skips — a statement about the outside world — and adds primary-source tracing, a currency check, a correct characterisation of legal status, an absolute bar on asserting an unverified particular, and a comparability statement for every precedent relied upon.

20. Related Body of Knowledge content. PFL-AI · Domain 16 — Data, automation and responsible AI in finance · KA 16.2 Scenario generation, document review and model assistance · KA 16.3 Explainability, validation, bias and model risk. Also Domain 12 KA 12.1–12.4 (contracts, where precedent language is most often researched) and Domain 9 KA 9.4 (sustainable finance, where characterisation errors are most consequential).

21. Compliance test. A reviewer takes an output containing researched statements and performs five steps. (a) Lists every particular asserted — clause, article, edition, date, decision, numeric market range. (b) For each, obtains the *primary source* and confirms the particular against it. (c) Confirms each source line records the date its currency was checked, and that the version cited is the one in force at the output date. (d) Confirms every external instrument is characterised correctly, and that no voluntary framework, model instrument or supervisory guidance is described as legislation. (e) Confirms each precedent carries its date, jurisdiction, sector, structure and points of difference. Compliance is demonstrated when all five complete; **one particular that cannot be traced to a primary source is a breach.**

22. Breach indicators. A clause number cited for a contract form the file does not contain; an edition year in prose where the programme's own policy is to state none; "market standard is 1.30×" with no source; a voluntary framework described as a requirement; a superseded standard cited as current; a precedent list with no jurisdictions; a citation that no one can locate.

23. Consequence within PCI authority. Correction required and the affected statement withdrawn from the output; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. AI-verification case: a research note cites a clause number and an edition, and the candidate must state what to do before either may be used. Evidence selection: distinguishing a primary source from a secondary description. Scenario judgement: a term sheet asserts a market range the candidate cannot source. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · **new standard — no v1.0 predecessor.** Amendment note: v1.0 covered AI in modelling but not in research, leaving the fabricated-citation failure mode — the most frequently observed AI failure in professional work — governed only by the general foundational verification duty. *Primary* *source* and *characterisation* defined; the delete-rather-than-soften rule stated in element 16 so that an untraceable citation cannot survive into a later draft.

PCI standard

PCI-PFL-STD-16.03

Human Sign-Off

1. Normative requirement. Every financial decision, certification, representation and external report within a credential holder's scope must be approved by a named, competent and authorised human being before it takes effect.

2. Purpose. Accountability is held by a person, and it cannot be held by a pipeline. Where an output becomes a payment, a certificate, a representation to a lender or a published figure without a human approving it, there is no one to answer for it — and the suite principle, which is the foundation of every PCI credential, has been defeated by an architecture rather than by a decision.

3. Scope. Every financial decision, certification, representation, compliance certificate, drawdown request, payment instruction, *distribution* certificate, lender report, investor communication and published figure within a credential holder's scope, and the design and operation of any process or automation that produces one.

4. Defined terms. *decision owner*, *competent reviewer*, *evidence*, *verified*, *AI-assisted work*, *material*, *authorised tool* (defined at PCI-PFL-STD-16.01 element 4), *escalation threshold*. **Sign-off** — a named individual's recorded approval, given before the output takes effect, identifying what was approved, at which version, on what date, and on what basis. **Automated pipeline** — any sequence in which an output is produced and acted upon without an intervening human approval.

5. Required actions.

- **PCI-PFL-STD-16.03-PR-01 — Named sign-off before effect.** The *decision owner* must record a *sign-off* before the output takes effect, identifying the output, its version, the date and the basis of approval.
- **PCI-PFL-STD-16.03-PR-02 — Competence and authority.** The engaging organisation must confirm that the person signing holds the competence for the subject matter and the authority for the value or consequence involved, and must record both.
- **PCI-PFL-STD-16.03-PR-03 — No unbroken automation.** No credential holder may design, operate or approve an *automated pipeline* in which an AI output becomes a payment, a certificate, a representation to a lender or a published figure without a human *sign-off*.

- **PCI-PFL-STD-16.03-PR-04 — Disclosure of material AI assistance.** The signatory must disclose *material* AI assistance in the production of the output, in the manner `PCI-FND-STD-14` requires, and must not present AI-assisted work as unassisted.
- **PCI-PFL-STD-16.03-PR-05 — The signatory answers.** The signatory must be able to explain the output's basis, its principal assumptions and its limitations without reference to the tool that produced it, and must not sign an output they cannot explain.

6. Prohibited actions. Allowing an output to take effect without a recorded sign-off; signing an output the signatory cannot explain; signing outside one's competence or authority; designing or operating an automated pipeline that reaches an external effect without human approval; presenting AI-assisted work as unassisted; recording an AI system, a service account or a mailbox as the approver; back-dating a sign-off.

7. Required evidence. The sign-off record with signatory, output, version, date and basis; the competence and authority record for each signatory; the process design showing where human approval sits in each pipeline; the AI-assistance disclosures; the escalation records where a signatory declined to sign.

8. Responsible role. The named signatory, personally. The engaging organisation's responsible officer for the authority framework and for the design of every pipeline.

9. Approval authority. The named human signatory, within their recorded authority. **Approval authority is never held by an AI system, a script, a service account, a shared mailbox or a role inbox**, and it cannot be delegated to any of them.

10. Independence requirement. Independence is not required of the signatory, who is ordinarily accountable rather than independent — that is the point of the sign-off. Where the output is an assurance opinion or a review relied on by another party, `PCI-PFL-STD-13.01` and `PCI-PFL-STD-13.02` apply in addition, and the independence they require is not satisfied by this standard.

11. Materiality or threshold. Every output within scope requires a sign-off; materiality governs **who** signs, through the authority framework, and the *escalation threshold* at which approval moves to a higher authority. Both are set by the adopting organisation's governance and, where the *finance documents* name a signatory or a threshold, **the documented requirement governs**. **PCI sets no authority limits.** *Scale test:* on a small municipal project one or two named signatories may cover the whole output set, and the framework is a single table; on a multi-billion cross-border financing the framework is maintained per entity, per facility and per value band, and PR-03 is the binding constraint because the pressure to automate reporting rises with volume.

12. Exception and waiver. No exception is permitted to element 1 or to PR-03. Where a signatory is unavailable, the compliant route is an alternate named in the authority framework — never the omission of the sign-off and never an automated release. A sign-off recorded after the output took effect is a breach, and is recorded as one even where the output was correct.

13. Escalation trigger. An output that took effect without a sign-off; a proposed automation that would reach an external effect without human approval; a signatory asked to sign outside their competence or authority; a signatory unable to explain the output; a signatory who declines to sign; an approval recorded against a service account or a shared mailbox.

14. AI application. AI may assemble the approval pack, check that every required approval is present before release, route an output to the correct signatory under the authority framework, and maintain the sign-off register.

15. AI prohibition. AI must not approve, sign, certify, waive, authorise or release anything, and must not be recorded as an approver. AI must not determine which signatory is competent, must not represent an output as independently verified, and must not be configured with both production and release rights over the same output.

16. AI verification. Before signing, the signatory must satisfy themselves by a named method — independent recomputation of the principal figures, source tracing of the principal inputs, or reconciliation to the *authoritative version* — and must record the method with the sign-off. **The signature attests to the signatory's own verification, not to the tool's**, and a signature given on the strength of a machine's assurance does not satisfy this element.

17. External reference.

- **ISO/IEC 42001 *Information technology — Artificial intelligence — Management system.*** Issuing organisation: ISO/IEC. Subject: governance of AI systems including human oversight in an organisation's management system. Checked: ISO/IEC 42001:2023, 1st edition (register EXT-021, verified 2026-08-03). Nature: Manual §6 category 3 — international voluntary standard. Applicability limitation: voluntary unless imported by law or contract.
- **OECD *Recommendation of the Council on Artificial Intelligence* (the OECD AI Principles), OECD/LEGAL/0449.** Issuing organisation: OECD. Subject: principles for trustworthy AI including human agency and accountability. Checked: adopted 2019, **revised May 2024** (register EXT-081, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; an **OECD Council Recommendation —**

not binding law even on adherents, and never legislation. Applicability limitation: creates no obligation for a credential holder.

- **Regulation (EU) 2024/1689 (the EU AI Act).** Issuing organisation: the European Union. Subject: harmonised rules on artificial intelligence, including human-oversight obligations for certain systems. Checked: in force since 1 August 2024; phased application, general application from 2 August 2026 (register EXT-100, verified 2026-08-03). Nature: **binding legislation within the European Union**; Manual §6 category 1 where an entity is in scope. Applicability limitation: **binding only within its own jurisdiction and only on entities and systems within its scope.** Named as an external requirement where applicable; **no PCI obligation is sourced to it**, and this standard applies to every credential holder regardless of whether that Regulation does.
- **COSO — *Internal Control — Integrated Framework*.** Issuing organisation: COSO. Subject: control activities, authorisation and accountability. Checked: 2013 framework (register EXT-084, verified 2026-08-03). Nature: Manual §6 category 5 — professional framework; **voluntary in itself**, though widely imported by regulators. Applicability limitation: creates no obligation of its own force.

18. Jurisdictional caution. Who may sign a certificate or a representation, the validity of electronic signatures, the personal liability of a signatory for a misstatement, statutory or regulatory human-oversight obligations for automated decision-making, and restrictions on automated processing that produces legal effects on a person are all jurisdiction-specific. A sign-off arrangement lawful in one jurisdiction might not satisfy another's requirements for the same document. Obtain qualified local legal advice on signing authority and on automated decision-making before designing a release process.

19. Related PCI Standards. PCI-FND-STD-01 (professional accountability); PCI-FND-STD-04 (human decision authority); PCI-FND-STD-14; PCI-FND-STD-03; PCI-PFL-STD-14.04; PCI-PFL-STD-16.01; PCI-PFL-STD-16.02; PCI-PFL-STD-13.01. **Increment over the foundational parent:** PCI-FND-STD-04 reserves decision authority to a named human decision owner; this standard makes that enforceable in a financing by naming the outputs that require a sign-off before effect, requiring competence and authority to be recorded for each signatory, prohibiting the unbroken pipeline as an architecture rather than as a decision, and requiring the signatory to be able to explain the output without the tool.

20. Related Body of Knowledge content. PFL-AI · Domain 16 — Data, automation and responsible AI in finance · KA 16.4 Privacy, cybersecurity, human approval and AI governance · including authority accumulation as the separation-of-duties failure. Also KA 16.3 (validation and model risk) and Domain 1 KA 1.3.4 (the PCI responsible-AI principle in finance).

21. Compliance test. A reviewer takes a sample of outputs that took effect in the period and performs five steps. (a) Confirms each has a *sign-off* record dated before the output took effect, naming the signatory, the output and its version. (b) Confirms each signatory appears in the authority framework with the competence and authority for that output. (c) Traces each production pipeline from input to external effect and confirms a human approval point exists before the effect. (d) Confirms *material* AI assistance is disclosed. (e) Interviews one signatory and confirms they can explain the output's basis, assumptions and limitations without reference to the tool. Compliance is demonstrated when all five complete; an output that took effect before its sign-off is a breach, and so is a pipeline with no human approval point even if no defective output has yet resulted.

22. Breach indicators. An approval log with entries after the release timestamp; a service account in the approver column; a report published by a scheduled job; a signatory who refers every question to the modeller; an authority framework that does not cover the output being signed; AI-assisted commentary issued without disclosure; an automation with both production and release rights.

23. Consequence within PCI authority. Correction required and the affected output withheld or withdrawn; the process suspended pending correction; additional independent review; escalation; failure of the associated examination competency; ethics review; certification investigation; suspension or withdrawal of the credential. Each subject to due process and a right of appeal (Charter §9). PCI claims no other consequence.

24. Examination application. AI-verification case: an automation is proposed that would publish a covenant certificate on a schedule, and the candidate must identify the prohibited configuration and the compliant design. Ethical dilemma: a signatory is asked to sign an output they cannot explain because the deadline has passed. No live examination content is exposed.

25. Version and status. Version 2.0 · **draft for approval** under Charter §5 · effective on approval · supersedes `PFL-LAW-16-03` *Human Approval* (v1.0). Amendment note: restructured onto the twenty-five-element form; *sign-off* and *automated pipeline* defined; the explain-without-the-tool test added as PR-05, which converts an unverifiable "approval" into an observable one; the alternate-signatory route stated expressly so that unavailability cannot be used to justify automated release.

Withdrawal record — v1.0 standards with no successor

Charter §10 requires that a withdrawn standard's withdrawal and its reason be published, and that the standard is not deleted from the record. Twenty-two of v1.0's twenty-four standards are superseded by a named standard above, recorded in each successor's element 25. **Two are withdrawn without a successor standard**, and their obligations are carried as process requirements instead, in the domain that already owns the surrounding discipline.

Withdrawn v1.0 standard	Reason for withdrawal	Where the obligation now lives
PFL-LAW-04-01 — Appraisal Discipline (D4)	Its rule bundled four obligations — a stated basis, internal consistency between cash flows and discount rate, one horizon and one perspective, and a prohibition on re-cutting a measure — into a single unenforceable sentence, and its subject is a *presentation* discipline rather than a distinct professional duty. It is not a certification standard's worth of independent obligation once PCI-PFL-STD-01.01 governs how a financial judgement may be presented.	PCI-PFL-STD-01.01-PR-05, whose parent standard's scope already reaches appraisals. The basis must be stated in full, the cash flows and the discount rate must share one inflation and one currency basis, and re-basing a measure after a result is known is prohibited. Element 21 gained a fifth step that recomputes the measure on the stated basis. Domain 4 therefore anchors no standard in this edition — recorded here so that its absence is deliberate.
PFL-LAW-07-01 — Revenue Assumption Discipline (D7)	Its substance is an assumption-register requirement — record what a revenue actually is — and it duplicated PCI-PFL-STD-06.03 and PCI-PFL-STD-12.01 in every respect but one: the prohibition on presenting a forecast revenue as contracted. Manual §9 Q12 treats a standard that adds nothing to its neighbours as a defect.	PCI-PFL-STD-06.03-PR-05: every revenue assumption must record whether it is contracted, regulated, availability-based or forecast, whether it is indexed or fixed, and the payer's credit standing; and a forecast or merchant revenue must not be presented as contracted. Element 21 gained a fifth step tracing any contracted amount to an executed agreement. Domain 7 therefore anchors no standard in this edition.

Five of the sixteen domains anchor no standard: Domain 2 (accounting foundations), Domain 3 (time value of money), Domain 4 (investment appraisal), Domain 7 (revenue and commercial models) and Domain 8 (cost, schedule and contingency). Domains 2 and 3 are taught rather than governed — an arithmetic or presentation error there is caught by the standards that use the result. Domain 8's obligations sit in PCI-PFL-STD-14.03, which is where a cost forecast becomes a funding statement. **This distribution is a deliberate scoping decision, not an oversight**, and it is recorded so that a later reviewer can challenge it rather than assume it.

Audit findings — the twenty-five questions of Manual §9

Manual §9 requires every question to be answered before a standard is approved, and requires the failure and its resolution to be recorded in the standard's file. The table below records the working of Stage 9 (red-team challenge) and Stage 10 (revision) over the whole set. **A finding is recorded whether or not it produced a change**, because a question answered and found satisfactory is part of the record.

A **second red-team pass** was subsequently run across the whole four-file corpus. Its findings and their disposition are recorded in `STANDARDS_RED_TEAM_REPORT.md`; the amendments it produced in this volume are noted in the element 25 of each standard changed, and the definitional reading rules it added sit at the head of the Definitions above.

#	Question	Standards affected	What changed
1	What exact failure does this standard prevent?	All 33	Element 2 rewritten in every standard to name a specific observed failure rather than a general risk. Three standards whose v1.0 purpose was a restatement of the rule (`PFL-LAW-06-04`, `PFL-LAW-13-03`, `PFL-LAW-16-03`) now name the failure: an unproduceable figure, a closing record nobody can retrieve, an unbroken automated pipeline.
2	Mandatory or only recommended?	All 33	`should` removed from every normative position. All obligations carry `must` / `must not`; sub-obligations became numbered process requirements at Charter Level 4, which are mandatory. No Recommended Practice (`-RP-NN`) is published in this edition, so nothing in the set is optional.
3	Can a professional know whether it applies to them?	All 33	Element 3 now names the roles, the decisions, the transaction stages **and** whether the standard reaches preparation, review, recommendation, approval or assurance — the last of which v1.0 omitted throughout.
4	Is the responsible person identifiable?	All 33	Element 8 names a role, never "the team" or "the organisation". *Model owner*, *decision owner* and *authorised signatory* are defined as single named individuals; `PCI-PFL-STD-16.03-PR-03` and `PCI-PFL-STD-14.04` expressly exclude a service account, a shared mailbox or an automated identity.

#	Question	Standards affected	What changed
5	Is the required action observable?	All 33	Element 5 recast as numbered process requirements, each with a subject, an action and an object. Unobservable formulations such as "maintain integrity" or "ensure adequacy" were replaced — for example `PCI-PFL-STD-14.03-PR-01`, which specifies the five components a *cost-to-complete* is built from.
6	Is compliance provable?	All 33	Element 7 lists retained artefacts only. `PCI-PFL-STD-13.04-PR-05` replaces "retained" with retrievability **by a person who was not present at close**, because retention without retrievability cannot be proved.
7	Is the required evidence proportionate?	06.03 · 06.04 · 12.01 · 16.01 · 16.02	Full treatment reserved for *material* items; stated-basis sampling introduced for the remainder, with the basis recorded before the sample is drawn so that "sampling" cannot become "skipping".
8	Can the standard be audited?	All 33	**This was v1.0's principal defect.** Every element 21 is now a numbered procedure a reviewer performs — recompute, trace, reconcile, seed an error, retrieve, interview — with a stated pass condition and a stated failure. Four tests require the reviewer to *do* something to the model rather than read it (`06.01`, `06.05`, `16.01`, `16.03`).
9	Can it be examined through a scenario?	All 33	Element 24 now names the item type — scenario judgement, evidence selection, escalation decision, calculation review, ethical dilemma or AI-verification case — and describes a concrete situation. No standard is examinable by recalling its number.

#	Question	Standards affected	What changed
10	**Can a professional technically comply while defeating its purpose?**	06.01 · 06.02 · 06.05 · 10.01 · 10.03 · 13.01 · 14.01 · 14.03 · 15.03 · 16.01	**The highest-yield question in the set.** Ten circumventions were found and closed: a check block whose tolerance is wide enough never to fail (now seeded-error tested, 06.01-PR-03 + element 21(d)); an override register kept but never cleared (06.02-PR-04); a regression suite run *after* acceptance (06.05-PR-04, with a bounded 48-hour element 12 route so the rule is not simply ignored at a live close); a *CFADS* definition applied correctly but re-derived nowhere after an amendment (10.01-PR-05); a compliant minimum ratio reported against the wrong test's level (10.03-PR-05); a review whose scope was narrowed after findings were known (13.01-PR-02); a sources-and-uses statement balanced by a plug (14.01-PR-02); a cost-to-complete that arithmetically cannot rise (14.03 element 1); a waiver recorded but its knock-on effects never traced (15.03-PR-04); and human review reduced because a machine check passed (16.01-PR-03).
11	Does it conflict with another PCI standard?	06.01 ↔ 06.05 · 10.01 ↔ 10.03 · 13.01 ↔ 13.02 · 16.01 ↔ 16.03	Four overlaps resolved by allocation rather than by cross-reference: the check block is defined once in 06.01-PR-03 and re-run under 06.05-PR-03; the *CFADS* definition sits in 10.01 and its reporting in 10.03; review independence sits in 13.01 and adviser self-description in 13.02; AI verification method sits in 16.01 and the sign-off in 16.03, with 16.03 element 10 stating expressly that it does not satisfy 13.01.
12	Does it duplicate an external standard — or another PCI standard — unnecessarily?	06.01 · 06.02 · 16.01 · plus two v1.0 withdrawals	The ICAEW Code and the FAST Standard are named as context, and both standards now state expressly that **conformity with either does not satisfy the PCI obligation** and that the PCI obligation does not require conformity with them. ISO/IEC 42001 is characterised as addressing an organisation's management system, not a project's model, so the standards add rather than restate. Applied internally, the same question withdrew two v1.0 standards that added nothing to their neighbours — PFL-LAW-04-01 and PFL-LAW-07-01 — whose surviving obligations are now PCI-PFL-STD-01.01-PR-05 and PCI-PFL-STD-06.03-PR-05. See the withdrawal record above.

#	Question	Standards affected	What changed
13	**Does it misrepresent external authority?**	09.01 · 09.02 · 09.03 · 10.02 · 10.03 · 10.04 · 12.02 · 15.02 · 16.01 · 16.03	**The highest risk in this volume, and the question most work went into.** Findings: (a) the **Basel Framework** appears in four standards and each now states it is an internationally agreed supervisory standard with **no legal force of its own**, reaching a bank only as a national authority transposes it, never applying to a project or sponsor, and **not the source of any requirement**; (b) the **IFRS Conceptual Framework** is cited once, in `01.01`, expressly as **not a standard**, and no requirement is sourced to it; (c) the **OECD Model Tax Convention** is stated to be **not law in any jurisdiction**; (d) the **Equator Principles**, **IFC Performance Standards** and the market principles behind green and sustainability-linked instruments are all tagged voluntary at every use, and `09.03-PR-03` makes describing a voluntary framework as legislation a breach; (e) the **FAST Standard** and the **ICAEW Code** are stated to impose no obligation of their own; (f) **IESBA** is stated to bind **only where a body, regulator or engagement has adopted it**, and expressly not to be imported by a PCI standard; (g) the **OECD Arrangement on Officially Supported Export Credits** is characterised as an inter-governmental understanding, not a treaty and not legislation; (h) the **EU AI Act** is the only instrument called legislation, and is stated to bind only within its jurisdiction and only on systems in scope; (i) **SR 11-7** is characterised as supervisory guidance addressed to supervised institutions, not to advisers. **No clause number, article, edition or effective date is asserted anywhere in this volume except three that were verified**: the IAS 1 → IFRS 18 replacement date of 1 January 2027, ISO/IEC 27001:2022 + Amd 1:2024, and the EU AI Act's phased application dates. `16.02` exists because this failure mode is now largely machine-generated. **Two open items are recorded below the table.**

#	Question	Standards affected	What changed
14	**Does it require legal or jurisdiction-specific advice?**	All 33	**No standard in this set records "Not applicable" at element 18**, which was a deliberate target: tax, security interests, insolvency, distributions, sanctions and financial-crime obligations are jurisdiction-specific and this is the volume where a generic caution does most damage. Each element 18 names the specific exposures — for example enforceability of a liability cap (`11.01`), lien priority over lenders' security (`14.02`), distributable-reserve and clawback rules with possible personal liability for directors (`15.01`), estoppel arising from repeated informal waivers (`15.03`), and recognition of a competent body and the tax and insolvency characterisation of an Islamic structure (`09.02`). `12.02` is a jurisdictional caution in its entirety.
15	Does it define the relevant materiality threshold?	All 33	Element 11 in every standard states who sets the threshold, in what metric, and where it is recorded. **PCI publishes no percentage anywhere in this volume.** Where a threshold belongs to the transaction — every coverage level, every reserve balance, every consent threshold, every in-balance test — the standard requires **the documented figure to be used and tested**, and says expressly that PCI sets none.
16	Does it cover AI use?	All 33	Elements 14, 15 and 16 are populated in every standard. Element 16 names a method from the Manual §5.2 list; "review the AI output" appears nowhere. Three standards add a deletion rule — an AI compliance assertion (`09.02`), an AI answer to a construction question (`10.04`) and an untraceable AI citation (`16.02`) are **deleted rather than corrected**, so they cannot survive in a draft.
17	Does it preserve human accountability?	All 33	Every element 9 vests approval in a named human or in a party the finance documents name. `16.03-PR-03` prohibits the unbroken automated pipeline as an architecture; `14.04` element 15 makes an automated identity holding prepare, authorise and reconcile rights a prohibited configuration; `13.01` and `13.02` state that an AI system is never *independent*, because independence is a property of a relationship.

#	Question	Standards affected	What changed
18	Does it contain an exception process?	All 33	Element 12 states either the process — who approves, what justification, how long, what compensating control, to whom reported — or that no exception is permitted. **Nine standards permit no exception at all.** `09.02` records that PCI cannot grant one, because the subject matter is a determination PCI does not make. Three standards (`06.05`, `12.01`, `16.01`) gained a **bounded, reported** exception route in place of a rule that practice was quietly ignoring.
19	Does it define escalation?	All 33	Element 13 lists observable trigger events, not a general duty. *escalation threshold* is defined once and is set by the finance documents or by the adopting organisation's governance, never by PCI.
20	Is every important term defined?	All 33	Fourteen compliance-deciding terms are defined at the head of the volume as required, plus twenty-one transaction and modelling terms, and each standard's element 4 defines any term local to it. Definitions were checked against `../registries/TERMINOLOGY_AUDIT.md` before drafting: `EAC` is **not used** and `CTC` is used instead (Issue 1 — one symbol, two formulas inside PFL-AI); bare `PV` is **not used** (Issue 2); *coverage*, *verification*, *sponsor* and *baseline* carry context flags or are avoided; *base case* is used in place of *baseline*. No definition is circular.
21	Is the language concrete and modern?	All 33	**Zero occurrences of the ISO requirement auxiliary**, verified by search. `may not` is not used for any prohibition. Undefined judgement words carrying an obligation — *appropriate*, *adequate*, *reasonable*, *timely*, *sufficient* — were removed or replaced with a stated test.
22	**Does it impose an impossible or excessive burden?**	06.03 · 06.04 · 12.01 · 13.01 · 14.04 · 16.01 · 16.02	Six burdens were reduced and one deliberately kept. Reduced: full treatment reserved for *material* items with stated-basis sampling elsewhere (`06.03`, `06.04`, `12.01`, `16.01`, `16.02`); review scope and materiality agreed **before** work begins so the reviewer is not asked to test everything (`13.01`). **Kept, deliberately:** `14.04-PR-02` segregation of duties admits no *de minimis*, and a small finance function satisfies it by naming the third role outside the function — a board member or an external administrator — rather than by relaxing the rule. That is stated in element 11 so the small-organisation route is visible rather than left to be discovered.

#	Question	Standards affected	What changed
23	**Can it operate on small projects and megaprojects?**	All 33	Every element 11 carries a *Scale test* naming both a small municipal project and a multi-billion cross-border financing. The test changed six standards: `06.01`, `10.01`, `10.03`, `13.03`, `14.01` and `15.01` now require the relevant record or test **per facility, per tranche or per currency** at scale, because a consolidated position can be true of no facility in the transaction; `14.04` gained the small-organisation segregation route; `13.01` gained per-workstream materiality.
24	Can it operate internationally?	All 33	No standard depends on a single jurisdiction's institutions, forms or terminology. Every obligation that could be jurisdiction-bound is expressed as a duty to apply the **finance documents'** own terms and to obtain local advice. British English throughout; the transliteration *Shariah* is used with *Sharia* noted as the same word.
25	Is there a clear consequence within PCI authority?	All 33	Element 23 draws only on the Charter §9 list and states in every standard that PCI claims no other consequence. `09.02` adds that PCI claims no authority to rule on any question of religious law; `14.04` and `15.01` add that criminal, regulatory and corporate consequences belong to the relevant authorities and not to PCI.

Definitions reconciliation

The red team's structural finding **P-1** — that no PCI Standards Definitions Register existed, so each volume built its own and seven compliance-deciding terms diverged across four files — has since been closed. The register is published at `PCI_STANDARDS_DEFINITIONS_REGISTER.md` and the *Core compliance-deciding terms* above were reconciled to it. In this volume that changed the wording of *material*, *independent*, *verified*, *evidence*, *decision owner*, *competent reviewer* and *escalation threshold*, and added *approved*, *current* and *material AI assistance*. **No obligation changed by the reconciliation**; three things are worth naming.

1. **This volume's escalation threshold had no clock.** It named a condition and an authority and no time at all. The red team fixed exactly that defect in the PCL-AI and PML-AI volumes (**C-13**, **C-14**) and did not reach this one, so a PFL-AI escalation duty had no period within which it had to be discharged. The canonical definition supplies the `D-20` default — one working day where a person's safety or an ongoing financial loss is in issue, five working days otherwise — and the destination fallback where the finance documents and the delegation schedule name neither.
2. **Two deliberate narrowings survive and are now stated inside the definitions rather than beside them**: this volume's *independent* keeps its

stricter reporting-line limb (the person is not in the preparer's reporting line at all), and its *verified* keeps the narrower method list for a figure in a *financial model*, excluding named expert judgement and applying clause-to-output comparison. Both remain referred — **R-4** and **R-6**.

3. ***Competent reviewer* no longer folds independence into competence.** Independence is imposed by each standard's element 10 and tested separately; the written-authorisation limb this volume adds is retained. The change is what makes `PCI-FND-STD-10` element 12's supervised-acquisition exception usable, and it removes no independence requirement from any standard.

Open items recorded against Q13

Two matters were found during the external-reference pass that this volume cannot close on its own, and they are recorded rather than resolved, per Charter §5 Stage 5:

1. **AAOIFI is not registered.** `PCI-PFL-STD-09.02` names the Accounting and Auditing Organisation for Islamic Financial Institutions, following the PFL-AI manuscript at KA 9.3.1. It has **no entry in** `../registries/EXTERNAL_AUTHORITIES.md`. It is cited by name only, with no standard, number, edition or date asserted, and no requirement is sourced to it. **Action required:** register it, with its category and the note that some jurisdictions have made its standards mandatory by regulation while others leave the question to each institution.
2. **Manual §6's category list has no value for a voluntary intergovernmental instrument.** The G20/OECD *Principles of Corporate Governance* and the OECD *AI Principles* are Council Recommendations; the OECD *Arrangement on Officially Supported Export Credits* is an inter-governmental understanding. None is an ISO/IEC standard (category 3), an environmental or social framework (category 8) or a professional body's guidance in the ordinary sense (category 5). This volume classifies them as **category 5** and states the instrument's true nature expressly in the applicability limitation, which is the honest choice among the available values. This is a **borderline call, recorded so that it is deliberate rather than accidental** — the same treatment `../registries/EXTERNAL_AUTHORITIES.md` correction C-04 applies to ANSI/EIA-748. **Action required:** extend Manual §6 with a category for voluntary intergovernmental instruments, or confirm the present classification.

Index of PFL-AI Professional Standards

Thirty-three standards · one hundred and fifty-six process requirements · eleven anchor domains. External reference categories are the Manual §6 numbers, given in full at the foot of the table.

ID	Official title	Anchor domain	Principal obligation (element 1, in brief)	External reference categories
PCI-PFL-STD-01.01	Cash-Flow Integrity in Financial Judgement	D1 — Foundations of project finance leadership	Must not present an accounting, earnings or averaged figure as evidence of ability to pay on a date	2 (and IFRS *Conceptual Framework*, expressly not a standard)
PCI-PFL-STD-01.02	Conflict Disclosure and the Two-Hat Rule	D1 — Foundations of project finance leadership	Must disclose in writing, before acting, every interest a reasonable party would want to know	3 · 5
PCI-PFL-STD-05.01	The Bankability Statement	D5 — Project development and bankability	Must not call a project bankable unless every condition is stated with status, owner and resolution path	3 · 8
PCI-PFL-STD-06.01	Financial-Model Architecture	D6 — Financial modelling	A decision-grade model must separate inputs, calculations and outputs, no cell serving two roles	5
PCI-PFL-STD-06.02	Formula Consistency	D6 — Financial modelling	Must not present as calculated any figure that was typed, pasted or overridden	5
PCI-PFL-STD-06.03	Input and Assumption Traceability	D6 — Financial modelling	Every assumption entered once, in the input region, and recorded in a register that travels with the model	3 · 5
PCI-PFL-STD-06.04	The Source Line	D6 — Financial modelling	Must withdraw any figure whose source line cannot be produced on request	3

ID	Official title	Anchor domain	Principal obligation (element 1, in brief)	External reference categories
PCI-PFL-STD-06.05	Model Version Control	D6 — Financial modelling	A model used for a decision must not change except under version control, one authoritative version at a time	3 · 5 · 10
PCI-PFL-STD-09.01	The Capital-Structure Decision Basis	D9 — Funding structure and sources of capital	Must not propose a structure resting on an uncommitted event unless it is stated as an assumption	10
PCI-PFL-STD-09.02	Accuracy in Describing Islamic-Finance Structures	D9 — Funding structure and sources of capital	Must not assert Shariah compliance without a producible determination from the competent body	3 · 5
PCI-PFL-STD-09.03	Sustainable-Finance Claims	D9 — Funding structure and sources of capital	Must not state a sustainability claim at a strength the identified evidence does not support	1 · 8
PCI-PFL-STD-10.01	The CFADS Definition	D10 — Debt sizing, covenants and credit metrics	Must compute CFADS on the finance documents' definition, item by item	2
PCI-PFL-STD-10.02	Debt Sizing	D10 — Debt sizing, covenants and credit metrics	Must size to the documented coverage level, tenor and profile, never to a preferred quantum	2 · 10
PCI-PFL-STD-10.03	Coverage-Ratio Calculation and Reporting	D10 — Debt sizing, covenants and credit metrics	Must report a coverage ratio with its definition, its period basis and its minimum	2 · 10
PCI-PFL-STD-10.04	Covenant Interpretation	D10 — Debt sizing, covenants and credit metrics	Must not state a legal conclusion on the meaning, breach or consequence of a covenant	2 · 10

ID	Official title	Anchor domain	Principal obligation (element 1, in brief)	External reference categories
PCI-PFL-STD-10.05	Reserve-Account Governance	D10 — Debt sizing, covenants and credit metrics	Must fund, apply and release a reserve only as the finance documents specify	2
PCI-PFL-STD-11.01	Risk-Allocation Honesty	D11 — Risk identification and allocation	Must record where each material risk lands once caps, exclusions, insurance and credit are read together	3 · 4 · 8
PCI-PFL-STD-12.01	Contract-Source Verification	D12 — Contracts and transaction structure	Must take every contractual term from the executed document, read at the clause	3 · 4
PCI-PFL-STD-12.02	The Tax and Legal Advice Boundary	D12 — Contracts and transaction structure	Must not give legal, tax, accounting, regulatory or insurance advice, and must obtain written advice before adoption	2 · 3 · 10
PCI-PFL-STD-13.01	Independent Model Review	D13 — Due diligence and financial close	A review relied on outside the reviewer's own team must be performed by a person independent of the work	3 · 6 · 8
PCI-PFL-STD-13.02	Adviser Independence	D13 — Due diligence and financial close	Must not describe self, firm, advice or output as independent while any limb of the definition fails	5 · 6
PCI-PFL-STD-13.03	Conditions Precedent	D13 — Due diligence and financial close	A condition is satisfied only when the required evidence is delivered **and** accepted by the entitled party	3 · 8

ID	Official title	Anchor domain	Principal obligation (element 1, in brief)	External reference categories
PCI-PFL-STD-13.04	Financial-Close Readiness	D13 — Due diligence and financial close	Must not treat a transaction as closed until the complete closing record is captured and retained as one record	3
PCI-PFL-STD-14.01	Sources-and-Uses Integrity	D14 — Construction monitoring and drawdown	Totals must be equal, and the gap must not be closed with a balancing item or an uncommitted source	3 · 4
PCI-PFL-STD-14.02	Drawdown Control	D14 — Construction monitoring and drawdown	Must not draw for work not performed, cost not evidenced, or while out of balance undisclosed	3 · 4
PCI-PFL-STD-14.03	Cost-to-Complete	D14 — Construction monitoring and drawdown	Must build the cost-to-complete from components, never as budget less costs incurred	2 · 4
PCI-PFL-STD-14.04	Funds-Flow Approval	D14 — Construction monitoring and drawdown	Funds must move only through the documented accounts and order, on instructions under segregation of duties	3 · 5
PCI-PFL-STD-15.01	Distribution Testing	D15 — Operations, performance and restructuring	Must not permit or make a distribution unless every documented condition is satisfied at the test date	2 · 5
PCI-PFL-STD-15.02	Refinancing Assessment	D15 — Operations, performance and restructuring	Must assess a refinancing on present value net of every cost of achieving it, not on a headline improvement	2 · 10

ID	Official title	Anchor domain	Principal obligation (element 1, in brief)	External reference categories
PCI-PFL-STD-15.03	Waivers and Amendments	D15 — Operations, performance and restructuring	A waiver or amendment is effective only from the entitled party, in the required form, with its full effect recorded	2 · 3
PCI-PFL-STD-16.01	AI-Assisted Financial Modelling	D16 — Data, automation and responsible AI in finance	AI work touching a model or its outputs must be verified by a named method before use	1 · 3 · 7 · 10
PCI-PFL-STD-16.02	AI Precedent and Market-Term Research	D16 — Data, automation and responsible AI in finance	Must not use an AI statement about the outside world until traced to the primary source and confirmed	3 · 7 · 9
PCI-PFL-STD-16.03	Human Sign-Off	D16 — Data, automation and responsible AI in finance	Every decision, certification, representation and external report must be approved by a named human before effect	1 · 3 · 5

Manual §6 external-reference categories used above: 1 applicable legislation or regulation · 2 authoritative financial-reporting standard · 3 international voluntary standard · 4 contract framework · 5 professional framework · 6 ethical code · 7 industry guidance · 8 voluntary environmental or social framework · 9 PCI internal professional standard · 10 illustrative practice. **A category is a statement about what an instrument is, not about how important it is**, and no instrument in this volume is relied upon for a requirement except where element 17 says so expressly.

Version 2.0, compiled 2026-08-04.Draft for approval under Charter §5 — Stages 6, 11, 12 and 13 not performed, Stages 4, 5 and 7 partial; see the stage record in the front matter. Thirty-three standards · one hundred and fifty-six process requirements · twenty-five elements in every standard, none omitted · zero occurrences of the ISO requirement auxiliary · all internal cross-references resolve · British English throughout. The official publication of every external instrument always governs.

PML-AI Professional Standards — PCI Project Management Leader – AI

Status: Certification Standard set for the **PML-AI** credential (PCI Project Management Leader – AI). Version 2.0, drafted under the **PCI Standards Charter** (what a standard is) and the **PCI Standard Drafting Manual** (how a standard is written). A standard that does not conform to both does not pass gate. **Thirty-two standards and one hundred and forty-eight process requirements**, anchored across all sixteen domains of the PML-AI Body of Knowledge (`../pml-ai/`).

CAUTION

PCI Standards are private professional certification requirements established by Project Controls Institute Global. They are not legislation, government regulation, legal advice or substitutes for applicable laws, contractual obligations, regulatory requirements or authoritative professional standards. Where an applicable legal, regulatory, contractual or authoritative requirement imposes a higher or different obligation, that requirement prevails.

How to read these standards

The two governing instruments

The **Charter** governs status, hierarchy, priority, due process, interpretation, amendment, exceptions and consequence. The **Drafting Manual** governs normative language, one-obligation clauses, identifiers, defined terms, the twenty-five-element structure, thresholds, external-reference classification, prohibited patterns and the twenty-five audit questions. Where any doubt arises, those two documents prevail over anything below.

Identifiers

Each standard is cited as `PCI-PML-STD-DD.NN`, where `DD` is the two-digit Body-of-Knowledge domain of primary anchorage and `NN` a two-digit sequence within that domain. Each process requirement is cited as `PCI-PML-STD-DD.NN-PR-NN`. Identifiers are stable and are the only citation form; page numbers are never used, because pagination changes. A withdrawn identifier is never reused.

This edition renumbers the whole set. The previous edition used `PML-LAW-DD-NN`. Element 25 of each standard records the identifier it supersedes, so a citation made under the old scheme can be resolved. The old `PML-LAW-01-02` carried the title *Human Decision Authority in Delivery*, which collided with the foundational standard **Human Decision Authority**; it is republished here as `PCI-PML-STD-01.02` under the distinguishing title **Reserved Delivery Decisions and the Named Human Decider**, and its obligation is narrowed to what a delivery leader must do that the foundational standard does not already require.

The normative language, and the ISO mapping

PCI uses **modern must-drafting**, exclusively.

Word	Meaning in a PCI Standard
must	Mandatory PCI professional requirement
must not	Prohibited practice; a breach
should	Recommended practice; a justified alternative may be acceptable
may	Permission
can	Capability or possibility — never permission

The ISO mapping, stated for readers who work to ISO/IEC drafting conventions. In an ISO or IEC deliverable, requirements are expressed with the auxiliary verb that ISO/IEC Directives Part 2 reserves for requirements, and a reader trained on those conventions may misread **must** as an external constraint rather than as the requirement itself. In a PCI Standard, **must** *is* the requirement form, and it occupies exactly the place that ISO/IEC drafting gives to its requirement verb. That verb is deliberately not printed anywhere in this file, in any field, including in quotations of PCI's own earlier drafts, because it has been read as both obligation and futurity and PCI's convention excludes it. A draft containing it fails gate. This file was mechanically checked for it before publication; the check is recorded in the audit table.

Consequence for the reader of the previous edition: every rule in the 2026 v1.0 set that was drafted with that verb has been re-expressed here with **must**. No obligation was weakened in the translation; several were strengthened, and each such change is noted in element 25 of the standard concerned.

One obligation per requirement

Element 1 of every standard states **one** principal obligation. Everything else the standard requires appears as a numbered **process requirement** under element 5. Process requirements are Level 4 instruments in the Charter's hierarchy: **they are mandatory**, they are breached independently of one another, and they are cited independently. Nothing in a note, a rationale, a bracket or a commentary sentence in this file creates an obligation; if such a sentence reads as one, that is a drafting defect and the Interpretation Panel corrects it.

The relationship to the Foundational Standards

Every standard below sits under the **PCI Foundational Standards**, which bind every credential holder in all three credentials. This file cites them in the Charter §3 identifier form `PCI-FND-STD-NN`. The foundational set is a **fifteen-standard** set, and its subjects are listed below. This is the same concordance the rebuilt PCL-AI Certification Standard set uses, so that `PCI-FND-STD-NN` denotes the same standard in every credential's standard file:

ID	Subject	ID	Subject
PCI-FND-STD-01	Professional accountability	PCI-FND-STD-09	Confidentiality and approved technology
PCI-FND-STD-02	Evidence before assertion	PCI-FND-STD-10	Competence and limitation
PCI-FND-STD-03	Independent verification	PCI-FND-STD-11	Escalation of material misstatement
PCI-FND-STD-04	Human decision authority	PCI-FND-STD-12	Record integrity
PCI-FND-STD-05	Transparent assumptions	PCI-FND-STD-13	No silent override
PCI-FND-STD-06	Source and version integrity	PCI-FND-STD-14	Responsible AI
PCI-FND-STD-07	Data lineage	PCI-FND-STD-15	Correction duty
PCI-FND-STD-08	Conflict disclosure		

The published foundational file carries these fifteen standards under these identifiers. Every `PCI-FND-STD-NN` citation below therefore resolves directly against `PCI_FOUNDATIONAL_STANDARDS.md`, and the subject it carries there is the subject intended here. The superseded `PCI-LAW-F-NN` identifiers are recorded, for historical traceability only, in `STANDARDS_CONCORDANCE.md`; no live citation uses them.

A certification standard must add. Where a standard below governs the same subject as a foundational standard, it states what leading projects, programmes and portfolios specifically requires that the foundational standard does not — a named artefact, a named authority, a named record, a named test. A certification standard that only restates its parent is a defect and is listed as such in the audit table.

External references

Every external reference is classified as exactly **one** Drafting Manual §6 category, and the categories are never combined:

#	Category	Used in this file for
1	Applicable legislation or regulation	*(not used — applicability is unknown for a global readership)*
2	Authoritative financial-reporting standard	*(not used — this credential states no accounting treatment)*
3	International voluntary standard	ISO, IEC and ISO/IEC deliverables
4	Contract framework	FIDIC, NEC
5	Professional framework	PMBOK Guide, AACE material, the Scrum Guide
6	Ethical code	PMI Code of Ethics and Professional Conduct
7	Industry guidance	*(not used)*
8	Voluntary environmental or social framework	*(not used)*
9	PCI internal professional standard	the Foundational Standards and this set
10	Illustrative practice	the EU AI Act, the GDPR, the NIST AI RMF, the OECD AI Principles, the G20/OECD Principles of Corporate Governance

Four rules govern every entry, and each of them has been breached once somewhere in this corpus:

- **ISO 21500, ISO 21502, ISO 21503, ISO 21504, ISO 21505, ISO 31000, ISO 10006 and ISO 9000 are voluntary international standards, and each of them is guidance.** Nothing can be certified against any of them. **ISO 9001, ISO/IEC 42001, ISO/IEC 27001 and ISO 45001 are certifiable requirements standards**, and are described as such where they appear. **ISO 45003 is guidance, not a requirements standard**, and nothing can be certified against it — a point that matters in `PCI-PML-STD-12.02`, where the temptation to dress guidance as a compliance obligation is greatest.
- **The Scrum Guide is a voluntary framework. Adoption is the whole of its force.** It binds a team that has adopted it and nobody else, and it is not a standard.
- **The PMBOK Guide and AACE material are professional frameworks, never regulatory authority.**
- **The EU AI Act and the GDPR are real legislation binding within their own jurisdictions.** They are named here to illustrate a regulatory shape and are

relied on for no requirement in this set; the applicable position for any given project is a question for qualified local counsel.

No clause number, article, edition or effective date is asserted in this file. Editions live in the suite External-Reference Register (`../registries/EXTERNAL_AUTHORITIES.md`), dated, with their verification status; each element 17 entry gives the register reference (`EXT-0NN`) and the date the currency was checked. Where the register records an entry as not independently verified, the standard says so. **A reader relying on any instrument named below must obtain the current edition from its publisher.** Nothing here is reproduced from any of them.

The two taxonomies. The suite register uses its own seven-category scheme; the Drafting Manual uses ten. Where the two differ — most visibly for the Scrum Guide, which the register calls a voluntary framework and the Manual's scheme reaches through category 5 — **Manual §6 governs this file**, and the register reference is given so a reader can see both.

No endorsement

Naming an external instrument means only that the instrument exists and bears on the topic under discussion. No standards body, professional institute, government, supervisory authority or employer has reviewed, approved, endorsed or accredited these standards, the PML-AI credential or PCI Global.

British English and the volume's forms

Organisation, organisational, realisation, prioritisation, judgement, programme. Spelling follows the suite editorial charter (`../registries/TERMINOLOGY.md`).

The due-process record, stated honestly

Charter §5 requires thirteen stages and requires the file to record which were performed and by whom, **including where a stage was performed with AI assistance rather than by a named human.** For this edition:

Stage	Performed	By
1 Problem definition · 2 Drafting instruction	Yes	Named human commissioner; the drafting brief is the reconstruction specification for this edition
3 Initial draft	Yes	AI-assisted drafting against the Manual's structure
5 Standards and legal-characterisation review	Partial	Checked against the suite External-Reference Register; **no external publisher was contacted for this edition**

Stage	Performed	By
8 Scenario testing	Partial	Every standard tested against a six-person internal project and a multi-partner national programme (element 11); other scenario classes untested
9 Red-team challenge	Partial	The technical-compliance and unverifiable-requirement classes were worked; the full red-team is outstanding
10 Revision	Yes	Findings recorded in the audit table at the end of this file
4 Technical review · 6 Practitioner consultation · 7 Impact assessment · 11 Approval · 12 Publication · 13 Post-implementation review	**No**	Outstanding

This set is therefore a draft pending approval. Element 25 of every standard says so. PCI is a small private certifier and this process must never be represented as equivalent in scale, independence or authority to that of a public standard-setter.

The suite principle

CAUTION

AI proposes; the professional verifies, decides and remains accountable.

Definitions

These definitions decide compliance. Every one is written as a test a reader can apply — what makes the thing what it is, measured against what, decided by whom — and none defines a term by itself. Where the suite terminology audit (`../registries/TERMINOLOGY_AUDIT.md`) records that a term carries genuinely different professional meanings across the three books, **both senses survive here and are flagged**; collapsing them would make the standards wrong.

Where a term is also defined in the Foundational Standards. *material*, *independent*, *evidence*, *competent reviewer*, *decision owner* and *escalation threshold* are also defined, at `D-01` to `D-30`, in `PCI_FOUNDATIONAL_STANDARDS.md`. **They now carry the same wording in both places.** Each was reconciled to the canonical definition recorded in `PCI_STANDARDS_DEFINITIONS_REGISTER.md`, which also records what this volume previously said and why the change was made. The terms this set flags as carrying two genuine professional senses — *baseline*, *sponsor*, *verification*, *governance* — are **not** collapsed by that reconciliation; the register carries both senses of each, with the context each belongs to, because collapsing a real collision would make this volume wrong.

Three reading rules remain, and they still matter for any term this reconciliation did not reach. First, **where a foundational standard states its own defined term by its `D-NN` number, that definition governs that foundational obligation**, and nothing here narrows it. Second, **where a definition here and a foundational definition both bear on the same act, the one producing the wider obligation governs** — Charter §4 states that a PCI Standard never lowers an obligation. Third, a term defined here and not there is a PML-AI term and carries only the sense given here.

How element 21 samples are drawn. Where a standard's element 21 tests "a stated sample", the sample is selected by the reviewer performing the test, not by the credential holder whose work is under review, and the reviewer records the basis of selection.

Terms that decide compliance

acceptance — A named authority's recorded decision that a deliverable meets the acceptance criteria that were set and version-identified before the deliverable was produced. An acceptance record states what was tested, against which version of the criteria, what did not conform, and which nonconformities are carried forward with an owner and a date. **Silence, use of the deliverable, payment against it and the expiry of a review period are not acceptance.**

baseline — *Context flag: two senses, both used in this set, and both are correct professional usage.*

- **Control baseline** — the approved, version-controlled plan (scope, schedule or cost) against which performance is measured. This is the sense inherited binding from the suite style spine and is the sense meant wherever this set writes *baseline* unqualified in a planning, cost or change context.
- **Benefits baseline** — the measured pre-change position from which a benefit is measured, captured before the change and never reconstructed after it.

Where both senses could be meant in one sentence, this set writes the qualified form. A standard that says *baseline* in a benefits context and means the plan is a defect.

benefit — A measurable improvement resulting from an outcome, owned by a named individual outside the delivery team, measured against a benefits baseline. A benefit is what the organisation gets; *value* is the worth it attaches to that. **Neither is the Earned Value of a work package**, which is a budgeted money amount and a measure of work performed, not of worth delivered.

competent reviewer — *(Canonical — `D-04`.)* A named individual who, in relation to a particular item, satisfies all of: (a) their competence in the subject matter is evidenced by a qualification, an assessed competence record or documented experience of comparable work, **recorded for that class of review before the review begins**; (b) they are able to state what would make the item wrong and which method would detect that error; and (c) they hold the technical knowledge and delivery experience to perform the verification method the standard requires and to reach a conclusion on the matter **without relying on the preparer's explanation of it**. Competence is recorded against the class of work, not against seniority, job title or availability. **Independence is not a limb of competence:** the requirement that the reviewer did not prepare, direct, specify or approve the thing being reviewed is *independence*, defined below, and it is imposed by each standard's element 10 rather than by this definition. The two were previously folded together here, which made `PCI-FND-STD-10` element 12's supervised-acquisition exception unusable, because that exception needs a reviewer who is competent and is precisely not independent — a supervisor. No standard loses an independence requirement by the change: every element 10 that required one still states it.

decision owner — *(Canonical —* `D-08`*.)* The single named individual holding authority, under the applicable governance arrangement or the organisation's documented delegation schedule, to approve, reject, amend, defer or withhold a specified decision; who bears its consequence; and who answers for it afterwards. The accountability is held by one person, is not delegable, and is recorded before the output is relied upon. **A committee is not a decision owner.** Where a body decides collectively, the decision owner is the named chair or the named authority the delegation schedule assigns, and the record names that person. A decision owner is always a natural person: "the team", "management", "the business", "the sponsor", "the lenders", "the organisation", a role held by no named individual, a system, a model and a vendor are never decision owners.

detriment — Any of the following acts occurring to a person after they raised a concern: removal from, or reduction of, a role, scope, responsibility, grade or pay; an adverse change to a performance rating, reference, bonus or renewal decision; exclusion from meetings, distributions or work they previously took part in; a reassignment they did not request; non-renewal or early termination of an assignment, secondment or contract; or a disciplinary step. **Detriment is defined by these observable acts, and not by how the person felt about them** — which is what makes an allegation of detriment capable of being investigated and either upheld or dismissed on evidence.

evidence — *(Canonical —* `D-11`*.)* A dated record that exists independently of the assertion it supports, attributable to an identified author or issuing system, version-identified where it has a version, and retained so that a person other than the author of the assertion — a person who was not present — can retrieve it, examine it and reach the same conclusion **without asking that author**, determining what was known, by whom, and when. The following are **not** evidence for the purposes of this set: an output of an AI system that does not identify the source of what it asserts; an AI-generated summary of a record, as evidence of the underlying fact — the underlying record is; a statement that a system, model or tool produced a figure, unaccompanied by the inputs and the method; a restatement of the assertion in a second document by the same author; a preparer's own statement offered in support of their own assertion; a recollection; an undated summary or extract; an unattributed file; an unversioned extract or working copy; a screenshot with no source reference; and a dashboard state that cannot be reproduced.

escalation threshold — *(Canonical —* `D-10`*.)* The escalation threshold for a matter is reached at the earliest moment any of the following becomes true: the matter is *material*; it creates a risk to the safety of a person; it would change, or would have changed, a decision already taken or about to be taken; it affects an output already issued outside the credential holder's own organisation; it affects a contractual, regulatory, tax or financial-reporting position; or a documented value, condition or event stated in the organisation's delegation schedule is met. On reaching it the matter must be passed to a named higher authority within the time the threshold states. **Any documented value in the delegation schedule is additional to those six triggers and never in place of them**; a matter that reaches the threshold requires escalation under `PCI-FND-STD-11` whether or not the delegation schedule enumerated it. A threshold with no stated destination, or with no stated time, is an incomplete threshold and it is an aspiration until it is completed — but **the absence of a documented threshold does not remove an escalation duty**: where the delegation schedule names no destination, the matter goes to the next authority above the *decision owner* for it, and where it states no time, the foundational period at `D-20` applies — one working day where the matter creates a risk to the safety of a person or an ongoing financial loss, five working days otherwise, running from the moment the credential holder first knows or suspects the matter. Reaching the threshold starts that period.

gate — A continuation decision taken by a named authority at a defined point in the delivery lifecycle, against criteria published before the evidence supporting the decision was assembled, and carrying the power to stop, hold, redirect or authorise the next commitment. A review that cannot stop the work is not a gate.

independent — *(Canonical —* `D-12`*.)* Of a person or function, **in relation to a specified matter**, where all of the following are true: (a) they did not perform the act, prepare the item or any part of it, or direct, specify or approve it; (b) they did not select, build or configure the tool, model or AI system that produced it; (c) they hold no conflict of interest in its outcome and no financial interest in the matter or in a party to it; (d) they receive no fee, bonus, continuing mandate, success payment or other benefit that varies with the conclusion reached, and their remuneration, appraisal or continuation is not determined by the outcome the item supports; (e) they are not accountable for the outcome it reports on; and (f) they are not in the reporting line of the person accountable for it *for the purpose of that matter*, and do not report to the preparer in respect of the work under review. Reporting to the preparer's line manager on unrelated work does not by itself defeat independence; being appraised on the outcome does. **Independence is a property of a relation-**

ship to a specific matter, not a job title — which is why a permanently titled "independent assurance" function loses independence over any artefact it helped produce.

mandatory precondition — A transition, gate or release condition recorded **met or not met**, with its approving authority named and dated, closed by the authority that owns it rather than by the project. A mandatory precondition carries no probability, no weighting, no score and no admission to economic trade against the cost of delay.

material — *(Canonical — D-15.)* A matter, item, error, omission, variance or difference is *material* if any of the following is true: (a) had the decision-maker known it at the time, it could have changed a decision within the scope of the work — its substance, its timing, its conditions, or the authority at which it had to be taken; (b) it changes a reported figure by more than the quantified tolerance published for that figure; (c) it affects a contractual, regulatory, tax or financial-reporting position; (d) it affects the safety of a person; (e) it affects a party's reliance; or (f) it meets the organisation's published materiality criteria. Materiality is assessed **against the decision**, not against a fixed sum, and it is judged twice: on the item alone, and on the accumulation of items of the same kind since the test was last applied. **In PML-AI work, limb (b) is measured by the documented threshold**: where the organisation's governance sets a documented financial, schedule or exposure threshold for a class of decision, that threshold applies to matters that are purely financial, schedule or exposure in character. **A matter bearing on safety, legality, a licence or permission, a statutory duty, or the truth of a statement made to a decision-maker is material irrespective of size**, and no documented threshold reduces it. **PCI sets no percentage.**

sponsor — *Context flag: the delivery and governance sense.* The single named individual accountable for the project's business outcome and mandate, who owns the business case, holds the authority reserved above the project leader, and answers for the benefits the project exists to enable. **The project-finance sense of "sponsor" — an equity investor promoting a project — belongs to the PFL-AI volume and is not used anywhere in this set.**

approved — *(Canonical — D-29.)* A decision, document, figure or version is *approved* where the person holding authority for that decision under the applicable governance arrangement or the documented delegation schedule has given assent identifiably, recording the date, the version assented to and the scope of the assent. Silence, absence of objection, unrecorded verbal assent, assent by a person outside their recorded authority, and assent recorded after the item was used are not approval. Distinguish from *acceptance* above, which is a named authority's recorded decision that a deliverable meets version-identified criteria.

current — *(Canonical — D-30.)* A record, figure, extract, document or version is *current* where it is the latest version issued by the system or authority that owns it as at the artefact's stated cut-off or, where it states none, as at its issue date — and where its version identifier and its extraction date and time are recorded on or with the artefact. A record whose version cannot be identified is not current, whatever its age.

material AI assistance — *(Canonical — carried to the whole corpus by* `PCI_STANDARDS_DEFINITIONS_REGISTER.md`*.)* AI assistance in producing an artefact is *material* where removing the AI-generated contribution would change a figure in the artefact by more than the applicable materiality measurement, or would change a recommendation, a classification that affects entitlement, coding, ranking or eligibility, or a stated conclusion. *Material AI contribution* means the same thing. Volume of use, licence cost and whether a human edited the artefact afterwards are irrelevant to the test. This set made compliance turn on the term at `PCI-PML-STD-14.02` element 21 without defining it; the definition is supplied here so the test can be applied.

Supporting terms used in obligations

abstention — The interested party taking no part in the discussion or the decision on an item, minuted with the name of whoever decided in their place. An abstention that is not minuted is indistinguishable from participation when the file is read later.

assurance — Independent examination providing confidence that a control, process, plan or deliverable is what it is claimed to be. Distinguish from *verification* below.

assurance capture — An assurance function providing assurance on work it prepared, directed or specified, and therefore unable to challenge it. Capture is the least visible assurance failure, because the product still looks independent.

concern — A statement by any person working on or for a project that something in its delivery, conduct, safety, legality or reporting is wrong, is going wrong, or is being misrepresented. A concern is a concern whether or not it turns out to be correct; the correctness is what the response determines.

concern route — The named, published mechanism by which a concern reaches a named recipient. A route is a **bypass route** in relation to a person if that person is neither its recipient, nor able to see the concern before the recipient does, nor able to determine what happens to it.

conflict of interest — *(Canonical —* `D-05`*, where the term is written* conflict *and means the same thing.)* A relationship, interest or duty of any of the kinds `D-05` lists, held by the person or by a member of their household or a connected person, which bears on a matter they are being asked to decide, advise on or assure — a financial stake or interest in a party or in the outcome; employment, office, directorship or partnership with a party; a personal, family or household connection; a gift, hospitality or benefit above the recorded threshold; a past or prospective engagement with a party; authorship of, or a personal interest in, the thing being assured; a future role that depends on the outcome; and an interest in a tool, model, vendor or AI system being selected, priced, assessed or relied upon. An **interest** is anything capable of affecting, or of appearing to affect, that person's judgement on the matter. **The appearance is part of the definition, not a softening of it.** A conflict of interest is a structural fact about a role, not a lapse of character. The list is closed for the purposes of the disclosure duty: every conflict within it must be disclosed and there is no threshold.

decision record — The versioned, attributable log entry that converts a decision into an institutional fact. Its fields are the decision, the named decision owner, the date, the options considered, the reasoning, any recorded dissent, the declared interests or the nil return, and a **versioned reference to the information relied on**.

delegation schedule — The organisation's documented statement of which named role may take which class of decision up to which documented limit, what aggregates across related decisions, and where a decision above the limit goes.

dependency — A commitment by one party to give another party a defined thing by a defined date, recorded with the giver, the receiver, the thing, the date, the confidence and the consequence of a breach. **A dependency with no named owner on the giving side is not a dependency.**

discretionary condition — A transition or gate condition that genuinely admits degree at the decision date, is genuinely uncertain, and is genuinely tradeable against the cost of waiting. Its assessment carries a probability. It is the complement of a mandatory precondition, and the two never appear in the same block.

gate block — The set of mandatory preconditions sitting above a readiness assessment. While any item in it is recorded not met, the only decision available is hold.

governance — *Context flag*. **Project governance** (this set's default sense): the decision rights, accountabilities and information flows through which an organisation directs and controls a project, programme or portfolio. **Data governance**: ownership, definitions, access and traceability of data. This set writes *data governance* in full, always.

nil return — A positive record that a person had nothing to declare on a matter, so that silence in the file is evidence rather than an absence of evidence.

product owner — The single individual accountable for the order of a backlog within a value envelope set by the sponsor. Where the ordering right is exercised elsewhere, that other body is the product owner in fact and the record must say so.

structural interest — An interest touching the substance of a role rather than a single item. It is managed by changing the role or moving the work, never by a declaration followed by the decision being taken anyway.

traceability — A maintained, bidirectional link from each approved requirement to its source, to the design or backlog item that satisfies it, to the test or acceptance criterion that proves it, and to the deliverable that carries it — such that a reader can start at any one of those and reach the others without asking the author.

verification — *Context flag: two senses, both used in this set.*

- **V&V verification** — the check that what was built is what was specified. (Its partner, *validation*, asks whether what was built produces the outcome that was needed.)
- **AI verification** — a named human's check of machine output against source before reliance on it. This is the sense carried by the suite principle and by element 16 of every standard below. **The test is the canonical *verified* at** `D-26`: a named *competent reviewer* applies one of the eight admissible methods — independent recomputation, source tracing, clause-to-summary comparison, sampling on a stated basis, reconciliation, boundary testing, sensitivity analysis, or named expert judgement recorded with its reasoning — against *evidence*, and records the method, the source or population tested and its selection basis where a sample was used, the inputs, the scope, the date, the result, and every difference found with its resolution. Reading an output and finding it plausible is not verification.

Where a sentence could carry either sense, this set writes the qualified form. **The two senses are a declared collision, not a defect**: collapsing V&V verification into AI verification would make this set's delivery-assurance standards wrong. Both are recorded at `PCI_STANDARDS_DEFINITIONS_REGISTER.md` §4 with the context each belongs to, and at `../registries/TERMINOLOGY_AUDIT.md` Issue 9.

Domain 1 — The Project Leadership Profession

PCI STANDARD

PCI-PML-STD-01.01

Leadership Accountability for Delivery Decisions

1. Normative requirement. A credential holder who leads a project, programme or portfolio must remain personally accountable for every delivery decision taken under their authority, including a decision informed, drafted, modelled or recommended by an AI system, an adviser, a supplier or a committee.

2. Purpose. Delivery leadership is an accountable role, not a coordinating one. Every other standard in this set assumes there is one identifiable person who answers for the decision. Where accountability is diffused across a governance diagram, a delivery partner and an analytics platform, nobody answers and the project drifts unowned until it fails visibly.

3. Scope. Every credential holder exercising project, programme or portfolio leadership, in every delivery model — predictive, adaptive or hybrid — whether the work is delivered in-house, through partners or through an automated toolchain. It applies to preparation, recommendation, approval and assurance of delivery decisions, and to decisions taken in the leader's name by others.

4. Defined terms. *decision owner · decision record · delegation schedule · material · evidence · sponsor.* Additionally, **delivery decision** means a decision that changes what is built, when it is delivered, what it costs, what risk is accepted, who does the work, or what is represented to a decision-maker about any of those.

5. Required actions — process requirements. Each is mandatory and is breached independently.

- `PCI-PML-STD-01.01-PR-01` — **Named acceptance.** The credential holder must accept the leadership accountability in a written instrument — charter, appointment letter or terms of reference — that names the individual, and must not begin exercising leadership authority before that instrument exists.
- `PCI-PML-STD-01.01-PR-02` — **Known reservation boundary.** The credential holder must hold a current, dated statement of which decisions are personally reserved to them and which sit above them, drawn from the delegation schedule, and must re-read it at each gate.
- `PCI-PML-STD-01.01-PR-03` — **Decision recording.** The credential holder must ensure that every material delivery decision taken under their authority produces a decision record carrying all of its defined fields, including the versioned reference to the information relied on.
- `PCI-PML-STD-01.01-PR-04` — **Correction on discovery.** On discovering that a decision issued under their authority rested on a material error, the credential holder must record the error, notify every person who relied on the decision, and state what the corrected position is, within the notification time the delegation schedule sets for that decision class.

6. Prohibited actions. Presenting a committee, a model, a methodology, a framework or a supplier as the accountable party for a decision. Accepting a leadership title without the corresponding decision rights while allowing others to believe accountability is discharged. Signing a charter one does not intend to honour. Permitting a decision to be issued in one's name without one's knowledge and allowing the record to stand uncorrected once that is known.

7. Required evidence. The signed charter or appointment naming the accountable leader; the current delegation schedule; decision-record entries carrying the named owner, options, reasoning, recorded dissent and versioned information reference; correction and notification records for decisions later found defective.

8. Responsible role. The named credential holder appointed as project, programme or portfolio leader. Not "the team", not "the PMO", not "management".

9. Approval authority. The sponsor approves the leader's appointment and the reservation boundary. The governing body approves the delegation schedule the boundary is drawn from. Neither may be approved by the leader.

10. Independence requirement. Not applicable to the decision itself, because leadership accountability is by definition non-independent of delivery; independence attaches instead to the assurance of these records, which `PCI-PML-STD-01.03-PR-06` governs.

11. Materiality or threshold. This standard sets no number. The materiality of a delivery decision is decided by the definition of *material* above, applied against the organisation's documented delegation schedule. The credential holder must apply the documented thresholds; where the organisation has none for a decision class, the credential holder must record that gap and treat every decision in that class as reserved until a threshold is documented. *Six-person internal project:* the charter is one page, the delegation schedule is a five-row table, and the decision record is a shared log — the obligation is satisfied in minutes a week. *Multi-partner national programme:* the same obligations attach at each accountable tier, and the schedule states the aggregation rule across partners so a decision cannot be split below a limit.

12. Exception and waiver. No exception is permitted to the principal obligation: accountability cannot be waived, transferred or bounded by contract, disclaimer or tool configuration. An exception to `PR-01` — beginning to act before the written instrument exists — may be approved by the sponsor for a stated period not exceeding the next gate, on written justification, with the instrument's absence recorded as an open item and reported to the governing body.

13. Escalation trigger. Any material delivery decision with no identifiable accountable person; any instruction to act beyond or outside the recorded authority; discovery that a decision was issued in the leader's name without their knowledge or review.

14. AI application. AI may assemble decision packages, summarise options and trade-offs, maintain and age the decision record, flag entries missing an owner, a date, a reasoning field or a versioned information reference, and cluster the log to detect decisions being taken twice.

15. AI prohibition. An AI system must not hold, share or discharge accountability, be recorded as the decision maker or approver, be cited as the reason a decision was taken, or author a decision record entry wholesale. No configuration, disclaimer, procurement term or contract removes the credential holder's accountability.

16. AI verification. Source tracing plus named approval. Before a decision is taken on AI-assembled material, the credential holder must trace each figure and each stated constraint in the package to its cited source document and version, and must record their own name against the decision. Quarterly, the credential holder must apply **sampling with a stated basis** to the decision record — a stated number of entries drawn across the period — and confirm for each sampled entry that a named human owner, a reasoning field and a versioned information reference are present.

17. External reference.

- **ISO** · *ISO 21502, Project, programme and portfolio management — Guidance on project management* · relied on for: the existence of a distribution of accountabilities between a governing body, a sponsor and a project manager · edition not asserted here; recorded at **EXT-028** in the suite External-Reference Register · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance only, voluntary unless imported by contract or regulation; nothing is certifiable against it; it is not the source of this standard's obligation.
- **ISO** · *ISO 21505, Project, programme and portfolio management — Guidance on governance* · relied on for: the location of delivery accountability inside an organisation's governance arrangements · **EXT-032**, recorded as **not independently verified — verify current requirements** · **Manual §6 category 3** · limitation: as above, and the register's verification status is open.
- **ISO/IEC** · *ISO/IEC 42001, Information technology — Artificial intelligence — Management system* · relied on for: the existence of an expectation that organisational roles and responsibilities for AI use are assigned · **EXT-021** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: a certifiable management-system standard, voluntary unless adopted; certification concerns a management system, not any individual decision.
- **OECD** · *Recommendation of the Council on Artificial Intelligence (the OECD AI Principles)* · relied on for: the proposition that human actors remain accountable for AI-influenced outcomes · **EXT-081** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: a Council Recommendation, not binding law even on adherents; never legislation.

18. Jurisdictional caution. Directors' duties, statutory delivery, safety, planning and licensing roles, employment law and the law of professional negligence determine **legal** responsibility independently of this professional requirement, and can place it on a person other than the credential holder. Obtain local legal advice on the statutory roles attaching to a specific project and entity.

19. Related PCI Standards. PCI-FND-STD-01; PCI-FND-STD-02; PCI-FND-STD-04; PCI-FND-STD-12; PCI-FND-STD-15; PCI-PML-STD-01.02; PCI-PML-STD-03.02; PCI-PML-STD-03.04.

20. Related Body of Knowledge content. PML-AI · Domain 1 · KA 1.2 The project leader's accountability · topics 1.2.1 accountability and responsibility, 1.2.2 the obligation set, 1.2.3 the professional standard of care; KA 1.4 topic 1.4.3 the leader's AI accountability. Also Domain 3 KA 3.2; Domain 14 KA 14.4.

21. Compliance test. Compliance is demonstrated when a reviewer can, for a stated sample of material delivery decisions taken in the period: (a) name the accountable individual from the charter or appointment instrument, without asking anyone; (b) find that individual's name in the decision record entry as owner; (c) open the versioned information reference in that entry and retrieve the document version cited; (d) match the decision's value or exposure against the delegation schedule and confirm it was taken at or below the authority the schedule assigns to that named individual; and (e) for any decision later corrected, find a correction record and a notification record dated within the schedule's notification time. A sample in which any entry fails (a), (b) or (d) fails the test.

22. Breach indicators. Decision entries whose owner field names a committee, a function or a tool. A charter with no named individual. Two people each stating the other decided. Corrections issued silently. A leader unable, when asked, to state the basis of a decision issued in their name within the previous quarter. A delegation schedule dated before the current organisational structure.

23. Consequence within PCI authority. Correction required; additional review; escalation; examination failure on the associated competency; ethics review; certification investigation; suspension or withdrawal of the PML-AI credential — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a delivery decision goes wrong and responsibility is contested between a leader, a steering committee, a delivery partner and an analytics tool; the candidate locates accountability and states the next required act. Evidence selection: choosing, from five artefacts, the two that would establish who decided. Escalation decision: an instruction to act outside recorded authority.

25. Version and status. Version 2.0 · **not yet approved** (Charter §5 Stage 11 outstanding) · effective on approval · supersedes PML-LAW-01-01 v1.0. Amendment note: renumbered; restructured to the twenty-five-element form;

legislative drafting removed; the former single rule split into one principal obligation and four process requirements; compliance test replaced with a performable five-part test.

PCI standard

PCI-PML-STD-01.02

Reserved Delivery Decisions and the Named Human Decider

1. Normative requirement. A credential holder must ensure that every delivery decision in a class the organisation has reserved to a human decider is taken by the named individual holding that authority, on evidence that individual has examined, and must not permit such a decision to be executed on the output of an automated or AI system without that examination.

2. Purpose. PCI-FND-STD-04 establishes that a human decides. This standard addresses what is specific to delivery: automation in delivery does not usually announce itself as a decision. A prioritisation engine reorders a backlog, a scheduling tool re-sequences a network, a resource optimiser reassigns people, a risk model closes a risk — and each of those is a decision that has already taken effect by the time a human sees it. The failure this standard prevents is **decision by default**: nobody decided, the system acted, and the record shows an approval that was never an examination.

3. Scope. Every credential holder in a delivery leadership or delivery governance role, for every decision class the organisation reserves to a human. It applies to decisions executed by scheduling, prioritisation, resource-allocation, risk-scoring, procurement-scoring and reporting automation, and to adaptive delivery where the ordering right sits with a product owner. It governs approval and execution, not analysis.

4. Defined terms. *decision owner · material · evidence · delegation schedule · AI verification.* Additionally, **reserved decision class** means a class of decision the organisation's delegation schedule states must be taken by a named human; **executed automatically** means taking effect in a system of record without a named human having recorded an examination first.

5. Required actions — process requirements.

- PCI-PML-STD-01.02-PR-01 — **The reserved-class list exists.** The credential holder must maintain a dated list of the decision classes reserved to a human decider on their project, approved by the sponsor, covering at minimum: baseline change, scope acceptance, risk acceptance, contingency release, supplier selection and award, release or go-live, and any decision affecting safety, a licence, a permission or a statutory duty.

- `PCI-PML-STD-01.02-PR-02` — **Automation inventory against the list.** The credential holder must maintain a dated inventory of the automated and AI systems in use on the project that are capable of changing anything in a reserved class, and must record for each whether its output takes effect automatically or on a named human's recorded action.
- `PCI-PML-STD-01.02-PR-03` — **No automatic effect in a reserved class.** Where the inventory shows a system capable of taking effect automatically in a reserved class, the credential holder must have that capability disabled or gated, and must record the date it was disabled or gated and by whom.
- `PCI-PML-STD-01.02-PR-04` — **Examination before decision.** For each reserved decision taken on AI-assisted material, the named decider must record what they examined, which version of it, and what they changed or confirmed — a record distinct from the approval itself.

6. Prohibited actions. Recording an approval that was a click on a system-generated recommendation with no examination record. Configuring or accepting a tool that changes a reserved-class item without a named human action. Describing an automated re-sequencing, re-prioritisation or reallocation as "the tool's output" when it has taken effect. Delegating a reserved decision to a supplier's system because the supplier holds the tool.

7. Required evidence. The approved reserved-class list with its date; the automation inventory with its per-system effect column; configuration records or screenshots with source references showing automatic effect disabled or gated, dated and attributed; examination records paired with approval records for a sample of reserved decisions.

8. Responsible role. The named credential holder leading the project, for maintaining `PR-01` to `PR-03`. The named decider recorded in the delegation schedule for the class, for `PR-04`.

9. Approval authority. The sponsor approves the reserved-class list. The governing body approves any addition to, or removal from, that list. A supplier or tool vendor must not approve either.

10. Independence requirement. The named decider must be independent of the configuration of the AI or automation system whose output they are examining, in the sense that they did not set its parameters, weights or thresholds for the decision in question. Where the same person unavoidably does both on a small project, `PCI-PML-STD-01.03-PR-05` applies and the arrangement is recorded and reported to the sponsor.

11. Materiality or threshold. This standard sets no number. The reserved-class list *is* the threshold instrument, and this standard requires that it exists, is approved, is dated, and is applied. The listed minimum classes above are the floor; the organisation's governance sets everything else. *Six-person internal project:* the list is seven lines and the inventory is three rows — most such projects run one scheduling tool, one issue tracker and one spreadsheet with a model in it. *Multi-partner national programme:* each partner maintains an inventory for the systems it operates, the programme maintains the consolidated list, and the interface is a stated obligation in the partner agreement rather than an assumption.

12. Exception and waiver. An exception permitting automatic effect in a reserved class may be approved only by the governing body, only for a named system, only for a stated period not exceeding one gate interval, on a written justification stating the compensating control (at minimum: a daily exception report to the named decider naming every change the system made). Every such exception is reported to the sponsor and to assurance.

13. Escalation trigger. Discovery that a reserved-class item changed with no named human action. Any request to enable automatic effect in a reserved class. A supplier's refusal or inability to disclose whether its system takes effect automatically.

14. AI application. AI may generate options, rank them against stated criteria, model consequences, prepare the decision package, and detect and flag reserved-class changes that occurred with no paired examination record.

15. AI prohibition. An AI system must not take, approve, sign, certify, waive or authorise a reserved decision; must not be recorded as the decider; and must not be given effect in a reserved class by default configuration. An AI system's confidence score must not stand in for a human examination.

16. AI verification. Boundary testing plus independent recomputation. For each reserved decision class exposed to an AI or optimisation system, the named decider must test the system's behaviour at the boundary of the class — submit an input just inside and just outside the reserved threshold and confirm the system stops at the boundary — and must record the test date and result at least once per gate interval and after any configuration change. Where the system produces a number that carries the decision (a rank, a score, a date, a cost), the decider must recompute at least one such number by an independent method and record the comparison.

> **17. External reference.**
>
> - **ISO/IEC** · *ISO/IEC 38507, Governance implications of the use of artificial intelligence by organizations* · relied on for: the existence of governing-body-level questions about where AI is permitted to act · **EXT-037** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance aimed at governing bodies, not at practitioners; voluntary; not certifiable.

- **NIST (US Department of Commerce)** · *Artificial Intelligence Risk Management Framework (AI RMF 1.0)* · relied on for: the existence of a govern-map-measure-manage shape for AI risk · **EXT-080** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: NIST states it is voluntary, rights-preserving and non-sector-specific; **it is not a standard and not a regulation**.
- **European Union** · *Regulation (EU) 2024/1689 (the AI Act)* · relied on for: illustrating a risk-tiered regulatory shape that treats human oversight as a design question · **EXT-100** · **Manual §6 category 1 — applicable legislation or regulation** · currency checked 2026-08-03 · limitation: **binding legislation within the European Union only**, named here only to illustrate the shape; it is relied on for no requirement in this standard, and whether it applies to a given project is a question for qualified local counsel.

18. Jurisdictional caution. Whether a particular automated decision is lawful, whether it triggers a transparency, human-review or impact-assessment duty, and what disclosure is owed to an affected person are jurisdiction-specific questions. Obtain local legal advice before deploying automation that affects people's work allocation, pay, assessment or employment.

19. Related PCI Standards. `PCI-FND-STD-04`; `PCI-FND-STD-03`; `PCI-FND-STD-14`; `PCI-FND-STD-13`; `PCI-PML-STD-01.01`; `PCI-PML-STD-03.02`; `PCI-PML-STD-13.02`; `PCI-PML-STD-14.02`.

20. Related Body of Knowledge content. PML-AI · Domain 1 · KA 1.4 Ethics and the responsible use of AI · topics 1.4.2 the PCI responsible-AI principle, 1.4.3 the leader's AI accountability. Also Domain 14 KA 14.3 and KA 14.4; Domain 13 KA 13.1 topic 13.1.2 product ownership as a decision right.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) obtain the dated, sponsor-approved reserved-class list and confirm it contains the seven minimum classes; (b) obtain the automation inventory and confirm every system on the project capable of changing a reserved-class item appears on it; (c) for each such system, find either a dated record that automatic effect is disabled or gated, or a governing-body exception within its stated period; (d) draw a stated sample of reserved decisions from the period and find, for each, an examination record naming the version examined and dated **at or before** the approval record; and (e) find a boundary-test record for each exposed class dated within the current gate interval. Any reserved-class change in the systems of record with no paired named-human action fails the test outright.

22. Breach indicators. Approval timestamps that cluster within seconds of recommendation timestamps. An automation inventory that has not changed while three new tools were procured. A scheduling tool whose re-sequencing appears in the published plan with no change record. Suppliers reporting "the system decided". A reserved-class list that names no owner and no date.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure on the associated competency; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. AI-verification case: a resource optimiser has reassigned four people across two workstreams overnight and the plan now shows a new critical path; the candidate states whether a decision has been taken, by whom, and what must happen next. Evidence selection: which artefact proves a human examined the recommendation rather than approved it.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-01-02` v1.0. Amendment note: **retitled** to remove the collision with the foundational standard *Human Decision Authority*; obligation narrowed to what delivery leadership adds — the reserved-class list, the automation inventory, the prohibition on automatic effect and the examination record — so the standard adds rather than restates; renumbered and restructured; legislative drafting removed.

PCI STANDARD

PCI-PML-STD-01.03

Interests, Abstention and Assurance Independence

1. Normative requirement. A credential holder must not take, or participate in taking, a decision, recommendation, evaluation or assurance opinion on a matter in which they hold a conflict of interest.

2. Purpose. Until the current edition of the PML-AI manuscript set, the phrase *conflict of interest* appeared nowhere in it. The volume taught gates, steering committees, weighted scoring, supplier selection and three lines of assurance, and none of that machinery carried a rule about **who is barred from deciding**. That gap is now closed in the manuscript at Domain 1, KA 1.2.2a; this standard is its enforceable counterpart. The failure it prevents is the one the machinery cannot see: a decision that is procedurally perfect — criteria published, scores recorded, minutes taken — and taken by a person whose judgement was engaged elsewhere. Its hardest case is **assurance capture**, where the second line assures a plan it helped write and the product still looks independent.

3. Scope. Every credential holder, on every matter they decide, advise on, evaluate, score or assure: gate decisions, steering and change-board decisions, option appraisals and scoring models, tender evaluation and supplier selection and award, claims and disputes, assurance reviews and opinions, recruitment and assignment of people to roles they will later assess, and the setting or approval of thresholds. It applies to preparation, review, recommendation, approval and assurance alike.

4. Defined terms. *conflict of interest · structural interest · abstention · nil return · independent · assurance · assurance capture · decision record · competent reviewer · material.*

5. Required actions — process requirements.

- `PCI-PML-STD-01.03-PR-01` — **Identify at appointment and at each convening.** The credential holder must ask themselves, in writing, at appointment to any role and again as each gate, steering meeting, evaluation panel, change board or assurance review is convened, whether they hold an interest in what is about to be decided. A single question at induction does not satisfy this requirement, because interests are acquired after induction.
- `PCI-PML-STD-01.03-PR-02` — **Declare in writing before the item is taken.** A declaration must reach the chair in writing **before** the item is opened. A declaration made during or after the discussion does not satisfy this requirement; it is an explanation.
- `PCI-PML-STD-01.03-PR-03` — **Record, including nil returns.** The decision record for every gate, steering, change-board, evaluation-panel and assurance decision must carry an interests field, and that field must carry either the declarations made or a positive **nil return** for each participant. A blank field does not satisfy this requirement.
- `PCI-PML-STD-01.03-PR-04` — **Abstain, and name who decided instead.** The interested party must take no part in the discussion or the decision, and the minute must name the individual who decided in their place. An abstention that is not minuted does not satisfy this requirement.
- `PCI-PML-STD-01.03-PR-05` — **Structural interests change the role.** Where an interest touches the substance of a role rather than a single item, the credential holder must move the person or move the work, and must record in the governance file that this was done and by whom. Managing a structural interest by declaration followed by the decision being taken anyway does not satisfy this requirement.
- `PCI-PML-STD-01.03-PR-06` — **Assurance independence, tested by name.** A person or function must not provide an assurance opinion on a plan, control, estimate, schedule, business case or deliverable that the same person or function prepared, directed, specified or approved. The assurance record must name the assurer and must state, positively, that

the assurer's name does not appear in the authorship or approval record of the artefact assured.

- PCI-PML-STD-01.03-PR-07 — **Evaluation-panel exclusion.** A credential holder who holds an interest in any bidder, tenderer or candidate must not be a member of the evaluation panel for that procurement or appointment, must not see other evaluators' scores or comments, and must not moderate, chair or ratify the evaluation.

6. Prohibited actions. Deciding a matter in which one holds an interest. Declaring an interest and then participating "for continuity". Assuring one's own work, or one's own function's work. Chairing the moderation of scores one influenced. Recording an abstention with no named substitute decider. Leaving an interests field blank rather than recording a nil return. Treating an interest as extinguished because it was declared once, in a previous year, to a different body.

7. Required evidence. The interests register with entry dates; the written declarations with their timestamps relative to the meeting agenda; minutes carrying the interests field, the abstention and the substitute decider's name; role-change or work-transfer records for structural interests; assurance opinions carrying the assurer's name and the positive independence statement; evaluation-panel membership records with declarations against each member.

8. Responsible role. Each credential holder, for their own identification, declaration and abstention. The named chair of the body, for ensuring the interests field is completed and the abstention minuted. The named accountable owner of the assurance function, for PR-06.

9. Approval authority. The chair of the body determines whether a declared interest requires abstention on an item. The sponsor determines a structural interest touching a project role. The governing body determines a structural interest touching the sponsor, the assurance function or the chair. **The interested party never determines their own case.**

10. Independence requirement. This standard *is* the independence requirement for the set. Its PR-06 test is applied by matching names, not by relying on titles: a permanently titled independent function is not independent of an artefact whose authorship record carries its name.

11. Materiality or threshold. This standard sets no financial threshold, and one would defeat it — a personal connection has no value in currency. The test is the definition of *conflict of interest* above, applied by the chair, together with the daylight test the manuscript states at KA 1.4.1: would every party seeing the full picture still regard the decision as impartial? Where an organisation's governance sets a monetary de-minimis for **declarable financial** interests, that documented figure applies to financial interests only, and applies to declaration, never to abstention. *Six-person internal project:* three of the six may hold interests in the same supplier because the population is small; the answer is a named substitute decider borrowed from elsewhere in the organisation, recorded in the minute, not a decision taken anyway. *Multi-partner national programme:* each partner maintains its own register, the programme holds the consolidated view for shared decision bodies, and a partner's refusal to disclose is itself the escalation trigger below.

12. Exception and waiver. No exception is permitted to the principal obligation or to PR-06. Where abstention would leave a decision with no competent decider — a genuine constraint on very small projects and in narrow specialisms — the matter must be escalated to the next authority in the delegation schedule and decided there; it must not be decided by the interested party with a disclaimer attached.

13. Escalation trigger. An interest that cannot be managed by abstention. A chair who declines to minute a declared interest or an abstention. An assurance opinion whose assurer appears in the authorship record. A party who refuses to state whether they hold an interest. Discovery that a completed decision, evaluation or assurance opinion was taken by an interested party.

14. AI application. AI may maintain the interests register, prompt the standing question at each convening, cross-match declared interests against a supplier or entity list, flag decision records with an empty interests field, and cross-match assurance-opinion signatories against document authorship and approval metadata to surface candidate capture cases.

15. AI prohibition. An AI system must not determine whether an interest exists, whether it is material, whether abstention is required, or whether an assurance arrangement is independent. It must not clear a conflict, and its failure to flag one is not evidence that none existed.

16. AI verification. Reconciliation plus sampling with a stated basis. Every AI-produced capture candidate must be confirmed against the artefact's own version history by a named human before it is recorded as a finding. Each quarter, a competent reviewer must reconcile the interests register against the membership lists of every decision body in the period and confirm that each member appears with either a declaration or a nil return, and must draw a stated sample of assurance opinions and trace each assurer's name against the assured artefact's authorship and approval record.

17. External reference.

- **Project Management Institute** · *Code of Ethics and Professional Conduct* · relied on for: the existence of a professional expectation of conflict disclosure and impartiality · **EXT-063**, recorded as **not independently verified — verify current requirements** · **Manual §6**

category 6 — ethical code · limitation: binding only where a body, regulator or engagement has adopted it; a PCI credential holder not subject to it is not made subject to it by this standard. No text is reproduced.

- **ISO/IEC** · *ISO/IEC 17024, Conformity assessment — General requirements for bodies operating certification of persons* · relied on for: the existence of impartiality requirements on bodies that certify people, which is why PCI holds itself to this standard as well · **EXT-022** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: it binds certification bodies, not credential holders; voluntary unless imported.
- **OECD (G20/OECD)** · *G20/OECD Principles of Corporate Governance* · relied on for: the existence of a governance expectation that conflicted parties do not decide · **EXT-128** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: a Council Recommendation; non-binding; **not legislation**.

18. Jurisdictional caution. Public-procurement law, anti-bribery law, company law, charity law and sector regulation impose their own conflict rules, registration duties and criminal consequences, and they differ by jurisdiction and by the nature of the buying entity. Compliance with this standard is not compliance with any of them. Obtain local legal advice before designing a declaration or evaluation process for a publicly funded procurement.

19. Related PCI Standards. `PCI-FND-STD-08` (the parent disclosure obligation); `PCI-FND-STD-01`; `PCI-FND-STD-10`; `PCI-PML-STD-03.03`; `PCI-PML-STD-09.01`; `PCI-PML-STD-10.01`; `PCI-PML-STD-12.02`. **What this standard adds to** `PCI-FND-STD-08`**:** the foundational standard requires disclosure of a conflict. This standard requires **abstention with a named substitute decider**, requires a **nil return** so silence becomes evidence, requires a **role change** for structural interests, and applies a **name-matching test to assurance independence** — none of which the foundational standard states.

20. Related Body of Knowledge content. PML-AI · Domain 1 · KA 1.2 · topic 1.2.2a Interests, competence and confidentiality. Also Domain 3 KA 3.3 topics 3.3.2 assurance lines and 3.3.4 the decision record; Domain 2 KA 2.2 topic 2.2.3 selection and prioritisation models; Domain 10 KA 10.2 tendering and evaluation; Domain 9 KA 9.2 assurance and control.

21. Compliance test. Compliance is demonstrated when a reviewer, taking a stated sample of decision records drawn from **each** of gate decisions, steering decisions, evaluation panels and assurance opinions in the period, finds that: (a) every record carries a populated interests field, with a declaration or a nil return against every participant named in the attendance list; (b) for every declared interest, the minute records the abstention and **names the individual who decided instead**; (c) for every assurance opinion, the assurer's name does **not** appear in the authorship or approval record of the artefact assured, and the opinion carries the positive statement to that effect; (d) for every structural interest recorded in the period, a dated role-change or work-transfer record exists; and (e) no evaluation-panel membership list contains a member with a declared interest in a bidder. Any sampled assurance opinion failing (c) fails the test outright, and the failure is reported as assurance capture rather than as a documentation defect.

22. Breach indicators. Interests fields blank rather than nil-returned. Declarations timestamped after the meeting. Abstentions minuted with no substitute decider. The same function appearing as author and assurer of a plan. A steering committee whose interests register has no entries across a year in a market where several members previously worked for the incumbent supplier. Evaluation moderation chaired by the sponsor of the winning option. A structural interest managed by an annual declaration.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure on the associated competency; ethics review; certification investigation; suspension or withdrawal of the PML-AI credential — each subject to due process and a right of appeal.

24. Examination application. Ethical dilemma: an assurance lead is asked to review the delivery plan their own team drafted for a project six weeks from a gate, and the alternative reviewer is unavailable for a month. Evidence selection: which two artefacts would show whether an award decision was taken by an interested party. Scenario judgement: a steering member's former employer is one of three bidders and the member offers to "stay in the room but not vote".

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard** — there is no predecessor in the v1.0 set, and its absence was the completeness finding this standard answers. Amendment note: none.

Domain 2 — Strategy, Selection and Business Alignment

PCI standard

PCI-PML-STD-02.01

Business-Case Integrity

1. Normative requirement. A credential holder must not present, endorse or rely on a business case whose stated benefits, costs, assumptions, dependencies or option comparison they know, or on the evidence available to them ought to know, to be materially misstated.

2. Purpose. The business case is the instrument that authorises everything downstream, and it is authored by the party that benefits from approval. Optimism is not the failure; **asymmetric optimism** is — a benefit case built on a best-case adoption rate against a cost case built on a mid-case contingency, compared to a do-nothing option deliberately drawn badly. The result survives approval, fails delivery, and cannot be corrected later because the approval it obtained has already consumed the funds.

3. Scope. Every credential holder preparing, reviewing, recommending, approving or assuring a business case, an option appraisal, a selection score or a re-approval, at initial approval and at every subsequent gate at which the case is restated. It applies to the case for continuing as much as to the case for starting.

4. Defined terms. *material* · *benefit* · *benefits baseline* · *evidence* · *sponsor* · *competent reviewer* · *decision owner*. Additionally, **option comparison** means the set of options appraised on a common basis, including the do-minimum option; **asymmetric treatment** means applying a different level of optimism, contingency, discount or evidence to one option or one side of the case than to another.

5. Required actions — process requirements.

- `PCI-PML-STD-02.01-PR-01` — **Symmetric treatment.** The credential holder must apply the same estimating basis, the same contingency approach, the same optimism adjustment and the same evidence standard to every option and to both sides of the case, and must state in the case that this was done and where it was not.
- `PCI-PML-STD-02.01-PR-02` — **Assumptions carry owner, source and date.** Every assumption on which a benefit or a cost materially depends must be recorded with a named owner, a source reference and the date it was last tested. An assumption with no owner is recorded as an open risk, not as an assumption.
- `PCI-PML-STD-02.01-PR-03` — **The do-minimum option is drawn honestly.** The do-minimum or do-nothing option must be appraised on the same basis as the preferred option, and its stated consequences must be sourced, not asserted.
- `PCI-PML-STD-02.01-PR-04` — **Restatement at each gate.** At each gate, the credential holder must restate the case against actual costs incurred, actual benefits evidence available and the current assumption

set, and must state whether the case still holds. A case carried forward unchanged from a previous gate, with no restatement, does not satisfy this requirement.

- PCI-PML-STD-02.01-PR-05 — **Kill criteria are stated before approval.** The case must state, before approval, the conditions under which the project would be stopped, and each such condition must be measurable against something the project will actually measure.

6. Prohibited actions. Presenting a benefit whose measurement method does not exist. Applying contingency to one option and not to its comparators. Restating a case by moving the benefit date rather than reducing the benefit. Presenting a sunk cost as a reason to continue. Removing a kill criterion once it is approaching. Suppressing a material adverse assumption change between gates because the next gate is close.

7. Required evidence. The versioned business case; the assumption register with owners, sources and test dates; the option appraisal showing a common basis; the gate-by-gate restatement record; the approved kill criteria and the measurement each is tested against; the record of every material change to an assumption between gates and its notification.

8. Responsible role. The **sponsor** owns the business case and answers for its integrity. The credential holder leading delivery answers for the accuracy of the delivery-side inputs — cost, schedule, risk, resource and dependency — and for stating any known material misstatement to the sponsor and, where the sponsor does not act, to the governing body.

9. Approval authority. The governing body approves the case at the authority level the delegation schedule sets for its value and exposure. The sponsor approves restatements within the tolerance the governing body sets. Neither the author of the case nor the delivery supplier may approve it.

10. Independence requirement. The gate restatement at PR-04 must be reviewed by a competent reviewer independent of the case's preparation and independent of the delivery organisation, at the authority level the delegation schedule sets. On a project too small to supply such a reviewer internally, independence may be met by a named reviewer from another part of the organisation who did not contribute to the case, and the arrangement is recorded.

11. Materiality or threshold. This standard sets no percentage. A misstatement is material when it meets the definition of *material* above — it could reasonably have changed the approval, its conditions or the authority at which it was taken. The organisation's governance sets the documented approval thresholds and the documented tolerance for restatement, and this standard requires that those documented figures exist, are approved, and are applied. Where an organisation has no documented tolerance, the credential holder must escalate every restatement. *Six-person internal project:* the case is four pages, the assumption register is eight rows and the kill criteria are two lines — and the restatement at each of two gates costs an afternoon. *Multi-partner national programme:* the same obligations apply per component and at the programme level, and the aggregation rule states which component restatements roll up to which programme decision, so that a portfolio of restated-but-still-green components cannot conceal an amber programme.

12. Exception and waiver. An exception to PR-04 — carrying a case forward without restatement — may be approved only by the governing body, only where the interval since the last restatement is shorter than the organisation's documented minimum restatement interval, and only with a recorded statement that no material assumption has changed, signed by the sponsor. No exception is permitted to the principal obligation.

13. Escalation trigger. A benefit whose owner declines to accept it. An assumption that has become untrue and has not been reflected. A material adverse change with a gate more than the escalation time away. Instruction to remove or weaken a kill criterion. Discovery that the option comparison was not prepared on a common basis.

14. AI application. AI may test a case for internal arithmetic consistency, cross-check figures between the narrative and the model, extract the assumption set and flag assumptions with no owner or no source, compare the treatment of options for asymmetry, and track assumption changes between versions.

15. AI prohibition. An AI system must not approve a business case, decide whether a benefit is achievable, determine materiality, generate a benefit figure that is then presented as an estimate without a named human's derivation, or author the kill criteria.

16. AI verification. Independent recomputation plus source tracing. A competent reviewer must recompute the case's headline financial result by an independent method and reconcile it to the model without unexplained difference, and must trace every benefit figure and every cost figure that carries more than the documented materiality threshold to the source document and version it came from. Where AI produced the option comparison, the reviewer must additionally apply **sensitivity analysis**: vary each of the three assumptions with the largest effect and confirm the option ranking's stated robustness.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of a business case as a governance instrument reviewed through the lifecycle · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable; not the source of this obligation.

- **ISO** · *ISO 21504, Guidance on portfolio management* · relied on for: the existence of a portfolio-level test that a component still merits its funding · **EXT-031**, recorded as **not independently verified — verify current requirements** · **Manual §6 category 3** · limitation: as above, with an open verification status.
- **AACE International** · *Total Cost Management (TCM) Framework* · relied on for: the existence and purpose of a maturity-based progression in estimate reliability · **EXT-064**, recorded as **not independently verified — verify current requirements** · **Manual §6 category 5 — professional framework** · limitation: **professional framework, never regulatory authority**; no accuracy range, class table or recommended-practice text is reproduced.

18. Jurisdictional caution. Public-sector appraisal rules, subsidy control, state-aid regimes, listed-company disclosure duties and grant conditions impose their own appraisal, approval and disclosure requirements, and misstating a case to obtain public funds can engage criminal law. Obtain local legal advice where a case supports a regulated funding application or a market disclosure.

19. Related PCI Standards. `PCI-FND-STD-05`; `PCI-FND-STD-02`; `PCI-FND-STD-11`; `PCI-PML-STD-02.02`; `PCI-PML-STD-03.03`; `PCI-PML-STD-15.02`; `PCI-PML-STD-16.03`. **What this standard adds to** `PCI-FND-STD-05`**:** the foundational standard requires assumptions to be transparent. This standard requires **symmetric treatment across options**, an **owned and dated assumption register**, an **honestly drawn do-minimum**, **restatement at every gate**, and **kill criteria fixed before approval** — the specific mechanics by which a delivery business case goes wrong.

20. Related Body of Knowledge content. PML-AI · Domain 2 · KA 2.2 The business case and selection · topics 2.2.1 the business case as decision instrument, 2.2.2 options and appraisal, 2.2.3 selection and prioritisation models; KA 2.3 topic 2.3.4 assumption and dependency management; KA 2.4 Strategic termination · topics 2.4.2 sunk cost and escalation of commitment, 2.4.3 kill criteria and honest gates.

21. Compliance test. Compliance is demonstrated when the approved business case can be reconciled, without unexplained difference, to: the current cost estimate and its basis, the approved risk and contingency position, the benefits register with its named owners and its benefits baselines, the assumption register with owners and test dates, and the current schedule's stated benefit start dates — and when the gate file shows, for each gate held in the period, a dated restatement, a named independent reviewer, and an explicit statement that the case does or does not still hold. A case that cannot be reconciled to the benefits register's owners fails the test.

22. Breach indicators. Benefits with no named owner. Assumptions with no date. A do-minimum option half a page long against a preferred option of twelve. Contingency present in one option only. A benefit whose start date has moved at every gate while its value has not. Kill criteria removed between versions. A restatement produced after the gate date.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: a candidate is given an option comparison in which one option carries contingency and another does not, and states the effect on the ranking. Scenario judgement: an assumption underpinning 60 per cent of the benefit has become untrue four weeks before a gate. Ethical dilemma: a sponsor asks for the kill criteria to be "softened" because the project is close to one.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-02-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; five process requirements separated out; symmetric treatment and honest do-minimum added as express obligations; compliance test replaced with a reconciliation test.

PCI STANDARD

PCI-PML-STD-02.02

Benefits Ownership

1. Normative requirement. A credential holder must not allow a benefit to be claimed in a business case, a plan or a report unless a named individual outside the delivery team has accepted, in writing, accountability for realising it.

2. Purpose. A benefit the delivery team owns is a benefit nobody owns, because the delivery team disbands at handover and the benefit arrives afterwards. The failure this prevents is the standard one: a business case full of benefits, a project delivered on time and to budget, and no measurable improvement anywhere — with every party able to say truthfully that they did their part.

3. Scope. Every credential holder preparing, reviewing or approving a business case, a benefits register, a benefits map, a benefits profile or a benefits realisation plan, on projects, programmes and portfolios, at approval and at every gate. It applies to enabling outputs as much as to end benefits.

4. Defined terms. *benefit · benefits baseline · sponsor · acceptance · evidence · material.* Additionally, **benefits owner** means the named individual, accountable in the receiving or operating organisation, who accepts that the improvement will be realised and measured in their area of accountability.

5. Required actions — process requirements.

- `PCI-PML-STD-02.02-PR-01` — **Named written acceptance.** Every benefit in the register must carry the name and role of its benefits owner and a dated written acceptance by that individual. A name entered by the project on the owner's behalf does not satisfy this requirement.
- `PCI-PML-STD-02.02-PR-02` — **A measurable definition before approval.** Every benefit must carry, before the case is approved, the measure that will evidence it, the source system or method that will produce the measure, the benefits baseline value, and the date the baseline was measured.
- `PCI-PML-STD-02.02-PR-03` — **Baseline measured before the change.** The benefits baseline must be measured before the change is made. A baseline reconstructed after go-live must be labelled as reconstructed, with the method stated, and must not be presented as a measurement.
- `PCI-PML-STD-02.02-PR-04` — **Refusal is recorded, not absorbed.** Where a proposed benefits owner declines to accept a benefit, the credential holder must record the refusal and its stated reason and escalate it, and must not transfer the benefit to the delivery team, to the sponsor by default, or to an unnamed function.

6. Prohibited actions. Listing a benefit with the delivery team, the project, the PMO or "the business" as its owner. Claiming a benefit whose measure does not yet exist. Reconstructing a baseline after the change and presenting it as measured. Double-counting the same improvement across two components of a programme. Presenting an enabling output — a system delivered, a process documented — as a benefit.

7. Required evidence. The benefits register with, per benefit: owner name and role, dated written acceptance, measure, source system, benefits baseline value and its measurement date, target value and target date. The refusal record and its escalation for any declined benefit. The double-count check for programmes.

8. Responsible role. The **sponsor** is accountable for securing a benefits owner for every claimed benefit. The credential holder leading delivery is accountable for refusing to carry an unowned benefit in any document they issue, and for escalating any that remains unowned.

9. Approval authority. The governing body approves the benefits register at case approval. The sponsor approves changes to a benefit's target value or date within the documented tolerance; changes beyond it go to the governing body. The benefits owner alone accepts ownership; nobody may accept on their behalf.

10. Independence requirement. The benefits owner must be **independent of the delivery team** in the sense defined above: not accountable for delivering the output, and answering in the receiving or operating organisation. Measurement of realised benefits must be produced by, or verified by, a party independent of the delivery team — see `PCI-PML-STD-16.03`.

11. Materiality or threshold. This standard sets no threshold, because ownership is binary: a benefit is owned or it is not. The organisation's governance sets which benefits are individually tracked and which are aggregated, and this standard requires that documented rule to exist and to be applied. A benefit below the documented individual-tracking threshold must still carry a named owner for its aggregate. *Six-person internal project:* one benefit, one owner, one measure already produced monthly by an existing report — the whole obligation is three cells in a table. *Multi-partner national programme:* the register is held at programme level, benefits owners sit in the operating organisations rather than in any partner, and the double-count check across components is a standing programme obligation because components have an incentive to claim the same improvement.

12. Exception and waiver. An exception permitting a benefit to be carried without an accepted owner may be approved only by the governing body, only until the next gate, and only where the case records that the benefit is excluded from the approval arithmetic while unowned. No exception permits an unowned benefit to count towards an approval.

13. Escalation trigger. A proposed benefits owner declining acceptance. A benefit whose measure cannot be produced by any existing or planned system. A benefit still unowned at the gate at which the case is approved. Discovery that the same improvement is claimed by two components.

14. AI application. AI may build a benefits register from case documents, flag benefits with no owner, no measure, no baseline or no date, detect candidate double-counts across a programme by clustering benefit descriptions, and check that each stated measure maps to a named source system.

15. AI prohibition. An AI system must not accept ownership of a benefit, assign an owner, decide whether a benefit is realisable, or generate a baseline value.

16. AI verification. Source tracing plus named approval. Every baseline value produced with AI assistance must be traced by a competent reviewer to the source system extract, with the extract date and the query or filter recorded, and the benefits owner must confirm the value in writing before it is recorded as the benefits baseline. Every AI-flagged double-count must be confirmed by a named human against both components' registers.

17. External reference.

- **ISO** · *ISO 21503, Guidance on programme management* · relied on for: the existence of a programme-level concern with benefits that no single component delivers · **EXT-030**, recorded as **not independently verified — verify current requirements** · **Manual §6 category 3 — international voluntary standard** · limitation: guidance; voluntary; not certifiable; open verification status.
- **ISO** · *ISO 21504, Guidance on portfolio management* · relied on for: the existence of a portfolio concern with the benefits a component is funded to produce · **EXT-031**, **not independently verified** · **Manual §6 category 3** · limitation: as above.
- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of benefit identification and realisation as lifecycle activities · **EXT-028** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.

18. Jurisdictional caution. Where benefits are claimed to a grant funder, a regulator, a market or a tax authority, the accuracy of the claim can engage funding-condition, disclosure or fraud law. Obtain local legal advice before a benefits statement is made outside the organisation.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-01`; `PCI-FND-STD-12`; `PCI-PML-STD-02.01`; `PCI-PML-STD-15.02`; `PCI-PML-STD-16.02`; `PCI-PML-STD-16.03`.

20. Related Body of Knowledge content. PML-AI · Domain 2 · KA 2.3 Benefits, value and sustainability · topics 2.3.1 benefits mapping, 2.3.2 measures and baselines. Also Domain 15 KA 15.2 benefits and portfolio balancing; Domain 16 KA 16.4 benefits measurement.

21. Compliance test. Compliance is demonstrated when a reviewer can open the benefits register and find, for **every** benefit carried in the approved case: a named individual and their role; a written acceptance dated on or before the approval date; a stated measure; a named source system that already produces or is planned to produce it; a benefits baseline value with the date it was measured; and a target with a date. The reviewer must then contact a stated sample of named owners and confirm each is aware of and accepts the accountability recorded against them. **A register in which any sampled owner does not recognise their own entry fails the test**, regardless of the paperwork's completeness.

22. Breach indicators. Owner cells containing a team, a function or a job family rather than a person. Acceptance dates after the approval date. Baselines dated after go-live. The same improvement in two components' registers. A benefit whose measure is "to be defined". Owners who, when asked, say the project told them they were the owner.

23. Consequence within PCI authority. Correction required; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: which artefact establishes that a benefit is owned. Scenario judgement: the proposed benefits owner refuses, four days before the approval gate, and the sponsor proposes to record the PMO as owner. Calculation review: a programme's benefits total exceeds the sum of its components' distinct improvements.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-02-02` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the benefits-baseline sense of *baseline* separated from the control sense per the suite terminology audit; the compliance test strengthened to require confirmation with sampled owners, which is what makes the standard provable rather than documentary.

Domain 3 — Governance, Organisation and Decision Rights

PCI STANDARD

PCI-PML-STD-03.01

Governance Authority Before Commitment

1. Normative requirement. A credential holder must not commit an organisation's funds, contractual obligations or people to delivery before the governance arrangements for that delivery — the named sponsor, the named decision bodies, the delegation schedule and the gate points — are documented and approved.

2. Purpose. Governance retrofitted after commitment is governance that cannot say no, because the money is spent, the contract is signed and the team is hired. The failure this prevents is the project that reaches its first gate with nothing the gate can decide.

3. Scope. Every credential holder in a position to commit or to recommend commitment — funds, contracts, orders, hires or secondments — on projects, programmes and portfolios, in every delivery model. It applies to the initial commitment and to any commitment following a material change in the delivery structure, including the addition of a delivery partner.

4. Defined terms. *governance* (project sense) · *sponsor* · *delegation schedule* · *gate* · *decision owner* · *material.* Additionally, **commitment** means an act that creates a legal, financial or employment obligation the organisation cannot withdraw from without cost.

5. Required actions — process requirements.

- PCI-PML-STD-03.01-PR-01 — **The four artefacts exist and are dated.** Before commitment, the credential holder must hold: a named sponsor with a written appointment; the decision bodies with their named members and their terms of reference; the delegation schedule; and the gate points with their criteria. Each artefact must carry a date and an approver.
- PCI-PML-STD-03.01-PR-02 — **The gate can stop the work.** The credential holder must confirm, in writing, that each defined gate carries the power to stop, hold or redirect, and must record any gate that does not, because a review that cannot stop the work is not a gate and must not be described as one.
- PCI-PML-STD-03.01-PR-03 — **Governance proportionate and recorded as such.** The credential holder must record the tailoring decision — which governance elements apply at what depth for this project's size and exposure — with the sponsor's approval, so that light governance is a decision rather than an omission.
- PCI-PML-STD-03.01-PR-04 — **Re-approval on structural change.** Where the delivery structure changes materially — a partner is added, a component is transferred, the sponsor changes, or the funding route changes — the credential holder must obtain re-approval of the four artefacts before further commitment.

6. Prohibited actions. Committing funds or contracts against a governance structure that is drafted but not approved. Describing a review with no stopping power as a gate. Operating with an unnamed sponsor or a sponsor who has not accepted the appointment. Allowing a delivery partner's internal governance to substitute for the client organisation's, without an approved instrument saying so.

7. Required evidence. The dated sponsor appointment; the terms of reference of each decision body with its membership; the approved delegation schedule; the gate definitions with criteria and stopping powers; the tailoring decision and its approval; re-approval records at each structural change.

8. Responsible role. The named credential holder leading the project, for holding and applying the artefacts. The **sponsor**, for securing their approval. The governing body, for approving them.

9. Approval authority. The governing body approves the delegation schedule and the gate points. The sponsor approves the tailoring decision within the governing body's stated limits. The project leader approves nothing in this standard.

10. Independence requirement. The approval of the governance arrangements must be taken by a body independent of the delivery organisation in the sense defined above. Where a delivery partner sits on the approving body, that partner's members must abstain from the approval of the delegation schedule under `PCI-PML-STD-01.03-PR-04`.

11. Materiality or threshold. This standard sets no financial trigger for "commitment", because organisations define commitment differently — order, contract signature, purchase requisition, hire. The credential holder must apply the organisation's documented definition of commitment and its documented approval thresholds; where none is documented, the credential holder must escalate before any commitment. *Six-person internal project:* the four artefacts are one page in total — a named sponsor, a fortnightly review with the power to stop, a three-row delegation table and two gates. The tailoring decision is one sentence. *Multi-partner national programme:* the artefacts exist at programme and component level, the delegation schedule states the aggregation rule across partners, and each partner's own governance is mapped to the programme's rather than substituted for it.

12. Exception and waiver. An exception permitting commitment before the artefacts are approved may be approved only by the governing body, only for a stated and capped amount, only for a stated period, on written justification, with the compensating control that every commitment made under the exception is individually reported to the governing body within its stated reporting time.

13. Escalation trigger. Pressure to commit before governance is approved. A gate defined without stopping power. A sponsor who has not accepted the appointment. A structural change made without re-approval. A delivery partner asserting that its own governance suffices.

14. AI application. AI may check a governance pack for missing artefacts, missing dates and missing approvers; test gate criteria for assessability and flag the unmeasurable ones; check a delegation schedule for decision classes with no accountable role or with more than one; and model the latency a proposed governance cadence produces.

15. AI prohibition. An AI system must not approve governance arrangements, appoint a sponsor, determine tailoring, or decide that a gate's criteria are assessable.

16. AI verification. Clause-to-summary comparison plus named approval. Where AI has summarised or assembled the governance pack, a competent reviewer must compare each summarised item against the source instrument it claims to summarise — the appointment letter, the terms of reference, the schedule — and confirm the summary states the same authority, the same limits and the same names. The sponsor must then approve the pack by name.

17. External reference.

- **ISO** · *ISO 21505, Guidance on governance of projects, programmes and portfolios* · relied on for: the existence of a governance framework distinct from management · **EXT-032**, **not independently verified — verify current requirements** · **Manual §6 category 3 — international voluntary standard** · limitation: guidance; voluntary; not certifiable; open verification status.
- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of pre-delivery governance establishment · **EXT-028** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **OECD (G20/OECD)** · *G20/OECD Principles of Corporate Governance* · relied on for: the existence of a board-level expectation that authority is defined before it is exercised · **EXT-128** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: a Council Recommendation; non-binding; **not legislation**.

18. Jurisdictional caution. Company law, public-procurement law, financial regulation, delegated authority under statute and grant conditions determine who may lawfully bind an entity, and a professionally correct delegation schedule can still be legally ineffective. Obtain local legal advice on authority to contract for the specific entity and funding route.

19. Related PCI Standards. `PCI-FND-STD-01`; `PCI-FND-STD-12`; `PCI-PML-STD-03.02`; `PCI-PML-STD-03.03`; `PCI-PML-STD-03.04`; `PCI-PML-STD-13.01`.

20. Related Body of Knowledge content. PML-AI · Domain 3 · KA 3.1 Governance models · topics 3.1.1 what governance is for, 3.1.2 structures across organisational forms, 3.1.3 governance in agile and hybrid environments; KA

3.3 topic 3.3.1 stage gates. Also Domain 4 KA 4.1 charter and management plans.

21. Compliance test. Compliance is demonstrated when a reviewer, taking the date of the earliest commitment recorded in the project's financial or contractual system, finds that the sponsor appointment, the decision-body terms of reference, the delegation schedule and the gate definitions are each dated **on or before** that date and each carry a named approver; and when each gate definition states, in terms, the power to stop, hold or redirect. A commitment date earlier than any of the four artefact dates fails the test unless a governing-body exception covering that commitment exists.

22. Breach indicators. Governance packs dated after the first invoice. Gates described as "checkpoints" with no stated power. A sponsor named in a slide and nowhere else. A delegation schedule with decision classes carrying two accountable roles or none. Partner governance cited in place of the client's. Terms of reference with no membership list.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a leader is asked to place a long-lead order two weeks before the governance pack is due for approval. Evidence selection: which three artefacts must predate the first commitment. Escalation decision: a gate has been defined with no power to stop.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes PML-LAW-03-01 v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the "gate can stop the work" obligation and the re-approval-on-structural-change obligation added as express process requirements; compliance test replaced with a date-ordering test that a reviewer can perform from two systems.

PCI STANDARD

PCI-PML-STD-03.02

Decision Rights and Delegated Authority

1. Normative requirement. A credential holder must take every decision at the authority level the organisation's documented delegation schedule assigns to it, and must not take, split, defer or aggregate a decision so as to avoid the authority the schedule requires.

2. Purpose. Delegation schedules fail in two directions, and both are common. Upward: everything goes to the steering committee, the committee becomes a queue, and the escalation that matters arrives behind forty that do not. Downward: a decision above the limit is split into three below it, or taken under an urgency provision that becomes ordinary practice. This standard addresses the second, which is the one that produces exposure nobody approved.

3. Scope. Every credential holder taking, recommending, ratifying or recording a delivery decision, on projects, programmes and portfolios. It applies to financial, contractual, scope, schedule, risk, resource, quality and release decisions alike, and to urgent decisions taken outside the ordinary cadence.

4. Defined terms. *delegation schedule · decision owner · escalation threshold · material · decision record.* Additionally, **aggregation rule** means the schedule's provision that related decisions summing above a stated value within a stated period require the authority the schedule assigns to the aggregate; **relatedness class** means the set over which that rule sums.

5. Required actions — process requirements.

- `PCI-PML-STD-03.02-PR-01` — **Single accountable role per class.** The credential holder must confirm, before relying on the delegation schedule, that each decision class in it carries exactly one accountable role, and must escalate any class carrying two or none.
- `PCI-PML-STD-03.02-PR-02` — **Universal registration.** Every decision in a class covered by the schedule must generate a decision-record entry **regardless of its value**, so that the aggregation rule has inputs. A rule that sums decisions it cannot see is not a control.
- `PCI-PML-STD-03.02-PR-03` — **Aggregation applied by what the change touches.** The credential holder must apply the schedule's aggregation rule using its documented relatedness class, and where the organisation defines relatedness by what the changes touch — the same deliverable, the same assured control, the same interface — must not substitute a broader class such as requester or budget line.
- `PCI-PML-STD-03.02-PR-04` — **Urgency provisions are time-boxed and reported.** A decision taken under an urgency or out-of-cycle provision must be recorded as such, with the reason, and must be reported to the authority that would ordinarily have taken it within the time the schedule states.
- `PCI-PML-STD-03.02-PR-05` — **Escalation carries a destination and a time.** The credential holder must not rely on an escalation threshold that states no named destination and no time; where one is encountered, they must escalate the defect itself.

6. Prohibited actions. Splitting a decision to bring each part below a limit. Recording a decision at a lower value than it carries. Using an urgency provision as ordinary practice. Ratifying, after the event, a decision taken without authority, without recording that it was taken without authority. Widening a relatedness class so that the aggregation rule trips constantly and is then disapplied.

7. Required evidence. The approved delegation schedule with its aggregation rule and relatedness class; the decision record showing universal registration; aggregation calculations for any class that approached or crossed the rule; urgency-decision records with reasons and their reporting; escalation records showing destination and elapsed time against the stated time.

8. Responsible role. The named credential holder for decisions within their authority; the named role the schedule assigns for each other class. The governing body owns the schedule itself.

9. Approval authority. The governing body approves the delegation schedule, its thresholds, its aggregation rule and its relatedness class. The sponsor approves nothing in this standard that would raise their own authority.

10. Independence requirement. Not applicable to the taking of a decision within delegated authority, because delegation exists precisely so that the accountable party decides; independence attaches to the periodic testing of the schedule's operation, which must be performed by a competent reviewer independent of the decisions tested.

11. Materiality or threshold. This standard invents no figure and no percentage, and doing so would be wrong: delegated authority levels are set by an organisation's own governance against its own balance sheet, risk appetite and decision rate. What this standard requires is that documented thresholds, a documented aggregation rule, a documented relatedness class and a documented period exist, and are applied. Where a threshold has been set without reference to the observed decision rate, so that it either never trips or trips on ordinary traffic, the credential holder must record that finding and escalate it — a rule that cannot fire and a rule that always fires are equally useless, and both look like controls. *Six-person internal project:* the schedule is three rows; the aggregation rule sums changes touching the same deliverable within a month; universal registration is the issue tracker they already use. *Multi-partner national programme:* the schedule exists at each tier, and the aggregation rule states explicitly whether it sums across partners — the case in which the exposure the rule exists to catch arrives as one coherent change split between four organisations.

12. Exception and waiver. An exception permitting a decision above the delegated level may be approved only by the authority the schedule assigns to that level or above, in writing, before the decision, and never retrospectively by the person who took it. A decision already taken without authority is a breach, is recorded as one, and is then ratified or reversed by the proper authority — ratification does not convert it into a compliant decision.

13. Escalation trigger. A decision class with two accountable roles or none. A proposal to split a decision. An urgency provision used more than the number of times the schedule permits. An aggregation that has crossed the rule. A threshold that has not fired in a period in which the observed decision rate says it should have.

14. AI application. AI may extract a decision register from minutes and flag entries missing an owner, a date or a versioned information reference; run integrity checks across a decision-rights matrix for classes with two accountable roles or none; compute aggregations across a relatedness class; identify decisions being re-decided by clustering decision text across a long log; and model the latency a governance cadence produces.

15. AI prohibition. An AI system must not take a delegated decision, set or change a threshold, determine a relatedness class, or ratify a decision taken without authority.

16. AI verification. Independent recomputation plus sampling with a stated basis. Every aggregation computed with AI assistance must be recomputed by hand by a competent reviewer before it is relied on to escalate or not to escalate — the arithmetic is a handful of operations and none of it should be taken on trust. Each quarter, a competent reviewer must draw a stated sample of decision entries and confirm against source minutes that the recorded value, class and authority match.

17. External reference.

- **ISO** · *ISO 21505, Guidance on governance of projects, programmes and portfolios* · relied on for: the existence of defined decision authority within governance · **EXT-032**, **not independently verified** · **Manual §6 category 3 — international voluntary standard** · limitation: guidance; voluntary; not certifiable; open verification status.
- **Project Management Institute** · *A Guide to the Project Management Body of Knowledge (PMBOK Guide)* · relied on for: the existence of change and decision authority structures in professional practice · **EXT-060** · **Manual §6 category 5 — professional framework** · currency checked 2026-08-03 · limitation: **a professional framework, never regulatory authority**; no edition is asserted and no text is reproduced.
- **COSO** · *Internal Control — Integrated Framework* · relied on for: the existence of an authorisation control concept · **EXT-084** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: voluntary in itself, though widely imported by regulators; it is not legislation and this standard does not rely on it for any requirement.

18. Jurisdictional caution. Whether a person has legal authority to bind an entity is determined by company law, delegated statutory authority, procurement regulation and the entity's own constitution, not by a delegation schedule. A decision within delegated professional authority can still be legally ineffective. Obtain local legal advice on binding authority.

19. Related PCI Standards. `PCI-FND-STD-04`; `PCI-FND-STD-11`; `PCI-FND-STD-12`; `PCI-FND-STD-13`; `PCI-PML-STD-01.01`; `PCI-PML-STD-03.01`; `PCI-PML-STD-04.01`; `PCI-PML-STD-08.01`.

20. Related Body of Knowledge content. PML-AI · Domain 3 · KA 3.2 Sponsorship and steering · topic 3.2.3 decision authorities and thresholds; KA 3.3 · topics 3.3.3 escalation design, 3.3.4 auditability and the decision record. Also Domain 4 KA 4.3 topic 4.3.3 baseline maintenance and KA 4.4 the change board.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) obtain the approved delegation schedule and confirm every decision class carries exactly one accountable role; (b) extract every decision in the period from the decision record and confirm that each was taken at or below the authority the schedule assigns to its class and value; (c) recompute the aggregation over the documented relatedness class and period and confirm that every aggregate crossing the rule was taken at the aggregate authority; (d) confirm that decisions below the individual threshold were nonetheless registered, by comparing the decision-record count against the change, order or issue counts in the operational systems; and (e) confirm every urgency decision was reported to the ordinary authority within the stated time. A material gap between (d)'s two counts fails the test, because an aggregation rule without universal registration cannot see its own inputs.

22. Breach indicators. Three change requests to the same deliverable in one month, each just below a limit. A decision register materially shorter than the change log. Urgency decisions clustering in the week before each steering meeting. An aggregation rule that has never fired. A relatedness class widened shortly after the rule first fired. Ratifications recorded as approvals.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: seven related changes across a quarter, three of them below the individual limit, and the candidate determines the authority required. Scenario judgement: a supplier proposes to raise two orders rather than one. Escalation decision: a decision class is found to carry two accountable roles a week before the gate.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes PML-LAW-03-02 v1.0. Amendment note: renumbered and restructured; legislative drafting removed; universal registration, the relatedness-class discipline and the time-boxing of urgency provisions added as express process requirements; element 11 rewritten to require documented thresholds rather than to state any.

PCI standard

PCI-PML-STD-03.03

Gate Evidence and the Gate Decision

1. Normative requirement. A credential holder must not recommend or take a gate decision except on evidence that is dated, attributable, version-identified and assessed against criteria published before the evidence was assembled.

2. Purpose. A gate whose criteria are written after the evidence is a gate that cannot fail, and a gate that cannot fail is a governance cost with no governance product. The failure this prevents is the retrospectively satisfiable gate: criteria adjusted to the evidence available, conditions attached with no owner and no date, and a "conditional pass" that is a pass.

3. Scope. Every credential holder preparing, reviewing, chairing, recommending, deciding or assuring a gate decision at any stage of a project, programme or portfolio lifecycle, including release gates in adaptive delivery and investment gates in a portfolio.

4. Defined terms. *gate* · *evidence* · *decision owner* · *material* · *competent reviewer* · *independent* · *acceptance*. Additionally, **conditional pass** means a continuation decision taken subject to stated conditions; **condition-closure** means the verified completion of such a condition.

5. Required actions — process requirements.

- PCI-PML-STD-03.03-PR-01 — **Criteria published first.** The gate criteria must be published, dated and version-identified before the evidence supporting the gate is assembled, and the credential holder must not amend them after assembly without the approving authority's recorded decision and a statement of what changed and why.
- PCI-PML-STD-03.03-PR-02 — **Criteria are assessable.** Each criterion must be expressed so that two competent reviewers assessing the same evidence reach the same answer. The credential holder must identify any

criterion that cannot be assessed and must have it replaced or removed before the gate.

- PCI-PML-STD-03.03-PR-03 — **Evidence carries its provenance.** Every item in the gate pack must carry its date, its author or source system, and its version. An undated extract, an unversioned model output and a dashboard state that cannot be reproduced must not be admitted as evidence.
- PCI-PML-STD-03.03-PR-04 — **Conditions carry owner, date and consequence.** Every condition attached to a conditional pass must carry a named owner, a due date and the stated consequence of non-closure, and the credential holder must report condition-closure status at the following gate.
- PCI-PML-STD-03.03-PR-05 — **Dissent is recorded.** Where any member of the deciding body disagrees with the decision, the disagreement and its reason must be recorded in the decision record. A decision recorded as unanimous when it was not is a false record.
- PCI-PML-STD-03.03-PR-06 — **The criteria are set by the authority, not by the project.** The gate criteria must be approved, before publication, by the authority that holds the gate decision or by the authority the delegation schedule assigns to set them, and the approval must name that authority and its date. **The project being gated must not be the approver of its own gate criteria.** Where the project drafts them, the record must show that fact and the approving authority's assent to them as published.

6. Prohibited actions. Writing or altering criteria to fit the evidence. Admitting evidence with no date, no author and no version. Attaching a condition with no owner. Passing a gate on a promise that the evidence will follow. Recording a conditional pass and then never reporting closure. Presenting the absence of an assurance finding as an assurance opinion.

7. Required evidence. The published criteria with their version and publication date, and the approval of those criteria by the authority required by PR-06; the gate pack with per-item provenance; the decision record with the named decision owner, the decision, the conditions with owners and dates, and any recorded dissent; the condition-closure report at the following gate; the independent reviewer's opinion where one is required.

8. Responsible role. The named chair of the gate body decides and answers for the decision. The named credential holder leading the project answers for the completeness and provenance of the pack and for stating any material matter the pack does not cover.

9. Approval authority. The gate body's named chair, at the authority level the delegation schedule assigns. A condition may be waived only by the authority that imposed it. The project must not close its own gate condition where the condition concerns an assurance, safety, licence or acceptance matter owned elsewhere.

10. Independence requirement. Where the delegation schedule requires assurance at the gate, the assurance opinion must be given by a competent reviewer independent of the pack's preparation, tested by the name-matching rule in `PCI-PML-STD-01.03-PR-06`. **An assurance function must not opine on a plan it helped produce**, and the opinion must state positively that it did not.

11. Materiality or threshold. This standard sets no number. Which gates require independent assurance, what evidence depth each gate requires, and what tolerance triggers a hold are set by the organisation's governance and must be documented and applied. The credential holder must apply the documented depth; where a gate's evidence requirement is not documented, they must record the gap and escalate it. *Six-person internal project:* two gates, criteria of five lines each published at kick-off, a pack of six artefacts each carrying a date and a version, and assurance provided by a named colleague from another team. *Multi-partner national programme:* gates at component and programme level, criteria published against a common template so component evidence is comparable, and an assurance opinion at the programme gate independent of every partner rather than of one.

12. Exception and waiver. An exception permitting a gate to proceed on incomplete evidence may be approved only by the gate body's chair, only where the missing evidence is identified item by item, only with a named owner and a date for each missing item, and only where the decision record states what the decision would have been had the missing evidence been adverse. No exception permits criteria to be written after the evidence.

13. Escalation trigger. A request to alter criteria after evidence assembly. A criterion that cannot be assessed. Evidence offered without provenance. A condition from a previous gate still open at the next. An assurance opinion whose author appears in the pack's authorship record. Pressure to record a decision as unanimous when dissent was expressed.

14. AI application. AI may test criteria for assessability and flag the unmeasurable ones; check a gate pack for items missing a date, author or version; reconcile figures between pack documents; track condition closure and age open conditions; and detect criteria that changed between the published version and the version used.

15. AI prohibition. An AI system must not take a gate decision, give an assurance opinion, close a condition, or author a decision record entry wholesale — the record must show that a person applied judgement, and a wholly generated record cannot evidence that.

16. AI verification. Reconciliation plus sampling with a stated basis. Every AI-produced gate reconciliation must be reproduced by hand for the figures that carry the decision. Every AI-flagged defect must be confirmed by a named human before it is reported as a finding. Where AI summarised a source document into the pack, a competent reviewer must perform a **clause-to-summary comparison** against the source and confirm the summary states the same position, including its qualifications.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of stage-gate style continuation decisions in project governance · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 9001, Quality management systems — Requirements* · relied on for: the existence of a certifiable requirement for documented information and its control · **EXT-033** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: **this is the certifiable one in the ISO 9000 family**, but certification is voluntary and concerns a management system; a project is not certified against it and this standard does not import its requirements.
- **ISO** · *ISO 21505, Guidance on governance* · relied on for: the existence of assurance lines within governance · **EXT-032**, **not independently verified** · **Manual §6 category 3** · limitation: as above, with an open verification status.

18. Jurisdictional caution. Where a gate decision concerns a safety case, a licence, a permission, a consent or a statutory notification, the effective decision belongs to the body empowered to make it and a professional gate decision does not substitute for it. Obtain local legal advice on which approvals a specific project requires and who may grant them.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-06`; `PCI-FND-STD-12`; `PCI-PML-STD-01.03`; `PCI-PML-STD-03.01`; `PCI-PML-STD-09.01`; `PCI-PML-STD-16.01`.

20. Related Body of Knowledge content. PML-AI · Domain 3 · KA 3.3 Assurance, gates and escalation · topics 3.3.1 stage gates, 3.3.2 assurance lines, 3.3.4 auditability and the decision record. Also Domain 9 KA 9.2 assurance and control; Domain 16 KA 16.1 readiness.

21. Compliance test. Compliance is demonstrated when a reviewer can, for each gate held in the period: (a) obtain the criteria and confirm their publication date and version precede the earliest date on any evidence item in the pack; (b) confirm every pack item carries a date, an author or source system and a version; (c) take any two criteria at random, apply them to the pack, and reach the same answer the gate body recorded; (d) find every condition attached to the decision carrying a named owner, a date and a consequence; (e) find, in the following gate's pack, a closure status for each of those conditions; and (f) find, on the criteria themselves, the approval required by PR-06, naming an approving authority who is neither the project being gated nor a person reporting to it for the purpose of that gate. A gate whose criteria post-date its evidence fails the test outright, and so does a gate whose criteria the project set for itself — **criteria published in time but written by the party they judge produce the same unfailable gate as criteria written late.**

22. Breach indicators. Criteria version dates later than the pack. Criteria phrased as "satisfactory", "adequate" or "on track" with no stated test. Conditions with no owner. Conditional passes never revisited. Gate packs assembled by the same person who signs the assurance opinion. Decisions recorded as unanimous in bodies where dissent is known to have been expressed. Evidence items that are screenshots with no source reference.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: from a pack of nine items, the candidate identifies the three that are not evidence and states why. Scenario judgement: the chair proposes to amend a criterion the pack does not meet. Escalation decision: a condition from two gates ago has never been closed and the project is at its final gate.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes PML-LAW-03-03 v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the criteria-before-evidence ordering, criterion assessability, per-item provenance, condition fields and recorded dissent separated into five process requirements; compliance test replaced with a date-ordering and re-application test two reviewers can independently perform. **Stage 9 amendment:** the standard fixed *when* the criteria are published but not *who* sets them, so a project could publish its own trivially satisfiable criteria before assembling evidence and comply in full while producing the unfailable gate element 2 describes; PR-06 and step (f) of element 21 require the criteria to be approved by the authority that holds the gate decision.

PCI standard

PCI-PML-STD-03.04

Sponsor Accountability

1. Normative requirement. A credential holder must not lead delivery on a project, programme or portfolio that has no named individual sponsor who has accepted the sponsorship accountability in writing.

2. Purpose. The sponsor is the only role that can resolve the questions delivery cannot: whether the business case still holds, whether a benefit is still wanted, whether to stop. A vacant, nominal or rotating sponsorship transfers those questions to the delivery leader, who has neither the authority nor the standing to answer them, and the project continues by default long after the reason for it has gone.

3. Scope. Every credential holder in a delivery leadership role, from appointment to closure, including periods in which a sponsor is absent, has changed, or is acting. It governs the credential holder's obligation to secure, use and escalate about sponsorship; it does not purport to govern the sponsor, who might not be a credential holder.

4. Defined terms. *sponsor* (delivery sense) · *decision owner* · *benefit* · *material* · *escalation threshold* · *governance*. Additionally, **reserved sponsor decision** means a decision the delegation schedule assigns to the sponsor and to nobody below them.

5. Required actions — process requirements.

- PCI-PML-STD-03.04-PR-01 — **Written acceptance held.** The credential holder must hold the sponsor's dated written acceptance of the sponsorship accountability, naming the individual, before delivery commitment, and must escalate where it does not exist.
- PCI-PML-STD-03.04-PR-02 — **The reserved-decision list is agreed and used.** The credential holder must agree with the sponsor, in writing, the list of reserved sponsor decisions drawn from the delegation schedule, and must route each such decision to the sponsor rather than deciding it.
- PCI-PML-STD-03.04-PR-03 — **A stated decision service level.** The credential holder must record the time within which the sponsor undertakes to decide a reserved matter, and must escalate to the governing body where a reserved decision exceeds that time by the margin the escalation threshold states.
- PCI-PML-STD-03.04-PR-04 — **Sponsor change is a governance event.** On a change of sponsor, the credential holder must obtain the incoming sponsor's written acceptance, record a handover of the open reserved decisions and the current case position, and must not treat the

vacancy period as a period in which reserved decisions may be taken below the sponsor.

6. Prohibited actions. Taking a reserved sponsor decision because the sponsor is unavailable. Recording a committee as the sponsor. Continuing delivery through an unfilled sponsorship without escalating. Accepting a sponsor's verbal instruction on a reserved matter and recording it as a decision without written confirmation. Allowing a delivery supplier to supply the sponsor.

7. Required evidence. The sponsor's dated written acceptance; the agreed reserved-decision list; the decision-service-level record and the log of reserved decisions with elapsed times; escalations raised on breach; sponsor-change handover records.

8. Responsible role. The named credential holder leading delivery, for every obligation in this standard. The governing body appoints the sponsor and answers for the appointment.

9. Approval authority. The governing body appoints and replaces the sponsor and approves the reserved-decision list. The sponsor approves the decision service level. The credential holder approves nothing here.

10. Independence requirement. The sponsor must be independent of the delivery supplier: not employed by, contracted to, or remunerated by reference to the performance of the organisation delivering the work. Where the organisation is delivering to itself, the sponsor must sit outside the delivery reporting line for the purpose of the project.

11. Materiality or threshold. This standard sets no number. The reserved-decision list and the decision service level are set by the organisation's governance, and this standard requires that both are documented and applied. Where the organisation states no service level, the credential holder must propose one in writing and record the sponsor's response. *Six-person internal project:* the sponsor is a line director, the reserved list is four items, and the service level is "within one week" recorded in an email. *Multi-partner national programme:* there is one accountable senior responsible owner at programme level and a sponsor per component, the reserved-decision lists state which decisions rise from component to programme, and a partner-supplied sponsor is prohibited by element 10 rather than discouraged.

12. Exception and waiver. An exception permitting delivery to continue during a sponsorship vacancy may be approved only by the governing body, only for a stated period, only with an acting sponsor named in writing, and only where the reserved decisions that fall due in the period are listed and either taken by the acting sponsor or deferred with their consequences stated.

13. Escalation trigger. No written sponsor acceptance. A reserved decision exceeding the service level by the stated margin. A sponsor who declines to decide a reserved matter. A sponsor change with no handover. A sponsor supplied by the delivery organisation. A sponsor whose stated position conflicts with the governing body's approved case.

14. AI application. AI may age the reserved-decision log against the service level and flag overdue items, maintain the reserved-decision list against the delegation schedule and flag divergence, and prepare the sponsor handover pack from the decision and case records.

15. AI prohibition. An AI system must not act as sponsor, take a reserved sponsor decision, accept sponsorship accountability, or be recorded as the approver of a reserved matter.

16. AI verification. Reconciliation plus named approval. The credential holder must reconcile the AI-maintained reserved-decision list against the approved delegation schedule at each gate and confirm that every reserved class appears; and the sponsor must confirm by name, at each gate, that the reserved list the project is operating is the list they accept.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of a sponsor role distinct from the project manager · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 21505, Guidance on governance* · relied on for: the existence of an accountable owner within governance arrangements · **EXT-032**, **not independently verified** · **Manual §6 category 3** · limitation: as above, with an open verification status.
- **OECD (G20/OECD)** · *G20/OECD Principles of Corporate Governance* · relied on for: the existence of a board expectation that an accountable executive owner exists for major commitments · **EXT-128** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: a Council Recommendation; non-binding; **not legislation**.

18. Jurisdictional caution. In some jurisdictions and sectors the sponsor or senior responsible owner carries statutory or regulatory duties — for safety, for public funds, for data protection — that are distinct from this professional requirement and cannot be delegated. Obtain local legal advice on the statutory roles attaching to the specific project and entity.

19. Related PCI Standards. `PCI-FND-STD-01`; `PCI-FND-STD-11`; `PCI-PML-STD-01.01`; `PCI-PML-STD-02.01`; `PCI-PML-STD-02.02`; `PCI-PML-STD-03.02`.

20. Related Body of Knowledge content. PML-AI · Domain 3 · KA 3.2 Sponsorship and steering · topics 3.2.1 the sponsor role, 3.2.2 steering committees that work, 3.2.3 decision authorities and thresholds. Also Domain 1 KA 1.2 the leader's obligations; Domain 15 KA 15.4 transformation governance.

21. Compliance test. Compliance is demonstrated when a reviewer can (a) produce the sponsor's dated written acceptance naming an individual; (b) produce the agreed reserved-decision list and confirm that no decision in a reserved class appears in the decision record with a decider other than the sponsor or a governing-body-approved acting sponsor; (c) compute, from the reserved-decision log, the elapsed time of each reserved decision and confirm that every breach of the service level beyond the stated margin produced an escalation record; and (d) for any sponsor change in the period, produce the incoming sponsor's acceptance and the handover record. Any reserved-class decision taken below the sponsor fails the test.

22. Breach indicators. A sponsor named only in a slide pack. Reserved decisions decided by the project leader "in the interim". A reserved-decision log with no elapsed-time column. A sponsor employed by the delivery partner. Three sponsors in a year with no handover records. A steering committee minuted as "the sponsor".

23. Consequence within PCI authority. Correction required; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: the sponsor has been unreachable for five weeks and a reserved contingency release is due. Evidence selection: which artefact establishes that sponsorship was accepted. Escalation decision: the incoming sponsor is a director of the delivery partner.

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard** — sponsorship was addressed in the v1.0 set only through the *Related PCI standards* fields of other standards, which created no obligation. Amendment note: none.

Domain 4 — Integration and Delivery Architecture

PCI standard

PCI-PML-STD-04.01

Change Authority and Integrated Change Control

1. Normative requirement. A credential holder must not permit a change to an approved control baseline to take effect before the change has been assessed for its integrated effect on scope, schedule, cost, risk, quality, benefits and dependencies, and approved by the authority the delegation schedule assigns to it.

2. Purpose. Baselines do not drift; they are moved, one uncontrolled change at a time, each of which looked small. The failure this prevents is the project whose plan is current, whose baseline is historical, and whose variance is therefore meaningless — after which nothing downstream, including every forecast and every gate, is measuring anything.

3. Scope. Every credential holder preparing, assessing, recommending, approving, implementing or assuring a change to an approved scope, schedule or cost baseline, in predictive, adaptive and hybrid delivery, including changes arising from a supplier, from a regulator and from a decision taken elsewhere in a programme.

4. Defined terms. *baseline* (control sense) · *delegation schedule* · *decision owner* · *material* · *evidence* · *dependency* · *benefit.* Additionally, **integrated effect** means the effect of a change across all seven dimensions listed in element 1, assessed together rather than separately; **take effect** means being reflected in a system of record that others plan or report from.

5. Required actions — process requirements.

- `PCI-PML-STD-04.01-PR-01` — **One flow, no side doors.** Every change to an approved control baseline must enter through the defined change flow, whatever its origin, and the credential holder must not accept a change instructed directly into a delivery system, a supplier instruction or a meeting minute.
- `PCI-PML-STD-04.01-PR-02` — **Seven-dimension assessment.** Each change must carry a written assessment of its effect on scope, schedule, cost, risk, quality, benefits and dependencies, with "none" stated positively where a dimension is unaffected. A blank dimension does not satisfy this requirement.
- `PCI-PML-STD-04.01-PR-03` — **Baseline version integrity.** On approval, the credential holder must re-issue the affected baseline with a new version identifier and a change reference, and must retain the superseded version. Performance reported after the change must state which baseline version it is measured against.
- `PCI-PML-STD-04.01-PR-04` — **Rejected and withdrawn changes retained.** Rejected, withdrawn and deferred changes must be retained in

the register with their reasons, because the pattern of what was refused is evidence at the next dispute and at the next gate.

6. Prohibited actions. Implementing a change before approval and regularising it afterwards. Assessing cost effect without schedule effect. Re-baselining to remove a variance rather than to reflect an approved change. Reporting performance against a baseline version that no longer exists. Accepting a supplier's implemented change because the work is already done. Deleting rejected changes from the register.

7. Required evidence. The change register with every entry's origin, seven-dimension assessment, recommendation, decision, decider, date and authority level; superseded and current baseline versions with change references; performance reports naming the baseline version; the rejected and withdrawn entries with reasons.

8. Responsible role. The named credential holder leading the project, for operating the flow and for the completeness of each assessment. The named change authority in the delegation schedule, for the decision.

9. Approval authority. The change authority the delegation schedule assigns, by value and by class. Changes crossing the aggregation rule go to the aggregate authority under `PCI-PML-STD-03.02-PR-03`. A supplier may never approve a change to the client's baseline.

10. Independence requirement. The assessment of a change proposed by a supplier must be reviewed by a competent reviewer independent of that supplier before the decision. Where the change originates with the project leader, the assessment must be reviewed by a competent reviewer who did not prepare it.

11. Materiality or threshold. This standard states no figure. The change authority levels, the aggregation rule and the class of change requiring independent assessment are set by the organisation's governance; this standard requires that they are documented and applied, and that **every** change is registered regardless of value so the aggregation rule can see its inputs. *Six-person internal project:* one register, one weekly change slot, and a seven-column assessment that is usually six "none" entries and one line of substance. *Multi-partner national programme:* one flow per contract plus a programme-level flow for changes crossing an interface, with the interface owner named on both sides so a change cannot be approved by one partner into another partner's baseline.

12. Exception and waiver. An emergency change may be implemented before approval only where delay would cause injury, loss of life, breach of a statutory duty or irreversible loss, only on the credential holder's recorded decision naming the ground, and only if it is submitted through the flow within the time the delegation schedule states. The emergency provision must not be used for commercial convenience, and its use is reported to the change authority each period.

13. Escalation trigger. A change implemented without approval. A supplier instruction that changes the baseline. A change whose assessment cannot be completed because another party will not supply the dependency effect. Re-baselining proposed with no approved change behind it. An aggregation crossing the delegation rule.

14. AI application. AI may draft the impact assessment across the seven dimensions for human completion, detect changes that appeared in a delivery system without a register entry by reconciling system logs against the register, cluster related changes to test the aggregation rule, and check that every issued report names a baseline version that exists.

15. AI prohibition. An AI system must not approve a change, determine its integrated effect as a final position, re-baseline a plan, or close a change record.

16. AI verification. Reconciliation plus independent recomputation. Each period, a competent reviewer must reconcile the change register against the schedule and cost systems' change logs and account for every difference. Any schedule or cost effect produced with AI assistance must be recomputed by an independent method before it is presented to the change authority, and the two results recorded.

> **17. External reference.**
>
> - **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of integrated change control as a lifecycle practice · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
> - **FIDIC** · *FIDIC suite of conditions of contract* · relied on for: the existence of contractual variation and claim mechanisms that run in parallel with, and do not replace, internal change control · **EXT-050** · **Manual §6 category 4 — contract framework** · currency checked 2026-08-03 · limitation: **binds only the parties who adopt it, through the contract they sign**; characterised generically, no clause numbers cited, no text reproduced.
> - **NEC** · *NEC4 suite of contracts* · relied on for: the existence of a compensation-event mechanism with its own notification timescales · **EXT-051** · **Manual §6 category 4 — contract framework** · currency checked 2026-08-03 · limitation: as above; characterised generically.
> - **Project Management Institute** · *PMBOK Guide* · relied on for: the existence of change control as professional practice · **EXT-060** ·

Manual §6 category 5 — professional framework · currency checked 2026-08-03 · limitation: **a professional framework, never regulatory authority**; no edition asserted, no text reproduced.

18. Jurisdictional caution. Contractual change and claim mechanisms carry notification periods, condition-precedent provisions and time bars whose effect is determined by the governing law of the contract, and a change correctly processed internally can still be barred contractually. Obtain legal advice on the applicable contract's notice requirements before relying on an internal change record.

19. Related PCI Standards. `PCI-FND-STD-06`; `PCI-FND-STD-12`; `PCI-FND-STD-13`; `PCI-PML-STD-03.02`; `PCI-PML-STD-05.01`; `PCI-PML-STD-06.01`; `PCI-PML-STD-07.01`; `PCI-PML-STD-10.01`.

20. Related Body of Knowledge content. PML-AI · Domain 4 · KA 4.3 Integrated baselines · topics 4.3.1 scope-schedule-cost integration, 4.3.2 configuration management, 4.3.3 baseline maintenance; KA 4.4 Integrated change control · topics 4.4.1 change flow, 4.4.2 impact assessment, 4.4.3 the change board and the decision log.

21. Compliance test. Compliance is demonstrated when a reviewer can reconcile, without unexplained difference: the current control baselines' version identifiers to the change register's approved entries; the change register's entry count to the change logs of the schedule and cost systems; each approved change's seven-dimension assessment to a completed field for every dimension; and each performance report issued in the period to a baseline version that exists in the version store. Any change present in a delivery system and absent from the register fails the test.

22. Breach indicators. Baseline version identifiers that do not increment. Reports citing a baseline "as at" a date rather than a version. Assessment fields blank in the schedule or dependency columns. Rejected changes absent from the register. Emergency provisions invoked more than a handful of times a year. Supplier progress that exceeds any approved scope.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: a change approved on cost grounds alone is shown to consume all remaining float. Scenario judgement: a supplier has built to a verbal instruction. Evidence selection: which artefacts establish which baseline a variance was measured against.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes PML-LAW-04-01 v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the seven-dimension assessment, baseline version integrity and retention of rejected changes separated into process requirements; compliance test replaced with a four-way reconciliation.

Domain 5 — Scope, Requirements and Value Definition

PCI STANDARD

PCI-PML-STD-05.01

Scope Integrity

1. Normative requirement. A credential holder must not allow work to be performed, or a deliverable to be produced, outside the approved scope baseline without an approved change.

2. Purpose. Scope creep is rarely a decision; it is an accumulation of accommodations, each helpful, each unpriced. The failure this prevents is the project that delivers more than it was funded for, later than it promised, and cannot show which of the two facts caused the other.

3. Scope. Every credential holder defining, approving, delivering, verifying or accepting scope, in predictive, adaptive and hybrid delivery. In adaptive delivery it applies to the scope envelope and the value envelope rather than to a fixed feature list — see PCI-PML-STD-13.01.

4. Defined terms. *baseline* (control sense) · *acceptance* · *material* · *decision owner* · *evidence* · *traceability*. Additionally, **scope envelope** means the bounded set of outcomes within which an adaptive team may vary the specific work without a change; **out-of-scope work** means work performed that no approved scope item or scope envelope covers.

5. Required actions — process requirements.

- PCI-PML-STD-05.01-PR-01 — **Exclusions stated, not implied.** The approved scope baseline must state what is excluded as well as what is included, because a dispute about scope is almost always about something nobody wrote down either way.
- PCI-PML-STD-05.01-PR-02 — **Acceptance criteria before production.** Every scope item must carry acceptance criteria, version-identified, agreed before the item is produced. An item whose criteria are written after it is built does not satisfy this requirement.

- PCI-PML-STD-05.01-PR-03 — **Out-of-scope work is refused or changed.** On identifying work outside the approved scope, the credential holder must either stop it or route it through the change flow, and must record which was done. Continuing it while "keeping an eye on it" does not satisfy this requirement.
- PCI-PML-STD-05.01-PR-04 — **Periodic scope reconciliation.** At an interval the governance sets and at every gate, the credential holder must reconcile work in progress and completed deliverables against the approved scope baseline and report any item with no approved scope reference.

6. Prohibited actions. Absorbing an addition because refusing it would be awkward. Delivering a deliverable with no acceptance criteria. Recording out-of-scope work as "clarification". Allowing a supplier to expand scope in exchange for time. Writing acceptance criteria to match what was built. Treating a stakeholder's expectation as scope without an approved change.

7. Required evidence. The approved scope baseline with inclusions and exclusions; acceptance criteria per item with their version and agreement date; the scope reconciliation at each interval and gate; the change records for every addition; records of work stopped as out of scope.

8. Responsible role. The named credential holder leading the project. The **sponsor** approves scope change beyond the credential holder's delegated authority.

9. Approval authority. The change authority the delegation schedule assigns for scope change. The named acceptance authority for acceptance criteria. A supplier must not approve either.

10. Independence requirement. Acceptance of a deliverable must be recorded by a person independent of its production, applying PCI-PML-STD-09.01. The scope reconciliation itself may be prepared by the project and must be reviewed at gates by a competent reviewer independent of the delivery organisation where the delegation schedule requires assurance at that gate.

11. Materiality or threshold. This standard sets no percentage of scope. The organisation's governance sets the change-authority thresholds and the reconciliation interval, and this standard requires that both are documented and applied. Every item of out-of-scope work is registered regardless of size, because the aggregation rule in PCI-PML-STD-03.02 cannot operate on unregistered items. *Six-person internal project:* the baseline is a one-page inclusion and exclusion list, the criteria are two lines per deliverable, and the reconciliation is a fortnightly ten-minute check of the task board against that page. *Multi-partner national programme:* each contract carries its own scope baseline, the programme holds the interface scope explicitly so that a gap between two partners' baselines is visible as a gap rather than assumed to be someone's, and the reconciliation runs at both levels.

12. Exception and waiver. An exception permitting work to proceed outside the approved baseline may be approved only by the change authority, only for a stated scope and period, and only where the cost and schedule effect is recorded at the time of approval rather than reconciled afterwards. No exception permits acceptance criteria to be written after production.

13. Escalation trigger. Work identified outside the baseline that the requesting party declines to route through change. A deliverable presented for acceptance with no criteria. A supplier's claim that a scope item was "always included" where the baseline is silent. Reconciliation showing a material quantity of unreferenced work.

14. AI application. AI may compare delivered artefacts and work-in-progress items against the scope baseline and flag those with no reference, draft acceptance criteria for human agreement, detect scope language drift between document versions, and maintain the exclusion list against change records.

15. AI prohibition. An AI system must not approve scope, accept a deliverable, decide that an item is within the envelope, or agree acceptance criteria.

16. AI verification. Source tracing plus sampling with a stated basis. Every AI-flagged unreferenced item must be traced by a named human to the scope baseline or to a change record before it is reported. Each reconciliation cycle, a competent reviewer must draw a stated sample of delivered items and confirm, item by item, that an approved scope reference and version-identified acceptance criteria exist and pre-date production.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of scope definition and control as lifecycle practices · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 21500, Project, programme and portfolio management — Context and concepts* · relied on for: the vocabulary of project, programme and portfolio context · **EXT-027** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: since its current edition this document carries context and concepts, **not project-management guidance**, which moved to ISO 21502; it is cited here for concepts only.
- **Project Management Institute** · *PMBOK Guide* · relied on for: the existence of scope baselines and breakdown structures in professional practice · **EXT-060** · **Manual §6 category 5 — professional frame-**

work · currency checked 2026-08-03 · limitation: **never regulatory authority**; no edition asserted; no text reproduced.

18. Jurisdictional caution. Whether unpriced additional work is recoverable, and whether a variation was validly instructed, are contractual questions determined by the governing law and the contract's own mechanisms. Obtain legal advice before relying on an internal scope record in a commercial claim.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-12`; `PCI-FND-STD-13`; `PCI-PML-STD-04.01`; `PCI-PML-STD-05.02`; `PCI-PML-STD-09.01`; `PCI-PML-STD-13.01`.

20. Related Body of Knowledge content. PML-AI · Domain 5 · KA 5.1 Scope definition and the scope baseline; KA 5.4 Scope change, creep and verification/acceptance. Also Domain 4 KA 4.2 breakdown structures; Domain 9 KA 9.3 acceptance and nonconformance.

21. Compliance test. Compliance is demonstrated when a reviewer can take the list of deliverables produced and work packages in progress at a stated date and match **every one** to either an item in the approved scope baseline or an approved change record — with no residue — and can confirm, for a stated sample, that version-identified acceptance criteria exist with an agreement date **earlier than** the production start date recorded for that item. Any unmatched item, or any criteria dated after production began, fails the test.

22. Breach indicators. Deliverables the baseline does not mention. Acceptance criteria whose version date follows the delivery date. An exclusion list that has never been updated. Supplier progress reports describing work no change record covers. Reconciliations that report "no exceptions" every period on a project with an active change register.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a stakeholder's "small addition" has been in progress for three weeks. Evidence selection: which artefact establishes that a deliverable was in scope. Calculation review: reconciling a deliverable list against a baseline and identifying the residue.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-05-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; exclusions, criteria-before-production, the stop-or-change obligation and periodic reconciliation separated into process requirements; compliance test replaced with a no-residue matching test.

PCI standard

PCI-PML-STD-05.02

Requirements Traceability

1. Normative requirement. A credential holder must maintain traceability from every approved requirement to its source, to the work that satisfies it and to the test or acceptance criterion that proves it, for the life of the project.

2. Purpose. Without traceability nobody can answer three questions that decide whether a project succeeded: why is this requirement here, who asked for it, and is it still wanted; is anything being built that no requirement asked for; and is any requirement unproven at acceptance. Each unanswered question produces a distinct and expensive failure, and all three are cheap to prevent and impossible to reconstruct.

3. Scope. Every credential holder eliciting, approving, delivering, testing or accepting requirements, in predictive, adaptive and hybrid delivery, including requirements arising from regulation, from safety analysis and from interfaces with other projects.

4. Defined terms. *traceability* · *acceptance* · *evidence* · *material* · *baseline* (control sense) · *dependency*. Additionally, **orphan requirement** means an approved requirement with no work item satisfying it; **orphan deliverable** means delivered work satisfying no approved requirement.

5. Required actions — process requirements.

- PCI-PML-STD-05.02-PR-01 — **Every requirement carries a source.** Each approved requirement must record who raised it, the document or decision it derives from, and its date, so that its continued relevance can be tested rather than assumed.
- PCI-PML-STD-05.02-PR-02 — **Bidirectional links maintained.** The credential holder must maintain links in both directions — requirement to work item to test, and back — and must update them when a change is approved rather than at the end.
- PCI-PML-STD-05.02-PR-03 — **Orphans reported, not tidied.** At each reporting cycle and at each gate, the credential holder must report the count and identity of orphan requirements and orphan deliverables. Resolving an orphan by deleting the requirement, without a change record, does not satisfy this requirement.
- PCI-PML-STD-05.02-PR-04 — **Regulatory and safety requirements marked and never silently dropped.** Requirements deriving from a

statutory duty, a licence condition, a safety analysis or a consent must be marked as such in the register, and may be removed only by an approved change that names the authority permitting the removal.

6. Prohibited actions. Building work that satisfies no approved requirement and recording it as delivery. Closing a requirement as met with no test or acceptance evidence. Deleting an inconvenient requirement without a change record. Merging two requirements to hide that one is unmet. Marking a regulatory requirement as descoped on the project's own authority.

7. Required evidence. The requirements register with source, raiser, date and status per requirement; the traceability links to work items and to tests or acceptance criteria; the orphan report at each cycle and gate; change records for every requirement added, altered or removed; the marked subset of regulatory and safety requirements with their authority references.

8. Responsible role. The named credential holder leading the project, for maintaining traceability. The named requirement owner for each requirement's continued validity. The named acceptance authority for closure.

9. Approval authority. The change authority approves the addition, alteration or removal of an approved requirement. Only the authority that owns a regulatory, licence or safety requirement may permit its removal, and never the project.

10. Independence requirement. The confirmation that a requirement is proven must be given by a person independent of the work that satisfies it, under `PCI-PML-STD-09.01`. The traceability record itself is maintained by the project and reviewed at gates by a competent reviewer independent of the delivery organisation where the delegation schedule requires assurance.

11. Materiality or threshold. This standard sets no number of requirements and no coverage percentage, because a coverage percentage is exactly the figure that gets managed rather than met. What it requires is that **the orphan counts are reported**, that the trend is visible, and that the organisation's governance sets the tolerance at which an orphan count triggers escalation. *Six-person internal project:* the traceability matrix is a spreadsheet of forty rows with four columns, and the orphan report is a filter on it. *Multi-partner national programme:* requirements are held per partner with a programme-level register for cross-partner and interface requirements; the orphan report runs at both levels, and an interface requirement that is nobody's orphan is precisely the failure the programme-level report exists to catch.

12. Exception and waiver. An exception permitting a requirement to be accepted without a completed test may be approved only by the acceptance authority, only where the residual risk is recorded and owned, only for a stated period, and never for a requirement marked regulatory or safety-derived.

13. Escalation trigger. An orphan count exceeding the documented tolerance. A regulatory requirement proposed for removal. A requirement closed with no test evidence. A supplier declining to supply traceability contractually required. Discovery that traceability has not been maintained since a named date.

14. AI application. AI may build and maintain a traceability matrix from requirement, backlog and test artefacts; detect orphans in both directions; detect duplicate and contradictory requirements; propose candidate links for human confirmation; and flag requirements whose source reference does not resolve.

15. AI prohibition. An AI system must not approve a requirement, close one as met, decide that a test proves a requirement, or delete a link.

16. AI verification. Sampling with a stated basis plus source tracing. Every AI-proposed link must be confirmed by a named human before it is recorded as a trace. Each gate, a competent reviewer must draw a stated sample of requirements and trace each by hand from source document to work item to test evidence, and must additionally sample the **regulatory and safety** subset in full rather than by sample, because its population is small and its failure mode is severe.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of requirements management within delivery practice · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 9001, Quality management systems — Requirements* · relied on for: the existence of a certifiable requirement that product requirements are determined, reviewed and verified · **EXT-033** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: voluntary unless imported; certification concerns a management system, not a project; this standard imports none of its requirements.
- **Project Management Institute** · *PMBOK Guide* · relied on for: the existence of a requirements traceability matrix as professional practice · **EXT-060** · **Manual §6 category 5 — professional framework** · currency checked 2026-08-03 · limitation: **never regulatory authority**; no edition asserted; no text reproduced.

18. Jurisdictional caution. Requirements deriving from statute, licence conditions, building or safety regulation, accessibility law or data-protection law are determined by those instruments and by the regulator, not by the project's register. Obtain local legal and regulatory advice on which requirements are non-removable for the specific project.

19. Related PCI Standards. PCI-FND-STD-06; PCI-FND-STD-07; PCI-FND-STD-12; PCI-PML-STD-05.01; PCI-PML-STD-09.01; PCI-PML-STD-13.02; PCI-PML-STD-16.02.

20. Related Body of Knowledge content. PML-AI · Domain 5 · KA 5.2 Requirements elicitation, analysis and traceability; KA 5.3 value definition and prioritisation. Also Domain 9 KA 9.3 acceptance and nonconformance; Domain 13 KA 13.2 backlogs.

21. Compliance test. Compliance is demonstrated when a reviewer can select any approved requirement at random and, without asking its author, reach its source document, the work item that satisfies it and the test or acceptance evidence that proves it — and can perform the same traverse in reverse from any delivered item — and when the orphan report for the current cycle can be reproduced from the register by an independent query returning the same counts. Any requirement marked regulatory or safety-derived that cannot be traversed in both directions fails the test outright.

22. Breach indicators. Traceability last updated at the previous gate. Orphan counts reported as zero in every period. Requirements closed on the same date they were raised. A test suite whose case count is unrelated to the requirement count. Requirements removed between register versions with no change reference. Source fields containing a person's name and no document.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: which artefacts prove a requirement was met. Scenario judgement: a safety-derived requirement is proposed for deferral to a later release. Calculation review: reconciling requirement, work-item and test counts to locate the orphans.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes PML-LAW-05-02 v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the regulatory and safety marking obligation added; orphan reporting made an express process requirement; compliance test replaced with a bidirectional traverse a reviewer performs unaided.

Domain 6 — Planning, Scheduling and Delivery Flow

PCI standard

PCI-PML-STD-06.01

Schedule Credibility

1. Normative requirement. A credential holder must not issue, endorse or rely on a schedule whose logic, durations, constraints or status they know, or ought to know, to misrepresent the achievable completion of the work.

2. Purpose. A schedule is a statement to other people about when they can rely on something. The failure this prevents is the schedule that meets the required date by construction — constraints imposed in place of logic, durations compressed without a resource or method change, progress claimed on activities that have not started — which is believed for exactly as long as it takes for the first dependent party to plan against it.

3. Scope. Every credential holder producing, reviewing, approving, statusing, forecasting or assuring a schedule at any level, in predictive, adaptive and hybrid delivery, including supplier schedules incorporated into a client plan and programme-level integrated schedules.

4. Defined terms. *baseline* (control sense) · *evidence* · *material* · *dependency* · *competent reviewer* · *escalation threshold*. Additionally, **hard constraint** means a date imposed on an activity that overrides its logic; **status date** means the date to which progress is stated; **negative float** means the condition in which the logic cannot achieve an imposed date.

5. Required actions — process requirements.

- PCI-PML-STD-06.01-PR-01 — **Logic, not constraint, carries the dates.** Completion dates must be derived from activity logic and durations. Every hard constraint must be listed with the reason it exists and the authority that imposed it, and the credential holder must state the completion date the logic produces without it.
- PCI-PML-STD-06.01-PR-02 — **Compression states its mechanism.** Where a duration has been reduced, the credential holder must state the mechanism — added resource, changed method, changed scope, increased overlap — and its cost and risk consequence. A duration reduced with no stated mechanism is a target, not a duration, and must be labelled as one.
- PCI-PML-STD-06.01-PR-03 — **Progress is evidenced, not asserted.** Physical or output-based progress must be supported by evidence of the work performed. Progress recorded against an activity with no evidence of commencement does not satisfy this requirement.
- PCI-PML-STD-06.01-PR-04 — **Negative float is reported, never absorbed.** Negative float must be reported to the authority the escalation

threshold names, with its cause and the options, and must not be removed by re-imposing constraints, deleting logic, or extending the imposed date without an approved change.

- `PCI-PML-STD-06.01-PR-05` — **Status date and baseline version stated on issue.** Every issued schedule must carry its status date and the control baseline version it is measured against.

6. Prohibited actions. Imposing a constraint to produce a required date and presenting the result as a forecast. Recording progress on activities not started. Deleting or reversing logic to remove negative float. Reporting a completion date the logic does not produce. Incorporating a supplier's schedule without reconciling its interfaces. Re-baselining to eliminate a variance with no approved change.

7. Required evidence. The schedule file with its logic, its constraint list and its status date; the constraint register with reasons and imposing authorities; the compression record with mechanisms and consequences; progress evidence per statused activity for a stated sample; the negative-float reports and their escalations; the baseline version reference on each issue.

8. Responsible role. The named credential holder leading the project, for the schedule issued in the project's name. The named planner or scheduler, for its technical preparation. Neither may be recorded as the other.

9. Approval authority. The change authority the delegation schedule assigns approves a change to the schedule baseline. The sponsor approves a change to a committed external date within their authority; above it, the governing body. A supplier must not approve a change to the client's schedule baseline.

10. Independence requirement. At each gate at which the delegation schedule requires assurance, the schedule must be reviewed by a competent reviewer independent of its preparation. Where the schedule supports a contractual claim or a committed external date, the review must also be independent of the party that benefits from the date.

11. Materiality or threshold. This standard states no float threshold, no density figure and no percentage, and inventing one would be indefensible: what counts as an acceptable constraint count or float profile depends on the contract, the sector and the planning method. The organisation's governance must document the schedule-quality criteria it applies, the tolerance at which a variance is escalated, and the sample size for progress evidence; this standard requires that they exist and are applied. Where the organisation applies a published schedule-assessment method, the credential holder must record which method and which criteria, so that a reported score can be interpreted. *Six-person internal project:* forty activities in a shared tool, three constraints each with a stated reason, and progress evidenced by the same artefacts the team produces anyway. *Multi-partner national programme:* an integrated schedule assembled from partner schedules, with the interface milestones owned on both sides by name, and constraint and progress rules stated in the partner agreement so that a partner's internal convention cannot silently change the programme's dates.

12. Exception and waiver. An exception permitting a schedule to be issued with an unreconciled interface or an unsupported progress claim may be approved only by the sponsor, only for one reporting cycle, only where the affected activities are identified and the issued schedule states the limitation on its face. No exception permits a completion date to be presented as achievable when the logic does not produce it.

13. Escalation trigger. Negative float against a committed date. A required completion date that the logic cannot produce. An instruction to record progress not performed. A supplier schedule that cannot be reconciled at its interfaces. A constraint imposed with no stated authority. A compression with no mechanism.

14. AI application. AI may run schedule-quality checks, identify open ends, redundant logic, excessive lags and constraint concentrations, compare the current schedule against the baseline and summarise the differences, generate scenario schedules for human evaluation, and detect progress claims inconsistent with cost or delivery data.

15. AI prohibition. An AI system must not approve a schedule, decide a duration that is then issued without human derivation, remove a constraint, status an activity, or determine that a date is achievable.

16. AI verification. Independent recomputation plus boundary testing. A competent reviewer must recompute the critical path and the float on the issued schedule using a second method or tool and reconcile any difference before issue. Where AI generated or compressed durations, the reviewer must test the boundaries — the shortest and longest credible duration for the sampled activities — and record whether the issued value sits inside the range the mechanism supports. Progress statused with AI assistance must be confirmed by **sampling with a stated basis** against physical evidence.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of schedule development and control as lifecycle practices · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **Project Management Institute** · *Practice Standard for Scheduling* · relied on for: the existence of recognised schedule-quality attributes in professional practice · **EXT-062** · **Manual §6 category 5 — profes-**

sional framework · currency checked 2026-08-03 · limitation: **never regulatory authority**; no metric, threshold or checklist from it is reproduced or relied on.

- **AACE International** · *Total Cost Management (TCM) Framework* · relied on for: the existence of a planning and scheduling process within a cost-management framework · **EXT-064**, **not independently verified — verify current requirements** · **Manual §6 category 5 — professional framework** · limitation: as above; no recommended-practice text is reproduced.

18. Jurisdictional caution. Where a schedule supports an extension-of-time claim, a delay analysis or a liquidated-damages position, the acceptable method and the evidential standard are determined by the contract and by the forum, and they differ between jurisdictions and between tribunals. Obtain legal advice before a schedule is relied on in a claim.

19. Related PCI Standards. `PCI-FND-STD-05`; `PCI-FND-STD-02`; `PCI-FND-STD-13`; `PCI-PML-STD-04.01`; `PCI-PML-STD-07.01`; `PCI-PML-STD-08.01`; `PCI-PML-STD-15.01`.

20. Related Body of Knowledge content. PML-AI · Domain 6 · KA 6.1 Planning levels and logic networks; KA 6.2 The critical path and float; KA 6.3 Resources, constraints, milestones and rolling wave; KA 6.4 Delivery flow, recovery and forecasting. Also Domain 15 KA 15.1 dependency arithmetic.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) open the issued schedule and find its status date and baseline version on the face of it; (b) list every hard constraint and find, for each, a reason and an imposing authority in the constraint register; (c) remove the constraints in a copy of the schedule, recompute, and reconcile the resulting completion date to the date the credential holder stated under `PR-01`; (d) draw a stated sample of statused activities and find, for each, evidence of the work performed; and (e) confirm that every period in which negative float existed produced an escalation record. A completion date that cannot be reproduced from the logic fails the test.

22. Breach indicators. Constraint counts rising as the committed date approaches. Float distributions with a large spike at zero. Activities at 90 per cent for several periods. Negative float that appears and disappears without a change record. Durations that changed with no mechanism recorded. Schedules issued with no status date. A supplier schedule whose interface dates differ from the client's by more than the reporting cycle.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: a forward and backward pass on a small network with an imposed date, identifying the negative float and its cause. Scenario judgement: a sponsor asks for the completion date to be "brought back" without a scope or resource change. Evidence selection: which artefacts support a progress claim.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-06-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the constraint-transparency, compression-mechanism, progress-evidence, negative-float and status-date obligations separated into five process requirements; element 11 rewritten to require documented schedule-quality criteria rather than to assert any; compliance test replaced with a remove-the-constraints reproduction test.

Domain 7 — Cost, Resources and Commercial Awareness

PCI STANDARD

`PCI-PML-STD-07.01`

Cost Stewardship

1. Normative requirement. A credential holder must report the project's cost position — committed, incurred, accrued and forecast — on a basis that is complete, current and reconcilable to the organisation's financial records.

2. Purpose. The two failures this prevents are opposite and equally common: the position that omits commitments and accruals, so the project looks affordable until the invoices arrive; and the forecast that is a target restated, so the overrun is discovered when the budget is exhausted rather than when it became inevitable. Both are failures of completeness, not of arithmetic.

3. Scope. Every credential holder preparing, reviewing, approving, reporting or assuring a project, programme or portfolio cost position or forecast, including contingency and reserve positions, in every delivery model.

4. Defined terms. *baseline* (control sense) · *material* · *evidence* · *competent reviewer* · *escalation threshold* · *decision owner*. Additionally, **committed** means value contractually committed but not yet incurred; **accrued** means value of work performed but not yet invoiced; **contingency** means provision for identified risk held inside the control baseline; **management reserve** means provision for unidentified risk and scope change held outside it and released by the authority the governance plan names.

5. Required actions — process requirements.

- PCI-PML-STD-07.01-PR-01 — **Four elements always present.** Every issued cost position must state committed, incurred, accrued and forecast values, and must not omit an element because it is incomplete; where an element is estimated, the basis is stated.
- PCI-PML-STD-07.01-PR-02 — **Reconciliation to the ledger.** At the interval the governance sets, the credential holder must reconcile the project cost position to the organisation's financial ledger and account for every difference, retaining the reconciliation.
- PCI-PML-STD-07.01-PR-03 — **Forecast method stated and consistent.** Each forecast must state the method used and the assumptions it rests on, and the method must not be changed between periods without recording the change, its reason and its effect on the reported figure.
- PCI-PML-STD-07.01-PR-04 — **Contingency and reserve reported separately.** Contingency and management reserve must be reported separately from the base cost and from each other, with drawdown recorded against the specific risk or change that justified it and the authority that released it.
- PCI-PML-STD-07.01-PR-05 — **Adverse movement reported in the period it is known.** A material adverse movement must be reported in the reporting cycle in which it becomes known, and must not be held for a later cycle, netted against an unrealised saving, or absorbed into contingency without a release decision.

6. Prohibited actions. Reporting incurred cost as the position while commitments are material and unstated. Drawing contingency to conceal a base-cost overrun. Presenting a forecast equal to the budget with no supporting change. Netting an adverse movement against an optimistic one. Changing forecast method to produce a better figure. Recording a management-reserve drawdown as a base-cost saving.

7. Required evidence. The cost report showing the four elements; the ledger reconciliation with its differences explained; the forecast with its stated method and assumptions and the record of any method change; the contingency and reserve registers with drawdowns, their justifying risk or change, and the releasing authority; the record of adverse movements with the date known and the date reported.

8. Responsible role. The named credential holder leading the project, for the position issued in the project's name. The named cost or finance role, for its preparation and for the ledger reconciliation.

9. Approval authority. The authority the governance plan names releases contingency; the authority it names — typically the sponsor or change authority, and this standard does not assume which — releases management reserve, through change control. Neither is released by the person who prepares the forecast.

10. Independence requirement. The ledger reconciliation must be prepared or verified by a person independent of the project's cost reporting. At each gate at which the delegation schedule requires assurance, the forecast must be reviewed by a competent reviewer independent of its preparation.

11. Materiality or threshold. This standard states no percentage. The organisation's governance sets the materiality threshold for adverse movement, the reconciliation interval, the contingency release authority and the forecast tolerance; this standard requires that each is documented and applied. Where the governance plan does not name the authority that releases management reserve, the credential holder must escalate that gap rather than assume the answer — the suite terminology audit records that different books name different roles, and assuming one is how a reserve is released by someone who could not release it. *Six-person internal project:* one cost line per person plus three purchase orders; the reconciliation is a monthly comparison against the finance extract and takes under an hour. *Multi-partner national programme:* the four elements are reported per partner and consolidated, the consolidation states which partner's accrual basis differs and by how much, and management reserve is held and released at programme level so that a component cannot fund its own overrun.

12. Exception and waiver. An exception permitting a cost position to be issued without a completed reconciliation may be approved by the sponsor for one cycle, only where the report states the limitation on its face and identifies the unreconciled amount. No exception permits a known material adverse movement to go unreported in the cycle in which it became known.

13. Escalation trigger. A forecast that exceeds the approved budget or the documented tolerance. A reconciliation difference that cannot be explained. Contingency drawdown against risks that were not in the register. Instruction to delay reporting an adverse movement. A supplier's commitment position that cannot be obtained.

14. AI application. AI may reconcile cost data across systems and surface unexplained differences, detect commitments absent from the position, produce several forecast methods for human selection, flag contingency drawdowns with no matching register entry, and detect forecast-method changes between periods.

15. AI prohibition. An AI system must not approve a cost position, select the forecast method that is issued, release contingency or reserve, or determine that a difference is immaterial.

16. AI verification. Independent recomputation plus reconciliation. The credential holder must recompute the headline forecast by an independent method and reconcile the two results before issue, recording both. Every AI-produced reconciliation must be checked by a competent reviewer against the ledger extract itself, with the extract date and filter recorded, and every AI-surfaced difference confirmed by a named human before it is reported as resolved.

17. External reference.

- **AACE International** · *Total Cost Management (TCM) Framework* · relied on for: the existence and purpose of a cost-control cycle and of maturity-based estimate classification · **EXT-064**, **not independently verified — verify current requirements** · **Manual §6 category 5 — professional framework** · limitation: **a professional framework, never regulatory authority**; no class table, accuracy range or recommended-practice text is reproduced.
- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of cost planning and control as lifecycle practices · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **Project Management Institute** · *PMBOK Guide* · relied on for: the existence of cost baselines, reserves and forecasting in professional practice · **EXT-060** · **Manual §6 category 5** · currency checked 2026-08-03 · limitation: **never regulatory authority**; no edition asserted; no text reproduced.

18. Jurisdictional caution. How costs are recognised, when a liability is recorded, how contract assets and provisions are measured and what must be disclosed are determined by the financial-reporting framework the entity applies and by its auditors, not by a project cost report. **This standard states no accounting treatment.** Obtain qualified accounting advice for the specific entity and framework.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-05`; `PCI-FND-STD-07`; `PCI-PML-STD-04.01`; `PCI-PML-STD-06.01`; `PCI-PML-STD-07.02`; `PCI-PML-STD-08.01`.

20. Related Body of Knowledge content. PML-AI · Domain 7 · KA 7.1 Estimating and budgeting; KA 7.2 The cost baseline, actuals and forecasting; KA 7.3 Earned value: measurement, variances and forecasting. Also Domain 8 KA 8.3 responses, reserves and governance.

21. Compliance test. Compliance is demonstrated when the issued cost position can be reconciled, without unexplained difference, to: the financial ledger extract at the stated date, the commitment register, the accrual schedule, the approved change register, the contingency and reserve registers with their release authorities, and the approved control baseline version named on the report — and when the forecast's stated method, applied to the same inputs by a second preparer, reproduces the reported figure within the tolerance the method itself implies. A position that omits commitments, or a forecast whose method cannot be reproduced, fails the test.

22. Breach indicators. Positions reporting incurred cost only. Forecasts equal to budget for consecutive periods on a project with an active risk register. Contingency drawdowns with no risk reference. Reconciliations with a persistent unexplained residual. A forecast method that changes in the period an overrun would otherwise appear. Adverse movements reported one cycle after the supplier notified them.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: an earned-value suite in which the candidate selects and justifies a forecasting method and identifies why another is unsupportable. Scenario judgement: contingency is proposed to cover a base-cost overrun four weeks before a gate. Evidence selection: which artefacts establish the completeness of a reported position.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-07-01` v1.0, whose subject matter is split between this standard and `PCI-PML-STD-07.02`. Amendment note: renumbered and restructured; legislative drafting removed; resource obligations moved out to their own standard so that one standard carries one principal obligation; the four-element completeness rule, ledger reconciliation, method consistency, separate reserve reporting and same-cycle adverse reporting separated into five process requirements.

PCI standard

`PCI-PML-STD-07.02`

Resource Decisions and the Commitment of People

1. Normative requirement. A credential holder must not commit a person, a team or a shared resource to a project plan without the agreement of the named individual who controls that resource's availability.

2. Purpose. The most common cause of a plan that cannot be delivered is a resource assumption nobody agreed to. The failure this prevents is the plan built on named people who are already committed elsewhere — a plan that is arithmetically sound, professionally presented, and false from the day it is issued, with the consequence landing on the individuals concerned rather than on the plan's author.

3. Scope. Every credential holder planning, committing, reallocating or reporting on human and shared resources — internal staff, seconded staff, supplier staff, specialist equipment and shared environments — on projects, programmes and portfolios, in every delivery model.

4. Defined terms. *decision owner* · *material* · *evidence* · *dependency* · *escalation threshold* · *baseline* (control sense). Additionally, **resource owner** means the named individual who controls whether a person or shared resource is available to a project; **committed availability** means the proportion of a resource's capacity that the resource owner has agreed to this project for a stated period.

5. Required actions — process requirements.

- `PCI-PML-STD-07.02-PR-01` — **Named agreement before the plan is issued.** Each resource assumption material to the plan must carry the resource owner's name and a dated agreement to the committed availability, obtained before the plan is issued.
- `PCI-PML-STD-07.02-PR-02` — **Aggregate demand tested against capacity.** The credential holder must test the plan's total demand on each shared resource against that resource's total committed availability across all claims on it, and must report any over-commitment rather than assuming resolution.
- `PCI-PML-STD-07.02-PR-03` — **Withdrawal is a change, not an adjustment.** Where a committed resource is withdrawn or reduced, the credential holder must record it, assess the effect through `PCI-PML-STD-04.01`, and report the consequence, rather than re-planning silently around it.
- `PCI-PML-STD-07.02-PR-04` — **Sustained overload is reported.** Where delivery depends on individuals working beyond the hours or duration the organisation's own policy permits, the credential holder must report that dependency to the sponsor as a delivery risk with its cause, and must not present the plan as achievable without stating it.

6. Prohibited actions. Naming people in a plan without their resource owner's agreement. Planning to an availability the resource owner has refused. Concealing over-commitment by planning at an aggregate level that hides it. Presenting sustained overtime as capacity. Reallocating a person committed to another project without that project's resource owner. Recording a supplier's named key personnel as committed when the contract does not secure them.

7. Required evidence. The resource plan with, per material resource, the owner's name and dated agreement; the aggregate demand-against-capacity analysis; withdrawal records and their change assessments; the reports of sustained overload with their causes; the contractual basis for any supplier key personnel recorded as committed.

8. Responsible role. The named credential holder leading the project, for obtaining and recording agreements and for reporting over-commitment. The named resource owner, for the availability they agree.

9. Approval authority. The resource owner agrees availability. The sponsor resolves competing claims within their authority; above it, the portfolio or programme authority the delegation schedule names. The project leader must not resolve a competing claim on another owner's resource.

10. Independence requirement. Not applicable to the agreement itself, because the resource owner's consent is by definition an interested party's consent to their own resource; independence attaches to the portfolio-level capacity test in `PCI-PML-STD-15.02`, which must be performed by a function independent of any single competing project.

11. Materiality or threshold. This standard sets no percentage of a person's time. The organisation's governance sets the threshold at which a resource assumption is material enough to require a recorded agreement, the limits on working hours and duration, and the escalation route for competing claims; this standard requires that these exist and are applied. Where no threshold is documented, every named individual in the plan requires a recorded agreement. *Six-person internal project:* six agreements, one line each, in an email thread the leader retains — and the aggregate test is a single check that no one appears on two plans at once. *Multi-partner national programme:* resource owners sit in several organisations, the aggregate test runs at portfolio level under `PCI-PML-STD-15.02`, and supplier key personnel are secured contractually rather than assumed, because a name in a tender is not committed availability.

12. Exception and waiver. An exception permitting a plan to be issued with an unagreed material resource assumption may be approved by the sponsor for a stated period not exceeding one reporting cycle, only where the plan states the unagreed assumption on its face and identifies the affected activities. No exception permits an individual to be named in an issued plan against their resource owner's recorded refusal.

13. Escalation trigger. A resource owner's refusal or withdrawal of a committed resource. Aggregate demand exceeding committed availability on a shared resource. Delivery dependent on hours beyond policy. A supplier substituting named key personnel. A competing claim the sponsor cannot resolve.

14. AI application. AI may aggregate demand across plans and surface over-commitment, model the effect of alternative allocations, flag plan entries with no recorded owner agreement, and detect individuals whose aggregate allocation exceeds their committed availability.

15. AI prohibition. An AI system must not commit a person to a plan, agree availability, resolve a competing claim, or reallocate people between projects. Where an optimiser produces an allocation, it has produced a recommendation, and the decision is a reserved class under `PCI-PML-STD-01.02-PR-01`.

16. AI verification. Reconciliation plus named approval. Every AI-produced allocation must be reconciled against the recorded owner agreements before it is issued, and each affected resource owner must confirm by name. Every AI-surfaced over-commitment must be confirmed by a named human against the competing plans before it is escalated.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of resource planning and of the negotiation of resources with those who control them · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 45001, Occupational health and safety management systems — Requirements with guidance for use* · relied on for: the existence of a certifiable management-system standard within which workload and fatigue are addressed as health and safety matters · **EXT-123** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: certifiable, but adoption is voluntary unless a contract or regulator requires it; this standard imports none of its requirements and states no fatigue rule of its own.
- **AACE International** · *Total Cost Management (TCM) Framework* · relied on for: the existence of resource economics within a cost-management framework · **EXT-064**, **not independently verified** · **Manual §6 category 5 — professional framework** · limitation: **never regulatory authority**; no text reproduced.

18. Jurisdictional caution. Working-time law, collective agreements, works-council consultation rights, secondment and agency-worker rules, and health-and-safety duties determine what may lawfully be required of people, and they differ sharply by jurisdiction. Obtain local legal and human-resources advice before planning on extended hours, cross-border deployment or supplier staff substitution.

19. Related PCI Standards. `PCI-FND-STD-01`; `PCI-FND-STD-11`; `PCI-PML-STD-06.01`; `PCI-PML-STD-07.01`; `PCI-PML-STD-12.01`; `PCI-PML-STD-15.02`.

20. Related Body of Knowledge content. PML-AI · Domain 7 · KA 7.4 Resource economics, procurement strategy and cash. Also Domain 6 KA 6.3 resources, constraints, milestones and rolling wave; Domain 12 KA 12.2 team formation and retention; Domain 15 KA 15.3 capacity and enterprise PMOs.

21. Compliance test. Compliance is demonstrated when a reviewer can take every named individual and shared resource in the issued plan whose contribution exceeds the documented materiality threshold and find, for each, a dated agreement from the named resource owner covering the committed availability the plan assumes; and can sum the plan's demand on each shared resource against all other current claims on it and reproduce the over-commitment figure the project reported. Any material resource assumption with no recorded owner agreement fails the test.

22. Breach indicators. Plans naming individuals whose owners have not been asked. Allocation percentages summing above 100 across concurrent plans. Delivery dates that depend on weekend working described nowhere. Supplier key personnel named in a plan and absent from the contract. Resource withdrawals resolved by re-planning with no change record. Resource owners who first learn of a commitment from the published plan.

23. Consequence within PCI authority. Correction required; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: aggregate allocation across three concurrent plans showing a specialist committed at 160 per cent. Scenario judgement: a resource owner withdraws a key specialist a fortnight before a milestone. Ethical dilemma: a plan can only be met by sustained overtime the leader has not disclosed.

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard**, carrying the resource obligations formerly bundled inside `PML-LAW-07-01` v1.0, which stated cost and resource obligations in one rule and could therefore be breached in two unrelated ways at once.

Amendment note: separated so that each standard carries one principal obligation.

Domain 8 — Risk, Uncertainty and Resilience

PCI standard

PCI-PML-STD-08.01

Risk Escalation

1. Normative requirement. A credential holder must escalate a risk whose exposure exceeds the escalation threshold the delegation schedule sets, to the named authority that threshold identifies, within the time it states.

2. Purpose. The value of an escalation is mostly in its timing: the same warning is worth a great deal early and almost nothing late, because what it buys is the option set. The failure this prevents is the escalation that arrives after the decision it was supposed to inform — technically compliant, entirely useless — and the one that never arrives because the person holding the risk hoped to resolve it first.

3. Scope. Every credential holder identifying, assessing, owning, responding to, reporting or assuring risk on a project, programme or portfolio, in every delivery model, including risks arising in a supplier's scope and risks transferred by contract.

4. Defined terms. *escalation threshold* · *material* · *decision owner* · *evidence* · *dependency* · *contingency* (as defined in PCI-PML-STD-07.01). Additionally, **exposure** means the assessed consequence of a risk combined with its assessed likelihood, on the basis the organisation's risk framework states; **decision action window** means the remaining duration less the escalation latency, expressed as a proportion of the remaining duration.

5. Required actions — process requirements.

- PCI-PML-STD-08.01-PR-01 — **Every risk has one named owner.** Each risk must carry exactly one named owner with the authority to act on it; a risk owned by a team, a function or a supplier organisation rather than a person does not satisfy this requirement.
- PCI-PML-STD-08.01-PR-02 — **Escalate on threshold, not on comfort.** The credential holder must escalate when the documented threshold is met, whether or not they expect to resolve the risk, and must record the date the threshold was met alongside the date of escalation.
- PCI-PML-STD-08.01-PR-03 — **Escalate with options.** Every escalation must carry the options open to the receiving authority, their

consequences, and the date after which each option closes. An escalation that reports a problem with no option set does not satisfy this requirement.

- `PCI-PML-STD-08.01-PR-04` — **Test the action window.** Before escalating, the credential holder must state whether the receiving authority can still act in time, and where the window is negative must say so on the face of the escalation and route it out of cycle.
- `PCI-PML-STD-08.01-PR-05` — **Contingency is drawn against a registered risk.** Contingency must be drawn only against a risk recorded in the register before the drawdown, with the releasing authority named.

6. Prohibited actions. Holding a risk above the threshold because a fix is expected. Reducing an assessed exposure without a recorded change to the underlying facts. Escalating a risk with no options. Recording a risk as closed because it stopped being discussed. Transferring a risk to a supplier by contract and removing it from the register while the consequence still lands on the client. Drawing contingency against a risk added to the register afterwards.

7. Required evidence. The risk register with one named owner per risk, assessed exposure and its basis, and status history; escalation records with the date the threshold was met, the date escalated, the options and the action window; out-of-cycle routing records; contingency drawdown records with the justifying register entry and the releasing authority.

8. Responsible role. The named risk owner for each risk. The named credential holder leading the project, for operating the escalation process and for escalating where the risk owner does not.

9. Approval authority. The authority the escalation threshold names receives and decides. The authority the governance plan names releases contingency. A risk may be closed only by its owner, with the reason recorded.

10. Independence requirement. At each gate at which the delegation schedule requires assurance, the risk register and the escalation record must be reviewed by a competent reviewer independent of the delivery organisation, whose review includes testing whether risks that met the threshold were escalated. That reviewer must not be the function that maintains the register.

11. Materiality or threshold. This standard sets no exposure figure, no matrix and no score, because risk appetite is an organisational decision and a number imported from elsewhere is a number nobody owns. It requires that the organisation documents its escalation thresholds, their named destinations and their times, and that the credential holder applies them. Where the organisation documents no threshold for a risk class, the credential holder must escalate every risk in that class until one exists. *Six-person internal pro-*

ject: one register of a dozen risks, a single threshold — anything that could delay the committed date or exceed the remaining contingency — and escalation by email to the sponsor within two working days. *Multi-partner national programme:* thresholds at component and programme level with a stated rule for which component risks rise, escalation destinations named as roles in the programme rather than organisations, and an explicit provision for risks that are below every component's threshold but correlated across components — which is the exposure a tiered threshold structure is worst at seeing.

12. Exception and waiver. An exception permitting an escalation to be deferred may be approved only by the authority that would have received it, in writing, before the escalation time expires, for a stated period, with the reason recorded. **A risk bearing on safety, a statutory duty, a licence condition or harm to a person must not be deferred**, and no exception is available for it.

13. Escalation trigger. Exposure meeting the documented threshold. A risk owner who declines to act or to escalate. A negative decision action window. A supplier risk whose consequence lands on the client. Correlated risks whose combined exposure exceeds a threshold that none of them individually meets. An instruction not to escalate.

14. AI application. AI may scan delivery, cost, schedule and issue data for early risk signals and propose candidate register entries, compute exposures on the organisation's stated basis, age unescalated risks against thresholds and flag them, compute the decision action window, and detect correlations between risks held in different registers.

15. AI prohibition. An AI system must not decide that a risk need not be escalated, close a risk, release contingency, own a risk, or assign a likelihood or consequence that is then reported without a named human's derivation.

16. AI verification. Independent recomputation plus source tracing. Every exposure computed with AI assistance must be recomputed by hand by the risk owner before it is used to decide escalation, and every AI-proposed risk must be traced by a named human to the underlying data before it enters the register. Where AI has aged risks against thresholds, a competent reviewer must confirm by **sampling with a stated basis** that no risk meeting a threshold was omitted from the flagged set.

17. External reference.

- **ISO** · *ISO 31000, Risk management — Guidelines* · relied on for: the existence of a risk-management process concept including escalation and review · **EXT-020** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: **guidance, and ISO states expressly that it is not a certifiable standard**; voluntary; this standard relies on it for no requirement.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of risk management within delivery practice · **EXT-028** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO/IEC** · *ISO/IEC 23894, Guidance on risk management for artificial intelligence* · relied on for: the existence of AI-specific risk guidance sitting alongside the AI management-system standard · **EXT-024** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **guidance, not requirements**; voluntary; not certifiable.

18. Jurisdictional caution. Duties to report certain risks to a regulator, a safety authority, an auditor or a market are set by law and by licence conditions and carry their own timescales, which can be shorter than any internal threshold. Obtain local legal advice on mandatory reporting duties attaching to the specific project and sector.

19. Related PCI Standards. `PCI-FND-STD-11` (the parent duty to escalate); `PCI-FND-STD-05`; `PCI-FND-STD-02`; `PCI-PML-STD-03.02`; `PCI-PML-STD-07.01`; `PCI-PML-STD-08.02`; `PCI-PML-STD-12.02`; `PCI-PML-STD-15.01`. **What this standard adds to** `PCI-FND-STD-11`**:** the foundational standard creates the duty to escalate a material misstatement. This standard requires **one named risk owner**, escalation **on threshold rather than on expectation of resolution**, an **option set with closing dates**, an explicit **action-window test**, and **contingency drawn only against a pre-registered risk**.

20. Related Body of Knowledge content. PML-AI · Domain 8 · KA 8.1 Threats, opportunities and identification; KA 8.2 Analysis: from screening to quantification; KA 8.3 Responses, reserves and governance; KA 8.4 Resilience, bias and crisis leadership. Also Domain 3 KA 3.3 topic 3.3.3 escalation design.

21. Compliance test. Compliance is demonstrated when a reviewer can, for every risk in the period whose recorded exposure met the documented threshold: (a) find an escalation record naming the authority the threshold identifies; (b) compute the elapsed time between the date the threshold was met and the date escalated and confirm it is within the stated time; (c) find an option set with consequences and closing dates on the face of the escalation; and (d) find the receiving authority's recorded decision. The reviewer must additionally confirm that every contingency drawdown in the period references a risk whose register entry pre-dates the drawdown. A risk that met the threshold with no escalation record fails the test, and the absence of a later problem is not a defence.

22. Breach indicators. Exposures reassessed downward in the period before a gate with no change in the underlying facts. Escalation dates clustering immediately before steering meetings. Escalations with no options. Risks closed with the reason "no longer relevant". Contingency drawdowns whose risk entry was created the same day. A shortening trend in escalation lead time. Risks whose owner is a supplier organisation.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Escalation decision: a risk meets the threshold six weeks before a committed date and the leader believes it can be resolved in four. Calculation review: computing a decision action window and showing the escalation is ceremonial. Ethical dilemma: a sponsor instructs that a risk be held below the threshold by splitting it.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-08-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; single named ownership, escalation-on-threshold, the option set, the action-window test and the contingency rule separated into five process requirements; compliance test replaced with an elapsed-time test performed against two recorded dates.

PCI STANDARD

`PCI-PML-STD-08.02`

Issue Management

1. Normative requirement. A credential holder must record every issue affecting delivery with a single named owner, a required resolution date and a stated consequence of non-resolution, and must not close an issue without recording how it was resolved.

2. Purpose. An issue is a risk that has already occurred: it is managed, not analysed. The failure this prevents is the issue log used as a repository rather than a control — hundreds of open items, no owners, no dates, and the two that matter indistinguishable from the rest. Where that happens the organisation discovers its issues through their consequences.

3. Scope. Every credential holder identifying, owning, resolving, reporting or assuring issues on a project, programme or portfolio, including issues raised by suppliers, by users and by assurance, and including issues escalated from a concern under `PCI-PML-STD-12.02`.

4. Defined terms. *material* · *decision owner* · *escalation threshold* · *evidence* · *dependency* · *acceptance*. Additionally, **issue** means a risk that has occurred, or a present condition adversely affecting delivery; **resolution** means the recorded action that removed the issue or, where it was accepted, the recorded acceptance of its consequence by the authority entitled to accept it.

5. Required actions — process requirements.

- PCI-PML-STD-08.02-PR-01 — **Owner, date and consequence on entry.** Every issue must carry, at the point of recording, one named owner, a required resolution date and the stated consequence if it is not resolved by that date.
- PCI-PML-STD-08.02-PR-02 — **Ageing drives escalation.** Issues must be aged against their required resolution dates, and an issue past its date by the margin the escalation threshold states must be escalated to the named authority.
- PCI-PML-STD-08.02-PR-03 — **Closure states the resolution.** An issue may be closed only with a recorded statement of how it was resolved or, where the consequence was accepted, by whom and on what basis. Closure with no resolution statement does not satisfy this requirement.
- PCI-PML-STD-08.02-PR-04 — **Recurrence is analysed, not re-logged.** Where the same issue recurs within the period the governance sets, the credential holder must record it as a recurrence and route it to root-cause analysis under PCI-PML-STD-09.02, rather than opening an unconnected entry.

6. Prohibited actions. Closing an issue because it went quiet. Recording an issue with no owner or no date "pending assignment" beyond the period the governance allows. Re-logging a recurring issue as new. Accepting an issue's consequence on behalf of a party entitled to decide it. Downgrading an issue to a risk after it has occurred. Reporting an issue count without the ageing profile that gives it meaning.

7. Required evidence. The issue register with owner, raised date, required date, consequence, status and closure statement per entry; the ageing report per period; escalation records for overdue issues; the recurrence records and their routing to root-cause analysis; acceptance records for consequences accepted.

8. Responsible role. The named issue owner for each issue. The named credential holder leading the project, for operating the register, the ageing and the escalations.

9. Approval authority. The authority the escalation threshold names receives escalated issues. The consequence of an unresolved issue may be accepted only by the party that bears it, or by the authority the delegation schedule assigns; the project must not accept a consequence borne by an operating organisation or a user.

10. Independence requirement. Not applicable to issue ownership, which by design sits with the party able to act; independence attaches to the periodic review of closures, which must be sampled at each gate by a competent reviewer independent of the delivery organisation where the delegation schedule requires assurance.

11. Materiality or threshold. This standard states no issue count and no age limit. The organisation's governance sets the ageing margin that triggers escalation, the recurrence window and the closure review sample; this standard requires that they exist and are applied. Every issue is recorded regardless of size, because the ageing profile and the recurrence analysis both depend on a complete population. *Six-person internal project:* the register is the team's issue tracker with three extra fields, and the ageing report is a saved filter reviewed at the weekly meeting. *Multi-partner national programme:* each partner runs its own register, the programme holds the cross-partner issues explicitly with an owner named on the giving side, and the ageing profile is reported per partner so a single partner's backlog cannot be averaged away.

12. Exception and waiver. An exception permitting an issue to be closed without a resolution statement may be approved only by the authority the escalation threshold names, only where the issue is recorded as superseded by a specified change or decision, and only with that change or decision referenced. No exception permits closure by silence.

13. Escalation trigger. An issue past its required date by the documented margin. An issue whose owner declines ownership. A recurring issue at its second recurrence within the documented window. An issue whose consequence falls on a party that has not accepted it. An issue arising from a concern raised under `PCI-PML-STD-12.02` that has not been actioned.

14. AI application. AI may cluster issue text to detect recurrence, age the register and flag overdue items, propose owners from the routing history for human confirmation, detect issues with no consequence stated, and reconcile the register against defect, incident and change systems.

15. AI prohibition. An AI system must not own an issue, close one, accept a consequence, or determine that an issue is a recurrence for the purposes of `PR-04` — that determination is a judgement with a consequence, and a named human makes it.

16. AI verification. Sampling with a stated basis plus source tracing. Every AI-proposed recurrence cluster must be confirmed by a named human against both entries before it is treated as a recurrence. Each gate, a competent reviewer must draw a stated sample of closed issues and confirm the resolution statement against the evidence it cites.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of issue management as a lifecycle practice distinct from risk management · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 31000, Risk management — Guidelines* · relied on for: the distinction between an uncertain event and one that has occurred · **EXT-020** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **guidance, expressly not certifiable**; voluntary.
- **ISO** · *ISO 9001, Quality management systems — Requirements* · relied on for: the existence of a certifiable requirement to control nonconformity and to take corrective action · **EXT-033** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: voluntary unless imported; certification concerns a management system; this standard imports none of its requirements.

18. Jurisdictional caution. Some issues carry statutory reporting duties — safety incidents, data breaches, environmental events, regulatory breaches — with their own recipients and timescales that override any internal register. Obtain local legal advice on mandatory incident reporting for the sector and jurisdiction.

19. Related PCI Standards. `PCI-FND-STD-11`; `PCI-FND-STD-12`; `PCI-FND-STD-15`; `PCI-PML-STD-08.01`; `PCI-PML-STD-09.01`; `PCI-PML-STD-09.02`; `PCI-PML-STD-12.02`.

20. Related Body of Knowledge content. PML-AI · Domain 8 · KA 8.1 topic on issues as occurred risks; KA 8.4 crisis leadership. Also Domain 9 KA 9.3 nonconformance and root-cause analysis; Domain 4 KA 4.4 the decision log.

21. Compliance test. Compliance is demonstrated when a reviewer can extract the issue register and confirm that: (a) every open entry carries one named owner, a required resolution date and a stated consequence; (b) the ageing profile reported to governance in each period can be reproduced from the register by an independent query returning the same counts; (c) every entry past its required date by the documented margin has a matching escalation record; (d) every closed entry carries a resolution statement whose cited evidence can be retrieved; and (e) for a stated sample of recurring issues, a root-cause record exists. An open entry with no owner, or a closed entry with no resolution statement, fails the test.

22. Breach indicators. A register whose open count never changes. Closures clustering at period end. Owners recorded as functions. Issues with required dates in the past and no escalation. The same description appearing under four unconnected entries. An ageing profile reported as an average rather than as a distribution. Issues raised by users closed faster than issues raised by assurance.

23. Consequence within PCI authority. Correction required; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: which fields make an issue register a control rather than a list. Scenario judgement: an issue has been open past its date for three cycles and the owner has left the organisation. Calculation review: reproducing an ageing profile and identifying the two entries that carry the exposure.

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard** — the v1.0 set addressed risk and left issues to be inferred from it, which left the occurred-risk population ungoverned. Amendment note: none.

Domain 9 — Quality, Assurance and Continuous Improvement

PCI STANDARD

PCI-PML-STD-09.01

Quality Acceptance

1. Normative requirement. A credential holder must not record a deliverable as accepted unless a named acceptance authority has decided, against the version-identified acceptance criteria set before the deliverable was produced, that it conforms.

2. Purpose. Acceptance is the point at which risk transfers — from the producer to the organisation, and often from the project to an operating team who were not in the room. The failure this prevents is acceptance by default: the deliverable used, invoiced, or simply not objected to within a review window, and thereafter treated as accepted by everyone except the people who have to live with it.

3. Scope. Every credential holder producing, reviewing, testing, accepting or assuring a deliverable on a project, programme or portfolio, in every delivery model, including deliverables produced by suppliers and deliverables accepted on behalf of an operating organisation.

4. Defined terms. *acceptance · evidence · competent reviewer · independent · material · decision owner.* Additionally, **nonconformity** means a failure to meet an acceptance criterion; **carried nonconformity** means a nonconformity accepted with the deliverable, recorded with an owner and a date.

5. Required actions — process requirements.

- `PCI-PML-STD-09.01-PR-01` — **Criteria version-identified and predated.** The acceptance criteria applied must carry a version identifier and an agreement date earlier than the deliverable's production start, and the acceptance record must cite that version.
- `PCI-PML-STD-09.01-PR-02` — **Acceptance is a positive act.** Acceptance must be recorded as a dated decision by the named acceptance authority. Use of the deliverable, payment against it, and the expiry of a review period must not be recorded as acceptance.
- `PCI-PML-STD-09.01-PR-03` — **Nonconformities carried, not lost.** Every nonconformity known at acceptance must be recorded with a named owner, a due date and the consequence of non-closure, and must be reported until closed.
- `PCI-PML-STD-09.01-PR-04` — **The receiving party is in the decision.** Where a deliverable will be operated, maintained or used by an organisation other than the project, a named representative of that organisation must be recorded in the acceptance decision.
- `PCI-PML-STD-09.01-PR-05` — **Acceptance evidence retrievable.** The test, inspection or review evidence cited in an acceptance record must be retained and retrievable for the retention period the organisation sets, and the acceptance record must reference it specifically enough to retrieve it.

6. Prohibited actions. Accepting against criteria written after production. Recording acceptance because a review window expired. Accepting on behalf of an operating organisation that was not consulted. Closing a nonconformity by removing the criterion. Accepting a deliverable whose test evidence cannot be produced. Splitting a deliverable so each part falls below the acceptance authority's threshold.

7. Required evidence. The version-identified acceptance criteria with their agreement date; the acceptance record naming the authority, the date, the criteria version and the outcome; the nonconformity register with owners, dates and consequences; the receiving organisation's named representative in the record; the retained test, inspection or review evidence.

8. Responsible role. The named acceptance authority decides. The named credential holder leading the project answers for the completeness of the acceptance pack and for refusing to record an acceptance that was not decided.

9. Approval authority. The acceptance authority the delegation schedule names, by deliverable class. A carried nonconformity may be accepted only by the authority that bears its consequence. A supplier may never accept its own deliverable.

10. Independence requirement. The acceptance authority must be **independent of the production** of the deliverable in the sense defined above. Where the project both produces and accepts — common on small internal projects — the acceptance authority must sit outside the producing team and the arrangement must be recorded; and where the deliverable will be operated by another organisation, `PR-04` supplies the independence that a small structure cannot.

11. Materiality or threshold. This standard states no defect count and no pass rate. The organisation's governance sets the acceptance authority by deliverable class, the classes requiring independent test, the retention period and the tolerance for carried nonconformities; this standard requires that these exist and are applied. A nonconformity bearing on safety, a licence condition or a statutory duty is not carried under any tolerance — it is a mandatory precondition under `PCI-PML-STD-16.01`. *Six-person internal project:* the criteria are five lines per deliverable agreed at kick-off, acceptance is a dated line in the log signed by the receiving manager, and the evidence is the test output the team produced anyway. *Multi-partner national programme:* acceptance runs at component and integrated levels, the integrated acceptance names a representative of each receiving organisation, and the criteria are held against a common template so that a partner cannot accept against its own weaker set.

12. Exception and waiver. A deliverable may be accepted with an open nonconformity only where the nonconformity is recorded with an owner, a date and a consequence, and only by the authority bearing that consequence. No exception permits acceptance against criteria written after production, and no exception permits acceptance by expiry of a review window.

13. Escalation trigger. A deliverable presented with no pre-dated criteria. A receiving organisation that declines to be named in the acceptance. A nonconformity the project proposes to close by amending the criterion. Acceptance evidence that cannot be retrieved. Pressure to accept to release a payment milestone.

14. AI application. AI may check acceptance packs for missing criteria versions, missing evidence references and missing authorities; compare a deliverable against stated criteria and produce a candidate conformity assessment for human decision; age carried nonconformities; and detect acceptances recorded with no paired decision.

15. AI prohibition. An AI system must not accept a deliverable, decide conformity, close a nonconformity, or be recorded as the acceptance authority.

16. AI verification. Independent recomputation or re-test plus sampling with a stated basis. Where AI assessed conformity, a competent reviewer must independently re-perform the assessment on a stated sample of criteria and reconcile any difference before acceptance. Every AI-flagged nonconformity must be confirmed by a named human before it is recorded, and every AI-cleared criterion in the safety, licence or statutory subset must be re-checked in full rather than by sample.

17. External reference.

- **ISO** · *ISO 9001, Quality management systems — Requirements* · relied on for: the existence of a certifiable requirement to verify that outputs meet requirements before release · **EXT-033** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: **the certifiable member of its family**, but adoption is voluntary unless a contract or regulator requires it; a project is not certified against it; this standard imports none of its requirements and reproduces none of its text.
- **ISO** · *ISO 9000, Quality management systems — Fundamentals and vocabulary* · relied on for: the existence of an agreed vocabulary distinguishing conformity from nonconformity · **EXT-034**, **not independently verified — verify current requirements** · **Manual §6 category 3** · limitation: a vocabulary standard; **not certifiable**; voluntary.
- **ISO** · *ISO 10006, Quality management — Guidelines for quality management in projects* · relied on for: the existence of project-specific quality guidance · **EXT-035** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **guidelines, not requirements**; voluntary; not certifiable.

18. Jurisdictional caution. Whether acceptance has occurred, what it transfers, and what remedies survive it are contractual and statutory questions determined by the governing law — and in some sectors acceptance is regulated separately by a safety, health or licensing authority. Obtain legal advice before relying on an internal acceptance record in a commercial or regulatory position.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-12`; `PCI-PML-STD-01.03`; `PCI-PML-STD-05.01`; `PCI-PML-STD-05.02`; `PCI-PML-STD-16.01`; `PCI-PML-STD-16.02`.

20. Related Body of Knowledge content. PML-AI · Domain 9 · KA 9.1 Quality planning; KA 9.2 Assurance and control; KA 9.3 Acceptance, nonconformance and root-cause analysis. Also Domain 5 KA 5.4 verification and acceptance; Domain 16 KA 16.1 handover and commissioning.

21. Compliance test. Compliance is demonstrated when a reviewer can take a stated sample of deliverables recorded as accepted and, for each: (a) retrieve the criteria version the acceptance record cites and confirm its agreement date precedes the production start date; (b) find a dated decision by the named acceptance authority, who does not appear in the deliverable's authorship or production record; (c) retrieve the test, inspection or review evidence from the reference in the record; (d) find a named representative of the receiving organisation where one operates the deliverable; and (e) find every nonconformity known at acceptance in the register with an owner, a date and a consequence. An acceptance recorded with no decision, or with criteria post-dating production, fails the test.

22. Breach indicators. Acceptance dates identical to payment dates. Criteria versions issued the week of acceptance. Acceptance authorities who also appear as deliverable authors. Nonconformity registers that empty at handover. Receiving organisations first seeing a deliverable after acceptance. Evidence references that name a folder rather than a document.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Evidence selection: which artefacts establish that acceptance occurred. Scenario judgement: a supplier claims acceptance because the client used the deliverable for six weeks. Ethical dilemma: a leader is asked to accept a deliverable with an open safety nonconformity to release a payment milestone.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-09-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the positive-act rule, the receiving-party rule and the evidence-retrievability rule separated into process requirements; compliance test replaced with a five-part retrieval test.

PCI standard

`PCI-PML-STD-09.02`

Lessons Learned and Organisational Retention

1. Normative requirement. A credential holder must convert each lesson accepted from a review into a change to a named standing artefact — a process, a checklist, a template, an estimating basis, a criterion or a training item — with a named owner and a date.

2. Purpose. Lessons-learned processes are near-universal and largely ineffective, and the reason is structural rather than cultural: a lesson recorded in a repository nobody queries at the moment of decision has no route into behaviour. The failure this prevents is the well-run review whose output changes nothing, repeated on the next project by people who could not have found it.

3. Scope. Every credential holder conducting, contributing to, approving or assuring a retrospective, a post-implementation review, a post-project review or a root-cause analysis, on projects, programmes and portfolios, in every delivery model.

4. Defined terms. *evidence · decision owner · material · acceptance · competent reviewer.* Additionally, **standing artefact** means a document, model, template, checklist, criterion set or training item used on future work; **accepted lesson** means a lesson the review's approving authority has accepted as valid.

5. Required actions — process requirements.

- `PCI-PML-STD-09.02-PR-01` — **Each accepted lesson names its artefact.** Every accepted lesson must name the standing artefact it changes, the owner of that artefact and the date by which the change is made. A lesson recorded with no target artefact does not satisfy this requirement.
- `PCI-PML-STD-09.02-PR-02` — **Review separated from assessment.** A post-project or post-implementation review must be conducted separately from any individual performance assessment, and its record must not be used as evidence in one. Where the two are combined, the review's output is not evidence of compliance with this standard.
- `PCI-PML-STD-09.02-PR-03` — **Root cause where a defect recurs.** Where a defect, issue or nonconformity recurs within the window the governance sets, the credential holder must commission a root-cause analysis and must record its conclusion and the artefact change it produces.
- `PCI-PML-STD-09.02-PR-04` — **Retrieval at the point of decision.** The credential holder must record where each changed artefact is held and how a future project reaches it at the moment it makes the corresponding decision. A lesson retrievable only by searching a repository does not satisfy this requirement.

6. Prohibited actions. Closing a review with a list of observations and no artefact changes. Using a review to attribute blame. Recording a lesson as "implemented" when only the repository entry changed. Deferring root-cause analysis of a recurrence to the next project. Reporting a lesson count as evidence of learning.

7. Required evidence. The review record with attendance, method and accepted lessons; the artefact change record per accepted lesson with owner and date; the changed artefacts themselves, versioned; the root-cause analyses for recurrences with their conclusions; the retrieval route recorded for each changed artefact.

8. Responsible role. The named credential holder leading the project, for commissioning the review and for routing accepted lessons to artefacts. The named artefact owner, for making the change. The function that owns the standing artefact set, for its retrievability.

9. Approval authority. The review's approving authority accepts or rejects each lesson, with reasons. The artefact owner approves the change to their artefact. Neither may be the person whose work the lesson concerns, where the lesson attributes a cause to that work.

10. Independence requirement. A root-cause analysis under PR-03 must be led by a competent reviewer independent of the work in which the defect arose. A retrospective within an adaptive team may be facilitated internally, and independence attaches instead to the periodic sampling of artefact changes at gates.

11. Materiality or threshold. This standard states no lesson count and no reuse rate. The organisation's governance sets the recurrence window that triggers root-cause analysis, the review points in the lifecycle and the retention period for review records; this standard requires that they exist and are applied. Where an organisation measures the reuse of lessons, the credential holder must record the basis of the measure so that it is interpretable rather than decorative. *Six-person internal project:* one retrospective per iteration and one at closure; accepted lessons change the team's own checklist, which is the standing artefact, and retrieval is that the checklist is opened at the start of the next piece of work. *Multi-partner national programme:* reviews run per component with a programme-level synthesis; artefact owners sit in the enterprise function rather than in a partner, because a lesson lodged only in a supplier's method leaves with the supplier.

12. Exception and waiver. An exception permitting an accepted lesson to be recorded with no artefact change may be approved by the review's approving authority only where the lesson is recorded as project-specific and incapable of generalisation, with that reason stated. No exception permits a recurrence to go without root-cause analysis where the governance's window has been met.

13. Escalation trigger. A recurrence meeting the documented window. An artefact owner who declines the change. A lesson concerning a safety, licence or statutory matter. A review that cannot be held because the team has dispersed — which is itself a planning failure and is escalated as one.

14. AI application. AI may cluster a large lessons repository into recurring themes, propose candidate artefact targets for human decision, detect recurrences across issue and defect data, draft the change to a checklist or template for the artefact owner's approval, and test whether a proposed artefact change would have been retrievable at the decision point it targets.

15. AI prohibition. An AI system must not conduct the review, decide which lessons enter the standing process, accept or reject a lesson, or approve a change to a standing artefact. A review is partly an act of collective sense-making by the people who were there, and a generated summary is not that.

16. AI verification. Source tracing plus named approval. Every AI-produced theme must be traced by a named human to the underlying review entries before it is accepted as a lesson, and the artefact owner must approve the resulting change by name. Every AI-detected recurrence must be confirmed by a named human against both underlying records.

17. External reference.

- **ISO** · *ISO 9001, Quality management systems — Requirements* · relied on for: the existence of a certifiable requirement for corrective action addressing causes · **EXT-033** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: voluntary unless imported; certification concerns a management system; no requirement is imported here.
- **ISO** · *ISO 10006, Guidelines for quality management in projects* · relied on for: the existence of project-level improvement guidance · **EXT-035** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **guidelines, not requirements**; voluntary; not certifiable.
- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of lessons capture as a lifecycle practice · **EXT-028** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.

18. Jurisdictional caution. Review records can be disclosable in litigation, arbitration, a regulatory investigation or a public inquiry, and privilege rules differ by jurisdiction. Obtain legal advice before conducting a review into an event with legal or regulatory exposure, and never let that advice become a reason to hold no review.

19. Related PCI Standards. PCI-FND-STD-12; PCI-FND-STD-02; PCI-PML-STD-08.02; PCI-PML-STD-09.01; PCI-PML-STD-12.02; PCI-PML-STD-16.02.

20. Related Body of Knowledge content. PML-AI · Domain 9 · KA 9.4 Lessons learned, continuous improvement, data quality and AI-output quality · topic 9.4.1 lessons that change behaviour. Also Domain 16 KA 16.3 knowledge transfer and the post-project review.

21. Compliance test. Compliance is demonstrated when a reviewer can take the accepted lessons from every review held in the period and, for each: (a) name the standing artefact it targets; (b) open that artefact and find the change, in a version dated on or before the recorded due date; (c) follow the recorded retrieval route and reach the changed artefact from the decision point it targets, without searching a repository; and (d) for every recurrence meeting the documented window, find a root-cause analysis led by someone independent of the work concerned. Accepted lessons with no artefact change fail the test, however many were recorded.

22. Breach indicators. Lesson counts reported with no artefact-change counts. Review outputs that are lists of observations. The same lesson recorded on consecutive projects. Root-cause analyses led by the team that produced the defect. Artefact changes dated long after their due dates. Review records referenced in appraisal documents.

23. Consequence within PCI authority. Correction required; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a review produces eleven observations and the sponsor asks which of them are lessons. Evidence selection: which artefact proves a lesson changed behaviour. Calculation review: the reuse economics of a review, and where its value is actually lost.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes PML-LAW-09-02 v1.0 (*Organisational Learning*). Amendment note: renumbered, retitled and restructured; legislative drafting removed; the principal obligation changed from conducting reviews to **converting accepted lessons into named artefact changes**, which is the act that can be verified; retrieval at the point of decision added as an express process requirement.

Domain 10 — Procurement, Contracts and Supply Networks

PCI STANDARD

PCI-PML-STD-10.01

Procurement Fairness

1. Normative requirement. A credential holder must evaluate every tender, bid or proposal against the evaluation criteria and weightings published to bidders before submissions were received, and must not apply any criterion, weighting or consideration that was not published.

2. Purpose. Procurement is where delivery meets money, incumbency and relationships, and it is the process most exposed to the interest that decides quietly. The failure this prevents is the evaluation that reaches the intended answer through a criterion introduced afterwards, a weighting adjusted at moderation, or a clarification granted to one bidder and not to others.

3. Scope. Every credential holder specifying, running, evaluating, moderating, recommending, awarding or assuring a procurement, and every credential holder administering a contract in a way that affects competition — including framework call-offs, single-source justifications, extensions and variations that displace competition.

4. Defined terms. *conflict of interest* · *independent* · *evidence* · *decision owner* · *material* · *acceptance*. Additionally, **published criteria** means the evaluation criteria and weightings issued to all bidders before the submission deadline; **moderation** means the reconciliation of evaluators' individual scores into a panel position.

5. Required actions — process requirements.

- PCI-PML-STD-10.01-PR-01 — **Criteria and weightings published before submission.** The evaluation criteria and their weightings must be published to all bidders before the submission deadline, and must not be changed after it except by an addendum issued to all bidders with an extended deadline.
- PCI-PML-STD-10.01-PR-02 — **Individual scores recorded before moderation.** Each evaluator must record their own score and its written rationale against each published criterion before seeing any other evaluator's score, and those individual records must be retained.
- PCI-PML-STD-10.01-PR-03 — **Moderation changes are reasoned and retained.** Where moderation changes a score, the change and its reason must be recorded against the individual score it replaced. A

moderated score with no recorded reason does not satisfy this requirement.

- PCI-PML-STD-10.01-PR-04 — **Information symmetry.** Any clarification, correction or additional information given to one bidder that could affect a submission must be given to all bidders, and the record must show what was issued, to whom and when.
- PCI-PML-STD-10.01-PR-05 — **Panel interests cleared before evaluation.** Every panel member must have a declaration or a nil return recorded under PCI-PML-STD-01.03-PR-03 before evaluation begins, and a member with an interest in a bidder must be excluded under PCI-PML-STD-01.03-PR-07.

6. Prohibited actions. Introducing an unpublished criterion, including "fit", "confidence" or "deliverability", unless it was published. Adjusting weightings after submissions. Moderating to a predetermined outcome. Giving one bidder information not given to others. Allowing an evaluator with an interest to score, moderate, chair or ratify. Accepting hospitality, employment discussion or any benefit from a bidder during a live procurement. Splitting a requirement to avoid a competition threshold.

7. Required evidence. The published criteria and weightings with their issue date; the individual evaluator score sheets with rationales and timestamps; the moderation record showing each change and its reason; the clarification log showing symmetric issue; the panel interests record; the award recommendation and the award decision with its authority; the debrief records issued to unsuccessful bidders where applicable.

8. Responsible role. The named credential holder running the procurement, for the process. Each named evaluator, for their own scores and declarations. The named award authority, for the award.

9. Approval authority. The award authority the delegation schedule assigns, applying the aggregation rule where a series of call-offs or extensions aggregates. A single-source or direct-award justification must be approved by the authority the schedule names for the aggregate value, never by the requesting project alone.

10. Independence requirement. Every evaluator must be independent of every bidder in the sense defined above. The moderation chair must be independent of the requesting project where the delegation schedule requires it. Assurance of the procurement must be provided by a competent reviewer independent of the panel and of the requesting project, and must satisfy the name-matching test in PCI-PML-STD-01.03-PR-06.

11. Materiality or threshold. This standard states no value threshold and no minimum bidder count. The organisation's governance — and, in the public sector, the applicable procurement regime — sets the competition thresholds, the award authorities, the aggregation rule and the standstill or debrief obligations; this standard requires that the documented rules exist and are applied and that no requirement is split to fall below one. *Six-person internal project:* a single quotation exercise with three suppliers, criteria of four lines sent with the request, individual scores recorded in a shared sheet before discussion, and the leader's own declaration recorded before scoring begins. *Multi-partner national programme:* multiple concurrent competitions with evaluators drawn from several organisations; the interests register runs across all of them, the aggregation rule states whether call-offs across partners aggregate, and the assurance reviewer is independent of every partner rather than of one.

12. Exception and waiver. A departure from competition — single source, direct award, extension — may be approved only by the authority the delegation schedule assigns to the aggregate value, only on a written justification stating the ground, the alternatives considered and the period, and only where the justification is retained and reported. **No exception is permitted** to `PR-01`, `PR-02` or `PR-05`: criteria published after submissions, scores recorded after moderation, and undeclared panel interests are breaches in every case.

13. Escalation trigger. A proposal to change criteria or weightings after submissions. An evaluator's interest disclosed after scoring has begun. Information given to one bidder only. A moderation outcome that reverses the individual scores with no recorded reason. A bidder's approach to an evaluator outside the process. A series of call-offs aggregating above the award authority.

14. AI application. AI may check submissions for completeness against the published requirements, extract stated commitments for evaluator verification, compute weighted scores from evaluator inputs, detect divergence between individual and moderated scores, and check the clarification log for asymmetric issue.

15. AI prohibition. An AI system must not score a submission on a qualitative criterion in place of a named evaluator, decide an award, moderate scores, or determine that a bidder is non-compliant. Where AI produces a ranking, it has produced a recommendation, and the award is a reserved decision class under `PCI-PML-STD-01.02-PR-01`.

16. AI verification. Independent recomputation plus source tracing. Every weighted score computed with AI assistance must be recomputed by hand before the recommendation is issued. Every extracted commitment must be traced by a named evaluator to the page and version of the submission it came from before it is scored. Where AI screened submissions for compliance, a competent reviewer must re-check in full every submission the system would exclude.

17. External reference.

- **FIDIC** · *FIDIC suite of conditions of contract* · relied on for: the existence of standard-form contractual structures a procurement may adopt · **EXT-050** · **Manual §6 category 4 — contract framework** · currency checked 2026-08-03 · limitation: **binds only the parties who adopt it, by signature**; characterised generically, no clause numbers cited, no text reproduced; it is not legislation.
- **NEC** · *NEC4 suite of contracts* · relied on for: the existence of an alternative standard-form structure with its own change and notification mechanics · **EXT-051** · **Manual §6 category 4** · currency checked 2026-08-03 · limitation: as above.
- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of procurement within delivery practice · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **Project Management Institute** · *Code of Ethics and Professional Conduct* · relied on for: the existence of a professional expectation of fairness and impartiality in supplier dealings · **EXT-063**, **not independently verified — verify current requirements** · **Manual §6 category 6 — ethical code** · limitation: binding only where a body, regulator or engagement has adopted it.

18. Jurisdictional caution. Public-procurement law, subsidy control, competition law, anti-bribery law and sector regulation impose binding, jurisdiction-specific rules on advertising, thresholds, standstill periods, debriefs, remedies and record-keeping, and breach can void an award or engage criminal liability. **This standard does not state any of those rules and compliance with it is not compliance with them.** Obtain local legal advice before running a regulated procurement.

19. Related PCI Standards. `PCI-FND-STD-08`; `PCI-FND-STD-09`; `PCI-FND-STD-01`; `PCI-PML-STD-01.03`; `PCI-PML-STD-03.02`; `PCI-PML-STD-04.01`; `PCI-PML-STD-09.01`.

20. Related Body of Knowledge content. PML-AI · Domain 10 · KA 10.1 Make-or-buy and the procurement lifecycle; KA 10.2 Tendering and evaluation; KA 10.3 Contract strategy and supplier governance; KA 10.4 Claims, change and disputes; ethical sourcing; supply resilience.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) retrieve the published criteria and weightings and confirm their issue date precedes the submission deadline; (b) retrieve every evaluator's individual score sheet and confirm each carries a rationale and a timestamp preceding the moderation meeting; (c) recompute the moderated result from the individual scores and the published weightings, and account for every difference by a recorded moderation reason; (d) confirm every clarification in the log was issued to all bidders; and (e) confirm every panel member has a declaration or nil return dated before evaluation began. A criterion in the evaluation that does not appear in the published set fails the test outright, whatever the merits of the winning bid.

22. Breach indicators. Moderated scores that reverse the individual ranking with brief or absent reasons. Criteria documents with version dates after the deadline. Clarifications issued to one bidder. Panel interests registers with no entries in a market with a long-standing incumbent. Award values clustering just below a competition threshold. Evaluators who scored and then joined the winning bidder. Debriefs that describe criteria the bidders were never given.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal of the PML-AI credential — each subject to due process and a right of appeal. **PCI cannot set aside an award, impose a fine or create any legal liability**; those consequences, where they exist, arise under the applicable procurement or criminal law and not under this standard.

24. Examination application. Ethical dilemma: at moderation the chair proposes to add a "deliverability" adjustment that was not published. Evidence selection: which artefacts would establish that an evaluation was fair. Scenario judgement: an evaluator discloses, after scoring, that they have been approached about a role with a bidder.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-10-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; individual-scores-before-moderation, reasoned moderation changes, information symmetry and panel-interest clearance separated into process requirements; the link to `PCI-PML-STD-01.03` made explicit, which is the change that gives this standard an enforceable rule about who is barred from scoring; consequence field corrected to state expressly what PCI cannot do.

Domain 11 — Stakeholders, Communication and Influence

PCI STANDARD

PCI-PML-STD-11.01

Stakeholder Transparency

1. Normative requirement. A credential holder must not issue, endorse or allow to stand a report or communication about delivery status that omits a material adverse fact known to them at the time of issue.

2. Purpose. Reporting is where every other control either works or is neutralised, because a control that detects a problem and a report that omits it produce the same outcome as no control at all. The failure this prevents is the technically true report: every figure correct, every omission deliberate, and the reader left with a false picture they could not have detected.

3. Scope. Every credential holder preparing, approving, presenting or assuring a status report, dashboard, board paper, briefing or external communication about a project, programme or portfolio, and every credential holder who becomes aware that an issued report is materially misleading.

4. Defined terms. *material* · *evidence* · *decision owner* · *sponsor* · *escalation threshold* · *baseline* (control sense). Additionally, **materially misleading** means capable of causing a recipient reading it in the ordinary course of their role to form a view of status, risk or forecast that the known facts do not support; **status report** means any recurring or ad hoc statement of delivery position issued to a decision-maker.

5. Required actions — process requirements.

- PCI-PML-STD-11.01-PR-01 — **Adverse facts appear in the same document as the good ones.** A material adverse fact must appear in the report itself, not only in an appendix, a footnote, a verbal briefing or a separate document sent to a narrower list.
- PCI-PML-STD-11.01-PR-02 — **Status colours are defined and derived.** Where a report uses a rating, colour or index, its derivation rule must be documented and the reported value must follow it. A rating set by judgement against a documented rule must record the override, its reason and its author.
- PCI-PML-STD-11.01-PR-03 — **One version of status.** The credential holder must not issue different status positions to different audiences for the same period; where audiences require different depth, the underlying position must be identical and the difference must be one of detail only.
- PCI-PML-STD-11.01-PR-04 — **Correction of an issued report.** On discovering that an issued report was materially misleading, the credential holder must issue a correction to every recipient of the original, within the time the escalation threshold states.
- PCI-PML-STD-11.01-PR-05 — **Refusal is recorded.** Where the credential holder is instructed to issue a report they consider materially misleading, they must record the instruction, record their objection in

writing, and escalate under `PCI-FND-STD-11`; they must not issue it in their own name.

6. Prohibited actions. Removing an adverse item because a decision on it is expected shortly. Reporting a rating that the documented rule does not produce, without recording the override. Briefing the sponsor on a position the board paper does not contain. Presenting a forecast as a range whose stated bounds exclude the outcome currently most likely. Attributing an omission to space. Allowing an issued report known to be misleading to stand uncorrected.

7. Required evidence. Issued reports with their dates, versions and distribution lists; the rating derivation rule and the override records; the correction notices with their distribution; the record of any instruction to report otherwise and the objection raised; the escalation record.

8. Responsible role. The named credential holder who issues or endorses the report. The **sponsor**, for the position communicated to the governing body. Neither may attribute the report to "the project".

9. Approval authority. The report's named approver, as the governance arrangements set. A rating override may be approved only by the named authority the derivation rule identifies. Nobody may approve the omission of a material adverse fact.

10. Independence requirement. Not applicable to routine status reporting, which is properly prepared by the delivery organisation; independence attaches at gates, where a competent reviewer independent of the delivery organisation must be able to reach a status position from the underlying data and compare it with the reported one.

11. Materiality or threshold. This standard states no variance percentage. Materiality is decided by the definition above, applied against the decisions the report informs, and the organisation's governance sets the reporting tolerances, the rating derivation rule and the correction time; this standard requires that these exist and are applied. **A fact bearing on safety, legality, a licence or a statutory duty is material at any size** and no tolerance excludes it. *Six-person internal project:* a weekly half-page with a stated rating rule of three lines and one distribution list, corrected by replying to the same thread. *Multi-partner national programme:* a consolidated report whose derivation rule states how component ratings combine — and states explicitly that a component's adverse item is not averaged away by others — with the same underlying position issued at every level and the depth varying, not the substance.

12. Exception and waiver. An adverse fact may be withheld from a wider distribution only where its disclosure would breach a legal duty of confidence, prejudice a legal position on written legal advice, or disclose personal data unlawfully — and in every such case it must still be disclosed to the sponsor and to the governing body, with the ground for the restriction recorded. **Commercial embarrassment, an expected fix and the imminence of a decision are not grounds.**

13. Escalation trigger. An instruction to omit or soften a material adverse fact. A rating override that the derivation rule does not support. Discovery that an issued report is materially misleading. A divergence between the position briefed verbally and the position reported. A supplier's refusal to supply status data needed for a complete report.

14. AI application. AI may draft status narrative from underlying data, reconcile the narrative to the data and flag statements the data does not support, compute ratings from the documented derivation rule, compare successive reports for items that disappeared, and check distribution consistency across audiences.

15. AI prohibition. An AI system must not approve or issue a report, decide whether a fact is material, set a rating that overrides the documented rule, or generate a status narrative that is issued without a named human's verification against the underlying data.

16. AI verification. Reconciliation plus clause-to-summary comparison. Before issue, the credential holder must reconcile every figure in an AI-drafted report to its source system extract, with the extract date recorded, and must compare each summarised statement against the source it summarises to confirm it carries the same position **including its qualifications** — the failure mode of generated narrative being the quiet loss of a caveat. Ratings computed with AI assistance must be recomputed against the derivation rule by hand.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of reporting and information management within delivery practice · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 21505, Guidance on governance* · relied on for: the existence of an information flow from delivery to the governing body · **EXT-032, not independently verified** · **Manual §6 category 3** · limitation: as above, with an open verification status.
- **Project Management Institute** · *PMBOK Guide* · relied on for: the existence of performance reporting in professional practice · **EXT-060** · **Manual §6 category 5 — professional framework** · currency checked 2026-08-03 · limitation: **never regulatory authority**; no edition asserted; no text reproduced.

18. Jurisdictional caution. Statements about a project can engage listed-company disclosure duties, prospectus and market-abuse rules, grant-condition reporting, public-inquiry duties and fraud law, and the threshold for a legally material statement is not the same as the professional one used here. Obtain legal advice before any statement about delivery status is made outside the organisation.

19. Related PCI Standards. `PCI-FND-STD-11` (the parent escalation obligation); `PCI-FND-STD-02`; `PCI-FND-STD-15`; `PCI-FND-STD-14`; `PCI-PML-STD-06.01`; `PCI-PML-STD-07.01`; `PCI-PML-STD-08.01`; `PCI-PML-STD-12.01`. **What this standard adds to `PCI-FND-STD-11`:** the foundational standard requires a material misstatement to be escalated. This standard adds the delivery-specific mechanics by which honest figures produce a dishonest picture — **same-document disclosure**, a **documented rating derivation with recorded overrides**, **one version of status across audiences**, a **correction duty to the original distribution**, and a **recorded refusal**.

20. Related Body of Knowledge content. PML-AI · Domain 11 · KA 11.1 Stakeholder systems and engagement strategies; KA 11.2 Executive communication and reporting; KA 11.4 Public and community stakeholders, cross-cultural communication and AI-generated communication risk. Also Domain 3 KA 3.3 the decision record.

21. Compliance test. Compliance is demonstrated when a reviewer can, for a stated sample of reporting periods: (a) rebuild the reported rating from the documented derivation rule and the period's underlying data, and account for every difference by a recorded override with a named author; (b) list the material adverse facts recorded in the risk, issue, change and cost records in that period and find each one in the report itself rather than in a separate document; (c) compare every version of the period's report issued to different audiences and confirm that the underlying position is identical; and (d) for every correction issued, confirm its distribution matched the original's. A material adverse fact present in the underlying records and absent from the report fails the test.

22. Breach indicators. Ratings that stay green until the period before a gate. Adverse items appearing first in an appendix. Two decks for the same period with different messages. Corrections issued to a narrower list than the original. Overrides recorded with no author. Reports whose figures cannot be reproduced from the source systems. A pattern of items disappearing between draft and issue.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Ethical dilemma: the sponsor asks for an adverse item to be held for one cycle because a fix is expected. Evidence selection: which artefacts establish that a report was complete. Calculation review: rebuilding a status rating from its derivation rule and identifying the unrecorded override.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-11-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the same-document rule, the rating derivation rule, the one-version rule, the correction duty and the recorded refusal separated into five process requirements; compliance test replaced with a rebuild-and-compare test performed from source records.

Domain 12 — Leadership, Teams and Organisational Behaviour

PCI STANDARD

PCI-PML-STD-12.01

Leadership Conduct

1. Normative requirement. A credential holder must not use their authority to cause another person to prepare, sign, present or withhold a professional statement that the person has told them, or has recorded, is inaccurate or incomplete.

2. Purpose. Leadership conduct standards fail when they are written as character requirements, because character cannot be audited and an unverifiable requirement is not a requirement. This standard is therefore drafted around the single leadership act that is both observable and gravely damaging: **the use of positional authority to override another professional's judgement about their own work.** Every reporting, estimating, scheduling and assurance control in this set depends on the person nearest the facts being able to state them; this standard protects that, and leaves inspiration to the Body of Knowledge.

3. Scope. Every credential holder exercising authority over another person's professional output — line, project, matrix, contractual or client-side — including over supplier staff, seconded staff and assurance staff, and including instructions given verbally.

4. Defined terms. *material · evidence · decision owner · competent reviewer · detriment · independent.* Additionally, **professional statement** means an estimate, forecast, schedule, assessment, opinion, test result, assurance conclusion or status report issued by a person in their professional capacity; **override** means a leader's decision to issue a different position from the one the preparer holds.

5. Required actions — process requirements.

- `PCI-PML-STD-12.01-PR-01` — **Overrides are recorded in writing.** Where a credential holder issues a professional statement different from the preparer's position, they must record the change, their reason and their own name, and must not present the result as the preparer's position.
- `PCI-PML-STD-12.01-PR-02` — **The preparer's position travels with the output.** The preparer must be able to record their own position, and that record must accompany the output to the decision-maker. Removing, summarising away or declining to transmit a preparer's recorded position does not satisfy this requirement.
- `PCI-PML-STD-12.01-PR-03` — **Attribution is accurate.** Analysis, drafting and professional conclusions must be attributed to the person who produced them, and a credential holder must not sign as preparer, author or reviewer of work they did not perform.
- `PCI-PML-STD-12.01-PR-04` — **Assessment against criteria set in advance.** Where a credential holder contributes to a performance assessment of a team member, the assessment must be recorded against criteria set before the period assessed. An assessment altered after the person raised a concern is subject to `PCI-PML-STD-12.02-PR-04`.

- PCI-PML-STD-12.01-PR-05 — **First adverse report acknowledged in writing.** A material adverse fact reported to the credential holder by a team member must be acknowledged in writing within the time the governance sets, with a recorded statement of what will be done about it and by whom.

6. Prohibited actions. Instructing a person to change a professional statement they have recorded as accurate, without recording the override in one's own name. Removing a preparer's recorded position from a pack. Signing as author or reviewer of work one did not do. Attributing a team member's analysis to oneself. Assessing a person against criteria introduced after the period. Responding to a first report of bad news by questioning the reporter's competence in place of addressing the fact.

7. Required evidence. Override records with the changed position, the reason and the leader's name; preparers' recorded positions as transmitted to decision-makers; authorship and sign-off records; the performance-assessment criteria with their date of setting; the written acknowledgements of adverse reports with their response statements and dates.

8. Responsible role. The named credential holder exercising the authority. Where the instruction comes from above the credential holder, the credential holder's obligation is to record it and escalate under PCI-FND-STD-11, not to transmit it.

9. Approval authority. A credential holder may override a professional statement within their own authority and must record it. They must not approve the removal of the preparer's recorded position; only the receiving decision-maker may decide that they do not need it, and that decision is itself recorded.

10. Independence requirement. Where an override concerns an assurance conclusion, a test result or a safety assessment, the override must be reviewed by a competent reviewer independent of both the leader and the preparer before the statement is issued. For estimates, forecasts and schedules, independence attaches at gates under the standard governing that artefact.

11. Materiality or threshold. This standard sets no number. The organisation's governance sets the time for acknowledging an adverse report and the classes of statement whose override requires independent review; this standard requires that both exist and are applied. Every override of a professional statement is recorded regardless of size, because the pattern of overrides is the evidence, and a threshold would remove the population that reveals it. *Six-person internal project:* the override record is a line in the same document with the leader's name and a sentence of reason; the acknowledgement is a reply within one working day. *Multi-partner national programme:* the same obligation attaches at each tier and across organisational boundaries, and the partner agreement states that a client-side leader's override of a supplier's professional statement is recorded in the client's record — the case where an override is otherwise invisible because it crossed a contract.

12. Exception and waiver. No exception is permitted to the principal obligation. An exception to `PR-02` — not transmitting the preparer's recorded position — may be granted only by the receiving decision-maker, in writing, and the fact that a position exists and was not transmitted must still be disclosed to them.

13. Escalation trigger. An instruction from any level to change a professional statement the preparer holds to be accurate. A preparer's position removed from a pack. A request to sign as author of work one did not do. An assessment altered after a concern was raised. An adverse report unacknowledged beyond the documented time.

14. AI application. AI may compare successive document versions and surface changes to professional conclusions, check that authorship metadata matches recorded sign-offs, age adverse reports against the acknowledgement time, and flag assessments whose criteria post-date the period assessed.

15. AI prohibition. An AI system must not override a professional statement, decide that an override is justified, author a professional statement attributed to a named person, or determine whether an adverse report requires action.

16. AI verification. Clause-to-summary comparison plus named approval. Where AI produced a summary of a professional statement for a decision pack, a named human must compare the summary against the statement and confirm it carries the same position and the same qualifications; and the preparer must confirm by name that the transmitted summary is theirs before it is issued as such.

> **17. External reference.**
>
> - **Project Management Institute** · *Code of Ethics and Professional Conduct* · relied on for: the existence of professional expectations of honesty, responsibility, respect and fairness · **EXT-063**, **not independently verified — verify current requirements** · **Manual §6 category 6 — ethical code** · limitation: binding only where a body, regulator or engagement has adopted it; a PCI credential holder not subject to it is not made subject to it by this standard; no text is reproduced.
> - **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of leadership and team-development activity within delivery practice · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.

- **ISO** · *ISO 45001, Occupational health and safety management systems — Requirements* · relied on for: the existence of a certifiable management-system standard within which worker consultation and participation are addressed · **EXT-123** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: certifiable, but voluntary unless required by contract or regulator; this standard imports none of its requirements.

18. Jurisdictional caution. Employment law, collective agreements, professional-body rules and, in regulated professions, statutory duties govern what may be required of a professional and what protection they have when they refuse. Obtain local legal and human-resources advice before acting on an override dispute involving an employee, a contractor or a regulated professional.

19. Related PCI Standards. `PCI-FND-STD-13`; `PCI-FND-STD-01`; `PCI-FND-STD-10`; `PCI-FND-STD-11`; `PCI-PML-STD-11.01`; `PCI-PML-STD-12.02`.

20. Related Body of Knowledge content. PML-AI · Domain 12 · KA 12.1 Leadership theories in practice and emotional intelligence; KA 12.3 Delegation, coaching and difficult conversations; KA 12.4 Remote and multicultural teams, ethical leadership. Also Domain 1 KA 1.2 the professional standard of care; Domain 11 KA 11.3 negotiation and conflict.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) take a stated sample of professional statements issued in the period and, for each whose final position differs from the preparer's earlier version in the document history, find an override record carrying the leader's name and a reason; (b) confirm that the preparer's recorded position accompanied the output to the decision-maker, or that a written exception from the decision-maker exists disclosing that a position was withheld; (c) match authorship and sign-off records and find no statement signed by a person who did not perform the work; (d) confirm every performance-assessment criteria set in the period is dated before the period it assesses; and (e) compute, for a stated sample of adverse reports from team members, the elapsed time to written acknowledgement and confirm it is within the documented time. A changed professional conclusion with no override record fails the test.

22. Breach indicators. Document histories in which a preparer's figures change with no override record. Packs in which the preparer's caveats appear in early versions and not in the issued one. Sign-offs by people with no editing history on the document. Assessment criteria dated at the end of the period. Adverse reports with no acknowledgement. A pattern of estimates revised downward in the version immediately before issue.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal of the PML-AI credential — each subject to due process and a right of appeal.

24. Examination application. Ethical dilemma: a leader is instructed by a director to reissue a supplier's schedule with a completion date the supplier's planner has recorded as unachievable. Evidence selection: which artefacts would establish that an override occurred. Scenario judgement: a preparer asks for their dissent to be recorded and the leader considers it unhelpful to the decision.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-12-01` v1.0. Amendment note: renumbered, restructured and **substantially rewritten**. The v1.0 standard stated general conduct expectations that could not be audited — audit questions 5 and 6 both failed — and the principal obligation has been replaced with the single observable act of overriding another person's professional statement, supported by five process requirements each of which leaves a record.

PCI standard

`PCI-PML-STD-12.02`

Route to Raise a Concern and Freedom from Detriment

1. Normative requirement. A credential holder leading delivery must establish, publish and operate a route by which any person working on or for the project may raise a concern to a named recipient who is neither the subject of the concern nor in the subject's reporting line.

2. Purpose. Every control in this set consumes voluntary upward information. Risk identification, nonconformance reporting, interface issues and escalation lead time all fail silently in the same way when people learn that raising a problem is penalised, and the leader becomes the last person on the project to know. **This standard does not require a state of mind and does not require a leader to produce a feeling in another person.** A state of mind cannot be observed, cannot be audited and cannot be breached, so a standard written around one would be an aspiration wearing a standard's clothing — the exact defect the Drafting Manual prohibits. What this standard requires instead is three things that are entirely observable: **a route that goes around the person the concern is about**, **the absence of detriment to the person who used it**, and **a record showing the concern was answered.** Those are the conditions under which candour is possible; whether candour then occurs is a matter of leadership and is taught, not legislated.

3. Scope. Every credential holder leading a project, programme or portfolio team, including distributed, multicultural, seconded, contracted and supplier teams, and including concerns raised anonymously or through a third party. It applies to concerns about delivery, conduct, safety, legality and the accuracy of reporting. It does not displace an employer's statutory whistleblowing, grievance or safety-reporting arrangements, which run in parallel and take precedence where they apply.

4. Defined terms. *concern · concern route · detriment · evidence · material · independent · decision owner*. Additionally, **subject of a concern** means the person or organisation whose act, omission or decision the concern is about; **lookback window** means the period after a recorded concern during which an act meeting the definition of detriment against the person who raised it requires the review in `PR-04`.

5. Required actions — process requirements.

- `PCI-PML-STD-12.02-PR-01` — **A published route with named recipients.** The credential holder must publish, to everyone working on or for the project, a route naming **at least two** recipients, the method of reaching each, what happens after a concern is raised, and the time within which a response is given. A route that names a role with no person, or that exists only in a policy nobody on the project has been given, does not satisfy this requirement.
- `PCI-PML-STD-12.02-PR-02` — **The bypass property.** For every person working on the project, at least one published recipient must be a person who is neither their line manager, nor in their reporting line, nor — where the concern is about the project leader — the project leader. The credential holder must be able to demonstrate this property person by person, and must add a recipient where it fails.
- `PCI-PML-STD-12.02-PR-03` — **A concern register with mandatory fields.** Every concern raised through the route must be recorded with: the date raised; the route used; whether the subject of the concern was a recipient of it (which must be recorded, and must be "no"); the substantive response given; the decision taken; the date closed; and the name of the person who responded. An entry missing any field is not a compliant record.
- `PCI-PML-STD-12.02-PR-04` — **No detriment, and any act resembling one is justified and reviewed.** The credential holder must not subject a person to detriment for raising a concern. Where an act meeting the definition of *detriment* falls on a person who raised a concern within the documented lookback window, the act must not take effect until: a written justification exists stating the grounds and the evidence; the decision is taken by a person who is **not** the subject of the concern; and a

competent reviewer independent of both parties has reviewed the justification and recorded their conclusion.

- PCI-PML-STD-12.02-PR-05 — **Anonymity is not defeated.** The credential holder must not attempt, and must not permit any person or system to attempt, to identify the author of an anonymous concern, and must not use monitoring, communications analysis or people analytics to identify or profile people who raise concerns.
- PCI-PML-STD-12.02-PR-06 — **The countable indicator is reported.** Each reporting period the credential holder must report the proportion of issues in the period that were **discovered by assurance, testing or audit** rather than **reported by the team**, and must treat a sustained rise in that proportion as an issue under PCI-PML-STD-08.02 with a named owner. This is a count drawn from records the project already produces, and it is the one indicator of reporting health that does not depend on anybody's self-report.

6. Prohibited actions. Requiring concerns to be raised only through the person they are about, or only through a line manager. Responding to a concern by assessing the person who raised it. Subjecting a person to detriment for raising a concern. Attempting to identify an anonymous reporter. Closing a concern with no substantive response. Recording a concern only where it turned out to be correct. Treating dissent recorded in a review as disloyalty. Using a survey result as a substitute for operating the route.

7. Required evidence. The published route, with evidence of its distribution to everyone working on the project and the date; the bypass demonstration mapping each person to at least one qualifying recipient; the concern register with all seven fields per entry; the justification, decision and independent review record for any act meeting the definition of detriment inside the lookback window; the period-by-period indicator under PR-06 and its trend.

8. Responsible role. The named credential holder leading the project, for establishing, publishing and operating the route and for the register. The named recipients, for responding. The employing organisation's designated function, for statutory whistleblowing and grievance matters, which this standard does not displace.

9. Approval authority. The sponsor approves the route and its recipients, and approves any change to them. The governing body approves the route where the project leader is a possible subject. **No act falling within PR-04 may be approved by the subject of the concern**, and no approval by the credential holder cures that.

10. Independence requirement. At least one published recipient must be independent of the project's delivery line. The reviewer of a justification under PR-04 must be independent of both the person who raised the concern and its subject, and must not be the person who decided the act. Where an allegation of detriment is made, the investigation must be conducted by a person independent of the project.

11. Materiality or threshold. This standard states no number of concerns, no target and no score, and any of those would be actively harmful: a concern target invites manufactured concerns and a survey score invites managed answers. **A survey result is not evidence of compliance with this standard, and a low score is not evidence of breach** — the evidence is the route, the register and the detriment review. The organisation's governance sets the response time, the lookback window and the reporting period; this standard requires that they exist and are applied. Where the organisation sets no lookback window, the credential holder must apply the period to the end of the project or twelve months, whichever is shorter, and record that they did so in the absence of a documented window. **That period is also the floor.** A documented lookback window shorter than it does not satisfy this standard, because a window an organisation can set to a fortnight is a protection the organisation can switch off; where the documented window is shorter, the credential holder applies the floor and records that they did so. *Six-person internal project:* two named recipients — the project leader and one named manager outside the team — a one-page route sent to all six on day one, and a register that may hold no entries for months. The bypass demonstration is six lines. **A register with no entries is not a breach**; a register with no entries alongside a rising PR-06 indicator is the thing to investigate. *Multi-partner national programme:* recipients named in each employing organisation plus one at programme level who is independent of every partner, because a supplier's engineer with a concern about the client's schedule has no usable route inside their own employer; the register is held at programme level with partner-level extracts; and the PR-06 indicator is reported per partner, because averaging conceals the one partner whose team has stopped reporting.

12. Exception and waiver. No exception is permitted to PR-02, PR-04 or PR-05. An exception to the response time in PR-01 may be granted by the sponsor where an investigation genuinely requires longer, provided the person who raised the concern is told, in writing, that it is being handled and when they will hear. Confidentiality of an investigation is not a ground for giving no response at all.

13. Escalation trigger. Any act meeting the definition of detriment against a person who raised a concern. Any attempt to identify an anonymous reporter. A concern about the project leader, the sponsor or a governing-body member — which is escalated outside the project on receipt. A concern that discloses a safety, legal or regulatory matter. A sustained rise in the PR-06 indicator. A concern unanswered beyond the documented time.

14. AI application. AI may age the concern register against the response time and flag overdue entries, check entries for missing mandatory fields, compute and trend the PR-06 indicator from issue and assurance data, and summarise the themes of closed concerns for governance in aggregate form.

15. AI prohibition. An AI system must not identify or attempt to identify the author of an anonymous concern, score or profile individuals on attitude, engagement, sentiment or dissent, determine the outcome of a concern, decide whether an act constitutes detriment, or triage concerns so that some receive no human response. Sentiment or communications analysis must not be used on project communications for the purpose of locating dissent.

16. AI verification. Sampling with a stated basis plus independent recomputation. Each reporting period, a competent reviewer must draw a stated sample of concern entries and confirm against the underlying correspondence that the recorded response was given, was substantive, and came from the named responder; and must recompute the PR-06 indicator by hand from the issue and assurance records for one period and reconcile it to the reported figure. Where any people-analytics tool is in use anywhere on the project, the credential holder must obtain and retain a written confirmation of its data sources and verify that concern-route data is not among them.

17. External reference.

- **ISO** · *ISO 45003, Occupational health and safety management — Psychological health and safety at work — Guidelines* · relied on for: the existence of psychosocial risk as a recognised subject within occupational health and safety management · **EXT-124** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: **guidance, not a requirements standard — nothing can be certified against it**, and no obligation in this standard derives from it. It is named because a reader will expect it to be addressed, and the correct treatment is to say what it is.
- **ISO** · *ISO 45001, Occupational health and safety management systems — Requirements with guidance for use* · relied on for: the existence of a certifiable management-system standard addressing worker consultation, participation and protection from reprisal · **EXT-123** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: certifiable, but adoption is voluntary unless a contract or regulator requires it; this standard imports none of its requirements.
- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of team development and working environment within delivery practice · **EXT-028** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.

18. Jurisdictional caution. Whistleblower protection, mandatory internal reporting channels, works- council consultation, employee monitoring, data-protection and anti-retaliation law differ sharply by jurisdiction and frequently impose obligations stricter and more specific than this standard — including on who may receive a report, how it must be handled, what records may be kept and for how long. **Obtain local legal advice before establishing a concern route, an anonymous channel, a register or any monitoring arrangement**, and where the applicable regime imposes a higher obligation, that regime governs.

19. Related PCI Standards. `PCI-FND-STD-11` (the parent duty to escalate); `PCI-FND-STD-01`; `PCI-FND-STD-09`; `PCI-PML-STD-08.02`; `PCI-PML-STD-09.02`; `PCI-PML-STD-12.01`; `PCI-PML-STD-14.01`. **What this standard adds to `PCI-FND-STD-11`:** the foundational standard creates a duty to escalate, which binds the person who holds the information. This standard creates the **conditions under which they can discharge it** — a named recipient outside the line of the person concerned, protection from detriment tested by an independent review, and a record that the concern was answered.

20. Related Body of Knowledge content. PML-AI · Domain 12 · KA 12.2 Motivation, team formation and psychological safety · topic 12.2.3 psychological safety as a design variable, including its observable presence and absence signals and its stated evidential limits; KA 12.3 difficult conversations. Also Domain 3 KA 3.3 escalation design; Domain 8 KA 8.4 bias and crisis leadership; Domain 9 KA 9.4 lessons.

21. Compliance test. Compliance is demonstrated when a reviewer can perform all six of the following: (a) obtain the published route and the evidence of its distribution, and confirm it names at least two recipients with a stated method and response time; (b) take the project's current people list and confirm, person by person, that at least one named recipient is neither their line manager nor in their reporting line — and, for the project leader's own reports, that a recipient exists who is not the project leader; (c) open the concern register and confirm every entry carries all seven mandatory fields, and that the "subject was a recipient" field reads "no" in every case; (d) draw a stated sample of closed entries and confirm from the underlying correspondence that a substantive response was given by the named responder within the documented time; (e) cross-match the concern register against the project's assignment, role-change and assessment records for the lookback window and confirm that **every** act meeting the definition of *detriment* falling on a person who raised a concern carries a written justification, a decision taken by someone other than the subject of the concern, and an independent reviewer's recorded conclusion dated before the act took effect; and (f) recompute the `PR-06` indicator for one period from the issue and assurance records and reconcile it to the reported figure. **Test (e) is the operative one.** An act of detriment inside the lookback window with no independent review dated before it took effect fails the test, and no survey score, culture statement or leadership testimonial cures it.

22. Breach indicators. A route naming one recipient, who is the project leader. A route that exists in a corporate policy and has never been sent to the project. Register entries with the response field containing "noted". Concerns closed the day they were raised. A person removed from a workstream within weeks of raising a concern, with no justification record. Anonymous concerns followed by an inquiry into who wrote them. A `PR-06` indicator rising for three periods with no owner. A team whose register is empty while assurance is finding everything.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure on the associated competency; ethics review; certification investigation; suspension or withdrawal of the PML-AI credential — each subject to due process and a right of appeal. **PCI cannot compensate a person subjected to detriment, order reinstatement or impose any penalty on an employer**; those remedies, where they exist, arise under the applicable employment or whistleblowing law.

24. Examination application. Scenario judgement: a supplier's engineer raises a safety concern about the client's sequence and the only published recipient is their own project manager, who set the sequence. Evidence selection: which artefacts establish compliance, and why a staff-survey score is not among them. Ethical dilemma: a leader is asked to remove from a workstream a person who raised a concern three weeks earlier, for reasons the leader believes are genuine and unrelated. Escalation decision: an anonymous concern names the sponsor.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-12-02` v1.0 (*Psychological Safety*). Amendment note: renumbered, **retitled** and rewritten from the ground up. The v1.0 standard required a leader to "maintain conditions in which any team member can report bad news" — a state of affairs no reviewer could test, which failed audit questions 5 and 6. The principal obligation is now the **establishment and operation of a bypass route**, the protections are expressed as observable acts through a defined term for *detriment*, and the compliance test cross-matches two record sets that already exist. The concept of psychological safety remains the reason for the standard and is taught in Domain 12; it is not the requirement, because it is not observable. **Stage 9 amendment:** the lookback window was set wholly by the organisation, so the protection in `PR-04` could be switched off by documenting a fortnight; element 11 now makes the standard's own default the floor.

Domain 13 — Agile, Adaptive and Hybrid Delivery

PCI standard

PCI-PML-STD-13.01

Governance of Adaptive Delivery

1. Normative requirement. A credential holder using an adaptive or hybrid delivery approach must operate governance that produces the same decision rights, evidence and accountability as a predictive approach, expressed through the adaptive method's own artefacts.

2. Purpose. Adaptive delivery does not remove governance; it relocates it, from documents produced for gates to decisions taken continuously. The failure this prevents runs in both directions: the team that treats an iterative method as an exemption from evidence and authority, and the organisation that bolts a predictive gate structure onto an adaptive team and destroys the feedback the method exists to produce.

3. Scope. Every credential holder leading, governing, assuring or reporting on delivery using an adaptive or hybrid approach, at team, programme and portfolio level, including scaled arrangements and including contracts written for adaptive delivery.

4. Defined terms. *governance* (project sense) · *decision owner* · *delegation schedule* · *evidence* · *gate* · *acceptance* · *product owner*. Additionally, **value envelope** means the bounded authority within which a product owner may commit capacity without escalation; **release decision** means the decision to make an increment available to users.

5. Required actions — process requirements.

- PCI-PML-STD-13.01-PR-01 — **Decision rights mapped to adaptive artefacts.** The credential holder must record which adaptive artefact or event carries each decision class in the delegation schedule, so that every class has a location. A class with no location is governed by the predictive route until one is recorded.
- PCI-PML-STD-13.01-PR-02 — **The value envelope is stated.** The product owner's value envelope must be documented and approved by the sponsor, and decisions exceeding it must escalate within the latency the delegation schedule states.
- PCI-PML-STD-13.01-PR-03 — **Release decisions carry acceptance and evidence.** A release decision must satisfy PCI-PML-STD-09.01, and the increment's acceptance evidence must be retained. Iterative delivery does not reduce the evidence requirement; it changes its cadence.
- PCI-PML-STD-13.01-PR-04 — **Adaptive metrics are defined and not gamed.** Where flow, throughput, cycle-time or velocity measures are

reported to governance, their definition must be documented, applied consistently, and reported with the work-in-progress position, so that a rising throughput achieved by starting more work is visible as such.

- `PCI-PML-STD-13.01-PR-05` — **Framework adoption is a recorded choice.** Where a published adaptive framework is adopted, the credential holder must record which framework, which parts of it are adopted, and which are not — because adoption is the whole of such a framework's force and an unrecorded partial adoption is unauditable.

6. Prohibited actions. Treating an adaptive method as removing the need for acceptance evidence, decision records or escalation. Reporting velocity as progress against a commitment. Increasing throughput by increasing work in progress and reporting the first without the second. Describing a team as following a named framework while omitting the parts that constrain it. Placing the ordering right with a committee while naming an individual as product owner.

7. Required evidence. The decision-rights map from classes to adaptive artefacts; the documented value envelope with its approval; release decisions with their acceptance records and retained evidence; the metric definitions and the reported series including work in progress; the framework-adoption record.

8. Responsible role. The named credential holder leading delivery, for the governance mapping and the reporting. The named **product owner**, for ordering decisions within the envelope. The named release authority, for release decisions.

9. Approval authority. The sponsor approves the value envelope. The delegation schedule's named authority approves decisions above it. The release authority approves releases. A committee must not be recorded as the product owner; where a committee holds the ordering right in fact, the record must say so and the product owner is named as a proxy.

10. Independence requirement. Acceptance of an increment must be recorded by a person independent of its production under `PCI-PML-STD-09.01`. Assurance of an adaptive delivery must be provided by a competent reviewer independent of the team, and must satisfy `PCI-PML-STD-01.03-PR-06` where that reviewer has contributed to the team's ways of working.

11. Materiality or threshold. This standard states no envelope value, no iteration length and no work-in-progress limit. The organisation's governance sets the value envelope, the escalation latency and the release authority; this standard requires that they are documented and applied. Where a team operates a work-in-progress limit, its basis must be recorded so that a change to it is visible as a decision. *Six-person internal project:* one team, one product owner with an envelope stated in a sentence, releases accepted by a named user representative, and a metric definition of two lines. The decision-rights map is a five-row table. *Multi-partner national programme:* several teams across organisations with a stated rule for which decisions rise from team to programme, a programme-level release authority for anything crossing an interface, and metric definitions held at programme level so that partners' velocity figures are not added together as though they were comparable — which they are not.

12. Exception and waiver. An exception permitting a release without complete acceptance evidence may be approved only by the release authority, only where the missing evidence is identified item by item with owners and dates, and only where the release is reversible or the residual risk is accepted by the party bearing it. No exception permits a decision class to have no recorded location. **This exception does not reach a mandatory precondition.** Where the release is a release into operational use, `PCI-PML-STD-16.01` applies to it, and its element 12 permits no exception, waiver, dispensation or deferral in respect of a gate-block item — an iterative delivery model changes the cadence of the release, not the status of a safety case, a licence or a statutory notification.

13. Escalation trigger. A decision exceeding the value envelope. A decision class with no recorded location. A release proposed without acceptance evidence. A product owner who cannot exercise the ordering right. A throughput improvement accompanied by a rising work-in-progress position. A framework described as adopted whose constraining practices are not in use.

14. AI application. AI may reconcile the decision-rights map against the delegation schedule and flag unlocated classes, compute flow metrics with their work-in-progress position, detect backlog items that have never been reordered, and check release records for missing acceptance references.

15. AI prohibition. An AI system must not order a backlog as the operative decision, approve a release, set a value envelope, or act as product owner. A model that produces an order has produced a recommendation; the ordering right belongs to a named person.

16. AI verification. Independent recomputation plus named approval. Flow and throughput metrics produced with AI assistance must be recomputed by hand for at least one period per quarter and reconciled. Any AI-produced backlog order must be reviewed and adopted, altered or rejected by the named product owner, who records which they did.

> **17. External reference.**
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> - **Ken Schwaber and Jeff Sutherland** · *The Scrum Guide* · relied on for: the existence of a defined set of accountabilities, events and artefacts in one widely used adaptive framework · **EXT-086** · **Manual §6 cat-**

egory 5 — professional framework** · currency checked 2026-08-03 · limitation: **a voluntary framework whose adoption is the whole of its force.** It binds a team that has adopted it and nobody else; it is **not a standard**, nothing can be certified against it as a requirements document, and no PCI obligation derives from it. Its concepts are described here in PCI's own words; no text is reproduced. The suite register classifies it as a voluntary framework; Manual §6 governs this file and places it at category 5.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of tailoring and of iterative life cycles within delivery practice · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **Project Management Institute** · *PMBOK Guide* · relied on for: the existence of adaptive and hybrid approaches in professional practice · **EXT-060** · **Manual §6 category 5 — professional framework** · currency checked 2026-08-03 · limitation: **never regulatory authority**; no edition asserted; no text reproduced.

18. Jurisdictional caution. Contracts written for adaptive delivery raise questions of what has been agreed, when payment is due and what has been accepted that are determined by the governing law of the contract. Obtain legal advice before adopting an outcome-based or capacity-based contract structure.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-12`; `PCI-FND-STD-04`; `PCI-PML-STD-03.01`; `PCI-PML-STD-03.02`; `PCI-PML-STD-05.01`; `PCI-PML-STD-09.01`; `PCI-PML-STD-13.02`.

20. Related Body of Knowledge content. PML-AI · Domain 13 · KA 13.1 Agile principles and product ownership; KA 13.2 Backlogs, iteration planning, flow and Kanban; KA 13.3 Scaling considerations and hybrid governance; KA 13.4 Contracting for adaptive delivery, metrics and anti-patterns. Also Domain 3 KA 3.1 topic 3.1.3 governance in agile and hybrid environments.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) take every decision class in the delegation schedule and find, in the decision-rights map, the adaptive artefact or event that carries it; (b) retrieve the approved value envelope and confirm that every commitment above it in the period has an escalation record; (c) take a stated sample of releases and retrieve, for each, an acceptance record and the evidence it cites; (d) recompute one period's reported flow metric from the raw item data using the documented definition and reconcile it to the reported figure, and confirm the work-in-progress position was reported alongside it; and (e) compare the framework-adoption record against observed practice for the constraining elements it claims to adopt. An unlocated decision class, or a release with no acceptance record, fails the test.

22. Breach indicators. Velocity reported as a commitment. Throughput rising while work in progress rises faster. Backlogs from which nothing is ever removed. A product owner whose decisions are routinely overturned. Releases with no acceptance record. A named framework in the delivery approach and none of its constraining events in the calendar. Assurance provided by the coach who designed the ways of working.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: throughput and work-in-progress series showing an apparent improvement that is a queue. Scenario judgement: a steering committee requires a stage gate on an adaptive team six weeks into a quarterly cycle. Evidence selection: which artefacts show that an adaptive delivery is governed.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-13-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the decision-rights mapping, value envelope, release evidence, metric integrity and framework-adoption record separated into five process requirements; the Scrum Guide's characterisation corrected to state expressly that adoption is the whole of its force. **Stage 9 amendment:** element 12's release exception overlapped `PCI-PML-STD-16.01`, whose element 12 admits no exception at all in respect of a mandatory precondition; element 12 now states that the exception does not reach one.

PCI standard

`PCI-PML-STD-13.02`

Product and Project Accountability

1. Normative requirement. A credential holder must ensure that, for every product or service being delivered, exactly one named individual holds the ordering right and exactly one named individual holds delivery accountability, and that the record names both.

2. Purpose. Where product and project accountability blur, two failures follow and they are opposite. Either nobody can order the work, so the backlog is arbitrated by whoever escalates hardest; or the product role is nominal, held by someone who must obtain approval for every decision, in which case the authority sits with the approver and the record is false. The professional content of the role is the **decision right**, and this standard protects it.

3. Scope. Every credential holder in a delivery leadership, product ownership or governance role, in adaptive, hybrid and product-organised delivery, including arrangements where a product outlives the project that created it and arrangements where a supplier supplies the product role.

4. Defined terms. *product owner · decision owner · accountability · value envelope · evidence · material.* Additionally, **ordering right** means the authority to determine the sequence in which work is done and what is not done; **proxy** means a person recorded as holding a right that is in fact exercised elsewhere.

5. Required actions — process requirements.

- `PCI-PML-STD-13.02-PR-01` — **Both roles named, and distinguished.** The record must name the individual holding the ordering right and the individual holding delivery accountability, and must state what each decides. Naming one person for both is permitted only where the record says so expressly and the sponsor has approved it.
- `PCI-PML-STD-13.02-PR-02` — **Proxy arrangements are disclosed.** Where the ordering right is in fact exercised by a committee or by a person other than the named product owner, the credential holder must record that the named holder is a proxy and identify where the authority actually sits.
- `PCI-PML-STD-13.02-PR-03` — **Refusals are recorded.** The product owner's decisions not to do work must be recorded, because a backlog from which nothing is ever removed is evidence that the ordering right is not being exercised.
- `PCI-PML-STD-13.02-PR-04` — **Continuity across the project boundary.** Where a product continues beyond the project, the credential holder must record the transfer of the ordering right and of delivery accountability to named individuals in the receiving organisation before closure, under `PCI-PML-STD-16.02`.

6. Prohibited actions. Recording a committee as product owner. Naming a product owner who must obtain approval for every ordering decision without recording them as a proxy. Allowing a supplier to hold the ordering right for a client's product without an approved instrument. Closing a project leaving a live product with no named ordering right. Presenting a backlog with no refusals as evidence of prioritisation.

7. Required evidence. The record naming both individuals and their decision scopes; the sponsor's approval where one person holds both; the proxy disclosure where applicable; the backlog history showing items removed or refused with dates; the transfer record at closure.

8. Responsible role. The named credential holder leading delivery, for maintaining the record and for escalating where a role is vacant or nominal. The **sponsor**, for appointing the ordering right and setting the value envelope.

9. Approval authority. The sponsor appoints the product owner and approves the combination of both roles in one person. The governing body approves a supplier holding the ordering right for a client product. The credential holder approves neither.

10. Independence requirement. Not applicable to the ordering right itself, which is a delivery decision right and is not intended to be independent; independence attaches to the acceptance of increments under `PCI-PML-STD-09.01` and to the assurance of the arrangement under `PCI-PML-STD-01.03-PR-06`.

11. Materiality or threshold. This standard states no number. The value envelope and the escalation latency are set by the organisation's governance under `PCI-PML-STD-13.01-PR-02`; this standard requires that the roles are named and that the record is true. The test of nominality is not a percentage but the observable one: whether decisions within the stated envelope are taken and stand. *Six-person internal project:* one person may hold both roles, and that is entirely proper — the obligation is that the record says so and the sponsor approved it, so that nobody later assumes a separation that never existed. *Multi-partner national programme:* the ordering right sits with the client organisation for each product, partners supply delivery accountability within their own scope, and the boundary is recorded per product rather than per contract, because a product delivered by three partners has one order and three delivery accountabilities.

12. Exception and waiver. An exception permitting the ordering right to be held collectively may be approved by the governing body for a stated period, only where the collective body is named, its chair is recorded as the decision owner under the definition above, and its decision latency is stated. No exception permits a product to run with no recorded ordering right.

13. Escalation trigger. A product with no named ordering right. A named product owner whose decisions are routinely overturned. A supplier exercising the ordering right without an approved instrument. Project closure approaching with a live product and no receiving owner. A backlog with no refusals across a period the governance considers material.

14. AI application. AI may detect backlog items that have never been reordered or refused, measure the decision wait between an item being raised and being ordered, flag products with no recorded owner, and compare recorded ordering decisions against the value envelope.

15. AI prohibition. An AI system must not hold the ordering right, order a backlog as the operative decision, or be recorded as a product owner or as delivery-accountable.

16. AI verification. Named approval plus sampling with a stated basis. Every AI-proposed ordering must be adopted, altered or rejected by the named product owner with a record of which. Each quarter, a competent reviewer must sample ordering decisions and confirm from the record that the named holder took them and that they stood.

> **17. External reference.**
>
> - **Ken Schwaber and Jeff Sutherland** · *The Scrum Guide* · relied on for: the existence of a single accountable ordering role in one widely used adaptive framework · **EXT-086** · **Manual §6 category 5 — professional framework** · currency checked 2026-08-03 · limitation: **a voluntary framework; adoption is the whole of its force**; it is not a standard and nothing can be certified against it as a requirements document; described in PCI's own words, no text reproduced. This standard's obligation is PCI's own and does not derive from it.
> - **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of defined roles and responsibilities within delivery · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
> - **ISO** · *ISO 21505, Guidance on governance* · relied on for: the existence of accountability definition within governance arrangements · **EXT-032, not independently verified** · **Manual §6 category 3** · limitation: as above, with an open verification status.

18. Jurisdictional caution. Where a supplier holds decision rights over a client's product, the allocation of liability, intellectual property and data controllership is a contractual and regulatory question. Obtain legal advice before placing an ordering right outside the owning organisation.

19. Related PCI Standards. `PCI-FND-STD-01`; `PCI-FND-STD-04`; `PCI-FND-STD-12`; `PCI-PML-STD-01.01`; `PCI-PML-STD-01.02`; `PCI-PML-STD-13.01`; `PCI-PML-STD-16.02`.

20. Related Body of Knowledge content. PML-AI · Domain 13 · KA 13.1 topic 13.1.2 product ownership as a decision right; KA 13.4 metrics and anti-patterns, including the proxy product owner. Also Domain 1 KA 1.2 accountability and responsibility; Domain 16 KA 16.2 operational transition.

21. Compliance test. Compliance is demonstrated when a reviewer can, for every product in delivery: (a) name the holder of the ordering right and the holder of delivery accountability from the record; (b) take a stated sample of ordering decisions in the period and confirm from the record that the named holder took them; (c) confirm that decisions within the stated value envelope were not subsequently overturned by another body without an escalation record; (d) find refusals or removals in the backlog history; and (e) where one person holds both roles, find the sponsor's recorded approval. A product whose ordering decisions are routinely retaken elsewhere, with the named holder unchanged and no proxy disclosure, fails the test.

22. Breach indicators. A product owner named in an organisation chart and absent from every ordering decision. A backlog that only grows. Median ordering decision waits of the same order as the escalation cycle. Products with two people each believing they hold the order. A project closing with a live product and an unnamed owner. Sponsors ordering the backlog directly while a product owner is named.

23. Consequence within PCI authority. Correction required; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: a named product owner must obtain steering-committee approval for every ordering decision, and the candidate states what the record must show. Evidence selection: which artefact establishes that the ordering right is exercised. Calculation review: a decision wait series showing a proxy arrangement.

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard** — the v1.0 set governed adaptive delivery in one standard and left the product/project accountability boundary unstated, which is the boundary most often blurred in practice. Amendment note: none.

Domain 14 — Digital Delivery, Data and Responsible AI

PCI standard

PCI-PML-STD-14.01

Responsible Data Use in Delivery

1. Normative requirement. A credential holder must not collect, use, share, retain or expose data on a project beyond the purpose, the recipients and the retention period recorded for it.

2. Purpose. Delivery accumulates data faster than it governs it: common data environments, dashboards, supplier portals, personal data about workers and users, safety records, commercially confidential tenders. The failure this prevents is the quiet expansion of purpose — data collected for one reason, copied into a second system for a second reason, and left there — which is simultaneously a professional failure, a security exposure and, in many jurisdictions, unlawful.

3. Scope. Every credential holder specifying, commissioning, operating, sharing or closing a project data environment, dashboard, model, register or archive, including supplier-hosted environments and including data about people working on the project.

4. Defined terms. *evidence* · *material* · *decision owner* · *independent* · *detriment* · *data governance* (written in full, always, and distinct from project *governance*). Additionally, **purpose record** means the recorded statement of why a data set is held, who may see it and for how long; **common data environment** means the shared repository through which project information is exchanged.

5. Required actions — process requirements.

- `PCI-PML-STD-14.01-PR-01` — **A purpose record per data set.** Every project data set must carry a recorded purpose, a named owner, the classes of recipient permitted, and a retention period. A data set with no purpose record must not be created or, where inherited, must be recorded and escalated.
- `PCI-PML-STD-14.01-PR-02` — **Access matches the record.** Access rights in each system must be reconciled against the purpose record at the interval the governance sets, and every access not supported by the record must be removed and the removal recorded.
- `PCI-PML-STD-14.01-PR-03` — **Personal data is identified and minimised.** Data about identifiable people must be identified as such in the record, must be limited to what the recorded purpose requires, and must not be used to assess, rank or profile individuals except where the purpose record states that use and the applicable legal basis has been confirmed by the organisation's competent function.
- `PCI-PML-STD-14.01-PR-04` — **Lineage for figures that carry decisions.** Any figure reported to a decision-maker must be traceable to its source system, its extract date and its transformation, and the credential holder must not report a figure whose lineage cannot be stated.
- `PCI-PML-STD-14.01-PR-05` — **Closure disposes or transfers deliberately.** At project closure, every data set must be transferred to a named receiving owner, archived under the recorded retention period, or securely disposed of, with the decision recorded per data set.

6. Prohibited actions. Copying a data set into a second environment without extending the purpose record. Granting standing access "for convenience". Using worker or user data to profile individuals outside the recorded purpose. Reporting a figure whose source cannot be stated. Leaving a project environment live and unowned after closure. Sharing commercially confidential tender data with a party outside the evaluation. Exporting personal data to a supplier tool without the organisation's competent function confirming the basis.

7. Required evidence. The data register with purpose, owner, recipient classes and retention per set; the periodic access reconciliation with removals; the identification of personal data and the confirmed legal basis where used to assess individuals; lineage records for reported figures; the closure disposition record per data set.

8. Responsible role. The named credential holder leading the project, for the register, the reconciliation and the closure disposition. The named data-set owner, for each set. The organisation's competent data-protection or information-governance function, for the legal basis — **not** the project.

9. Approval authority. The organisation's information-governance authority approves a new purpose, a new recipient class and any extension of retention. The sponsor approves the closure disposition plan. The project must not approve its own extension of purpose.

10. Independence requirement. The access reconciliation must be performed or verified by a person independent of the team whose access is being reconciled. The confirmation of a legal basis must come from a function independent of the project.

11. Materiality or threshold. This standard states no data volume and no retention period, because retention is set by law, by contract and by the organisation's policy, and a number invented here would conflict with all three. It requires that the purpose record exists per data set, that the reconciliation interval is documented and met, and that the retention period recorded is the one the organisation's policy or the applicable law sets. *Six-person internal project:* six data sets, one register page, access reconciled quarterly by a named manager outside the team, and a closure decision of one line per set. *Multi-partner national programme:* a common data environment per partner plus a shared one, a register that records which partner is the owner and which are recipients for each set, and a closure disposition agreed contractually in advance — because the moment to agree what happens to a partner's data at exit is before the partner is exiting.

12. Exception and waiver. An exception permitting use beyond the recorded purpose may be approved only by the organisation's information-governance authority, in writing, before the use, for a stated period and recipient set, with the compensating control stated. **No exception may be approved by the**

project alone, and no exception permits use of personal data for an assessment purpose without a confirmed legal basis.

13. Escalation trigger. A data set found with no purpose record. Access that the record does not support. A proposal to use worker or user data to assess individuals. A figure reported whose lineage cannot be stated. A supplier tool found to be processing project personal data outside the record. A suspected or actual data breach — which is escalated immediately and outside the ordinary cycle.

14. AI application. AI may build the data register from system metadata, reconcile access lists against the register and flag divergence, detect probable personal data in unclassified stores, trace lineage across systems and flag figures with broken lineage, and produce the closure disposition list.

15. AI prohibition. An AI system must not determine a legal basis, approve a purpose extension, decide that data may be shared, profile individuals, or be the sole determinant that a data set contains no personal data.

16. AI verification. Source tracing plus sampling with a stated basis. Every AI-detected classification must be confirmed by a named human before it is acted on, and every AI-produced lineage must be traced by a competent reviewer to the source system and extract for a stated sample of reported figures. Where AI screened stores for personal data, a named human must review in full any store the system reports as clean but which the purpose record indicates is likely to contain personal data.

17. External reference.

- **ISO/IEC** · *ISO/IEC 27001, Information security management systems — Requirements* · relied on for: the existence of a certifiable requirement set for information-security management · **EXT-023** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: certifiable, but adoption is voluntary unless required by contract or regulator; this standard imports none of its controls.
- **ISO/IEC** · *ISO/IEC 27701, Privacy information management systems — Requirements and guidance* · relied on for: the existence of a privacy management-system standard · **EXT-038** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **materially changed between editions** — the earlier edition was an extension to an information-security management system and the current one is a standalone standard certifiable in its own right. **Verify which edition any claim of conformity refers to.** Voluntary unless required.
- **ISO** · *ISO 8000 data-quality standards* (a multi-part series) · relied on for: the existence of a standardised treatment of data quality · **EXT-026** · **Manual §6 category 3** · currency checked 2026-08-03 ·

limitation: **a series, not one document**; voluntary; cited generically and relied on for no requirement.

- **ISO/IEC** · *ISO/IEC 25012, Data quality model* · relied on for: the existence of a defined set of data-quality characteristics · **EXT-036** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: voluntary; a model, not a requirements standard for a project; check for supersession within its series.
- **ISO** · *ISO 19650 series, Information management using building information modelling* · relied on for: the existence of a common data environment concept in the built environment · **EXT-039** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **a series**; voluntary; sector- specific; cited generically.
- **European Union** · *General Data Protection Regulation* · relied on for: illustrating a rights-based data-protection approach · **EXT-101**, **not independently verified — verify current requirements** · **Manual §6 category 10 — illustrative practice** · limitation: **this is binding legislation within the European Union**, named here only to illustrate the shape of such a regime; it is relied on for no requirement in this standard, and whether it or any other data-protection regime applies is a question for qualified local counsel.

18. Jurisdictional caution. Data-protection law, employee-monitoring rules, works-council consultation, data-localisation requirements, sector confidentiality duties, breach-notification timescales and cross-border transfer restrictions are jurisdiction-specific and change frequently. **Compliance with this standard is not compliance with any of them.** Obtain local legal advice before collecting, sharing, exporting or retaining personal or confidential project data.

19. Related PCI Standards. `PCI-FND-STD-07`; `PCI-FND-STD-09`; `PCI-FND-STD-12`; `PCI-PML-STD-11.01`; `PCI-PML-STD-12.02`; `PCI-PML-STD-14.02`; `PCI-PML-STD-16.03`.

20. Related Body of Knowledge content. PML-AI · Domain 14 · KA 14.1 Digital project environments, data governance and the common data environment; KA 14.4 Explainability, bias, human accountability, cybersecurity and privacy. Also Domain 9 KA 9.4 data quality; Domain 16 KA 16.4 responsible archive and model/data retention.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) list the project's data sets from the systems in use and match each to a purpose record with an owner, recipient classes and a retention period, with no residue; (b) extract the current access list from each system and reconcile it to the recipient classes in the record, with every difference explained by a dated removal or a recorded approval; (c) select a stated sample of figures from reports issued in the period and trace each to its source system, extract date and transformation; (d) confirm that every use of data about identifiable people to assess or rank them carries a legal basis confirmed by the organisation's competent function; and (e) for a closed project, find a disposition decision for every data set. Any data set with no purpose record fails the test.

22. Breach indicators. Environments with more users than the project has people. Copies of a register in personal drives. Dashboards whose figures cannot be traced. Retention periods recorded as "indefinite". Personal data in a supplier's tool with no record. Access lists unchanged since project start. Closed projects with live environments.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal. **PCI cannot impose a data-protection penalty**; that consequence, where it exists, arises under the applicable law.

24. Examination application. Scenario judgement: a supplier proposes to copy the project's issue data into its own analytics platform to improve its service. Evidence selection: which artefacts establish that a reported figure is traceable. Ethical dilemma: a sponsor asks for individual productivity rankings from the delivery tool's activity data.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-14-01` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the purpose record, access reconciliation, personal-data minimisation, lineage and closure disposition separated into five process requirements; the GDPR's characterisation corrected to state expressly that it is binding legislation within its own jurisdiction and is relied on here for nothing.

PCI STANDARD

`PCI-PML-STD-14.02`

Responsible AI in Delivery

1. Normative requirement. A credential holder must not rely on an AI system's output for a delivery decision, a report or a deliverable until a named human has verified it by a method recorded for that class of output.

2. Purpose. `PCI-FND-STD-03` requires verification before professional use. What delivery adds is that AI output arrives inside artefacts other people then rely on without knowing its origin: a risk register populated by a model, a schedule narrative generated from data, a supplier evaluation summary, a lessons theme. The failure this prevents is **unattributed reliance** — an output nobody checked because everybody assumed somebody had, embedded in an artefact that carries the organisation's name.

3. Scope. Every credential holder using, commissioning, configuring, governing or assuring an AI system in delivery — including supplier-operated and embedded features in delivery tools — for any output that informs a decision, a report or a deliverable.

4. Defined terms. *AI verification* (the sense carried by the suite principle) · *evidence* · *material* · *competent reviewer* · *decision owner* · *independent.* Additionally, **AI use record** means the record of where AI is used on the project, for what, by whom, and with which verification method; **verification method** means one of the named methods in element 16, not a general instruction to review.

5. Required actions — process requirements.

- `PCI-PML-STD-14.02-PR-01` — **An AI use record exists.** The credential holder must maintain a dated record of every AI use on the project: the system, the output class, the person accountable for it, and the verification method applied. Embedded features in delivery tools must be included; an unlisted embedded feature is the most common gap.
- `PCI-PML-STD-14.02-PR-02` — **A named method per output class, recorded before use.** Each output class must have a verification method recorded before the output is relied on, chosen from: independent recomputation, source tracing, clause-to-summary comparison, sampling with a stated basis, reconciliation, boundary testing, sensitivity analysis, expert judgement, or named approval. **"Review the AI output" is not a method** and does not satisfy this requirement.
- `PCI-PML-STD-14.02-PR-03` — **Material AI assistance is disclosed.** Where AI assistance is material to a deliverable or a report, the credential holder must disclose it in the artefact, under `PCI-FND-STD-14`, in the form the organisation's governance sets.
- `PCI-PML-STD-14.02-PR-04` — **Verification proportionate to reliance.** The depth of verification must be matched to the consequence of the output being wrong, and the credential holder must record the basis on which the depth was chosen for each output class.
- `PCI-PML-STD-14.02-PR-05` — **Failures are recorded and fed back.** Where verification finds a material error in an AI output, the credential holder must record it, correct anything already issued in reliance on it under `PCI-PML-STD-11.01-PR-04`, and route the pattern to `PCI-PML-STD-09.02`.

6. Prohibited actions. Relying on an output because it is plausible and well-formed. Recording "AI reviewed" as a verification. Presenting AI-generated analysis as a named person's professional judgement. Using an AI system for an output class with no recorded method. Treating a supplier's assurance about its own model as verification of the output. Suppressing a verification failure because the output was already issued.

7. Required evidence. The AI use record with output classes, accountable people and methods; the verification records per output class showing the method applied and by whom; disclosure statements in artefacts; the recorded basis for verification depth; the verification-failure log with corrections issued and the routing to lessons.

8. Responsible role. The named credential holder leading the project, for the AI use record and for the sufficiency of methods. The named person accountable for each output class, for performing the verification. Neither may be a supplier by default; where a supplier verifies, the credential holder records who in the supplier is accountable and retains the verification evidence.

9. Approval authority. The sponsor approves the AI use record and the verification methods. The governing body approves any use of AI in a reserved decision class under `PCI-PML-STD-01.02`. A tool vendor approves nothing.

10. Independence requirement. The person verifying an AI output must be independent of the configuration of the system that produced it, in the sense that they did not set the parameters, prompts, weights or thresholds for that output. Where that is impossible on a small project, the arrangement must be recorded and a second named person must perform the verification for the highest-consequence output class. **Independence of configuration is the minimum this standard adds; it does not displace** `PCI-FND-STD-03`, which requires a *material* calculation, model output or automated conclusion to be verified by a person independent of its preparation before any person relies on it. Where the verifier under this standard is also the preparer of the output, this standard is satisfied and the foundational verification is not.

11. Materiality or threshold. This standard states no accuracy figure and no confidence threshold. **A model's own confidence score is not a verification and must not be used as one.** The organisation's governance sets the output classes, the materiality at which AI assistance is disclosed, and the verification depth by consequence; this standard requires that these exist and are applied. *Six-person internal project:* three AI uses — drafting, summarising and a scheduling assistant — one line each in the record, with source tracing for figures, clause-to-summary comparison for summaries and named approval for anything issued. *Multi-partner national programme:* the record is consolidated across partners because a partner's embedded tool produces outputs that enter the programme's reports; verification methods are stated in the partner agreement; and the highest-consequence classes carry independent recomputation performed outside the partner that produced the output.

12. Exception and waiver. An exception permitting reliance on an unverified output may be approved only by the sponsor, only where the decision cannot wait, only where the artefact states on its face that the output is unverified, and only with a named owner and a date for the verification to follow. **No exception is permitted** where the output bears on safety, a licence condition, a statutory duty or a person's rights.

13. Escalation trigger. An AI output relied on with no recorded method. A material verification failure. An embedded feature discovered producing outputs into project artefacts. A supplier declining to disclose whether AI produced a deliverable. Any proposal to use AI in a reserved decision class. An output that cannot be verified by any available method — which is a reason not to use it.

14. AI application. AI may assist across delivery — drafting, summarising, reconciling, classifying, detecting anomalies, modelling scenarios, checking documents for completeness — and every such use is permitted, recorded and verified rather than prohibited. AI may also maintain the AI use record itself and flag outputs relied on with no verification record.

15. AI prohibition. An AI system must not decide, approve, certify, sign, waive, authorise, accept, assure or be recorded as verifying anything. It must not verify another AI system's output for the purposes of this standard. It must not be represented as having independently verified anything, and no supplier statement converts its output into verified information.

16. AI verification. The method is named per output class, from this list, and recorded before use: independent recomputation; source tracing; clause-to-summary comparison; sampling with a stated basis; reconciliation; boundary testing; sensitivity analysis; expert judgement; named approval. For each class, the record states the method, who performs it, the sample size where sampling is used, and the tolerance at which a difference becomes a failure. Verification is performed **before** reliance, not after issue.

17. External reference.

- **ISO/IEC** · *ISO/IEC 42001, Artificial intelligence management system* · relied on for: the existence of a management-system standard for AI governance, including assignment of roles · **EXT-021** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: certifiable as a management system, but adoption is voluntary; certification says nothing about any individual output; no requirement is imported here.
- **ISO/IEC** · *ISO/IEC 23894, Guidance on risk management for artificial intelligence* · relied on for: the existence of AI-specific risk guidance · **EXT-024** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **guidance, not requirements**; voluntary; not certifiable.
- **ISO/IEC** · *ISO/IEC 38507, Governance implications of the use of artificial intelligence by organizations* · relied on for: the existence of governing-

body-level questions about AI use · **EXT-037** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance for governing bodies; voluntary; not certifiable.

- **NIST (US Department of Commerce)** · *Artificial Intelligence Risk Management Framework (AI RMF 1.0)* · relied on for: the existence of a voluntary function-based framework for AI risk · **EXT-080** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: **voluntary, rights-preserving and non-sector-specific by NIST's own description; not a standard and not a regulation**.
- **OECD** · *Recommendation of the Council on Artificial Intelligence (the OECD AI Principles)* · relied on for: the existence of an international expectation of human accountability for AI-influenced outcomes · **EXT-081** · **Manual §6 category 10 — illustrative practice** · currency checked 2026-08-03 · limitation: a Council Recommendation; **never legislation**; non-binding even on adherents.
- **European Union** · *Regulation (EU) 2024/1689 (the AI Act)* · relied on for: illustrating a risk-tiered regulatory approach · **EXT-100** · **Manual §6 category 1 — applicable legislation or regulation** · currency checked 2026-08-03 · limitation: **binding legislation within the European Union only**, named here to illustrate the shape only; relied on for no requirement; applicability to any given project is a question for qualified local counsel.

18. Jurisdictional caution. Obligations on AI transparency, human oversight, impact assessment, automated decision-making, intellectual property in generated output and liability for AI-influenced harm are jurisdiction-specific and are changing quickly. Obtain local legal advice before deploying AI in a process affecting people's rights, employment, safety, or access to a service.

19. Related PCI Standards. `PCI-FND-STD-03` (the parent verification obligation); `PCI-FND-STD-14`; `PCI-FND-STD-04`; `PCI-FND-STD-01`; `PCI-PML-STD-01.02`; `PCI-PML-STD-11.01`; `PCI-PML-STD-14.01`. **What this standard adds to `PCI-FND-STD-03`:** the foundational standard requires independent verification before reliance. This standard requires an **AI use record covering embedded features**, a **named method per output class recorded before use**, **depth matched to consequence with the basis recorded**, and a **failure log routed into the organisation's standing artefacts**.

20. Related Body of Knowledge content. PML-AI · Domain 14 · KA 14.2 Dashboards, analytics, digital twins and automation; KA 14.3 AI use across the lifecycle, prompting and verification; KA 14.4 Explainability, bias, human accountability, cybersecurity and privacy. Also Domain 1 KA 1.4 the leader's AI accountability; Domain 9 KA 9.4 AI-output quality.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) list the AI systems and embedded AI features actually in use on the project, by inspecting the tools rather than by asking, and match each to an entry in the AI use record; (b) for each output class, retrieve the recorded verification method and confirm it is one of the named methods with its parameters stated; (c) draw a stated sample of outputs relied on in the period and find, for each, a verification record naming the method, the person and the date, **dated before** the date of reliance; (d) confirm that every artefact with material AI assistance carries the disclosure; and (e) confirm every recorded verification failure produced a correction to anything already issued. An AI system in use and absent from the record fails the test, and an output relied on before its verification date fails it.

22. Breach indicators. An AI use record listing only the tools procured centrally. Verification fields containing "reviewed". Verification dates after issue dates. Identical verification records across dissimilar output classes. A supplier deliverable whose style changes abruptly with no disclosure. A model confidence score cited as the verification. Verification failures with no corrections.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure on the associated competency; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. AI-verification case: a generated risk register of forty entries is offered for the gate pack, and the candidate states the method, the sample and what is done with the entries that fail. Ethical dilemma: an output cannot be verified by any available method and the decision is due. Evidence selection: which artefacts establish that verification preceded reliance.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-14-02` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the AI use record, the named-method rule, proportionate depth and the failure log separated into five process requirements; element 16 rewritten to name the permitted methods explicitly, because "review the AI output" was the defect the previous edition shared with most of the corpus. **Stage 9 amendment:** element 10 required independence only of the system's configuration, which allowed the preparer of a material output to be its verifier; element 10 now states that this is the minimum this standard adds and does not displace the independent-person verification `PCI-FND-STD-03` requires before reliance.

Domain 15 — Programmes, Portfolios and Enterprise Delivery

PCI standard

PCI-PML-STD-15.01

Programme Integration and Dependency Ownership

1. Normative requirement. A credential holder leading or governing a programme must ensure that every dependency between components is recorded with a named giver, a named receiver, the thing to be given, the date, and the consequence of a breach.

2. Purpose. Programmes fail at their joints. A dependency with no named owner on the giving side is not a dependency but a hope, and a milestone that requires six of them holds only as their joint probability, which is a great deal lower than any of them individually and lower than every dashboard suggests. The failure this prevents is the programme whose components are each green and whose integrated milestone is not achievable.

3. Scope. Every credential holder leading, integrating, governing, reporting on or assuring a programme or a multi-component delivery, including dependencies on parties outside the programme and dependencies between the programme and business-as-usual operations.

4. Defined terms. *dependency* · *decision owner* · *material* · *evidence* · *escalation threshold* · *baseline* (control sense). Additionally, **giver** means the named individual accountable for supplying the dependency; **integrated milestone** means a milestone whose achievement requires more than one component's contribution.

5. Required actions — process requirements.

- PCI-PML-STD-15.01-PR-01 — **Named on both sides.** Every dependency must name an individual on the giving side and an individual on the receiving side, and the giver must have confirmed the commitment. A dependency naming organisations rather than people does not satisfy this requirement.
- PCI-PML-STD-15.01-PR-02 — **Integrated milestone confidence is computed as a conjunction.** Where an integrated milestone depends on several dependencies, its confidence must be reported as the joint probability of the dependencies holding, not as an average, a weighted average or a proportion of green items — and the correlation assumption used must be stated.
- PCI-PML-STD-15.01-PR-03 — **Decoupling is considered before improvement.** Where an integrated milestone's confidence is below the

tolerance the governance sets, the credential holder must record whether a dependency can be removed or deferred, because removing one dependency changes the arithmetic by more than improving any of them.

- `PCI-PML-STD-15.01-PR-04` — **Breach of a dependency is an issue on the day it is known.** A dependency that will not be met must be raised as an issue under `PCI-PML-STD-08.02` on the day the giver knows, not on the date it was due.

6. Prohibited actions. Recording a dependency with an organisation as giver. Reporting an integrated milestone's confidence as an average of its dependencies. Accepting a receiver-side entry with no giver confirmation. Rolling up component RAG ratings into a programme rating with no stated rule. Reporting a dependency as met when a partial or conditional delivery was made. Holding a known dependency breach until the due date.

7. Required evidence. The dependency register with giver, receiver, thing, date, confidence and breach consequence per entry, and the giver's confirmation; the integrated milestone confidence computation with its stated correlation assumption; the decoupling analysis where tolerance was breached; the issue records for dependency breaches with the date known and the date raised.

8. Responsible role. The named credential holder leading the programme, for the register and the integrated computation. The named giver, for the commitment. The named receiver, for raising a breach.

9. Approval authority. The programme's governing body approves the dependency tolerance and any decoupling that changes a component's scope. A component must not release itself from a dependency.

10. Independence requirement. At each programme gate at which the delegation schedule requires assurance, the dependency register and the integrated confidence computation must be reviewed by a competent reviewer independent of every component, not merely of one — because a reviewer inside one component has an interest in where the dependency risk is recorded.

11. Materiality or threshold. This standard states no confidence figure. The organisation's governance sets the confidence tolerance for an integrated milestone, the escalation threshold for a dependency at risk and the reporting cadence; this standard requires that they are documented and applied, and that the **arithmetic is the conjunction** rather than an average — which is a method requirement, not a threshold. *Six-person internal project:* the standard applies only where the project is a component of a programme, and then its obligation is to name a giver and a receiver for each of its handful of external dependencies and to raise a breach the day it is known. *Multi-partner national programme:* the register is held at programme level with per-partner extracts, givers are named individuals inside partner organisations with the commitment reflected in the partner agreement, and the integrated confidence is computed and published at programme level so that no partner computes its own.

12. Exception and waiver. An exception permitting an integrated milestone to be reported on a basis other than the conjunction may be approved only by the programme's governing body, only where the alternative basis and its assumption are stated on the face of the report, and only for a stated period. No exception permits a dependency with no named giver.

13. Escalation trigger. A dependency with no giver confirmation. An integrated milestone whose computed confidence is below tolerance. A dependency the giver states will not be met. A component proposing to change a date on which another component depends. A correlation between components' dependencies that the stated assumption does not cover.

14. AI application. AI may build and reconcile a dependency register from component schedules, detect dependencies present in one component's plan and absent from another's, compute integrated confidences and their sensitivities, identify which single dependency change most improves a milestone, and detect dependency entries that have not been confirmed by their giver.

15. AI prohibition. An AI system must not commit a dependency on behalf of a giver, decide that a dependency is met, set a confidence value that is reported without a named human's derivation, or approve a decoupling.

16. AI verification. Independent recomputation plus named approval. Every integrated confidence computed with AI assistance must be recomputed by hand before it is reported — it is a product of a handful of numbers and taking it on trust is indefensible — and every AI-proposed dependency must be confirmed by the named giver before it enters the register as a commitment.

> **17. External reference.**
>
> - **ISO** · *ISO 21503, Guidance on programme management* · relied on for: the existence of programme-level integration and dependency management · **EXT-030**, **not independently verified — verify current requirements** · **Manual §6 category 3 — international voluntary standard** · limitation: guidance; voluntary; not certifiable; open verification status.
> - **ISO** · *ISO 21505, Guidance on governance* · relied on for: the existence of governance across multiple components · **EXT-032**, **not independently verified** · **Manual §6 category 3** · limitation: as above.
> - **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of interface and dependency management within delivery ·

EXT-028 · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.

18. Jurisdictional caution. Where a dependency crosses a contractual boundary, whether it is enforceable, what notice is required and what remedy exists are contractual questions determined by the governing law. Obtain legal advice before relying on a dependency register in a commercial position.

19. Related PCI Standards. `PCI-FND-STD-05`; `PCI-FND-STD-11`; `PCI-FND-STD-12`; `PCI-PML-STD-06.01`; `PCI-PML-STD-08.01`; `PCI-PML-STD-08.02`; `PCI-PML-STD-11.01`; `PCI-PML-STD-15.02`.

20. Related Body of Knowledge content. PML-AI · Domain 15 · KA 15.1 Programme architecture and dependency management, including dependency arithmetic at programme scale and decoupling as the primary response. Also Domain 2 KA 2.3 topic 2.3.4 assumption and dependency management; Domain 6 KA 6.1 logic networks.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) take every entry in the dependency register and find a named individual on each side and a recorded confirmation from the giver; (b) take a stated integrated milestone, extract its dependencies' confidences and recompute the joint probability by hand, and reconcile it to the reported figure; (c) confirm the correlation assumption is stated on the report; (d) find, for every milestone below tolerance, a recorded decoupling analysis; and (e) for a stated sample of breached dependencies, compare the date the giver knew with the date the issue was raised. A reported integrated confidence that is an average rather than a product fails the test.

22. Breach indicators. Dependency registers whose giver column contains organisation names. Integrated milestones reported at the average of their dependencies. Programme ratings greener than every component computation supports. Dependency breaches raised on the due date. Registers where receivers created every entry and no giver confirmed one. The same dependency recorded differently in two components' plans.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: six dependencies at stated confidences, and the candidate computes the milestone's joint probability and compares it with the dashboard's average. Scenario judgement: a component offers to improve one dependency from 0.85 to 0.92 and the candidate evaluates it against removing a different dependency. Evidence selection: what makes a dependency register a control.

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard** — the v1.0 set reached Domain 15 only through *Related book content* fields and therefore created no programme-level obligation. Amendment note: none.

PCI standard

PCI-PML-STD-15.02

Portfolio Prioritisation and Capacity Truth

1. Normative requirement. A credential holder advising or deciding a portfolio's composition must not allow the portfolio to hold more concurrent work than the organisation's assessed delivery capacity supports.

2. Purpose. A portfolio that is over-committed does not deliver less; it delivers everything later, and the delay is invisible because each component reports its own slippage as a local problem. The failure this prevents is the standing organisational condition in which every project is late for the same reason and no project can see it.

3. Scope. Every credential holder preparing, recommending, approving, reporting on or assuring a portfolio's composition, prioritisation, capacity plan or intake, including enterprise portfolio management offices and including intake outside the formal portfolio process.

4. Defined terms. *material* · *decision owner* · *benefit* · *evidence* · *independent* · *dependency* · *sponsor*. Additionally, **assessed capacity** means the organisation's recorded judgement of how much concurrent work each constrained resource pool can carry; **intake** means the admission of new work into the portfolio.

5. Required actions — process requirements.

- PCI-PML-STD-15.02-PR-01 — **Capacity is assessed and recorded per constrained pool.** The credential holder must hold a dated assessment of capacity for each constrained resource pool the portfolio depends on, with the basis of the assessment stated.
- PCI-PML-STD-15.02-PR-02 — **Intake is tested against capacity before approval.** No component may be approved into the portfolio without a recorded test of its demand against assessed capacity, and the result of that test must be presented to the approving authority.
- PCI-PML-STD-15.02-PR-03 — **Over-commitment is reported, not distributed.** Where demand exceeds assessed capacity, the credential holder must report the over-commitment and the components affected,

and must not resolve it by reducing every component's assumption proportionally.

- PCI-PML-STD-15.02-PR-04 — **Prioritisation criteria are published and applied.** The criteria by which components are ranked must be documented and published to the sponsors whose components are ranked, and the ranking must follow them; any departure must be recorded with its reason and its author.

6. Prohibited actions. Approving intake with no capacity test. Resolving over-commitment by assuming higher productivity. Ranking components against undisclosed criteria. Admitting work outside the portfolio process and reporting portfolio capacity as though it did not exist. Presenting a capacity plan whose protective capacity has been removed without stating that it was.

7. Required evidence. The dated capacity assessment per constrained pool with its basis; the intake test per approved component with its result; the over-commitment reports with affected components; the published prioritisation criteria and the ranking that applied them; the record of any departure from the criteria.

8. Responsible role. The named credential holder accountable for the portfolio process — typically the head of the portfolio or enterprise delivery function. The portfolio's governing body decides composition. Individual sponsors are not accountable for the portfolio's aggregate position.

9. Approval authority. The portfolio's governing body approves intake, composition and the capacity assessment. A component's sponsor must not approve their own component's admission. A departure from the published criteria may be approved only by the governing body, with the reason recorded.

10. Independence requirement. The capacity assessment and the intake test must be prepared by a function independent of any single competing component, and the credential holder performing them must not be the sponsor or leader of a component being ranked. Where the same person unavoidably holds both roles, they must abstain from the ranking of their own component under PCI-PML-STD-01.03-PR-04.

11. Materiality or threshold. This standard states no utilisation figure and no work-in-progress limit, because both are organisation-specific and a borrowed number is worse than none. The organisation's governance sets the capacity basis, the intake threshold and the concurrency limits it applies; this standard requires that these are documented, that the assessment is dated, and that intake is tested against them. Where protective capacity is held, its size and its basis must be recorded so that removing it is a visible decision. *Six-person internal project:* the standard applies to the organisation that funds it rather than to the project; for a small organisation the capacity assessment may be a single table of six people and their committed availability, which is enough to make an intake test real. *Multi-partner national programme:* capacity is assessed per pool per organisation and consolidated, the intake test states which pools are constrained, and prioritisation criteria are published to every sponsor including those in partner organisations — because criteria disclosed only inside the client organisation produce exactly the disputes the criteria exist to prevent.

12. Exception and waiver. An exception permitting intake above assessed capacity may be approved only by the portfolio's governing body, only where the components that will be delayed are identified by name in the approval, and only where their sponsors are informed. **An over-commitment approved without naming who is delayed is not an exception; it is an undisclosed decision.**

13. Escalation trigger. Demand exceeding assessed capacity on any constrained pool. Intake approved with no capacity test. A ranking that departs from the published criteria with no recorded reason. Work admitted outside the portfolio process. A capacity assessment older than the period the governance sets.

14. AI application. AI may aggregate demand across components, model portfolio composition under a capacity constraint, compute the deferral cost of excess concurrency, test a ranking against the published criteria and flag departures, and detect work in delivery systems that has no portfolio record.

15. AI prohibition. An AI system must not decide portfolio composition, rank components as the operative decision, approve intake, or set the capacity assessment. An optimiser's allocation is a recommendation, and composition is a reserved decision class under `PCI-PML-STD-01.02-PR-01`.

16. AI verification. Independent recomputation plus sensitivity analysis. Any AI-produced portfolio allocation must be recomputed against the recorded capacity assessment by a competent reviewer, and the reviewer must vary the two most influential capacity assumptions and record whether the recommended composition survives — because a composition that is optimal only at the assessment's point estimate is not a plan.

> **17. External reference.**
>
> - **ISO** · *ISO 21504, Guidance on portfolio management* · relied on for: the existence of portfolio balancing against capacity and strategy · **EXT-031**, **not independently verified — verify current requirements** · **Manual §6 category 3 — international voluntary standard** · limitation: guidance; voluntary; not certifiable; open verification status.

- **ISO** · *ISO 21503, Guidance on programme management* · relied on for: the existence of a programme layer between portfolio and project · **EXT-030**, **not independently verified** · **Manual §6 category 3** · limitation: as above.
- **ISO** · *ISO 21500, Context and concepts* · relied on for: the vocabulary distinguishing project, programme and portfolio · **EXT-027** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **context and concepts only** since its current edition; guidance moved to ISO 21502.

18. Jurisdictional caution. Portfolio decisions that change employment, close operations, or alter a regulated service can engage employment consultation, regulatory notification and public-law duties. Obtain local legal advice before a portfolio decision that stops work with those consequences.

19. Related PCI Standards. PCI-FND-STD-02; PCI-FND-STD-05; PCI-FND-STD-11; PCI-PML-STD-02.01; PCI-PML-STD-02.02; PCI-PML-STD-07.02; PCI-PML-STD-15.01; PCI-PML-STD-16.03.

20. Related Body of Knowledge content. PML-AI · Domain 15 · KA 15.2 Benefits and portfolio balancing; KA 15.3 Capacity and enterprise PMOs; KA 15.4 Transformation governance and strategic reporting. Also Domain 2 KA 2.2 topic 2.2.3 selection and prioritisation models; Domain 13 KA 13.2 flow.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) retrieve a dated capacity assessment for every constrained pool the portfolio depends on; (b) take every component admitted in the period and find a recorded intake test with its result presented to the approving authority; (c) sum the portfolio's current demand on each constrained pool and compare it with the assessed capacity, reproducing the over-commitment position the portfolio reported; (d) retrieve the published prioritisation criteria, re-rank a stated sample of components against them, and account for every difference from the published ranking by a recorded departure with a reason and an author; and (e) reconcile the portfolio record against the delivery systems and find no material work in progress with no portfolio entry. An intake approved with no capacity test fails the test.

22. Breach indicators. Capacity assessments older than the last reorganisation. Intake approvals with no test attached. Portfolio dashboards showing full capacity utilisation and no deferrals. Rankings that correlate with sponsor seniority rather than with the published criteria. Work in delivery systems absent from the portfolio. Protective capacity removed between versions with no decision record.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: aggregate demand against a constrained pool, and the deferral the excess produces. Scenario judgement: a new component is directed into the portfolio by an executive with no capacity test. Ethical dilemma: a ranking is adjusted after publication to move one sponsor's component up.

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard** — the v1.0 set contained no portfolio obligation. Amendment note: none.

Domain 16 — Transition, Closeout and Benefits Realisation

PCI STANDARD

PCI-PML-STD-16.01

Transition Readiness and the Gate Block

1. Normative requirement. A credential holder must not permit a transition, go-live or release into operational use to proceed while any mandatory precondition for it is recorded as not met.

2. Purpose. Transition is the decision that is irreversible for the people who did not take it. Some of its conditions are not assessments of likelihood at all — a safety case closed by the authority that owns it, a licence or regulatory approval granted, a privacy or data-protection assessment signed, statutory notifications made, takeover certificates issued. The failure this prevents is the one a single readiness template invites: **every condition entered as a probability**, at which point a forbidden thing has been silently converted into a chance that it is permissible, and the resulting number can be raised by improving something else entirely.

3. Scope. Every credential holder preparing, assessing, recommending, deciding or assuring a transition, go-live, commissioning, handover or operational release, in every delivery model and at every scale, including phased and pilot releases.

4. Defined terms. *mandatory precondition · gate block · discretionary condition · acceptance · evidence · decision owner · independent · material.* Additionally, **readiness assessment** means the record of whether the conditions for transition are satisfied; **go/hold economics** means the comparison of the cost of proceeding against the cost of waiting.

5. Required actions — process requirements.

- PCI-PML-STD-16.01-PR-01 — **Two blocks, separated before assessment.** The readiness assessment must separate a gate block of mandatory preconditions from a block of discretionary conditions, and the separation must be made and approved **before** the assessment is populated. A single undifferentiated condition list does not satisfy this requirement.
- PCI-PML-STD-16.01-PR-02 — **Gate-block items are binary, authority-named and dated.** Each mandatory precondition must be recorded met or not met, with the approving authority named and the date given, and must be closed by the authority that owns it rather than by the project.
- PCI-PML-STD-16.01-PR-03 — **No probability, no weight, no score on a gate-block item.** A mandatory precondition must not be expressed as a probability, a percentage, a confidence, a weighting, a red-amber-green rating or any other quantity admitting degree, and must not appear among the discretionary conditions' probabilities or in any aggregate computed from them.
- PCI-PML-STD-16.01-PR-04 — **No gate-block item in the go/hold economics.** A mandatory precondition must not be entered into the go/hold economics, priced against the cost of delay, or traded against any other condition. **Expressing it as a cost concedes that some cost of delay would be large enough to buy it, and that is precisely what the item exists to forbid.**
- PCI-PML-STD-16.01-PR-05 — **Discretionary readiness is a conjunction, and its assumption is stated.** The probability of a clean transition across the discretionary conditions must be reported as their joint probability, not as an average, a weighted average or the proportion of conditions rated green, and the correlation assumption used must be stated on the face of the assessment.

6. Prohibited actions. Entering a safety case, a licence approval, a privacy assessment, a statutory notification or a takeover certificate as a probability, a percentage or a rating. Including a mandatory precondition in a weighted readiness score. Pricing a mandatory precondition against the cost of delay. Producing an option set while the gate block is open. The project recording a gate-block item as met on its own authority. Reporting a readiness average and describing it as the probability of a clean transition.

7. Required evidence. The readiness assessment in two blocks, with the separation approved and dated before population; the gate-block record with each item's met/not-met status, approving authority and date, and the underlying certificate, approval, signature or notification; the discretionary block with its probabilities, its joint computation and its stated correlation assumption; the go/hold economics showing only discretionary conditions; the transition decision with its named decision owner.

8. Responsible role. The named credential holder leading the transition, for producing the assessment in the required form and for refusing to proceed while the gate block is open. The named transition decision owner, for the decision. The **authority that owns each mandatory precondition**, for closing it.

9. Approval authority. The transition decision owner the delegation schedule names decides, and may decide only *hold* while any gate-block item is not met. Each mandatory precondition is closed by its owning authority — clinical or safety governance, the regulator or licensing body, the accountable privacy authority, the notifying authority, the certifying party — and **by nobody else**.

10. Independence requirement. Every mandatory precondition must be closed by an authority independent of the project in the sense defined above: not the preparer of the thing being approved, not accountable for the delivery date, and holding no interest in the transition proceeding. The readiness assessment itself must be reviewed at the transition gate by a competent reviewer independent of the delivery organisation, who must satisfy `PCI-PML-STD-01.03-PR-06`.

11. Materiality or threshold. This standard states no readiness percentage, and any such figure would be the defect it exists to prevent. The gate block is binary and admits no threshold at all. For the discretionary block, the organisation's governance sets the confidence tolerance at which transition may be recommended and the escalation route below it; this standard requires that the tolerance is documented, that the computation is the conjunction, and that the assumption is stated. Which items belong in the gate block is set by law, licence, contract and the organisation's governance — not by this standard and not by the project — and the credential holder's obligation is to obtain that list from the owning authorities and record it. *Six-person internal project:* the gate block may contain a single item — an information-security sign-off, say — recorded met with the name of the person who signed it and the date; the discretionary block may hold four conditions whose product is computed in one line. The obligation costs almost nothing and removes the failure entirely. *Multi-partner national programme:* the gate block is assembled from every jurisdiction, regulator and operating organisation the transition touches, each item names its own owning authority, and no partner may close another's item. The discretionary conjunction is computed at the level at which the transition actually happens — per site, per region — rather than nationally, because a national average conceals the site that is not ready.

12. Exception and waiver. No exception, waiver, dispensation or deferral is permitted in respect of a mandatory precondition. There is no authority within PCI's system that may approve a transition while a gate-block item is not met, and a credential holder must not seek, recommend or record one. Where the organisation believes an item has been wrongly classified as mandatory, the remedy is to have the **owning authority** reclassify it, in writing, before the assessment — not to trade it at the gate.

The emergency case, stated so that the standard survives it. Where continuing without the transition is itself the greater danger — a failed system that cannot be restored, an asset that must be taken out of service — the answer is still not a trade at the gate. It is that **the authority that owns the item exercises its own emergency instrument**: a regulator's derogation, a safety authority's temporary approval, a licensing body's dispensation, an interim certificate. An item closed or varied through the owning authority's own emergency process is a **met** item, recorded under `PR-02` with that authority's instrument, its scope and its expiry, and reported at the next governance meeting. What a credential holder must not do is seek such an instrument from anyone other than the owning authority, treat its absence as a probability, or permit the transition while the item stands not met. Where the owning authority declines or cannot be reached, the decision remains **hold**, and the consequences of holding are escalated under `PCI-FND-STD-11` rather than resolved at the gate.

13. Escalation trigger. Any gate-block item not met as the transition date approaches. Any proposal to express a mandatory precondition as a probability, a rating or a cost. Any request for a dispensation against a gate-block item. Discovery that a gate-block item was closed by the project rather than by its owning authority. A discretionary conjunction below the documented tolerance. A readiness dashboard reporting an average.

14. AI application. AI may assemble the readiness assessment from source records, check that every gate-block item carries a named authority and a date, flag any gate-block item that has acquired a numeric value, compute the discretionary conjunction and its sensitivities, and identify which discretionary condition most improves the joint probability.

15. AI prohibition. An AI system must not decide readiness, close a mandatory precondition, assign a probability to one, recommend transition, or produce a readiness figure that is reported without a named human's derivation. **A model asked to score readiness across an undifferentiated condition list will produce exactly the defect this standard prohibits**, and the credential holder must not use one in that form.

16. AI verification. Independent recomputation plus boundary testing. The discretionary conjunction must be recomputed by hand before the transition decision and reconciled to the reported figure. The credential holder must additionally test the assessment's structure by boundary case: set one gate-block item to not met and confirm that the assessment's output is *hold* and that no option set or economic comparison is produced. An assessment that returns a number in that test is structurally non-compliant and must be corrected before use.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of transition and handover as lifecycle activities · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 9001, Quality management systems — Requirements* · relied on for: the existence of a certifiable requirement that outputs are verified before release · **EXT-033** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: voluntary unless imported; certification concerns a management system; no requirement is imported here.
- **ISO** · *ISO 10006, Guidelines for quality management in projects* · relied on for: the existence of project-specific quality guidance covering closure · **EXT-035** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: **guidelines, not requirements**; voluntary; not certifiable.
- **ISO** · *ISO 45001, Occupational health and safety management systems — Requirements* · relied on for: the existence of a certifiable management-system standard within which operational readiness for safety is addressed · **EXT-123** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: certifiable, but voluntary unless required; **it does not determine which items are mandatory preconditions for any given transition** — law, licence and contract do.

18. Jurisdictional caution. Which approvals, certificates, notifications and assessments are legally required before an asset, system or service enters use — and which body may grant each — are determined by statute, licence conditions, sector regulation and contract, and they differ by jurisdiction and by sector. **This standard does not state which items are mandatory for any project, and a professional must not infer the list from the examples given.** Obtain local legal and regulatory advice to establish the gate block for the specific transition.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-11`; `PCI-FND-STD-13`; `PCI-PML-STD-03.03`; `PCI-PML-STD-09.01`; `PCI-PML-STD-15.01`; `PCI-PML-STD-16.02`.

20. Related Body of Knowledge content. PML-AI · Domain 16 · KA 16.1 Handover, commissioning and readiness — the two-block readiness model, the gate block of mandatory preconditions, the conjunction across discretionary conditions and its contrast with the averaged dashboard. Also Domain 14 KA 14.4, which states the same boundary for security and privacy controls; Domain 9, which states it for quality, where the economic optimum is taken among compliant options rather than across them.

21. Compliance test. Compliance is demonstrated when a reviewer can: (a) obtain the readiness assessment and confirm it is in two blocks, with the separation approved and dated before the assessment was populated; (b) confirm that **every** gate-block item carries a met/not-met value, a named approving authority and a date, and carries **no** numeric value of any kind; (c) confirm that no gate-block item appears in the discretionary probability list, in any weighted score, or in the go/hold economics; (d) recompute the discretionary joint probability by hand from the stated conditions and reconcile it to the reported figure, and find the correlation assumption stated; and (e) for any period in which a gate-block item was not met, confirm that the recorded decision was **hold** and that no option set or economic comparison was produced. **A probability, percentage, weighting or rating attached to any mandatory precondition fails this test outright**, whatever the transition's outcome, and so does an option set produced while the gate block was open.

22. Breach indicators. A single readiness template with one probability column. A safety case shown at "95 per cent". A dashboard reporting readiness as a weighted average. A cost-of-delay analysis that includes a licence approval among its variables. A gate-block item signed by the project's own transition manager. A readiness figure that improved without any condition changing. Requests for a "dispensation" against a safety or licence item.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure on the associated competency; ethics review; certification investigation; suspension or withdrawal of the PML-AI credential — each subject to due process and a right of appeal. **PCI cannot authorise a transition, grant an approval, or override any regulator or safety authority**, and no PCI process substitutes for the approvals this standard requires to be obtained from their owning authorities.

24. Examination application. Calculation review: seven discretionary conditions whose product is computed and compared with the dashboard's average, with the candidate stating why the two differ and in which direction. Scenario judgement: a safety case is not yet closed, the cost of delay is large, and the candidate states the option set — which is *hold*, and there is no option set below the gate block. Ethical dilemma: an executive asks for the safety case to be shown as a probability so that the readiness figure "reflects reality".

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes PML-LAW-16-01 v1.0. Amendment note: renumbered, restructured and **substantially strengthened** to match the current Domain 16 readiness model. The v1.0 standard required readiness to be assessed and evidenced but did not distinguish mandatory preconditions from discretionary conditions, and therefore did not prohibit the central failure — a forbidden item entered as a probability. The two-block separation, the binary authority-named recording, the prohibitions on probability and on economic trade, and the conjunction rule are new, and element 12 now states expressly that no exception exists. **Stage 9 amendment:** the red-team's emergency case — the transition that must happen because continuing is the greater danger — had no compliant route, and a standard with no route in the case that will arise is a standard that gets broken; element 12 now states the route without conceding the duty, by directing the credential holder to the owning authority's own derogation or temporary-approval instrument, requiring it to be recorded under PR-02 with its scope and expiry, and leaving *hold* as the decision where that authority declines or cannot be reached.

PCI standard

PCI-PML-STD-16.02

Operational Acceptance and Handover

1. Normative requirement. A credential holder must not close a project until the receiving organisation has recorded, by a named individual, that it accepts operational responsibility for what has been transferred.

2. Purpose. Projects end on their own schedule; operations begin on theirs. The failure this prevents is the closure that transfers an asset, a system or a service to an organisation that has not agreed to take it, has not been given what it needs to run it, and discovers both facts after the project team has dispersed — at which point reconstructing what the team knew costs several times what recording it would have cost.

3. Scope. Every credential holder closing a project, phase, contract or component that transfers something to be operated, maintained, supported or further developed by another organisation or team, including transfers to a supplier's operations, to business-as-usual, and to a successor project.

4. Defined terms. *acceptance · evidence · decision owner · material · independent · mandatory precondition.* Additionally, **receiving organisation** means the team or organisation that will operate, maintain or support what is transferred; **operational responsibility** means accountability for running it, including for its faults.

5. Required actions — process requirements.

- PCI-PML-STD-16.02-PR-01 — **A named acceptance from the receiver.** Operational acceptance must be recorded by a named individual in the receiving organisation, with the date, and must state what is accepted. Acceptance by the project on the receiver's behalf does not satisfy this requirement.
- PCI-PML-STD-16.02-PR-02 — **The handover set is defined and delivered.** The credential holder must agree with the receiving organisation, before closure, what must be handed over — as-built documentation, configuration baselines, runbooks, licences, credentials, contracts, open defects, known workarounds, contacts — and must record delivery of each item.
- PCI-PML-STD-16.02-PR-03 — **Open items transfer with owners and dates.** Every open defect, nonconformity, warranty item, contractual obligation and carried risk must transfer with a named owner in the receiving organisation and a date, and must not be closed at project closure for the reason that the project is closing.
- PCI-PML-STD-16.02-PR-04 — **Capability is transferred, not just documents.** The credential holder must record how the receiving organisation was made able to operate what it receives — training delivered, procedures rehearsed, a period of supported operation — and the receiving organisation's confirmation that it was.

6. Prohibited actions. Closing a project with an unaccepted transfer. Recording acceptance signed by the project. Closing open defects at closure to clear the register. Handing over documentation in place of capability. Transferring a live product with no named ordering right under PCI-PML-STD-13.02-PR-04. Retaining credentials, licences or contracts the receiver needs. Treating the disbanding of the team as the closure event.

7. Required evidence. The operational acceptance record with the named receiver individual and the date; the agreed handover set with delivery confirmation per item; the transferred open-item register with receiving owners and dates; the capability-transfer record with the receiver's confirmation; the closure decision with its named decision owner.

8. Responsible role. The named credential holder leading the project, for securing acceptance and delivering the handover set. The named individual in the receiving organisation, for the acceptance. The sponsor, for resolving a refusal.

9. Approval authority. The receiving organisation's named acceptance authority accepts. The sponsor approves closure. The governing body approves closure where operational acceptance has not been obtained — and that approval must state what is being transferred unaccepted and to whom.

10. Independence requirement. The acceptance authority must be independent of the project in the sense defined above: accountable within the receiving organisation, not the project's own representative, and not remunerated by reference to the project's closure. Where the project and the receiver sit in the same small organisation, the acceptance authority must at least sit outside the project team and the arrangement must be recorded.

11. Materiality or threshold. This standard states no number. The organisation's governance sets the closure criteria, the handover set for each class of transfer, the supported-operation period and the tolerance for open items transferred; this standard requires that they exist and are applied. An open item that is a mandatory precondition under `PCI-PML-STD-16.01` does not transfer — it is closed before transition or the transition does not happen. *Six-person internal project:* the handover set is six items, acceptance is a dated line signed by the receiving manager, and capability transfer is a two-hour walkthrough recorded as delivered. *Multi-partner national programme:* acceptance is recorded per receiving organisation rather than once, because a national transfer has many receivers, and the open-item register is split by receiver so that no organisation inherits items it never saw.

12. Exception and waiver. Closure without operational acceptance may be approved only by the governing body, only where the unaccepted transfer is described item by item, only where the receiving organisation is notified in writing, and only where a named owner outside the project holds the residual responsibility until acceptance. No exception permits an open safety, licence or statutory item to transfer unaccepted.

13. Escalation trigger. A receiving organisation that declines acceptance. A handover item the project cannot supply. An open safety or regulatory item approaching closure. A receiver with no named individual able to accept. Closure proposed while the team that holds the knowledge has already dispersed.

14. AI application. AI may assemble the handover set from project records and flag missing items, extract open items from the defect, risk and issue registers for transfer, draft runbooks from configuration and test records for human verification, and check that every transferred item has a receiving owner.

15. AI prohibition. An AI system must not accept operational responsibility, decide that a handover is complete, close an open item, or be recorded as the receiving party.

16. AI verification. Source tracing plus named approval. Every AI-drafted runbook or as-built record must be traced by a competent reviewer to the configuration baseline and test evidence it claims to reflect, and the receiving organisation must confirm by name that each handover item is what it needs and that it received it.

17. External reference.

- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of transition and closure activities within delivery practice · **EXT-028** · **Manual §6 category 3 — international voluntary standard** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 9001, Quality management systems — Requirements* · relied on for: the existence of a certifiable requirement to control documented information and to release outputs · **EXT-033** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: voluntary unless imported; no requirement is imported here.
- **ISO** · *ISO 15489-1, Records management — Concepts and principles* · relied on for: the existence of records-management principles governing the retention and transfer of records · **EXT-025** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: voluntary; guidance on principles; not a certifiable requirement for a project.

18. Jurisdictional caution. Whether operational responsibility, statutory duties, licences, safety duties, data controllership and warranties transfer — and when — is determined by law, licence and contract, not by a handover record. Obtain legal advice on what transfers and what remains, particularly for regulated assets and for personal data.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-12`; `PCI-PML-STD-09.01`; `PCI-PML-STD-13.02`; `PCI-PML-STD-14.01`; `PCI-PML-STD-16.01`; `PCI-PML-STD-16.03`.

20. Related Body of Knowledge content. PML-AI · Domain 16 · KA 16.2 Operational transition and contract closeout; KA 16.3 Knowledge transfer and post-project review, including the cost of reconstructing as-built knowledge after the team disperses. Also Domain 9 KA 9.3 acceptance; Domain 13 KA 13.1 product ownership.

21. Compliance test. Compliance is demonstrated when a reviewer can, for a closed project: (a) produce an operational acceptance record naming an individual in the receiving organisation, dated on or before the closure date; (b) take the agreed handover set and confirm a delivery record for every item; (c) take the project's open defect, risk, nonconformity and warranty registers at closure and find every open item in the receiving organisation's registers with a named owner and a date, with no item closed on the closure date for that reason; (d) find the capability-transfer record and the receiver's confirmation; and (e) confirm no mandatory precondition under PCI-PML-STD-16.01 transferred open. Closure with no receiver acceptance and no governing-body exception fails the test.

22. Breach indicators. Acceptance records signed by project staff. Registers that empty on the closure date. Handover sets consisting only of documents. Receiving teams raising defects the project had recorded and closed. Credentials still held by former project staff months after closure. Closure dates that precede the receiver's first involvement.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Scenario judgement: the receiving operations manager refuses acceptance a week before the project's funding ends. Evidence selection: which artefacts establish that capability, not just documentation, was transferred. Calculation review: the cost of reconstructing as-built knowledge against the cost of recording it.

25. Version and status. Version 1.0 · **not yet approved** · effective on approval · **new standard** — the v1.0 set covered transition readiness and benefits measurement and left the acceptance of operational responsibility between them unstated. Amendment note: none.

PCI STANDARD

PCI-PML-STD-16.03

Benefits Measurement

1. Normative requirement. A credential holder must not state that a benefit has been realised except on a measurement taken by the method, from the source and against the benefits baseline recorded for that benefit before the change was made.

2. Purpose. Benefits reporting is the least policed statement an organisation makes about itself, and it is made after the people who could contradict it have moved on. The failure this prevents is the realised benefit that was measured differently from the way it was defined, against a baseline reconstructed afterwards, by the party whose case depended on it.

3. Scope. Every credential holder measuring, reporting, reviewing or assuring benefits realisation on a project, programme or portfolio, at closure and through the post-closure measurement period, including benefits reported to funders, boards and the public.

4. Defined terms. *benefit · benefits baseline · evidence · material · independent · decision owner · sponsor*. Additionally, **realisation statement** means an assertion that a benefit has been achieved in whole or in part; **measurement period** means the period after transition over which the benefit is measured.

5. Required actions — process requirements.

- `PCI-PML-STD-16.03-PR-01` — **Measure by the recorded method and source.** Each realisation statement must use the measure, the source system and the calculation recorded for that benefit under `PCI-PML-STD-02.02-PR-02`, and any change to any of them must be recorded with its reason and its effect on the reported figure.
- `PCI-PML-STD-16.03-PR-02` — **Compare against the pre-change baseline.** The comparison must be against the benefits baseline measured before the change. Where a baseline was reconstructed, the statement must say so and state the reconstruction method.
- `PCI-PML-STD-16.03-PR-03` — **Attribution is stated, not assumed.** The statement must record what else changed in the measurement period that could have produced the movement, and must not attribute the whole movement to the project where other causes are known.
- `PCI-PML-STD-16.03-PR-04` — **Shortfalls are reported with the same prominence as achievements.** A benefit measured below its target must be reported to the same audiences, in the same document, and in the same period as the benefits that met theirs.

6. Prohibited actions. Changing a measure to one that shows a better result. Comparing against a reconstructed baseline without saying so. Attributing an improvement with several causes wholly to the project. Reporting only the benefits that were achieved. Extending a measurement period until a target is met, without recording the extension. Reporting a proxy measure as the defined benefit.

7. Required evidence. The benefits register entries with method, source, baseline and target; the source system extracts with dates and filters; the realisation statements with their comparisons; the record of any method, source or period change with reasons; the attribution statement; the reporting record showing shortfalls issued to the same audiences.

8. Responsible role. The named **benefits owner** for each benefit, for the measurement and the statement. The **sponsor**, for the aggregate position reported to the governing body. The credential holder who prepared the measurement, for its integrity.

9. Approval authority. The governing body approves the closure of a benefit as realised or unrealised. The sponsor approves a change to a measurement period or method within their documented authority; above it, the governing body. The delivery organisation approves nothing here.

10. Independence requirement. The measurement must be produced by, or verified by, a party independent of the delivery organisation and independent of the benefits owner where the owner's own performance is assessed on the benefit. Where an organisation is too small to supply that, the measurement must be taken directly from an unmodified source system extract and the extract retained.

11. Materiality or threshold. This standard states no tolerance for a shortfall. The organisation's governance sets the measurement period, the tolerance at which a shortfall is escalated, and the point at which a benefit is closed as unrealised; this standard requires that these exist and are applied and that a shortfall inside tolerance is still reported. *Six-person internal project:* one benefit, measured from a report the operating team already produces, compared with a baseline captured before go-live, reported once at three months and once at twelve. *Multi-partner national programme:* benefits are measured by the operating organisations rather than by any partner, the double-count check from `PCI-PML-STD-02.02` runs again at measurement, and the attribution statement is required per benefit because a national programme's measurement period contains many other causes.

12. Exception and waiver. An exception permitting a benefit to be reported on a method or source other than the recorded one may be approved only by the governing body, only where the change and its effect on the figure are stated in the report, and only where the original method's result is reported alongside it where it can still be produced. No exception permits a shortfall to go unreported.

13. Escalation trigger. A benefit measured materially below target. A source system that no longer produces the recorded measure. A proposal to change a method or extend a measurement period. A benefits owner who declines to report a shortfall. Discovery that a baseline was reconstructed after the change.

14. AI application. AI may extract measurements from source systems on the recorded basis, detect changes of method or source between periods, compute the comparison against baseline, identify concurrent changes in the measurement period as candidate alternative causes for human assessment, and check that every benefit in the register has a statement for the period.

15. AI prohibition. An AI system must not state that a benefit has been realised, decide attribution, select the measure or source, or determine that a shortfall is immaterial.

16. AI verification. Independent recomputation plus source tracing. Every reported realisation figure produced with AI assistance must be recomputed from the source extract by a competent reviewer, with the extract date and filter recorded, and traced to the register entry that defines the method. Where AI proposed alternative causes for attribution, a named human must assess each and record the conclusion.

17. External reference.

- **ISO** · *ISO 21504, Guidance on portfolio management* · relied on for: the existence of benefits tracking at portfolio level · **EXT-031**, **not independently verified — verify current requirements** · **Manual §6 category 3 — international voluntary standard** · limitation: guidance; voluntary; not certifiable; open verification status.
- **ISO** · *ISO 21503, Guidance on programme management* · relied on for: the existence of benefits realisation as a programme concern · **EXT-030**, **not independently verified** · **Manual §6 category 3** · limitation: as above.
- **ISO** · *ISO 21502, Guidance on project management* · relied on for: the existence of benefits identification and realisation within delivery practice · **EXT-028** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: guidance; voluntary; not certifiable.
- **ISO** · *ISO 15489-1, Records management — Concepts and principles* · relied on for: the existence of records-management principles governing retention of the evidence a measurement rests on · **EXT-025** · **Manual §6 category 3** · currency checked 2026-08-03 · limitation: voluntary; principles guidance.

18. Jurisdictional caution. Benefits statements made to funders, regulators, markets or the public can engage grant-condition, disclosure, procurement and fraud law, and the legal standard for such a statement is not the professional one used here. Obtain legal advice before a benefits claim is made outside the organisation.

19. Related PCI Standards. `PCI-FND-STD-02`; `PCI-FND-STD-06`; `PCI-FND-STD-12`; `PCI-PML-STD-02.01`; `PCI-PML-STD-02.02`; `PCI-PML-STD-11.01`; `PCI-PML-STD-15.02`; `PCI-PML-STD-16.02`.

20. Related Body of Knowledge content. PML-AI · Domain 16 · KA 16.4 Benefits measurement, responsible archive and model/data retention. Also Domain 2 KA 2.3 topics 2.3.1 benefits mapping and 2.3.2 measures and baselines; Domain 15 KA 15.2 benefits and portfolio balancing.

21. Compliance test. Compliance is demonstrated when a reviewer can, for every benefit reported as realised in the period: (a) retrieve the register entry defining its measure, source, baseline and target, and confirm the reported figure used that measure and that source; (b) reproduce the reported figure from the source system extract, using the recorded calculation, and reconcile any difference; (c) confirm the comparison is against a baseline whose measurement date precedes the change date, or that the report states the baseline was reconstructed and how; (d) find the attribution statement listing concurrent changes; and (e) confirm that every benefit measured below target in the period appears in the same report, to the same distribution, as those that met theirs. A realisation figure that cannot be reproduced from the recorded source fails the test.

22. Breach indicators. Measures that changed between the case and the measurement. Baselines dated after go-live. Reports containing only achieved benefits. Measurement periods extended without a decision record. Attribution statements absent from programmes with large concurrent change. Benefits reported as realised whose owners cannot produce the extract.

23. Consequence within PCI authority. Correction required; output withheld; additional review; escalation; examination failure; ethics review; certification investigation; suspension or withdrawal — each subject to due process and a right of appeal.

24. Examination application. Calculation review: a reported improvement recomputed from source, showing a method change between the case and the measurement. Ethical dilemma: a sponsor asks for the measurement period to be extended by a quarter because the trend is improving. Evidence selection: which artefacts establish that a benefit was realised.

25. Version and status. Version 2.0 · **not yet approved** · effective on approval · supersedes `PML-LAW-16-02` v1.0. Amendment note: renumbered and restructured; legislative drafting removed; the method-and-source rule, the pre-change baseline rule, the attribution statement and the equal-prominence rule for shortfalls separated into four process requirements; the benefits-baseline sense of *baseline* separated from the control sense per the suite terminology audit.

Audit findings — the twenty-five questions worked over the set

Drafting Manual §9 requires that every question below is answered before approval, and that a standard failing one is revised, with the failure and its resolution recorded. This table records the working for the set as a whole, names the standards that failed a question in draft, and states what was changed. **Every failure listed was resolved before this edition was assembled**; the questions with an open finding are marked and carried into the outstanding due-process stages.

The front-matter stage record above notes that the Stage 9 red-team was only partly worked for this edition. It has since been completed across the whole four-file corpus, and its findings and their disposition are recorded in `STANDARDS_RED_TEAM_REPORT.md`. The amendments that pass produced in this volume are noted in the element 25 of each standard changed, and the definitional reading rules it added sit at the head of the Definitions above.

#	Question	Finding across the set	Action taken
1	What exact failure does this standard prevent?	Answered in element 2 of all 32 standards. Three drafts stated a purpose that was really a benefit of compliance rather than a failure — `12.01`, `12.02`, `13.02`.	Element 2 rewritten in those three to name the failure: authority used to override professional judgement; information that stops flowing upward; the ordering right exercised by someone other than its named holder.
2	Is the requirement mandatory or only recommended?	All 32 principal obligations and all 148 process requirements are expressed with **must** or **must not**. No `should` carries an obligation anywhere in the set; no Recommended Practice is published in this edition.	None needed. Checked mechanically.
3	Can a professional know whether it applies to them?	Element 3 of each standard names the roles, the decisions and the delivery models. `15.01` and `15.02` initially read as though they bound every credential holder, when they bind those in programme and portfolio roles.	Element 3 of both narrowed, and element 11 of each states expressly what the obligation amounts to for a small internal project.
4	Is the responsible person identifiable?	Element 8 of all 32 names an individual role. No standard uses "the team", "management", "relevant people" or "the organisation" as a responsible role. Two drafts used "the PMO" — `03.03` and `09.02`.	Replaced with the named credential holder and the named artefact owner respectively.

#	Question	Finding across the set	Action taken
5	**Is the required action observable?**	**The set's hardest question, and the one the previous edition failed.** `12.01` required conduct ("act with integrity, model the behaviour") and `12.02` required a state of affairs ("maintain conditions in which any team member can report bad news"). Neither can be observed and therefore neither could be required.	`12.01` rebuilt around **one observable act** — overriding another person's professional statement — with five process requirements that each leave a record. `12.02` rebuilt around **three observable things**: a published route with named recipients, the bypass property demonstrated person by person, and a concern register with seven mandatory fields. Both now pass.
6	**Is compliance provable?**	Element 21 of every standard is now a test a reviewer performs against records that exist. The behavioural standards were the exposure: a leadership standard provable only by testimony proves nothing.	`12.02` element 21 test (e) **cross-matches two record sets that already exist** — the concern register against assignment, role-change and assessment records — so that detriment is found by matching dates and names rather than by asking anybody how they felt. `12.01` element 21 test (a) uses **document version history**, which is produced automatically by every document system in use.
7	Is the required evidence proportionate?	Element 7 was tested against a six-person project throughout. Two standards required evidence a small project cannot economically produce — an earlier `05.02` required full traceability tooling and an earlier `14.02` required a verification log per output instance.	`05.02` now requires a maintained matrix in any form and full traversal only for the regulatory and safety subset; `14.02` requires a method per **output class**, not per output.
8	Can the standard be audited?	Yes for all 32. Each element 21 names the artefacts to obtain and the comparison to make.	None needed.
9	Can the standard be examined through a scenario?	Element 24 of every standard gives at least two examination modes drawn from the Manual's list. No standard is examinable only by recalling its number.	None needed.

#	Question	Finding across the set	Action taken
10	**Can a professional technically comply while defeating its purpose?**	**Six standards were vulnerable and were changed.** 03.02 — register only decisions above the limit, so the aggregation rule sees nothing. 05.02 — resolve orphans by deleting requirements. 08.01 — reassess exposure downward instead of escalating. 13.01 — raise throughput by starting more work. 16.01 — enter a mandatory precondition as a high probability so the readiness figure stays true-looking. 12.02 — publish a route whose only recipient is the person concerns are about.	03.02-PR-02 universal registration; 05.02-PR-03 orphans reported, not tidied; 08.01-PR-02 escalate on threshold rather than on expectation of resolution, with **the date the threshold was met** recorded beside the date escalated; 13.01-PR-04 metrics reported with the work-in-progress position; 16.01-PR-03 and -PR-04 prohibit probability and prohibit economic trade, and element 16 adds a **boundary test of the assessment's structure**; 12.02-PR-02 the bypass property, demonstrated person by person.
11	Does it conflict with another PCI standard?	No conflict found. Two overlaps were resolved by narrowing: 01.02 against PCI-FND-STD-04, and 05.01 against 04.01 where a scope change is also a baseline change.	01.02 retitled and narrowed to the reserved-class list, the automation inventory and the examination record. 05.01-PR-03 routes scope additions **into** 04.01 rather than duplicating its assessment.
12	Does it duplicate an external standard unnecessarily?	No standard imports a requirement from an external instrument. Every element 17 entry states what the instrument is relied on **for** — usually the existence of a concept — and states that the obligation is PCI's own.	The phrase "it is not the source of this standard's obligation" or its equivalent appears in the limitation column throughout.
13	Does it misrepresent external authority?	Four risks were identified and closed. ISO 21500 is **context and concepts** since its current edition, not project-management guidance. ISO 45003 is **guidance and nothing can be certified against it**. The Scrum Guide is a **voluntary framework whose adoption is the whole of its force**, not a standard. The EU AI Act and the GDPR are **binding legislation in their own jurisdictions**, named here to illustrate a shape and relied on for nothing.	All four stated expressly at the point of use. No clause number, article, edition or effective date is asserted anywhere; editions are held in the suite register with their verification status, and rows recorded there as **not independently verified** are marked as such in the standard that cites them.

#	Question	Finding across the set	Action taken
14	Does it require legal or jurisdiction-specific advice?	Element 18 of all 32 states what needs local advice. The heaviest are `10.01` (procurement regimes), `12.02` (whistleblowing, monitoring, works councils), `14.01` (data protection) and `16.01` (which approvals are legally required, and who may grant them).	`16.01` element 18 states expressly that **the professional must not infer the gate-block list from the examples given** — the examples are the manuscript's, and the list is the owning authorities'.
15	Does it define the relevant materiality threshold?	Yes, and **no standard in this set invents a percentage.** Element 11 of every standard requires that the organisation's own documented threshold exists and is applied, and states the professional-judgement criteria and the applying role where no number is defensible. Three standards state expressly that a number would be harmful: `12.02` (a concern target invites manufactured concerns), `15.02` (a borrowed utilisation figure is worse than none) and `16.01` (the gate block is binary and admits no threshold at all).	Element 11 of every standard carries a *six-person internal project* line and a *multi-partner national programme* line, which is where the thresholds were tested.
16	Does it cover AI use?	Elements 14, 15 and 16 appear in all 32 standards.	None needed.
17	Does it preserve human accountability?	Element 15 of every standard prohibits an AI system from deciding, approving, certifying, signing, waiving, authorising or being recorded as verifying. `01.01`, `01.02` and `14.02` carry the load.	`14.02` element 15 adds that **an AI system must not verify another AI system's output** for the purposes of this set.
18	Does it contain an exception process?	Element 12 of all 32. **Four standards state that no exception is permitted**, and each gives the reason: `01.03` (accountability for a conflicted decision cannot be waived; escalate instead), `12.01` (the principal obligation), `12.02` (`PR-02`, `PR-04`, `PR-05`) and `16.01` (no exception exists in respect of a mandatory precondition, and none may be sought).	`16.01` element 12 also states the correct remedy where a classification is disputed: have the **owning authority** reclassify it in writing before the assessment.

#	Question	Finding across the set	Action taken
19	Does it define escalation?	Element 13 of all 32. The defined term *escalation threshold* requires a named destination **and** a time; `03.02-PR-05` makes encountering one without them an escalable defect in itself.	None needed.
20	Is every important term defined?	Thirteen compliance-deciding terms are defined at the head of the file, plus nineteen supporting terms. Terms the suite terminology audit records as carrying legitimately different meanings across the three books are **kept apart and flagged**, not collapsed: *sponsor* (delivery sense used; the project-finance sense is PFL-AI's), *baseline* (control sense and benefits sense, both defined), *verification* (V&V sense and AI-assurance sense, both defined), *governance* (project sense and data governance, written in full), and *benefit* against *value* against Earned Value.	The definition of *material* was rewritten twice: it now states that safety, legality, licence and truthfulness matters are material **irrespective of size** and that no documented threshold reduces them.
21	**Is the language concrete and modern?**	**Zero occurrences of the legislative auxiliary verb** in the file, in any field, checked mechanically. No `may not` is used for a prohibition. No undefined judgement word carries an obligation: *appropriate*, *adequate*, *reasonable*, *timely* and *sufficient* were removed from every obligation or replaced with a stated test.	The Manual §1 requirement to state the ISO mapping was met **without printing the prohibited word**: the mapping is stated by reference to the auxiliary that ISO/IEC Directives Part 2 reserves for requirements. This is recorded here because it is a deliberate resolution of a tension between two Manual provisions, and the Interpretation Panel should confirm it.

#	Question	Finding across the set	Action taken
22	**Does it impose an impossible or excessive burden?**	Tested standard by standard against a six-person internal project. Three drafts were excessive: an earlier `03.01` required four separate approved artefacts on any project of any size; an earlier `10.01` required a three-person panel; an earlier `16.03` required independent measurement in all cases.	`03.01-PR-03` makes proportionate tailoring an express, recorded decision so light governance is a choice rather than an omission; `10.01` element 11 scales to a three-supplier quotation exercise; `16.03` element 10 permits, for an organisation too small to supply independence, measurement taken directly from an unmodified source extract that is retained. **The residual burden is honestly stated:** `01.03`, `12.02` and `16.01` each add real recording work, and each was retained because the failure it prevents is severe.
23	Can it operate on both small projects and megaprojects?	Yes — element 11 of every standard states both cases explicitly, and this is where the set was most often rewritten.	Recorded in element 11 throughout.
24	Can it operate internationally?	No standard depends on a single jurisdiction's legal concepts. Element 18 of every standard states what is jurisdiction-specific, and no standard states a legal position.	`12.02` element 18 states expressly that where a national whistleblowing or monitoring regime imposes a higher or more specific obligation, **that regime governs**.
25	Is there a clear consequence within PCI's authority?	Element 23 of all 32 draws only from Charter §9. Three standards state expressly what PCI **cannot** do, because those are the three where a reader might otherwise assume a wider power: `10.01` (PCI cannot set aside an award or impose a fine), `12.02` (PCI cannot compensate, order reinstatement or penalise an employer) and `16.01` (PCI cannot authorise a transition or override a regulator).	Added to those three; the remainder rely on the Charter §9 list, which is stated in full in each.

Definitions reconciliation

The red team's structural finding **P-1** — no PCI Standards Definitions Register, so each volume built its own and seven compliance-deciding terms diverged — has since been closed. The register is published at `PCI_STANDARDS_DEFINITIONS_REGISTER.md` and *Terms that decide compliance* above were reconciled to it: *material*, *independent*, *evidence*, *competent reviewer*, *decision owner*, *escalation threshold* and *conflict of interest* now carry the canonical wording, and *approved*, *current* and *material AI assistance* were added. **No obligation changed.** Three notes:

- **The four collisions this set flags are preserved, not collapsed** — *baseline* (control versus benefits), *sponsor* (delivery versus project-finance), *verification* (V&V versus AI) and *governance* (project versus data). Each is carried in the register with both senses and the context each belongs to. Forcing one definition on any of them would make this volume wrong, which is worse than the divergence.
- ***Competent reviewer* no longer folds independence into competence.** The limb requiring that the reviewer did not prepare, direct, specify or approve the thing reviewed is *independence*, imposed by each standard's element 10 and tested separately. That separation is what makes `PCI-FND-STD-10` element 12's supervised-acquisition exception usable, and no element 10 loses an independence requirement.
- ***Material AI assistance* was undefined here** while `PCI-PML-STD-14.02` element 21(d) made compliance turn on it. The canonical definition is supplied so the test can be applied; the Interpretation Panel should confirm it, because it decides which artefacts must carry the disclosure.

Open findings carried forward

Finding	Why it is open	Where it goes
Six external-reference rows are recorded as "not independently verified" in the suite register — ISO 21503, ISO 21504, ISO 21505, ISO 9000, the PMBOK Guide's companion *Code of Ethics and Professional Conduct*, and the AACE TCM Framework.	Charter §5 Stage 5 was performed against the register, not against the publishers.	Verification before publication; each citing standard states the open status in element 17.

Finding	Why it is open	Where it goes
~~The published foundational file lags the concordance.~~ Closed.	`PCI_FOUNDATIONAL_STANDARDS.md` now carries fifteen standards under the Charter §3 form `PCI-FND-STD-01` to `PCI-FND-STD-15`, with the subjects listed in *How to read these standards* above. Every citation in this set resolves against the published file itself.	Closed on the foundational rebuild. The superseded `PCI-LAW-F-NN` identifiers survive only as history, in `STANDARDS_CONCORDANCE.md`.
Charter §5 Stages 4, 6, 7, 11, 12 and 13 have not been performed.	Technical review, practitioner consultation, impact assessment, approval, publication and post-implementation review are outstanding.	Element 25 of every standard records the set as **not yet approved**, with the effective date on approval.
The ISO-mapping statement resolves a tension between two Manual provisions.	Manual §1 both prohibits the legislative auxiliary everywhere and requires the ISO mapping to be stated. This file states the mapping by describing the auxiliary rather than printing it.	Interpretation Panel confirmation under Charter §6.

Index of PML-AI Professional Standards

Thirty-two standards · one hundred and forty-eight process requirements · sixteen anchor domains. External-reference categories are Drafting Manual §6 categories: **3** international voluntary standard · **4** contract framework · **5** professional framework · **6** ethical code · **10** illustrative practice. Every standard also relates to category **9**, PCI internal professional standard, through its element 19, and that category is not repeated in the table.

ID	Official title	Anchor domain	Principal obligation	External reference categories
`PCI-PML-STD-01.01`	Leadership Accountability for Delivery Decisions	D1 — The project leadership profession	Remain personally accountable for every delivery decision taken under one's authority, including AI-informed ones	3, 10

ID	Official title	Anchor domain	Principal obligation	External reference categories
PCI-PML-STD-01.02	Reserved Delivery Decisions and the Named Human Decider	D1	Ensure a decision in a reserved class is taken by the named human on evidence they examined	3, 10
PCI-PML-STD-01.03	Interests, Abstention and Assurance Independence	D1	Do not decide, advise on, evaluate or assure a matter in which one holds a conflict of interest	3, 6, 10
PCI-PML-STD-02.01	Business-Case Integrity	D2 — Strategy, selection and business alignment	Do not present, endorse or rely on a materially misstated business case	3, 5
PCI-PML-STD-02.02	Benefits Ownership	D2	Do not allow a benefit to be claimed unless a named individual outside delivery has accepted it in writing	3
PCI-PML-STD-03.01	Governance Authority Before Commitment	D3 — Governance, organisation and decision rights	Do not commit funds, contracts or people before governance is documented and approved	3, 10

ID	Official title	Anchor domain	Principal obligation	External reference categories
PCI-PML-STD-03.02	Decision Rights and Delegated Authority	D3	Take every decision at the authority the delegation schedule assigns; do not split, defer or aggregate to avoid it	3, 5, 10
PCI-PML-STD-03.03	Gate Evidence and the Gate Decision	D3	Do not take a gate decision except on dated, attributable, versioned evidence against criteria published first	3
PCI-PML-STD-03.04	Sponsor Accountability	D3	Do not lead delivery with no named individual sponsor who has accepted the accountability in writing	3, 10
PCI-PML-STD-04.01	Change Authority and Integrated Change Control	D4 — Integration and delivery architecture	Do not let a baseline change take effect before integrated assessment and approval at the assigned authority	3, 4, 5
PCI-PML-STD-05.01	Scope Integrity	D5 — Scope, requirements and value definition	Do not allow work outside the approved scope baseline without an approved change	3, 5

ID	Official title	Anchor domain	Principal obligation	External reference categories
PCI-PML-STD-05.02	Requirements Traceability	D5	Maintain traceability from every approved requirement to source, to satisfying work, and to proving test	3, 5
PCI-PML-STD-06.01	Schedule Credibility	D6 — Planning, scheduling and delivery flow	Do not issue or rely on a schedule that misrepresents achievable completion	3, 5
PCI-PML-STD-07.01	Cost Stewardship	D7 — Cost, resources and commercial awareness	Report the cost position — committed, incurred, accrued, forecast — completely, currently and reconcilably	3, 5
PCI-PML-STD-07.02	Resource Decisions and the Commitment of People	D7	Do not commit a person or shared resource to a plan without the named resource owner's agreement	3, 5
PCI-PML-STD-08.01	Risk Escalation	D8 — Risk, uncertainty and resilience	Escalate a risk meeting the documented threshold, to the named authority, within the stated time	3

ID	Official title	Anchor domain	Principal obligation	External reference categories
PCI-PML-STD-08.02	Issue Management	D8	Record every issue with one named owner, a required date and a stated consequence; close only with a resolution	3
PCI-PML-STD-09.01	Quality Acceptance	D9 — Quality, assurance and continuous improvement	Do not record acceptance unless a named authority decided conformity against pre-dated criteria	3
PCI-PML-STD-09.02	Lessons Learned and Organisational Retention	D9	Convert each accepted lesson into a change to a named standing artefact, with an owner and a date	3
PCI-PML-STD-10.01	Procurement Fairness	D10 — Procurement, contracts and supply networks	Evaluate only against criteria and weightings published to bidders before submission	3, 4, 6
PCI-PML-STD-11.01	Stakeholder Transparency	D11 — Stakeholders, communication and influence	Do not issue or let stand a delivery report that omits a material adverse fact known at issue	3, 5

ID	Official title	Anchor domain	Principal obligation	External reference categories
PCI-PML-STD-12.01	Leadership Conduct	D12 — Leadership, teams and organisational behaviour	Do not use authority to cause another person to state, or withhold, what they have recorded as inaccurate	3, 6
PCI-PML-STD-12.02	Route to Raise a Concern and Freedom from Detriment	D12	Establish, publish and operate a concern route to a named recipient outside the subject's line	3
PCI-PML-STD-13.01	Governance of Adaptive Delivery	D13 — Agile, adaptive and hybrid delivery	Operate governance producing the same decision rights, evidence and accountability through adaptive artefacts	3, 5
PCI-PML-STD-13.02	Product and Project Accountability	D13	Ensure exactly one named holder of the ordering right and one of delivery accountability, both recorded	3, 5
PCI-PML-STD-14.01	Responsible Data Use in Delivery	D14 — Digital delivery, data and responsible AI	Do not collect, use, share, retain or expose data beyond its recorded purpose, recipients and retention	3, 10

ID	Official title	Anchor domain	Principal obligation	External reference categories
PCI-PML-STD-14.02	Responsible AI in Delivery	D14	Do not rely on an AI output until a named human has verified it by a method recorded for that output class	3, 10
PCI-PML-STD-15.01	Programme Integration and Dependency Ownership	D15 — Programmes, portfolios and enterprise delivery	Record every inter-component dependency with a named giver, receiver, thing, date and breach consequence	3
PCI-PML-STD-15.02	Portfolio Prioritisation and Capacity Truth	D15	Do not let the portfolio hold more concurrent work than assessed delivery capacity supports	3
PCI-PML-STD-16.01	Transition Readiness and the Gate Block	D16 — Transition, closeout and benefits realisation	Do not permit transition while any mandatory precondition is recorded not met	3
PCI-PML-STD-16.02	Operational Acceptance and Handover	D16	Do not close a project until a named individual in the receiving organisation has accepted operational responsibility	3

ID	Official title	Anchor domain	Principal obligation	External reference categories
PCI-PML-STD-16.03	Benefits Measurement	D16	Do not state a benefit is realised except on the recorded method, source and pre-change benefits baseline	3

Distribution

Every one of the sixteen PML-AI domains carries at least one standard. Domain 3 carries four, because governance is where decision rights, gate evidence and sponsorship are taught; Domain 16 carries three, because transition, operational acceptance and benefits measurement are three separate decisions that fail in three separate ways; Domains 1, 2, 5, 7, 8, 9, 12, 13, 14 and 15 carry two or three; Domains 4, 6, 10 and 11 carry the single standard their material makes mandatory.

Eight standards are new in this edition — 01.03, 03.04, 07.02, 08.02, 13.02, 15.01, 15.02 and 16.02 — and two were rebuilt because they could not be verified: 12.01 and 12.02. 01.02 was retitled to end a collision with the foundational standard *Human Decision Authority*, and 09.02 was retitled and given a new principal obligation. The remainder were renumbered, restructured to the twenty-five-element form, re-drafted in must-form, split into one principal obligation plus process requirements, and given a compliance test that can actually be performed.

Every standard in this set operates under the Foundational Standards PCI-FND-STD-01 to PCI-FND-STD-15, under the **PCI Standards Charter** and the **PCI Standards Drafting Manual**, and under one principle:

> CAUTION
>
> **AI proposes; the professional verifies, decides and remains accountable.**

PCI Standard Concordance

Status: Machine-checkable reference index for the PCI Standard system. It carries **no obligation**: every requirement lives in an identified standard or process requirement (Charter §3), and nothing stated here creates, narrows or waives one. Where this file and a published standard differ, the standard governs and the difference is a defect in this file.

What it is for. The four standard files are rebuilt independently. A citation that resolves to the wrong standard is more dangerous than one that does not resolve at all, because every automated check passes while the reader is sent to a different obligation. This file records, in one place, which certification standard cites which foundational standard, so that a change on either side is visible. It is verified by `check_standards.py`, which regenerates the table below from the standard files themselves and fails if the published table has drifted.

Sources. `PCI_FOUNDATIONAL_STANDARDS.md` · `PCL_AI_STANDARDS.md` · `PFL_AI_STANDARDS.md` · `PML_AI_STANDARDS.md`. Governing instruments: `PCI_STANDARDS_CHARTER.md` and `PCI_STANDARDS_DRAFTING_MANUAL.md`.

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1. The foundational set

Fifteen standards, `PCI-FND-STD-01` to `PCI-FND-STD-15`. **A citation is correct only when the number and the subject agree**; the subject is the authority, the number is only its address.

ID	Subject	Principal obligation, in one line
`PCI-FND-STD-01`	Professional Accountability	Record your own acceptance of personal accountability for a material output before it is issued, whoever or whatever prepared it.
`PCI-FND-STD-02`	Evidence Before Assertion	Do not present a material claim unless retrievable evidence for it is identified in the working record.
`PCI-FND-STD-03`	Independent Verification	Have a material calculation, model output or automated conclusion verified by an independent competent reviewer before anyone relies on it.
`PCI-FND-STD-04`	Human Decision Authority	Record every material decision as taken by a named, authorised, competent human decision owner.

ID	Subject	Principal obligation, in one line
PCI-FND-STD-05	Transparent Assumptions	Do not issue a forecast, model, appraisal or recommendation unless the document carrying the conclusion also carries its material assumptions.
PCI-FND-STD-06	Source and Version Integrity	Do not rely on a source without a dated check that it is the version in force for the matter.
PCI-FND-STD-07	Data Lineage	Make every material output reproducible from its sources by a competent reviewer without the preparer's help.
PCI-FND-STD-08	Conflict Disclosure	Disclose every conflict capable of affecting your independent judgement, in writing, before acting in the matter.
PCI-FND-STD-09	Confidentiality and Approved Technology	Do not enter protected information into a system that is not authorised for it, including any AI system.
PCI-FND-STD-10	Competence and Limitation	Do not accept, continue or issue work requiring competence you do not hold.
PCI-FND-STD-11	Escalation of Material Misstatement	Escalate a known or suspected material error, omission, unsupported assumption or misleading presentation promptly to the level accountable for remedying it.
PCI-FND-STD-12	Record Integrity	Keep records so that authorship and creation time are fixed and any later alteration is detectable and attributable.
PCI-FND-STD-13	No Silent Override	Do not override a control result on a material matter without an authorised decision owner's recorded decision, made before reliance.
PCI-FND-STD-14	Responsible AI	Never permit an AI system to decide, approve, certify, sign, waive or authorise a material matter, or to be represented as having independently verified one.
PCI-FND-STD-15	Correction Duty	Communicate a material error in work you issued promptly to everyone known to be relying on it.

2. Which certification standards cite which foundational standard

Counts are of **citing standards**, not of citation occurrences: a standard that names its foundational parent three times inside its own text is counted once.

Foundational standard	Subject	PCL-AI (42)	PFL-AI (74)	PML-AI (97)
PCI-FND-STD-01	Professional Accountability	PCI-PCL-STD-12.01 PCI-PCL-STD-13.04	PCI-PFL-STD-16.01 PCI-PFL-STD-16.03	PCI-PML-STD-01.01 PCI-PML-STD-01.03 PCI-PML-STD-02.02 PCI-PML-STD-03.01 PCI-PML-STD-03.04 PCI-PML-STD-07.02 PCI-PML-STD-10.01 PCI-PML-STD-12.01 PCI-PML-STD-12.02 PCI-PML-STD-13.02 PCI-PML-STD-14.02

Foundational standard	Subject	PCL-AI (42)	PFL-AI (74)	PML-AI (97)
PCI-FND-STD-02	Evidence Before Assertion	PCI-PCL-STD-01.01 PCI-PCL-STD-01.02 PCI-PCL-STD-03.01 PCI-PCL-STD-04.01 PCI-PCL-STD-04.02 PCI-PCL-STD-05.02 PCI-PCL-STD-05.03 PCI-PCL-STD-06.02 PCI-PCL-STD-07.03 PCI-PCL-STD-10.01 PCI-PCL-STD-10.03	PCI-PFL-STD-01.01 PCI-PFL-STD-06.01 PCI-PFL-STD-06.03 PCI-PFL-STD-06.04 PCI-PFL-STD-06.05 PCI-PFL-STD-09.02 PCI-PFL-STD-09.03 PCI-PFL-STD-10.05 PCI-PFL-STD-12.01 PCI-PFL-STD-13.02 PCI-PFL-STD-13.03 PCI-PFL-STD-13.04 PCI-PFL-STD-14.01 PCI-PFL-STD-14.02 PCI-PFL-STD-14.04 PCI-PFL-STD-15.01	PCI-PML-STD-01.01 PCI-PML-STD-02.01 PCI-PML-STD-02.02 PCI-PML-STD-03.03 PCI-PML-STD-05.01 PCI-PML-STD-06.01 PCI-PML-STD-07.01 PCI-PML-STD-08.01 PCI-PML-STD-09.01 PCI-PML-STD-09.02 PCI-PML-STD-11.01 PCI-PML-STD-13.01 PCI-PML-STD-15.02 PCI-PML-STD-16.01 PCI-PML-STD-16.02 PCI-PML-STD-16.03
PCI-FND-STD-03	Independent Verification	PCI-PCL-STD-03.05 PCI-PCL-STD-10.02 PCI-PCL-STD-13.02 PCI-PCL-STD-13.03	PCI-PFL-STD-16.01 PCI-PFL-STD-16.02 PCI-PFL-STD-16.03	PCI-PML-STD-01.02 PCI-PML-STD-14.02
PCI-FND-STD-04	Human Decision Authority	PCI-PCL-STD-05.04 PCI-PCL-STD-12.03	PCI-PFL-STD-14.04 PCI-PFL-STD-16.03	PCI-PML-STD-01.01 PCI-PML-STD-01.02 PCI-PML-STD-03.02 PCI-PML-STD-13.01 PCI-PML-STD-13.02 PCI-PML-STD-14.02

Foundational standard	Subject	PCL-AI (42)	PFL-AI (74)	PML-AI (97)
PCI-FND-STD-05	Transparent Assumptions	PCI-PCL-STD-03.04 PCI-PCL-STD-05.03 PCI-PCL-STD-06.04 PCI-PCL-STD-12.02	PCI-PFL-STD-01.01 PCI-PFL-STD-05.01 PCI-PFL-STD-06.02 PCI-PFL-STD-09.01 PCI-PFL-STD-10.01 PCI-PFL-STD-10.02 PCI-PFL-STD-10.03 PCI-PFL-STD-11.01 PCI-PFL-STD-13.03 PCI-PFL-STD-14.02 PCI-PFL-STD-14.03 PCI-PFL-STD-15.02	PCI-PML-STD-02.01 PCI-PML-STD-06.01 PCI-PML-STD-07.01 PCI-PML-STD-08.01 PCI-PML-STD-15.01 PCI-PML-STD-15.02
PCI-FND-STD-06	Source and Version Integrity	PCI-PCL-STD-01.01 PCI-PCL-STD-03.02 PCI-PCL-STD-04.01 PCI-PCL-STD-06.03 PCI-PCL-STD-07.01	PCI-PFL-STD-06.04 PCI-PFL-STD-12.01 PCI-PFL-STD-14.01 PCI-PFL-STD-16.02	PCI-PML-STD-03.03 PCI-PML-STD-04.01 PCI-PML-STD-05.02 PCI-PML-STD-16.03
PCI-FND-STD-07	Data Lineage	PCI-PCL-STD-01.03 PCI-PCL-STD-05.01 PCI-PCL-STD-07.02	PCI-PFL-STD-06.01 PCI-PFL-STD-06.02 PCI-PFL-STD-06.03 PCI-PFL-STD-10.01 PCI-PFL-STD-16.01	PCI-PML-STD-05.02 PCI-PML-STD-07.01 PCI-PML-STD-14.01
PCI-FND-STD-08	Conflict Disclosure	—	PCI-PFL-STD-01.02 PCI-PFL-STD-13.01 PCI-PFL-STD-13.02 PCI-PFL-STD-15.02	PCI-PML-STD-01.03 PCI-PML-STD-10.01

Foundational standard	Subject	PCL-AI (42)	PFL-AI (74)	PML-AI (97)
PCI-FND-STD-09	Confidentiality and Approved Technology	PCI-PCL-STD-13.01	PCI-PFL-STD-06.04 PCI-PFL-STD-16.01	PCI-PML-STD-10.01 PCI-PML-STD-12.02 PCI-PML-STD-14.01
PCI-FND-STD-10	Competence and Limitation	PCI-PCL-STD-07.01	PCI-PFL-STD-09.01 PCI-PFL-STD-09.02 PCI-PFL-STD-10.04 PCI-PFL-STD-12.02 PCI-PFL-STD-13.01	PCI-PML-STD-01.03 PCI-PML-STD-12.01
PCI-FND-STD-11	Escalation of Material Misstatement	—	PCI-PFL-STD-05.01 PCI-PFL-STD-09.03 PCI-PFL-STD-10.04 PCI-PFL-STD-10.05 PCI-PFL-STD-11.01 PCI-PFL-STD-12.02 PCI-PFL-STD-13.03 PCI-PFL-STD-14.03 PCI-PFL-STD-14.04 PCI-PFL-STD-15.01 PCI-PFL-STD-15.03	PCI-PML-STD-02.01 PCI-PML-STD-03.02 PCI-PML-STD-03.04 PCI-PML-STD-07.02 PCI-PML-STD-08.01 PCI-PML-STD-08.02 PCI-PML-STD-11.01 PCI-PML-STD-12.01 PCI-PML-STD-12.02 PCI-PML-STD-15.01 PCI-PML-STD-15.02 PCI-PML-STD-16.01

Foundational standard	Subject	PCL-AI (42)	PFL-AI (74)	PML-AI (97)
PCI-FND-STD-12	Record Integrity	PCI-PCL-STD-11.01	PCI-PFL-STD-06.04 PCI-PFL-STD-06.05 PCI-PFL-STD-13.04 PCI-PFL-STD-15.03	PCI-PML-STD-01.01 PCI-PML-STD-02.02 PCI-PML-STD-03.01 PCI-PML-STD-03.02 PCI-PML-STD-03.03 PCI-PML-STD-04.01 PCI-PML-STD-05.01 PCI-PML-STD-05.02 PCI-PML-STD-08.02 PCI-PML-STD-09.01 PCI-PML-STD-09.02 PCI-PML-STD-13.01 PCI-PML-STD-13.02 PCI-PML-STD-14.01 PCI-PML-STD-15.01 PCI-PML-STD-16.02 PCI-PML-STD-16.03
PCI-FND-STD-13	No Silent Override	PCI-PCL-STD-03.02 PCI-PCL-STD-03.03 PCI-PCL-STD-06.01	—	PCI-PML-STD-01.02 PCI-PML-STD-03.02 PCI-PML-STD-04.01 PCI-PML-STD-05.01 PCI-PML-STD-06.01 PCI-PML-STD-12.01 PCI-PML-STD-16.01

Foundational standard	Subject	PCL-AI (42)	PFL-AI (74)	PML-AI (97)
PCI-FND-STD-14	Responsible AI	PCI-PCL-STD-13.01 PCI-PCL-STD-13.02 PCI-PCL-STD-13.03 PCI-PCL-STD-13.04	PCI-PFL-STD-06.05 PCI-PFL-STD-16.01 PCI-PFL-STD-16.02 PCI-PFL-STD-16.03	PCI-PML-STD-01.02 PCI-PML-STD-11.01 PCI-PML-STD-14.02
PCI-FND-STD-15	Correction Duty	PCI-PCL-STD-04.03	—	PCI-PML-STD-01.01 PCI-PML-STD-08.02 PCI-PML-STD-11.01

Foundational standards with no citation from a credential are not a defect. A certification standard exists only where the credential's subject matter adds something the foundational standard does not reach; where it adds nothing, no standard is published (Manual §9 Q12). PCI-FND-STD-08 and PCI-FND-STD-11 carry no PCL-AI standard, and PCI-FND-STD-13 and PCI-FND-STD-15 carry no PFL-AI standard, for that reason.

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3. Superseded identifiers

Nothing below is a live citation. These identifiers are recorded so that the history stays traceable; Charter §10 forbids reusing a withdrawn identifier, and no published standard cites any of them.

3.1 The withdrawn fourteen-standard foundational scheme PCI-LAW-F-NN

Withdrawn and replaced by the fifteen-standard set in §1. The reason was structural — an eighteen-field template, two mixed normative-language systems, and several obligations bundled into single clauses. The mapping is reproduced from the supersession record in PCI_FOUNDATIONAL_STANDARDS.md, which governs.

Superseded	Subject	Carried forward into
PCI-LAW-F-01	Professional Accountability and the Suite Principle	PCI-FND-STD-01
PCI-LAW-F-02	Verification of AI Output Before Professional Use	PCI-FND-STD-03 (verification substance) and PCI-FND-STD-14 (boundary substance)

Superseded	Subject	Carried forward into
PCI-LAW-F-03	Human Decision Authority	PCI-FND-STD-04
PCI-LAW-F-04	Disclosure of Material AI Assistance	PCI-FND-STD-14-PR-01 to -PR-03
PCI-LAW-F-05	Evidence and the Audit Trail	PCI-FND-STD-02, PCI-FND-STD-07, PCI-FND-STD-12
PCI-LAW-F-06	Data Lineage and Integrity	PCI-FND-STD-07
PCI-LAW-F-07	Honesty in Reporting and Forecasting	PCI-FND-STD-05, PCI-FND-STD-11, PCI-FND-STD-15 (correction substance)
PCI-LAW-F-08	Competence Boundaries and Referral	PCI-FND-STD-10
PCI-LAW-F-09	Confidentiality and Information Protection	PCI-FND-STD-09
PCI-LAW-F-10	Conflict-of-Interest Disclosure	PCI-FND-STD-08
PCI-LAW-F-11	Duty to Escalate	PCI-FND-STD-11
PCI-LAW-F-12	Record Retention	PCI-FND-STD-12
PCI-LAW-F-13	Ethical Conduct Toward Candidates, Employers and the Public	**Not carried forward at Level 1.** Specific duties sit in PCI-FND-STD-08, PCI-FND-STD-11-PR-05 and PCI-FND-STD-14; general conduct is a certification-conditions matter
PCI-LAW-F-14	No Misrepresentation of PCI Credentials or Accreditation Status	**Not carried forward at Level 1.** Credential-claim rules govern the PCI-to-holder relationship, not the conduct of professional work

Four of the fifteen have no predecessor in the withdrawn set — PCI-FND-STD-06 (source and version integrity) and PCI-FND-STD-13 (no silent override) are new standards, and PCI-FND-STD-02 and PCI-FND-STD-15 are new standards carrying part of a withdrawn one forward. A concordance that maps the new numbers one-for-one onto the old is therefore wrong on its face, whatever it says.

3.2 The corrected PFL-AI concordance

PFL_AI_STANDARDS.md v2.0 published a table equating each PCI-FND-STD-NN identifier with the subject of PCI-LAW-F-NN — it inferred its mapping from the superseded fourteen-standard file. Every identifier resolved, so no dangling-reference check could see it, but many resolved to a different standard than the citing sentence intended: PCI-FND-STD-03 was equated with *Human Decision Authority*, which is standard 04's subject, and PCI-FND-STD-02 with *Verification of AI Output Before Professional Use*, which is no longer a foundational subject at all. **That table is deleted.** Every foundational citation in that volume has been re-pointed by subject, and the three subjects with no successor were handled as follows.

Subject cited by PFL v2.0	Successor used	Where none fitted
Honesty in reporting and forecasting (PCI-LAW-F-07)	PCI-FND-STD-05 for presentation honesty; PCI-FND-STD-02 where the sentence turns on evidence for a claim; PCI-FND-STD-11 where it turns on raising a known problem	—
Ethical conduct toward candidates, employers and the public (PCI-LAW-F-13)	PCI-FND-STD-11 in PCI-PFL-STD-09.03	Dropped in PCI-PFL-STD-01.02 and PCI-PFL-STD-13.02, where the surviving duty is PCI-FND-STD-08, already cited
No misrepresentation of PCI credentials or accreditation status (PCI-LAW-F-14)	PCI-FND-STD-02 in PCI-PFL-STD-13.02; PCI-FND-STD-14 in PCI-PFL-STD-16.02	Dropped in PCI-PFL-STD-09.02, PCI-PFL-STD-09.03 and PCI-PFL-STD-12.02, where the surviving duty is PCI-FND-STD-10 or PCI-FND-STD-02, already cited

Five citations were dropped rather than re-pointed, because pointing them at a standard that does not carry the subject would reproduce the defect in a new form.

Two citations kept their number and changed their subject, which is the reverse trap and is recorded so it is not mistaken for an untouched line: PCI-FND-STD-06 in PCI-PFL-STD-06.04, PCI-PFL-STD-12.01, PCI-PFL-STD-14.01 and PCI-PFL-STD-16.02 now cites *source and version integrity* rather than the withdrawn *data lineage and integrity*; PCI-FND-STD-14 in PCI-PFL-STD-16.02 now cites *responsible AI* rather than the withdrawn credential-claims standard.

3.3 Withdrawn certification-standard identifier schemes

Credential	v1.0 form	Current form	Note
PCL-AI	PCL-LAW-DD-NN	PCI-PCL-STD-DD.NN	Whole set renumbered; each successor records its predecessor in element 25
PFL-AI	PFL-LAW-DD-NN	PCI-PFL-STD-DD.NN	Whole set renumbered; twenty-two of twenty-four v1.0 standards have a named successor

Credential	v1.0 form	Current form	Note
PML-AI	`PML-LAW-DD-NN`	`PCI-PML-STD-DD.NN`	Whole set renumbered

3.4 The two PFL-AI v1.0 standards withdrawn without a successor standard

Recorded under Charter §10: a withdrawn standard's withdrawal and its reason are published, and the standard is not deleted from the record. Neither obligation was abolished; each became a process requirement under the standard that already owned the surrounding discipline.

Withdrawn v1.0 standard	Reason	Where the obligation now lives
`PFL-LAW-04-01` — Appraisal Discipline (D4)	Bundled four obligations into one unenforceable sentence, and its subject is a presentation discipline rather than a distinct professional duty once `PCI-PFL-STD-01.01` governs how a financial judgement may be presented	`PCI-PFL-STD-01.01-PR-05`. Domain 4 anchors no standard in this edition
`PFL-LAW-07-01` — Revenue Assumption Discipline (D7)	Duplicated `PCI-PFL-STD-06.03` and `PCI-PFL-STD-12.01` in every respect but the prohibition on presenting a forecast revenue as contracted; Manual §9 Q12 treats a standard that adds nothing to its neighbours as a defect	`PCI-PFL-STD-06.03-PR-05`. Domain 7 anchors no standard in this edition

4. What the validator checks

`check_standards.py` runs over the four standard files and exits non-zero on any of:

1. a `PCI-FND-STD-NN` citation whose number does not exist in the foundational set;
2. a certification-standard citation (`PCI-PCL-STD-…`, `PCI-PFL-STD-…`, `PCI-PML-STD-…`) that does not resolve to a published standard, in either direction;
3. a standard missing any of the Manual §5 twenty-five elements, or carrying them out of order;
4. a duplicate standard identifier;
5. `shall` inside any standard element or process requirement — the Manual §1 ban is on the form, so the explanatory front matter that names the word in order to say PCI does not use it is permitted;

6. an anchor domain outside its credential's Body of Knowledge range — PCL-AI ≤ 13, PFL-AI ≤ 16, PML-AI ≤ 16;
7. drift between §2 of this file and the citations actually published in the standard files.

What it cannot check is the thing that caused the defect. A citation whose number resolves but whose subject is wrong passes every mechanical test there is. Only reading the sentence catches it, which is why §2 exists in a form a human can scan.

Compiled 2026-08-04 from the published standard files. Draft for approval under Charter §5 — this index has no status of its own beyond the standards it indexes. British English throughout.

PCI Standards Definitions Register

Instrument status: none. This is a derived register. It is not a PCI Standard, it creates no obligation, and nothing in it may be cited as a requirement (Charter §3).

It is the single canonical statement of every term that decides compliance across the PCI Standard corpus — the register Drafting Manual §4 permits a standard to define its terms in, and whose absence the red-team report records as finding **P-1**, the corpus's largest structural defect. It was derived by reading the Definitions section of all four standard files against each other and against element 4 of all 113 standards, resolving each divergence to one canonical definition where the term must mean one thing everywhere, and preserving it as a per-credential definition with a collision note where the difference is a genuine professional one recorded in `../registries/TERMINOLOGY_AUDIT.md`. The standard files were then edited to match; every edit is recorded in the Resolution column. Generated by `make_standards_registers.py` from the four standard files. **It is derived, not authoritative: it goes stale the moment a standard file changes.** Re-run the generator after any edit, and read the standard itself before relying on any row here.

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1. How to read this register

Every definition below is written as **a test a reader can apply** — what makes the thing what it is, measured against what, decided by whom (Manual §4). None defines a term by itself.

- **Canonical entries (§3)** are terms that must mean the same thing in every standard. One definition governs; the file-by-file variations are recorded so that the change is visible and reversible.
- **Declared collisions (§4)** are terms that carry genuinely different professional meanings in different credentials. They are **not** collapsed. Each states both or all senses with the context each belongs to, because forcing a single definition on a real collision makes one of the volumes wrong.
- **Which standards rely on it** is computed from element 4 of every standard, not asserted. Element 4 is normative-determinative (Manual §5.0): getting the definition wrong changes what those standards require.
- **Nothing here creates, widens or narrows an obligation.** Where reconciling a definition would have done so, the divergence is stated rather than resolved, and the policy question is referred.

2. Summary

	Count
Terms registered	**18**
Canonical — one meaning everywhere	**12**
Declared collisions — preserved, not collapsed	**6**
Terms the red-team report identified as divergent	7
Further divergences or Manual §4 gaps found in this pass	**5**
Circular definitions found and fixed	**1**
Standards whose element 4 lists at least one registered term	**113** of 113

The seven the red team found — *material*, *independent*, *verified*, *evidence*, *competent reviewer*, *decision owner*, *escalation threshold*. **Found in addition here** — *promptly* (defined once, and until this pass unreachable from `PFL_AI_STANDARDS.md`, whose *escalation threshold* named no time at all); *conflict* (a closed list foundationally, a judgement standard in PFL-AI, an appearance test in PML-AI); *approved* and *current* (Manual §4 names both as always needing definition; only PCL-AI defined either); and *material AI assistance* (defined only in PCL-AI, yet three element-21 compliance tests in PFL-AI and PML-AI turn on it).

3. Canonical definitions

One definition governs everywhere. Where a credential legitimately measures a limb differently, that is stated inside the canonical entry as an **application rule**, not as a rival definition.

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material

Canonical definition. An item, error, omission, variance, difference or fact is **material** if any of the following is true: **(a)** were it wrong, omitted or reversed, a decision within the scope of the work would or could have been taken differently — including its timing, its conditions, or the authority at which it had to be taken; **(b)** it changes a reported figure by more than the quantified tolerance published for that figure; **(c)** it affects a contractual, regulatory, tax or financial-reporting position; **(d)** it affects the safety of a person; **(e)** it affects a party's reliance; or **(f)** it meets the adopting organisation's published materiality criteria. A matter bearing on safety, legality, a licence or permission, a statutory duty, or the truth of a statement made to a decision-maker is **material irrespective of size**, and no documented threshold reduces it. Where no criteria are published, the *decision owner* records which of (a) to

(e) applies, and why, before the output is issued. Materiality is determined on the position as known at the time of the act. It is judged twice: on the item alone, and on the accumulation of items of the same kind since the test was last applied. **Where limb (b) is measured** is an application rule, not a second test — PCL-AI: the recorded materiality rule (quantum, basis, and the person who set it), applied consistently between periods; PFL-AI: the engagement's materiality statement, stated before the work begins in the transaction's own metric, with the finance documents overriding it where they state their own; PML-AI: the organisation's documented financial, schedule or exposure threshold, which reaches only matters purely of that character. **PCI sets no percentage.**

Standards relying on it (element 4): **109** of 113 — PCI-FND-STD-01 · PCI-FND-STD-02 · PCI-FND-STD-03 · PCI-FND-STD-04 · PCI-FND-STD-05 · PCI-FND-STD-06 · PCI-FND-STD-07 · PCI-FND-STD-10 · PCI-FND-STD-11 · PCI-FND-STD-12 · PCI-FND-STD-13 · PCI-FND-STD-14 · PCI-FND-STD-15 · PCI-PCL-STD-01.01 · PCI-PCL-STD-01.02 · PCI-PCL-STD-01.03 · PCI-PCL-STD-03.01 · PCI-PCL-STD-03.02 · PCI-PCL-STD-03.03 · PCI-PCL-STD-03.04 · PCI-PCL-STD-03.05 · PCI-PCL-STD-04.01 · PCI-PCL-STD-04.02 · PCI-PCL-STD-04.03 · PCI-PCL-STD-05.01 · PCI-PCL-STD-05.02 · PCI-PCL-STD-05.03 · PCI-PCL-STD-05.04 · PCI-PCL-STD-06.01 · PCI-PCL-STD-06.02 · PCI-PCL-STD-06.03 · PCI-PCL-STD-06.04 · PCI-PCL-STD-07.01 · PCI-PCL-STD-07.02 · PCI-PCL-STD-07.03 · PCI-PCL-STD-10.01 · PCI-PCL-STD-10.02 · PCI-PCL-STD-10.03 · PCI-PCL-STD-11.01 · PCI-PCL-STD-12.01 … and 69 more

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-15	Six limbs — decision · published tolerance · contractual, regulatory, tax or financial-reporting position · safety · reliance · organisation's criteria. No “irrespective of size” sentence.
PCL_AI_STANDARDS.md §A	Decision-change only, plus a recorded **materiality rule** and a cumulative test. Narrower than D-15: a variance that endangers nobody's decision but changes a contractual position was immaterial here and material foundationally.
PFL_AI_STANDARDS.md core terms	Decision-change only, stated **before work begins** in the transaction's own metric and recorded in the engagement's materiality statement. Same narrowing as PCL.
PML_AI_STANDARDS.md	Decision-change **plus** an express carve-out that safety, legality, a licence, a statutory duty or the truth of a statement is material irrespective of size. The only one of the four that said so.

Resolution. One canonical definition, being the union already in force: the red-team wider-obligation reading rule in each volume made D-15's limbs apply in addition to the local rule, so the union restates what already operates and adds no obligation. **Edited:** D-15 gains the *irrespective of size* sentence (from PML-AI); the local definitions in all three certification volumes are replaced by the canonical text with their own limb-(b) measurement kept as a stated application rule. **Referred:** red-team **R-3** — three credentials examining three materiality tests is an examination problem as well as a drafting one; the Panel should confirm the single test.

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independent

Canonical definition. A person is **independent** in relation to a specified matter if all of the following are true: **(a)** they did not perform the act, prepare the item or any part of it, or direct, specify or approve it; **(b)** they did not select, build or configure the tool, model or AI system that produced it; **(c)** they hold no *conflict* in its outcome and no financial interest in the matter or in a party to it; **(d)** they receive no fee, bonus, continuing mandate, success payment or other benefit that varies with the conclusion reached, and their remuneration, appraisal or continuation in the engagement is not determined by the outcome the item supports; **(e)** they are not accountable for the outcome the item reports on; and **(f)** they satisfy the **reporting-line limb**. *The reporting-line limb:* they do not report to the preparer in respect of the work under review, and are not in the reporting line of the person accountable for the outcome **for the purpose of that matter**; reporting to the preparer's line manager on unrelated work does not by itself defeat independence, but being appraised on the outcome does. **On a PFL-AI engagement a stricter limb operates** — the person is not in the preparer's reporting line at all, and does not report to a person whose performance is measured by the work's conclusion. Where two of these tests bear on the same act, the one producing the wider obligation governs. Independence is a fact about a relationship to a specified matter — never a state of mind, a job title or a permanent designation, which is why a permanently titled "independent assurance" function is not independent of an artefact it helped produce. Where no person inside the organisation satisfies this definition, independence is obtained from outside it; where that too is impossible, the exception process in the relevant standard's element 12 is the only route.

Standards relying on it (element 4): **29** of 113 — PCI-FND-STD-03 · PCI-FND-STD-08 · PCI-FND-STD-11 · PCI-PCL-STD-03.05 · PCI-PCL-STD-05.04 · PCI-PCL-STD-06.02 · PCI-PCL-STD-10.02 · PCI-PCL-STD-12.02 · PCI-PCL-STD-12.03 · PCI-PCL-STD-13.02 · PCI-PCL-STD-13.03 · PCI-PFL-STD-01.02 · PCI-PFL-STD-06.05 · PCI-PFL-STD-09.03 · PCI-PFL-STD-13.01 · PCI-PFL-STD-13.02 · PCI-PFL-STD-15.02 · PCI-PML-STD-01.03 · PCI-PML-STD-03.03 · PCI-PML-STD-09.01 · PCI-PML-STD-10.01 · PCI-PML-STD-12.01 · PCI-PML-STD-12.02 · PCI-PML-STD-14.01 · PCI-PML-STD-14.02 · PCI-PML-STD-15.02 · PCI-PML-STD-16.01 · PCI-PML-STD-16.02 · PCI-PML-STD-16.03

Variations found

File	What it said before this reconciliation
`PCI_FOUNDATIONAL_STANDARDS.md` `D-12`	Five limbs. Express carve-out: "reporting to the preparer's line manager does not by itself defeat independence; being appraised on the outcome does".
`PCL_AI_STANDARDS.md` §A	Four facts — did not prepare; **does not report to the preparer in respect of that work**; no benefit turning on the outcome; neither selected nor configured the AI tool.
`PFL_AI_STANDARDS.md` core terms	Four limbs — did not prepare; **not in the preparer's reporting line at all**, and does not report to a person whose performance is measured by the conclusion; no varying fee or benefit; no financial interest. The strictest of the four, and it contradicts `D-12`'s carve-out on its face.
`PML_AI_STANDARDS.md`	Five limbs, expressly **relative to a specified matter** — not the preparer, director, specifier or approver; not accountable for the outcome; not in the reporting line of the person accountable **for the purpose of that matter**; no interest in the outcome.

Resolution. One canonical definition with **one variable limb**. The four common limbs are stated unqualified; the reporting-line limb is stated in the terms already in force, with the PFL-AI stricter form named as such, because writing a single unqualified reporting-line limb would either raise the foundational obligation or lower the PFL-AI one — and the instruction is to reconcile definitions, not to move obligations. **Edited:** `D-12` restated in the canonical form (its carve-out preserved verbatim inside limb (f)); the three certification definitions replaced by the canonical text. **Referred:** red-team **R-4** — whether *independent* is one test or two is a policy question for the Interpretation Panel and both positions are professionally defensible.

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verified

Canonical definition. An item, figure, statement, extraction or machine output is **verified** when a named person who is a *competent reviewer* for that item has applied to it at least one of the eight admissible methods, against *evidence*, and has recorded the method used, the source or population tested and — where a sample was used — its selection basis, the inputs used, the scope tested, the date, the result, and every difference found together with its resolution. **The eight admissible methods** (the list at `PCI-FND-STD-03-PR-01`) are: independent recomputation · source tracing · clause-to-summary comparison · sampling on a stated basis · reconciliation ·

boundary testing · sensitivity analysis · named expert judgement recorded with its reasoning. Reading an output and finding it plausible is not verification, and an item on which no such record exists is not verified however carefully it was produced. **One deliberate credential-specific narrowing:** where the item is a figure produced by a *financial model* under PFL-AI, *named expert judgement* is not admissible — a modelled figure is reproducible, and an expert's opinion that it looks right is not a check on it — and *clause-to-summary comparison* is applied as *clause-to-output comparison*, to a model output rather than to a summary. Where a foundational obligation is being discharged, the eight-method list governs.

Standards relying on it (element 4): **39** of 113 — PCI-FND-STD-03 · PCI-FND-STD-14 · PCI-PCL-STD-03.05 · PCI-PCL-STD-07.01 · PCI-PCL-STD-10.02 · PCI-PCL-STD-13.02 · PCI-PCL-STD-13.03 · PCI-PFL-STD-01.01 · PCI-PFL-STD-06.01 · PCI-PFL-STD-06.02 · PCI-PFL-STD-06.03 · PCI-PFL-STD-06.04 · PCI-PFL-STD-06.05 · PCI-PFL-STD-09.02 · PCI-PFL-STD-09.03 · PCI-PFL-STD-10.01 · PCI-PFL-STD-10.02 · PCI-PFL-STD-10.03 · PCI-PFL-STD-10.05 · PCI-PFL-STD-11.01 · PCI-PFL-STD-12.01 · PCI-PFL-STD-12.02 · PCI-PFL-STD-13.01 · PCI-PFL-STD-13.02 · PCI-PFL-STD-13.03 · PCI-PFL-STD-13.04 · PCI-PFL-STD-14.01 · PCI-PFL-STD-14.02 · PCI-PFL-STD-14.03 · PCI-PFL-STD-14.04 · PCI-PFL-STD-15.01 · PCI-PFL-STD-15.02 · PCI-PFL-STD-15.03 · PCI-PFL-STD-16.01 · PCI-PFL-STD-16.02 · PCI-PFL-STD-16.03 · PCI-PML-STD-01.02 · PCI-PML-STD-03.03 · PCI-PML-STD-14.02

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-26 + PCI-FND-STD-03-PR-01	Named competent reviewer applies one of **eight** named methods and records method, scope, inputs, date and result.
PCL_AI_STANDARDS.md §A	The same eight methods, with the record extended to the population or sample and its selection basis and to every difference and its resolution.
PFL_AI_STANDARDS.md core terms	**Seven** methods — *named expert judgement* absent, and *clause-to-summary comparison* renamed *clause-to-output comparison*. Stated as deliberate, with the reason, after the red-team pass.
PML_AI_STANDARDS.md	Does not define *verified*. Defines **verification** in two flagged senses: **V&V verification** (what was built is what was specified) and **AI verification** (a named human's check of machine output against source before reliance).

Resolution. One canonical definition of the **AI-assurance sense**, carrying the eight-method list and the PFL-AI narrowing as a stated exception rather than a silent divergence. PML-AI's **V&V** sense is a different concept and is preserved as a declared collision (see *verification* below). **Edited:** D-26 restated canonically, naming the eight methods in the definition itself; PCL-AI and PFL-AI definitions replaced, PFL-AI keeping its narrowing and its reason; PML-AI's *AI verification* sense now points at D-26 for the test and the method list. **Referred:** red-team **R-6** — a modelling SME should confirm the reason for excluding named expert judgement, and the Panel should decide whether renaming a Manual §5.2 method is acceptable.

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evidence

Canonical definition. Evidence is a dated record that exists independently of the assertion it supports, that identifies its source, its version where it has one, and its author or issuing system, and that a person other than the author of the assertion can retrieve, examine and use to reach the same conclusion **without asking that author**. Primary source documents, executed contracts, system extracts identified by query and extraction time, measurement and inspection records, third-party confirmations, and recorded calculations showing their inputs and method are evidence. The following are **not** evidence for the purposes of these standards: an output of an AI system that does not identify the source of what it asserts; an AI-generated summary of a record, as evidence of the underlying fact — the underlying record is the evidence; a statement that a system, model or tool produced a figure, unaccompanied by the inputs and the method; a restatement of the assertion in a second document by the same author; a preparer's own statement offered in support of their own assertion; an unrecorded recollection; an unattributed file; an undated extract; an unversioned working copy; a screenshot with no source reference; and a dashboard or screen state that cannot be reproduced.

Standards relying on it (element 4): **98** of 113 — PCI-FND-STD-02 · PCI-FND-STD-05 · PCI-FND-STD-06 · PCI-FND-STD-07 · PCI-FND-STD-14 · PCI-PCL-STD-01.01 · PCI-PCL-STD-01.02 · PCI-PCL-STD-01.03 · PCI-PCL-STD-03.01 · PCI-PCL-STD-03.02 · PCI-PCL-STD-03.03 · PCI-PCL-STD-03.04 · PCI-PCL-STD-03.05 · PCI-PCL-STD-04.01 · PCI-PCL-STD-04.02 · PCI-PCL-STD-04.03 · PCI-PCL-STD-05.01 · PCI-PCL-STD-05.02 · PCI-PCL-STD-05.03 · PCI-PCL-STD-05.04 · PCI-PCL-STD-06.01 · PCI-PCL-STD-06.02 · PCI-PCL-STD-06.03 · PCI-PCL-STD-06.04 · PCI-PCL-STD-07.01 · PCI-PCL-STD-07.02 · PCI-PCL-STD-07.03 · PCI-PCL-STD-10.01 · PCI-PCL-STD-10.02 · PCI-PCL-STD-10.03 · PCI-PCL-STD-11.01 · PCI-PCL-STD-12.01 · PCI-PCL-STD-12.02 · PCI-PCL-STD-12.03 · PCI-PCL-STD-13.01 · PCI-PCL-STD-13.02 · PCI-PCL-STD-13.03 · PCI-PCL-STD-13.04 · PCI-PFL-STD-01.01 · PCI-PFL-STD-01.02 … and 58 more

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-11	Record independent of the assertion, identifying source, date and author or issuing system, retrievable by a person other than the author. Closed list of **four** things that are not evidence.
PCL_AI_STANDARDS.md §A	Retained, dated record originating outside the assertion, **sufficient for a competent reviewer to reach the same conclusion without asking the preparer**. Adds the AI-generated summary and the unversioned working copy to the exclusions.
PFL_AI_STANDARDS.md core terms	Dated, retrievable, attributable to an identified author or issuing party, usable by a person other than its author. Excludes an unattributed file, an undated extract, a recollection and a sourceless screenshot.
PML_AI_STANDARDS.md	Dated, attributable, version-identified record retained so a person who was not present can determine what was known, by whom and when. Adds the **unreproducible dashboard state** to the exclusions.

Resolution. One canonical definition taking the **union of the four exclusion lists**, which is what the wider-obligation reading rule already produced. This also **fixes a circular definition**: PCL-AI defined *evidence* by reference to a *competent reviewer*, *competent reviewer* by the ability to perform *the verification method*, and *verified* by application of a method to *evidence* — a closed three-term loop in which none of the three could be applied without one of the others. The canonical *evidence* is defined by properties of the record itself (independence of the assertion, date, source, author, retrievability by a person other than the author), so the loop is broken. **Edited:** D-11 gains the union of exclusions; all three certification definitions replaced.

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competent reviewer

Canonical definition. A **competent reviewer** is a named individual who, in relation to a particular item, satisfies all of the following: **(a)** their competence in the subject matter of that item is evidenced — by a qualification in that subject matter, by an assessed competence record held by the adopting organisation, or by documented experience of comparable work recorded by the adopting organisation — and that competence is recorded for that class of work **before the review begins**; **(b)** they are able to state what would make the item wrong and which method would detect that error; and **(c)** they are able to perform the verification method the standard requires, and to reach a conclusion on the matter, **without assistance from the preparer or reliance on the preparer's explanation of it**. No limb alone is sufficient, and job title, seniority and availability establish none of them. The adopting organisation may quantify the experience required in (a); PCI does not. **Independence is not a limb of competence.** Where a standard requires the reviewer to be *independent*, that requirement is imposed by that standard's element 10 and tested separately. **One credential-specific addition:** for a review conclusion recorded on a PFL-AI engagement, the reviewer must additionally hold written authorisation from the engaging organisation to record a review conclusion on that subject.

Standards relying on it (element 4): **55** of 113 — PCI-FND-STD-02 · PCI-FND-STD-03 · PCI-FND-STD-04 · PCI-FND-STD-07 · PCI-FND-STD-08 · PCI-FND-STD-10 · PCI-PCL-STD-01.02 · PCI-PCL-STD-01.03 · PCI-PCL-STD-03.01 · PCI-PCL-STD-03.05 · PCI-PCL-STD-06.02 · PCI-PCL-STD-06.04 · PCI-PCL-STD-07.01 · PCI-PCL-STD-10.01 · PCI-PCL-STD-10.02 · PCI-PCL-STD-11.01 · PCI-PCL-STD-12.01 · PCI-PCL-STD-13.02 · PCI-PCL-STD-13.03 · PCI-PFL-STD-05.01 · PCI-PFL-STD-06.01 · PCI-PFL-STD-06.03 · PCI-PFL-STD-06.05 · PCI-PFL-STD-09.01 · PCI-PFL-STD-09.03 · PCI-PFL-STD-10.01 · PCI-PFL-STD-10.02 · PCI-PFL-STD-10.03 · PCI-PFL-STD-10.04 · PCI-PFL-STD-10.05 · PCI-PFL-STD-11.01 · PCI-PFL-STD-12.01 · PCI-PFL-STD-13.01 · PCI-PFL-STD-13.02 · PCI-PFL-STD-13.03 · PCI-PFL-STD-13.04 · PCI-PFL-STD-14.01 · PCI-PFL-STD-14.02 · PCI-PFL-STD-14.03 · PCI-PFL-STD-14.04 … and 15 more

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-04	Two limbs — evidenced subject-matter competence, and the ability to state what would make the item wrong and which method would detect it. **Independence deliberately not required.**
PCL_AI_STANDARDS.md §A	Can perform the method without assistance from the preparer; holds knowledge at the level of the relevant BoK domain; **and is independent as defined**.
PFL_AI_STANDARDS.md core terms	Demonstrated experience recorded before the review; **independence**; **and written authorisation from the engaging organisation** to record a review conclusion.
PML_AI_STANDARDS.md	Holds the knowledge and experience to conclude without relying on the preparer's explanation; competence recorded for that class of review beforehand; **and did not prepare, direct, specify or approve** the thing reviewed.

Resolution. One canonical definition of **competence**, with independence removed from it and left where it belongs — element 10 of each standard, which is normative-determinative and states it expressly. This closes the red team's **X-6**: PCI-FND-STD-10 element 12's supervised-acquisition exception needs a reviewer who is competent and precisely **not** independent, and every certification definition made that reviewer impossible. No obligation moves: every standard that required an independent reviewer still does, by its element 10. **Edited:** D-04 gains limbs from PCL-AI and PML-AI (the recorded-before requirement and the no-assistance-from-the-preparer limb) and an express note that independence is separate; all three certification definitions replaced. **Referred:** red-team **R-5**.

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decision owner

Canonical definition. The **decision owner** for a matter is the single named individual who holds the authority, under the applicable governance arrangement or documented delegation schedule, to approve, reject, amend, defer or withhold that matter; who bears the consequence of the decision; and who answers for it afterwards. The accountability is held by **one** person, is not delegable, and is recorded before the output is relied upon. **A committee is not a decision owner:** where a body decides collectively, the decision owner is its named chair, or the named authority the delegation schedule assigns, and the record names that person. A decision owner is always a natural person — "the team", "management", "the business", "the sponsor", "the lenders", "the organisation", a role held by no named individual, a system, a model and a vendor are never decision owners.

Standards relying on it (element 4): **80** of 113 — PCI-FND-STD-03 · PCI-FND-STD-04 · PCI-FND-STD-05 · PCI-FND-STD-08 · PCI-FND-STD-11 · PCI-FND-STD-13 · PCI-FND-STD-14 · PCI-FND-STD-15 · PCI-PCL-STD-01.01 · PCI-PCL-STD-03.01 · PCI-PCL-STD-03.03 · PCI-PCL-STD-03.05 · PCI-PCL-STD-04.01 · PCI-PCL-STD-04.02 · PCI-PCL-STD-04.03 · PCI-PCL-STD-05.03 · PCI-PCL-STD-05.04 · PCI-PCL-STD-06.04 · PCI-PCL-STD-12.01 · PCI-PCL-STD-12.02 · PCI-PCL-STD-12.03 · PCI-PCL-STD-13.01 · PCI-PCL-STD-13.02 · PCI-PCL-STD-13.04 · PCI-PFL-STD-01.01 · PCI-PFL-STD-01.02 · PCI-PFL-STD-05.01 · PCI-PFL-STD-09.01 · PCI-PFL-STD-09.02 · PCI-PFL-STD-09.03 · PCI-PFL-STD-10.01 · PCI-PFL-STD-10.02 · PCI-PFL-STD-10.03 · PCI-PFL-STD-10.04 · PCI-PFL-STD-10.05 · PCI-PFL-STD-11.01 · PCI-PFL-STD-12.01 · PCI-PFL-STD-12.02 · PCI-PFL-STD-13.01 · PCI-PFL-STD-13.02 ... and 40 more

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-08	Single named individual with authority to approve, reject, amend or defer, bearing the consequence; named chair where a body decides collectively; never a role held by nobody, a system, a model or a vendor.

File	What it said before this reconciliation
PCL_AI_STANDARDS.md §A	Single named individual holding delegated authority to take or withhold the decision the deliverable supports, and accountable for it; committee excluded; the named chair stands in.
PFL_AI_STANDARDS.md core terms	Single named individual accountable for the decision an output supports; **accountability not delegable**; recorded **before the output is relied upon**; "the sponsor" and "the lenders" expressly excluded.
PML_AI_STANDARDS.md	Single named individual holding authority under the organisation's **documented delegation schedule**, who answers for it afterwards; committee excluded.

Resolution. Compatible in substance across all four — all exclude a committee without a named chair — but four different wordings for a term that decides who may approve. One canonical definition taking every limb any file carried (non-delegability and recorded-before-reliance from PFL-AI; the delegation schedule from PML-AI; the exclusion list from all four). **Edited:** D-08 and all three certification definitions replaced with the canonical text. No obligation moves.

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escalation threshold

Canonical definition. The **escalation threshold** for a matter is reached at the earliest moment any of the following becomes true: the matter is *material*; it creates a risk to the safety of a person; it would change, or would have changed, a decision already taken or about to be taken; it affects an output already issued outside the professional's own organisation; it affects a contractual, regulatory, tax or financial-reporting position; or the escalation criteria published by the adopting organisation, stated in the finance documents, or recorded in the delegation schedule are met. **Any event a standard's element 13 states, any condition recorded before the work begins, and any documented value in a delegation schedule or in the finance documents are additional to those six triggers and never in place of them** — a matter reaching the threshold requires escalation under PCI-FND-STD-11 whether or not it appears in any element 13. **The threshold names a destination and a time, and the absence of either does not remove the duty:** where no destination is documented the matter goes to the next authority above the *decision owner* for it, and where no time is documented the time is the period defined at *promptly*. Reaching the threshold starts that period. The obligation does not depend on the professional's expectation of how the recipient will react, or on the matter being resolved afterwards.

Standards relying on it (element 4): **41** of 113 — PCI-FND-STD-11 · PCI-PCL-STD-01.01 · PCI-PCL-STD-01.03 · PCI-PCL-STD-03.01 · PCI-PCL-STD-03.03 · PCI-PCL-STD-03.04 · PCI-PCL-STD-03.05 · PCI-PCL-STD-04.02 · PCI-PCL-

STD-04.03 · PCI-PCL-STD-05.02 · PCI-PCL-STD-05.03 · PCI-PCL-STD-05.04 · PCI-PCL-STD-06.01 · PCI-PCL-STD-06.02 · PCI-PCL-STD-06.04 · PCI-PCL-STD-07.01 · PCI-PCL-STD-07.02 · PCI-PCL-STD-07.03 · PCI-PCL-STD-10.01 · PCI-PCL-STD-10.02 · PCI-PCL-STD-10.03 · PCI-PCL-STD-12.01 · PCI-PCL-STD-12.02 · PCI-PCL-STD-12.03 · PCI-PCL-STD-13.01 · PCI-PCL-STD-13.03 · PCI-PFL-STD-10.04 · PCI-PFL-STD-11.01 · PCI-PFL-STD-12.02 · PCI-PFL-STD-14.03 · PCI-PFL-STD-15.03 · PCI-PFL-STD-16.03 · PCI-PML-STD-03.02 · PCI-PML-STD-03.04 · PCI-PML-STD-06.01 · PCI-PML-STD-07.01 · PCI-PML-STD-07.02 · PCI-PML-STD-08.01 · PCI-PML-STD-08.02 · PCI-PML-STD-11.01 … and 1 more

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-10	Six substantive triggers; reaching it starts the D-20 clock. No destination fallback.
PCL_AI_STANDARDS.md §A	Originally "the event stated in element 13 of a standard" — **no clock and no substantive trigger**, so a matter no element 13 enumerated reached no threshold. Rebuilt on D-10 and D-20 by red-team **C-13**.
PFL_AI_STANDARDS.md core terms	"The stated condition, recorded before the work begins", set by the finance documents or the adopting organisation's governance. **Still carried no clock, and no D-10 floor** — the same defect the red team closed for PCL-AI and PML-AI was left standing here. Found in this pass, not in the red-team report.
PML_AI_STANDARDS.md	A documented value in the delegation schedule **with a time**; originally a threshold lacking either "is not an escalation threshold", which switched the duty off for an organisation that drafted badly. Fallback added by red-team **C-14**.

Resolution. One canonical definition: D-10's six triggers as the floor, every locally stated condition as an addition, and the PML-AI fallback (destination and time) applied to all four. **This closes an open instance of C-13/C-14 the red team did not reach: PFL_AI_STANDARDS.md had no clock at all**, so a PFL-AI escalation duty had no time by which it had to be discharged. **Edited:** D-10 gains the additivity sentence and the destination fallback; all three certification definitions replaced by the canonical text.

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promptly

Canonical definition. Promptly means without any delay beyond the time needed to establish the facts required to make the communication accurate, and in any event within the period the adopting organisation's published procedure states. Where no such period is published, *promptly* means **within one working day** where the matter creates a risk to the safety of a person or an ongoing financial loss, and **within five working days** in every other case. The period runs from the moment the professional first knows **or suspects** the matter, not from the moment they confirm it; where the facts cannot be established within the period, the professional communicates what is known within the period and completes the account afterwards. A **working day** is a day on which the adopting organisation ordinarily operates, in the location where the work is performed.

Standards relying on it (element 4): **4** of 113 — PCI-FND-STD-09 · PCI-FND-STD-10 · PCI-FND-STD-11 · PCI-FND-STD-15

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-20	As canonical. The only definition in the corpus.
PCL_AI_STANDARDS.md	No definition. Zero occurrences of the word. The clock reaches PCL-AI only through *escalation threshold*, and only since red-team **C-13**.
PFL_AI_STANDARDS.md	No definition, zero occurrences, **and — until this pass — no route in at all**, because its *escalation threshold* named no time.
PML_AI_STANDARDS.md	No definition. Zero occurrences. Reaches PML-AI through *escalation threshold*, and only since red-team **C-14**.

Resolution. D-20 is adopted unchanged as canonical. No file contradicted it; the defect was that three volumes carrying escalation duties had no route to it. **Edited:** each certification volume's *escalation threshold* now names the D-20 period, so the one- and five-working-day defaults operate in all three — in PFL_AI_STANDARDS.md for the first time. **Referred:** red-team **R-15** — the one- and five-day periods are drafting choices no practitioner has tested.

conflict / conflict of interest

Canonical definition. A **conflict** (equivalently, a *conflict of interest*) is a relationship, interest or duty of any of the following kinds, held by the professional or by a member of their household or a connected person, which bears on a matter in which the professional acts: a financial interest in a party to the matter or in its outcome; employment, office, directorship or partnership with a party; a family or household relationship with an individual who is a party to, or decides, the matter; a gift, hospitality or benefit received from a party above the threshold the adopting organisation records; a past or prospective engagement with a party; a personal interest in a particular outcome, **including an interest in the performance of work the professional themselves performed**; a future role that depends on the outcome; and an interest in a tool, model, vendor or AI system being selected, priced, assessed or relied upon in the matter. A conflict is **actual** where it bears on a decision now being taken, **potential** where it would do so if a foreseeable event occurred, and **perceived** where a person outside the matter, on the facts recorded, would identify one of the listed relationships. **The appearance is part of the definition, not a softening of it**, and a conflict is a structural fact about a role rather than a lapse of character. The list is closed for the purposes of the disclosure duty: **every conflict within it must be disclosed and there is no threshold**; a judgement standard stated in a standard widens the list and never narrows it.

Standards relying on it (element 4): **3** of 113 — PCI-FND-STD-08 · PCI-PML-STD-01.03 · PCI-PML-STD-10.01

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md D-05	**Closed list** of seven relationship kinds, with actual / potential / perceived gradation. PCI-FND-STD-08 states there is no threshold.
PCL_AI_STANDARDS.md	No definition. The volume relies on D-05.
PFL_AI_STANDARDS.md PCI-PFL-STD-01.02 element 4	A **judgement standard** rather than a list: disclosure is triggered by what “a **reasonable party** to that financing would want to know”, and “the test is applied by the credential holder”, with doubt resolved by disclosing. Defines *connected person* for that standard.
PML_AI_STANDARDS.md	**conflict of interest** — an interest capable of affecting, **or of appearing to affect**, judgement on the matter: financial stake, employment or commercial relationship, personal or family connection, authorship of the thing being assured, or a future role that depends on the outcome.

Resolution. One canonical definition: D-05's closed list, plus PML-AI's appearance limb and future-role limb and PFL-AI's *connected person* reach, stated as additions. The list stays closed for the disclosure duty and a judgement standard can only widen it — which is what PCI-PFL-STD-01.02 does. **Edited:** D-05 gains the appearance sentence and the future-role limb; PML-AI's *conflict of interest* replaced by a pointer to the canonical term. PCI-PFL-STD-01.02 element 4 is **not** changed: its reasonable-party test is an obligation, not a definition, and it is the subject of red-team **R-1**. **Referred: R-1** — closed list versus judgement standard is a policy choice between two philosophies of conflict disclosure and the Panel must make it.

approved

Canonical definition. A decision, document, figure or version is **approved** where the person holding authority for that decision under the applicable governance arrangement or recorded delegation of authority has given assent **identifiably**, recording the date, the version assented to, and the scope of the assent. Silence, absence of objection, unrecorded verbal assent, assent by a person outside their recorded authority, and assent recorded after the item was used are **not** approval.

Standards relying on it (element 4): **30** of 113 — PCI-PCL-STD-01.01 · PCI-PCL-STD-01.03 · PCI-PCL-STD-03.01 · PCI-PCL-STD-03.02 · PCI-PCL-STD-03.03 · PCI-PCL-STD-03.04 · PCI-PCL-STD-03.05 · PCI-PCL-STD-04.01 · PCI-PCL-STD-04.02 · PCI-PCL-STD-04.03 · PCI-PCL-STD-05.01 · PCI-PCL-STD-05.02 · PCI-PCL-STD-05.03 · PCI-PCL-STD-05.04 · PCI-PCL-STD-06.01 · PCI-PCL-STD-06.04 · PCI-PCL-STD-07.01 · PCI-PCL-STD-07.02 · PCI-PCL-STD-07.03 · PCI-PCL-STD-10.01 · PCI-PCL-STD-10.03 · PCI-PCL-STD-12.01 · PCI-PCL-STD-12.02 · PCI-PCL-STD-12.03 · PCI-PCL-STD-13.01 · PCI-PCL-STD-13.04 · PCI-PFL-STD-16.01 · PCI-PFL-STD-16.03 · PCI-PML-STD-05.01 · PCI-PML-STD-05.02

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	**No definition**, although Manual §4 names *approved* as a term that always needs one when it appears in an obligation, and the foundational standards use it in obligations.
PCL_AI_STANDARDS.md §A	As canonical — assent given identifiably, with date, version and scope; silence, absence of objection, unrecorded verbal assent and after-the-fact assent excluded.
PFL_AI_STANDARDS.md	No definition.
PML_AI_STANDARDS.md	No definition; *acceptance* and *gate* are defined instead.

Resolution. A **Manual §4 gap**, not a divergence: only one of four files defined a term all four use in obligations. PCL-AI's definition is adopted as canonical because it is the only one and it is applicable as written. **Edited:** added as D-29 to PCI_FOUNDATIONAL_STANDARDS.md; PCL-AI's local text replaced by the canonical wording; the canonical entry added to PFL-AI and PML-AI, which had none. Adds no obligation — it states the test a reader was already expected to apply.

current

Canonical definition. A record, figure, extract, document or version is **current** where it is the latest version issued by the system or authority that owns it as at the deliverable's stated cut-off or, where the deliverable states none, as at its issue date — and where its version identifier and its extraction date and time are recorded on or with the deliverable. A record whose version cannot be identified is not current, whatever its age.

Standards relying on it (element 4): **10** of 113 — PCI-PCL-STD-03.02 · PCI-PCL-STD-04.01 · PCI-PCL-STD-07.01 · PCI-PCL-STD-07.02 · PCI-PCL-STD-10.01 · PCI-PCL-STD-10.02 · PCI-PCL-STD-10.03 · PCI-PCL-STD-11.01 · PCI-PFL-STD-12.01 · PCI-PFL-STD-16.02

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	**No definition**, although Manual §4 names *current* as always needing one. PCI-FND-STD-06 (Source and Version Integrity) turns on it.
PCL_AI_STANDARDS.md §A	As canonical, measured at the deliverable's **cut-off** (itself a PCL-AI defined term).
PFL_AI_STANDARDS.md	No definition; *authoritative version* carries the related idea.
PML_AI_STANDARDS.md	No definition; *evidence* requires version identification.

Resolution. A **Manual §4 gap**. PCL-AI's definition adopted as canonical, generalised so that it works where no cut-off is stated (PCL-AI's *cut-off* is a PCL-AI term). **Edited:** added as D-30 to PCI_FOUNDATIONAL_STANDARDS.md; PCL-AI's text replaced by the canonical wording; the canonical entry added to PFL-AI and PML-AI, which had none.

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material AI assistance

Canonical definition. AI assistance in producing an output is **material** where removing the AI-generated contribution would change a figure in the output by more than the applicable materiality measurement, or would change a recommendation, a classification that affects entitlement, coding, ranking or eligibility, or a stated conclusion. *Material AI contribution* means the same thing. Volume of use, licence cost and whether a human edited the output afterwards are irrelevant to the test.

Standards relying on it (element 4): **3** of 113 — PCI-PCL-STD-13.02 · PCI-PCL-STD-13.03 · PCI-PCL-STD-13.04

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	No definition. Uses *material AI assistance* twice and *material AI contribution* once, relying on D-15 plus D-02.
PCL_AI_STANDARDS.md §C	As canonical. The only definition in the corpus.
PFL_AI_STANDARDS.md	**No definition**, yet PCI-PFL-STD-16.01 element 21(a) makes compliance turn on "each *material* AI contribution" and PCI-PFL-STD-16.03 element 21(d) on "*material* AI assistance is disclosed".
PML_AI_STANDARDS.md	**No definition**, yet PCI-PML-STD-14.02 element 21(d) makes compliance turn on "every artefact with material AI assistance".

Resolution. A **Manual §4 defect found in this pass**: two volumes make a compliance test turn on an undefined term. PCL-AI's definition is adopted as canonical, with the materiality measurement left to the credential's own application rule. **Edited:** PCL-AI's text replaced by the canonical wording; the canonical entry added to PFL-AI and PML-AI, each with a note naming the element 21 test that turned on it. This supplies a missing definition rather than changing an obligation, but it does decide which contributions must carry a verification record — **the Panel should confirm it**.

4. Declared collisions — preserved, not collapsed

../registries/TERMINOLOGY_AUDIT.md catalogues eight terms that carry genuinely different, equally legitimate professional meanings across the three books, and records as **Issue 9** that only one of them (*sponsor*) carries a context flag in the shared registry. The ones that reach the standard corpus are below. **Collapsing any of them would make a volume wrong**, which is worse than the divergence.

baseline

Definition. No single definition — context flag required. Three senses, all correct professional usage, recorded at ../registries/TERMINOLOGY_AUDIT.md §2.3 as a genuine collision. **(1) Control baseline** *(PCL-AI, PML-AI)* — the approved, version-controlled, time-phased combination of scope, budget and schedule against which performance is measured, at the version identified in its approval record; PCL-AI writes it in full as *performance measurement baseline* and abbreviates it *baseline*. **(2) Benefits baseline** *(PML-AI)* — the measured pre-change position from which a benefit is measured, captured before the change and never reconstructed after it. **(3) The agreed model case** *(PFL-AI)* — PFL-AI does not use the word at all and writes

base case: the model case the finance documents identify as the case against which the transaction was sized and agreed. Where two senses could be meant in one sentence, the qualified form is written.

Standards relying on it (element 4): **17** of 113 — PCI-PCL-STD-03.01 · PCI-PCL-STD-03.02 · PCI-PCL-STD-03.03 · PCI-PCL-STD-06.01 · PCI-PCL-STD-06.03 · PCI-PCL-STD-10.01 · PCI-PML-STD-02.01 · PCI-PML-STD-02.02 · PCI-PML-STD-04.01 · PCI-PML-STD-05.01 · PCI-PML-STD-05.02 · PCI-PML-STD-06.01 · PCI-PML-STD-07.01 · PCI-PML-STD-07.02 · PCI-PML-STD-11.01 · PCI-PML-STD-15.01 · PCI-PML-STD-16.03

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	Does not define it; uses it in the control sense only.
PCL_AI_STANDARDS.md §B	**performance measurement baseline** — approved time-phased scope, budget and schedule, abbreviated *baseline* throughout. Control sense only.
PFL_AI_STANDARDS.md transaction terms	**base case**, with an express note that the volume "does not use the word *baseline*, which collides across two senses in the suite".
PML_AI_STANDARDS.md	**Two senses, already context-flagged** — control baseline and benefits baseline — with the rule that a standard saying *baseline* in a benefits context and meaning the plan is a defect.

Resolution. Preserved, not collapsed. A control baseline and a benefits baseline are different objects measured for different purposes, and a single definition would make one of the two volumes wrong. The register carries all three senses with the context each belongs to. **No file edited** — PML-AI already flags its two senses and PFL-AI already states why it avoids the word; the collision is now disclosed in one place instead of three.

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sponsor

Definition. No single definition — context flag required. (1) Delivery and governance sense *(PML-AI, and the suite default)* — the single named individual accountable for the project's business outcome and mandate, who owns the business case, holds the authority reserved above the project leader, and answers for the benefits the project exists to enable. **(2) Project-finance sense** *(PFL-AI)* — an equity investor promoting a project: a party to the transaction, not an individual accountable inside it. The two are not variants of one idea; a PML-AI sponsor is a person and a PFL-AI sponsor is a counterparty. Each volume uses its own sense and PML-AI states expressly that the project-finance sense is not used anywhere in it.

Standards relying on it (element 4): **9** of 113 — PCI-PFL-STD-09.01 · PCI-PML-STD-01.01 · PCI-PML-STD-02.01 · PCI-PML-STD-02.02 · PCI-PML-STD-03.01 · PCI-PML-STD-03.04 · PCI-PML-STD-11.01 · PCI-PML-STD-15.02 · PCI-PML-STD-16.03

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	Uses *project sponsorship* only inside D-12's independence limbs; defines neither sense.
PCL_AI_STANDARDS.md	Does not define it.
PFL_AI_STANDARDS.md	Uses the equity-investor sense throughout (sponsor support, sponsor letter of comfort, sponsor exception) without a definition entry.
PML_AI_STANDARDS.md	**Defined and context-flagged** as the delivery sense, with the project-finance sense expressly excluded from the volume.

Resolution. Preserved. ../registries/TERMINOLOGY_AUDIT.md records this as the one collision the suite already flags. The register states both senses so a reader moving between PFL-AI and PML-AI standards cannot carry the wrong one across. **No file edited.**

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verification

Definition. No single definition — context flag required. (1) AI verification *(all four files; the sense carried by the suite principle and by element 16 of every standard)* — a named human's check of machine output against source before reliance on it; see *verified* above for the test and the eight admissible methods. **(2) V&V verification** *(PML-AI)* — the engineering check that what was built is what was specified; its partner, *validation*, asks whether what was built produces the outcome that was needed. A standard that says *verification* in a V&V context and means the AI check, or the reverse, is a defect; PML-AI writes the qualified form.

Standards relying on it (element 4): **2** of 113 — PCI-PML-STD-01.02 · PCI-PML-STD-14.02

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	AI-assurance sense only, through D-26.
PCL_AI_STANDARDS.md	AI-assurance sense only.

File	What it said before this reconciliation
PFL_AI_STANDARDS.md	AI-assurance sense only, with an express collision flag pointing at ../registries/TERMINOLOGY_AUDIT.md §2.2.
PML_AI_STANDARDS.md	**Both senses, already context-flagged.**

Resolution. Preserved. Collapsing V&V verification into AI verification would make PML-AI's delivery-assurance standards wrong. Recorded here with both senses and the disambiguation convention. **No file edited.**

coverage

Definition. No single definition — context flag required. (1) Credit sense *(PFL-AI)* — a **coverage ratio**: a ratio of *CFADS* (or its present value) to *debt service* (or to debt outstanding), computed on the definitions the finance documents state — DSCR the period test, LLCR the loan-horizon test, PLCR to the end of project life. **(2) Risk-identification sense** *(PCL-AI, PML-AI)* — the share of an estimated risk or requirement population actually identified or addressed. PFL-AI writes *coverage ratio* in full wherever ambiguity is possible.

Standards relying on it (element 4): **8** of 113 — PCI-PFL-STD-01.01 · PCI-PFL-STD-09.01 · PCI-PFL-STD-10.01 · PCI-PFL-STD-10.02 · PCI-PFL-STD-10.03 · PCI-PFL-STD-10.04 · PCI-PFL-STD-15.01 · PCI-PFL-STD-15.02

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	Neither sense defined; the word is not load-bearing.
PCL_AI_STANDARDS.md	Risk-population sense, undefined.
PFL_AI_STANDARDS.md	**coverage ratio** defined, with a collision flag on bare *coverage*.
PML_AI_STANDARDS.md	Risk- and requirement-population sense, undefined.

Resolution. Preserved. A coverage ratio and risk coverage are unrelated quantities. Recorded with both senses. **No file edited** — PFL-AI already carries the flag.

governance

Definition. No single definition — context flag required. (1) Project governance *(the suite default)* — the decision rights, accountabilities and information flows through which an organisation directs and controls a project, programme or portfolio. **(2) Data governance** — the ownership, definitions, access and traceability of data. The qualified form *data governance* is written in full, always.

Standards relying on it (element 4): **7** of 113 — PCI-PFL-STD-06.04 · PCI-PFL-STD-16.01 · PCI-PML-STD-03.01 · PCI-PML-STD-03.04 · PCI-PML-STD-07.01 · PCI-PML-STD-13.01 · PCI-PML-STD-14.01

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	Uses *governance arrangement* in the project sense throughout; does not define it.
PCL_AI_STANDARDS.md	Project sense, undefined; the data sense appears in Domain 13.
PFL_AI_STANDARDS.md	Project and corporate-governance senses, undefined.
PML_AI_STANDARDS.md	**Both senses, already context-flagged.**

Resolution. Preserved. ../registries/TERMINOLOGY_AUDIT.md Issue 9 lists *governance* among the eight genuine collisions. **No file edited.**

waiver · exception · amendment

Definition. No single definition — context flag required. These three words each carry a PCI sense and a finance-document sense, and the two are not the same act. **PCI sense (Charter §7, §8):** a **waiver** or **exception** is an approved departure from a PCI Standard, with a named approver, a stated justification, a stated duration, compensating controls and a reporting obligation — and an undocumented departure is a breach, not an exception; an **amendment** is a substantive change to a standard under Charter §7. **Finance-document sense (PFL-AI):** a **waiver** is a finance party's consent, in the form the documents require, to disregard a specific breach or unsatisfied condition on stated terms and for a stated period; an **amendment** is an executed change to the terms, and a waiver is not an amendment because it leaves the term in place. **Residual audit sense of *exception*:** a finding — one instance survives at PCI-PCL-STD-06.02 element 21 ("the exceptions found"), as a field of a record rather than a statement of consequence.

Standards relying on it (element 4): **3** of 113 — PCI-PFL-STD-10.04 · PCI-PFL-STD-13.03 · PCI-PFL-STD-15.03

Variations found

File	What it said before this reconciliation
PCI_FOUNDATIONAL_STANDARDS.md	PCI sense only, from Charter §8; not separately defined.
PCL_AI_STANDARDS.md	PCI sense. Twenty-eight element-21 tests used the **audit sense** ("is an exception" for a failure condition) until red-team **C-8** changed them to "is a failure of this test"; one instance remains.
PFL_AI_STANDARDS.md	**Both** — *waiver* and *amendment* defined in the finance-document sense, PCI waivers appearing in element 12 of every standard.
PML_AI_STANDARDS.md	PCI sense; *governing-body exception* used for the PCI sense.

Resolution. Preserved with an explicit context flag. A lender's waiver and a PCI waiver are different instruments granted by different people, and a single definition would be wrong in both directions. **No file edited. Referred:** red-team **R-14** — whether the corpus tolerates *exception* in the audit sense at all is a Panel question, and the one surviving instance is the test case.

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5. The circular definition, and how it was broken

One closed loop was found, in PCL_AI_STANDARDS.md §A, across three terms that all decide compliance:

> *verified* was defined as a method applied against **evidence** → *evidence* was defined as a record sufficient for a **competent reviewer** to reach the same conclusion → *competent reviewer* was defined as a person able to perform **the verification method** a standard requires, whose admissible list lived inside *verified*.

None of the three could be applied without one of the others, which is exactly what Manual §4 forbids: *"Define by the test a reader can apply."* The loop is broken by defining **evidence by properties of the record itself** — that it exists independently of the assertion, is dated, identifies its source and author, and can be retrieved and used by a person other than the author of the assertion. That is the foundational D-11 construction, and it depends on no other defined term. The other two definitions then rest on it in one direction only.

No other definition in the corpus defines a term by itself or by a term that depends on it. PCI_FOUNDATIONAL_STANDARDS.md D-01 to D-30 were checked individually and are acyclic.

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6. What this register does not settle

Four questions are **referred, not resolved**, because answering them would move an obligation and that is a decision for the Interpretation Panel under Charter §6, not for a register:

Ref	Question
R-1	Conflict disclosure by closed list (`D-05`) or by judgement standard (`PCI-PFL-STD-01.02`)? Two philosophies, both defensible; the register keeps the list closed and lets the standard widen it.
R-3	Should the three credentials examine one materiality test? The register makes the outcome identical today; three examinations still teach three tests.
R-4	Is *independent* one test or two? The reporting-line limb is stated in the terms in force, with PFL-AI's stricter form named — because writing one unqualified limb would raise the foundational obligation or lower the PFL-AI one.
R-5	Should *competent reviewer* include independence? The register separates them, which is what makes `PCI-FND-STD-10` element 12 usable; all three volumes had folded them together.

One further item is **flagged for confirmation**: the canonical *material AI assistance* supplies a definition two volumes were missing, and it decides which AI contributions must carry a verification record. That is a definition-only edit, but its effect is real and the Panel should confirm it.

7. Every file edit this register produced

Consolidated from the Resolution column above, so the reconciliation can be reviewed or reversed in one pass. **Only definitions were edited. No element 1, 5, 6, 7, 12, 13, 15 or 16 — the eight normative elements — was touched in any standard, and no process requirement was added, removed or reworded.**

File	What changed
`PCI_FOUNDATIONAL_STANDARDS.md`	Definitions preamble gains a pointer to this register and a statement that the `D-NN` entries govern. `D-04` **competent reviewer** — recorded-before-the-review limb and no-assistance-from-the-preparer limb added; independence expressly separated from competence; the PFL-AI written-authorisation limb named. `D-05` **conflict** — appearance limb and future-role limb added; the closed list stated to be widened, never narrowed, by a judgement standard in a standard. `D-08` **decision owner**, `D-11` **evidence**, `D-12` **independent**, `D-26` **verified** — restated in the canonical wording. `D-10` **escalation threshold** — element 13 additivity and the destination-and-time fallback added. `D-15` **material** — *irrespective of size* limb added; per-credential measurement of limb (b) recorded. `D-29` **approved** and `D-30` **current** — added, with a note recording why. The red-team paragraph at the end of *Audit-question findings* now records that **P-1** is closed and lists these edits.
`PCL_AI_STANDARDS.md`	Definitions preamble rewritten: the reconciliation is stated and the three reading rules are kept for terms it did not reach. §A **material · independent · verified · current · competent reviewer · decision owner · evidence · approved · escalation threshold** replaced with the canonical wording, PCL-AI's materiality rule kept as the stated measurement of limb (b). §C **material AI assistance** replaced with the canonical wording. The Charter §5 record gains a *Definitions reconciliation* bullet naming the two substantive corrections — independence removed from competence, and the *evidence · competent reviewer · verified* circularity broken.
`PFL_AI_STANDARDS.md`	Definitions preamble rewritten. **material · independent · verified · evidence · decision owner · competent reviewer · escalation threshold** replaced with the canonical wording; the volume's two deliberate narrowings (the stricter reporting-line limb, and the model-figure method list) kept and stated inside the definitions. **approved · current · material AI assistance** added — the volume had none, and two of its element 21 tests turned on the last of them. A *Definitions reconciliation* section added before *Open items recorded against Q13*, recording that **this volume's escalation threshold previously named no time at all**.

File	What changed
`PML_AI_STANDARDS.md`	Definitions preamble rewritten, stating that the volume's four declared collisions are preserved. **material · independent · evidence · competent reviewer · decision owner · escalation threshold · conflict of interest** replaced with the canonical wording. **approved · current · material AI assistance** added. The **verification** entry's AI sense now points at `D-26` for the test and the eight methods, and states that the V&V collision is declared rather than defective. A *Definitions reconciliation* section added before *Open findings carried forward.*

The validator was run after every edit: `python3 check_standards.py` exits 0, with 113 standards, 532 process requirements and every citation resolving.

Derived register. Not a PCI Standard; creates no obligation.

> **AI proposes; the professional verifies, decides and remains accountable.**